

COMMERCIAL LAW INCLUDING COMPANY LAW AND INDUSTRIAL LAW

BUSINESS LAW

Edited and revised by
Prof. SAKTI MUKHERJEE

**ARUN KUMAR SEN
JITENDRA KUMAR MITRA**

World Press

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PREFACE TO THE TWENTY-THIRD EDITION

It gives me great pleasure in placing before the readers The Twenty-Third Edition of this book. When I was requested by The World Press Private Limited authority to take up the charge of revising the present book (after the death of the reputed authors of this book, Profs. Sen and Mitra) I was rather hesitant in accepting this hard task. For, it involved a thorough revision of the book to make it at par with the current trends, especially after so many amendments of the Law in this sphere. But considering the interests of the students in general and academics in particular, I had no other option but to concede to the request of a high hearted person like Sripati Bhattacharjee, the former Managing Director of The World Press Private Limited.

The new edition has been thoroughly revised both in matter of text and updating case materials. It takes full accounts of The Workmen's Compensation (Amendment) Act, 1984, The Factories (Amendment) Act, 1987, The Industrial Disputes (Amendment) Act, 1984, The Payment of Gratuity (Amendment) Act, 1987, The Payment of Bonus (Amendment) Act, 1984, The Employees' State Insurance (Amendment) Act, 1984, The Companies' (Amendment) Act, 1985, The Apprentices (Amendment) Act, 1986, The Companies (Amendment) Act, 1988, The Factories (Amendment) Act, 1988, The MRTP Act, The Industries (development and regulation) Act, 1951 and The Consumer Protection Act. Indeed the Company Law has been completely rewritten in order to make it more comprehensive and exhaustive.

A special care has been taken in this Edition to see that the readers at the primary stage of this study does not find himself lost in the technicalities and niceties of various legal concepts and interpretations. I hope this Edition will continue to help the students in their studies and preparations for higher examinations.

October, 2001

Sakti Mukherjee

PREFACE TO THE FIRST EDITION

The object of this book is to state and explain the leading principles of the branch of law known as Commercial Law..... We have attempted to present the subject as briefly and concisely as possible. Section numbers of the relevant statutes have been mentioned, so that students may find it convenient to refer to them.

We hope the book will make the students acquainted with the subject and will encourage further study.

Our thanks are due to the publishers Sri Prakash Chandra Bhattacharjee and Sri Sripati Bhattacharjee of The World Press and the printers, the Modern India Press for the care and attention with which the work of publication and printing were done.

.....

August, 1956

A.K.S.

J.K.M.

PUBLISHER'S NOTE

Since 1958 the book Commercial Law (including Company Law) and Industrial Law by A. K. Sen and J. K. Mitra is well known to the educational field in India. In absence of the authors the book is thoroughly revised by Prof. Sakti Mukherjee M.A. (Econ.), M.A. (Pol. Sc.), Ph.D. (Econ.), LL.M. of Calcutta University, an experienced and expert professor of Commercial and International Law. Revision has been done according to all current adds and amendments in Commercial and Industrial Law by the Government of India. Hence we believe, the present edition of the book will be more helpful to the students of the subject Commercial and Industrial Law, at the same time, also to the professional examinees and practitioners of the Law.

Our thanks are due to Dr. Mukherjee, for his kind and laborious attention and active stand to make the book up-dated. After all, we hope, the present revised edition will serve the purpose more perfectly.

—Publisher

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INTRODUCTION

Definition of Law 1—Society and Law 2—Rule of Law 3—
Commercial Law and Mercantile Law 6—Sources of Indian
Commercial Law 7

DEFINITION OF LAW

Law, as it is, is the command of the Sovereign. It means, (1) law has its source in sovereign authority, (2) law is accompanied by sanctions, and (3) the command to be a law should compel a course of conduct. Being a command the law must flow from a determinate person or group of persons with the threat of displeasure if it is not obeyed. Sovereignty is, however, only a part of the state. So, in ultimate sense, law emanates from the state. Thus the term Law is used to denote rules of conduct emanated from and enforced by the state. People living in an organised society have to follow certain common rules, otherwise peaceful living is impossible. It is the function of the State to enforce these rules.

Holland

According to Holland¹, Law is, "a rule of external human action enforced by the sovereign political authority". From this definition it follows that there are three essential characteristics of law.

1. Law is a rule relating to the *actions* of human beings.
2. Law attempts to regulate the *external actions* of human beings.
3. Law is enforced by the State.

Salmond

"Law is the body of principles recognised and applied by the State in the administration of justice."²

Woodrow Wilson

Woodrow Wilson³ defines Law as follows : "Law is that portion of the established habit and thought of mankind which has gained distinct and formal recognition in the shape of uniform

¹ Holland, *Jurisprudence*.

² Salmond, *Jurisprudence*.

³ Woodrow Wilson, *The State*

rules backed by the authority and power of the government." This definition is practically the same as that of Holland.

Anson

Rules regarding human conduct are necessary for peaceful living as well as for progress and development. Anson¹ observes as follows : "The object of Law is Order, and the result of Order is that men are enabled to look ahead with some sort of security as to the future. Although human action cannot be reduced to the uniformities of nature, men have yet endeavoured to reproduce by Law something approaching to this uniformity".

SOCIETY AND LAW

The term 'society' is used to mean a community or a group of persons, living in any region, who are united together by some common bond.

A 'common bond' is formed when some uniformity of factors like nearness, nature of the people, habit, custom, inhibition, beliefs, culture, tradition etc. appears. The 'common bond' lead to forming social rules or rules of social behaviour. The rules are made by members of the society. Disobedience of the rules is followed by punishment in the form of social disapproval. There is no positive penalty associated with the violation of social rules except excommunication or ostracism.

But 'law' unlike social rules, is enforced by the State. Law, according to Holland is "a rule of external human action enforced by the sovereign political authority". The objective of law is to bring order in the society with a view to enable its members to progress and develop with some sort of security regarding the future. (See below)

From the above discussion it follows that although custom, usages and traditions indicate a particular social conduct, law or definitive rules are made to ensure the peace and progress of a society.

The State makes laws. Disobedience of State laws involves a penalty which is enforced by the government through the sovereign power of the State. Whatever is not enforceable is not Law. Laws of the State are applicable to all without exception in identical circumstances.

¹ Anson, *Law of Contract*.

Law and Social Objectives

Many jurists and social scientists in 19th century interpret the nature of Law with social perspectives. 'Ancient Law' by Henry Maine, is the pioneering work in this respect. According to him, with social advance, law must be framed and changed on the basis social needs. Social scientists like Emile Durkheim, L. T. Hobhouse, Max Weber, etc., observed that moral values rather than the settlement of disputes of interests should be the objective of Law. According to Rosco Pound, Law is profoundly related to the following three elements : (a) the legal structure of the society (b) constitutional ideals and principles and (c) legal procedure. The nature and the principle of Law of a democratic society must be different from that of an autocratic system. It has been accepted on all hands that Law is today one of the imperative tools for performing social purposes.

Change of Law and Change of Social Rules

The legal system of a country reflects the rules of society. If there is a change of social rules usually there occurs a change of law. For example, in the Middle Ages in Europe, the landlord and the feudal system prevailed. At that time the rights of the peasant was very restricted. In modern times when the feudal system was abolished the rights of the peasant and the citizens were enlarged. Therefore change of social rules leads to change of law.

The converse of the above also applies, i.e., change of law leads to change of the rules of society. Legislation has enlarged the rights of Hindu women regarding inheritance, property rights and marital rights. In these cases the change of law has been accepted by the society. We can conclude that there is a dependence between law and social rules and *vice versa*.

RULE OF LAW

The Concept

In earlier times (and in a few countries now) certain classes and individuals possessed special privileges and were judged by special law. The modern view is to apply the same law over all persons in the State and to give all persons equal rights and privileges for the protection of their human liberties. Democracy can remain only in a society of equals.

Three Rules

The concept of equality of all persons before law is the basis of what is called the Rule of Law. The Rule was summarised by Dicey¹ as follows :

1. The Rule of Law states that, "no man is punishable or can be lawfully made to suffer in body or goods except for a distinct breach of law established in the ordinary legal manner before the ordinary courts." (Dicey). In other words, (a) there must be supremacy of law, (b) no one shall be punished except for definite breach of law and (c) the breach of law must be proved in a duly constituted court of law. No citizen can be arrested or imprisoned, unless he violates specifically any law of the country in force and is accused of a charge by the court. Thus the rule of law implies equal protection of law.

2. In the second place, Rule of law means that, "no man is above law". Every man whatever his rank or condition, is subject to the ordinary law of the State and amenable to the jurisdiction of ordinary tribunals. "What is law—legal right and legal obligation for me—must hold equally as such for all citizens." (Dicey). In other words, Rule of Law means (a) equality before the law, (b) every citizen is subject to the ordinary law of the land and (c) the citizen has to face trial in the same law courts, irrespective of his status or position in the society.

3. In the third place, the Rule of Law is the result of statutes and judicial decisions determining the rights of private persons. Thus the constitutional law of the country follows from the ordinary law of the land.

Comments

The Rule of Law is therefore, no respecter of persons. It is applicable to everybody (from Prime Minister to the convict, and from the millionaire to a beggar). The judiciary must be independent and impartial if the Rule of Law can mean anything real.

Unlike the Indian Constitution, the British Constitution has developed through historical evolution on the basis of common law. The rights of citizens of England are not written in a special document (like Fundamental Rights or a Bill of Rights). They are specified in common law. If an ordinary citizen, or the sovereign power interferes with the legal right of a citizen, the

¹ A. V. Dicey, *Law of the Constitution*.

remedy is to be sought with the help of common law. Therefore, Dicey observes that the rights of the citizens have been protected by the ordinary law of the country and the Rule of Law. In India, however, there is a written constitution specifying the Fundamental Rights of a citizen.

Criticism

The three principles, which Dicey described in relation to the Rule of Law, have been criticised by many jurists, including I. Jennings, H. Laski and W. A. Robson. The main criticisms are summarised below :

1. *The emergence of Administrative Law* : With the increase of constitutional complexities, the government departments have made many rules framed under various acts. This is known as Administrative Law. There are also special tribunals for the settlement of professional disputes. At the time of Dicey (19th century Great Britain) there existed separate military courts and courts for churchmen. The executive department often uses the arbitrary and prerogative powers in day-to-day's work and for the purpose of performing the administrative work applies the discretionary power in most cases. Therefore, it is apparent that the Rule of Law is breached and the power of the government is far-reaching.

2. *Economic Inequalities* : In order to ensure legal equality Prof. Laski emphasises the need of economic equality. Punishment for the same offence varies because police enforcement is frequently partial. Therefore, from the standpoint of law, the word 'equality' is meaningless, unless there is economic equality followed by Social and constitutional equality.

3. *The supremacy of the Legislature* : The third principle of the Rule of Law is the supremacy of common law. But, in fact, the principal basis of the constitution of England is the supremacy of Parliament. The sovereignty of Parliament in Britain has not been established by the Court. Although the Fundamental Rights of a citizen are established upon the basis of conventional rules and the Court is the protector of those rights, yet Parliament of Britain is the sole authority to bring any change over or to nullify the existing rules. Therefore, it is understood that Parliament is the fundamental basis of the Constitution of England and judging from the standpoint of modern age, the concept of the Rule of Law is only a theoretical

idea. This, however, does not apply to India because the constitution of India is written and there is a provision of fundamental rights in the constitution.

Conclusion

The principle of Rule of Law has been criticised from three viewpoints, viz., (i) the extensive power of Administrative Law, (ii) inequality of income/wealth and (iii) supremacy of the legislature. In spite of these defects, a civilised state must secure the Rule of Law. Otherwise, despotism, authoritarianism and corruption will hold sway on the state. Democracy can be attained only under the Rule of Law. Conversely Rule of Law can be attained only in democracy.

The Rule of Law has many benefits. It protects the liberty and rights of citizens. The Rule of Law creates an atmosphere of peaceful living. This principle, with true education enhances the calibre of citizens, legislators, and voters, thus enabling them to maintain Rule of Law free from its defects and designs of self-seeking persons.

COMMERCIAL LAW OR MERCANTILE LAW

Definition

The laws of a country relate to many subjects, e.g., inheritance and transfer of property, relationship between persons, crimes and their punishment, as well as matters relating to industry, trade and commerce. The term Commercial Law or Mercantile Law is used to include only the last of the aforesaid subjects, viz., rules relating to industry, trade, and commerce.

Commercial Suit

A suit between merchants, bankers, and traders, relating to mercantile transactions is a commercial suit. It follows that all laws which must be referred to in order to decide such suits come within the scope of commercial law. Commercial law or mercantile law may therefore be defined as *that part of law which regulates the transactions of the mercantile community.*

Scope

The scope of commercial law is large. It includes the laws relating to contract, partnership, negotiable instruments, sale of goods, companies etc.

It must be noted that there is no fixed line of division between commercial law and other branches of law, nor is there any conflict or contradiction between them. The law of contract, which is a very important part of commercial law, is applicable not only to merchants and bankers but also to other persons. When a merchant files a suit in a court of law the procedure is not materially different from that of other suits. When a trader commits an offence he is punishable under the criminal law exactly in the same way as any other person. The subjects studied under the heading of commercial law do not form a comprehensive code dealing with all aspects of mercantile activity. Commercial law deals with only those parts of law which are of special importance to the mercantile community. The same laws are applicable to other citizens under appropriate circumstances.

SOURCES OF INDIAN COMMERCIAL LAW

The commercial law of India is based upon statutes of the Indian legislature, English mercantile law and Indian mercantile usages, modified and adapted by judicial decisions.

We are stating below the sources from which the rules of Commercial Law of India have been derived.

1. Statutes of the Indian Legislatures

The legislature is the main source of law in modern times. In India, the Central and the State legislatures possess law making powers and have exercised their powers extensively. The greater part of Indian commercial law is statutory.

2. English Mercantile Law

Many rules of English Mercantile Law have been incorporated into Indian Law through statutes and judicial decisions. English Mercantile Law is a mixture of diverse elements. It contains rules originating from the following sources :

- (i) Maritime usages which developed during the 14th and the 15th centuries among merchants trading in the European ports. These usages are known as *Lex Mercatoria*.
- (ii) Rules which developed by custom in England and which constitute what is called the English Common Law.
- (iii) Rules of Roman Law.

- (iv) Rules of Equity, *i.e.*, rules which were applied by English Courts of Equity in cases where the common law rules were considered harsh and oppressive.
- (v) Statutes of the British Parliament.

3. Judicial Decisions or Precedents

Judges interpret and explain statutes. Rules of equity and good conscience are incorporated into law through judicial decisions. Whenever the law is silent on a point, the judge has to decide the case according to his idea of what is equitable. Prior to 1947, the Judicial Committee of the Privy Council of Great Britain was the final court of appeal for Indian cases and its decisions were binding on Indian courts. After, independence, the Supreme Court of India is the final court of appeal. But decisions of the superior English courts like the Courts of Appeal, Privy Council, and the House of Lords, are frequently referred to as precedents which might be followed in interpreting Indian statutes and as rules of equity and good conscience.

4. Custom and Usage

A customary rule is binding where it is ancient, reasonable, and not opposed to any statutory rule. A custom becomes legally recognised when it is accepted by a court and is incorporated in a judicial decision.

EXERCISES

1. Define 'Law' and discuss the theory of 'Rule of Law'. (Pages 1, 3-5)
2. "Change of Law depends upon the change of society". Discuss. (Pages 2-4)
3. What do you understand by Rule of Law? What are the benefits of Rule of Law? (Pages 3-5)
4. "All are equal in the eyes of law". Discuss. (Pages 3-5)
5. Discuss the relationship between Law and Society. (Pages 1-3)
6. What are the sources of Commercial Law in India? (Page 6)
7. Objective questions. Give short answers.
 - (i) Summarise the Rule of Law in seven lines. (Pages 3-5)
 - (ii) What good law does to the society? (Page 1)

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1

THE ESSENTIAL ELEMENTS OF CONTRACT

Object and Scope

The Law of Contract deals with agreements which can be enforced through courts of law.

(The Law of Contract is the most important part of commercial law because every commercial transaction starts from an agreement between two or more persons.)

According to Salmond¹ a contract is "an agreement creating and defining obligations between the parties." According to Sir William Anson², "A contract is an agreement enforceable at law made between two or more persons, by which rights are acquired by one or more to acts or forbearances on the part of the other or others."

The object of the Law of Contract is to introduce definiteness in commercial and other transactions. How this is done can be illustrated by an example. *X* enters into a contract to deliver 10 tons of coal of *Y* on a certain date. Since such a contract is enforceable by the courts, *Y* can plan his activities on the basis of getting the coal on the fixed date. If the contract is broken, *Y* will get damages from the court and will not suffer any loss.

Sir William Anson observes as follows : "As the law relating to property had its origin in the attempt to ensure that what a man has lawfully acquired he shall retain, so the law of contract is intended to ensure that what a man has been led to expect shall come to pass ; and that what has been promised to him shall be performed."

Application

The Indian Contract Act of 1872 (Act IX of 1872) lays down certain general rules regarding contracts. The Act is not exhaustive. There are other Acts relating to particular types of contracts. e.g., the Negotiable Instruments Act, the Transfer of Property Act, etc.

¹ Salmond, *Jurisprudence*.

² Anson, *Law of Contract*.

The Contract Act does not affect any usage or custom of trade, or any incident of any contract not inconsistent with the provisions of the Act.—Sec. 1.

Definition of Contract

Section 2(h) of the Indian Contract Act provides that, "An Agreement enforceable by law is a contract". Therefore in a contract there must be (1) an agreement and (2) the agreement must be enforceable by law.

An *agreement* comes into existence whenever one or more persons promise to one or others, to do or not to do something, "Every promise and every set of promises, forming the consideration for each other, is an agreement—Sec. 2(e). Some agreements cannot be enforced through the courts of law, e.g., an agreement to play cards or go to a cinema. An agreement, which can be enforced through the courts of law, is called a *contract*.

The Essential Elements of a Contract

An agreement becomes enforceable by law when it fulfils certain conditions. These conditions, which may be called the Essential Elements of a Contract, are explained below.

1. *Offer and Acceptance* : There must be a lawful offer by one party and a lawful acceptance of the offer by the other party or parties. The adjective "lawful" implies that the offer and acceptance must conform to the rules laid down in the Indian Contract Act regarding offer and acceptance. (See ch. 2)

2. *Intention to create Legal Relationship* : There must be an intention (among the parties) that the agreement shall result in or create legal relations. An agreement to dine at a friend's house is not an agreement intended to create legal relations and is not a contract. But an agreement to buy and sell goods or an agreement to marry, are agreements intended to create some legal relationship and are therefore contracts, provided the other essential elements are present. (See ch. 3)

3. *Lawful Consideration* : Subject to certain exceptions, an agreement is legally enforceable only when each of the parties to it gives something and gets something. An agreement to do something for nothing is usually not enforceable by law. The something given or obtained is called consideration. (See ch. 4)

The consideration may be an act (doing something) or forbearance (not doing something) or a promise to do or not to do something. Consideration may be past (something already done or not done). It may also be present or future. But only those considerations are valid which are "lawful". (What is meant by "lawful consideration" is discussed in ch. 8)

4. *Capacity of Parties* : The parties to an agreement must be legally capable of entering into an agreement, otherwise it cannot be enforced by a court of law. Want of capacity arises from minority, lunacy, idiocy, drunkenness, and similar other factors. If any of the parties to the agreement suffers from any such disability, the agreement is not enforceable by law, except in some special cases. (See ch. 6)

5. *Free Consent* : In order to be enforceable, an agreement must be based on the free consent of all the parties. There is absence of genuine consent if the agreement is induced by coercion, undue influence, mistake, misrepresentation, and fraud. A person guilty of coercion, undue influence etc. cannot enforce the agreement. The other party (the aggrieved party) can enforce it, subject to rules laid down in the Act. (See ch. 7)

6. *Legality of the Object* : The object for which the agreement has been entered into must not be illegal, or immoral or opposed to public policy. (See ch. 8)

7. *Certainty* : The agreement must not be vague. It must be possible to ascertain the meaning of the agreement, for otherwise it cannot be enforced. (See ch. 8)

8. *Possibility of Performance* : The agreement must be capable of being performed. A promise to do an impossible thing cannot be enforced. (See ch. 8)

9. *Void Agreements* : An agreement so made must not have been expressly declared to be void. Under Indian Contract Act there are five categories of agreements which are expressly declared to be void. They are :

1. Agreement in restraint to marriage. (Sec. 26)
2. Agreement in restraint of trade. (Sec. 27)
3. Agreement in restraint of proceedings. (Sec. 28)
4. Agreements having uncertain meaning. (Sec. 29)
5. Wagering agreement. (Sec. 30)

10. Writing, Registration and Legal Formalities : An oral contract is a perfectly good contract, except in those cases where writing and/or registration is required by some statute. In India writing is required in cases of lease, gift, sale and mortgage of immovable property : negotiable instruments ; memorandum and articles of association of a company etc. Registration is compulsory in cases of documents coming within the purview of Section 17 of the Registration Act, e.g., mortgage deeds covering immovable property. The terms of an oral contract are sometimes difficult to prove. Therefore important agreements are usually entered into in writing even in cases where writing is not compulsory.

Conclusion

The elements mentioned above must *all* be present. If any one of them is absent, the agreement does not become a contract. An agreement which fulfils all the essential elements is enforceable by law and is called a contract. From this it follows that, *every contract is an agreement but all agreements are not contracts.*

Every contract gives rise to certain legal obligations or duties on the part of the contracting parties. The legal obligations are enforced by the courts.

The Indian Contract Act contains rules regarding each of the elements mentioned above. These rules are discussed in the subsequent chapters.

SOME DEFINITIONS

In the Law of Contract certain terms are used indicating their meaning. The terms also show that contracts can be classified into four broad divisions, namely, (1) the method of formation of a contract, (2) the time of its performance, (3) its parties, and (4) its legality or validity.

I. Method of Formation

(1) Express Contract

Express Contract is one which is expressed in words spoken or written. When such a contract is formed, there is no difficulty in understanding the rights and obligations of the parties. (See pp. 18-19)

(2) Implied Contract

The conditions of an implied contract is to be understood from the acts, the conduct of the parties and/or the course of dealing between them. (See pp. 18-19)

(3) Quasi Contract

There are certain dealings which are not contracts strictly, though the parties act as if there is a contract. The Contract Act specifies the various situations which come within what is called Quasi Contract. (Sections 68-72; see Chapter 12 Book I)

II. *The Time of Performance***(1) Executed Contract**

There are contracts where the parties perform their obligations immediately, *i.e.*, as soon as the contract is formed. (See pages 35-36)

(2) Executory Contract

In this contract the obligations of the parties are to be performed at a later time. (See p. 36)

III. *The Parties of the Contract***(1) Bilateral Contracts**

There must be at least two parties to the contract. Therefore all contracts are bilateral or multilateral. (See p. 15)

(2) Unilateral Contract

In certain contracts one party has to fulfil his obligations whereas the other party has already performed his obligations. Such a contract is called unilateral contract.

IV. *Legality or Validity of the Contract*

Contracts can be classified into the following : (1) valid, (2) void, (3) voidable, (4) illegal and (5) unenforceable. These terms are explained in Chapter 5, Book I.

EXERCISES

1. Explain the essential elements of a contract. (Pages 13-14)
2. Define contract. State the essential elements of contract. (Pages 12-13)
3. "All agreements are not contracts, but all contracts are agreements". Discuss the statement explaining essential elements of a valid contract. (Pages 13-14)

DEFINITIONS**Formation of Contract**

All contracts are made by the process of a lawful offer by one party and the lawful acceptance of the offer by the other party. *X* says to *Y*, "Will you buy my house for Rs 50,000?" This is an offer. If *Y* says, "Yes", the offer is accepted and a contract is formed.

Proposal

An "offer" involves the making of a "proposal". The term proposal is defined in the Contract Act as follows : "When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal" —Sec. 2(a).

Offer

A proposal is also called an offer. The promisor or the person making the offer is called the offeror. The person to whom the offer is made is called the offeree.

Promise and Acceptance

"When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted. A proposal when accepted becomes a promise."—Sec. 2(b).

"The person making the proposal is called the 'promisor' and the person accepting the proposal is called the 'promisee'." —Sec. 2(c).

Examples of offer and acceptance :

- (i) *Specific Offer* : *X* offers to sell his motor car to *Y* at the price of Rs. 5000. This is a proposal. *X* is the promisor or the offeror. *Y* is the offeree. If *Y* agrees to buy the car at the price stated ; *Y* becomes the promisee or the acceptor. There is a contract.
- (ii) *Specific Offer* : *P* puts up a notice offering to pay a reward of Rs. 5 to any student who finds out and returns a book lost in the college. *Q* a student, reads the notice and then finds and brings the book to *P*. *P*'s notice is an offer and *Q* is the acceptor. There is a contract.

- (iii) *General Offer* : A transport company runs tramway cars along the streets. This is an offer by the company to carry passengers at the scheduled fares. The offer is accepted when a passenger gets up on a tram with the intention of becoming a passenger.

EFFECT OF OFFER AND ACCEPTANCE

Offer alone and acceptance alone are "inactive", "inert" or "powerless". When separate they cannot lead to the formation of a contract. But an offer *together with* acceptance leads to a contract which is enforceable by the Court, provided the other essential elements of contract exist.

The formation of a contract can be illustrated by the famous 'gunpowder and lighted match' simile of Anson. The materials in a gunpowder (like sulphur, iron fillings, etc.) by themselves are not enough to cause an explosion. But when a lighted match is applied to the inflammable mixture, an explosion occurs. Similarly, offer and acceptance together can explode leading to the formation of a valid contract. But if there is any disqualification on the part of either offer or acceptance, no contract will be formed just as if a gunpowder lacks sulphur or a lighted match is damp no explosion will occur. The idea being clear, we can recall the original saying. "Acceptance is to offer what a lighted match is to a train of gunpowder. It produces something which cannot be recalled or undone. But the powder may have lain till it has become damp or the man who laid the train may remove it before the match is applied. So an offer may lapse for want of acceptance or be revoked before acceptance. Acceptance converts the offer into a promise and then it is too late to remove it." (Anson)

OFFER

Rules regarding offer

The Contract Act contains various rules regarding offer or proposal. They can be summed up as follows :

1. *An offer may be express or may be implied from the circumstances* : An offer may be made in two ways : (i) by words, spoken or written and (ii) by conduct. When an offer is made by stating so in words or in writing, it is called an **Express offer**. When an offer is implied from the conduct of a person, it is called an **Implied offer**. Examples (i) and (ii) in the last

page, are cases of express offer. Example (iii) is a case of an implied offer. (See p. 18)

"In so far as the proposal or acceptance of any promise is made in words, the promise is said to be express. In so far as such proposal or acceptance is made otherwise than in words, the promise is said to be implied"—Sec. 9.

2. *An offer may be made to a definite person ; to some definite class of persons ; or to the world at large* : An offer made to a definite person or a definite class of person is called a **Specific offer**. An offer sent to all persons (or the world at large) is called a **General offer**. Example (i) is an offer to a definite person ; example (ii) is an offer to a definite class of persons ; and example (iii) is an offer to the world at large. (See pp. 17-18)

3. *Legal relationship is required* : The offer must be one which is capable of creating a legal relationship. A social party or an invitation to play cards is not a legal relationship. Therefore, an offer to such an affair does not lead to a binding contract. (See chapter 3, Part I, p. 33)

4. *The terms of the offer must be certain, definite, unambiguous and not vague* : X says to Y, "I will give *some* money if you marry Z". This is not an offer which can be accepted because the amount of money to be paid is not certain.

5. *A mere statement of intention is not an offer* : A distinction is usually made, between an "offer" and "a statement of intention". Price-lists and catalogues, and enquiries for customers are merely statements of intention. They are not regarded as offers but as *invitation* to others to make offers. An advertisement in a newspaper or elsewhere may be so worded that it amounts to an offer. But ordinarily advertisement is considered to be an invitation to make offers. Similarly, in an auction sale, articles are displayed with an intention that the bidders present may bid for them i.e. may make an offer. Thus in an auction sale a bid is an offer while the fall of the hammer signifies the acceptance of the auctioneer. (*Payre v. Cave*)

Examples :

- (i) *Intention to sell* : A label on an article in a shopkeeper's showcase stating 'price Rs. 5' is considered to be the expression of an intention to sell the article at Rs 5. It is not an offer to the world at large which can be accepted by anybody. The intending purchaser who wishes to buy the article is the proposer. The shopkeeper may

or may not accept the proposal. The same rule applies to price-list and catalogues. *Fisher v. Bell*.¹

- (ii) *Quotation of prices* : A quotation of prices is not an offer, but an invitation for offers. *Mylappa Chettiar v. Aga Mirza Mohamed Shirazee*.² This is true of many common forms of advertisement.
- (iii) *Advertisements* : A newspaper advertisement inviting applications for a job or inviting tenders for some work is not an offer. It is only an invitation to make offers. The applicants who reply to the advertisement are the proposers or offerors. The advertiser is free to accept any one of the applications.
- (iv) *Catalogue* : A banker's catalogue of charges is not an offer. *Bank of Travancore v. Dhirt Ram*.³
- (v) *Time-table* : A railway time-table is not an offer. Therefore if a train does not work according to the table, the ticket-holder cannot file a case for breach of contract.
- (vi) *Question and Reply* : *H* telegraphed to *F* asking the latter to inform him whether he would sell Bumper Hall Pen and if so at what price. *F* informed *H* that the lowest price was £900 but did not say that he was willing to sell at that price. *H* telegraphed that he would buy at that price. *F* gave no reply to the telegram. Held, there was no contract because neither the question of *H* nor the reply of *F* constituted an offer. *Harvey v. Facey*.⁴
- (vii) *Auction* : When particular goods are advertised for sale by auction the auctioneer does not contract any one who attends the sale intending to purchase those goods that they shall be actually put up for sale. *Harris v. Nickerson*.⁵

6. *An offer must be communicated to the offeree* : A person cannot accept an offer unless he knows of the existence of the offer. *P* offers a reward to anyone who returns his lost dog. *Q* finding the dog brings it to *P* without having heard of the offer. Held, he was not entitled to the reward. *Fitch v. Snedaker*.⁶ In this case it was argued that a man cannot accept an offer without intending to do so, and he cannot intend to accept an offer of which he was ignorant. In *Lalman v. Gauri Dutt*,⁷ *G* sent his servant *L* in search of his missing nephew. Subsequently *G* announced a reward for information concerning the boy. *L* brought back the missing boy, without having known of the reward. Held, there was no contract between *L* and *G* and the reward cannot be claimed.

[Communication of Offer and Acceptance.—See p. 26]

¹ (1961) 1 Q. B. 394

³ AIR (1942) Privy Council 6

⁵ (1873) L. R. 8 Q. B. 286

⁷ 11 A. L. J. 489

² (1919) 37 Mad. L.J. 712

⁴ (1893) A. C. 552

⁶ 30 N. Y. 248

7. *An offer may be conditional* : An offer may be made subject to conditions. In such cases, the conditions must be clearly communicated to the offeree. If a person accepts an offer without knowledge of the conditions, the offeror cannot claim fulfilment of the conditions. But if the conditions are clearly written or expressed and should have been known to the offeree, he cannot plead ignorance of the conditions.

Examples :

- (i) *Strict enforcement* : *X* agreed to buy goods from *Y* and signed an order form given by *Y* containing a number of clauses in small print, without reading them. Held, clauses were binding on *X*. *L'Estrange v. Graucob Ltd.*¹
- (ii) *Strict enforcement* : *T*, who could not read, took an excursion ticket on the railway. On the front of the ticket was printed "for conditions see back". One of the conditions was that the railway company would not be liable for personal injuries to passengers. *T* was injured by a railway accident. Held, *T* was bound by the conditions and could not recover any damages. *Thomson v. L. M. & S. Rly.*²
- (iii) *No reasonable notice* : *R* booked her passage on a ship and received a ticket folded in such a way that no writing was visible. On the ticket were printed certain conditions in small type, one of which was that the shipowner's liability was limited to £100. *R* knew that there was printing on the ticket but did not know that the printing related to conditions of the contract. Held, *R* was not bound by the conditions as she did not know of their existence, and having regard to the smallness of the type in which they were printed, the absence of calling of attention to them, the shipowner had not given reasonable notice of them. *Richardson v. Rawntree.*³
- (iv) *Against public interest* : *M* delivered one new sari to a laundry for washing. On the back of the printed receipt it was stated that the customer would be entitled to recover only 15% of the market-price of the article in case of loss. The sari was lost owing to the negligence of the laundry. In a suit by *M* it was held that the term was unreasonable. Such a term would give a premium on dishonesty and is against the public interest. *Lily White v. R. Munnuswami.*⁴
- (v) *Unreasonable* : In a Karnataka case, a laundry would pay only 8% of the price in case of loss. The court held that the term was unreasonable. *M. Siddalingappa v. T. Nataraj.*⁵

Comments : A contract formed on a *conditional offer* is valid. The terms of the contract can be constructed strictly or

¹ (1934) 2 K. B. 394

² (1930) 1 K. B. 41

³ (1894) A. C. 217

⁴ AIR (1966) Mad 13

⁵ AIR (1970) Mys 154

leniently. Formerly, all contracts were constructed and enforced strictly. See examples (i) and (ii), above. In recent times, however, the courts have adopted various protective measures for the aggrieved persons. Conditional offers are invalid under the following circumstances :

- (1) Lack of reasonable notice. Example (iii)
- (2) Unreasonable terms. Example (iv) and (v)
- (3) Breach of fundamental rights.
- (4) Tortious action by offeror.

8. *Printed Contracts* : Printed Contracts (or Standard Forms of Contracts) often contain a large number of terms and conditions which exclude liability under the contract. For examples, the Life Insurance Corporation of India, the Railway Administration, Statutory Corporation and big companies issue printed forms of contract. The individual is bound to sign them whether he likes the terms or not. Previously, the offerees of such printed forms were helpless against the massive organisations like those above. These organisations have availed of the opportunity to exploit the weak individual by imposing onerous terms upon them. Therefore, nowadays in order to protect the oppressed individual the courts have evolved various modes of protection. (See last para)

ACCEPTANCE

Who can accept ?

An offer can be accepted only by the person or persons for whom the offer is intended. An offer made to a particular person can only be accepted by him because he is the only person intended to accept. An offer made to a class of persons can be accepted by any member of that class. An offer made to the world at large can be accepted by any person whatsoever. *X* sold his business to *Y* without disclosing the fact to his customers. *Z* sent an order for goods to *X* by name. *Y* received it and sent a letter of acceptance. Held, there was no contract between *Y* and *Z* because *Z* never made any offer to *Y*. *Boulton v. Jones*.¹

¹ (1857) E. R. 232

Rules regarding acceptance

The acceptance of an offer to be legally effective must satisfy the following requirements :

1. *It must be an absolute and unqualified acceptance of all the terms of the offer.*—Sec 7(1). If there is any variation, even on an unimportant point, between the terms of the offer and the terms of the acceptance, there is no contract.

Examples :

(i) *M* offered land to *N* at £280. *N* replied accepting and enclosing, £80, and promising to pay the balance by monthly instalments of £50. Held, there was no contract, as there was no unqualified acceptance. *Neale v. Merrett*.¹

(ii) *P* offered to buy *Q*'s mare on *Q* giving a guarantee that the mare was quite in harness. *Q* guaranteed that the mare was "quiet in double harness". Held, no acceptance. *Jordan v. Norton*.²

2. *Conditional Acceptance* : In accordance with English law as well as with the terms of the Contract Act, an acceptance with a variation is no acceptance ; it is simply a counter-proposal, which must be accepted by the original promisor before a contract is made. *X* offered to sell his house for Rs. 12,000. *Y* said, "accepted for Rs. 10,000." This is not an acceptance but a counter offer or counter proposal. *Kundan Lal v. Secretary of State*³ ; *Hyde v. Wrench*.⁴

But an acceptance is not called 'conditional' if an immaterial term is added or if there occurs any misunderstanding between the parties for the interpretation of collateral terms.

3. *Contracts subject to condition* : There are cases where an "immediate binding contract is formed although some of the parties' rights and obligations may be dependent upon the happening of a particular event. For example, the agreement may contain such a term as 'subject to the purchaser's solicitors approving the title.' *Smith v. Butler*⁵. (Anson—*Law of contract*, p. 54)

4. *Clarification* : The seeking clarification of offer neither amounts to the acceptance of the offer nor to the making of a counter offer. Cheshire and Fifoots' *Law of Contracts*, 9 Edn.

¹ (1930) W. N. 189

² (1838) 4 M. & W. 155

³ (1939) 14 Luck, 710

⁴ (1840) 3 Bev. 334

⁵ (1900) 1 Q. B. 694

p. 34 ; *U. P. State Electricity Board and another v. M/s Goel Electric Stores, Chandigarh*.¹

5. *The acceptance must be expressed in some usual or reasonable manner* :—Sec 7(2). The offeree may express his acceptance by word of mouth, telephone, telegram or by post. These are the usual methods of communicating acceptance to the offeror. [Communication.—See p. 26]

An offer may also be accepted by conduct. If the offeree does what the offeror wants him to do, there is acceptance of the offer by conduct. Section 8 of the Act states that, "Performance of the conditions of a proposal or the acceptance of any consideration for reciprocal promise which may be offered with a proposal, is an acceptance of the proposal."

Examples :

- (i) *Oral or by writing.* P offers to buy Q's bicycle at Rs. 50. Q may accept this offer by stating so orally or through telephone or by writing a letter or by sending a telegram to that effect.
- (ii) *Conduct.* A company offered £100 to anyone who contracted influenza after using their smoke ball 3 times daily for 2 weeks. Mrs. Carlill used the smoke ball but nevertheless got influenza. She claimed the reward. The company objected, that she should have notified them for her acceptance of the offer. Held, the use of the smoke ball by Mr. Carlill constituted acceptance of the offer by conduct, and no formal notice of acceptance was necessary. *Carlill v. Carbolic Smoke Ball Company*.²
- (iii) *Conduct.* A widow invited her niece to stay with her in her residence and promised to settle on her a particular immovable property. The niece stayed with her in residence till her death. Held, (by the Privy Council) that the niece was entitled to the property because she had accepted the aunt's offer by going to her residence and staying with her as desired. *V. Rao v. A Rao*.³

6. *Mental acceptance or uncommunicated assent does not result in a contract* : No contract is formed if the offeree remains silent and does nothing to show that he has accepted the offer. Acceptance must be communicated to the offeror or shown by conduct.

Acceptance cannot be implied from silence of the offeree. See example (iii).

¹ AIR (1977) All 494

² (1893) 1 Q. B. 256

³ (1916) 39 Mad 509 (Privy Council)

Examples :

- (i) *F* offered to buy *B*'s horse for £30, saying, "If I hear no more about him I shall consider the horse as mine at £30." *B* did not reply. Held, there was no contract because there was no communication of acceptance. Mental acceptance or uncommunicated assent does not result in a contract. *Felthouse v. Bindley*.¹
- (ii) A person received an offer by letter ; he wrote on the letter "accepted", put the letter in his drawer and forgot all about it. Held there was no contract because the other party was not informed. *Brogden v. Metropolitan Rly Co.*²
- (iii) *Insurance proposal* ; Acceptance is complete only when it is communicated to the offeror. Silence or receipt and retention of premium cannot be construed as acceptance. *Life Insurance Corporation of India v. Raja Vasireddy Komalavalli Kamba and others*.³ (See Law of Insurance, ch. 1)

7. The mode of acceptance : Where the promisor prescribes a particular mode of acceptance, the offeree must follow the particular mode of acceptance. For example, if the offeror says, "acceptance to be sent by telegram", the offeree must send a telegram. If the offeree fails to follow the prescribed mode of acceptance, the proposer may, within a reasonable time after the acceptance is communicated to him, insist that the proposal be accepted in the prescribed manner and not otherwise. But if the proposer does not insist upon it, he accepts the acceptance as actually communicated.—Sec 7(2). Thus, under the Indian law the proposer has the option of waiving compliance with the prescribed mode of acceptance.

Example :

X offers to buy a certain quantity of coal from *Y* at a certain price and asks *Y* to send a telegram if he accepts, *Y* writes a letter accepting the offer. *X* may insist on a telegram from *Y* ; but if *X* does not so insist, the acceptance is good.

8. Time of Acceptance : (If the offeror prescribes a time, the acceptance must be done within that time. If no time is prescribed the acceptance must be done within *reasonable time*.) What is 'reasonable' depends on the facts of the case. See the Case of *Ramsgate Victoria Hotel Co. v. Montefiore* (Page 29).

9. When acceptance is complete : Section 4 of the Contract Act lays down that the communication of an acceptance is

¹ (1862) 11 C.B.N.S. 869² (1877) A.C. 666³ AIR (1984) Supreme Court 1014

complete,—as against the proposer, when it is put in a course of transmission to him, so as to be out of the power of the acceptor; and as against the acceptor, when it comes to the knowledge of the proposer.

Examples :

- (i) *A* proposes, by letter, to sell a house to *B* at a certain price. The communication of the proposal is complete when *B* receives the letter.
- (ii) *B* accepts *A*'s proposal by a letter sent by post. The communication of the acceptance is complete—as against *A*, when the letter is posted, as against *B*, when the letter is received by *A*.

10. *Before Offer* : Acceptance must be given before the offer. This is the natural sequence. There cannot be acceptance before the offer is given from any person. See the case of *Lalman v. Gauri Dutt*. (Page 20)

11. *The acceptance must be made while the offer is in force*, i.e., before the offer has been revoked or the offer has lapsed. How an offer is revoked is described below. (See page 29).

COMMUNICATION OF OFFER AND ACCEPTANCE

Section 3 of the Contract Act states as follows : The communication of proposals, the acceptance of proposals, and the revocation of proposals and acceptances, respectively, are deemed to be made by any act or omission of the party proposing, accepting or revoking by which he intends to communicate such proposal, acceptance or revocation or which has the effect of communicating it.

How is an Offer to be Communicated ?

An offer may be communicated to the offeree or offerees by word of mouth, by writing or by conduct. A written offer may be contained in a letter or a telegram. A circular or advertisement or a notice may be written in such a language that it amounts to an offer. A tramway car and a bus going along a street and picking up passengers are examples of offers by conduct.

Section 4 states : "The communication of a proposal is complete when it comes to the knowledge of the person to whom it is made."

How is an acceptance to be Communicated ? (See p. 23)

Offer and Acceptance by Post

An offer may be made by post. An offer may also be accepted by post, if there is no other mode of acceptance specially prescribed by the proposer. When a proposal is made through the post, the post office is by implication the *agent* of the proposer. Therefore a letter of acceptance duly addressed and posted is sufficient acceptance even though the letter does not actually reach the proposer. (Notice to an agent is considered to be notice to the principal). The letter must, however, be correctly addressed. The letter must be actually posted. It is not enough to give it to somebody to post. See example (ii) in para 9, p. 25.

Examples :

- (i) G applied for shares in a company. A letter of allotment was posted but the letter did not reach G. Held there was a binding contract and G was a shareholder of the company. *Household Fire Insurance Co. v. Grant*.¹
- (ii) A registered envelope was tendered by the postman to the addressee, who refused to accept it. It is to be presumed that the addressee has the knowledge of the content thereof. *Har Charn Singh v. Shiv Rani and Others*.²

Offer and Acceptance through Telephone

Offer and acceptance can be communicated through the telephone. But there are certain rules regarding oral communication. It has been held that the offer and acceptance must be *audible, heard and understood*. If these conditions are satisfied and the other essential elements of contract exist, the parties are bound through a telephone conversation. The High Court judgment about this matter is quoted below. "Now, when the parties negotiate a contract orally in the presence of each other or over telephone and one of them makes an oral offer to the other, it is plain that an oral acceptance is expected, and the acceptor must ensure that his acceptance is audible, heard and understood by the offer. The acceptance in such a case must be by such words which have the effect of communicating it." *Kanhaiyalal v. Dineshwar Chandra*.³

¹ (1877) 4 Ex. D. 216

² AIR (1981) Supreme Court 1284

³ AIR (1959) M P 234

In an English court it was held that a communication, sent through a telex or a teleprinter machine in the office, is valid. A contract made by "telex" was no exception to the general rule that acceptance is not complete until communicated. *Entores Ltd. v. Miles Far Eastern Corporation*.¹

Microphone

There was an auction sale of plots of land. The terms, including certain restrictive conditions, were announced by a microphone. The Supreme Court held, "Microphones have not yet acquired notoriety as carriers of binding representations. Promises held out over loudspeakers are often claptraps of politics." *Banwari Lal v. Sukhdarshan Dayal*.²

OPTIONS

An option is a conditional contract to do something. Suppose that *P* the owner of a house, agrees in consideration of Rs. 200, to give *Q* an option to buy the house within six months at a certain price. This is a contract binding upon *P* to allow *Q* to purchase the house at the agreed price at any time within six months. A promise to keep an offer open to acceptance for a certain time is not binding on the proposer unless there is a consideration separately given for that promise, as in the example given above.

STANDING CONTRACT AND OPEN PROPOSALS

Contracts for the supply of goods over a period of time are some times so worded that the buyer has an option as regards the quantity to be purchased and the time of purchase. Such contracts are called "Standing Contracts" or "Open Proposals".

Examples :

P signed a tender addressed to the London County Council, agreeing, on acceptance, to supply all the goods specified in the schedule, to the extent ordered. The tender was accepted but the L. C. C. did not order any goods. Held, the L. C. C. was not bound to order any goods, but if it did so, *P* was bound to deliver the goods as and when ordered. *Percival Ltd. v. L.C.C.*³

In such cases as above, a contract comes into existence when a definite quantity is ordered. *Bengal Coal Co. v. Wadia*.⁴

¹ (1955) 2 Q. B. 327

³ (1918) 87 L.J.K.B. 677

² (1973) ISCC 2941 (Supreme Court)

⁴ (1900) 24 Bom 97

REVOCATION

Revocation of an Offer. When does an Offer Lapse ?

An offer comes to an end, and is no longer open to acceptance under the following circumstances.—Sec 6.

1. By notice

If the offeror gives notice of revocation to the other party, *i.e.*, expressly withdraws the offer, and the offer comes to an end. An offer may be revoked any time before acceptance but not afterwards. Once an offer is accepted there is a binding contract. The acceptance of an offer becomes binding on the offeror as soon as the acceptance is put in course of communication to the offeror so as to be out of the power of the acceptor. But any time before this happens the offer may be revoked. A proposal is sent by *X* to *Y* and is accepted by *Y* by letter. The proposal might have been revoked any time before the letter of acceptance was posted but it cannot be revoked after the letter is posted.

The notice of revocation does not take effect until it comes within the knowledge of the offeree.

2. By lapse of time

When the proposer prescribes a time within which the proposal must be accepted, the proposal lapses as soon as the time expires.

3. After expiry of reasonable time

If no time has been prescribed, the proposal lapses after the expiry of a reasonable time. What is reasonable time will depend on the circumstances of the case.

Example :

On 8th June, *M* offered to take shares in *R* company. He received a letter of allotment on 23rd November. *M* refused to take the shares. Held, *M* was entitled to refuse as the offer had lapsed by the delay in acceptance. *Ramsgate Victoria Hotel Co. v. Montefiore*.¹

4. By failure of a condition precedent

An offer lapses by the failure of the acceptor to fulfil a condition precedent to acceptance, where such a condition has been prescribed.

¹ (1866) L. R. 1 Ex. 109

Example :

P says to *Q*. "I will sell my house at Delhi to you for Rs. 50,000 if you are married." The offer cannot be accepted until and unless *Q* is married.

5. By death or insanity

An offer lapses by the death or insanity of the proposer, if the fact of his death or insanity comes to the knowledge of the acceptor before acceptance.

6. Counter Offer

When a counter offer is given, the original offer lapse. See the Case of *Hyde v. Wrench*. (Page 23)

7. By refusal

A proposal once refused is dead and cannot be revived by its subsequent acceptance.

Example :

A offers to sell his farm to *B* for Rs. 1,000. *B* replies offering to pay Rs. 950. *A* refuses. Subsequently *B* writes accepting the original offer. There is no contract because the original offer has lapsed.

Revocation of Acceptance

Section 5 of the Contract Act provides that an acceptance can be revoked any time before the acceptance comes to the knowledge of the proposer but not afterwards.

Example :

P proposes, by a letter sent by post, to sell his house to *Q*. *Q* accepts the proposal by a letter sent by post. *Q* may revoke his acceptance any time before the letter communicating it reaches *P* but not afterwards.

The English law on this point is different. Under English law an acceptance is irrevocable once it is put in course of communication to the offeror. Thus in the above example *Q* could not have revoked the acceptance once he had posted the letter of acceptance.

Communication of Revocation

According to Section 3 of the Act, the revocation of a proposal or an acceptance is deemed to be made by any act or omission of the party by which he intends to communicate such revocation, or which has the effect of communicating it.

According to Section 4 of the Act, the communication of revocation is complete—

as against the person who makes it, when it is put into a course of transmission to the person to whom it is made, so as to be out of the power of the person who makes it ;

as against the person to whom it is made, when it comes to his knowledge.

Examples :

- (i) *P* makes a proposal to *Q*. *Q* sends a letter of acceptance. Subsequently *Q* revokes his acceptance by telegram. *Q*'s revocation is complete, as against *Q* when the telegram is despatched, and as against *P* when it reaches him.
- (ii) *A* revokes his proposal by telegram. The revocation is complete as against *A* when the telegram is despatched. It is complete as against *B* when *B* receives it. *B* revokes his acceptance by telegram. *B*'s revocation is complete as against *B* when the telegram is despatched, and as against *A* when it reaches him.

EXERCISES

1. When is an offer completed ? How and when may an offer be revoked ? (Pages 25-26, 29-31)
2. (a) How may an offer be terminated ? (Pages 26-28)
(b) *A* offers to sell *B* his horse for Rs. 1000 and tells *B*. 'This offer will remain open one week'. The following day *B* reject the offer. Within the week *B* changes his mind and notifies *A* that he accepts the offer. Is there a contract ? (Para 6, Page 30)
3. "Acceptance is to offer what a lighted match is to a train of gunpowder". Discuss. (Page 18)
4. "An offer is made when, and not until, it is communicated to the offeree". Explain with illustrations. (Para 6, page 20)
5. Define offer, and acceptance. When are offer and acceptance deemed to be complete if made through post ? (Pages 17, 27)
6. State how offer is made, revoked and accepted. What are the rules when offer is made through post office and over the telephone. (Pages 17, 22, 27-28)
7. "A mere mental acceptance, not evidenced by words or conduct is in the eye of law no acceptance." Explain. (Para 6, pages 24-25)
8. Define the term 'Acceptance' What are the essential of a valid acceptance ? (Pages 17, 22-26)
9. "Acceptance must be absolute, and must correspond with the terms of the offer." Discuss with suitable illustration. (Para 1, page 23)

10. (a) Explain the meaning of the terms, Offer and Acceptance. (Page 17)
- (b) (i) *A* offers to sell his goods to *B* by a letter posted on 1st March. *B* receives *A*'s letter on 3rd March. Can *A* revoke his offer? (Page 30)
- (ii) *B* posts his letter of acceptance on 4th March. *A* receives *B*'s acceptance on 6th March. Can *B* revoke his acceptance? (Page 30)
11. (a) Define a proposal. (b) How is an offer communicated? (Pages 17, 18-22)
12. Objective questions. Give short answers :
- (i) What is meant by acceptance by conduct? Give one example. (Page 24)
- (ii) "An advertisement to sell a thing by auction is (a) an offer (b) an invitation (c) no offer at all." What is the best alternative? (Page 19)
13. Problems :
- (a) *A* proposes, by a letter sent by post, to sell his house to *B*. *B* accepts the proposal by a letter sent by post. When *A* revokes his proposal or *B* his acceptance? (Pages 30-31)
- (b) *X* offers to sell a house in Calcutta to *Y* for Rs. 50,000. The offer is communicated to *Y* in Bombay by an express letter. The letter is delayed in the censor's office. Before *X*'s letter reaches *Y*, *Y* receives a telegram from *X* revoking his offer. Advise *Y*. (Pages 30-31)
- (c) *A* proposes by a letter sent by post to sell his house to *B*. *B* accepts the proposal by a letter sent by post. When can *B* revoke this acceptance? (Pages 19-20)
- (d) *A* offers a reward to whosoever shall do a certain thing. *B* does the thing, not knowing of the advertised reward. Is *A* bound to pay the reward to *B*? (Pages 19-20)
- (e) *A* duly posts a letter of acceptance to *B*. But the letter is lost in transit by the negligence of the Post Office. What is the effect? (Page 26)

INTENTION TO CREATE LEGAL RELATIONS

An agreement does not become a binding contract unless there is an intention to enter into legal relations. The parties must intend that the transaction should be attended by legal consequences and create legal obligations. The intention of the parties is to be gathered from the terms of the agreement and the surrounding circumstances. In arriving at a conclusion as to what is the interest of the parties the courts usually apply an objective and not subjective test. Any way it is upto the courts to decide whether the parties have intended to enter into legal obligations.

A contract, however, is defined as an agreement enforceable by law. An agreement which does not create any legal obligation will not be enforced by law. Hence such an agreement is not a contract. *X* offers to play cards with *Y* for pleasure and *Y* accepts. In later on *X* refuses to do so, *Y* cannot go to the courts for enforcing the promise. Hence, such an offer does not create a contract. The courts of law are not concerned with enforcing social obligations. They deal with legal obligations. *Balfour v. Balfour*.¹

“Agreeing to agree”—See, Uncertain ; Agreements, ch. 8.

Examples :

- (i) *D*, agrees to go to a cinema with *B*. This is not a contract enforceable by law because going to a cinema is not a legal matter.
- (ii) *R* Company made an agreement with *G* Company whereby they were made agents of the latter. One clause in the agreement was as follows : “This arrangement is not entered into as a formal or legal agreement and shall not be subject to legal jurisdiction in the law courts”. Held, there was no intention to create any legal relation ; hence there was no contract. *Rose and Frank Co. v. Crompton Bros. Ltd.*²
- (iii) A company agreed with *V* that on expiration of *V*’s existing contract, they would “favourably consider” the renewal of his contract. Held, no obligation was created to renew the contract. *Montreal Gas Co. v. Vasey*.³

¹ (1919) 2 K.B. 571

² (1925) A. C. 445

³ (1900) A. C. 595

EXERCISES

1. Discuss—"The offer must be one which in its natural meaning may be taken to contemplate and which is capable of creating legal relations." (Page 33)
2. Explain : "In order that an offer may be made binding by acceptance, it must be made in contemplation of legal consequences." (Page 33)

Definition of Consideration

Consideration is an essential element in a contract. Subject to certain exceptions, an agreement is *not* enforceable unless each party to the agreement gets something. This "something" is called consideration. It is used in the sense of *quid pro quo* i.e. something in return.

In the English case, *Currie v. Misa*,¹ consideration was defined as, "some right, interest, profit or benefit accruing to one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other."

Section 2(d) of the Contract Act defines consideration as follows : "When, at the desire of the promisor, the promisee or any other person has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from, doing, something, such act or abstinence or promise is called a consideration for the promise."

Examples

- (i) *P* agrees to sell a house to *Q* for Rs. 80,000. For *P*'s promise, the consideration is Rs. 80,000. For *Q*'s promise, the consideration is the house.
- (ii) *H* engages *Q* as a clerk in his office for Rs 1000 a month. The monthly wage is the consideration received by *Q*; the services of *Q* constitute the consideration received by *H*.
- (iii) *X* promises not to file a suit against *Y* if *Y* pays him Rs. 100 by a fixed date. The forbearance of *X* is the consideration for *Y*'s payment.

Types of Consideration

Consideration may be classified into three types, as follows :

1. **Past consideration** : When the consideration of one party was given before the date of the promise, it is said to be past. Suppose that *X* does some work for *Y* in the month of January (without expecting any payment). In February *Y* promises to pay him some money. The consideration of *X* is past consideration.

¹ (1875) L.R. 10 Ex 162

Under English law past consideration is no consideration and a contract based on past consideration is void. But under Indian law a past consideration is good consideration because the definition of consideration in Section 2 (d) includes the words "has done or abstained from doing".

2. *Present consideration* : Consideration which moves simultaneously with the promise is called Present Consideration or **Executed Consideration**. *B* buys an article from a shop and pays the price immediately. The consideration moving from *B* is present or executed consideration.

3. *Future consideration* : When the consideration is to move at a future date, it is called Future Consideration or *Executory Consideration*. In a contract the consideration may be executory on both sides. A promise may support a promise. Thus a promise to pay money at a future date for goods to be delivered at a future date is a valid contract.

Rules (or the Essential Factors) of Consideration

The following rules may be laid down regarding consideration :

1. *Desire (or request) of the promisor is essential* : The act done or loss suffered by the promisee must have been done or suffered at the desire of the promisor. An act done without any request is a voluntary act and does not come within the definition of consideration.

Examples :

- (i) *P* sees *Q*'s house on fire and helps in extinguishing it. *Q* did not ask for his help. *P* cannot demand payment for his services.
- (ii) The Collector of a district asked *D* to spend some money on the improvement of a market and he did so. *D* cannot demand payment from the shopkeepers using the market for having improved the market. *Durga Prasad v. Baldeo*.¹
- (iii) *X* promised to pay *Y* some money by a letter. *Y* showed the letter to *Z* who thereupon consented to the marriage of her daughter with *Y*. *Z* cannot force *X* to pay the money to *Y* because there is no connection between the marriage and the promise to pay. *Dashwood v. Jermyn*.²

2. *The consideration must be real* : The consideration must have some value in the eye of law. It must not be sham or illusory.

¹ (1880) 3 All. 221

² 12 Ch. D. 776

The impossible acts and illusory or non-existing goods cannot support a contract. Therefore, real consideration comes from good consideration. (See p. 39)

A contribution to charity is without consideration. Therefore, it is not real consideration. (See p. 38)

Examples :

- (i) *Illusory consideration* : *G* promises for no consideration, to give *H* Rs 1,000. This is a void agreement. No consideration, no contract.
- (ii) *Impossible act* : *X* promises to supply *Y* one *tola* of gold brought from the sun. The consideration is sham and illusory and there is no contract.
- (iii) *No consideration* : *V* owed £208 to *E* who told *V* that if the money was not paid by 7th July he would file a bankruptcy petition against *V*. Thereupon *V* promised to pay the money before 12 o'clock on 8th July and *E* agreed not to file the petition before that time. Held, there was no consideration for *E*'s promise. *Vanburgen v. St. Edmunds Properties Ltd.*¹

Example (iii) above illustrates the rule that a promise to do what one is already bound to do (whether under the law or under an existing contract) confers no additional benefit and is of no value. The consideration is unreal. A promise to pay an existing debt punctually if the creditor gives a discount is without consideration and the discount cannot be enforced.

3. *Public duty* : "Where the promise is already under an existing public duty, an express promise to perform, or performance of, that duty will not amount to consideration. There will be no detriment to the promisee or benefit to the promisor over and above their existing rights and liabilities"² *Example* : A contract to pay money to a witness who has received a subpoena to appear at a trial. *Collins v. Godefrey*.³

4. *Promise to a stranger* : But a promise made to a stranger to perform an existing contract, is enforceable because the promisor undertakes a new obligation upon himself which can be enforced by the stranger. *X* wrote to his nephew *B*, promising to pay him an annuity of £150 in consideration of his marrying *C*. *B* was already engaged to marry *C*. Held, the fulfilment of *B*'s contract with *C* was consideration to support *X*'s promise to pay the annuity. *Shadwell v. Shadwell*.⁴

¹ (1933) 2 K. B. 223

³ (1831) 1B & AD. 950

² Anson, *Law of Contract*, p. 96

⁴ (1860) 9 C.B.N.S. 159

5. *Consideration need not be adequate* : Section 25 (explanation 2) provides that, "An agreement to which the consent of the party is freely given is not void merely because the consideration is inadequate ; but the inadequacy of the consideration may be taken into account by the court in determining the question whether the consent of the promisor was freely given."

The reason behind this rule is that it is impossible for the court to decide what is adequate consideration. The parties to the contract must decide the quantum of consideration and, if consent was freely given, the court will enforce the agreement.

If the consideration is inadequate, the Court may hold that consent of the promisor was not freely given and the agreement may become void.

"Consideration" means a reasonable equivalent or other valuable benefit passed on by the promisor to the promisee or by the transferor to the transferee. Similarly, when the word 'Consideration' is qualified by the word 'adequate', it makes consideration stronger so as to make it sufficient and valuable having regard to the facts, circumstances and necessities of the case. *Sonia Bhatia v. State of U. P. and others.*¹ /

Examples :

- (i) *P* agrees to sell a horse worth Rs 1000 for Rs. 10. *P*'s consent to the agreement was freely given. The agreement is a contract notwithstanding the inadequacy of the consideration.
- (ii) *D* promises to *B* to sell land in Calcutta at Rs. 10 per cottah. The agreement is valid provided the consent of *D* was freely given.
- (iii) *S* files a suit against *B* for Rs. 5,000. Subsequently he agrees to withdraw the suit on payment of Rs. 3,000. The agreement is a contract. The withdrawal of a suit is valuable consideration so as to support the promise to pay money.

6. *The consideration must not be illegal, immoral, or opposed to public policy* : If either the consideration of the object of the agreement is illegal, the agreement cannot be enforced. The same principle applies if the consideration is immoral or opposed to public policy. [See, Section 23 and ch. 8 for examples of such agreements.]

7. *The consideration may be present, past, or future* : This follows from the definition of consideration given in the Act.

¹ AIR (1981) Supreme Court 1274

8. *Consideration may move from the promisee or from any other person* : A person granted some properties to his wife *C* directing her at the same time to pay an annual allowance to his brother *R*. *C* also entered into an agreement with *R* promising to pay the allowance to *R*. This agreement can be enforced by *R* even though no part of the consideration received by *C* moved from *R*. *Chinnaya v. Ramaya*.¹ A stranger to the consideration can sue to enforce the contract, though a stranger to the contract cannot. In England, a stranger to the consideration cannot sue on the contract.

9. *What is good consideration?* : The rules or the necessary factors for consideration can be summed up as follows : (1) There must be desire of the promisor ; (2) it must be real ; (3) reasonable ; (4) not illegal, immoral or opposed to public policy ; (5) present, past or future ; and (6) from the promisee or any person.

Subject to the above essential factors, a good consideration can be any of the following : (1) physical goods ; (2) services ; (3) forbearance (for example not to sue) ; (4) arbitration or the compromise of disputed claims, and (5) settlement or composition with creditors.

DIFFERENCES BETWEEN ENGLISH AND INDIAN LAW REGARDING CONSIDERATION

In England, a distinction is made between Formal Contracts and Simple Contracts. A Formal Contract is one which is (a) in writing or printed, (b) signed, (c) sealed, and (d) delivered to the other party. All other contracts are called Simple Contracts. Under English law, Formal Contracts do not require any consideration but Simple Contracts must be supported by some consideration. Formal Contracts are also called Contracts Under Seal and Specialty Contracts. Simple Contracts are also called Parole Contracts.

The differences between the English and the Indian law relating to consideration are enumerated below.

1. The Indian law of contract does not make any distinction between Formal Contracts and Simple Contracts. In India, excepting the few cases mentioned below, all contracts require consideration.

¹ (1881) 4 Mad. 137

2. Under English law past consideration is no consideration. Under Indian law past consideration is good consideration.

3. Under English law, consideration must move from the promisee. Under Indian law, it may move from the promisee or any other person.

4. The rules regarding "Devolution of Joint Rights and Liabilities" are different. See ch. 10 (Page 102).

PROMISE TO CHARITIES

A promise to make a contribution to charity is not enforceable because it is without consideration.

Example :

A person agreed to pay to a charitable society a percentage of the value of the goods imported by him. He then executed a *hatchitta* for the arrears of contribution to that charity. The Court held this was no more than a repetition of a voluntary promise and is not enforceable, *Jamuna v. Ram*.¹

In *Kedernath v. Gorie Mahomed*² the defendant promised to pay Rs 1,000 towards the construction of the Howrah Town Hall and the trustees of the Town Hall, on the basis of this and similar other promises, engaged contractors for building the hall. The defendant subsequently refused to pay the money and a suit was filed against him. The Calcutta High Court held that ordinarily subscriptions to charitable objects were not recoverable but if the promisors knew the purposes of the charity and also knew that on the strength of their promises obligations would be undertaken to third parties (the building contractors in this case) the promise is enforceable. This decision is contrary to English decisions on similar facts. In subsequent cases on this point in Indian courts, the Calcutta decision has not been followed.

In an Allahabad case, a person subscribed Rs. 500 to rebuild a mosque. It was held that the promise was without consideration and that the subscriber was not liable. *Abdul Aziz v. Masum Ali*.³

¹ 169 I.C. 396 (Privy Council) ² (1886) 14 Cal 64

³ (1914) 36 All. 268

“NO CONSIDERATION NO CONTRACT”— EXCEPTIONS TO THE RULE

Explanation

Consideration is essential for the validity of a contract. “A promise without consideration is a gift; one made for a consideration is a bargain”.—Salmond and Windfield, *Law of Contracts*.

A promise without consideration is a gratuitous undertaking and cannot create a legal obligation. Under Roman law an agreement without consideration was called a *nudum pactum* and was unenforceable. Under English law simple contracts must be supported by consideration but specially contracts require no consideration. Under Indian law the presence of consideration is, as a rule, essential to the validity of contracts.

Exceptions

There are exceptional cases where a contract is enforceable even though there is no consideration. They are as follows :

1. *Natural love and affection* : An agreement made without consideration is valid if, ‘it is expressed in writing and registered under the law for the time being in force for the registration of documents, and is made on account of natural love and affection between parties standing in a near relation to each other.’—Sec 25(1).

An agreement without consideration is valid under Section 25 (1) only if the following requirements are complied with :

- (i) The agreement is made by a written document.
- (ii) The document is registered according to the law relating to registration in force at the time.
- (iii) The agreement is made on account of natural love and affection.
- (iv) The parties to the agreement stand in a near relation to each other.

Examples :

- (i) A for natural love and affection, promises to give his son B, Rs. 1,000. A puts his promise to B in writing and registers it. This is a contract. [Illustration (b) to Section 25]
- (ii) An agreement entered into by a husband with his wife, during quarrels and disagreement, whereby the husband promised to give some property to the wife. The agreement is void because, under

the circumstances, there is no natural love and affection between the parties. *Rajlukhy Dehee v. Bhootnath*¹

2. *Voluntary Compensation* : A promise made without any consideration is valid if, "it is a promise to compensate wholly or in part, a person who has already voluntarily done something for the promisor, or something which the promisor was legally compellable to do."—Sec. 25(2).

Section 25(2) applies when there is a voluntary act by one party and there is a subsequent promise (by the party benefited) to pay compensation to the former. The term 'voluntarily' signifies that the act was done, "otherwise than at the desire of the promisor".

Examples :

- (i) *D* finds *B*'s purse and gives it to him. *B* promises to give *D* Rs. 50. This is a contract.
- (ii) *D* supports *B*'s infant son. *B* promises to pay *D*'s expenses in so doing. This is a contract.

3. *Time-barred debt* : A promise to pay, wholly or in part, a debt which is barred by the law of limitation can be enforced if the promise is in writing and is signed by the debtor or his authorised agent.—Sec. 25(3). A debt barred by limitation cannot be recovered. Therefore a promise to repay such a debt is, strictly speaking, without any consideration. But nevertheless such a promise can be enforced if the debtor or his authorised agent makes written and signed promise to repay it.

The debt must be a liquidated or ascertained sum of money and there must be a definite promise to pay. A mere acknowledgement of the debt is not enough.

Example :

D owes *B* Rs. 1000 but the debt is barred by the Limitation Act. *D* signs a written promise to pay *B* Rs. 500 on account of the debt. This is a contract.

4. *Agency* : No consideration is required to create an agency.—Sec. 185.

5. *Completed gift* : The rule "no consideration, no contract" does not apply to completed gifts. Explanation 1, to Section 25 states that, "Nothing in this section shall affect the validity as between the donor and the donee, of any gift actually made."

¹ (1900) C.W.N. 488

Thus, if a person gives certain properties to another according to the provisions of the Transfer of Property Act (*i.e.*, by a written and registered document) he cannot subsequently demand the property back on the ground that there was no consideration.

STRANGER TO CONTRACT : CAN A PERSON WHO IS NOT A PARTY TO A CONTRACT SUE UPON IT ?

Difference between the rights of a stranger to a contract and of a stranger to the consideration : A stranger to a contract, *i.e.*, one who is not a party to it, cannot file a suit to enforce it. A contract between *P* and *Q* cannot be enforced by *R*. Lord Haldane said that, "It was a fundamental principle of English law that only a person who is a party to a contract can sue on it and that the law knows nothing of a right gained by a third party arising out of a contract." *Dunlop Pneumatic Tyre Co. v. Selfridge & Co.*¹

But a stranger to the consideration can sue to enforce it provided he is a party to the contract. A contract between *P*, *Q* and *R* whereby *P* pays money to *Q* for delivering goods to *R* can be enforced by *R* although he did not pay any part of the consideration.

Exceptions

There are certain exceptions to the rule that a stranger to the contract cannot sue upon it. They are as follows :

1. *Beneficiaries in the case of trust* : An agreement to create a trust can be enforced by the beneficiary. *D* agrees to transfer certain properties to *T* to be held by *T* in trust for the benefit of *C*. *C* can enforce the agreement though he was not a party to the agreement.

2. *Provision of Marriage Settlement of Minor* : In *Khwaja Muhammad Khan v. Husaini Begum*², the father of the bridegroom had contracted with the father of the bride to make the daughter an allowance called *Kharchi-i-pandan* if she married the son. After the marriage the daughter sued her father-in-law to recover arrears of the allowance. The Privy Council held that though she was no party to the contract yet, "she was clearly entitled to proceed in equity to enforce her claim."

¹ (1915) A.C. 847

² (1910) 32 All. 410 (Privy Council)

3. *Assignee of a contract* : Under certain circumstances a party to a contract can transfer his rights under the contract to third parties. For example, the holder of a bill of exchange can transfer it to any person he wishes. In such cases the transferee or the assignee can sue on the contract even though he was not a party to it originally. Assignment may occur through operation of law. For example, when a person becomes insolvent, all his properties and rights vest in the Official Assignee who can sue upon contracts entered into by him.

4. *Family Settlement* : When family disputes are settled by mutual agreement and the terms of settlement are written down in a document, it is called a Family Settlement. Such agreements can be enforced by members of the family who were not originally parties to the settlement.

5. *Acknowledgement or Estoppel* : Where the promisor by his conduct, acknowledges himself as an agent of the third party, a binding obligation is thereby incurred towards him. Thus in *Khirode Behari Dull v. Man Govinda Pande* case (1933, 61 Cal 841, AIR 1934 Cal 682) the landlord was allowed to recover unpaid rent from the sub-tenant whereas under an agreement between a tenant and his sub-tenant the sub-tenant was paying the rent directly to the landlord.

Rights and Liabilities of a Stranger

With the exception of the above cases, a contract cannot confer rights upon a person who is not a party to it. Also, a contract cannot impose a *liability upon a person who is not a party to it*.

Examples :

- (i) *X* and *Y* entered into an agreement to pay a certain sum of money to their children *C* and *D* upon their marriage. The marriage took place. *X* died. *C* sued to recover the money from the executors of *X*. Held, he cannot sue. *Tweddle v. Atkinson*.¹
- (ii) *P* sold to *Q* some rubber with a condition that the goods were not to be resold below a certain price. *Q* sold the goods to *R* who was aware of the condition. *R* resold the goods below the stated price. Held, *P* cannot enforce the condition against *R* because there was no contract between *P* and *R*. *McGruther v. Pitcher*.²
- (iii) The managing director of a theatre gave instructions that no tickets were to be sold to *S*. Knowing this, *S* asked a friend to buy a ticket for

¹ (1861) 1 B & S 393

² (1904) 2 Ch. 306

him. With this ticket *S* went to the theatre but was refused admission. He filed a suit for damages for breach of contract. Held, no cause of action because there was no privity of contract between the plaintiff and the defendant. *S. Said v. Butt*.¹

EXERCISES

1. Define consideration. Critically discuss the essential elements of consideration. (Pages 35, 36-39)
2. "Past consideration is no consideration". Comment. (Para 1, page 36)
3. Define consideration and point out the differences between English law and Indian law in this respect. (Pages 35, 39-40)
4. "Insufficiency of consideration is immaterial; but an agreement without consideration is void." Explain. (Para 5, page 38)
5. State the circumstances in which a contract without consideration may be treated as valid. (Pages 41-43)
6. Discuss the rule that a stranger to a contract cannot sue on the contract and the exceptions to that rule. (Pages 43-44)
7. 'A stranger to the consideration may sue on a contract but not a stranger to the contract.' Explain. (Pages 43-44)
8. "A stranger to a contract cannot sue to enforce the contract." Discuss. (Pages 43-44)
9. (a) What do you mean by consideration? (Pages 35-36)
(b) Describe with examples the agreements which can be valid without consideration. (Pages 41-43)
10. Under what circumstances can a person who is not a party to contract sue upon it? (Pages 43-44)
11. (a) Define 'consideration' and analyse the elements of consideration. (Pages 35-39)
(b) State the case in which an agreement without consideration is valid. (Pages 41-43)
12. "An agreement without consideration is void unless it is in writing and registered." Explain. (Para 1, page 41)
13. (a) State the essential factors of consideration.
(b) *A* promises in writing to pay wholly an ascertained amount which is barred by limitation. Is this agreement valid? Justify your answer. {(a) Pages 36-39, (b) Para 3, page 30}
14. Objective questions. Give short answers. (2 marks)
(i) Give two examples of cases where a contract is enforceable though there is no consideration. (Pages 41-43)
(ii) Give two examples of exceptions of the rule that a stranger to the contract cannot sue upon it. (Pages 43-44)

¹ (1920) 3 K.B. 497

An agreement which does not satisfy the essential elements of a contract may be either void or voidable. The definitions of these terms are given below.

1. Void Agreement

“An agreement not enforceable by law is said to be void.”—Sec. 2(g). A void agreement has no legal effect. It confers no rights on any person and creates no obligations.

Examples of Void Agreement : An agreement made by a minor ; agreements without consideration (except the cases coming under Sec. 25, p. 42) ; certain agreements against public policy ; etc. [A list of such agreements is given in ch. 8]. These agreements are void *ab initio*, i.e., void from the beginning.

Agreements which become void : An agreement, which was legal and enforceable when it was entered into, may subsequently become void due to impossibility of performance, change of law or other reasons. When it becomes void the agreement ceases to have legal effect. [The rights and obligations of the parties in such cases are discussed in ch. 11]

There are certain agreements which are expressly declared to be void even though they may otherwise satisfy Sec. 10 of the Indian Contract Act. (i.e. would have been otherwise enforceable contracts). They are as follows :

1. Section 26 of the Contract Act provides that every agreement in restraint of the marriage of any person, other than a minor, is void.
2. Section 27 of the Act states that every agreement by which anyone is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void.
3. According to Section 28 of the Act Private individuals cannot by agreement alter or vary their personal law or the Statute law.
4. Section 29 implies that agreements, the meaning of which is not certain, or capable of being made certain, are void.
5. Section 30 of the Contract Act clearly states that agreements by way of wages are void.

6. Section 56(1) provides that agreements to do an act impossible in itself are void.
7. Section 24, 57 and 58 maintain that agreements whose objects or considerations are unlawful are void.

2. Voidable Agreement

A voidable agreement is one which can be avoided, *i.e.*, set aside by some of the parties to it. Until it is avoided, it is a good contract. "An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a voidable contract."—Sec. 2(i).

Examples of voidable contracts : Contracts brought about by coercion, undue influence, misrepresentation etc.

X coerces Y into entering into a contract for the sale of Y's house to X. This contract can be avoided by Y. X cannot enforce the contract. But Y, if he so desires, can enforce it against X.

Unenforceable Agreement

The term Unenforceable Agreement is used in English law. It means an agreement which cannot be enforced in a court of law, one or both of the parties, because of some technical defect, *e.g.*, want of registration or non-payment of the requisite stamp duty.¹

Illegal Agreement

An Illegal Agreement is one which is against a law in force in India. *Example* : an agreement to commit murder, robbery or cheating.

Distinction between a Void Agreement and an Illegal Agreement

An illegal agreement is also void. But a void agreement is not necessarily illegal. An agreement may not be contrary to law but may still be void. An agreement, the terms of which are uncertain, is void but such a contract is not illegal.

When an agreement is illegal, other agreements which are incidental or collateral to it are void. The reason underlying this rule is that the courts will not enforce any agreement entered into with the object of assisting or promoting an illegal transaction.

¹ Anson. *Law of Contract*, p. 8.

If the main agreement is void, (but not illegal) agreements which are incidental or collateral to it may be valid. (See examples of Wagering Agreement in ch. 8)

Examples :

- (i) *P* engages *B* to kill *C* and borrows Rs. 100 from *D* to pay *B*. Here the agreement with *B* is illegal. The agreement with *D* is collateral to it, if *D* is aware of the purpose of the loan. In this case the loan transaction is void and *D* cannot recover the money. But if *D* is not aware of the purpose of the loan, it may be argued that the loan transaction is not collateral to the other illegal agreement and is valid.
- (ii) *W* enters into a wagering agreement and borrows Rs. 100 for the purpose. The main agreement is void but the loan transaction being merely collateral to it is valid even though the creditor is aware of the purpose of the loan.

Valid Contract

An agreement which satisfies all the essential elements of a contract, and which is enforceable through the courts is called valid contract.

EXERCISES

1. Distinguish between void agreements and voidable contracts. (Page 46)
2. Explain the difference between a void and illegal transaction with reference to collateral transactions. Give illustrations for each. (Page 47)
3. Distinguish between : Void, voidable and unenforceable contract. What is a 'valid contract'? (Pages 46-47)
4. Problem : State whether the following agreement is a valid contract : *A* Promises to pay Rs 1,000 to *B* who is an intended witness in a suit against *A* in consideration of *B*'s absconding himself at the trial. (Page 47)
5. Give two examples of each of the following :
(a) Void agreement (b) Voidable agreement (c) Enforceable agreement. (Page 46)
6. State the void agreements under the Indian Contracts Act. (Page 46)

Definition of "Capacity"

One of the essential conditions for the validity of an agreement is that *all* the parties to it must have capacity to enter into contracts. Section 11 of the Contract Act states that "Every person is competent to contract who is of the age of majority according to the law to which he is subject, and who is of sound mind, and is not disqualified from contracting by any law to which he is subject."

From Section 11 it follows that a person is incapable of entering into contracts under the following circumstances :

- (i) if he has not attained the age of majority according to the law to which he is subject ;
- (ii) if he is not of sound mind (*i.e.*, if he is a lunatic or an idiot or suffering from a similar disability) ; and,
- (iii) if he is disqualified from contracting by any law to which he is subject.

Cases of Incapacity are discussed below.

MINORITY**Who is a minor ?**

(According to the Indian Majority Act, 1875, a minor is one who has not completed his or her 18th year of age.) So a person becomes a major after the completion of 18th year of life. To this rule there are two exceptions—(i) when a guardian of the minor's person or property is appointed by a court of law and (ii) when a minor's property is taken over by the Court of Wards¹ for management. In either cases minority continues up to the completion of the 21st year.²

¹ Under the Court of Wards Act, estates of incompetent persons like, minors or lunatics can be placed under the guardianship of the Court of Wards. The Board of Revenue may act as the Court of Wards.

² In England, since the Enforcement of Family Reforms Act of 1969, the age of minority continues up to the completion of 18th year.

Why should minors be protected ?

Minors are very often exploited, ill-treated and their properties stolen. Law provides that it is the duty of the Court to guard against their lack of knowledge and experience. The actions of the older persons aggravate ill-use of minors. In England the Crown is considered to be the guardian of the minors. For the reasons stated above the Court protects the minors in India.

The Law regarding Minor's Agreement

The law regarding agreements by minors may be summarised as follows :

1. Minor's Agreement is Void

An agreement by a minor is (subject to the exceptions noted under 2 and 3 below) absolutely void and inoperative. *Mohori Bibi v. Dharmodas Ghose*.¹ In this case a minor executed a mortgage for Rs. 20,000 and received Rs. 8000 from the mortgagee. He sued for setting aside the mortgage. The mortgagee wanted refund of the sum which he had actually paid ; viz. Rs. 8,000. The Privy Council held that an agreement by a minor was absolutely void and therefore the question of refunding the money did not arise. Had the agreement been only voidable, the benefit received would have been refundable under Sec. 64 or Sec. 65 of the Act [See end of ch. 11].

The decision of the Privy Council that an agreement by a minor is void, is based upon a strict interpretation of Section 11 of the Act. The reason underlying the rule is that a minor is supported to be incapable of judging what is good for him. His mental faculties are not mature and therefore the law protects him. With certain exceptions, promises made by a minor will not be enforced against him.

2. A minor can be a promisee

An agreement under which a minor has *received a benefit* can be enforced as against the other party. A minor in whose favour a mortgage has been executed can get a decree for the enforcement of the mortgage. *Raghavachariah v. Srinivas*.² Similarly a promissory note executed in favour of the minor can be enforced. Under English law, agreements for the infant's

¹ (1903) 30 I.A. 114 (Privy Council)

² 40 Mad. 308

education, service, or apprenticeship, and agreements which enable him to earn his living are binding unless they are detrimental to his interest.

Example :

D, an infant professional boxer, held a licence from the British Boxing Board under which his money was to be stopped if he was disqualified. *D* sued to recover it. Held, the contract was for his benefit and was binding on him. *Doyle v. White City Stadium*.¹

3. Minor's Liability for Necessaries

The minor's property is liable for the payment of a *reasonable price for necessities supplied* to the minor or to anyone whom the minor is bound to support.

What is a necessary article is to be determined from the status, and the social position of the minor. The price which the trader will get is reasonable price, not the price "agreed to" by the minor. Only the minor's property is liable. The minor is not personally liable.

Examples :

- (i) A trader supplies a minor with rice needed for his consumption. He can recover the price from the minor's property.
- (ii) *Inman*, an infant undergraduate in Cambridge bought eleven fancy waistcoats from *Nash*. He was at the time adequately provided with clothing. Held, the waistcoats were not necessary and the price could not be recovered. *Nash v. Inman*.²
- (iii) When a minor is engaged in trade, contracts entered into by him for trading purposes are not for necessities and are not binding on him.
- (iv) It has been held that reasonable expenses incurred for the following purposes are necessities—marriage of the minor; marriage of his sister; cost of defending a minor in civil and criminal proceedings; funeral ceremonies of the wife, husband or children of the minor; *sradh* ceremonies of the ancestors of the minor.

The case of necessities supplied to a minor is covered by Section 68 of the Contract Act which provides as follows: "If a person incapable of entering into a contract, or anyone whom he is legally bound to support, is supplied by another person with necessities suited to his condition of life, the person who has furnished such supplies is entitled to be reimbursed from the property of such incapable person." [See ch. 12]

¹ (1985) 1 K. B. 110

² (1908) 2 K.B. 1

So far as necessities are concerned, the minor's liability does not arise out of contract. Fletcher Moulton J. in *Nash v. Inman* observed as follows : "The basis of the action is hardly contract. Its real foundation is an obligation which the law imposes on the infant to make a fair payment in respect of needs satisfied." See example (ii) above.

What are "necessaries" ? What goods and services are "necessaries" for minors are determined by their status and social position. Necessaries include the following :

(1) *Goods* : Physical goods are necessary not only for bare existence and also for reasonable comforts and luxuries to which the minor concerned is habituated.

(2) *Services rendered* : A minor requires certain services for example a nurse for an infant, a teacher for him, the marriage expenses of a minor etc.

(3) *Loans* : If required the minor can incur loans for his necessities.

4. Law regarding Compensation or Restitution

A minor cannot be compelled to compensate for or refund any benefit which he has received under a void agreement because Sections 64 and 65 of the Act do not apply to such cases. [See ch. 11]

But it has been held in a number of cases that the court may, on cancelling an instrument at the instance of a minor, require the minor to make compensation to the other party. The court's power, to do so, is given by Section 41 of the Specific Relief Act of 1877 which is as follows : "On adjudging the cancellation of an instrument the court may require the party to whom such relief is granted to make any compensation to the other which justice may require." Section 38 of the Specific Act provides in similar terms for cases where a contract is rescinded.

Example :

A minor sells a house for Rs. 10,000. Later he files a suit to set aside the sale on the ground of minority. He *may* be directed to refund the purchase-money received by him.

5. No Estoppel

A minor who falsely represents himself to be a major, and thereby induces another person to enter into an agreement with

him, can nevertheless *plead minority as a defence* in an action on the agreement. There can be no estoppel against a minor. *Sadik Ali Khan v. Jaikishore*.¹ In the English case, *R. Leslie Ltd. v. Shell*,² the Court of Appeal held that where an infant obtains a loan by falsely representing his age, he cannot be made to pay the amount of the loan as damages for fraud, nor can he be compelled in equity to repay the money. But in India it has been held that the court can direct the minor to pay compensation to the other party in such cases. *Khan Gul v. Lakha Singh*.³

[*The Principle of Estoppel* : The Principle of estoppel is a rule of evidence. When a man has, by words spoken or written, or by conduct, induced another to believe that a certain state of things exists, he will not be allowed to deny the existence of that state of things. "Estoppel arises when you are precluded from denying the truth of anything which you have represented as a fact, although it is not a fact." (Lord Halsbury)]

6. No Ratification

A minor on attaining majority *cannot ratify* an agreement entered into while he was a minor. The reason is that a void agreement cannot be validated by any subsequent action and a minor's agreement is void *ab initio*. *Mahendra v. Kailash*.⁴

7. No specific performance

An agreement by a minor being void, the court will never direct *specific performance* of such an agreement by him.

8. No insolvency

A minor cannot be declared insolvent even though there are dues payable from the properties of the minor.

9. Partnership by minor

A minor cannot enter into a contract of partnership. But he can be admitted into the benefits of a partnership with the consent of all the partners. [See under Partnership. Book III. ch. 2]

10. A minor can be an agent

A minor can draw, make, indorse, and deliver negotiable instruments so as to bind all parties except himself. *A minor cannot be adjudicated an insolvent*. When a minor and a major

¹ AIR (1928) P. C. 152 (Privy Council)

² (1914) 3. K.B. 607

³ (1928) 9 Lah. 701

⁴ 55 Cal 841

jointly enter into an agreement with another person, the minor has no liability but the contract can be enforced against the major if his liability can be separately ascertained. If an adult stands surety for a minor, the adult is liable on the agreement although the minor is not.

11. Position of minor's guardian

An agreement entered into by the guardian of a minor on his behalf stands on a different footing from an agreement entered into by the minor himself. An agreement by a minor is void but an agreement by his guardian on his behalf is valid provided the obligations undertaken are within the powers of the guardian. The powers of a guardian are determined by the personal law of the minor and by the Guardian and Wards Act. An agreement made by the guardian is binding on the minor if it is for the benefit of the minor or is for legal necessity.

12. A company shares of a minor

A minor cannot apply for and be a member of a company. If a minor has, by mistake, been recorded as a member, the company can rescind the transaction and remove the name from the register. The minor can also repudiate the transaction and get his name removed, from the register. But where a minor was made a member and, after attaining majority, he received and accepted dividends, he will be estopped from denying that he is a member. *Fazalbhoy v. The Credit Bank of India*.¹

PERSONS OF UNSOUND MIND

Definition of "Sound mind"

For a valid agreement it is necessary that each party to it should have a sound mind. What is a "sound mind" for the purpose of contracting, is laid down in Section 12 of the Indian Contract Act.

Section 12 : "A person is said to be of sound mind for the purpose of making a contract if, at the time when he makes it, he is capable of understanding it and of forming a rational judgment as to its effect upon his interests.

¹ 39 Bom. 331

A person who is usually of unsound mind, but occasionally of sound mind may make a contract when he is of sound mind.

A person who is usually of sound mind, but occasionally of unsound mind may make a contract when he is of sound mind.

A person who is usually of sound mind, but occasionally of unsound mind, may not make a contract when he is of unsound mind."

“Illustrations :

(a) A patient in lunatic asylum, who is at intervals of sound mind, may make a contract during these intervals.

(b) A sane man who is delirious from fever, or who is so drunk that he cannot understand the terms of a contract, or form a rational judgment as to its effect on his interests, cannot contract whilst such delirium of drunkenness lasts."

The test of soundness of mind is (i) capacity to understand the business concerned and (ii) ability to form a rational judgment as to its effect on a person's interest.

Unsoundness of mind may arise from—insanity or lunacy ; idiocy ; drunkenness and similar factors. A person under the influence of hypnotism is temporarily of unsound mind. Mental decay brought about by old age or disease also comes within the definition.

In each case it is a question of fact to be decided by the court whether the party to the contract was of sound mind or not. There being a presumption in favour of sanity, the person who relies on unsoundness of mind must prove it sufficiently to satisfy the court.

Idiocy

The term idiot is applied to a person whose mental powers are completely absent. Idiocy is a congenital defect caused by lack of development of the brain.

Lunacy or Insanity

This is a disease of the brain. A lunatic is one whose mental powers are deranged so that he cannot form a rational judgment on any subject. Lunacy can sometimes be cured. Idiocy is incurable.

Drunkenness

Drunkenness produces temporary incapacity. The mental faculties are clouded for a time, so that no rational judgment can be formed.

Effects of Agreements made by Persons of Unsound Mind

Agreements by persons of unsound mind are void. But an agreement entered into by a lunatic or a person of unsound mind for the supply of necessities for himself or for persons whom he is bound to support (e.g., his wife or children) is valid as a quasi-contract under Section 68 of the Act. Only the estate of such a person is liable. There is no personal liability. (See ch. 12)

The guardian of a lunatic can bind the estate of the lunatic by contracts entered into on his behalf. The mode of appointment of such a guardian and his powers are laid down in the Lunacy Act.

Examples :

- (i) A person 'agreed' to sell a property worth about Rs. 25,000 for Rs. 7,000. His mother proved that he was a congenital idiot and she pleaded for cancellation of the contract. The court held the agreement to be null and void. *Inder Singh v. Parmeshwardhari Singh*.¹
- (ii) If an agreement entered into by a person of unsound mind is for his benefit, it can be enforced. *Jugal Kishore v. Cheddu*.²

DISQUALIFIED PERSONS.

Aliens

An alien means a citizen of a foreign state. Contracts with aliens are valid. An alien living in India is free to enter into contracts with citizens of India. But the state may impose restrictions. Certain types of transactions with aliens may be prohibited. A contract with an alien becomes unenforceable if war breaks out with the country of which the alien concerned is a citizen. (Outbreak of War—see ch. 11)

Foreign sovereigns

Foreign sovereigns or governments cannot be used unless they voluntarily submit to the jurisdiction of the local court. *Mighell v. Sultan of Johore*.³

¹ AIR (1957) Pat 491

² (1903) All. L. J. 43

³ (1894) 1 Q. B. 149

Foreign sovereigns and governments can enter into contracts through agents residing in India. In such cases the agent becomes personally responsible for the performance of the contracts. (See under Agency, ch. 15)

Company and Corporation

See, "Contractual powers of Company and Corporation". Ch. 2, Book XI (Company Law).

Professional Persons

In England barristers are prohibited by the etiquette of their profession from suing for their fees. So also are members of the Royal College of Physicians. But they can sue and be sued for all claims other than their professional fees. For example, if a barrister or a member of the Royal College of Physicians engages a contractor of building a house he can sue for the enforcement of the contract.

In India these personal disqualifications do not exist. It has been held in *Nihal Chand v. Dilwar Khan*,¹ that a barrister can sue for his fees in India. A barrister, before he can practice in India, must be enrolled as an advocate under the Bar Council's Act of 1927 and the Advocates Act of 1961 and his legal status comes from such enrolment. An Advocate can realize his fees by a suit. *Gosta Behari Roy v. P. C. Gosh & Co.*² In India there is no restriction upon doctors as regards suing for their fees.

Women

In India there is no difference between men and women as regards contractual capacity. A woman (married or single) can enter into contracts and deal with her properties in any way she likes provided she is a major and does not suffer from any disability like lunacy or idiocy.

A married woman can bind her husband's properties for necessities supplied to her. She is an agent of her husband for this purpose. (See under Agency, ch. 15)

EXERCISES

1. What do you understand by capacity to contract? What is the effect of any agreement made by persons not qualified to contract?

(Pages 49-54)

¹ All. 570 (Full Bench)

² (1973) 77 C.W.N. 216

2. Who are competent to contract under the Indian Law of Contract? What is the legal effect if one of the parties to the contract is a minor? (Pages 49-54)
3. What is the minor's position in the law of contract? What is the leading case on the point? (Pages 50-54)
4. (a) What do you mean by capacity to enter into contract? (Page 49)
(b) *A*, trader, supplies *B*, a minor, with rice needed for his consumption. *B*, refuses to pay the price. Can *A* recover the Price? (Pages 50-51)
5. What is the effect of agreements entered into by persons of unsound mind? (Pages 54-55)
6. Write a note on the contractual capacity of Aliens; Foreign Sovereigns; Women. (Pages 54-56)
7. Objective questions. Give short answers.
 - (i) Who is a minor? (Page 49)
 - (ii) What do you understand by 'necessaries' supplied to a minor? (Para 3, pages 50-51)
 - (iii) Who is a Lunatic? (Page 55)

Definition of "Free Consent"

An agreement is valid only when it is the result of the "free consent" of all the parties to it. Section 13 of the Act defines the meaning of the term 'consent' and Section 14 specifies under what circumstances consent is 'free'.

Section 13 : "Two or more persons are said to consent when they agree upon the same thing in the same sense."

Consent involves a union of the wills and an accord in the minds of the parties. When the parties agree upon the same thing in the same sense, they have *consensus ad item*. For a valid contract the parties must be *ad idem*.

Section 14 : This section lays down that consent is *not free* if it is caused by (1) coercion, (2) undue influence, (3) fraud, (4) misrepresentation, or (5) mistake.

The definition of coercion, etc., and their effects on the formation of a contract are explained below.

COERCION**Definition**

Coercion is defined by Section 15 of the Act as follows : "Coercion is the committing or threatening to commit, any act forbidden by the Indian Penal Code, or unlawful detaining, or threatening to detain, any property, to the prejudice of any person whatever with the intention of causing any person to enter into an agreement.

Explanation—It is immaterial whether the Indian Penal Code is or is not in force in the place where the coercion is employed."

Features or Requisites

The provisions of Section 15 can be analysed as follows :

1. Coercion means (i) committing or threatening to commit an act forbidden by the Indian Penal Code, or (ii) the unlawful detaining or threatening to detain any property.

2. The act, constituting coercion, must be directed at *any* person and not necessarily at the other party to the agreement.

3. The act, constituting coercion, must have been done or threatened with the intention of causing any person to enter into an agreement.

4. It does not matter whether the Indian Penal Code is or is not in force in the place where the coercion is employed.

Examples :

- (i) *P* threatens to shoot *Q* if he does not let out his house to *P*, and *Q* agrees to do so. The agreement has been brought about by coercion.
- (ii) *P* threatens to shoot *Q* if *R* does not let out his house to *P* and *R* agrees to do so. The agreement has been brought about by coercion.
- (iii) An agent appointed by a person refused to hand over the book of account of the principal unless the principal released him from all liabilities concerning past transactions. The principal gave a release as demanded. Held, the release was obtained by coercion and was not binding. *Muthia v. Karuppan*.¹
- (iv) A girl of 13 was made to agree to adopt a boy by her husband's relative who prevented the removal of the dead body of her husband until she consented to the adoption. Held, the agreement to adopt was not binding. *Ranganayakamma v. Alwarsetti*.²
- (v) *A*, on board an English ship on the high seas ; causes *B* to enter into an agreement by an act amounting to criminal intimidation under the Indian Penal Code. *A* afterwards sues *B* for breach of contract at Calcutta. *A* has employed coercion although his act is not an offence by the law of England and although the Indian Penal Code was not in force at the time when or the place where the act was done.

Consequences of Coercion

A contract brought about by coercion is voidable at the option of the party whose consent was so caused.—Sec. 19. The aggrieved party can have the contract set aside or he can refuse to perform it and take the defence of coercion if the other party sought to enforce it. The aggrieved party may, if he so desires, abide by the contract and insist on its performance by the other party.

Special Cases—

1. Prosecution

A threat to prosecute a man or to file a suit against him does not constitute coercion because it is not forbidden by the

¹ (1927) 50 Mad. 786

² (1889) 13 Mad. 214

Indian Penal Code. Compulsion of law is not coercion, undue influence, fraud, misrepresentation or mistake. *Andhra Sugars Ltd. v. State of A. P.*¹

2. High prices and high interest rates

It is not coercion to charge high prices or high interest rates because such acts are not forbidden by the Indian Penal Code.

3. A threat to commit suicide

Consent to an agreement may be obtained by threatening to commit suicide e.g., by a fast to death. The Madras High Court has held that this amounts to coercion. *Amiraju v. Seshamma*.² It was however, argued by Oldfield J, one of the judges of the Bench which decided this case, that Section 15 must be constructed strictly and that an act which is not punishable under the Indian Penal Code cannot be said to be "forbidden" by it. Suicide is not punishable by the Indian Penal Code; only the attempt to commit suicide is punishable. Therefore, suicide is not a crime and the threat to commit suicide is not coercion.

Duress

The term duress is used in English law to denote threats over the person or another with a view to obtain the consent of a party to an agreement. The scope of the term coercion is wider because it includes threats over property.

UNDUE INFLUENCE

Definition

A contract is said to be induced by undue influence where (i) one of the parties is in a position *to dominate the will of the other* and (ii) he uses the position to obtain *an unfair advantage* over the other.—Sec. 16 (1).

Presumptions

Section 16 (2) provides that undue influence *may be presumed to exist* in the following cases :

1. Where one party holds a real or apparent authority over the other or where he stands in a fiduciary relationship to the

¹ AIR (1968) Supreme Court 599

² (1917) 41 Mad. 33

other. Fiduciary relationship means a relationship of mutual trust and confidence. Such a relationship is supposed to exist in the following cases—father and son ; guardian and ward ; solicitor and client ; doctor and patient ; preceptor and disciple ; trustee and beneficiary etc.

2. Where a party makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness or mental or bodily distress.

Examples :

- (i) *F* having advanced money to his son *B* during his minority, upon *B*'s coming of age obtains by misuse of parental influence, a bond from *B* for a greater amount than the sum advanced. *F* employs undue influence.
- (ii) *P*, a man enfeebled by disease or age, is induced by *B*'s influence over him as his medical attendant to agree to pay *B* an unreasonable sum for his professional services. *B* employs undue influence.
- (iii) A Malay woman of great age and wholly illiterate made a gift of almost the whole of her property to her nephew who was managing her estates. The gift was set aside on the ground of undue influence.

*Inche Noriah v. Shaik Omar.*¹

Consequences of Undue Influence

An agreement induced by undue influence is voidable at the option of the party whose consent was so caused. Such an agreement may be set aside absolutely or, if the party who was entitled to avoid it has received any benefit thereunder, the court can set it aside upon such terms and conditions as may seem just.—Sec. 19A. The aggrieved party may, if he desires, treat the agreement as binding and enforce it against the other party.

According to the Madras High Court undue influence by a person, *who is not a party to the contract*, may make the contract voidable.

Burden of Proof

If a party is proved to be in a position to dominate the will of another and if it appears that the transaction is an unconscionable one, the burden of proving that the contract was not induced by undue influence, lies on the party who was in a position to dominate the will of the other.—Sec. 16 (3).

¹ (1929) A.C. 127

The existence of the power to dominate the will of another may be presumed to exist under the circumstances mentioned in Section 16 (2). [See para 2, above]

It has been held by judicial decisions that the existence of a power to dominate the will of another *cannot be presumed* in the case of landlord and tenant, and creditor and debtor. There is no presumption of undue influence between husband and wife. *Mackenzie v. Royal Bank of Canada*.¹ In these cases the party alleging undue influence must prove that undue influence existed.

Lack of judgment, want of prudence, lack of knowledge of facts, or absence of foresight are generally not, by themselves, sufficient reasons for setting aside a contract. Undue influence cannot be presumed merely from the existence of any of the aforesaid defects in a party. *Allcard v. Skinner*.²

Rebuttal

An allegation of undue influence may be answered or rebutted if the following facts were proved : (a) the injured person had independent advice ; (b) all material facts were disclosed ; and (c) the consideration was adequate.

When suspected

Undue influence is *suspected* in the following cases :

- (i) Inadequacy of consideration.
- (ii) Fiduciary relationship between the parties.
- (iii) Inequality between the parties as regards age, intelligence, social status, etc.
- (iv) Absence of independent advisors for the weaker party.
- (v) Unconscionable bargains. *Unconscionable bargain* is one which is against the conscience of reasonable persons and what shocks the public. If excessive profit is made it will also be within this term.

High rates of interest

It is usual for moneylenders to charge high rates of interest from needy borrowers. Can the court presume the existence of undue influence in such cases ?

Illustration (d) of Section 16, Contract Act is as follows :
 "A applies to a banker for a loan at a time when there is

¹ (1934) A. C. 468

² (1887) 36 Ch. D. 145

stringency in the money market. The banker declines to make the loan except at an unusually high rate of interest. *A* accepts the loan on these terms. This is a transaction in the ordinary course of business and the contract is not induced by undue influence."

So a transaction will not be set aside merely because the rate of interest is high. But if the rate is so high that the court considers it unconscionable, the burden of proving that there was no undue influence lies on the creditor. This is made clear by illustration (c) of Section 16 which is as follows : "*A*, being in debt to *B*, the moneylender of his village, contracts a fresh loan on terms which appear to be unconscionable. It lies on *B* to prove that the contract was not induced by undue influence."

In India, in most of the States, there are Money Lenders Acts which lay down the maximum rates of interest which can be charged. Also, under the Usurious Loans Act of 1918, the court has discretionary power to reduce rates of interest whenever they appear to be unconscionable.

Mental Distress

A poor Hindu widow was badly in need of money for her maintenance. A money-lender availed of the opportunity of her predicament and persuaded her to make an agreement to pay 100% interest. The court reduced the interest. *Raghunath Prasad v. Sarju Prasad*.¹

High Prices

As regards high prices the general opinion is that if a trader puts his prices up during scarcity and a buyer agrees to pay such high prices, it is a transaction in the ordinary course of business and is *not* a case of undue influence. In certain cases high prices may amount to profiteering and blackmarketing. They are criminal offences.

Pardanishin Woman

Women, who observe the custom of *Parda*, i.e., seclusion from contact with people outside her own family, are peculiarly susceptible to undue influence. Therefore, Indian courts have held that a contract made by or with a *pardanishin* lady may be set

¹ AIR (1924) Privy Council 60

aside by her unless the other party to the contract satisfies the court that the terms of the contract were fully explained to her and that she understood their implications.

Difference between Undue Influence and Coercion

In both undue influence and coercion, one party is under the influence of another. (1) In coercion the influence arises from committing or threatening to commit an offence punishable under the Indian Penal Code or detaining or threatening to detain property unlawfully. In undue influence, the influence arises from the domination of the will of one person over another. (2) Cases of coercion are mostly cases of the use of physical force while in undue influence there is mental pressure.

MISREPRESENTATION

Representation is a statement or assertion, made by one party to the other, before or at the time of the contract, regarding some fact relating to it. **Misrepresentation** arises when the representation made is inaccurate but the inaccuracy is not due to any desire to defraud the other party. There is no intention to deceive.

Section 18 of the Contract Act classifies cases of misrepresentation into three groups as follows :

1. Unwarranted Assertion

"The positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true."

Example :

A says to B who intends to purchase A's land : "My land produces 12 maunds of rice per bigha." A believes the statement to be true although he did not have sufficient grounds for the belief. Later on it transpires that the land does not produce 12 maunds of rice. This is misrepresentation.

2. Breach of Duty

"Any breach of duty which, without an intent to deceive, gains an advantage to the persons committing it, or anyone claiming under him, by misleading another to his prejudice or to the prejudice of anyone claiming under him." Under this

heading would fall cases where a party is under a duty to disclose certain facts and does not do so and thereby misleads the other party. In English law such cases are known as cases of "constructive fraud."

3. Innocent Mistake

"Causing, however innocently, a party to an agreement to make a mistake as to the substance of the thing which is the subject of the agreement."

Consequences of Misrepresentation

In cases of misrepresentation the aggrieved party can :

- (i) avoid the agreement, or
- (ii) insist that the contract be performed and that he shall be put in the position in which he would have been if the representation made had been true.

But if the party whose consent was caused by misrepresentation had the means of discovering the truth with ordinary diligence, he has no remedy.—Sec. 19.

"Ordinary diligence" means such diligence as a reasonably prudent man would consider necessary, having regard to the nature of the transaction.

Example :

A. by a misrepresentation leads *B* erroneously to believe that five hundred maunds of indigo are made annually at *A's* factory. *B* examines the accounts of the factory, which show that only four hundred maunds of indigo have been made. After this *B* buys the factory. The contract is not avoided by *A's* misrepresentation.

FRAUD

Definition

The term "fraud" includes all acts committed by a person with a view to deceive another person. "To deceive" means to "induce a man to believe that a thing is true which is false."

Section 17 of the Contract Act states that "Fraud" means and includes any of the following acts :

1. False Statement

"The suggestion as to a fact, of that which is not true by one who does not believe it to be true." A false statement intentionally made is fraud.

2. Active Concealment

"The active concealment of a fact by one having knowledge or belief of the fact." Mere non-disclosure is not fraud where the party is not under any duty to disclose all facts. (See below). But *active concealment* is fraud.

Examples :

- (i) *B*, having discovered a vein of ore on the estate of *A*, *adopts means to conceal, and does conceal*, the existence of the ore from *A*. Through *A*'s ignorance *B* is enabled to buy the estate at an undervalue. The contract is voidable at the option of *A*.—(Illustration (b) to Sec 19).
- (ii) *A* sells by auction to *B* a horse which *A* knows to be unsound, *A* says nothing to *B* about the horse's unsoundness. This is not fraud because *A* is under no duty to disclose the fact to *B*. But if between *B* and *A* there is a fiduciary relationship (for example if *B* is *A*'s daughter) there arises the duty to disclose and non-disclosure amounts to fraud.

3. Intentional non-performance

"A promise made without any intention of performing it."

Example—purchase of goods without any intention of paying for them.

4. Deception

"Any other act fitted to deceive."

5. Fraudulent act or omission

"Any such act or omission as the law specially declares to be fraudulent." This clause refers to provisions in certain Acts which make it obligatory to disclose relevant facts. Thus, under Section 55 of the Transfer of Property Act, the seller of immovable property is bound to disclose to the buyer all material defects. Failure to do so amounts to fraud.

Comment

To constitute fraud, the act complained of must be brought within any of the five above-mentioned categories.

It is to be noted that mere commendation or praising of one's own goods is not fraud. Traders and manufacturers are inclined to speak optimistically of their products, e.g., "X products are the best in the market" or a soap powder which 'washes whiter than white'. Such statements do not amount to fraud, unless a clear intention to deceive is proved.

Can Silence be Fraudulent ?

"Mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud, unless the circumstances of the case are such that, regard being had to them, it is the duty of the person keeping silence to speak, or unless his silence is, in itself equivalent to speech."—Explanation to Sec. 17.

From the above, the following rules can be deduced :

1. The general rule is that mere silence is not fraud.

Examples :

- (i) *A* and *B* being traders enter upon a contract. *A* has private information of a change in price which would affect *B*'s willingness to proceed with the contract. *A* is not bound to inform *B*.
- (ii) *H* sold to *W* some pigs which were to his knowledge suffering from swinefever. The pigs were sold "with all faults" and *H* did not disclose the fever to *W*. Held, there was no fraud. *Ward v. Hobbs*.¹

2. Silence is fraudulent, "if the circumstances of the case are such that, regard being had to them, it is the duty of the person keeping silence to speak." The duty to speak, *i.e.*, disclose all facts, exists where there is a fiduciary relationship between the parties (father and son ; guardian and ward, etc.). The duty to disclose may also be an obligation imposed by statute. (*Example*—Sec. 55 of the Transfer of Property Act). There is also a duty of making full disclosure in contracts of insurance. Whenever there is a duty to disclose, failure to do so amounts to fraud.

3. Silence is fraudulent where the circumstances are such that, "silence is in itself equivalent to speech".

Example :

B says to *A*, "If you do not deny it, I shall assume that the horse is sound." *A* says nothing. Here *A*'s silence is equivalent to speech. If the horse is unsound *A*'s silence is fraudulent.

Consequences of Fraud

A party who has been induced to enter into an agreement by fraud has the following remedies open to him—Sec 19.

1. He can avoid the performance of the contract.

¹ (1878) 4 A. C. 13

2. He can insist that the contract shall be performed and that he shall be put in the position in which he would have been if the representation made had been true.

Example :

A fraudulently informs B that A's estate is free from encumbrance. B thereupon buys the estate. The estate is subject to a mortgage. B may avoid the contract or may insist on its being carried out and the mortgage debt repaid by A.

3. The aggrieved party can sue for damages. Fraud is a civil wrong or Tort ; hence compensation is payable.

Conditions

Relief for fraud can be obtained only if the following conditions are satisfied.

1. The act must have been committed by a party to a contract or with his connivance or by his agent.

2. The act must have been done with the intention to deceive and must actually deceive. A deceit which does not deceive gives no ground of action.

3. The consent of the party was obtained by the act complained of. A fraudulent act which did not cause the consent to a contract of the party on whom such fraud was practised, does not make the contract voidable.

4. In cases of fraudulent silence, the contract is not voidable if the party whose consent was so caused had the means of discovering the truth ordinary diligence.

5. The remedy of rescinding the agreement is not available in cases of approbation (*i.e.*, acceptance of the agreement) and laches or undue delay in taking action.

DISTINCTION BETWEEN FRAUD AND MISREPRESENTATION

1. *Different Intention* : In misrepresentation there is no intention to deceive. Fraud implies an intention to deceive.

2. *Different Belief* : The difference between misrepresentation and fraud depends on the belief of the person making the statement. If the statement is honest, even though it was wrong, there is only misrepresentation. If the statement is dishonest it is a case of fraud.

3. *Different Rights* : In case of fraud the party aggrieved can rescind the contract (i.e., the contract is voidable at his option). He can also sue for damages. In case of misrepresentation the only remedy is rescission. There can be no suit for damages.

4. *Different Defence* : In case of misrepresentation if the circumstances were such that the aggrieved party might have discovered the truth with ordinary diligence, the contract cannot be avoided. The same is the case where there is fraudulent silence. But in other cases of fraud this is no defence. Even if there were independent sources of discovering the truth which were not availed of, the aggrieved party can rescind the contract and/or file a suit for damages.

CONTRACTS UBERRIMAE FIDEI

Definition

Uberrimae fidei contracts are contracts where law imposes upon the parties the duty of making a full disclosure of all material facts. In such contracts, if one of the parties has any information concerning the subject matter of the transaction which is likely to affect the willingness of the other party to enter into the transaction, he is bound to disclose the information.

Examples

The following contracts come within the class of *uberrimae fidei* contracts.

1. *Contracts of insurance* : The assured must disclose to the insurer all material facts concerning the risk to be undertaken. Upon failure to do so, the contract may be avoided. *London Assurance Co. v. Mansel*.¹

2. *Fiduciary relationship* : Contracts in which parties stand in a fiduciary relation to each other, e.g., contracts between solicitor and client, father and son, etc.

3. *Contracts for the Sale of Immovable Property* : Under Section 55(1) (a) of the Transfer of Property Act, the seller is bound "to disclose to the buyer any material defect in the property or in the seller's title thereto of which the seller is, and the buyer is not, aware, and which the buyer could not with ordinary care discover."

¹ (1879) 11 Ch. D. 363

4. *Allotment of shares of companies* : Persons who issue the prospectus of a company have the duty of disclosing all information regarding the company with strict accuracy. (See under Company Law, ch. 3).

5. *Family Settlements* : When family disputes are settled by mutual agreement, each party is bound to disclose any information possessed by him regarding the value of family properties.

MISTAKE

Definition

Mistake may be defined as an erroneous belief concerning something. Consent cannot be said to be "free" when an agreement is entered into under a mistake. An agreement is valid as a contract only when the parties agree upon the same thing in the same sense.

Classification

Mistakes may be (i) mistake of law and (ii) mistake of fact. Mistake of law may again be (a) mistake as to a law in force in India and (b) mistake as to a law not in force in India.

Mistake may be Bilateral or Unilateral. Bilateral mistakes arise when both the parties of the contract make mistakes e.g., regarding the existence of the things or the nature of the transaction. Unilateral mistake arises from one of the parties of the contract. As a rule unilateral mistake does not make one avoid an agreement. But there are cases where such agreement can be avoided. For example in an agreement where there is no consent (see below).

Rules

The Indian Contract Act lays down the following rules regarding mistakes :

1. Mistake of Law

Mistake on a point of Indian law does not affect the contract. Mistake on a point of law in force in a foreign country is to be treated as mistake of fact. A and B make a contract grounded on the erroneous belief that a particular debt is barred by the Indian law of limitation. This is a valid contract. The reason is that every man is presumed to know the law of his own country

and if he does not he must suffer the consequences of such lack of knowledge. But if in the above case, the mistake is related to the law of limitation of a foreign country, the agreement could have been avoided.—Sec. 21.

2. Mistake of fact

An agreement induced by a mistake of fact is void provided the following conditions are fulfilled.—Sec. 20.

- (i) Both the parties to the agreement are mistaken.
- (ii) The mistake is as to a fact essential to the agreement.

Examples :

- (i) *P* agrees to sell to *Q* a specific cargo supposed to be on its way from England to Bombay. It turns out that before the day of the bargain the ship conveying the cargo has been cast away and the goods lost. Neither party was aware of the fact. The agreement is void.
- (ii) *M* agrees to buy from *N* a certain horse. It turns out that the horse was dead at the time of the bargain though neither party was aware of the fact. The agreement is void.
- (iii) *A*, being entitled to an estate for the life of *B*, agrees to sell it to *C*. *B* was dead at the time of the agreement, but, both parties were ignorant of the fact. The agreement is void.
- (iv) *W* offered to purchase certain plots of land belonging to *C* at £2,000. *C* rejected the offer. Later on *C* wrote a letter offering to sell the plots to *W* for "£1,200". His real intention was to make an offer for "£2,100". *W* accepted the offer as made. Held, *W*, was not entitled to enforce the contract, as he knew that the "offer" was made by *C* under mistake. *Webster v. Cecil*.¹

3. Opinion

"An erroneous opinion as to the value of the thing which forms the subject-matter of the agreement is not to be deemed a mistake as to a matter of fact."—Explanation to Sec. 20.

Example :

X buys an article thinking that it is worth Rs. 100 while it is actually worth Rs. 50. The agreement cannot be avoided on the ground of mistake.

4. Unilateral Mistake

Section 22 provides that, "A contract is not voidable merely because it was caused by one of the parties to it being under

¹ (1861) 30 Beav. 62

a mistake as to matter of fact." A mistake by one of the parties (Unilateral Mistake) does not generally affect the validity of a contract.

Example :

H contracted with the *N* Corporation to build a number of houses. In calculating the cost of the houses *H* by mistake deducted a particular sum twice over and submitted his estimates accordingly. The Corporation agreed to the figures which were naturally lower than actual cost. Held, the agreement was binding as it stood when the Corporation affixed its seal to it, even though it was based upon erroneous estimates. *Higgins Ltd. v. Northampton Corporation*.¹

But if the mistake is of such a nature as to prevent the existence of free consent, the agreement is void, even though the mistake is unilateral. (See below)

Mistake and Consent

Section 10 of the Act provides that an agreement is valid if it is the result of the free consent of the parties. Section 13 of the Act lays down that two or more persons are said to consent when they agree upon the same thing in the same sense. A mistake may prevent the formation of a real agreement "upon the same thing in the same sense". When one or more of the parties to an agreement suffer from a fundamental error and the consent (apparently given) is not really there, the agreement is void.

A fundamental error, which precludes consent, is sometimes the result of fraud. But fraud is not the necessary or decisive element. An error may arise without the fault of any of the parties to the agreement. Whenever any fundamental error exists, the agreement is void.

Examples of Mistake

Some typical cases of mistake invalidating an agreement are given below.

(a) *Mistakes as to identity of the person contracted with, where such identity is essential to the contract.*

Examples :

- (i) *Blenkarn*, by limiting the signature of reputable firm called *Blenkiron & Co.*, induced another firm *Y* to supply goods to him

¹ (1927) 1 Ch. D. 128

on credit. The goods were then sold to *X*. Held, there was no contract between *Blenkarn* and *Y*, because *Y* never intended to supply *Blenkarn*. Therefore *X* obtained no title to the goods. Because the goods were given on credit the question of identity was essential to the agreement. *Cundy v. Lindsay*.¹

- (ii) A jeweller was insured with a company against loss by theft, with the exception of jewellery 'entrusted to a customer'. A woman, posing as the wife of a wealthy customer, made a few purchases from the jeweller to inspire confidence, and then was allowed to take away two pearl necklets of high value 'on approval' for her supposed husband. She made away with the necklets. The House of Lords held that the loss was covered by the insurance. *Lake v. Simmons*.²

The question of identity must be an essential element of the contract. Where the identity of the party contracted with is immaterial, mistakes as to identity will not avoid a contract. Thus if *X* goes to a shop, introduces himself as *Y* and purchases some goods for cash, the contract valid unless it can be shown that the shopkeeper would not have sold the goods to *X* had he knew that he was not *Y*.

(b) *Mutual mistakes as to the existence of a thing* : All the examples given in the Contract Act under Section 20 come within this category. They have been reproduced above. (Page 71).

(c) *Mutual mistake about the identity or quantity of a thing*.

Examples :

- (i) *X* agreed to buy from *Y* 125 bales of Surat cotton "to arrive ex *Peerless* from Bombay." There were two ships called "*Peerless*" sailing from Bombay, one arriving in October and the other arriving in November. *X* meant the earlier one and *Y* the latter. Held there was no contract. *Raffles v. Wichelhaus*.³ In this case there was no *consensus ad idem* : the parties did not understand the same thing in the same sense.
- (ii) *X* inspected 50 rifles in a shop. Later he telegraphed, "send three rifles." The telegraph clerk by mistake transcribed the message as, "send the rifles." The shopkeeper sent 50 rifles and upon *X*'s refusal to accept, filed a suit for damages. Held, there was no contract. Here the *consensus ad idem* did not arise because of the mistake of a third party. *Henkel v. Pope*.⁴

(d) *Mutual mistake as to the subject-matter of the contract, or the nature of the transaction* : If the contract actually made

¹ (1878) L. R. 3 A. C. 459

² (1927) A. C. 487

³ (1864) 2 H. & C. 906

⁴ (1870) L. R. 6 Ex. 7

is substantially different from the contract the parties intended to make, the contract can be avoided.

Examples :

- (i) *M* an old man of feeble sight, endorsed a bill of exchange thinking it was a guarantee. There was no negligence on his part. Held, there was no contract. *Foster v. Mackinnon*.¹
- (ii) *A* and *B* believing themselves married made a separation agreement under which the husband agreed to pay a weekly allowance to the wife. Later on it transpired that they were not married. In an action by the "wife" for arrears of allowance, it was held that the agreement was void because there was a mutual mistake on a point of fact which was material to the existence of the agreement. *Galloway v. Galloway*.²

(e) *Miscellaneous* : Mistakes may occur for the following causes : the title of property ; quality of the subject matter ; quantity of the goods ; and, the price of the subject.

EXERCISES

1. (a) State when a consent is not said to be free. (Page 59)
(b) What is the effect to such consent on the formation of a contract? ('consequences'—pages 60, 61, 64-65, 69-70, 71-72)
2. What is meant by undue influence? Give two examples. (Page 61)
3. When is consent said to be free? Distinguish between coercion and undue influence. (Pages 59, 65)
4. Define and distinguish 'misrepresentation' and 'fraud'. What remedies are available to the aggrieved party? (Pages 65-71)
5. "Mere silence as to facts is not fraud." Explain with two illustrations. (Page 68)
6. "A contract caused by mistake is void." Explain. (Page 71)
7. Give answers with reasons whether the following cases are instances of fraud :
(a) *A*, sells, by auction, to *B*, a horse which *A* knows to be unsound. *A* declares nothing to *B* about the horse's unsoundness. (Page 66)
(b) Suppose, *B* is *A*'s daughter and has just come of age. Is *A* then bound to tell *B* that the horse is unsound? (Pages 66-67)
(c) *B* says to *A*—"If you do not deny it, I shall take that the horse is sound." *A* says nothing. (Page 68)

¹ (1869) L.R. 4 C.P. 704

² (1914) T. L. R. 531

8. Problems :

- (a) *A* and *B* make a contract on the mistaken belief that a particular debt is barred by the Indian law of limitation. Is the contract void? Is the contract voidable? (Pages 71-72)
 - (b) *A* fraudulently informs *B* that *A*'s house is free from encumbrance. *B* thereupon buys the house. The house is subject to a mortgage. What are the rights of *B*? (Pages 71-72)
 - (c) *A* agrees to sell *B* a specific cargo of goods per *S. S. Malwa* supposed to be on its way from London to Bombay. It turns out that before the day of the bargain *S.S. Malwa* had been cast away and the goods were lost. Discuss the respective rights of *A* and *B*. (Example (i), page 72)
 - (d) *A* agrees to buy from *B* a certain elephant. It turns out that the elephant was dead at the time of the bargain, though neither party was aware of the fact. Discuss the rights of *A* and *B*. (Example (ii), page 72)
 - (e) *A* sells a horse to *B* knowing full well that the horse is vicious. *A* does not disclose the nature of the horse to *B*. Is the sale valid? (Page 66)
 - (f) *A*, a man enfeebled by disease is induced by *B*, his medical attendant, to agree to pay *B* a sum of rupees one lakh for his professional services. Is the agreement valid? Give reasons for your answer. (Page 61-62)
 - (g) *A* buys a piece of ordinary cloth from *B*. *A* thinks erroneously that the cloth is of high quality. *B* knows that *A* is under a mistake but keeps quiet on this matter. When *A* realises his mistake, he wants to set aside the contract on the ground that *B* had knowingly committed fraud in not pointing out his mistake. Discuss if the contract is voidable. (Page 73)
 - (h) *A* sells *B* his horse for Rs. 500. The horse is blind in one eye, but *B* does not know this until after the sale is completed. Is *A* liable to *B* on the ground of fraud? (Page 67)
 - (i) *X* sold a mare to *B* which had a cracked hoof. *X* filled up the hoof in order to prevent detention even after diligent examination. What is the right of *B*? (Para 2, page 67)
9. Objective questions. Give short answers. (2 marks) :
- (i) Give two examples where undue influence has been exercised in the contract. (Page 61)
 - (ii) Suicide is no crime. True or false? (Page 61)
 - (iii) Does silence as to fact amount to fraud? If so, give one example. (Page 68)

UNLAWFUL CONSIDERATION AND OBJECT

Definition

An agreement will not be enforced by the court if its object or the consideration is unlawful. By the expression, "object of an agreement" is meant its 'purpose' or 'design'. The object and the consideration must both be lawful, otherwise the agreement is void.

Unlawful Agreements

According to Section 23 of the Act the consideration and the object of an agreement are unlawful in the following cases :

1. *If it is forbidden by law* : An act or an undertaking is forbidden by law when it is punishable by the criminal law of the country or when it is prohibited by special legislation or regulations made by a competent authority under powers derived from the legislature.¹ If the object of an agreement or the consideration is the doing of an act forbidden by law, the agreement is void.

2. *If it is of such a nature that, if permitted, it would defeat the provisions of any law* : If the object or the consideration of an agreement is of such a nature that it would indirectly lead to a violation of the law, the agreement is void.

Examples :

- (i) A's estate is sold for arrears of revenue under the provisions of an act of the legislature by which the defaulter is prohibited from purchasing the estate. B, upon an understanding with A, becomes the purchaser and agrees to convey the estate to A upon receiving from him the price which B has paid. The agreement is void as it renders the transaction, in effect, a purchase by the defaulter, and would so defeat the object of the law.
- (ii) The plaintiff entered into a contract of service with the defendant by which it was agreed that he should be paid the sum of £13 a week as salary, and a further £6 per week for 'expenses'. His

¹ Pollock and Mulla. *Indian Contract Act*. p. 138

expenses were very much lower, therefore this provision was merely a device to defraud the Income Tax Authority. The Court of Appeal in England, held that the two provisions of the contract cannot be severed and the whole contract was void. *Napier v. National Business Agency Ltd.*¹

- (iii) *P* let a flat to *R* at a rent of £1,200 a year. To reduce the Municipal tax he entered into two agreements with *R*. One, by which the rent was stated to be £450 only and the other by which *R* agreed to pay £750 for services in connection with the flat. In a suit filed against *R* to recover £750, it was held that the agreement was made to defraud the municipal authority and was void and *A* cannot recover the money. *Alexander v. Rayson*.²

3. *If it is fraudulent* : An agreement whose object is to defraud others is void.

Examples :

- (i) *A*, *B* and *C* enter into an agreement for the division among them of gains acquired or to be acquired by them by fraud. The agreement is void.
- (ii) *A*, being agent for a landed proprietor, agrees for money, without the knowledge of his principal, to obtain for *B* a lease of land belonging to his principal. The agreement between *A* and *B* is void, as it implies a fraud by concealment by *A* on his principal.

4. *If it involves or implies injury to the person or property of another*. If the object of an agreement is to injure the person or property of another, it is void.

Examples :

- (i) An agreement by the proprietors of a newspaper to indemnify the printers against claims arising from libels printed in the newspaper is void. *W. H. Smith & Sons v. Clinton*.³
- (ii) An agreement by which a debtor promised to do manual labour for the creditor so long as the debt was not repaid in full has been held to be void under this clause. *Ram Sarup v. Bansi*.⁴

5. *If the court regards it as immoral*. An agreement whose object is immoral, or where the consideration is immoral, is void.

Examples :

- (i) *X* who is *B*'s Mukhtiar promises to exercise his influence with *B* in favour of *C* and *C* promises to pay Rs. 1,000 to *X*. The agreement is void because it is immoral.
- (ii) *D* agrees to let her daughter to hire to *B* for concubinage. The agreement is void.

¹ (1951) 2 All E. R. 264

² (1936) 1 K. B. 169

³ (1908) 26 T. L. R. 34

⁴ (1915) 42 Cal 742

(iii) *P* let a cab on hire to *B* a prostitute, knowing that it would be used for immoral purposes. The agreement is void and he cannot recover the hire. *Pearce v. Brooks*.¹

(iv) A man who knowingly lets out his house for prostitution cannot recover the rent.

6. *If the court regards it as opposed to public policy* : An agreement which is injurious to the public or is against the interests of the society is said to be opposed to public policy. Public policy is not capable of exact definition and therefore courts do not usually go beyond the decided cases on the subject. It has been said in the House of Lords that, "public policy is always an unsafe and treacherous ground for legal decision", per Lord Davey. *Janson v. Driefstein Consolidated Mines*.² Courts are generally disinclined to create a new item in the list of agreements against public policy. *Gherulal Parakh v. Mahadeodas & others*.³

The following agreements have been held to be against public policy : trading with the enemy ; traffic in public offices ; interference with the course of justice etc. These agreements are discussed below.

AGREEMENTS AGAINST PUBLIC POLICY

1. Trading with the enemy

It is a well-settled principle of law that an agreement between citizens of two countries at war with each other is void and inoperative. In India such agreements are allowed where specially permitted by the government. ("Alien"—p. 56)

2. Agreements interfering with the course of justice

Agreements for stifling or hushing up prosecutions are bad in law. When an offence has been committed, the guilty party must be prosecuted and any agreement which seeks to prevent the prosecution of such a person is opposed to public policy and is void. But under the Indian criminal law there are certain cases which can be compromised or compounded. These are mostly minor offences like simple hurt. An agreement for the compromise of such a case is valid. In civil cases compromises and

¹ (1866) L. R. 1 Ex. 213

² (1902) A. C. 484

³ (1959) (II) S.C.A. 342 (Supreme Court)

settlements are not only allowed but also are encouraged. An agreement to refer present or future disputes to arbitration is a valid agreement. But an agreement varying the statutory period of limitation is not valid.

ChamPERTY and Maintenance

When a person agrees to help another by money or otherwise in litigation in which he is not himself interested, it is called **Maintenance**. When a person helps another in litigation in exchange of a promise to hand over a portion of the fruits of the litigation, if any, it is called **Champerty**.

Examples :

- (i) *P* files a suit against *Q* for the recovery of a house. *X* promises to advance Rs. 1,000 to *P* for the costs of the litigation and *P* promises to give to *X* a portion of the house if he is successful in his suit. This is a champertous agreement.
- (ii) An advocate entered into an agreement with his client by which the latter promises to pay to the former fifty per cent of whatever is recovered from the decree of the court. The agreement is champertous.

According to English law an agreement which amounts to Champerty is void because it is against public policy to promote litigation. But an agreement which amounts to Maintenance only, is good if it can be shown that the motive underlying the help given is purely charitable. It has been held by the Privy Council in the case of *Ramcoomar v. Chandrakanta*,¹ that the English doctrines of Champerty and Maintenance are not applicable to India. In India, an agreement to finance litigation in return of a portion of the results of the litigations is valid provided the litigation was instituted with a *bona fide motive*. *Bhagwat Dayal Singh v. Debi Dayal Sahu*.² If, however, the litigation was inspired by a malicious motive or is of a gambling character, the agreement is bad.

3. Traffic in public offices

Agreements tending to injure the public services are void as being against public policy.

Examples :

- (i) An agreement the object of which is to procure public post is void.
- (ii) An agreement to share the emoluments of a public office is void.

¹ (1876) 4 I.A. 23 (Privy Council) ² (1908) 35 I. A. 48 (Privy Council)

- (iii) An agreement to sell a religious office e.g., that of a shebait or a mutawali is void.
- (iv) The secretary of certain college promised Parkinson that if he donates £3,000 to the college, he would use his influence to secure a knighthood for him. Parkinson made the donation but did not get a knighthood and sued for the recovery of the money. Held, the action failed because the agreement was against public policy. *Parkinson v. College of Ambulance Ltd.*¹
- (v) P promises to obtain for Q an employment in the public service and Q promise to pay Rs. 1,000 to P. The agreement is void.
- (vi) A paid B, a public servant, a certain amount inducing to him to retire from service, thus A can be appointed in his place. The agreement is void.

4. Agreement creating an interest opposed to duty

It has been held in several cases that if a person enters into an agreement whereunder he will have to follow a course of action which is against his public or professional duty, the agreement is against public policy and is bad.

Example :

An agreement by an agent whereby he would be enabled to make secret profits ; an agreement for the purchase of property by a public officer where such purchase is prohibited by law ; an agreement by a newspaper proprietor not to comment on the conduct of particular person. *Neville v. Domination of Canada News Co.*²

5. Agreements restraining personal freedom

Agreements unduly restraining personal liberty have been held to be void as being against public policy.

Examples :

- (i) An agreement by a debtor to do manual work for the creditor so long as the debt was not paid in full.
- (ii) An agreement whereby the debtor promised to a moneylender that he will not change his residence or his employment or agree to a reduction of his salary without the consent of the money-lender was held to be void. *Horwood v. Millar's Timber Co.*³

6. Agreements interfering with parental duties

The authority of father over children and of a guardian over his ward is to be exercised in the interest of the children and the

¹ (1925) 2 K.B. 1

² (1915) 3 K. B. 556

³ (1917) 1 K. B. 305

wards respectively. The authority of a father cannot be alienated irrevocably and any agreement purporting to do so is void.

Example :

The father of two minor sons agreed to transfer their guardianship to Mrs. Annie Besant, on an irrevocable basis. Subsequently he wanted to rescind the agreement. Held, guardianship cannot be permanently alienated. So he got back their custody. *Giddu Narayanish v. Mrs. Annie Besant*.¹

7. Agreements interfering with marital duties

Agreements which interfere with the performance of marital duties are void as being against public policy.

Examples :

- (i) An agreement to lend money to a woman in consideration of her getting a divorce and marrying the lender is void. *Roshan v. Mohomad*.²
- (ii) An agreement that the husband will always stay at the mother-in-law's house and that the wife would never leave her parental house is void. *Tikyat v. Monohar*.³

8. Marriage brokerage agreements

According to English law an agreement to pay brokerage to a person for negotiating a marriage, is void because it is against public policy. The principle underlying this rule is that marriages should take place according to the free choice of parties and such choice should not be interfered with by third parties acting as brokers. In India, however, marriages are in most cases negotiated by the parents of the parties and the custom of appointing agents or brokers for finding out a suitable match is well-established. Therefore there is some difference of opinion on the question whether the English rule regarding marriage brokerage contracts should be applied here.

In an old case, the Calcutta High Court held that an agreement to remunerate a third person in consideration of negotiating a marriage is contrary to public policy and cannot be enforced. *Bakshi Das v. Nadu Das*.¹

An agreement to pay money to the parent of a minor to give the minor in marriage is void and illegal.

¹ (1915) 38 Mad 80

² P. R. 46 of 1887

³ 28 Cal 751

VOID AGREEMENTS

An agreement can be void because of mistake, lack of consideration, want of capacity etc. A list of void agreements is given below :

- (1) Lack of Capacity—Sec. 11 (See p. 49)
- (2) Mutual Mistake of Fact—Sec. 20 (See p. 72)
- (3) Unlawful Consideration or Object—Sec. 23 (See p. 77)
- (4) Consideration or Object partly unlawful—Sec. 24 (See p. 92-93)
- (5) Agreements without consideration—Sec. 25 (See p. 41-42)

Void agreements declared by the Indian Contract Act in sections 26, 27, 28, 29, 30 and 56. These agreements are explained below :

- (6) Agreements in restraint of trade.—Sec. 27 (See p. 83)
- (7) Agreements in restraint of legal proceedings—Sec. 28 (See p. 87-88)
- (8) Uncertain Agreement.—Sec. 29 (See p. 88-89)
- (9) Agreements by way of wager.—Sec. 30 (See p. 89)
- (10) Impossible Acts.—Sec. 56 (See p. 92)
- (11) Agreement Contingent on impossible event.—Sec. 36 (See p. 98)
- (12) Reciprocal promises where there are void promises.—Sec. 57 (See p. 104-107)

Agreements in restraint of trade

"Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void"—Sec. 27

"Public policy requires that every man shall be at liberty to work for himself and shall not be at liberty to deprive himself of the fruit of his labour, skill or talent, by any contract that he enters into." *Fraser v. Bombay Ice Company*.²

According to English law as laid down in *Nordenfelt v. Maxim Nordenfelt Gun Co.*³ contracts which impose *unreasonable* restraints upon the exercise of a business, trade or profession are void while those which impose *reasonable* restraints are valid.

¹ 1 C. L. J. 261

² 29 Bom 107

³ (1894) A. C. 535

But in India restraints are not valid except in the few cases provided by law. (See below)

Examples :

- (i) *X* and *Y* carried on business as braziers in a certain locality in Calcutta. *X* promised to stop his business in that locality in consideration of *Y* paying to him Rs. 900 which he had disbursed as advances to his workmen. *X* stopped his business but *Y* failed to pay him the promised money. *X* filed a suit to recover Rs. 900. The court held that the agreement was void under Sec. 27 and nothing could be recovered on the basis of that agreement. *Madhav v. Rajcoomer*.²
- (ii) *X* garage agreed to deal only with the products of Esso Petroleum Co. and to work according to the company's rules for $4\frac{1}{2}$ years. Garage *Y* with Esso had an agreement containing the same terms but for 21 years. *Y* was also mortgaged to the Esso against a loan. The House of Lords held that the agreement with *Y* was unreasonable and void. But the agreement with *X* was held reasonable and valid. *Esso Petroleum Co. v. Harper's Garage (Stouport) Ltd.*³

Cases in which restraint of trade is valid in India

An agreement is restraint of trade is valid in the following cases :

I. Statutory Exceptions

(i) *Sale of Goodwill* : "One who sells the goodwill of a business may agree with the buyer to refrain from carrying on a similar business, within specified local limits, so long as the buyer, or any one deriving title to the goodwill from him, carries on a like business therein ; provided that such limits appear to the court to be reasonable, regard being had to the nature of the business"—Exception 1, Sec. 27, Contract Act.

The seller of the goodwill of a business can be restrained from carrying on a similar business within specified local limits, provided the restraint is reasonable.

Examples :

- (a) *X* buys from *Y* the goodwill of the business of plying ferry boats across certain ghats on a river and *Y* promises not to ply his boats at those ghats. The restraint is valid.
- (b) *C* after selling the goodwill of his business to *D* promises not to carry on similar business "anywhere in the world". The restraint is void.

¹ (1874) 14 B L R. 76

² (1968) A. C. 269

- (c) *E* a seller of imitation jewellery sells his business to *D* and promises not to carry on business in "imitation jewellery and real jewellery". Held, the restraint was valid as regards imitation jewellery, not as regards real jewellery. *Goldsoll v. Goldman*.¹

(ii) *Partner's competing business* : A partner of a firm may be restrained from carrying on a similar business, so long as he remains a partner.—Sec. 11 (2) Partnership Act.

(iii) *Rights of outgoing partner* : A partner may agree with his partners that on ceasing to be a partner he will not carry on a similar business within a specified period or within specified local limits.—Sec. 36 (2), Partnership Act.

(iv) *Partner's similar business on dissolution* : Partners may, in anticipation of the dissolution of the firm, agree that all or some of them shall not carry on similar business within a specified period or within specified local limits.—Sec. 54, Partnership Act.

(v) *Rights of buyer and seller of goodwill* : The sellers of the goodwill (i.e., the partners of the firm) or anyone or more of them may carry on a business competing with that of the buyer and may advertise the business. A partner or partners cannot (a) use the firm name, (b) represent himself as carrying on the business of the firm, or (c) solicit the custom of persons who were dealing with the firm before its dissolution (unless there is an agreement with the buyer of goodwill permitting any of these).—Sec. 55 (2)

Lambert v. Gurney →

(vi) *Agreements in restraint of trade* : The buyer of the goodwill may further protect himself from the competition of the old partners by entering into an agreement with any partner prohibiting such partner from carrying on any business similar to that of the firm within a specified period or within specified local limits. Such an agreement shall be valid if the restrictions imposed are reasonable (not withstanding the fact that the agreement may amount to restraint of trade).—Sec. 55(3)

II. Legal decisions

(a) Trade combinations

It has been held in many English cases that an agreement between a group of manufacturers or traders regarding the

¹ (1915) 1 Ch. D 292

conditions of an industry or the price, is binding although it is in restraint of trade, provided the agreement is in the interest of the parties themselves. Thus, pools and cartels whose objects are to promote the welfare of the parties themselves by regulating competition are valid agreements.

Examples :

- (i) Certain ice manufacturers entered into agreement not to sell ice below a certain minimum price. The agreement was held to be valid. *Fraser & Co. v. Bombay Ice Co.*¹
- (ii) It was agreed among members of a society of hop growers that each member would deliver all hops grown by him to the society which would market the hops and divide the profits among the members. Held, the agreement was valid. *English Hop Growers v. Derring*.²

But a trade combination is not valid if it is against the public interest or if it tends to create monopoly. *Attorney General of Australia v. Adelaide S. S. Co.*³ It was observed in *Vancouver Brewing Co. v. V. Breweries*⁴ that, "Liberty of trade is not an asset which the law will permit a person to barter away except in special circumstances."

(b) Negative stipulations in service contracts

A person while in service with another may, by the terms of his service, be prevented from accepting other engagements. For example, a doctor employed in a hospital may be debarred from private practice. Such negative stipulations in service contracts are not considered to be in restraint of trade and are therefore valid.

Sometimes, however, employers seek to restrict former employees from engaging themselves in similar occupations for some period after the termination of their services. In English law such stipulations have been held to be valid if they are for the protection of the employer's interest. Thus in *Fitch v. Dewes*⁵ the articulated clerk of a solicitor stipulated that he would not practice as a solicitor within seven miles of a certain place, after he became qualified as a solicitor and left his previous employment. The agreement was held to be valid.

The Indian law regarding restraint of trade is, however,

¹ 29 Bom 107

³ (1914) A. C. 461

⁵ (1921) 2 A.C. 158

² (1928) 2 K. B. 174

⁴ (1934) A. C. 181

stricter. It has been held in, *Brahmaputra Tea Company v. Scarth*,¹ that an agreement restraining an employee from taking service or engaging in any similar business for a period of five years from the date of the termination of his service with his previous employers is invalid even though the restrictions only extended to a distance of 40 miles from the previous place of work. In *Cohen v. Wilkie*,² an actor was brought out from England under a contract containing a stipulation that he would not play at another theatre in India during his tour. The stipulation was held to be void as being in restraint of trade.

A decision of the Supreme Court : A company was manufacturing a special yarn with the collaboration of a foreign undertaking on the condition that the company would maintain secrecy of all technical information and would have secrecy agreements with its employees. One employee was appointed for five years with the condition that during this period he would not take service any where even if he left this service. Shelat, J. of the Supreme Court held that the agreement is valid. *Niranjan Shankar Golikari v. Century Spinning & Manufacturing Co. Ltd.*³

3. Agreements in restraint of legal proceedings *Legal* [Amended]

Private persons cannot by agreement alter their personal law or the statute law. Section 28 of the Act provides that, "Every agreement, by which any party thereto is restricted absolutely from enforcing his rights under or in respect of any contract, by the usual legal proceedings in the ordinary tribunals, or which limits the time within which he may thus enforce his rights, is void to that extent."

The effect of Section 28. can be summed up as follows : An agreement which prohibits a person from taking judicial proceedings, in respect of any right arising from a contract, is void. Similarly any limitation of the time within which he may enforce his rights is void. Section 28, is subject to two exceptions :

Exception. 1—Future disputes : An agreement by the parties to a contract to refer future disputes to arbitration is valid and binding. An agreement to settle disputes by arbitration prevents the parties from getting the dispute adjudicated by a court of law but nevertheless, such an agreement is binding.

¹ 11 Cal 545

² 16 C. W. N. 534

³ AIR (1967) Supreme Court 1098

Exception 2—Pending disputes : An agreement in writing to refer a *pending* dispute to arbitration is not rendered illegal by Section 28. The section does not affect the law relating to arbitration.

It is to be noted that Section 28 applies only to rights arising from a contract. It does not apply to cases of civil wrong or torts.

Section 28 dealing with the above question renders void two kinds following agreement as per Amendment Act 1996 :

(1) An agreement which wholly or partially prohibits any party from enforcing his rights under or in respect of any contract is void to that extent.

(2) Agreements which curtail the period of limitation prescribed by the law of limitation are void because their object is to defeat the provision of law.

Similarly an agreement purporting to cast the jurisdiction of courts is contrary to public policy. But an agreement between two or more parties to refer to arbitration any disputes which have arisen or which may arise between them is perfectly valid.

4. Uncertain Agreement

“Agreements the meaning of which is not certain, or capable of being made certain, are void,”—Sec. 29.

An agreement cannot be enforced unless the obligations created by it are clearly understood. (See p. 33)

Examples :

- (i) *A* agrees to sell to *B* “one hundred tons of oil”. There is nothing whatever to show what kind of oil was intended. The agreement is void for uncertainty.
- (ii) *A*, who is a dealer in cocoanut oil only, agrees to sell to *B* “one hundred tons of oil”. The nature of *A*’s trade affords an indication of the meaning of the words and the agreement is valid.
- (iii) *A* agrees to sell to *B* “all the grain in my granary at Rammagar”. There is no uncertainty here to make the agreement void.
- (iv) *A* agrees to sell to *B* “one thousand maunds of rice at a price to be fixed by *C*”. As the price is capable of being made certain, there is no uncertainty here to make the agreement void.
- (v) *A* agrees to sell to *B* “my white horse for Rs. 500 or Rs. 1,000”. There is nothing to show which of the two prices was to be given. The agreement is void for uncertainty.
- (vi) *L* promises to pay five pounds more after the purchase of a horse if the horse “proved lucky”. The promise is too vague to be enforced.

for it is not possible for the courts to decide when a horse is lucky
Guthing v. Lynn.¹

"Agreeing to Agree" : An agreement to *enter into an agreement in the future* is void for uncertainty unless all the terms of the proposed future agreement are agreed expressly or by implication. "Unless all material terms of the contract are agreed, there is no binding obligation. An agreement to agree in future is not a contract nor is there a contract if a material term is neither settled nor implied by law and the document contains no machinery for ascertaining it." Lord Maugham in *Foley v. Classique Coaches Ltd.*² (Anson, *Law of Contract*, ch. II).

Examples :

- (i) An actress was engaged for a provincial tour. The agreement also provided that if the play was brought to London she would be engaged at a salary "to be mutually agreed upon". Held, there was no contract. *Lofius v. Roberts*.³
- (ii) A company agreed with V that on expiration of V's existing contract, they would "favourably consider" the renewal of his contract. Held, no obligation was created to renew the contract. *Montreal Gas Co. v. Vasey*.⁴

5. Agreements by way of wager

Definition : A wager is an agreement by which money is payable by one person to another on the happening or non-happening of a *future, uncertain event*. "The essence of gaming and wagering is that one party is to win and the other to lose upon a future event; which at the time of the contract is of an uncertain nature—that is to say, if the event turns out one way A will lose but if it turns out the other way he will win." *Thacker v. Hardy*.⁵

Characteristics of wagering agreements :

1. The consideration for the promise under a wagering agreement is to pay or get money.
2. The money is payable on the happening or the non-happening of an event.
3. The agreement depends on a future and uncertain event.

¹ (1831) 2 B & Ad. 232

² (1934) 2 K. B. 1

³ (1902) 18 T.L.R. 532

⁴ (1900) A. C. 595

⁵ (1878) 4 Q.B.D 685

4. The essence of gaming and wagering is that one party is to win and the other lose.

5. In wagering agreement no party has control over the event.

6. Commercial transactions are valid, but to pay price differences in a wagering agreement is void.

Commercial transactions : "In order to constitute a wagering contract neither party should intend to perform the contract itself, but only to pay the differences." *Sukherdoss v. Govindoss*.¹ Commercial transactions are not speculative if there is a clear intention to deliver the goods.

Examples of wagering agreements :

- (i) *P* agrees with *Q* that if there is rain on a certain day *P* will pay *Q* Rs. 50. If there is no rain *Q* will pay *P* Rs. 50.
- (ii) A bet on a horse race is wagering transaction, although horse racing is permitted by some local law and although there may be official agencies through which bets may be placed and the winnings collected.
- (iii) A share market transaction, in which there is no intention to give or take delivery of the shares and where the parties intend to deal only with the differences in prices, is a wagering transaction.
- (iv) Certain transactions were settled by handing over Delivery Orders and cheques. There is no evidence that actual delivery of goods was ever effected. Held, the transactions are speculative. *Nirmal Trading Co. v. The Commissioner of Income-Tax (Central) Calcutta*.²
- (v) **Lotteries**—A lottery is a game of chance. Therefore an agreement to buy a ticket for a lottery is a wagering agreement. A lottery may be authorised by the government. The only effect of such authorisation is to exempt the persons conducting the lottery from criminal prosecutions but it remains a wagering transaction. *Dorabji v. Lance*.³
- (vi) **Cross-word Puzzles**—In an English case it has been held that a cross-word puzzle, in which prizes depend upon sameness of the competitor's solution with a previously prepared solution kept with editor of a newspaper, is a lottery and therefore a wagering transaction. *Coles v. Odham's Press*.⁴

Exceptions

It has been held that the following transactions are not wagers :

(i) **Shares** : Share market transactions in which there is clear intention to give and take delivery shares.

¹ (1928) 55 I.A. 32 (Privy Council) ² AIR (1980) Supreme Court 234

³ (1918) 42 Bom 676

⁴ (1936) 1. K. B. 416

(ii) *Games of skill* : Prizes and competitions which are games of skill, e.g., picture puzzles ; athletic competitions etc. An agreement to enter into a wrestling contest, in which the winner was to be rewarded by the whole of the sale-proceeds of tickets and the party failing to appear on that day would have to forfeit Rs. 500 was held not be a wagering agreement. *Babasaheb v. Rajaram*.¹

(iii) *A statutory exception* : An agreement to contribute to the payment of a prize of the value of Rs. 500 or upwards to the winners of a horse race, is valid. This is statutory exception laid down in section 30 of the Contract Act.

(iv) *Contract of Insurance* : A contract of insurance is not a wagering agreement. (See 'Law of Insurance', ch. 1)

(v) "*Badla*" : "*Badla*" transactions are exactly similar to the transaction of 'conversion' or 'carrying over' in the terminology of the Stock Exchanges with regard to dealings in securities. Mere agreement to engage in speculation on the rise and fall in prices of goods is not necessarily a wagering contract. But in a case this contract was held void under Section 23 of Contract Act because it prohibited forward contracts by a statute on this subject. *Pratapchand Nopaji v. Kotrike Venkata Setty & Sons etc.*²

The effects of a wagering agreement

An agreement by way of wager is void. It will not be enforced by the courts of law. Section 30 provides as follows : "Agreements by way of wager are void ; and no suit shall be brought for recovering anything alleged to be won on any wager, or entrusted to any person to abide by the result of any game or other uncertain event on which any wager is made."

In the State of Maharashtra and of Gujarat wagering agreements are, by a local statute, not only void but also illegal.

In the case of void agreements, collateral agreements, i.e., agreements which are subsidiary or incidental to the main agreement, are valid. Therefore, though wagering agreements are void, transactions collateral to such agreements are valid. *Gherulal Parakh v. Mahideodas Maiya & ors.*³

Examples :

- (i) Money lent for the purpose of gambling or for paying a gambling debt even if advanced with knowledge of the purpose for which the money is required can be recovered.

¹ (1931) 33 Bom L.R. 260

² AIR (1975) Supreme Court 1223

³ 1959 (II) S.C.A. 342 (Supreme Court)

- (ii) Where one of several holders of a Derby Sweep ticket sold half of his share to another, the other could enforce his claim in the prize by suit. *Gough v. Leneham*.¹
- (iii) *M* lost Rs. 8,500 to *L* on horse races. Subsequently *M* executed a Hundi for same amount in favour of *L* to prevent *M* being posted as a defaulter in his club. *L* filed a suit on the Hundi. *M* pleaded that it was a wagering transaction and that the consideration was unlawful. Held, a wagering agreement is void but does not affect the collateral transaction. *Leicester & Co. v. S. P. Mullick*.²

6. Impossible Acts

“An agreement to do an act impossible in itself is void.—Sec. 56 (Para 1).

Examples :

- (i) *A* agrees with *B* to discover treasure by magic. The agreement is void.
- (ii) *A* contracts to marry *B*, being already married to *C*, and forbidden by the law to which he is subject to practice polygamy. The contract is void. But *A* must make compensation to *B* for the loss caused to her by the non-performance of the promise.

The examples cited above are cases of Pre-contractual Impossibility.

A contract may become impossible to perform by subsequent events. These cases are discussed under “Termination of Contracts” in ch. 11. They can be called Post-contractual Impossibility.

OBJECTS OR CONSIDERATION UNLAWFUL IN PART

If the consideration or object is partially unlawful, the following rules will apply.

1. If there are several objects but a single consideration the agreement is void if any one of the objects is unlawful.—Sec. 24.
2. If there is a single object but several considerations, the agreement is void if any one of the considerations is unlawful.—Sec. 24.

The two above rules with the case where the agreement cannot be divided into two parts—a part which is legal and a part which is illegal.

¹ 25 I.C. 355

² (1923) Cal. 445

Example :

A promises to superintend, on behalf of *B*, a legal manufacture of indigo, and an illegal traffic in other articles. *B* promises to pay *A* a salary of Rs 10,000 a year. The agreement is void. Here a part of the object is legal and a part is illegal but there is a single consideration.

3. Where there is a reciprocal promise to do things legal and also other things illegal, and the legal part can be separated from the illegal part the legal part is a contract and the illegal part is a void agreement.—Sec. 57.

Example :

A and *B* agree that *A* shall sell *B* a house for Rs. 10,000 but if *B* uses it as a gambling house, he shall pay *A* Rs. 50,000 for it. The first part of the agreement is valid, the second part invalid.

4. In the case of an alternative promise, one branch of which is legal and the other illegal, the legal branch alone can be enforced.—Sec. 58.

Example :

A and *B* agree that, *A* shall pay Rs. 1,000 for which *B* shall afterwards deliver to *A*, either rice or smuggled opium. This is a valid contract to deliver rice and a void agreement as to opium.

EXERCISES

1. When is an agreement said to be against public policy? Give five examples of agreements which are against public policy.
(Pages 79-83)
2. Examine the validity of agreements with consideration and object unlawful in part.
(Page 92)
3. State the law in restraint of profession, trade, or business. Give illustrations.
(Pages 83-84, 88-89)
4. What are the exceptions to the rule that contracts in restraint of trade are void?
(Pages 84-87)
5. What are the agreements which have been expressly declared to be void as per the Indian Contract Act., 1872? (Pages 83-93)
6. What are agreements by way of wager? What are the legal consequences that flow from an arrangement by way of wager?
(Pages 89-93)
7. Define 'Wagering Contract'. Is there any exception?
(Pages 89-93)
8. State with reasons, whether the following agreements are void or valid : (a) *A* agrees to sell to *B* "one thousand maunds of rice at a price to be fixed by *C*".
(Example (iv), page 88)

- (b) *A* grants lease of certain premises in Calcutta to *B* knowing that the premises will be used for the purpose of installing machinery for minting base coin. (Para 1, page 77)

9. *Problems* :

- (a) *A* enters into a wagering agreement and borrows Rs. 100 for the purpose. Void or valid ? (Page 92)
- (b) *A* agrees to sell to *B* "my white horse for Rs. 500 or 1000." Is the agreement valid ? (Page 88)
- (c) *X* enters into a contract with *Y* for the sale of goods to be delivered at a future date. Is it a wagering Contract ? (It is a valid Contract, not a Wagering Contract).

10. Objective questions. Give short answers.

- (i) An agreement to share the emoluments of a public office is void. True or false ? (Para 3, page 80)
- (ii) *X* agrees with *Y* to discover treasure by magic. Is the contract valid ? (Para 6, page 92)

Definition

"A contingent contract is a contract to do or not to do something, if some event, collateral to such contract, does or does not happen."—Sec. 31.

Example :

A contracts to pay B Rs 10,000 if B's house is burnt. This is a contingent contract. [Illustration to Sec. 31]

A contingent contract contains a conditional promise. A promise is "absolute" or "unconditional" when the promisor undertakes to perform it in any event. A promise is "conditional" when performance is due only if an event, collateral to the contract, does or does not happen. "Collateral" means, "subordinate but from same source, connected but aside from main line".

Meaning of Collateral Event

According to Pollock and Mulla¹ a collateral event means an event which is, "neither a performance directly promised as part of the contract, nor the whole of the consideration for a promise." From this explanation it follows that the following contracts are not contingent contracts :

(a) X promises to pay Rs. 100 to any person who recovers some property lost by X.

(b) X promises to pay Y Rs. 1,000 if he marries Z.

In example (a) there is no contract until and unless somebody finds the lost property. In example (b) there is an offer by X which becomes a binding promise when Y marries Z.

But a contract, whereby A promises to pay B Rs. 10,000 if B's house is burnt, is a contingent contract because the liability of A arises only when B's house is burnt. This is an event collateral to the main contract because the burning of B's house is not the performance required from B under the contract nor is it the consideration obtained from B. It is an independent event.

¹ Pollock and Mulla, *Indian Contract Act*. p. 235

Characteristic of Contingent Contracts

From the above discussion it follows that there are two essential characteristics of contingent contracts :

(a) The performance of such contracts depends on a contingency, i.e., on the happening or non-happening of the future event.

(b) In a Contingent Contract, the event must be collateral i.e., incidental to the contract.

(c) The contingency is uncertain. If the contingency is bound to happen, the contract is due to be performed in any case and is not therefore a contingent contract.

Contingency dependent on act of party

The performance of a contingent contract depends on the happening or non-happening of a collateral event. The word 'event' includes an 'act'; and the 'act' may be of a party to the contract or of a third party. Thus a promise to buy certain goods if the party's engineer approves of them, is valid. Here the engineer's approval is the act on which the performance of the promise to purchase is contingent. But if the performance of a promise is contingent upon the mere will and pleasure of the promisor, there is no contract.¹

Examples :

- (i) Life insurance, indemnity and guarantee are examples of Contingent Contract.
- (ii) A promise to pay, what a third party X shall determine, is valid.
- (iii) The plaintiff entered into a contract for the supply of timber to the Government. One of the terms of the contract was that the timber would be rejected if not approved by the Superintendent of the Gun Carriage Factory for which the timber was required. The timber supplied was rejected. Held, on a suit for breach of contract, that it was not open to the plaintiff to question the Superintendent's decision. *Secretary of State for India v. Arathoon*.²
- (iv) In the case of goods to be manufactured to order, it may be a term of the contract that the goods shall be to the customer's approval. In such a case the customer's judgment, acting *bonafide* and not capriciously, is decisive. *Andrews v. Belfield*.³
- (v) A promise, to pay for a service whatever the promisor himself thinks right or reasonable, is no promise. *Roberts v. Smith*.⁴

¹ Pollock and Mulla, *op. cit.*, p. 236

³ (1857) 2 C. B. N. S. 779.

² (1879) 5 Mad. 173

⁴ (1859) 4 H. & N. 315

Rules regarding Contingent Contracts

Sections 32 to 36 of the Contract Act contain certain rules regarding contingent contract. They are summarised below.

1. *The happening of a future uncertain event* : Contracts contingent upon the happening of a future uncertain event, cannot be enforced by law unless and until that event has happened. If the event becomes impossible, such contracts become void.—Sec. 32.

Examples :

- (i) *A* makes a contract with *B* to buy *B*'s horse if *A* survives *C*. This contract cannot be enforced by law unless and until *C* dies in *A*'s lifetime.
- (ii) *A* makes a contract with *B* to sell a horse to *B* at a specified price, if *C*, to whom the horse has been offered, refuses to buy it. The contract cannot be enforced by law unless and until *C* refuses to buy the horse.
- (iii) *A* contracts to pay *B* a sum of money when *B* marries *C*. *C* dies without being married to *B*. The contract becomes void.

2. *The non-happening of an uncertain future event* : Contracts contingent upon the non-happening of an uncertain future event, can be enforced when the happening of that event becomes impossible, and not before—Sec. 33.

Example :

A agrees to pay *B* a sum of money if a certain ship does not return. The ship is sunk. The contract can be enforced when the ship sinks.

3. *When event to be deemed impossible* : If a contract is contingent upon how a person will act at an unspecified time, the event shall be considered to become impossible when such person does anything which renders it impossible that he should so act within any definite time, or otherwise than under further contingencies.—Sec. 34

Example :

A agrees to pay *B* a sum of money if *B* marries *C*. *C* marries *D*. The marriage of *B* to *C* must now be considered impossible although it is possible that *D* may die and that *C* may afterwards marry *B*.

4. *The happening of an event within a fixed time* : Contracts contingent upon the happening of an event within a fixed time, become void if, at the expiration of the fixed time, such event has not happened, or if, before the time fixed, such event becomes impossible.

The non-happening of an event within a fixed time : Contracts contingent upon the non-happening of an event within a fixed time may be enforced by law when the time fixed has expired and such event has not happened, or before the time fixed has expired, if it becomes certain that such event will not happen.—Sec. 35.

Examples :

- (i) *A* promises to pay *B* a sum of money if a certain ship return within a year. The contract may be enforced if the ship return within the year, and becomes void if the ship is burnt within the year.
- (ii) *A* promise to pay *B* a sum of money if a certain ship does not return within a year. The contract may be enforced if the ship does not return within the year, or is burnt within the year.

5. Impossible event : Contingent agreements to do or not to do anything, if an impossible event happens are void, whether the impossibility of the event is known or not to the parties to the agreement at the time when it is made.—Sec. 36.

Examples :

- (i) *A* agrees to pay *B* Rs. 1,000 if two straight lines should enclose a space. The agreement is void.
- (ii) *A* agrees to pay *B* Rs. 1000 if *B* will marry *A*'s daughter *C*. *C* was dead at the time of the agreement. The agreement is void.

Difference between Contingent Contract and Wagering agreements

1. A contingent contract is valid, a wagering agreement is void.
2. A contingent contract depends on the happening or non-happening of an event; but the contract is valid, a wagering agreement is void.
3. Contingent contract may not contain reciprocal promises; a wagering agreement consists of reciprocal promise.
4. In a Contingent contract either party or both may have an interest in the subject matter of the contract; in a wagering agreement the parties have no interest except getting or paying money.
5. In a Contingent contract the future event is only collateral and valid; a wagering agreement is void.

EXERCISE

1. Explain the meaning of contingent contracts and their rules.

(Pages 95-98)

10 PERFORMANCE OF CONTRACTS

PERFORMANCE OR TENDER

Definition

A contract creates legal obligations. "Performance of a contract" means the carrying out of these obligations. Each party must perform or offer to perform the promise which he has made. Section 37, para 1, of the Contract Act lays down that, "The parties to a contract must either perform, or offer to perform, their respective promises, unless such performance is dispensed with or excused under the provisions of this act, or of any other law."

The Offer to Perform or Tender

The offer to perform the contract is called Tender. Offer to perform or Tender may be called attempted performance. A tender, to be legally valid, must fulfil the following conditions.—Sec. 38 :

1. It must be *unconditional*. A tender coupled with a condition is no tender.

Example :

A passenger on a bus offers a rupee note for the fare which is 10p. only. It is not a valid tender because it imposes condition on the acceptance of the tender viz. the return of the balance out of the rupee. A tender of money must be of the exact sum due. *Bireswar v. The Emperor*.¹

2. A tender to pay *conditionally* upon the other party doing somethings such as giving a release or accepting the other amount in full satisfaction of all demands, is not a valid tender. But of course, a receipt may be demanded after a tender has been accepted.

3. A tender money, must be in legal tender money, not by any foreign money, or by promissory note or cheque. *Jagat v. Nabagopal*.²

¹ 46 C.W.N. 550

² 34 Cal. 305

4. The tender must be made at a *proper time and place*. What is proper time and place, depends upon the intention of the parties and the provisions of Sections 46-50 of the Act. (See pages 109-110).

A tender before the due date or at a time and place other than that agreed upon, is not a valid tender. *Eshaque v. Abdul Bari*.¹

5. The person to whom a tender is made must be given a *reasonable opportunity of ascertaining* that the person by whom it is made is able and willing there and then, to do *the whole of what he is bound by his promise to do*.

6. The reason behind the above rule is that an offer to perform a part of the promise is not a valid tender.

7. If the offer is an offer to deliver anything to the promisee, the promisee must have a *reasonable opportunity of seeing* that the thing offered is the thing which the promisor is bound by his promise to deliver.

Example :

P contracts to deliver to *B* at his warehouse on the 1st March 1973, 100 bales of cotton of a particular quality. *P* must bring the cotton to *B*'s warehouse, on the appointed day, under such circumstances that *B* may have a reasonable opportunity of satisfying himself that the thing offered is cotton of the quality contracted for, and that there are 100 bales.

8. When there are several promisees, an offer to *any one of them* is a valid tender.

Effect of refusal to accept a properly made offer of performance or Tender

Where the promisor has made an offer of performance to the promisee, and the offer has not been accepted, the contract is deemed to be broken by the promisee and he can be sued for breach of contract.

Effect of refusal of party to perform promise wholly

When a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified by words or conduct, his acquiescence in its continuance.—Sec. 39.

¹ 31 Cal. 183

Example :

P, a singer, enters into a contract with *B*, manager of a theatre to sing at his theatre two nights in every week during the next two months, and *B* engages to pay her at the rate of 100 rupees for each night. On the sixth night *P* wilfully absents herself. With the assent of *B*, *P* sings on the seventh night. *B* has signified his acquiescence in the continuance of the contract and cannot now put an end to it but is entitled to compensation for the damage sustained by him through *P*'s failure to sing on the sixth night.

BY WHOM IS A CONTRACT TO BE PERFORMED ?**1. Personal Performance**

In cases involving personal skill, taste, or credit, the promisor must himself perform the contract. The courts will enforce the intention of the parties, as expressed in the contract, or as may be inferred from the circumstances of the case.

2. Performance by representatives

In all other cases the promisor or his representatives may employ a competent person to perform it.—Sec. 40.

Examples :

- (i) *Q* promises to paint a picture for *B* ; *Q* must perform this promise personally.
- (ii) *Q* promises to pay *B* a sum of money. *Q* may perform this promise, either by personally paying the money to *B* or causing it to be paid to *B* by another.

3. Effect of Performance from a third person

When a promise accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor.—Sec. 41.

4. Death of the Promisor

Contracts involving personal skill or volition, come to an end when the promisor dies. His heirs or legal representatives are not bound to perform such contracts. This rule is expressed in a Latin phrase, *actio personalis moritur cum persona*—a personal cause of action dies with the person concerned.

In cases not involving personal skill or volition, the legal representatives of a deceased promisor are bound to perform the contract. Upon failure to do so, they will be liable for breach

of contract. But the liability of the legal representatives is limited to the assets obtained from the deceased. They are not personally liable.

The legal representatives can enforce performance of the contract upon the other party or parties and their legal representatives.

Examples :

- (i) *P* promises to deliver goods to *B* on a certain day on payment of Rs. 1,000. *P* dies before that day. *P*'s representatives are bound to deliver the goods to *B*, and *B* is bound to pay Rs. 1,000 to *P*'s representatives.
- (ii) *Q* promises to paint picture for *B* by a certain day, at a certain price. *Q* dies before the day. The contract cannot be enforced either by *Q*'s representatives or by *B*.

5. Performance of Joint Promises — See below.

Who can demand performance ?

1. The promisee can demand performance of the promise. A stranger to a contract, i.e., one who is not a party to it, cannot file a suit to enforce it. A contract between *P* and *Q* cannot be enforced by *R*.

2. Under certain cases a stranger to the contract can enforce the contract. Examples, Trust, Assignee...etc. (See p. 44).

3. The legal representatives can enforce performance of the contract upon the other party or parties and their legal representatives.

DEVOLUTION OF JOINT RIGHTS AND LIABILITIES

Joint Performance

Two or more persons may enter into a joint agreement with one or more persons. *Example :* *A* and *B* jointly promise to pay Rs. 500 to *C* and *D*. In such cases, the question arises, who is liable to perform the contract and who can demand performance ? The rules on the subject are stated below—Sections 42-45 :

1. Devolution of Joint liabilities

When two or more persons have made a joint promise, then, unless a contrary intention appears by the contract, all such

persons must jointly fulfil the promise. Upon the death of one of the joint promisors, his liability devolves upon his legal representatives, and the legal representatives become liable to perform the contract jointly with the surviving parties. If all the parties die, the liability devolves upon their legal representatives jointly.—Sec. 42.

The English law on the point is different. In case of joint promises, the liability to perform, devolves in England, upon the surviving promisors. The legal representatives of deceased promisors are not liable.

2. Any one of joint promisor may be compelled to perform

“When two or more persons make a joint promise, the promisee may, in the absence of express agreement to the contrary compel any one or more of such joint promisors to perform the whole of the promise.”

Each promisor may compel contribution

“Each of two or more joint promisors may compel every other joint promisor to contribute equally with himself to the performance of the promise, unless a contrary intention appears from the contract.”

Sharing of loss by default in contribution

“If any one of two or more joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.”—Sec. 43.

[Sec. 43 does not apply to Sureties. See. ch. 13]

The English law is different. Under it “all joint contractors must be sued jointly for a breach of contract.” In India the promisee can choose against whom to proceed.

Examples :

- (i) *A, B & C* jointly promise to pay *D* Rs. 3,000. *D* may compel either *A* or *B* or *C* to pay him Rs. 3,000.
- (ii) *A, B & C* are under a joint promise to pay *D* Rs. 3,000. *C* is unable to pay anything and *A* is compelled to pay the whole. *A* is entitled to receive Rs. 1,500 from *B*.
- (iii) *A, B & C* jointly promise to pay *D* Rs. 3,000. *C* is compelled to pay the whole. *A* is insolvent but his assets are sufficient to pay one-half of his debts. *C* is entitled to receive Rs. 500 from *A*'s estate and Rs. 1,250 from *B*.

3. Effect of release of one joint promisor

“Where two or more persons have made a joint promise, a release of one of such joint promisors by the promisee not discharge the other joint promisors ; neither does it free the joint promisor so released from responsibility to the other joint promisor or joint promisors.”—Sec. 44.

The English law on this point is different. Release of one joint promisor under English law releases all the promisors but not in India.

4. Devolution of joint rights

When a person has made a promise to several persons jointly, then (unless a contrary intention appears from the contract) the right to claim performance rests on all the promisees jointly so long as all of them are alive. When one of the promisees dies the right to claim performance rests with his legal representative jointly with the surviving promisees. When all the promisees are dead, the right to claim performance rests with their legal representatives jointly.—Sec. 45.

Example :

Q in consideration of Rs. 500 lent to him by *B & C*, promises *B & C* jointly to repay them the sum with interest on a day specified. *B* dies. The right to claim performance rests with *B*'s representative jointly with *C* during *C*'s life and after the death of *C* with the representatives of *B & C* jointly.

RECIPROCAL PROMISES

Definition

A Contract consists of reciprocal promises when one party makes a promise (to do or not to do something in the future) in consideration of a similar promise (to do or not to do something in the future) made by the other party. Such a contract is an exchange of promises.

Rules

Sections 51-54 and 57-58 of the Contract Act lay down the rules regarding the performance of reciprocal promises. They are stated below.

1. Promisor not bound to perform, unless reciprocal promisee ready and willing to perform

“When a contract consists of reciprocal promises to be simultaneously performed, no promisor need perform his promise unless the promisee is ready and willing to perform his reciprocal promise.”—Sec. 51.

Examples :

- (i) *A & B contract that A shall deliver goods to B to be paid for by B on delivery. A need not deliver the goods, unless B is ready and willing to pay for the goods on delivery. B need not pay for the goods unless A is ready and willing to deliver them on payment.*
- (ii) *A & B contract that A shall deliver goods to B at a price to be paid by instalments, the first instalment to be paid on delivery. A need not deliver, unless B is ready and willing to pay the first instalment on delivery. B need not pay the first instalment, unless A is ready and willing to deliver the goods on payment of the first instalment.*

2. Order of performance of reciprocal promises

“Where the order in which reciprocal promises are to be performed is expressly fixed by the contract, they shall be performed in that order, and where the order is not expressly fixed by the contract, they shall be performed in that order which the nature of the transaction requires.”—Sec. 52.

Examples :

- (i) *A & B contract that A shall build a house for B at a fixed price. A's promise to build the house must be performed before B's promise to pay for it.*
- (ii) *A & B contract that A shall make over his stock in trade to B at a fixed price, and B promises to give security for the payment of the money. A's promise need not be performed until the security is given, for the nature of the transaction requires that A should have security before he delivers up his stock.*

3. Liability of party preventing event on which contract is to take effect

“When a contract contains reciprocal promises, and one party to the contract prevents the other from performing his promise, the contract becomes voidable at the option of the party so prevented; and he is entitled to compensation from the other party for any loss which he may sustain in consequence of the non-performance of the contract.”—Sec. 53.

Example :

A & B contract that B shall execute certain work for A for a thousand rupees. B is ready and willing to execute the work accordingly but A prevents him from doing so. The contract is voidable at the options of A ; and, if he elects to rescind it, he is entitled to recover from A compensation for any loss which he has incurred by its non-performance.

4. Effect of default as to that promise which should be first performed, in-contract consisting of reciprocal promises

“When a contract consists of reciprocal promises, such that one of them cannot be performed, or that its performance cannot be claimed till the other has been performed, and the promisor of the promise last mentioned fails to perform it, such promisor cannot claim the performance of the reciprocal promise, and must make compensation to the other party to the contract for any loss which such other party may sustain by non-performance of the contract.”—Sec. 54.

Examples :

- (i) *A hires B's ship to take in and convey, from Calcutta to the Mauritius, a cargo to be provided by A, B receiving a certain freight for its conveyance. A does not provide any cargo for the ship. A cannot claim the performance of B's promise and must make compensation to B for the loss which B sustains by the non-performance of the contract.*
- (ii) *A contracts with B to execute certain builder's work for a fixed price, B supplying the scaffolding or timber, necessary for the work. B refuses to furnish any scaffolding or timber, and the work cannot be executed. A need not execute the work, and B is bound to make compensation to A for any loss caused to him by the non-performance of the contract.*
- (iii) *A contracts with B to deliver to him, at a specified price, certain merchandise on board a ship which cannot arrive for a month, and B engages to pay for the merchandise within a week from the date of the contract. B does not pay within the week. A's promise to deliver need not be performed, and A must make compensation.*
- (iv) *A promises B to sell him one hundred bales of merchandise, to be delivered next day and B promises. A to pay for them within a month. A does not deliver according to his promise. B's promise to pay need not be performed, and A must make compensation.*

5. Reciprocal promises to do things legal and also other things illegal

“When persons reciprocally promise, firstly to do certain

things which are legal, and secondly, under specified circumstances, to do certain other things which are illegal, the first set of promises is a contract, but the second is a void agreement.”—Sec. 57. (See. p. 92)

6. Agreement to do impossible act

An agreement to do an act impossible in itself is void.—Sec. 56. (See p. 92)

CONTRACTS WHICH NEED NOT BE PERFORMED

Sections 62 to 67 of the Contract Act are listed under the heading “Contracts which need not be performed”. The relevant provisions are as follows :

1. If by mutual agreement there is Novation, Rescission or Alteration, the original contract need not be performed. (Sec. 62. See Chapter 11)

2. The same rule applies in cases of Remission. (Sec. 63. See Chapter 11)

3. When a voidable contract is rescinded, the other party need not perform his promise. (Sec. 64. See “Restitution”, Chapter 11)

4. ‘If the promisee neglects or refuses to afford the promisor reasonable facilities for the performance of his promise, the promisor is excused by such neglect or refusal as to any non-performance caused thereby.’ Sec. 67. (See under, “Breach of Contract”, Chapter 11)

II. Under the Law of Contract the following agreements need not be performed :

1. Unlawful consideration and object—Sec. 23 (See p. 77-83)

2. Where the performance is unlawful or illegal—Sec. 56 (See p. 92)

ASSIGNMENT OF CONTRACTS

Definition

Assignment means transfer. The rights and liabilities of a party to a contract can be assigned under certain circumstances. Assignment may occur (i) by act of parties or (ii) by operation of law.

Rules

The rules regarding assignment of contracts are summarised below :

1. Contracts involving personal skill, ability, credit, or other personal qualifications, cannot be assigned. *Examples* : a contract to marry ; a contract to paint a picture ; a contract of personal service ; etc.

2. The obligations under a contract, *i.e.*, the burden and the liabilities under the contract cannot be transferred. For example, if *X* owes *Y* Rs. 100 he cannot transfer the liability to *Z*, and force *Y* to collect his money from *Z*.

Exception—In both cases 1 and 2, the parties to a contract may agree to replace the original contract by a new one under which the obligations of one of the parties are shifted to a new party. Thus in the example given above if *Y* agrees to accept *Z* as his debtor in place of *X*, the liability to pay the debt is transferred from *X* to *Z*. Such cases are known as Novation.

3. A contract may be performed through the agency of a competent person, if the contract does not contemplate performance by the promisor personally.—Sec. 40. But in this case the original party remains responsible for the proper performance of the obligations under the contract.

4. The rights and benefits under a contract (not involving personal skill or volition) can be assigned. Thus if *X* is entitled to receive Rs. 500 from *Y*, he can assign his right to *Z* whereupon *Z* will become entitled to receive the money from *Y*. But in this case the assignment is subject to all equalities between the original parties. Thus if *Y* had already paid a portion of the debt to *X*, he will pay to *Z* correspondingly less.

5. The rights of a party under a contract may amount to an "actionable claim" or "a chose-in-action". Section 3 of the Transfer of Property Act defines an actionable claim as "a claim to any debt (except a secured debt) or to any beneficial interest...whether such claim or beneficial interest be existent, accruing, conditional or contingent." *Examples of actionable claims* : a money debt ; book debts ; the interest of a buyer of goods in a contract for forward delivery (*Jaffer Ali v. Budge Budge Jute Mills*¹) ; an option to repurchase property sold ; etc.

Actionable claims can be assigned but only by a written document. Notice must be given to the debtor.

6. Assignment by operation of law occurs in cases of death or insolvency. Upon the death of a party his rights and liabilities under a contract devolve upon his heirs and legal representatives (except in the case of contracts involving personal qualifications). In case of insolvency, the rights and liabilities of the person concerned pass to the Official Assignee or the Official Receiver.

THE TIME AND PLACE OF PERFORMANCE

General Rules

The time and the place of performance of a contract are matters to be determined by agreement between the parties to the contract. In sections 46 to 50 of the Indian Contract Act certain general rules have been laid down regarding the time and place of performance. They are as follows :

1. Time for performance without application

"Where, by the contract, a promisor is to perform his promise without application by the promisee, and no time for performance is specified, the engagement must be performed within a reasonable time."

"*Explanation*—The question what is a reasonable time, is, in each particular case, a question of fact."—Sec. 46.

2. Time and place, where time is specified

"When a promise is to be performed on a certain day, and the promisor has undertaken to perform it without application by the promisee, the promisor may perform it at any time during the usual hours of business on such day and at the place at which the promise ought to be performed."—Sec. 47.

Example :

D promises to deliver goods at *B*'s warehouse on the first January. On that day *D* brings the goods to *B*'s warehouse but after the usual hour for closing it and they are not received. *D* has not performed his promise.

3. Application for performance to be at proper time and place

"When a promise is to be performed on a certain day, and the promisor has not undertaken to perform it without application

by the promisee, it is the duty of the promisee to apply for performance at a proper place and within the usual hours of business."

"Explanation—The question 'what is a proper time and place' is, in each particular case, a question of fact."*—Sec. 48.*

4. To appoint a reasonable place for the performance

"When a promise is to be performed without application by the promisee, and no place is fixed for the performance of it, it is the duty of the promisor to apply to the promisee to appoint a reasonable place for the performance of the promise, and to perform it at such place."*—Sec. 49.*

Example :

D undertakes to deliver a thousand maunds of jute to *B* on a fixed day. *D* must apply to *B* to appoint a reasonable place for the purchase of receiving it, and must deliver it to him at such place.

5. Manner and time prescribed or sanctioned by promisee

"The performance of any promise may be made in any manner or at any time which the promisee prescribes or sanctions."*—Sec. 50.*

Examples :

- (i) *B* owes *A* 2,000 rupees. *A* desires *B* to pay the amount to *A*'s account with *C*, a banker. *B*, who also banks with *C*, orders the amount to be transferred from his account to *A*'s credit and this is done by *C*. Afterwards and before *A* knows of the transfer, *C* fails. There has been a good payment by *B*.
- (ii) *A* and *B* are mutually indebted. *A* and *B* settle an account by setting off one item against another, and *B* pays *A* the balance found to be due from him upon such settlement. This amounts to a payment by *A* and *B* respectively of the sums which they owed to each other.
- (iii) *D* owes *B*, 2,000 rupees. *B* accepts some of *C*'s goods in deduction of the debt. The delivery of the goods operates as part payment.
- (iv) *Q* desires *B* who owes him Rs. 100, to send him a note for Rs. 100 by post. The debt is discharged as soon as *B* puts into the post a letter containing the note duly addressed to *Q*.

PERFORMANCE WITHIN STIPULATED TIME

Rules

Section 55 of the Contract Act lays down certain rules regarding the effects of failure to perform a contract within the stipulated time. They are as follows :

1. In contracts where time is of the essence of the contract, if there is failure to perform within the fixed time, the contract (or so much of it as remains unperformed) becomes voidable at the option of the promisee.

2. In such cases, the promisee may accept performance after the fixed time but if he does so he cannot claim compensation unless he gives notice of his intention to claim compensation at the time of accepting the delayed performance.

3. In contracts where time is not of the essence of the contract, failure to perform within the fixed time does not make the contract voidable, but the promisee is entitled to get compensation for any loss occasioned to him by such failure.

Case Law

When is time the essence of the contract? The decisions of the Supreme Court, regarding the 'time' of the performance of contracts, are summarised below :

1. The fixation of the period within which the contract has to be performed does not make the stipulation as to time the essence of the contract. *Gamathinayagam Pillai v. Palaniswami Nadar*.¹

2. The question whether or not time was of the essence of the contract would essentially be a question of the intention of the parties to be gathered from the terms of the contract. *Hind Constn. Contractors v. State of Maharashtra*.²

3. Even if a contract expressly lays emphasis on time as the essence of the contract, the condition will be dependent on other provisions of the contract. The inference that the work must be completed by a particular date may not be given the fundamental position because of the presence of such other provisions. If such other clauses provide for extension of time in certain probabilities or for payment of fine or penalty on daily or weekly basis if the work remains unfinished on the expiry of the given period, the express provision as regards the time being of the essence of contract will be rendered ineffective. *Hind Constn. Contractors v. State of Maharashtra*. (See above).

4. When a contract relates to sale of immovable property it will normally be presumed that the time is not the essence

¹ AIR (1967) Supreme Court 868

² AIR (1979) Supreme Court 720

of the contract. *Govind Prasad Chaturvedi v. Hari Dutt Shastri and another*.¹

5. In mercantile contracts, the time of delivery of goods is of the essence of the contract but not the time of the payment of the price. *Mahabir Prasad v. Durga Dutta*.²

RULES REGARDING APPROPRIATION OF PAYMENTS

When a debtor owes several distinct debts to the same creditor and makes a payment to the creditor, the question may arise against which debt the payment is to be appropriated. In England the law on the subject was laid down in *Clayton's case*.³ In India the rules regarding appropriation of payments are contained in Sections 59-61 of the Contract Act. The law on the point can be summarised as follows :

1. Express appropriation by Debtor

If the debtor at the time of making the payment expressly intimates that the payment is to be applied to the discharge of some particular debt, the payment if accepted, must be applied accordingly.

2. Implied appropriation by Debtor

If there is no express appropriation, but there are circumstances which imply that the debtor intended appropriation to a particular debt, the debtor's intention must be followed, if the money is accepted.

Examples :

- (i) *A* owes *B* among other debts, Rs. 1,000 upon a promissory note which falls due on 1st June. He owes no other debt of that amount. On the 1st June *A* pays to *B* 1,000 rupees. The payment is to be applied to the discharge of the promissory note.
- (ii) *A* owes to *B* among other debts, the sum of Rs. 567. *B* writes to *A* and demands the payment of this sum. *A* sends to *B* Rs. 567. This payment is to be applied to the discharge of the debt of which *B* had demanded payment.

3. Principal and Interest when both due

The general rule is that in absence of any appropriation by

¹ AIR (1977) Supreme Court 1005 ² AIR (1961) Supreme Court 990

³ (1816) 1 Mer 572, 610

the debtor at the time of payment, the payment should be attributed in the first instance to interest and then to the principal. *Harishchandra and another v. Kailashchandra and another*.¹

When both principal and interest are due, the debtor can stipulate that a particular payment made by him is to be appropriated to the principal, the interest remaining due. If the creditor accepts the payment he must also accept the debtor's appropriation. If he does not like to do so he must refuse to accept the payment.

4. Appropriation by Creditors

If there is no express or implied appropriation by the debtor, the creditor may apply the money to any lawful debt which is due and payable by the debtor. He may even apply it to a debt which is barred by the law of limitation.

Example :

S was an unregistered dentist who, according to the law in force in England, could not sue for performing a dental operation but could sue for materials supplied. S had a bill against P for £45 of which £20 was for performing an operation and £25 for materials supplied. P paid £20 without appropriating it. In an action by S, held (1) S could appropriate the £20 towards his professional services because it was a lawful debt although irrecoverable and (2) he could make the appropriation for the first time while giving evidence in his suit. *Seymour v. Pickett*.²

5. Order of appropriation

When neither the debtor nor the creditor makes any appropriation, the payment shall be applied in discharge of the debts in order of time, whether they are or are not barred by the law of limitation. If the debts are of equal standing (*i.e.*, of the same date) the payment shall be applied in discharge of each proportionately.

6. The rule in re Hallett's estate

Suppose that a man has an account in a bank in which he keeps his own money as well as some moneys of which he is a trustee. He makes a series of deposits and withdrawals, in the course of which some trust funds are misappropriated. In this

¹ AIR (1975) Raj. 15

² (1905) 1 K. B. 715

case, the withdrawals are to be debited first to his own moneys and then to the trust funds; and the deposits are to be credited first to the trust fund and next to his own fund, whatever be the order of withdrawals and deposits. *In re Hallett's Estate*.¹

EXERCISES

1. What do you understand by performance of a contract? Under what circumstances a contract need not be performed? (Pages 99, 107)
2. State the essentials of a valid tender. (Pages 99-100)
3. State the rules regarding appropriation of payments. (Pages 112-114)
4. When is time the essence of the contract? (Page 109)
5. Write notes on : (a) Devolution of joint promises (rights and liabilities); (b) Reciprocal promises; (c) Assignment of contracts. [Pages (a) 104-107; (b) 107-108; (c) 107-109]
6. Objective questions. Give short answers :
 - (i) *X* tenders a cheque for buying goods from *Y*. Is *Y* bound to accept the cheque? (Page 99)
 - (ii) *Q* promises to paint a picture for *B* by a certain day on payment of Rs. 1,000. *Q* dies before that day. Can this contract be enforced by *Q*'s representatives or by *B*? (Example (ii) page 102)

TERMINATION OR DISCHARGE OF CONTRACTS

METHODS OF TERMINATION

When the obligation created by a contract come to an end, the contract is said to be discharged or terminated. A contract may be discharged or terminated in any of the following ways :

- I. By performance of the promise or tender.
- II. By mutual consent cancelling the agreement or substituting a new agreement in place of the old.
- III. By subsequent impossibility of performance.
- IV. By operation of law—i.e., death, insolvency, or merger.
- V. By lapse of time.
- VI. By material alteration without the consent of the other parties.
- VII. By breach made by one yearly.

The rules regarding termination of contracts are discussed below.

I. TERMINATION BY PERFORMANCE

The obligations of a party to a contract come to an end when he performs his promise. Performance by all the parties, of the respective obligations, puts an end to the contract completely. This is the normal and natural mode of discharging a contract.

The *offer of performance* or tender has the same effect as performance. If a party to a contract offers to perform his promise but the offer is not accepted by the other party, the obligations of the first party are terminated.

II. TERMINATION BY MUTUAL AGREEMENT

By agreement of all parties, a contract may be cancelled or its terms altered or a new agreement substituted for it. Whenever any of these things happen, the old contract is terminated.

"If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed."—Sec. 62.

Termination by mutual agreement may occur in any one of the following ways.

Novation

Novation occurs when a new contract is substituted for an existing contract, either between the same parties or between different parties. The definition was given by Lord Selborne in a House of Lords case, *Scarf v. Jardine*.¹ Anson however, is of opinion that novation can only take place by agreement between the parties. "Novation cannot be compulsory."²

It is now held that novation may occur by two ways, viz., (i) change of parties and (ii) a substitution of a new contract in place of the old.

Examples :

- (i) *A* is indebted to *B* and *B* to *C*. By mutual agreement *B*'s debt to *C* and *A*'s debt to *B* is cancelled and *C* accepts *A* as his debtor. There is novation.
- (ii) On an amalgamation of two companies into a new company, the creditors of the old companies can enforce their claims against the new company. The new company is substituted for the old companies.
- (iii) *A* owes *B* 1,000 rupees under a contract. *B* owes *C* 1,000 rupees. *B* orders *A* to credit *C* with 1,000 rupees in the books, but *C* does not assent to the arrangement. *B* still owes *C* 1,000 rupees, and no new contract has been entered into.
- (iv) *P* lent *D* Rs. 2,000. Afterwards the parties agreed that *D* will repay to *P* Rs. 1,000 and a certain amount of ornament at a certain date. The former agreement is replaced by the latter. There is novation.

Alteration

Alteration of a contract means change in one or more of the terms of a contract. Alteration is valid if it is done with the consent of all the parties to the contract.

In Alteration there is change in the terms of the contract but no change of the parties to it. In Novation there may be change of parties.

Remission

Remission may be defined as the acceptance of less than what was contracted for. According to Section 63 of Contract Act, "Every promisee may dispense with or remit, wholly or in part, the performance of the promise made to him, or may extend the time for such performance, or may accept instead of it any

¹ (1882) 7 App. Cases 345

² Anson, *Law of Contract*, ch. XI

satisfaction which he thinks fit." So in India a promisee may remit or give up a part of his claim and a promise to do so is binding even though there is no consideration for doing so.

Examples :

- (i) *A* owes *B* Rs. 5,000. *A* pays to *B* and *B* accepts in full satisfaction for the whole debt. Rs. 2,000. The old debt is discharged.
- (ii) *A* promises to paint a picture for *B*. *B* afterwards forbids him to do so. *A* is no longer bound to perform the promise.
- (iii) *A* owes *B*, under a contract, a sum of money, the amount of which has not been ascertained. *A* without ascertaining the amount gives to *B*, and *B*, in satisfaction thereof, accepts the sum 2,000 rupees. This is a discharge of the whole debt whatever may be its amount.
- (iv) *H. K.* was liable to pay Rs. 27 lakhs. His estate was taken over by a committee to administer it. The committee offered to pay Rs. 20 lakhs to the creditor in full satisfaction and he accepted the offer. But afterwards the creditor sued the debtor for the balance viz., Rs. 7 lakhs. The Supreme Court held the case is covered by Sec. 63 and he is not entitled to sue. *Kapur Chand Godha v. Mir Nawab Himayat Ali Khan*.¹

Accord and Satisfaction

These two terms are used in English law. According to English law, a promise to accept less than what is due under an existing contract, is not supported by any consideration and is therefore unenforceable. But an exception is made where the smaller sum is actually paid (or the smaller obligation actually performed) and accepted by the promisee. In such cases the old contract is discharged by what is called *accord and satisfaction*. Accord means the promise to accept less than what is due under the old contract. Satisfaction means the payment or the fulfilment of the smaller obligation. An accord is unenforceable; but an accord followed by satisfaction discharges the pre-existing obligation.

Example :

P owes *Q* Rs. 5,000. *Q* agrees to accept Rs. 2,000 in full satisfaction of his claim. This promise is unenforceable in English law. But when Rs. 2,000 is actually paid and accepted, there is accord and satisfaction and the original debt is discharged.

The doctrine of accord and satisfaction is not applied in India. According to Section 63, a promise may dispense with or remit

¹ AIR (1963) Supreme Court 250

wholly or in part, the performance of the promise made to him. Therefore if the promise agrees to accept Rs. 2,000 in full satisfaction of a claim for Rs. 5,000 the promise is enforceable.

Rescission

Rescission means cancellation of all or some of the terms of a contract. The rescission of a contract may occur under various circumstances :

1. It may be done by mutual consent.—Sec. 62.
2. Where a party to a contract fails to perform his obligation, the other party can rescind the contract without prejudice to his rights to receive compensation for breach of contract.
3. In a voidable contract, one of the parties has the option of rescinding it.

Section 66 of the Indian Contract Act provides that, "The rescission of a voidable contract may be communicated or revoked in the same manner, and subject to the same rules, as apply to the communication or revocation of a proposal."

Rescission may be by act of party. It is not necessary, save in exceptional cases, to file a suit for the purpose.

Examples :

- (i) *P* promises to deliver certain goods to *Q* on a certain date. Before the date of performance *P* and *Q* mutually agree that the contract will not be performed. The parties have rescinded the contract.
- (ii) *X* was induced to enter into an agreement by coercion. He can rescind the agreement.

Suit for Rescission : Section 35 of Specific Relief Act (Act 1 of 1877) provides that, "Any person interested in a contract in writing may sue to have it rescinded." The court may grant rescission in the following cases :

- (a) When the contract is voidable or terminable by the plaintiff.
- (b) Where the contract is unlawful for causes not apparent on its face and the defendant is more to blame than the plaintiff.
- (c) Where a decree for specific performance of a contract of sale, or of a contract to take a lease, has been made and the purchaser or the lessee makes default in payment of the purchase money or other sums which the court has ordered him to pay.

Waiver

Waiver means the abandonment of a right. A party to a

contract may waive his rights under the contract. Thereupon the other party is released from his obligations.

Merger

When a superior right and an inferior right coincide and meet in one and the same person, the inferior right vanishes into the superior right. This is known as merger.

Example :

A man holding property under a lease, buys the property. His rights as a lessee vanish. They are merged into the rights of ownership which he has now acquired.

III. SUBSEQUENT OR SUPERVENING IMPOSSIBILITY

Pre-contractual Impossibility

A contract which at the time it was entered into was impossible to perform, is void *ab initio* and creates no rights and obligations, e.g., a promise to ride a horse to the sun.

Post-contractual Impossibility

A contract, which at the time it was entered into, was capable of being performed may subsequently become impossible to perform or unlawful. In such cases the contract *becomes void*. This is known as the doctrine of *Supervening Impossibility*. It is also known as the Doctrine of Frustration. (See pages 124-126)

"A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful."—Sec. 56, para 2.

Grounds of Frustration. Supervening impossibility may occur in many ways, some of which are explained below :

1. Destruction of an object

In the case *Taylor v. Caldwell*.¹ Blackburn J. observed as follows. "In contracts in which the performance depends on the continued existence of a given person or thing, a condition is implied that the impossibility of performance arising from the perishing of the person or thing shall excuse the performance".

¹ (1863) 122 E. R. 299

Examples :

- (a) A music hall was let for a series of concerts on certain days. The hall was burnt down before the date of the first concert. The contract becomes void. *Taylor v. Caldwell*. (See p. 119)
- (b) A person contracted to deliver 200 tons of potatoes from a particular field. The potatoes were destroyed by a pest through no fault of the party. The contract was held to be discharged. *Howell v. Coupland*.¹
- (c) There was an agreement between the owner of a theatre and a producer, to exhibit a picture. The Municipal authorities issued order to demolish the theatre because it was unsafe. Neither of the parties knew that. Held, the contract was discharged. *V. L. Narasu v. P. S. V. Iyer*.²

2. Change of law

The performance of a contract may become unlawful by a subsequent change of law. In such cases, the original contract becomes void.

Examples :

- (i) *M* sold to *N* a specified parcel of wheat in a warehouse. Before delivery, the wheat was requisitioned by the Government under statutory powers. The delivery being now legally impossible, the contract was discharge. *Re Shipton, Anderson & Co*.³
- (ii) *X*, who was governed by Hindu Law and who already had a wife promises to marry *Y*. Then the Special Marriage Act is passed prohibiting polygamous marriage. The contract to marry becomes void.

3. Failure of Pre-conditions

When a contract is entered into on the basis of the continued existence of a certain state of things, the contract is discharged if the state of things changes.

This principle has been supported in some cases on the ground that every agreement presumes the existence of a certain state of things on the basis of which the agreement was entered into. The continued existence of the same state of things is a *condition precedent* to the performance of the contract. Obviously the contract fails if there is a failure of the condition precedent.

Examples :

- (i) *A & B* contract to marry each other. Before the time fixed for the marriage, *A* goes mad. The contract becomes void. [Illustration (b) of Section 56].

¹ (1876) 1 O. B. D. 258

² I. L. R. (1953) Mad. 831

³ (1915) 3 K. B. 676

- (ii) *H* hired a room from *K* for two days with the object (as both parties knew) of using the room to view the coronation procession of Edward VII although the contract contained no reference to the procession. Owing to the King's illness the procession was abandoned. Held, that the contract was discharged and *H* was excused from paying rent for the room as the existence of the procession was the basis of the agreement. *Krell v. Henry*.¹
- (iii) *A* contracts to take cargo for *B* at a foreign port. *A*'s Government afterwards declares war against the country in which the port is situated. The contract becomes void when war is declared. [Illustration (d) of Section 56. See also para 5, below.]

4. Death or Incapacity for personal services

Where the personal qualification of a party is the basis of the contract the contract is discharged in cases of death or personal incapacity.

Examples :

- (i) *G* contracts to act at a theatre for six months in consideration of a sum paid in advance by *H*. On several occasions *G* is too ill to act. The contract to act on these occasions becomes void.
- (ii) A piano player was prevented from performing by a dangerous illness. Held, the contract is discharged because the player could have insisted on performing when she was unfit to do so. *Robinson v. Davison*.²
- (iii) A seaman was interned owing to war. His contract of service was discharged. *Herlock v. Beal*.³
- (iv) A music-hall artist was called up for army service. His contract of service was discharged. *Morgan v. Manser*.⁴

5. Outbreak of War

A contract entered into during war with an alien enemy is void *ad initio*. A contract entered into before the war commenced between citizens of countries subsequently at war, remains suspended during the pendency of the war. After the termination of the war, the contract revives and may be enforced.

The above rules regarding the effect of war on contracts were formulated by English judicial decisions and are applicable to India. But the following exceptions are to be noted :

- (i) In India there may be a valid contract with an enemy alien during war, if the Central Government specifically permits it.

¹ (1903) 2 K. B. 740

² (1871) L. R. 6 Ex. 269

³ (1916) 1 A.C. 486

⁴ (1948) 1 K. B. 184

- (ii) Contracts entered into before the outbreak of the war will be cancelled and not merely suspended, if they amount to aiding the enemy in the pursuit of war, *Eshosito v. Bowden*¹; or if they are of such a character that they cannot remain suspended e.g., when the contract involves the continuous performance of mutual duties.

Exceptions

Some illustrations are given below of cases which *do not* come within the principle of Supervening Impossibility.

1. *Difficulty of performance* : Difficulty does not excuse performance.

Examples :

- (i) *A* sold *B* a certain quantity of Finland timber to be delivered between July and September, 1914. No deliveries were made before August when war broke out and transport was disorganised so that *A* could not bring any timber from Finland. Held *B* was not concerned with the way in which *A* was going to get timber and therefore the impossibility of getting timber from Finland did not excuse performance. *Blackburn Bobbin Co. v. Allen & Sons*.²
- (ii) The appellants agreed to sell to the respondents a quantity of groundnuts to be shipped from Sudan to Hamburg during November or December, 1956. On November 2nd, the Suez Canal was closed and remained closed for the next five months. The appellants refused to perform the contract claiming that it had been frustrated by the closure of the canal. The House of Lords held there was no frustration, since it would still be possible to ship the nuts to Hamburg around the Cape of Good Hope. *Tsakiroglou & Co. Ltd. v. Noble Thorpe G. m. b. H.*³

2. *Commercial impossibility* : A wholesale dealer's contract to deliver goods is not discharged because a manufacturer has not produced the goods concerned. Similarly increase of wages or prices of raw materials, unseasonable weather or lack of adequate profits do not excuse performance. The reason is that if the parties did not stipulate to the contrary, they must have intended to take the risk of occurrences like these.

Example :

In July 1946, the appellants entered into a contract with the respondents to build 78 houses for a fixed sum £ 94,424. Owing

¹ (1857) 7 E & B 783

³ (1962) A.C. 93

² (1918) 2 K. B. 467

to an unexpected shortage of skilled labour and of certain materials the contract took twenty-two months to complete instead of the eight months expected, and cost sum £1,15,000. The appellants contended that the contract had been frustrated and that they were entitled to claim on a quantum meruit for the cost actually incurred. The House of Lords held that the performance of the contract was more onerous but did not discharge the agreement. The situation was still within the scope of the contract. *Davis Contractors Ltd. v. Fareham U.D.C.*¹

3. *Strikes, lock-outs, civil disturbances and riots* : These events do not terminate contracts unless there is a clause in the contract providing that in such cases the contract is not to be performed or that the time of performance is to be extended.

Examples :

- (i) The lessee of certain salt pans, failed to repair them according to the terms of his contract, on the ground of a strike of the workmen. Held, a strike of workmen is not sufficient reason to excuse performance of a term of the contract. *Hari Laxman v. Secretary of State for India*.²
- (ii) A contract was entered into between two London merchants for the sale of certain Algerian goods. Owing to riots and civil disturbances in that country, the goods could not be brought. Held, no excuse for non-performance of the contract. *Jacob v. Credit Lyonnais*.³

4. *Failure of one of the objects* : When there are several purposes for which a contract is entered into, failure of one of the objects does not terminate the contract.

Example :

X agreed to let out a boat to Y for the purpose of viewing a naval review to be held on the occasion of the Coronation of Edward VII and to cruise round the fleet. Owing to the king's illness the naval review was abandoned but the fleet was assembled and the boat could have been used to cruise round the fleet. Held the contract was not terminated. *Herne Bay Steamboat Co. v. Hutton*.⁴

The Effects of Supervening Impossibility

1. Section 56 (para 2) provides that when the performance of a contract becomes subsequently impossible or illegal, the contract becomes void.

2. Section 65 provides that when a contract becomes void, any person who has received any advantage under it must restore

¹ (1956) A. C. 696

² (1928) 30 Bom. L. R. 49

³ 12 Q. B. D. 589

⁴ (1903) K. B. 740

it, or make compensation for it, to the person from whom he received it. [See under Restitution, p. 140]

3. Section 56 (para 3) provides that, "where one person has promised to do something which he knew, or with reasonable diligence, might have known, and which the promisee did not know to be impossible or unlawful, such promisor must make compensation to such promisee for any loss which such promisee sustains through the non-performance of the promise."

Example :

P contracts to marry *B* being already married to *C*, and being forbidden by the law to which he is subject to practice polygamy. *P* must make compensation to *B* for any loss caused to her by the non-performance of his promise.

THE DOCTRINE OF FRUSTRATION

Definition

When the common object of a contract can no longer be carried out, the court may declare the contract to be at an end. This is known as the Doctrine of Frustration. Anson says, "Most legal systems make provision for the discharge of a contract where, subsequent to its formation, a change of circumstances renders the contract legally or physically impossible of performance."

The law relating to this subject, as in England and India respectively, is stated below.

English Law

Before 1863 a contract, excepting an illegal agreement, was enforced literally. All the parties of a contract had an absolute obligation to perform it. The Doctrine of Frustration emerged after 1863 through court decisions.

In a very old case, decided in 1647, the facts were as follows ; A person *J* got a lease of land from *P* on a rental basis. Then a German Prince seized the land and it was not possible for *J* to use it. The landlord *P* sued for rent. The Court held that *J* must carry out all the terms on the contract including the payment of rent. *Paradine v. Jane*.¹ This case illustrated the rigours of English Law.

¹ (1647) Aleyn 26

Later on many exceptions to the Doctrine of Frustrations were made and on various grounds the court gave relief to aggrieved persons. In the following cases English courts accepted that the contract came into an end : (1) Destruction of an object (2) Change of Law (3) Failure of Pre-conditions (4) Death or Personal Incapacity and (5) Outbreak of War. The cases on those subjects have been cited above. (Pages 119-121)

Basis of the Doctrine : In English courts various theories have been put forward at different times as to the basis of discharge of contracts by Frustrations.¹ The theories are summarised briefly.

(1) *The implied terms* : In some cases it has been held that every contract contained an implied term that a particular thing or state of things should continue to exist. The continued existence of the same state of things is a condition precedent to performance of the contract. Example : *Krell v. Henry*. (See p. 121)

(2) *Disappearance of the foundation of the contract* : If the goods which are the subject of the contract are destroyed without any fault of the parties, the contract should terminate. *Taylor v. Caldwell*. (See p. 119)

(3) *The just and reasonable solution* : In *British Movietonews Ltd. v. London and District Cinemas Ltd.*,² the House of Lords based the doctrine upon the principles of construction or interpretation of documents. Where the court gathers as a matter of construction that the contract itself contained impliedly or expressly a term, according to which it would stand discharged on the happening of certain circumstances, the dissolution of the contract would take place under the terms of the contract itself.

(4) *Change in the obligation* : "Frustration occurs whenever the law recognizes that without default of either party a contractual obligation has become incapable of being performed because the circumstances in which performance is called for would render it a thing radically different from that which was undertaken by the contract." Per Lord Radcliffe. *Davis Contractors, Ltd. v. Fareham U. D. C.* (See p. 123)

Limits : In English law there are certain limits of the Doctrine of Frustration.

(a) If the frustration is self-induced by the party (e.g. negligent acts) the contract is not frustrated.

¹ Anson, *Law of Contract*, p. 464

² (1952) A. C. 166

(b) The frustrating event should defeat the common intention of the parties. There cannot be frustration on one side only.

Example :

Blackburn Bobbin Co. v. Allen and Sons. (See. p. 122)

Effects : In English law frustration produces the following effects : (a) The contract terminates automatically and immediately. It is void and not voidable only. (b) All future obligations are discharged. (c) Some reliefs have been given in England by the Law Reform (Frustrated Contracts) Act 1943.

Example :

Some English merchants contracted to sell machinery to Polish buyers. Before delivery was due, Germany occupied Poland. It was held that the contract was discharged by frustration. *Fibrosa etc. v. Fairbairn etc.*¹

Indian Law

In *Satyabrata Ghosh v. Mugniram Bangur and Co. and Another*,² the Supreme Court of India discussed the English cases relating to frustration and came to the following conclusions :

The doctrine of frustration of contract comes into play when a contract becomes impossible of performance, after it is made, on account of circumstances beyond the control of the parties. It comes within the purview of Sec. 56 of the Indian Contract Act. The word 'impossible' in this section has not been used in the sense of physical or literal impossibility. The performance of an act may not be literally impossible but it may be impracticable and useless from the point of view of the object and purpose which the parties had in view ; and if an untoward event or change of circumstances totally upsets the very foundation upon which the parties rested their bargain, it can be said that the promisor finds it impossible to do the act which he promised, to do. (See section 56, pp. 119-120)

Examples :

- (i) An agreement was entered into for the sale of land subject to the condition that the seller would do some development work on the land. Before the work could be completed the land was requisitioned by the Government for war purposes. Held, the contract was *not* frustrated. *Satyabrata Ghose v. Mugniram Bangur & Co. and Another.* (See above).

¹ (1943) A.C. 32

² (1954) S. C. A. 187 (Supreme Court)

- (ii) There was a contract for sale of goods relating to the Nizam's Jewellery Trust on taking delivery of goods upon payment. Meanwhile the courts restrained the sale by an injunction. The contract of sale must be deemed to be frustrated. *M/s Shanti Vijay & Co. etc. v. Princess Fatima Fouzia and others.*¹

IV. TERMINATION BY OPERATION OF LAW

A contract terminates by operation of law in case of death, insolvency, and merger.

Death—In contracts involving personal skill or ability, death terminates the contract. In other cases, the rights and liabilities pass on to the legal representatives of the dead man.

Insolvency—Upon insolvency, the rights and liabilities of the insolvent are, with certain exceptions, transferred to an officer of the court, known as the Official Assignee in Calcutta and other presidency towns and as Official Receiver in other areas.

Merger—See p. 119.

V. LAPSE OF TIME

Contracts may be terminated by lapse of time. In civil suits the obligations and liabilities in contracts are barred by limitation. The provisions of law are stated in the Limitation Acts.

VI. TERMINATION BY MATERIAL ALTERATION

If the document containing the terms of a contract is *materially altered* by a party to the contract, *without the consent* of the other parties, the contract is discharged and cannot be enforced any more.

The term 'material alteration' means a change which affects or alters, in a significant manner, the rights and liabilities of the parties.²

Example :

A change in the amount of money to be paid ; the time of payments ; the place of payment ; the names of the parties etc.

These changes involve tampering with the document wherein the terms of the contract have been written down. A document which has been tampered with in such a way is not admissible

¹ AIR (1980) Supreme Court 17

² Halsbury's Laws of England (Fourth Edition). para 1378

in evidence and the contract recorded there naturally becomes unenforceable.

If an alteration (by erasure, interlineation, or otherwise) is made in a material part of a deed, after its execution, without the consent of the party or parties liable under it, the deed is rendered void from the time of the alteration. *Loonkaran Sethia etc. v. Mr. Ivan E. John & others etc.*¹

An alteration which does not affect the rights and liabilities of the parties or which are made to carry out the common intention of the parties has no effect on the validity of the contract.

Example :

Correcting a clerical error in figures, correcting the spelling of a name etc. (See under, 'Law relating to Negotiable Instruments'. Ch. 3).

VII. TERMINATION BY BREACH OF CONTRACT

When a contract is broken by one party, the other party or parties are freed from the obligation of performing the contract. They can also take the remedial measures to which they are entitled.

Breach of contract may arise in two ways : (i) by anticipatory breach and (ii) by actual breach or present breach.

Anticipatory Breach of Contract

Anticipatory breach of contract occurs when a party repudiates his liability under the contract *before the time for performance is due* or when a party by his own act *disables himself* from performing the contract.

Examples :

- (i) *C* enters into a contract to supply *B* with certain articles on the 1st of June. Before 1st June he informs *B* that he will not be able to supply the goods.
- (ii) *W* agrees to sing at *L*'s theatre on and from a certain date. Before that date she enters into a long term contract to sing at a different theatre.
- (iii) *X* agrees to marry *Y*. Before the agreed date of marriage, he marries *Z*.

¹ AIR (1977) Supreme Court 336

Consequences of Anticipatory Breach

When anticipatory breach occurs, the aggrieved party can take the following steps :

- (i) He can treat the contract as discharged, so that he is no longer bound by any obligations under the contract ; and,
- (ii) He can immediately adopt the legal remedies available to him for breach of contract, viz., file a suit for damages or specific performance or injunction.

Anticipatory breach of contract does not by itself discharge the contract. The contract is discharged only when the aggrieved party chooses to treat it as discharged, i.e., when he accepts the repudiation of the contract. If he does not accept the repudiation the contract continues to exist and may be performed by the other party, if possible. But if the repudiation is not accepted and subsequently an event happens which discharges the contract legally (e.g., a supervening impossibility) the aggrieved party loses his right to sue for damages.

Examples :

- (i) *D* agrees to employ *H* as a courier, the service to commence from 1st June. On 1st May he informs *H* that his services will not be required. On 11th May *H* files a suit for damages. He is entitled to do so even though the date of performance of the contract has not arrived. *Hochster v. De la Tour*.¹
- (ii) *X* agreed to load a cargo of wheat on *R*'s ship at Odessa within a certain number of days. When the ship arrived *R* refused to load the cargo. *Y* did not accept the refusal and continued to demand a cargo. Before the last date of loading had expired the Crimean War broke out, rendering the performance of the contract illegal. Held, the contract was discharged and *Y* cannot sue for damages. *Avery v. Bowden*.²
- (iii) The defendant promised to marry the plaintiff upon his father's death ; but during his father's life time he renounced the contract. Held, the plaintiff was entitled to sue without waiting the father's death. *Frost v. Knight*.³

Actual Breach of Contract

Actual breach of contract occurs when during the performance of the contract or at the time when the performance of the contract is due, one party either fails or refuses to perform his obligations under the contract.

The refusal of performance may be *express* (i.e., by word

¹ (1853) 2 E & B 678

² (1856) 5 E & B 714

³ (1872) L. R. 7 Ex. 111

or by writing) or *implied* (i.e., by conduct of the party or by non-action) or abstaining from doing something.

Examples :

- (i) *D* agrees to deliver to *B*, 5 tons of sugar on 1st June. He fails to do so on 1st June. There is breach of contract by *D*.
- (ii) *P* agrees to deliver to *Q* 5 tons of sugar on 1st June. On 1st June he tenders the sugar but *Q* (for no valid reason) refuses to accept delivery. There is breach by *Q*.
- (iii) *C* agreed to supply a railway company with 3,900 tons of railway chairs. After 1787 tons had been delivered the company told *C* that no more will be required. There is breach of contract by the company. *Cort v. Ambergate Railway Company*.¹

Remedies of Breach of Contract

When a breach of contract occurs, the aggrieved party or the injured party becomes entitled to the following reliefs :

1. *Rescission of the contract* : The aggrieved party is freed from all his obligations under the contract. (See p. 118)

Examples :

- (i) *C* promises to deliver 5 tons of sugar to *B* on a certain date and *B* promises to pay the price on receipt of the goods. *C* does not deliver the goods on the appointed day. *B* need not pay the price.
- (ii) *A* contracts with *B* to repair *B*'s house. *B* neglects or refuses to point out to *A* the place, in which his house requires repair. *A* is excused for the non-performance of the contract if it is caused by such neglect or refusal. (Illustration of Sec. 67)

2. *Suit for Damages* : The aggrieved party is entitled to receive compensation for any loss or damage caused to him by the breach of contract and can file a suit for getting a decree for damages.

3. *Suit upon Quantum Meruit* : When a contract has been partly performed the aggrieved party can, under certain circumstances, file a suit for the price of the services performed before breach of contract.

4. *Specific performance of the contract* : In certain special cases the court can direct a party to perform the contract according to the agreed terms.

5. *Injunction* : Under certain circumstances the court can issue an order upon a party whereby he is prohibited from doing something which amounts to a breach to contract.

The provisions of law regarding the reliefs listed above are discussed below.

¹ (1851) 17 Q. B. 127

DAMAGES

When a contract is broken the injured party can claim damages from the other party. Damages allowed by the courts may be of different types as follows :

Compensatory Damages

Compensatory damages are damages calculated in such a way as to compensate or make up the loss suffered by a party. They can also be called Ordinary Damages.

Special Damages — See page 133.

Nominal Damages, Contemptuous Damages

Where the court finds that the party has not actually suffered much damage or when the court is of opinion that the breach complained of was too insignificant or petty ; the court allows a paltry sum for damages to the plaintiff. These are called nominal damages or contemptuous damages.

Exemplary, Punitive or Vindictive Damages

The court may allow damages exceeding the actual loss suffered by way of punishment. These are called exemplary, punitive or vindictive damages. Such damages are unusual. In English courts exemplary damages are usually given in cases of breach of contract of marriage and against bankers refusing to pay traders' cheques where there are sufficient funds of the trader in the bank. *Addis v. Gramophone and Co.*¹

Example :

A scurrilous libel was committed by an author and its publisher against a distinguished naval officer. The officer sued for damages in an English Court. He was awarded £15,000—compensatory and £25,000/-exemplary damages, against both defendants. The Court of Appeal (presided by Lord Denning) did not interfere with the decision of the trial court. *Broome v. Cassell and Co.*²

RULES REGARDING THE AMOUNT OF DAMAGES

The principles

The principles, to be followed by the courts in determining the amount of damages, are laid down in Sections 73 to 75 of the Contract Act.

¹ (1909) A. C. 488

² (1971) 2 All E. R. 187

Section 73 (para 1) provides that in cases of breach of contract the injured party is entitled to receive compensation for any loss or damage which arose naturally from the breach or which the parties knew to be likely to arise from the breach.

"When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it."—Sec. 73, para 1.

Rules

The rules on the subject of amount of damages can be summarised as follows :

1. Actual loss

Ordinarily, the aggrieved party is entitled to recovery by way of compensation, only the *actual loss* suffered by him.

2. Natural and usual loss

In calculating actual loss, the court will take into account only such loss as may be *fairly and reasonably* considered as arising *naturally* and in the *usual course of things* from the breach. Remote damages *i.e.*, damages for remote consequences are usually not allowed.

Examples

- (i) *X*, a carrier, was entrusted with the delivery of a machine part (breakage of a crankshaft) to *Y*, a manufacturer. The delivery was delayed. *Y* claimed from *X* compensation for the wages of workers and depreciation charges which were incurred during the period the factory was idle for the delayed delivery and for loss of profits which might have been made if the factory was working. The first two items were allowed because they were natural consequences of the breach. The last item, loss of profits was disallowed because it was a remote consequence. *Hadley v. Baxendale*.¹
- (ii) *A* contracts to sell and deliver 50 maunds of saltpetre to *B*, at a certain price to be paid on delivery. *A* breaks his promise. *B* is entitled to receive from *A* by way of compensation the sum if any by which the contract price falls short of the price for which *B* might have obtained 50 maunds of saltpetre of like quality at the

¹(1854) 9 Ex. 341

time when the saltpetre ought to have been delivered. [Illustration (a) to Sec. 73]

- (iii) *A* contracts to pay a sum of money to *B* in a day specified. *A* does not pay the money on that day. *B* in consequence of not receiving the money on that day is unable to pay his debts and is totally ruined. *A* is not liable to make good to *B* anything except the principal sum he contracted to pay, together with interest upto the day of payment. [Illustration (n) to Sec. 73]
- (iv) *A* hires *B*'s ship to go to Bombay, and there take on board, on the first of January a cargo which *A* is to provide, and to bring it to Calcutta, the freight to be paid when earned. *B*'s ship does not go to Bombay but *A* has opportunities of procuring suitable conveyance for the cargo upon terms as advantageous as those on which he had chartered the ship. *A* avails himself of those opportunities, but is put to trouble and expense in doing so. *A* is entitled to receive compensation from *B* in respect to the trouble and expense. [Illustration (b) to Sec. 73]

3. Special damages

The court may allow remote damages *i.e.*, damages not arising naturally from the breach, if such damages may reasonably be supposed to have been in the contemplation of both the parties at the time they made the contract.

Damages coming within this category are sometimes called, "Special Damages".

Examples :

- (i) *A* delivers to *B*, a common carrier, a machine to be conveyed without delay to *A*'s mill *informing B that his mill is stopped for want of the machine*. *B* unreasonably delays the delivery of the machine and *A*, in consequence, loses a profitable contract with the government. *A* is entitled to receive from *B*, by way of compensation, the average amount of profits which would have been made by the working of the mill during the time that delivery of it was delayed, but not the loss sustained through the loss of the government contract. [Illustration (i) to Sec. 73]
- (ii) *P* bought from *L* some copra cake. *P* sold the cake to *B*, who sold it to various dealers who in turn sold it to farmers, who used it for feeding cattle. The copra cake was poisonous and the cattle fed on it died. The various buyers filed suits against their sellers and obtained damages. The various sellers filed suits against *P* and obtained damages. *P* claimed from *L* the damages and costs he had to pay. Held, as it was within the contemplation of the parties that the copra cake was to be used for feeding cattle. *L* was liable to pay damages. *Pinnock Bros. v. Lewis & Peat Ltd.*¹

¹ (1923) 1 K. B. 690

4. Restitution and Compensation

The general rule is that, subject to the rules stated above, the injured party is to be placed in the same financial position as he would have been in, if the other party had duly carried out the contract. "If a contract is broken, law will endeavor, so far as money can do it, to place the injured party in the same position as if the contract has been performed."

It follows that damages are given for restitution and compensation. Damages are not given with the object of punishment, except in certain special cases, e.g., breach of contract of marriage.

Generally, in Sale Contracts, damages are given on the basis of the differences between the contract price and the market price.

See example (iii), page 106.

5. Costs

The injured party is entitled to get the costs of getting the decree for damages.

6. Minimisation of loss

It is the duty of the injured party to minimise the loss as much as possible. The law imposes on the plaintiff the duty of taking all reasonable steps to mitigate the loss consequent on the breach, and debars him from claiming any part of the damages which is due to his neglect to take such steps. *Jamal v. Moola Dawood Sons & Co.*¹

Example :

The plaintiff took a shop on lease and paid an advance. The defendant could not give him possession and the plaintiff chose to do no business for 8 months though there were other shops available in the vicinity. Held, he was entitled only to refund of his advance as his duty was to minimise damages and he could have done so by taking another shop. *Neki v. Pirbhu.*²

7. Effect of a penalty clause

If in a contract a sum of money is named as the amount to be paid in case of breach, or if the contract contains any stipulation by way of penalty for failure to perform the

¹ (1916) 43 I. A. 6

² 100 I. C. 662

obligations, the court will allow *reasonable compensation, not exceeding the sum named*.—Sec. 74.

Example :

A contracts with *B* to pay *B* Rs. 1000 if he fails to pay *B* Rs. 500 on a certain day. *A* fails to pay *B* Rs. 500 on that day. *B* is entitled to recover from *A* such compensation, not exceeding Rs. 1000, as the court considers reasonable.

8. Difficulty of assessment

Difficulty of calculating damages is no ground for refusing damages. The court must make an assessment of loss and pass a decree for it.

Example :

H organised a beauty competition in which 50 ladies were to be selected by votes of the readers of certain newspapers. *H* would select 12 out of the 50 and secure theatrical jobs for them. *C* was one of the 50 and by *H*'s breach of contract was prevented from being present when the final selection was made. Held, *C* was entitled to damages even though it was difficult to calculate them. *Chaplin v. Hicks*.¹

Liquidated Damages and Penalty

A contract sometimes contains a clause in which a sum of money is named as the amount payable in case of breach of contract. In such cases the question arises whether the courts of law will accept this figure as the measure of damage.

English Law : According to English law, the amount of money payable is interpreted either as liquidated damages or as a penalty. It is considered to be liquidated damages when the amount is fixed by the parties on the basis of a *reasonable* estimate of the *probable* actual loss which a party will suffer in case of breach. On the other hand, the amount fixed is considered to be a penalty if it is *not* based upon a reasonable calculation of actual loss but is fixed by way of *punishment* and as a *threat*. Suppose that a contractor agrees to complete the building of a house by 1st June and promises to pay Rs. 50 per day as damages for each day of default beyond the prescribed day of completion. If the figure Rs. 50 was arrived at after calculating the actual loss which the house-owner will suffer for the breach of contract, it is liquidated damages. If the actual

¹ (1911) 2 K. B. 786

damage is considerably less and the amount was fixed in order to threaten the contractor it is a penalty.

In case of liquidated damages, English courts allow only the amount stipulated, never more or less even though it is shown that the actual loss is different from the amount mentioned. Penalty clauses, however, are treated as invalid. The court allows only reasonable compensation by way of damages.

Indian Law : In India, the distinction between liquidated damages and penalty is not recognised. Section 74 of the Contract Act lays down that if the parties have fixed what the damages will be, the courts will never allow more. But the court may allow less. A decree is to be passed only for reasonable compensation, not exceeding the sum named by the parties.

Exception : There is one exceptional case provided for by Section 74. When any person enters into any bail bond or similar instrument or gives any bond (to the Central Government or any State Government) for the performance of any public duty, he shall be liable, upon breach of the condition of any such instrument, to pay the whole sum mentioned therein. In this case it is not necessary to calculate the actual loss.

Examples :

- (i) *A* contracts with *B* to pay *B* Rs. 1000 if he fails to pay *B* Rs. 500 on a given day. *A* fails to pay *B* Rs. 500 on that day. *B* is entitled to recover from *A* such compensation, not exceeding Rs.1,000, as the Court considers reasonable. [Illustration 'a' in Section 74]
- (ii) *A* borrows Rs. 100 from *B* and gives him a bond for Rs. 200 payable by five yearly instalments of Rs. 40, with a stipulation that, in default of payment of any instalment, the whole shall become due. This is a stipulation by way of penalty. [Illustration 'g' in Section 74]
- (iii) The appellants, sold tyres and tubes, to the respondents who contracted not to resell them, at a price below the manufacturers' list prices. The respondents further agreed to pay £5 by way of liquidated damages for every breach of this agreement. They sold a tyre at less than the list price. The House of Lords held that the sum fixed was a pre-estimate of the damage and not a penalty. *Dunlop Pneumatic Tyre Co. Ltd v. New Garage and Motor Co. Ltd.*¹
- (iv) The defendant agreed not to sell any one of the plaintiffs' cars below the listed price. For every breach he was to pay £250, as 'agreed damages'. The Court of Appeal of England held that this was a penalty. *Ford Motor Co. v. Armstrong.*²

¹ (1915) A. C 79

² (1915) 31 T. L. R. 267

Can increased interest be called as penalty ?

A stipulation that increased interest will be paid from the date of default of performance may be considered a penalty clause and disallowed by the courts. If simple interest is payable and there is a condition in the agreement that the debtor will have to pay compound interest on failure to pay at the specified date, the condition will be considered penalty.

When can interest be claimed ?

Interest can be claimed and awarded for any debt or damages. The rules regarding interest were formerly laid down in the Interest Act of 1839. This Act was repealed in 1978 and was replaced by the Interest Act of 1978 (Act No. 14 of 1978). The important rules of the Act of 1978, regarding interest for debt and damages, are stated below : (1) there must be a debt or a sum certain ; (2) it must be payable at a certain time or otherwise ; (3) these debts or sums must be payable by virtue of some written contract at a certain time ; (4) there must have been a demand in writing stating that interest will be demanded from the date of demand ; and (5) the rate of interest must not exceed the current rate of interest. The phrase "the current rate of interest" means the highest of the maximum rates at which interest may be paid on different classes of deposits given or issued by the rules of the Reserve Bank of India.

The rules, stated above, do not apply to any debt or damages on which (a) interest is payable as of right; by virtue of any agreement ; and (b) when such payment of interest is barred by virtue of an express agreement. The rules do not apply to (a) compensation for dishonour under the Negotiable Instruments Act ; and (b) rules under the Code of Civil Procedure. The Court can award interest upon interest.

QUANTUM MERUIT**Definition**

The phrase "Quantum Meruit" means "as much is merited". A person can, under certain circumstances, claim payment for work done or goods supplied without any contract and in cases where the original contract has terminated by breach of contract by one party or has become void for some reason. This is known as the Doctrine of Quantum Meruit.

Rules

The rules regarding the Doctrine of Quantum Meruit are stated below.

1. Where there is a breach of contract, the injured party is entitled to claim reasonable compensation for what he has done under the contract.

Examples :

- (i) *P* agreed to write a book to be published by instalments in a magazine owned by *C*. After a few instalments were published, the magazine was abandoned. *P* is entitled to get damages for breach of contract and payment quantum meruit for the part already published. *Planche v. Colburn*.¹
- (ii) The plaintiff agreed to erect certain building but failed to complete the contract. The defendant completed the building himself, using the materials left on the site by the plaintiff. It was held that the plaintiff could not recover for the work done, but he was entitled to recover the value of the materials used. *Sumpter v. Hedges*.²

2. When a contract is discovered to be unenforceable for some technical reason, any person who had done something under the contract, is entitled to reasonable compensation. The case is proved for by Section 65 of the Act. (See p. 140)

Example :

C was employed as managing director of a company by the board of directors of the company under a written contract. The contract was found to be void because the directors who constituted the board were unqualified. *C* actually worked as managing director for some time. It was held that he was entitled to remuneration as quantum meruit. *Craven-Ellis v. Canons Ltd.*³

3. In certain cases the law presumes an implied agreement to pay for services rendered, for example, when work is done or goods are supplied by a person without any intention to do so gratuitously and the benefit of the same enjoyed by the other party. This case is provided for by Section 70 of the Contract Act. (See p. 142)

Example :

A, a trader leaves certain goods with *B* by mistake, not intending to do so gratuitously. *B* uses the goods. He must pay for them.

4. Where a contract is not divisible into parts and a lump sum of money is promised to be paid for the entire work, part

¹ (1831) 8 Bing 14

² (1898) 1 Q. B. 673

³ (1936) 2 K. B. 403

performance does not entitle a party to claim payment quantum meruit.

Example :

A sailor was appointed on a ship for a voyage from Jamaica to Liverpool on a lump sum payment of 30 guineas. He died when only two-thirds of the voyage was completed. Held, his legal representatives could not recover anything. *Curter v. Powell*.¹

5. Nothing can be recovered for quantum meruit when there is no evidence of an excess or implied promise to pay for work already done.

6. A person guilty of breach of contract cannot claim payment on quantum meruit.

⑥ SPECIFIC PERFORMANCE

Under certain circumstances, a person aggrieved by breach of contract can file a suit for specific performance, *i.e.*, for an order by the court upon the party guilty of breach of contract directing him to perform what he promised to do. Specific performance is a discretionary remedy which is allowed only in a limited number of cases. Rules regarding the granting of this relief are contained in the Specific Relief Act of 1877.

Generally speaking specific performance is directed only in cases where monetary compensation is not an adequate remedy. For example, in contract for the sale of a particular house or some rare article, monetary compensation is not enough because the injured party will not be able to get an exact substitute in the market. In such cases specific performance may be directed.

Specific performance is not allowed in cases where monetary compensation is an adequate relief. It is also not allowed in contracts of a personal nature, *e.g.*, a contract to marry or a contract to paint a picture. Where it is not possible for the court to supervise the performance of the contract, *e.g.*, a building contract, specific performance is not granted.

INJUNCTION

Injunction means an order of the court. In cases of breach of contract, the injured party can, under certain circumstances,

¹ 101 E. R. 573

get a negative injunction, *i.e.*, an order prohibiting a party from doing something. Injunctions are usually granted to enforce negative stipulations in cases where damages are not adequate relief. It is particularly appropriate in cases of anticipatory breach of contract.

Examples :

- (i) *G* agreed to buy the whole of the electric energy required for his house from a certain company. This was interpreted as a promise not to buy electricity from any other company. He was therefore restrained by an injunction from buying electricity from any other company. *Metropolitan Electric Supply Company v. Ginder*.¹
- (ii) *N*, a film actress agreed to act exclusively for Warner Bros. for one year. During the year she contracted to act for *X*. Held, she could be restrained by an injunction from acting for *X*. *Warner Bros. v. Nelson*.² It is to be noted that in this case an order directing *N* to act for Warner Bros. (specific performance of the contract) was not passed because the contract was of a personal nature and performance could not have been supervised by the courts.

RESTITUTION OF BENEFIT

Section 64 of the Contract Act provides that when a person, at whose option a contract is voidable, rescinds such contract, he must restore to the other party any benefit which he may have received from him. For example, when a contract for the sale of a house is avoided on the ground of undue influence, any money received on account of the price must be refunded.

Section 65 provides that when an agreement is *discovered to be void* or when a contract *becomes void*, any person who has received any advantage under such agreement or contract is bound to restore it or to make compensation for it, to the person from whom he received it.

This section applies to contracts 'discovered to be void' and contracts which 'becomes void'. It does not apply to contracts which are known to be void. Thus if *A* pays Rs. 100 to *B* to beat *C*, the money is not recoverable.

The expression 'become void' is interpreted liberally. In *Muralidhar Chatterjee v. The International Film Co.*¹ it was held that when one party rescinds a contract for the default of another he is entitled to damages (if he has suffered any) but he must

¹ (1901) 2 Ch. 799

² (1937) 1 K.B. 209

restore to the other party any advantage he has received under the contract.

Examples :

- (a) *A* pays *B* Rs. 1000 in consideration of *B*'s promising to marry *C*, *A*'s daughter. *C* is dead at the time of the promise. The agreement is void but *B* must repay *A* Rs. 1000.
- (b) *A*, a singer contracts with *B* the manager of a theatre to sing at his theatre for two nights in every week during the next two months, and, *B* engages to pay her a hundred rupees for each night's performance. On the sixth night *A* wilfully absent herself from the theatre and *B*, in consequence, rescinds the contract. *B* must pay *A* for the five nights on which she had sung. (*B* can of course claim damages against *A* for breach of contract.)

EXERCISES

1. State the circumstances under which a contract is said to be discharged. (Page 115)
2. Discuss the circumstances under which a contract can be terminated by consent of the parties. (Pages 115-119)
3. What do you understand by 'Novation'? What is the difference between Alteration and Novation? (Page 116)
4. Discuss the effect of supervening impossibility in the performance of a contract. (Pages 119-124)
5. Explain the Law of Frustration of Contract. Give illustrations. (Pages 124-127)
6. Define : Special Damages ; Exemplary Damages ; Nominal Damages. (Pages 131-133)
7. Describe the rules for determination of compensation payable in case of breach of contract. (Pages 128-134)
8. Explain 'Anticipatory breach of contract'. What are the consequences of the breach? (Page 128)
9. What are the consequences of breach of a contract? (Pages 129 -30)
10. State the remedies allowed to the aggrieved person in case of breach of contract. (Pages 128-130)
11. Explain the terms 'Penalty' and 'Liquidated Damages' clearly indicating the difference between the two. (Pages 134-136)
12. What is the effect of a contract on : (i) Strike, Lock-out and Riots, (ii) Material alteration, and (iii) Lapse of time? (Para 3, page 123, 127)

13. Write notes on : (a) Alteration, (b) Remission, (c) Accord and Satisfaction, (d) Rescission, (e) Waiver, (f) Merger, (g) Quantum Meruit.

[(a) 116, (b) 116, (c) 117, (d) 118, (e) 118-119, (f) 119, (g) 137-139]

14. Problem :

(a) *A* pays Rs. 10,000 to *B* in consideration of *B*'s promise to marry *C*, *A*'s daughter. *C* dies and the marriage does not take place. Can *A* claim a refund of the money from *B*? Discuss fully.

(Example (a) page 141)

(b) *A* agreed to let his hall to *B*, for some public entertainment on 1st December, 1965. On 28th November, 1965 the hall was destroyed by accidental fire. Discuss the respective right of *A* and *B*.

(Example (a) page 120)

(c) A debtor agreed to pay compound interest on failure to pay simple interest at the due date. Is it liquidated damage or penalty?

(Page 137)

15. Objective questions. Give short answers :

(i) Write two ways of termination of Contract. (Pages 115)

(ii) Write two remedies of breach of contract. (Page 130)

(iii) State the different damages which can be given for breach of contract. (Pages 131-132)

DEFINITION AND EXPLANATION

When one person obtains a benefit at the expense of another and the circumstances are such that he ought, equitably, to pay for it, the law will compel payment, even though there is no contract between the parties by which payment is promised. The parties will be put in the same position as they would have occupied if there was a contract between them. Such cases are called quasi-contracts because the relationship between the parties in such cases resembles those created by contracts. Sections 68-72 of the Contract Act describe the cases which are to be deemed quasi-contracts under the Indian law.

1. Necessaries for incapable persons

"If a person, incapable of entering into a contract, or any one whom he is legally bound to support, is supplied by another person with necessaries suited to his condition in life, the person who has furnished such supplies is entitled to be reimbursed from the property of such incapable person."—Sec. 68. (See Page 51)

Examples :

- Sec. 68. See para 6*
- (i) *A* supplies *B*, a lunatic with necessaries suitable to his condition in life. *A* is entitled to be reimbursed from *B*'s property.
 - (ii) *A* supplies the wife and children of *B*, a lunatic with necessaries suitable to their condition in life. *A* is entitled to be reimbursed from *B*'s property.

This section covers the case of necessaries supplied to a minor and other incapable persons (e.g., a lunatic) and to persons whom the incapable person is bound by law to maintain (e.g., his wife and minor children). The things supplied must come within the category of necessaries. The price to be paid is reasonable price—not the price which the incapable person might have "agreed to" (legally speaking an incapable person cannot agree to anything). Only the property of the incapable person is liable. He is not personally liable.

2. Reimbursement of interested persons

"A person who is interested in the payment of money which

another is bound by law to pay, and who therefore pays it, is entitled to be reimbursed by the other.”—Sec. 69.

Requisites : The provisions of section 69 are as follows :

1. The payment is to be given to a person interested.
2. The payment is for the protection of his own interest.
3. The person is entitled to repayment.
4. The party must be bound to pay by law.

Examples :

- (i) *B* holds land in Bengal on a lease granted by *A*, the zamindar. The revenue payable by *A* to the Government being in arrear, his land is advertised for sale by the Government. Under the revenue law, the consequence of such sale will be annulment of *B*'s lease. *B* to prevent the sale and the consequent annulment of his own lease, pays to the Government the sum due from *A*. *A* is bound to make good to *B* the amount so paid. (Illustration to Sec 69).
- (ii) *X*'s goods were wrongfully attached in order to realise arrears of Government revenue due by *Y*. *X* pays the amount to save the goods from sale. *X* is entitled to recover the money from *Y*. *Tulsa Kumvar v. Jageshar Prasad*.¹
- (iii) *A*, Hindu mother incurred expenses for her daughter's marriage. She is entitled to recover the expenses from the other members of the Hindu Joint Family. *Vaikuntam v. Kallapiram*.²

3. Benefit of non-gratuitous act

“Where a person lawfully does anything for another person, or delivers anything to him, not intending to do so gratuitously, and such other person enjoys the benefit thereof, the latter is bound to make compensation to the former in respect of, or to restore, the thing so done or delivered.”—Sec. 70.

The three ingredients to support the cause of action under Section 70 are these : First, the goods are to be delivered lawfully or anything has to be done for another person lawfully. Second, the thing done or the goods delivered is so done or delivered “not intending to do so gratuitously.” Third, the person to whom the goods are delivered “enjoys the benefit thereof.” *Union of India v. Sita Ram Jaiswal*.³

Examples :

- (a) *A*, a tradesman, leaves goods at *B*'s house by mistake. *B* treats the goods as his own. He is bound to pay for them.

¹ (1906) 28 All 563

² (1900) 23 Mad. 512

³ AIR (1977) Supreme Court 329

- (b) *A* saves *B*'s property from fire. *A* is not entitled to compensation from *B* if the circumstances show that he intended to act gratuitously.
- (c) *A* contractor, on the request of an officer of the State of West Bengal, constructed a *Katcha* road, office, kitchen etc, for the clerks. The State accepted the works but tried to evade liability because no contract had been concluded according to the formalities of the Government of India Act. Since the State had enjoyed the benefit of the works, the Supreme Court decreed the contractor's claim. *State of West Bengal v. B. K. Mondal & Sons*.¹
- (d) A person supplied spare motor parts and the Pune Corporation accepted the goods. But the corporation said that the contract of sale was not according to the Bombay Municipal Corporation Act. The claim was decreed by Supreme Court. *Pillo Dhunjishaw v. Municipal Corporation of the city of Poona*.²

4. Finder of goods

"A person who finds goods belonging to another and takes them into his custody, is subject to the same responsibility as a bailee."—Sec. 71 (See pp. 168-169)

5. Delivery by mistake or under coercion

"A person to whom money has been paid, or anything delivered by mistake or under coercion, must repay or return it."—Sec. 72.

"The section in terms does not make any distinction between a mistake of law or mistake of fact. The term 'mistake' has been used without any qualification or limitation whatever." *Sales-tax Officer, Banaras v. Kanhaiya Lal Mukund Lal Saraf*.³

Examples :

- (a) *A* and *B* jointly owe 100 rupees to *C*. *A* alone pays the amount to *C*, and *B*, not knowing this fact, pays 100 rupees over again to *C*. *C* is bound to repay the amount to *B*.
- (b) A railway company refuses to deliver up certain goods to the consignee, except upon the payment of an illegal charge for carriage. The consignee pays the sum charged in order to obtain the goods. He is entitled to recover so much of the charge as was illegally excessive.
- (c) A certain amount of sales-tax was paid by a firm under the U. P. Sales Act under a mistake of law. The firm was allowed to get back the money. See case of *Kanaiya Lal Saraf*, above.

¹ AIR (1962) Supreme Court 779

² AIR (1970) Supreme Court 1201

³ AIR (1959) Supreme Court 135

Compensation in case of Quasi Contracts

Under the Contract Act Section 73, para 3, provides the compensation for loss and damages under the Quasi Contracts. The relevant provision under the Act is quoted below :

"Compensation for failure to discharge obligation resembling those created by contract : When an obligation resembling those created by contract has been incurred and has not been discharged, any person injured by the failure to discharge it is entitled to receive the same compensation from the party in default, as if such person had contract to discharge it and had broken his contract.

Explanation : In estimating the loss or damage arising from a breach of contract, the means which existed of remedying the inconvenience caused by the non-performance of the contract must be taken into account."

EXERCISES

1. What is a quasi-contract ? Give some examples of quasi-contract.
(Page 143)
2. State the law regarding the following : (a) Necessaries ; (b) Finder of goods.
(Pages (a) 143, (b) 146, 168)
3. A supplies food to C who is a lunatic. C has assets worth Rupees One lac. On non-payment, can A proceed against the assets of C ? Would your answer be the same if C instead of being a lunatic is an infant ?
(Examples (ii) page 143)
4. Objective questions. Give short answers.
 - (i) Write two examples of quasi-contracts. (Page 143)
 - (ii) X, an infant in a school bought eleven fancy waistcoats from Y. He was at the time adequately provided with clothing. Can Y get the price for the waistcoats.

(See *Nash v. Inman*, Page 51)

CONTRACTS OF INDEMNITY**Definition**

Section 124 of the Contract Act defines a contract of indemnity as a contract by which one party promises to save the other party from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person. *P* contracts to indemnify *Q* against the consequences of any proceeding which *R* may take against *Q* in respect of a certain sum of Rs. 200. This is a Contract of Indemnity. *P* is called the *Indemnifier* and *Q* the *Indemnity-holder*.

Characteristics

Characteristics (or the requisites) of a Contract of indemnity are as follows :

1. A contract of guarantee must satisfy all the essential elements of a contract. For example, the object must be lawful, there must be free consent etc.

2. The Contract may be *express or implied*. An express contract is by word or by writing. An implied contract of indemnity comes from the circumstances of the case or the relationship between the parties.

3. Section 69 implies a promise to indemnify (See p. 144)

Definition not exhaustive

Section 124 of the Indian Contract Act does not give an exhaustive definition of contracts of indemnity. This section includes (i) only *express promises* to indemnify and (ii) only those cases where the loss arises from the conduct of the promisor or of any other person. It does not include (i) *implied promises* to indemnify and (ii) cases where loss arises from accidents and events not depending on the conduct of any person.

It has been held in a number of cases in India that a duty to indemnify may arise by operation of law even in the absence of express agreements. A promise to indemnify may be either

express or implied from the circumstances of the case. The illustration given above is an example of an *express promise* to indemnify. The following is an example of an *implied promise* to indemnify.

A broker forged the signature of the holder of a Government promissory note and endorsed it to the Bank of India. The bank got the note renewed from the Government. The holder sued the Government and recovered damages. The Government sued the bank for indemnity. The Privy Council decreed the suit, quoting with approval the following observations of Lord Halsbury : "It is a general principle of law that when an action is done by one person at the request of another which act is not in itself manifestly tortious to the knowledge of the person doing it, and such act turns out to be injurious to the rights of a third party, the person doing it is entitled to indemnity from him who requested that it should be done." *Secretary of State etc. v. Bank of India*.¹

Under English law, contracts of indemnity cover a much wider field than that included in section 124 of the Indian Contract Act. In England contracts of indemnity include promises, express and implied, to indemnify a person from loss caused by events or accidents which may not depend upon the conduct of any person. In a Bombay case it was held that, "Sections 124 and 125 of the Contract Act are not exhaustive of the law of indemnity and the courts here would apply the same equitable principles that the courts in England do." *Gajanan v. Moreskar*.²

Rights of the Indemnity-holder

Section 125 of the Contract Act lays down that the indemnity-holder is entitled to get from the indemnifier :

1. all damages which he may be compelled to pay in any suit in respect of any matter to which the promise to indemnify applies ;

2. all costs which he may be compelled to pay in such suits (provided he acted prudently or with the authority of the indemnifier) ; and

3. all sums which he may have paid upon compromise of such suit (provided the compromise was prudent or was authorised by the indemnifier).

¹ (1938) 65 I. A. 286 (Privy Council) ² (1942) Bom 402, 670

Comments : It has been held that the rights of the Indemnity-holder, under Section 125, are not exhaustive. The indemnity-holder may be entitled to other equitable reliefs also.

Bombay and Nagpur High Courts have held the indemnifier will be liable only after the actual loss was incurred. But according to the High Courts of Calcutta, Madras and A'lahabad, the indemnity-holder can compel payment from the indemnifier even before he (the indemnity-holder) has met his liability. *Osman Jamal & Sons v. Gopal*.¹

CONTRACTS OF GUARANTEE

Definition

A contract of guarantee is a contract to perform the promise or discharge the liability, of a third person in case of his default.—Sec. 126. *P* lends Rs. 5,000 to *Q* and *R* promises to *P* that if *Q* does not pay the money *R* will do so. This is contract of guarantee. *Q* is called the *Principal Debtor*, *P* the *Creditor*, and *R* the *Guarantor* or the *Surety*.

Classification

Contracts of guarantee may be of three types : (1) for payment to the Creditor to the Principal Debtor by the Guarantor ; (2) payment of price for goods sold, and (3) 'fidelity guarantee' i.e. to discharge the liability of a person for good conduct of a service-holder.

A contract of guarantee may be for (1) a future debt or obligation or for (2) an existing debt.

A guarantee can also be (1) a Simple Guarantee or (2) a Continuing Guarantee (see p. 152)

Essentials of a Valid Guarantee

1. A contract of guarantee must satisfy all the essential elements of a contract. (For example, the object must be lawful ; there must be free consent etc.) But the following points are to be noted.

2. A contract of guarantee may be either oral or written.—Sec 126.

¹ (1919) 56 Cal 262

3. In a contract of guarantee there are three parties i.e., the creditor, the principal debtor and the surety. All the parties must join the contract.

4. In a contract of guarantee, the primary liability is that of principal debtor. The liability of surety arises only when there is a default of the principal debtor. Therefore, the liability of the surety is secondary.

5. In a contract of guarantee the principal debtor may be a minor. In this case the surety is liable to pay even though the minor may not be. The contract will be enforced as between the surety and the creditor.

6. *Consideration* : In a contract of guarantee, the consideration received by the principal debtor is taken to be sufficient consideration for the surety. "Anything done, or any promise made, for the benefit of the principal debtor may be sufficient consideration to the surety for giving guarantee."—Sec.127.

Examples :

- (i) *B* requests *P* to sell and deliver to him goods on credit. *P* agrees to do so, provided *C* will guarantee the payment of the price of goods. *C* promises to guarantee the payment in consideration of *P*'s promise to deliver the goods. This is a sufficient consideration for *C*'s promise.
- (ii) *P* sells and delivers goods to *B*. *C* afterwards requests *P* to forbear to sue *B* for the debt for a year and promises that if he does so, *C* will pay for them in default of payment by *B*. *P* agrees to forbear as requested. This is a sufficient consideration for *C*'s promise.
- (iii) *P* sells and delivers goods to *B*. *C* afterwards, without consideration agrees to pay for them in default of *B*. The agreement is void.

Contracts of Guarantee which are invalid

A contract of guarantee is invalid in the following cases :

1. *Misrepresentation* : Any guarantee which has been obtained by means of misrepresentation made by the creditor, or with his knowledge and assent, concerning a material part of the transaction, is invalid.—Sec. 142.

2. *Concealment* : Any guarantee which the creditor has obtained by means of keeping silence as to material circumstances is invalid.—Sec. 143.

Examples :

- (a) *D* engages *B* as clerk to collect money for him. *B* fails to account for some of his receipts, and *D* in consequence calls upon him to

furnish security for his duly accounting. *C* gives his guarantee for *B*'s duly accounting. *D* does not acquaint *C* with *B*'s previous conduct. *B* afterwards makes default. The guarantee is invalid.

- (b) *G* guarantees to *C* payment for iron to be supplied by him to *B* to the amount of 2000 tons. *B* and *C* have privately agreed that *B* should pay five rupees per ton beyond the market price, such excess to be applied in liquidation of an old debt. This agreement is concealed from *G*. *G* is not liable as a surety.

3. *When Co-surety does not join* : Where a person gives a guarantee upon a contract that the creditor shall not act upon it until another person has joined in it as co-surety, the guarantee is not valid if that other person does not join.—Sec. 144.

4. *Lack of essential elements* : A contract of guarantee is invalid if it lacks one or more of the essential elements of a contract (e.g., if there is want of free consent or if the object is illegal).

DIFFERENCES BETWEEN INDEMNITY AND GUARANTEE

1. In a contract of indemnity, there are *two parties* : the indemnifier and the indemnity-holder. In a contract of guarantee there are *three parties* : the creditor, the principal debtor, and the surety.

2. In a contract of indemnity it is necessary to have only one contract, i.e., between the indemnity-holder and the indemnifier ; in a contract of guarantee it is necessary to have three contracts, between the parties, i.e., between the creditors, the principal debtors and the surety.

3. In a contract of indemnity, the liability of the indemnifier is *primary* ; in a contract of guarantee, the liability of the surety is *secondary* i.e., the surety is liable only if the principal debtor fails to perform his obligations.

4. In a contract of guarantee there is an existing debt or duty, the performance of which is guaranteed by the surety. In a contract of indemnity, the liability of the indemnifier arises only on the *happening of a contingency*.

5. In a contract of indemnity the indemnifier can sue only the indemnity-holder for his loss, because there is no contract between the indemnified and other parties unless there is an assignment on his favour ; in a contract of guarantee the surety can proceed against principal debtor.

6. In a contract of guarantee the surety, after he discharges the debt owing to the creditor, can proceed *against the principal debtor*; in a contract of indemnity the loss falls on the *indemnifier* except in certain special cases.

CONTINUING GUARANTEE

Definition

A guarantee which extends to a series of transactions is called a *Continuing Guarantee*. (Sec. 129). A guarantee covering a single transaction may be called a *Simple Guarantee* or *Specific Guarantee*.

Examples :

- (i) *D*, in consideration that *B* will employ *C* in collecting the rents of *B*'s zamindari, promises *B* to be responsible, to the amount of 5,000 rupees, for the due collection and payment by *C* of those rents. This is a continuing guarantee.
- (ii) *P* guarantees payment to *B* a tea dealer, to the amount of Rs. 1000 for any tea he may from time to time supply to *C*. *B* supplies *C* with tea to the value of Rs. 1000 and *C* pays *B* for it. Afterwards *B* supplies *C* with tea to the value of Rs. 2000. *C* fails to pay. The guarantee given by *P* was a continuing guarantee, and he is accordingly liable to *B* to the extent of Rs. 1000.
- (iii) *P* guarantees payment to *B* of the price of five sacks of flour to be delivered by *B* to *C* to be paid for in a month. *B* delivers five sacks to *C*, *C* pays for them. Afterwards *B* delivers four sacks to *C*, which *C* does not pay for. The guarantee given by *P* was not a continuing guarantee, and accordingly he is not liable for the price of the four sacks.

How a Continuing Guarantee is Revoked

A continuing guarantee is revoked under the following circumstances.

1. *By notice of revocation by the surety* : The notice operates to revoke the surety's liabilities as regards transactions entered into after the notice. He continues to be liable for transactions entered into prior to the notice.—Sec. 130.

2. *By the death of the surety* : "The death of the surety operates, in the absence of a contract to the contrary, as a revocation of a continuing guarantee, so far as regards future transactions."—Sec. 131.

The estate of the surety is liable for all transactions entered

into prior to the death of the surety unless there was a contract to the contrary. It is not necessary that the creditor must have notice of the death.

A continuing guarantee is *terminated* under the same circumstances under which a surety's liability is discharged. (See below.)

THE EXTENT OF THE LIABILITY OF THE SURETY

Surety's Liability

The liability of the surety is co-extensive with that of the principal debtor, unless it is otherwise provided by the contract.—Sec. 128.

Example :

G guarantees to *B* the payment of a bill of exchange by *C*, the acceptor. The bill is dishonoured by *C*. *G* is liable not only for the amount of the bill but also for any interest and charges which may have become due on it.

A creditor is not bound first to proceed against the principal debtor. He can sue the surety without suing the principal debtor or without making the principal debtor a co-defendant. When the principal debtor is a minor, the surety alone is liable to the creditor.

Liability of two persons, primarily liable, not affected by arrangement between them that one shall be surety on other's default

Where two persons contract with a third person to undertake a certain liability, and also contract with each other that one of them shall be liable only on the default of the other, the third person not being a party to such contract, the liability of each of such two persons to the third person under the first contract is not affected by the existence of the second contract, although such third person may have been aware of its existence.—Sec. 132.

Example :

A and *B* made a joint and several promissory note to *C*. *A* makes it, in fact, as surety for *B* and *C* knows this as the time when the note is made. The fact that *A*, to the knowledge of *C* made the note as surety for *B*, is no answer to a suit by *C* against *A* upon the note.

WHEN IS A SURETY DISCHARGED FROM LIABILITY ?

The liability of a surety under a contract of guarantee comes to an end under any one of the following circumstances :

1. Notice of revocation

In the case of a continuing guarantee, a notice by the surety to the creditor stating that he will not be responsible, will revoke his liability as regards all future transactions. He will remain liable for all transactions entered into prior to the date of the notice.—Sec. 130.

2. Death of surety

In the case of a continuing guarantee the death of a surety discharges him from all liabilities as regards transactions after his death unless there is a contract to the contrary.—Sec. 131.

3. Variation of contract

Any variance, made without the surety's consent in the terms of the contract between the principal debtor and the creditor, discharges the surety as to transactions subsequent to the variance.—Sec. 133.

Examples :

- (a) *A* becomes surety to *C* for *B*'s conduct as a manager in *C*'s bank. Afterwards *B* and *C* contract, without *A*'s consent, the *B*'s salary shall be raised and that he shall become liable for one-fourth of the losses on overdraft. *B* allows a customer to overdraw, and the bank loses a sum of money. *A* is discharged from his suretyship by the variance made without his consent, and is not liable to make good this loss.
- (b) *C* agrees to appoint *B* as his clerk to sell goods at a yearly salary, upon *A*'s becoming surety to *C* for *B*'s accounting for moneys received by him as such clerk. Afterwards, without *A*'s knowledge or consent, *C* and *B* agree that *B* should be paid by a commission on the goods sold by him and not by a fixed salary. *A* is not liable for subsequent misconduct of *B*.
- (c) *A* gives to *C* a continuing guarantee to the extent of 3,000 rupees for any oil supplied by *C* to *B* on credit. Afterwards *B* becomes embarrassed, and without the knowledge of *A*, *B* and *C* contract that *C* shall continue to supply *B* with oil for ready money and that the payments shall be applied to the then existing debts between *B* and *C*. *A* is not liable on his guarantee for any goods supplied after this new arrangement.

- (d) *C* contracts to lend *B* 5,000 rupees on the 1st March. *A* guarantees repayment. *C* pays the 5,000 rupees to *B* on the 1st January. *A* is discharged from his liability, as the contract has been varied inasmuch as *C* might sue *B* for the money before the 1st March.

4. Release or discharge of principal debtor

The surety is discharged by any contract between the creditor and the principal debtor, by which the principal debtor is released, or by any act or omission of the creditor, the legal consequence of which is the discharge of the principal debtor.—Sec. 134.

Effect of Debt Relief Acts : The Madras High Court held that if the liability of the principal debtor is reduced under the provisions of an Act for debt relief, the surety is liable only for the reduced amount. *Subramania Chettiar v. M. P. Narayanswami Gounder*.¹ The Nagpur and the Kerala High Courts have held similar decisions.

Examples :

- (a) *G* gives a guarantee to *C* for goods to be supplied by *C* to *B*. *C* supplies goods to *B* and afterwards *B* becomes embarrassed and contracts with his creditors (including *C*) to assign to them his property in consideration of their releasing him from their demands. Here *B* is released from his debt by the contract with *C* and *G* is discharged from his suretyship.
- (b) *A* contracts with *B* to grow a crop of sugarcane on *A*'s land and to deliver it to *B* at fixed rate, and *C* guarantees *A*'s performance of this contract. *B* diverts a stream of water which is necessary for irrigation of *A*'s land and thereby prevent him from raising the crops. *C* is no longer liable on his guarantee.
- (c) *D* contracts with *B* for a fixed price to build a house for *B* within a stipulated time. *B* supplying the necessary timber. *C* guarantees *D*'s performance of the contract. *B* omits to supply the timber. *C* is discharged from his suretyship.

5. Arrangement with principal debtor

A contract between the creditor and the principal debtor, by which the creditor makes a composition with, or promises to give time to, or not to sue, the principal debtor, discharges the surety, unless the surety assents to such contract.—Sec. 135.

With a third person

But where a contract to give time to the principal debtor

¹ AIR (1951) Mad. 48

is made by the creditor with a third person, and not with the principal debtor, the surety is not discharged.—Sec. 136.

Example :

C, the holder of an overdue bill of exchange drawn by D as surety for B, and accepted by B, contracts with M to give time to B. D is not discharged.

6. Creditor's forbearance to sue does not discharge surety

Mere forbearance on the part of the creditor to sue the principal debtor or to enforce any other remedy against him does not, in the absence of any provision in the guarantee to the contrary, discharge the surety.—Sec. 137.

Examples :

- (i) B owes to C a debt guaranteed by G. The debt becomes payable. C does not sue B for a year after the debt has become payable. G is not discharged from his suretyship.
- (ii) Failure to sue the principal debtor until recovery is barred by Statute of Limitation does not operate as a discharge of the surety. *Mohani Singh v. Ba Yi*.¹

7. Release of one co-surety

Where there are co-sureties, a release by the creditor of one of them does not discharge the others ; neither does it free the surety so released from his responsibility to the other sureties.—Sec. 138.

8. Act or omission impairing surety's eventual remedy

If the creditor does any act which is inconsistent with the rights of the surety, or omits to do any act which his duty to the surety requires him to do and the eventual remedy of the surety himself against the principal debtor is thereby impaired, the surety is discharged.—Sec. 139.

Examples :

- (a) B contracts to build a ship for C for a given sum, to be paid by instalments as the work reaches certain stages. S becomes surety to C for B's due performance of the contract. C, without the knowledge of S, prepays to B the last two instalments. S is discharged by the prepayment.
- (b) C lends money to B on the security of a joint and several promissory note made in C's favour by B and by S as surety for B, together with a bill of sale of B's furniture, which gives power to C to sell

¹ AIR (1939) P. C. 410 (Privy Council)

the furniture, and apply the proceeds in discharge of the note. Subsequently, *C* sells the furniture, but, owing to his misconduct and wilful negligence, only a small price is realised. *S* is discharged from liability on the note.

- (c) *S* puts *M* as apprentice to *B*, and gives a guarantee to *B*, for *M*'s fidelity. *B* promises on his part that he will, at least once a month, see *M* make up the cash. *B* omits to see this done as promised, and *M* embezzles. *S* is not liable to *B* on his guarantee.

9. Loss of security

If the creditor loses or parts with any security given to him by the principal debtor at the time the contract to guarantee was entered into, the surety is discharged to the extent of the value of the security, unless the surety consented to the release of such security.—Sec. 141.

10. Miscellaneous

A contract of guarantee is invalid if it is obtained by means of misrepresentation (Sec. 142), silence as to material circumstances (Sec. 143), or if a co-surety fails to join according to the terms of the contract (Sec. 144). See pp. 150-151.

THE RIGHTS OF THE SURETY

A surety has the following rights :

Against the Principal Debtor

1. *Right of Subrogation* : Upon payment of performance of all that he is liable for, he is invested with all the rights which the creditor had against the principal debtor.—Sec. 140.

2. *Right to Indemnity* : In every contract of guarantee there is implied promise by the principal debtor to indemnify the surety ; and the surety is entitled to recover from the principal debtor whatever sum he has rightfully paid under the guarantee, but no sums which he has paid wrongfully.—Sec. 145.

Examples :

- (a) *B* is indebted to *C* and *A* is surety for the debt. *C* demands payment from *A*, and on his refusal sues him for the amount. *A* defends the suit, having reasonable grounds for doing so, but is compelled to pay the amount of the debt with costs. He can recover from *B* the amount paid by him for costs, as well as the principal debt.
- (b) *C* lends *B* a sum of money and *A*, at the request of *B* accepts a bill of exchange drawn by *B* upon *A* to secure the amount. *C*, the

holder of the bill, demands payment of it from *A*, and on *A*'s refusal to pay, sues him upon the bill. *A* not having reasonable grounds for so doing, defends the suit, and has to pay the amount of the bill and costs. He can recover from *B* the amount of the bill, but not the sum paid for costs, as there was no real ground for defending the action.

- (c) A surety settled with the creditor by paying a sum smaller than the amount guaranteed. Held, he can recover only what he paid. *Reed v. Norris*.¹

Against the Creditor

Right of Security : A surety is entitled to the benefit of every security which the creditor has against the principal debtor at the time when the contract of suretyship is entered into. Whether the surety knows of the existence of security or not is immaterial.—Sec. 141.

“The expression ‘security’ in Section 141 is not used in any technical sense ; it includes all rights which the creditor had against the property of the principal debtor at the date of contract.” *State of M. P. v. Kaluram*.²

Examples :

- (a) *C* advances to *B* his tenant, 2000 rupees on the guarantee of *A*. *C* has also a further security for the 2000 rupees by a mortgage of *B*'s furniture. *B* cancels the mortgage. *B* becomes insolvent, and *C* sues *A* on his guarantee. *A* is discharged from liability to the amount of the value of the furniture.
- (b) *C*, a creditor whose advance to *B* is secured by a decree, receives also a guarantee for that advance from *A*. *C* afterwards takes *B*'s goods in execution under the decree, and then, without the knowledge of *A*, withdraws the execution. *A* is discharged.
- (c) *A* is surety for *B*, makes a bond jointly with *B* to *C*, to secure a loan from *C* to *B*. Afterwards, *C* obtains from *B* a further security for the same debt. Subsequently, *C* gives up the further security. *A* is not discharged.

Against the Co-surety—See Below.

CONTRIBUTION BETWEEN CO-SURETIES

Definition

Where several persons guarantee a debt or duty, they are called co-sureties.

¹ 2 Bing 361

² AIR (1967) Supreme Court 1105

Co-sureties liable to contribute equally

Where two or more persons are co-sureties for the same debt or duty, either jointly or severally, and whether under the same or different contracts, and whether with or without the knowledge of each other, the co-sureties in the absence of any contract to the contrary, are liable as between themselves, to pay each an equal share of the whole debt, or of that part of it which remains unpaid by the principal debtor.—Sec. 146.

Examples :

- (a) *A, B and C are sureties to D for the sum of 3,000 rupees lent to E. E makes default in payment. A, B and C are liable as between themselves, to pay 1000 rupees each.*
- (b) *A, B and C are sureties to D for sum of 1000 rupees lent to E and there is a contract between A, B and C that A is to be responsible to the extent of one-quarter, B to the extent of one-quarter, and C to the extent of one-half. E makes default in payment. As between the sureties A is liable to pay 250 rupees, B 250 rupees and C 500 rupees.*

Liability of Co-sureties bound in different sums

Co-sureties who are bound in different sums are liable to pay equally as far as the limits of their respective obligations permit.—Sec. 147.

Examples :

- (a) *A, B and C as sureties for D, enter into three several bonds, each in a different penalty, namely A in the penalty of 10,000 rupees, B in that of 20,000 rupees, C in that of 40,000 rupees, conditioned for D's duly accounting to E. D makes default to the extent of 30,000 rupees. A, B and C are each liable to pay 10,000 rupees.*
- (b) *A, B and C, as sureties for D, enter into three several bonds each in a different penalty, namely A in the penalty of 10,000 rupees, B in the that of 20,000 rupees, C in that of 40,000 rupees, conditioned for D's duly accounting to E. D makes default to the extent of 40,000 rupees. A is liable to pay 10,000 rupees, and B and C 15,000 rupees.*

Release of one co-surety — See para 7, p. 156.

EXERCISES

1. Define a contract of indemnity. Distinguish between a contract of guarantee and a contract of indemnity. (Pages 147, 150)
2. Discuss the nature and extent of the liability of a surety. (Page 153)

3. State the law relating to continuing guarantee. (Page 152)
4. What are the rights of a surety against the principal debtor and against the co-sureties. (Pages 157-159)
5. Explain the rule that between co-sureties there is equality of the burden and benefit. (Pages 158-159)
6. *Problems* : (a) *B* owes to *C* a debt guaranteed by *A*. The debt becomes payable. *C* does not sue for a year after the debt has become payable. Is *A* discharged from his suretyship? Give reasons. (Example (i) page 156)
(b) *P* sells and delivers goods to *B*. *C* afterwards, without consideration, agrees to pay for them in default of *B*. Is the agreement valid? Give reasons. (Example (iii), page 150)
7. Objective question. Give short answer.
(i) Give an example of continuing guarantee. (Page 152)



DEFINITION AND FEATURES*** Definition of Bailment**

"A bailment is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished be returned or otherwise disposed of according to the directions of the persons delivering them".—Sec. 14.

The person delivering the goods is called the *Bailor*. The person to whom they are delivered is called the *Bailee*. The transaction is called *Bailment*.

Examples :

- (i) *P* lends his book to *Q*.
 - (ii) *P* delivers a pen to *Q* for repair.
 - (iii) *P* gives *Q* his watch as security for a loan.
- In all these cases *P* is the bailor and *Q* is the bailee.

Characteristic Features or the Requisites of Bailment

Bailment has the following characteristic features :

1. *Delivery* : It is delivery of goods by one person to another.
2. *Purpose* : The goods are delivered for some purpose.
3. *Return* : It is agreed, that when the purpose is accomplished the goods are to be returned or otherwise disposed of according to the direction of the bailor.
4. *Contract* : Bailment arises from express or implied contract. In case of finder of goods bailment arises by implication of law.
5. *Ownership* : In bailment the bailor continues to be the owner of the goods. Therefore bailment does not cause any change of ownership.
6. *Movable goods* : Bailment is concerned with only movable goods. Money is not included in the category of movable goods. A deposit of money is not bailment.

Deposit of money in a bank does not constitute bailment. The relationship between depositor and the bank is that of borrower and the lender.

7. *Possession* : A person already in possession of the goods may become a bailee by a subsequent agreement, express or implied.

Example :

X is a seller of motor cars, having several cars in his possession. *Y* buys a car and leaves the car in the possession of *X*. After the sale is complete, *X* becomes a bailee, although originally he was the owner.

Delivery to bailee how made

"The delivery of goods to the bailee may be made by doing anything which has the effect of putting the goods in the possession of the intended bailee or of any person authorised to hold them on his behalf".—Sec. 149.

Different kinds of Bailment

Bailments may be classified into ; (1) *Gratuitous Bailments* and (2) *Bailment for Reward*.

A gratuitous bailment is one in which neither the bailor, nor the bailee is entitled to any remuneration, e.g., loan of an article *gratis* ; safe custody without charge, etc.

A bailment for reward is one where either the bailor or the bailee is entitled to a remuneration, e.g., a motor car let out for hire ; goods given to a carrier for carriage at a price ; articles given to a person for being repaired for a remuneration ; pawn, etc.

DUTIES OF THE BAILEE

1. Duty of reasonable care

The bailee is bound to take as much care of the goods bailed to him as a man of ordinary prudence would, under similar circumstances, take of his own goods of the same bulk, quality and value as the goods bailed.—Sec. 151.

The degree of care to be taken by a bailee is that of a man of ordinary prudence. If he takes that amount of care, he will not be held responsible for loss, destruction or deterioration of the goods bailed. (Sec. 152). The degree of care required from the bailee is the same whether the bailment is for reward or is gratuitous.

There may be a special contract between the bailor and the bailee by which the bailee is required to take a higher degree

of care or under which he is responsible for compensating in full for loss, destruction or deterioration of the goods. Such special terms are usually incorporated in contracts of carriage.

2. Bailee's liability for negligence of servants

A bailee is liable for damages caused by negligence of the servants about the use or custody of the things bailed, when acting in course of their employment. But the bailee is not liable for damages caused by the acts or default of third person which cannot be prevented by ordinary diligence. The bailee is also not liable for unauthorised acts of his servants outside the scope of their employment. *Sanderson v. Collins*.¹

3. Unauthorised use of goods

If the bailee makes unauthorised use of goods bailed, i.e., uses them in a way not authorised by the terms of the bailment, he is responsible for all damages to the goods and must pay compensation to the bailor. This liability arises even if the bailee is not guilty of any negligence, and even if the damage is the result of accident.—Sec. 154.

Examples :

- (i) A lends a horse to B for his own riding only. B allows C, a member of his family, to ride the horse. C rides with care, but the horse accidentally falls and is injured. B is liable to make compensation to A for the injury done to the horse.
- (ii) A hires a horse in Calcutta from B expressly to march to Benares, A rides with due care, but marches to Cuttack instead. The horse accidentally falls and is injured. A is liable to make compensation to B for the injury to the horse.

4. Mixture of Bailor's goods with the Bailee's

If the bailee mixes up his own goods with those of the bailor, the following rules apply :

(a) "If the bailee, with consent of the bailor, mixes the goods of the bailor with his own goods, the bailor and the bailee shall have an interest, in proportion to their respective shares, in the mixture thus produced."—Sec. 155.

(b) "If the bailee, without the consent of the bailor mixes the goods of the bailor with his own goods, and the goods can

¹ (1904) 1 K. B. 628

be separated or divided, the property in the goods remains in the parties respectively; but the bailee is bound to bear the expense of separation or division, and any damage arising from the mixture."—Sec. 156.

Example :

D bails 100 bales of cotton marked with a particular mark to *B*. *B* without *D*'s consent mixes the 100 bales with other bales of his own, bearing a different mark. *D* is entitled to have his 100 bales returned, and *B* is bound to bear all the expenses incurred in the separation of the bales, and any other incidental damage.

(c) "If the bailee, without the consent of the bailor, mixes the goods of the bailor with his own goods, in such a manner that it is impossible to separate the goods bailed from the other goods and deliver them back, the bailor is entitled to be compensated by the bailee for the loss of the goods."—Sec. 157.

Example :

D bails ~~superior~~ flour worth Rs. 45 to *B*. *B*, without *D*'s consent mixes the flour with inferior flour of his own, worth only Rs. 25. *B* must compensate *D* for the loss of his flour.

5. Duty of returning goods

It is the duty of the bailee to return or deliver according to the bailor's directions, the goods bailed, without demand, as soon as the time for which they were bailed has expired, or the purpose for which they were bailed has been accomplished."—Sec. 160.

"If, by the default of the bailee, the goods are not returned, delivered or tendered at the proper time, he is responsible to the bailor for any loss, destruction or deterioration of the goods from that time."—Sec. 161.

Example :

G agreed to carry certain goods of *B* expeditiously. The driver of the van which was carrying the goods, left the van unattended for one hour for lunch. During that time the goods were stolen, *B* filed a suit for damages against *G*. Held, the carrier has a duty viz., to deliver the goods or return them. The carrier could not do so. The van driver's departure constitutes a fundamental breach of the contract to carry the goods forthwith to the destination. Damages were awarded. *Bontex Knitting Works Ltd. v. St. John Garage*.¹

¹ (1944) 2 All E. R. 690

6. Accretion to the goods bailed

"In the absence of any contract to the contrary, the bailee is bound to deliver to the bailor, or according to his directions, any increase or profit which may have accrued from the goods bailed."—Sec. 163.

Example :

C leaves a cow in the custody of B to be taken care of. The cow has a calf. B is bound to deliver the calf as well as the cow to C.

7. Liabilities of Innkeeper and Hotelkeepers

In England Innkeepers were governed by the Common Law. They were regarded as insurers, i.e., loss of or damages to customer's goods had to be fully made up, except certain special cases. This rule was applied in Bombay High Court in an old case (1886). It is now held that the liabilities of innkeepers and hotel-keepers are as bailees and are governed by Sections 151 and 152 of the Contract Act. (See para 1, p. 162) *Rampal Sing v. Murray & Co.*¹; *Jan & Son v. Cameron.*²

8. Liabilities of Carriers—See Book V, Ch 1.

DUTIES OF THE BAILOR

1. Bailor's duty to disclose faults in goods bailed

"The bailor is bound to disclose to the bailee faults in the goods bailed, of which the bailor is aware, and which materially interfere with the use of them, or expose the bailee to extraordinary risk, and, if he does not make such disclosure, he is responsible for damage arising to the bailee directly from such faults.

If the goods are bailed for hire, the bailor is responsible for such damage, whether he was or was not aware of the existence of such faults in the good bailed."—Sec. 150.

Examples :

- (i) A lends a horse which he knows to be vicious to B. He does not disclose the fact that the horse is vicious. The horse runs away, B is thrown and injured. A is responsible to B for damage sustained.
- (ii) A hires a carriage of B. The carriage is unsafe, though B is not aware of it, and A is injured. B is responsible to A for the injury.

¹ (1899) 22 All 164

² (1922) 44 All 735

2. Payment of expenses in Gratuitous Bailments

“Where by the conditions of the bailment, the bailee is to receive no remuneration, the bailor shall repay to the bailee the necessary expenses incurred by him for the purpose of the bailment.”—Sec. 158.

3. Responsibility for breach of warranty of title

The bailor is responsible to the bailee for any loss which the bailee may sustain by reason that the bailor was not entitled to make the bailment, or to receive back the goods or to give direction respecting them.—Sec. 164.

Example :

A gives B's car to C for use without B's knowledge of permission. B sues C and receives compensation. C is entitled to recover his losses from A.

BAILEE'S RIGHTS

1. Enforcement of rights

The bailee can, by suit, enforce the duties of the bailor.

2. Bailment by several joint owners

“If several joint owners of goods bail them, the bailee may deliver them back to, or according to the directions of, one joint owner without the consent of all, in the absence of any agreement to the contrary.”—Sec. 165.

3. Bailee not responsible on re-delivery to bailor without title

“If the bailor has no title to the goods, and the bailee, in good faith, delivers them back to, or according to directions of the bailor, the bailee is not responsible to the owner in respect of such delivery.”—Sec. 166.

4. Bailee's Particular Lien

Lien means the rights to retain property until some debt or claim is paid. The right of lien is given by law in certain cases. Lien may be of two types : General Lien and Particular Lien. General lien means the right to retain *all* the goods of the other party until *all* the claims of the holder are paid. Particular lien means the right to retain particular goods until claims on account of those goods are paid.

A bailee has a particular lien, when he has rendered any service upon an article and is entitled to some remuneration for it according to the terms of the contract between him and the other party. The following limitations upon the bailee's particular lien are to be noted.—Sec. 170.

- (i) The particular lien is available only if the service rendered by the bailee is one involving the *exercise of labour or skill* in respect of the goods bailed. There is no lien for custody charges or other charges for work not involving labour or skill.
- (ii) The right of lien cannot be exercised until the services have been performed in full. When a bailee has done only a part of the work contracted for he cannot claim lien for part payment.
- (iii) The lien cannot be claimed if there is an agreement to pay the money on a future date.
- (iv) The lien can be exercised only so long as the goods are in the possession of the bailee. If possession is lost for any reason, the lien is also lost.

Examples :

- (i) *A* delivers a rough diamond to *B*, a jeweller, to be cut and polished, which is accordingly done. *B* is entitled to retain the stone till he is paid for the services he has rendered.
- (ii) *A* gives cloth to *B*, a tailor, to make into a coat, *B* promises *A* to deliver the coat as soon as it is finished, and to give a three months' credit for the price. *B* is not entitled to retain the coat until he is paid.

5. Bailee's General Lien

Section 171 provides that bailees coming within the following categories have a general lien : bankers, factors, wharfingers, attorneys of High Court, and policy brokers. Such bailees can retain all goods of the bailor so long as anything is due to them. The general lien in all these cases may not exist if there is a contract to the contrary. Bailees falling in categories other than those mentioned above may have a general lien if there is an express agreement to that effect.

BAILOR'S RIGHTS

1. Enforcement of rights

The bailor can enforce by suit all the liabilities or duties of the bailee.

2. Act inconsistent with the terms

"A contract of bailment is voidable, at the option of the bailor, if the bailee does any act with regard to the goods bailed inconsistent with the conditions of the bailment."—Sec. 153.

Example :

A lets to B, for hire, a horse his own riding. B drives the horse in carriage. This is, at the option of A, a termination of the bailment.

3. Restoration of goods lent gratuitously

When goods are lent gratuitously, the bailor can demand their return whenever he pleases, even though he lent it for a specified time or purpose. But if the bailee in such cases had acted in such a manner that the return of the goods before the stipulated time would cause loss greater than the benefit which he has received, the bailor must indemnify him for the loss if he compels an immediate return.—Sec. 159.

TERMINATION OF BAILMENT

A contract of bailment terminates under the following circumstances :

1. *Efflux of time* : If the bailment is for a stipulated period, the bailment terminates as soon as the stipulated period expires.

2. *Fulfilment of purpose* : If the bailment is for a specific purpose, the bailment terminates as soon as the purpose is fulfilled.

3. *Act inconsistent with the terms* : If the bailee does any act, with regard to the goods bailed, which is inconsistent with the terms of the bailment, the bailment terminates.—Sec. 153.

4. *Goods lent gratuitously* : A gratuitous bailment can be terminated any time but if premature termination causes any loss to the bailee, the bailor must indemnify the bailee.—Sec. 159.

5. *Death* : A gratuitous bailment terminates upon the death of either the bailor or the bailee.—Sec. 162.

RIGHTS AND DUTIES OF FINDER OF GOODS

Rights

A finder of goods is in the position of a bailee if he takes charge of the goods. (See p. 132) The rights of the finder of goods can be summarised as follows.—Sections 168 and 169 :

1. *Possession* : He can retain possession of the goods against everybody except the true owner.

2. *Compensation and Lien* : He is entitled to be compensated for the trouble and expense incurred by him to preserve the goods and to find out the owner. He has a lien upon the goods for the payment of these sums *i.e.*, he can refuse to return the goods until they are paid.

3. *Reward* : He cannot file a suit for the expense he has incurred but can sue for any reward which the owner might have offered for the return of the goods lost.

4. *Sale* : If the goods found are commonly the subject-matter of sale and if the owner cannot with reasonable diligence be found or if he refuses to pay the lawful charges of the finder, the goods can be sold provided the following further conditions are fulfilled—

- (a) When the thing is in danger of perishing or of losing the greater part of its value.
- (b) When the lawful charges of the finder amount to two-thirds of its value.

Duties and Obligations

The finder of goods is a bailee. Therefore, he has the following duties and obligations : (i) He must take reasonable care of the goods (Sec. 151). (ii) He must not mix the finder's goods with his own goods (Secs. 155-157). (iii) The goods must be returned to the real owner (Secs. 160 & 161). (iv) If there is an accretion to the goods bailed, it must be given to the real owner (Sec. 163). (v) He must not use the goods for his purpose. (vi) He must try to find out the true owner of the goods. //

SUITS BY BAILEES OR BAILORS AGAINST WRONG-DOERS

1. Right to interplead

If a person, other than the bailor, claims the goods bailed, he may apply to the courts to stop delivery of the goods bailed and to decide the title to the goods.—Sec. 167.

2. Suit by bailor or bailee against wrong-doer

If a third party wrongfully deprives the bailee of the use of the goods bailed or does them any injury, the bailee is entitled

to use all such remedies as the owner of the goods might have used. Either the bailee or the bailor may file a suit against the third party in such cases.—Sec. 180.

3. Apportionment of relief or compensation obtained by such suits

Whatever is obtained by way of relief or compensation in any such suits shall, as between the bailor and the bailee be dealt with according to their respective interests.—Sec. 181.

BAILMENTS BY WAY OF PLEDGE OR PAWN

Definition

The bailment of goods as security for payment of a debt or performance of a promise is called *Pledge* or *Pawn*. The bailor in this case is called the *Pledgor* or the *Pawnor*. The bailee is called the *Pledgee* or the *Pawnee*.—Sec. 172.

Difference between Bailment and Pledge

Pledge is a particular kind of bailment. The difference between Pledge and other kinds of bailment lies in the purpose or objective of the transaction. The purpose of a pledge is to provide security for a debt or the performance of a promise. In other kinds of bailment there are other purposes for example, repair, safe-custody etc. The pledgor and the pledgee have certain special rights and duties.

When can a non-owner make a valid Pledge ?

The owner of goods can always make a valid pledge. In the following cases, one who is not an owner can make a valid pledge.

1. Mercantile Agent

A mercantile agent who is, with the consent of the owner, in possession of the goods or of the documents of title to goods, can make a valid pledge of the goods while acting in the ordinary course of business of a mercantile agent. Such a pledge will be valid even if the agent had no authority to pledge, provided that the pawnee acts in good faith and has not at the time of the pledge any notice that the pawnor has no authority to pledge.—Sec. 178.

2. Possession under a voidable contract

A person having possession of goods under a voidable contract can make a valid pledge of the goods so long as the contract is not rescinded. The pawnee gets a good title to the goods provided he acts in good faith and without notice of the pawnor's defect of title.—Sec. 178A.

Example :

A gets an ornament by inducing the owner to sell it to him by undue influence. Before the contract is rescinded by the owner, he pawns it to *B*. *B* will get a good title to the ornament provided he acted in good faith and was unaware of *A*'s defective title.

3. Pawnor with a limited interest

Where a person pledges goods in which he has only a limited interest, the pledge is valid to the extent of that interest.—Sec. 179.

4. Possession with co-owner

If one of several co-owners is in sole possession of the goods with the consent of the owners, he can make a valid pledge of the goods.—Sec. 30 (1). Sale of Goods Act.

RIGHTS OF PLEDGEE OR PAWNEE

1. Right of Retainer

"The pawnee can retain the goods pledged not only for payment of the debt or the performance of the promise, but also for the interest of the debt and all necessary expenses incurred by him in respect of the possession or for the preservation of the goods pledged."—Sec. 173.

2. Retainer for subsequent advance

The pawnee's lien is a particular lien, *i.e.*, he cannot retain the goods for any debt other than the debt for which the security was given unless there is an express contract to the contrary. If the pawnee makes fresh advances to the same debtor it will be presumed that the debtor has agreed to create on the goods already pledged a lien for the fresh advance.—Sec. 174

3. Extraordinary expenses

The pawnee is entitled to receive from the pawnor extraordinary expenses incurred by him for the preservation of the goods pledged.—Sec. 175.

4. Pawnee's right where pawnor makes default

"If the pawnor makes a default in payment of the debt, or performance, at the stipulated time of the promise, in respect of which the goods were pledged, the pawnee may bring a suit against the pawnor upon the debt or promise, and retain the goods pledged as collateral security ; or, he may sell the thing pledged on giving the pawnor reasonable notice of the sale.

If the proceeds of such sale are less than the amount due in respect of the debt or promise, the pawnor is still liable to pay the balance. If the proceeds of the sale are greater than the amount so due, the pawnee shall pay over the surplus to the pawnor.—Sec. 176.

RIGHTS OF PLEDGOR

1. Defaulting pawnor's right to redeem

"If a time is stipulated for the payment of the debt, or performance of the promise, for which the pledge is made, and the pawnor makes default in payment of the debt or performance of the promise at the stipulated time, he may redeem the goods pledged at any subsequent time before the actual sale of them ; but he must, in that case, pay, in addition, any expenses which have arisen from his default."—Sec. 177.

2. Preservation and maintenance

The pledgor can enforce the preservation and proper maintenance of the goods pledged.

3. Protection of debtors

The pledgor as a debtor has various rights given to him by statutes enacted for the protection of debtors e.g., the Money-lenders Acts.

EXERCISES

1. Define bailment. State the degree of care to be taken by a bailee. What are the duties of the bailee ? (Pages 161-165)
2. What is a pledge ? What are the rights of a pawnee ? (Pages 170-172)
3. Can a person other than the true owner make a valid pledge of goods ? (Page 170)

4. Define bailment. State the rights and liabilities of a finder of goods.
(Pages 161, 168-169)
5. Explain 'Bailment'. What are the rights of the parties in case of accretion during the period of bailment? (Pages 161, 165)
6. State the pawnee's rights when the pawnor makes default.
(Pages 171-172)
7. Write notes on the following :
 - (a) Mixture of bailor's goods with the bailee's. (Page 163)
 - (b) Negligence of servants. (Para 2, page 163)
 - (c) Liabilities of Hotel-keepers. (Para 7, page 165)
 - (d) Right of Retainer. (Para 1 & 2, page 171)
8. Distinguish between :
 - (i) Bailor and Bailee. (Page 161)
 - (ii) Finders of goods and Bailee. (Pages 161, 168)
 - (iii) Bailment and Pledge. (Page 170)
 - (iv) Bailee's Particular Lien and Bailee's General Lien.
(Pages 166-167)
9. Objective questions. Give short answers :
 - (i) "A deposit of money in a bank is not bailment." True or false ?
(Para 6, page 161)
 - (ii) "A bailee has a duty to return the goods bailed." True or false ?
(Para 5, page 164)
 - (iii) Give three examples of termination of bailment. (Page 168)
 - (iv) What is 'Pawn' ? (Page 170)
10. Problems :
 - (a) *A* lends his horse to *B* for his own riding only. *B* allows *C*, a member of his family to ride the horse. *C* rides with care, but the horse accidentally falls and is injured. What remedy has *A* against *B* ? (Example (i), page 163)
 - (b) *A* hires a motor car of *B*. The car is unsafe, though *B* is not aware of it, and *A* is injured. Is *B* responsible to *A* for the injury ? (Example (ii), page 165)
 - (c) *A* kept some valuable ornaments in the custody of *B*, his neighbour, *B* kept *A*'s ornaments along with his own. *A*'s ornaments as well as *B*'s ornaments were lost on account of carelessness of *B*. Can *A* hold *B* responsible for his loss ? (Para 1, page 162)
 - (d) *A* leaves a cow in the custody of *B* to be taken care of. The cow has given birth to a calf. Who is entitled to the calf ?
(Para 6, page 165)

DEFINITIONS

✓ Definition and Nature of Agency

"An 'Agent' is a person employed to do any act for another or to represent another in dealings with third persons."—Sec. 182.

The person for whom such act is done, or who is so represented, is called the *Principal*. *P* appoints *X* to buy 50 bales of cotton on his behalf. *P* is the principal and *X* is his *Agent*. The relationship between *P* and *X* is called *Agency*.

✓ Power of Attorney

An Agent may be appointed by the Principal, executing a written and stamped document. Such a document is called Power of Attorney. There are two kinds of Power of Attorney : General and Special. A general power is one by which the agent is given an authority to do certain general objectives, e.g., managing an estate or a business. A special or particular power may be appointed by which an agent is authorised to do a specific thing, e.g., selling some goods. A man dealing with a particular agent is bound to find out the limits of the authority by which the authority of the agent can act accordingly.

✓ Enforcement and consequences of Agent's contracts

The function of an agent is to bring about contractual relations between the principal and third parties. Usually agents are appointed with specific instructions and authorised to act within the scope of their instructions. Acts of the agent within the scope of the instructions bind the principal as if he has done them himself. There is a legal maxim regarding agency viz., '*Qui facit per alium facit per se*', which means—"He who does through another does by himself." The act of an agent is the act of the principal.

"Contracts entered into through an agent, and obligations arising from acts done by an agent, may be enforced in the same manner and will have the same legal consequences, as if the

contracts had been entered into and the acts done by the principal in person.”—Sec. 226.

Examples :

- (a) *A* buys goods from *B*, knowing that he is an agent for their sale, but not knowing who is the principal. *B*'s principal is the person entitled to claim from *A* the price of the goods, and *A* cannot in a suit by the principal, set off against the claim a debt due to himself from *B*.
- (b) *A*, being *B*'s agent with authority to receive money on his behalf, receives from *C* a sum of money due to *B*. *B* is discharged of his obligation to pay the sum in question to *B*.

The Test of Agency

Agency exists whenever a person can bind another by acts done on his behalf. When this power does not exist the relationship is not one of agency. Thus a wife is not the agent of the husband except under special circumstances and for special purposes. But the constituted attorney of a person is his agent for the purposes mentioned in the power of attorney.

Agent and Servant

The differences between an Agent and a Servant were discussed in the case *Lakhminarayan Ram Gopal & Sons v. Hyderabad Government*.¹ The points are summarised below.

1. An agent is to exercise his authority in accordance with the principal's instructions ; but he is not subject to the principal's direct control or supervision. A servant has to act according to the orders of the master in every particular.
2. An agent is appointed and employed to bring the principal into contractual relationship with third parties. The servant cannot do that.
3. An agent can bind the principal to the third parties. A servant cannot do so.
4. The mode of remuneration of an agent may vary, including a commission on the basis of the work done. A servant is generally paid through wages.
5. An agent is liable for wrong done within the scope of his authority. A master is liable for the wrong of his servant if it is committed in course of the servant's employment.

¹ AIR (1954) Supreme Court 364

6. An agent may work for several principals. A whole-time servant serves only one master.

7. A servant can, however, be appointed as an agent for some purposes.

Agent and an Independent Contractor

A person who undertakes to do something for another is called an independent contractor, if the manner of doing the thing is left to him. An independent contractor does not represent the other contracting party nor can he bind him by contracts entered into with others. An agent is one who acts according to the instructions of the principal and can bind the principal by entering into contracts with other persons within the scope of his authority.

Agent and Bailee

The differences between an Agent and a Bailee are summarised below.

1. The bailee has possession of goods of the bailor. An agent may not have possession of any goods or property of the principal.

2. The bailee has no power to create any contractual relationship with the third party. An Agent has that authority.

3. Under certain circumstances a bailee may act as an agent.

Who can appoint an Agent ?

"Any person who is of the age of majority according to the law to which he is subject, and who is of sound mind, may employ an agent."—Sec. 183.

Who may be an Agent ?

Any person may be an agent, even a minor. A minor acting as agent can bind the principal to third parties. But a minor is not himself liable to his principal.—Sec. 184.

Joint Principals

Several principals can jointly appoint *one* agent. The agent can act in respect of those affairs in which all the co-principals are jointly interested. The Power of Attorney, by virtue of which the agent was created, has to be strictly construed and what it authorized depend on the terms and the purposes for which it

was executed. *Syed Abdul Khader v. Rami Reddy and others*.¹ The Supreme Court in the judgment quoted Halsbury, "co-principals may jointly appoint an agent to act for them and in such case become jointly liable to him and may jointly sue him."²

Consideration in Agency Contracts

No consideration is necessary to create an agency (Sec. 185). The acceptance of the office of an agent is regarded as sufficient consideration for the appointment. The agency contract generally provides for the amount of remuneration payable by the principal to the agent.

✓ DIFFERENT CLASSES OF AGENTS

The relationship between the principal and agent and the extent of the authority of the latter are matters to be determined by agreement of the parties.

There are, however, certain well-known varieties of agency contracts where the powers and duties of the agent are settled by usage and custom of trade recognised by the courts of law. Some of these particular kinds of agency-contracts, together with their legal incidents are described below.

1. Broker

A broker is one who brings buyers and sellers into contract with one another. His duties are at an end when the parties are brought together. The contract of sale and purchase is entered into directly by the parties. The broker does not keep the goods or the property of the principal in his possession.

2. Factor

A factor is a mercantile agent with whom goods are kept for sale. He has got discretionary powers to enter into contracts of sale with third parties. He has a general lien on the goods for money due to him as agent.

3. A Commission Agent

A commission agent is one who secures buyers for a seller of goods and sellers for a buyer of goods in return for a

¹ AIR (1979) Supreme Court 553

² Halsbury's Laws of England, vol I, 4th Ed., para 726

commission on the sale. A commission agent may have possession of the goods or not. His position is very similar to that of a broker.

4. Auctioneer

An auctioneer is one who is authorised to sell goods of his principal by auction. He has a particular lien on the goods for his remuneration. He has the goods in his possession and can sue the buyer in his own name for the purchase price. An auctioneer acts in a double capacity. Up to the moment of sale he is the agent of the seller. After the sale he is the agent of the buyer. An auctioneer has implied authority to sell the goods without any restriction. Therefore a sale by him in violation of instructions is binding on the owner. If the owner directs the auctioneer not to sell below a reserve price and the auctioneer sells it below the price the sale is binding on the owner except in cases where the buyer knew that there was a limitation on the auctioneer's authority.

5. A Del Credere Agent

A *del credere* agent is one who, for extra remuneration, guarantees the performance of the contract by the other party. If the other party fails to pay the price or otherwise causes damage to the principal, the *del credere* agent must pay compensation to the principal.

6. General Agent and Particular Agent

A general agent is one who represents the principal in all matters concerning a particular business. A particular agent is one who is appointed for a specific purpose e.g., to sell a particular article. Factors and commission agents are usually general agents.

METHODS OF CREATING AGENCY

Agency may be created in any one of the following ways:

1. Agency by Express Agreement

A contract of agency may be created by express agreement. The agreement may be either oral or written. It is usual in many cases to appoint agents by executing a formal power of attorney on a written and stamped document.

2. Agency by Implied Agreement

An agency agreement may be implied under certain circumstances from the conduct of the parties or the relationship between them. Agency by estoppel and agency of necessity are cases of implied agency.

3. Agency by Estoppel or by Holding Out

Agency may be created by estoppel. When a man has by his conduct or statements induced others to believe that a certain person is his agent, he is precluded from subsequently denying it. Thus an agency is created by implication of law.

Examples :

- (i) *Y* allows his servant *X* to buy goods for him on credit regularly. On one occasion the servant buys some goods not ordered by his master, on credit. *Y* is responsible to the shopkeeper for the price because *X* will be deemed to be his agent by estoppel.
- (ii) *P* employed *X* a broker, to buy hemp for him and at *P*'s request it was kept in a warehouse in *X*'s name. *X* without *P*'s authority sold the hemp. Held, *P* was bound by the sale because he had allowed *X* to assume the apparent right of disposing of the hemp in the ordinary course of business. *Pickering v. Bush*.¹

There are three possible cases of agency by estoppel :

(a) A person can be held out as an agent although he is actually not so—*Example (i)* above.

(b) A person acting as an agent may be held out as having more authority than he actually has—*Example (ii)* above.

(c) A person may be held out as agent after he has ceased to be so.

Section 237 provides as follows : "When an agent has, without authority, done acts or incurred obligations to third persons on behalf of his principal, the principal is bound by such acts or obligations if he has by his words or conduct induced such third persons to believe that such acts or obligations were within the scope of the agent's authority."

Examples :

- (a) *A* consigns goods to *B* for sale and gives him instructions not to sell under a fixed price. *C*, being ignorant of *B*'s instructions, enters into a contract with *B* to buy the goods at a price lower than the reserved price. *A* is bound by the contract.

¹ (1812) 15 East 38

- (b) *A* entrusts *B* with negotiable instruments endorsed in blank. *B* sells them to *C* in violation of private orders from *A*. The sale is goods.

4. Agency of Necessity

Circumstances sometimes force a person to act on behalf of another without any express authority from him. In such cases an agency of necessity is said to be created.

Three conditions must be satisfied before an agency can be created by necessity: (a) It must be impossible to get the principal's instructions. (b) There must be an actual necessity for acting on his behalf. (c) The agent of necessity must act honestly in the interest of the parties concerned.

Examples :

- (i) The captain of a ship finds himself in a distant port without money. The owner cannot be communicated with. The captain can pledge the ship for obtaining money. He will be considered the agent of the owner by necessity.
- (ii) A horse, sent by a train, arrived at a station with nobody to receive it. The railway company fed the horse. Held, the railway company was an agent of necessity and was entitled to recover the money from the owner. *G. N. Ry v. Swaffield*.¹

Husband and Wife

A wife is an agent of necessity, having power to pledge her husband's credit for necessities of life, when she is not properly provided for by him or when she has been deserted by the husband. But if the husband gives her a sufficient allowance, she has no authority to pledge his credit and can never be the agent of necessity. In *Gray (Miss) Ltd. v. Cathcart*² a wife was supplied with clothes of the value of £ 215 by a shopkeeper. The shopkeeper sued the husband. It was found that the husband was giving the wife an allowance of £ 960 per year. It was held that the husband was not liable to pay the dues of the shopkeeper.

The general rule is, that the wife is not the agent of her husband and the husband is not the agent of his wife. But one of them may be the agent of the other by express appointment, by holding out, by ratification, or because of necessity.

5. Agency by Ratification

Ratification means the subsequent adoption and acceptance

¹ (1874) L. R. 9 Ex. 132

² (1922) 38 T.L.R. 562

of an act originally done without instructions or authority. *P* buys ten maunds of wheat on behalf of *Q*. *Q* did not appoint *P* as his agent and did not instruct him to buy wheat for him. *Q* may, upon hearing of the transaction, accept it. If he does so, the act is ratified and *P* becomes his agent with retrospective effect.

Effect of ratification : "Where acts are done by one person on behalf of another, but without his knowledge or authority, he may elect to ratify or to disown such acts. If he ratifies them, the same effects will follow as if they had been performed by his authority."—Sec. 196.

Ratification may be express or implied, *i.e.*, it may be by express words or by conduct.—Sec. 197.

Examples of implied ratification :

- (i) *D*, without authority, buys goods for *B*. Afterwards *B* sells them to *C* on his own account. *B*'s conduct implies a ratification of the purchase made by *D* for him.
- (ii) *D*, without *B*'s authority lends *B*'s money to *C*. Afterwards *B* accepts interest on the money from *C*. *B*'s conduct implies a ratification of the loan.

Ratification when validly made is retrospective in operation, *i.e.*, it relates back and dates from the time when the agent entered into the contract.

Conditions : To be valid, a ratification must fulfil the following conditions :

1. The agent must expressly contract as agent. A man cannot enter into a contract in his own name and later shift it on to a third party.
2. The act to be ratified must be a lawful one. There can be no ratification of an illegal act or an act which is void.
3. Ratification must be made within a reasonable time.
4. No valid ratification can be made by a person whose knowledge of the facts of the case is materially defective.—Sec. 198.
5. Ratification must be of the whole contract. There cannot be partial ratification and partial rejection.—Sec. 199.
6. For valid ratification, the agent must have a principal who is in actual existence at the time of the contract.

Example—a company cannot ratify a contract entered into by a promoter on its behalf before the company came into existence by incorporation.

7. The principal must have contractual capacity at the date of the contract and at the date of the ratification.
8. Ratification is not valid where the effect of ratification is to subject a third person to damages or of terminating any right or interest of a third person.—Sec. 200.

Examples :

- (i) *A*, not being authorised thereto by *B*, demands on behalf of *B*, the delivery of a chattel, the property of *B*, from *C* who is in possession of it. This demand cannot be ratified by *B*, so as to make *C* liable for damages for his refusal to deliver.
- (ii) *A* holds a lease from *B*, terminable on three months' notice. *C*, an unauthorised person, gives notice of termination to *A*. The notice cannot be ratified by *B*, so as to be binding on *A*.

AGENT'S AUTHORITY

Express and implied authority

"The authority of an agent may be expressed or implied."—Sec. 186.

The authority is said to be express when it is given by words spoken or written. The authority is said to be implied when it is to be inferred from the circumstances of the case. The inference as to implied authority, may be drawn from things spoken or written, or the ordinary course of dealing between the parties and others.—Sec. 187.

Example :

A owns a shop in Serampur, living himself in Calcutta, and visiting the shop occasionally. The shop is managed by *B*, and he is in the habit of ordering goods from *C* in the name of *A* for the purposes of the shop, and of paying for them out of *A*'s funds with *A*'s knowledge, *B* has an implied authority from *A* to order goods from *C* in the name of *A* for the purposes of the shop.

Extent of agent's authority

"An agent having an authority to do an act has authority to do every lawful thing which is necessary in order to do such act.

An agent having an authority to carry on a business has authority to do every lawful thing necessary for the purpose, or usually done in the course of conducting such business."—Sec. 188.

Examples :

- (a) *A* is employed by *B*, residing in London, to recover at Bombay a debt due to *B*. *A* may adopt any legal process necessary for the purpose of recovering the debt and may give a valid discharge for the same.
- (b) *A* constitutes *B* his agent to carry on his business of a ship-builder. *B* may purchase timber and other materials, and hire workmen, for the purpose of carrying on the business.

Authority in an emergency

"An agent has authority, in an emergency to do all such acts for the purpose of protecting his principal from loss as would be done by a person of ordinary prudence, in his own case, under similar circumstances."—Sec. 189.

Examples :

- (a) An agent for sale may have goods repaired if it be necessary.
- (b) *A* consigns provisions to *B* at Calcutta with directions to send them immediately to *C* at Cuttack. *B* may sell the provisions at Calcutta, if they will not bear the journey to Cuttack without spoiling.

What happens when the agent exceeds his authority ?

When the authority is separable : "When an agent does more than he is authorized to do, and when the part of what he does, which is within his authority, can be separated from the part which is beyond his authority, so much only of what he does as is within his authority, is binding as between him and his principal."—Sec. 227.

Example :

A, being owner of a ship and cargo, authorizes *B* to procure an insurance for 4,000 rupees on the ship. *B* procures a policy for 4,000 rupees on the ship, and another for the like sum on the cargo. *A* is bound to pay the premium for the policy on the ship, but not the premium for the policy on the cargo.

When the authority cannot be separated : "Where an agent does more than he is authorized to do and what he does beyond the scope of his authority cannot be separated from what is within it, the principal is not bound to recognize the transaction."—Sec. 228.

Example :

A authorizes *B* to buy 500 sheep for him. *B* buys 500 sheep and 200 lambs for one sum of 6,000 rupees. *A* may repudiate the whole transaction.

When the principal is bound by unauthorized acts of agent.
 The principal may be bound by unauthorized acts of the agent in two cases : (i) Where by the rule of estoppel the principal is precluded from denying the authority of the agent. (See cases cited under "Agency by Estoppel", p. 179.) (ii) Where an agency has been terminated, but notice of termination has not been received by the other parties concerned (See pp. 188-189)

Effects of notice to agent or information obtained by agent

Any notice given to or information obtained by the agent (provided it be given or obtained in the course of the business transacted by him for the principal) shall have the same legal consequences as if it has been given to or obtained by the principal.—Sec. 229.

Examples :

- (a) *A* is employed by *B* to buy from *C* certain goods of which *C* is the apparent owner, and buys them accordingly. In the course of the treaty for the sale, *A* learns that the goods really belonged to *D*, but *B* is ignorant of that fact. *B* is not entitled to set-off a debt owing to him from *C* against the price of the goods.
- (b) *A* is employed by *B* to buy from *C* goods of which *C* is the apparent owner, *A*, was before he was so employed, a servant of *C* and then learnt that the goods really belonged to *D*, but *B* is ignorant of that fact. In spite of the knowledge of his agent, *B* may set-off against the price of the goods a debt owing to him from *C*.

Representation as to Liability

When a person who has made a contract with an agent induces the agent to act upon the belief that the principal only will be held liable, he cannot subsequently hold the agent liable on the contract. Similarly if a person induces the principal to act on the belief that the agent only will be held liable, he cannot afterwards hold the principal liable on the contract.—Sec. 234.

Pretended Agents

A person untruly representing himself to be the authorized agent of another, and thereby inducing a third person to deal with him as such agent, is liable, if his alleged employer does not ratify his acts, to make compensation to the other in respect of any loss or damage which he had incurred by so dealing.—Sec. 235.

A pretended agent has no authority to act as agent. When the other party to the contract suffers damage as a result of such want of authority, he can sue the agent for breach of warranty of authority. The pretended agent is liable to pay damages under the Law of Torts. The liability arises even when the agent acted innocently.

Example :

A firm of solicitors were instructed by a client to defend a suit. Subsequently the client became insane (and the solicitors' authority as agent terminated by law). The solicitors in ignorance of the fact took steps to defend the suits. Held, the solicitors were personally liable for the cost of the other side, as on a breach of warranty of authority. *Yonge v. Toynbee*.¹

A person with whom a contract has been entered into in the character of agent, is not entitled to require the performance of it if he was in reality acting, not as agent, but on his own account.—Sec. 236.

Misrepresentation and Fraud by Agents

Misrepresentations made, or frauds committed, by agents acting in the course of their business for their principals, have the same effect on agreements made by such agents as if such misrepresentations or frauds had been made or committed by the principals.

But misrepresentations made, or frauds committed, by agents, in matters which do not fall within their authority, do not affect their principals.—Sec. 238.

Examples :

- (i) A, being B's agent for the sale of goods, induces C to buy them by a misrepresentation, which he was not authorised by B to make. The contract is voidable, as between B and C, at the option of C.
- (ii) A, the captain of B's ship, signs bills of lading without having received on board the goods mentioned therein. The bills of lading are void as between B and the pretended consignor.
- (iii) A solicitor's managing clerk had authority to transact conveyancing business on behalf of his employer. He induced a client, who was an old lady, to sign a conveyance of her properties to himself. With the help of the document the clerk sold the properties to another and decamped with the proceeds. Held, that as the clerk was acting in course of the business of the solicitor, the solicitor must make good the loss of the lady. *Lloyd v. Grace Smith & Co.*²

¹ (1910) 1 K.B. 215

² (1912) A.C. 716

 SUB-AGENT AND CO-AGENT**Rule**

The general rule is that an agent cannot appoint an agent. ("*Delegatus non potest delegare.*") "An agent cannot lawfully employ another to perform acts which he has expressly or impliedly undertaken to perform personally."—Sec. 190.

Exceptions

But there are two exceptions to this rule. An agent can appoint an agent (i) when it is permitted by the custom of the trade with which the agency is concerned; and (ii) when it is necessary because of the nature of the agency.

Sub-agent

An agent appointed by an agent is called a sub-agent. "A sub-agent is a person employed by, and acting under the control of, the original agent in the business of the agency."—Sec. 191.

The consequences of the appointment of a sub-agent are stated below :

1. A sub-agent is appointed by and acts under the control of the original agent.—Sec. 191.
2. The principal is represented by the sub-agent and is bound by and responsible for his acts as if he was an agent appointed by the principal.—Sec. 192.
3. The agent is responsible to the principal for the acts of the sub-agent.—Sec. 192.
4. The sub-agent is responsible for his acts to the agent. The sub-agent is not responsible to the principal except in case of fraud and wilful wrong.—Sec. 192.
5. Where an agent improperly appoints a sub-agent, the agent is responsible for his acts both to the principal and to third parties. The principal in such cases is not represented by the sub-agent nor is he responsible for the acts of the sub-agent.—Sec. 193.

Co-agent

A co-agent is a person appointed by the agent according to the express or implied authority of the principal, to act *on behalf of the principal* in the business of the agency.—Sec. 194.

Such a person is an agent of the principal and is responsible to him. A co-agent is sometimes called a Substituted Agent.

In case of a co-agent there is direct privity of contract between the principal and the co-agent. There is no direct privity of contract between the principal and the sub-agent, except in cases of fraud and wilful wrong-doing.

Examples :

- (i) *A* directs *B*, his solicitor, to sell his estate by auction, and to employ an auctioneer for the purpose. *B* names *C*, an auctioneer, to conduct the sale. *C* is not a sub-agent, but is *A*'s agent for the conduct of the sale.
- (ii) *A* authorizes *B* a merchant in Calcutta to recover the moneys due to *A* from *C & Co.* *B* instructs *D* a solicitor, to take legal proceedings against *C & Co.* for the recovery of the money. *D* is not a sub-agent but is solicitor for *A*.

An agent in appointing a co-agent must exercise the same amount of discretion as a man of ordinary prudence would exercise in his own case. If he does this he is not responsible to the principal for acts of negligence of the co-agent.—Sec. 195.

Examples :

- (i) *A* instructs *B*, a merchant, to buy a ship for him. *B* employs a ship surveyor of good reputation to choose a ship for *A*. The surveyor makes the choice negligently and the ship turns out to be unseaworthy and is lost. *B* is not, but the surveyor is, responsible to *A*.
- (ii) *A* consigns goods to *B*, a merchant for sale. *B* in due course, employs an auctioneer in good credit to sell the goods of *A* and allows the auctioneer to receive the proceeds of the sale. The auctioneer afterwards becomes insolvent without having accounted for the proceeds. *B* is not responsible to *A* for the proceeds.

TERMINATION OF AGENCY

An agency may be terminated by *act of parties or by operation of law*. The different possible circumstances leading to the termination of agency are enumerated below.—Sections 201-210.

Termination by act of parties

Revocation and Renunciation : The principal may, by notice, revoke the authority of the agent. The agent may similarly, by notice, renounce the business of agency.

Revocation and renunciation can be express or may be implied from the conduct of the parties.

Example :

A empowers B to let A's house. Afterwards A lets it himself. There is an implied revocation of B's authority.

Compensation for revocation or renunciation : Where there is an express or implied agreement to continue the agency for any length of time, and the contract of agency is revoked or renounced without sufficient cause, compensation must be paid to the injured party.—Sec. 205.

Irrevocable agency : The principal cannot revoke the authority of the agent in the following cases :

1. When the agent has an interest in the subject-matter of the contract, his authority cannot be revoked so as to prejudice that interest. This is known as *agency coupled with interest*.—Sec. 202.

Examples :

- (i) *A gives authority to B to sell A's land to pay himself out of the proceeds, the debts due to him from A. A cannot revoke this authority, nor can it be terminated by his insanity or death.*
- (ii) *A consigns 1000 bales of cotton to B, who has made advances to him on such cotton, and desires B to sell the cotton, and to repay himself out of the price, the amount of his own advances. A cannot revoke this authority, nor is it terminated by his insanity or death.*

2. The authority of the agent cannot be revoked once it has been exercised so as to bind the principal.

3. When the agent has partially exercised his authority, the principal cannot by revocation affect the acts already done.

II. Termination by operation of Law

An agency may terminate by operation of law in any of the following ways :

1. **Efflux of time :** When the agency is for a fixed period of time, it terminates on the expiry of that time.

2. **Performance of the object :** Where the agency is for a particular object, it terminates when the object is accomplished or when the accomplishment becomes impossible.

3. **Determination of subject-matter.** When the subject-matter of the agency comes to an end, the agency terminates.

4. **Death or insanity of the principal or agent :** Death or insanity of the principal or the agent, terminates the agency. In case of a company, its winding up and in case of a firm, its dissolution has the same effect.

5. *Insolvency of the principal* : If the principal is adjudicated an insolvent, the agency terminates. But insolvency of the agent does not terminate the agency.

6. *The principal becoming an alien enemy* : If the principal and the agent belong to different countries and war breaks out between the two countries, the contract of agency is terminated.

7. *Termination of the sub-agent's authority* : The sub-agent's authority comes to an end when the agent's authority terminates.

When termination of agent's authority takes effect

The termination of the authority of an agent takes effect, as regards the agent from the time it becomes known to him. As regards third parties it becomes effective when it becomes known to them.—Sec. 208.

Examples :

- (i) *A* directs *B* to sell goods for him, and agrees to give *B* five per cent commission on the price fetched by the goods. *A* afterwards, by letter, revokes *B*'s authority, *B* after the letter is sent, but before he receives it, sells the goods for 100 rupees. The sale is binding on *A*, and *B* is entitled to five rupees as his commission.
- (ii) *A*, at Madras, by letter directs *B* to sell for him some cotton lying in a warehouse in Bombay, and afterwards by letter, revokes his authority to sell, and directs *B* to send the cotton to Madras. *B*, after receiving the second letter enters into a contract with *C*, who knows of the first letter, but not of the second, for the sale to him of the cotton. *C* pays *B* the money, with which *B* absconds. *B*'s payment is good as against *A*.
- (iii) *A* directs *B*, his agent, to pay certain money to *B*. *A* dies and *D* takes out probate to his will. *B* after *A*'s death but before hearing of it, pays the money to *C*. The payment is good as against *D*, the executor.

AGENT'S DUTIES TO PRINCIPALS

1. *Agent's duty in conducting principal's business* : An agent is bound to conduct the business of his principal according to the directions given by the principal, or, in the absence of any such directions, according to the custom which prevails in doing business of the same kind at the place where the agent conducts such business. When the agent acts otherwise, if any loss be sustained he must make it good to his principal, and, if any profit accrues, he must account for it.—Sec. 211.

Examples :

- (a) *A*, an agent engaged in carrying on for *B* a business, in which it is the custom to invest from time to time, at interest, the moneys which may be in hand, omits to make such investment. *A* must make good to *B* the interest usually obtained by such investments.
- (b) *B*, a broker, in whose business it is not the custom to sell on credit, sells goods of *A* on credit to *C*, whose credit at the time was very high. *C*, before payment, becomes insolvent. *B* must make good the loss to *A*.

2. *Skill and diligence required from agent* : An agent is bound to conduct the business of the agency with as much skill as is generally possessed by persons engaged in similar business unless the principal has notice of his want of skill.

The agent is always bound to act with reasonable diligence, and to use such skill as he possesses ; and to make compensation to his principal in respect of the direct consequences of his own neglect, want of skill or misconduct, but not in respect of loss or damages which are indirectly or remotely caused by such neglect, want of skill, or misconduct.—Sec. 212.

Examples :

- (a) *A*, a merchant in Calcutta, has an agent *B*, in London to whom a sum of money is paid on *A*'s account, with orders to remit. *B* retains the money for a considerable time. *A*, in consequence of not receiving, the money, becomes insolvent. *B* is liable for the money and interest from the day on which it ought to have been paid according to the usual rate, and for any further direct loss.—as e.g., by variation of rate of exchange—but not further.
- (b) *A*, an agent for the sale of goods, having authority to sell on credit, sells to *B* on credit, without making the proper and usual enquiries as to the solvency of *B*. *B*, at the time of such sale, is insolvent. *A* must make compensation to his principal in respect of any loss thereby sustained.
- (c) *A*, an insurance broker, employed by *B* to effect an insurance on a ship, omits to see that the usual clauses are inserted in the policy. The ship is afterwards lost. In consequence of the omission of the clauses nothing can be recovered from the underwriters. *A* is bound to make good the loss to *B*.
- (d) *A*, a merchant in England, directs *B*, his agent at Bombay, who accepts the agency, to send him 100 bales of cotton by a certain ship. *B* having it in his power to send the cotton, omits to do so. The ship arrives safely in England. Soon after her arrival the price of cotton rises. *B* is bound to make good to *A* the profit which he might have made by the 100 bales of cotton at the time the ship arrived, but not any profit he might have made by the subsequent rise.

- (e) *K* employed *W* to sell a house. On 29th May *W* received an offer of £6,150 from *E* and communicated it to *K* who directed him to accept it "subject to contract". On 3rd June *D* offered £6,750 but this offer was not communicated to *K*. On 8th June a written contract was entered into between *K* and *E*. *K* sued *W* for breach of duty in not communicating *D*'s offer. Held, there was breach of duty and *W* was directed to pay to *K* the difference between the two prices. *Keppel v. Wheeler*.¹

3. *Agent's duty to render accounts* : An agent is bound to render proper accounts to his principal on demand, or periodically if so provided in the agreement.—Sec. 213.

4. *Agent's duty to communicate to principal* : It is the duty of an agent, in cases of difficulty, to use all reasonable diligence in communicating with his principal, and in seeking to obtain his instructions.—Sec. 214.

5. *Agent not to deal on his own account* : If an agent deals on his own account in the business of the agency, without first obtaining the consent of his principal and acquainting him with all material circumstances which have come to his own knowledge on the subject, the principal may repudiate the transaction, if the case shows either that any material fact has been dishonestly concealed from him by the agent, or that the dealings of the agent have been disadvantageous to him.—Sec. 215. The agent has a duty to avoid conflict of interest between the agent and the principal.

Examples :

- (a) *A* directs *B* to sell *A*'s estate. *B* buys the estate for himself in the name of *G*. *A*, on discovering that *B* has bought the estate for himself, may repudiate the sale, if he can show that *B* has dishonestly concealed any material fact, or that the sale has been disadvantageous to him.
- (b) *A* directs *B* to sell *A*'s estate. *B*, on looking over the estate before selling it, finds a mine on the estate which is unknown to *A*. *B* informs *A* that he wishes to buy the estate for himself, but conceals the discovery of the mine. *A* allows *B* to buy, in ignorance of the existence of mine. *A*, on discovering that *B* knew of the mine at the time he bought the estate, may either repudiate or adopt the sale at his option.

6. *Principal to get benefit of agent's dealings* : If an agent, without the knowledge of his principal, deals in the business of the agency on his own account, instead of on account of his

¹ (1927) 1 K.B. 577

principal, the principal is entitled to claim from the agent any benefit which may have resulted to him from the transaction.—Sec. 216. The agent has a duty not to make secret profits.

Example :

A directs *B*, his agent, to buy a certain house for him. *B* tells *A* it cannot be brought, and buys the house for himself. *A* may, on discovering that *B* has brought the house, compel him to sell it to *A* at the price he gave for it.

(*A* Agent's duty to pay sums received for principal) The agent is bound to pay to his principal all sums received on his account after deducting therefrom his dues on account of remuneration and expenses.—Sec. 218.

8. *Principal's death or insanity* : When an agency is terminated by the principal dying or becoming of unsound mind, the agent is bound to take on behalf of the representatives of his late principal, all reasonable steps for the protection and preservation of the interests entrusted to him.—Sec. 209.

9. *Miscellaneous* : The Agent has other duties also. The agent must give all information to the principal. He must not delegate his authority. He must avoid the clash between his duty and self-interest. He should be loyal to the principal. He must not set up an adverse title against the principal. He is not entitled to remuneration in certain circumstances.

PRINCIPAL'S DUTIES TO AGENT

1. *Agent to be indemnified against consequences of lawful acts* : The principal is bound to indemnify the agent against the consequences of all lawful acts done by such agent in exercise of the authority conferred upon him.—Sec. 222.

Examples :

- (a) *B*, at Singapore, under instructions from *A* of Calcutta contracts with *C* to deliver certain goods to him. *A* does not send the goods to *B*, and *C* sues *B* for breach of contract. *B* informs *A* of the suit, and *A* authorised him to defend the suit. *B* defends the suit, and is compelled to pay damages and costs, and incurs expenses. *A* is liable to *B* for such damages, costs and expenses.
- (b) *B*, a broker at Calcutta, by the orders of *A*, a merchant there contracts with *C* for the purchase of 10 casks of oil for *A*. Afterwards *A* refuses to receive the oil, and *C* sues *B*. *B* informs *A*, who repudiates the contract altogether. *B*, defends, but unsuccessfully, and has to pay damages and costs and expenses. *A* is liable to *B* for such damages, costs and expenses.

2. *Agent to be indemnified against consequences of acts done in good faith* : Where one person employs another to do an act, and the agent does the act in good faith, the employer is liable to indemnify the agent against the consequences of that act, though it causes an injury to the rights of third persons.—Sec. 223.

Examples :

- (a) *A*, a decree-holder and entitled to execution of *B*'s goods, requires the officer of the Court to seize certain goods, representing them to be the goods of *B*. The officer seizes the goods and is used by *C*, the true owner of the goods. *A* is liable to indemnify the officer for the sum which he is compelled to pay to *C*, in consequence of obeying *A*'s directions.
- (b) *B*, at the request of *A*, sells goods in the possession of *A*, but which *A* had not right to dispose of. *B* does not know this and hands over the proceeds of the sale to *A*. Afterwards *C*, the true owner of the goods, sues *B* and recovers the value of the goods and costs. *A* is liable to indemnify *B* for what he has been compelled to pay to *C* and for *B*'s own expenses.

3. *Non-liability for criminal acts* : But where one person employs another to do an act which is *criminal*, the employer is not liable to the agent, either upon an express or an implied promise, to indemnify him against the consequences of that act.—Sec. 224.

Examples :

- (a) *A* employs *B* to beat *C*, and agrees to indemnify him against all consequences of the act. *B* thereupon beats *C*, and has to pay damages to *C* for so doing. *A* is not liable to indemnify *B* for those damages.
- (b) *B*, the proprietor of a newspaper publishes, at *A*'s request, a libel upon *C* in the paper, and *A* agrees to indemnify *B* against the consequences of the publication, and all costs and damages of any action in respect thereof. *B* is sued by *C* and has to pay damages, and also incurs expenses. *A* is not liable to *B* upon the indemnity.

4. *Compensation for principal's neglect* : The principal must make compensation to his agent in respect of injury caused to such agent by the principal's neglect or want of skill.—Sec. 225.

Example :

A employs *B* as a bricklayer in building a house and puts up the scaffolding himself. The scaffolding is unskilfully put up and *B* is in consequence hurt. *A* must make compensation to *B*.

PRINCIPAL'S RIGHTS

1. *Compensation* : The principal is entitled to compensation for any breach of duty by the agent.
2. *Agent's duties* : The agent's duties are the principal's rights.
3. *Revocation* : The principal can revoke the agent's authority, subject to certain conditions.

AGENT'S RIGHTS

1. *Enforcement of rights* : The agent can enforce all the duties of the principal. The principal's duties are the agent's rights.

2. *Agent's Right of Retainer* : An agent may retain, out of any sums received on account of the principal in the business of the agency, all moneys due to himself in respect of advances made or expenses properly incurred by him in conducting such business, and also such remuneration as may be payable to him for acting as agent.—Sec. 217.

3. *When agent's remuneration becomes due* : In the absence of any special contract, the agent's remuneration does not become due until he has completed the act for which he was appointed agent. But an agent may detain moneys received by him on account of goods sold, although the whole of the goods consigned to him for sale may have been sold, or although the sale may be actually complete.—Sec. 219.

4. *Agent not entitled to remuneration for business misconducted* : An agent who is guilty of misconduct in the business of the agency is not entitled to any remuneration in respect of that part of the business which he has misconducted.—Sec. 220.

Examples :

- (a) *A* employs *B* to recover Rs. 100,000 and to lay it out on good security. *B* recovers, Rs. 100,000 and lays out Rs. 90,000 on good security but lays out Rs. 10,000 on bad security whereby *A* loses Rs. 2,000. *B* is entitled to remuneration for recovering Rs. 100,000 and for investing Rs 90,000. He is not entitled to any remuneration for investing Rs. 10,000 and must make good the loss of Rs. 2,000 to *A*.
- (b) *A* employs *B* to recover Rs. 1,000 from *C*. Through *B*'s misconduct the money is not recovered. *B* is entitled to no remuneration for his services, and must make good the loss.

5. *Agent's Lien* : In the absence of any contract to the contrary, an agent is entitled to retain goods, papers and other

property, whether movable or immovable of the principal, received by him, until the amount due to himself for commission, disbursements and services in respect of the same has been paid or accounted for to him.—Sec. 221.

PERSONAL RESPONSIBILITY OF AGENT

It is provided by Section 230 that, in the absence of any contract to that effect, an agent cannot personally enforce contracts entered into by him on behalf of his principal, nor is he personally bound by them.

But if there is an agreement to that effect, express or implied, the agent may enforce the contract and may also be *personally liable* on it. Such a contract *shall be presumed to exist* in the following cases :

1. *Foreign principal* : Where the contract is made by an agent for the sale or purchase of goods for a merchant resident abroad.
2. *Undisclosed principal* : Where the agent does not disclose the name of his principal.
3. *When principal cannot be sued* : Where the principal, though disclosed, cannot be sued (for example, if he is a foreign sovereign or a foreign State).

The agent is also personally responsible in the following cases :

4. *Fictitious person or a non-existent person* : If the principal does not exist. *Example* : When a promoter makes a contract for a company which has not yet been registered.
5. *Unauthorised Acts* : Agent acting beyond the principal's authority.—Secs. 227, 228. (p. 183)
6. *Misrepresentation or fraud by agent* : An agent is personally responsible if he makes misrepresentations or frauds acting in course of the business of the principal.—Sec. 238. (p. 185)
7. *Pretended agents* : A pretended agent does not have authority. When the other party to the contract suffers damage, he can sue the agent for breach of warranty of authority. The pretended agent is liable to pay damages under the Law of Torts. The liability arises even when the agent acted innocently.—Sec. 235.

8. *Representation as to liability* : If a person induces the principal to act on the belief that the agent only will be held liable, he cannot afterwards hold the principal liable on the contract.—Sec. 234.

Right of person dealing with agent personally liable : In cases where the agent is personally liable, a person dealing with him may hold either him or his principal, or both of them liable.—Sec. 233.

CONTRACTS WITH AN UNDISCLOSED PRINCIPAL

An agent may enter into a contract with a person without disclosing the name of the principal. The legal consequences of contracts with undisclosed principal are as follows :

1. *Principal may require performance of the contract* : If an agent makes a contract with a person who neither knows, nor has reason to suspect, that he is an agent, his principal may require the performance of the contract. But the other contracting party has, as against the principal, the same right as he would have had as against the agent if the agent had been principal.—Sec. 231. (Para 1)

2. *Other party may refuse to fulfil the contract* : If the principal discloses himself before the contract is completed, the other contracting party may refuse to fulfil the contract, if he can show that, if he had known who was the principal in the contract, or if he had known that the agent was not a principal, he would not have entered into the contract.—Sec. 231. (Para 2)

3. *Performance is subject to the rights and obligations between agent and the other party* : Where one man makes a contract with another, neither knowing nor having reasonable ground to suspect that the other is an agent, the principal, if he requires the performance of the contract, can only obtain such performance subject to the rights and obligations subsisting between the agent and the other party to the contract.—Sec. 232.

Example :

A, who owes Rs. 500 to B, sells Rs. 1,000 worth of rice to B. A is acting as agent for C in the transaction, but B has no knowledge nor reasonable ground of suspicion that such is the case. C cannot compel B to take the rice without allowing him to set off A's debt.

4. *Agent is personally liable*. In contracts with an undisclosed principal, the agent is, in the absence of a contract to the contrary, personally liable on the contract. The other party

may hold either the agent or the principal or both liable.—
Sec. 233.

Example :

A enters into a contract with *B* to sell him 100 bales of cotton, and afterwards discovers that *B* was acting as agent for *C*. *A* may sue either *B* or *C*, or both, for the price of the cotton.

EXERCISES

1. In what ways an agency can be created ? (Pages 178-182)
2. What are the different ways an agency can be terminated ?
(Pages 187-189)
3. When is a Principal bound by the unauthorised acts of his Agent?
(Pages 182-183)
4. State the duties of the principal to his agent. (Pages 192-193)
5. State the duties of an agent to the principal. (Pages 189-192)
6. State the respective rights and duties of a principal and an agent, when the principal is undisclosed. (Pages 196-197)
7. Explain the instances when an agent can be made personally liable in respect of contracts entered into by him on behalf of the principal. (Pages 195-196)
8. Explain the following terms : (a) Principal (b) Agent (c) Power of Attorney (d) A Del Credere Agent (e) Sub-agent and Co-agent (f) Ratification (g) Agency of necessity.
(Pages (a) 174, (b) 174, (c) 174, (d) 178, (e) 186, (f) 180, (g) 180)
9. Distinguish between :
 - (i) Agent and Servant. (Page 175)
 - (ii) Agent and Contractor. (Page 176)
 - (iii) Agent and Bailee. (Page 176)
 - (iv) Express authority and Implied authority of agent. (Page 182)
 - (v) Sub-agent and Co-agent. (Page 186)
 - (vi) Agent and Pretended agent. (Page 184)
10. Objective questions. Give short answers.
 - (i) "An agent can be appointed orally." True or false ?
(Page 178)
 - (ii) State three varieties of agency contracts. (Page 177)
 - (iii) Give three examples of how agency can be created. (Page 178)
 - (iv) "The wife is not the agent of her husband". True or false ?
(Page 180)
 - (v) Give three examples of termination of agency. (Page 187)
 - (vi) "An agent is bound to render accounts to the principal." True or false ?
(Page 191)
 - (vii) Give two exceptions to the rule "an agent cannot appoint an agent".
(Page 186)

BOOK II

THE LAW RELATING TO SALE OF GOODS

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APPLICATION

The law relating to the sale of movable goods is contained in the Sale of Goods Act (Act III of 1930). The Act came into force on 1st July, 1930. It closely follows the English Act on the subject.

BUYER, SELLER AND GOODS

Buyer : Buyer means a person who buys or agrees to buy goods.—Sec. 2(1).

Seller : Seller means a person who sells or agrees to sell goods.—Sec. 2(13).

Goods

The term "Goods" includes every kind of movable property except (i) actionable claims and (ii) money.—Sec. 2(7)

An actionable claim means a debt or a claim for money which a person may have against another and which he may recover by suit. (see p. 109) Money means legal tender money.

These two types of movable property are not included in the definition of the term goods as used in the Sale of Goods Act. All other types of movable property are "goods" under the Act.

Movable articles like furniture, clothing etc. and shares and debentures are goods. Things attached to the earth are not movable. But growing crops and grass, which can be easily separated from the earth before sale, and fruits which can be severed from trees, are included within the definition of movable goods.

Goods may be classified into three types : Existing Goods, Future Goods and Contingent Goods.

Existing Goods

Existing goods are goods which are already in existence and which are physically present in some person's possession and ownership.—Sec. 6(1).

Existing goods may be either (i) *Specific and Ascertained* or (ii) *Generic and Unascertained*. Specific Goods are goods which can be clearly identified and recognised as separate things e.g., a particular picture by a painter; a ring with distinctive features; goods identified and agreed upon at the time of the contract of sale etc. The term Ascertained Goods is used in the same sense as Specific Goods.

Generic Goods or Unascertained Goods are goods indicated by description and not separately identified. If a merchant agrees to supply one bag of wheat from his godown to a buyer, it is a sale of unascertained goods because it is not known which bag will be delivered. As soon as a particular bag is separated out and marked or identified for delivery it becomes specific goods.

Future Goods

Future Goods are goods which will be manufactured or produced or acquired by the seller after the making of the contract of sale.—Sec. 2(6).

Example :

P agrees to sell to *Q* all the mangoes which will be produced in his garden next year. This is an agreement for the sale of future goods.

Contingent Goods

There may be a contract for the sale of goods the acquisition of which by the seller depends upon a contingency which may or may not happen. [Sec. 6(2)] In such cases the goods sold are called Contingent Goods. Contingent goods come within the class of future goods.

Example :

X agrees to sell to *Y* a certain ring provided he is able to purchase it from its present owner. This is an agreement for the sale of contingent goods.

SALE AND AGREEMENT TO SELL

Sale

A contract for the sale of goods may be either a sale or an agreement to sell (Sec. 4). Where under a contract of sale the property in the goods (*i.e., the ownership*) is transferred from the seller to the buyer the contract is called a sale. The transaction is a sale even though the price is payable at a later date or

delivery is to be given in the future, provided the ownership of the goods is transferred from the seller to the buyer.

Agreement to sell

When the transfer of ownership is to take place at a future time or subject to some condition to be fulfilled later, the contract is called an agreement to sell.

When an agreement to sell becomes a sale? An agreement to sell becomes a sale when the prescribed time elapses or the conditions, subject to which the property in the goods is to be transferred, are fulfilled.

Where by a contract of sale the seller purports to effect a present sale of future goods, the contract operates as an agreement to sell the goods.

Examples :

- (i) *P* agrees to buy from *B* a haystack on *B*'s land, with liberty to come on *B*'s land to take it away. This is a sale because the property in the goods has passed to the buyer.
- (ii) *P* agrees to buy a quantity of soda to arrive by a certain ship. This is an agreement to sell because the property in the goods will pass to the buyer when the goods come and the agreement is naturally subject to the condition that the ship arrives in port with the goods.

DIFFERENCES BETWEEN A SALE AND AN AGREEMENT TO SELL

1. Transfer of ownership

In an agreement to sell, the property in the goods remains with the seller until the agreement to sell becomes a sale by the expiry of the agreed time or the fulfilment of the agreed conditions. Till this happens the goods can be resold by the seller or attached in execution of a decree against him. In case of a sale the property passes to the buyer and the goods cannot be seized in execution of a decree against the seller.

2. Transfer of Risk

Where the transaction amounts to a sale, the goods belong to the buyer and he has to bear the loss if the goods are subsequently damaged or destroyed.—Sec. 26.

3. Remedial measures

In the case of a sale, the unpaid seller has certain reliefs available, e.g., lien, stoppage in transit, resale etc. In case of

an agreement to sell, the seller's remedy for breach of contract by the buyers, is a suit for damages.

4. Nature of contract

'Sale' is an 'executed contract' because in a sale, consideration moves simultaneous with the promises of both parties. Also, in a sale the property of specific goods is transferred to the buyer immediately. But an 'agreement to sell' is an 'executory contract' because the consideration is to move at a future date. Also the property of specific goods pass to the buyer later. (See. p. 36 and ch. 2 'Transfer of Ownership').

THE ESSENTIAL ELEMENTS

The essential elements of a contract for the sale of goods are enumerated below :

1. *Movable Goods* : The Sale of Goods Act deals only with movable goods, excepting actionable claims and money.—Sec. 2(7). This Act does not apply to immovable properties.

2. *Movable Goods for Money* : There must be a contract for the exchange of movable goods for money. Therefore in a sale there must be money-consideration. (See 'Price', p. 204-205) An exchange of goods for goods is not a sale. But it has been held that if an exchange is made partly for goods and partly for money, the contract is one of sale. *Aldridge v. Johnson*.¹

3. *Two Parties* : Since a contract of sale involves a change of Ownership, it follows that the *buyer and the seller must be different persons*. A sale is a bilateral contract. A man cannot buy from or sell goods to himself. To this rule there is one exception provided for in section 4(1) of the Sale of Goods Act. A *part-owner* can sell goods to another part-owner. Therefore a partner may sell goods to his firm and the firm may sell goods to a partner. *Re Maclaren*.²

Examples :

- (i) *P & Q* are each of them $\frac{1}{4}$ owners of a certain stock of movable goods. *P* can sell his rights to *Q*. After the sale *Q* becomes owner of $\frac{1}{2}$ share.
- (ii) A club supplies food to the members. Any member taking it has to pay its cost to the club. Thus a member of the club pays to the members jointly (i.e., to the club). This transaction is a release of joint interest of the other members of the club. "Members of

¹ (1857) 7 E&B 885

² (1879) 11 Ch. Div. 68

a club or voluntary society are undivided joint owners, not part-owners." Therefore it is not a sale. *Graff v. Evans*.¹

4. *Formation of the contract of sale* : A contract of sale is made by an offer to buy or sell goods for a price and the acceptance of such offer. The contract may provide for the immediate delivery of the goods or immediate payment of the price or both, or for the delivery and payment by instalments, or that the delivery or payment or both shall be postponed.—Sec. 5(1).

5. *Method of forming the contract* : Subject to the provision of any law for the time being in force, a contract of sale may be *in writing*, or *by word of mouth*, or may be *implied* from the conduct of the parties.—Sec. 5(2)

6. *The terms of contract* : The parties may agree upon any term concerning the *time, place, and mode of delivery*. The terms may be of two types : essential and non-essential. Essential terms are called Conditions, non-essential terms are called Warranties. The Sale of Goods Act provides that in the absence of a contract to the contrary, certain conditions and warranties are to be implied in all contracts of sale.

7. *Other essential elements* : A contract for the sale of goods must satisfy all the essential elements necessary for the formation of a valid contract, e.g., the parties must be competent to contract, there must be free consent, there must be consideration, the object must be lawful etc. (See. p. 13)

PRICE

Definition

"Price" means the money consideration for a sale of goods.—Sec. 2(10)

Ascertaining of price

The price in a contract of sale may be fixed by the contract of sale or may be left to be fixed in a manner agreed between the parties. It may also be determined by the course of dealing between the parties. Where there is no provision made in the contract regarding price, the buyer must pay a reasonable price. What is a reasonable price is a question of fact depending upon the circumstances of the case.—Sec. 9.

¹ (1882) 8 Q. B. D. 373

Goods may be sold on a condition that the valuation is to be made by a third party. In such cases if the third party cannot or does not make the valuation, the agreement to sell becomes void. But if the goods or any part thereof had been delivered to and appropriated by the buyer, he shall pay a reasonable price therefor.—Sec. 10(1)

Where such third party is prevented from making the valuation by the fault of the seller or buyer, the party not in fault is entitled to damages.—Sec. 10(2).

DESTRUCTION OF GOODS

Goods perishing before making a contract

“Where there is a contract for the sale of specific goods, the contract is void if the goods without the knowledge of the seller have, at the time when the contract was made, perished or become so damaged as no longer to answer to their description in the contract.”—Sec. 7.

Example :

There was a sale of cargo of corn. Without the knowledge of the seller, the cargo had before the sale become heated and was therefore landed at another port and sold. The sale is void. *Coururier v. Hastie*.¹

Goods perishing before sale but after agreement to sell

“Where there is an agreement to sell specific goods, and subsequently the goods without any fault on the part of the seller or buyer perish or become so damaged as no longer to answer to their description in the agreement before the risk passes to the buyer, the agreement is thereby avoided.”—Sec. 8.

Example :

There was a contract for the sale of a horse. The buyer would use it for eight days for trial and it was not suitable, it would be returned. Three days before the delivery of the horse, it died, without any fault on the either party. The contract was avoided. *Elphick v. Barnes*.²

EARNEST MONEY

The payment of earnest money to mark the formation of an agreement for sale is a long standing custom in India as well

¹ (1856) 5 H. L. C. 673

² (1880) 5 C.P.D. 321

as in England. There is usually an understanding that if the contract is broken by the buyer, the seller is to retain the earnest money as compensation; whereas if the contract is fulfilled the amount is credited to the purchase price payable. Earnest money is security for the fulfilment of agreement. A provision for the forfeiture of earnest money is not consideration to be penalty clause.—Sec. 74.

In *Shree Hanuman Cotton Mills and Anr. v. Tata Aircraft Ltd.*¹, the purchaser deposited Rs. 2,50,000 as earnest money, being the 25 per cent of the value of goods. He agreed that the full value of goods will be paid, before taking delivery but he failed to pay it. Held, the seller was entitled to forfeit the earnest money.

Sale-amount paid whether advance or earnest money : Money may be paid by the buyer to the seller at the time of the formation of an agreement of sale. If usually expressly stipulated whether the money is an 'advance' or an 'earnest money'. In the absence of any stipulation, the payment is interpreted as advance if it is a large part of the contract price. If the money paid is a small part of the contract price, it can be interpreted as earnest money. *Marimuthu Gounder v. Ramaswamy Gounder and others.*²

HIRE-PURCHASE AGREEMENTS

Definition

A hire-purchase agreement is one under which a person takes delivery of goods promising to pay the price by a certain number of instalments and, until full payment is made, to pay hire charges for using the goods. From this definition it can be said that a hire-purchase agreement is *a bailment plus an agreement to sell*.

Formerly, hire purchase agreements were frequently worded ambiguously and it was difficult to determine whether a particular transaction was a sale or a hire-purchase agreement. The law regarding this subject has been codified by the Parliament in 1972, viz., the *Hire-Purchase Act* (No. 25 of 1972), but the Act has not been applied yet.

Summary

The main provisions of the Hire-Purchase Act are summarised on the next pages :

¹ (1970) 2 S.G.A. 482 (Supreme Court) ² AIR (1979) Mad. 189

1. Hire-Purchase Agreement means an agreement under which goods are let on hire and under which the hirer has an option to purchase them in accordance with the terms of the agreement and includes a agreement under which,

- (i) possession of goods is delivered by the owner thereof to a person on condition that such person pays the agreed amount in periodical instalments, and
- (ii) the property in the goods is to pass to such person on the payment of the last of such instalment, and
- (iii) such person has a right to terminate the agreement at any time before the property so passes.—Sec. 2(e).

2. Hire-Purchase agreement must be in *writing* and *signed* by parties. A surety, if any, must sign the hire-purchase agreements.

The agreement shall be void if the above requirements have not been complied with.—Sec. 3.

3. Contents of hire-purchase agreement must include the following.—Sec. 4 :

- (i) the hire-purchase price of the goods to which the agreement relates ;
- (ii) the cash price of the goods i.e., the price at which the goods may be purchased by the hirer for cash ;
- (iii) the date on which the agreement shall be deemed to have commenced ;
- (iv) the number of instalments by which the hire-purchase price is to be paid, the amount of each of those instalments and the date, or the mode of determining the date, upon which it is payable, and the person to whom and the place where it is payable ;
- (v) the goods to which the agreement relates, in a manner sufficient to identify them ;
- (vi) where any part of the hire-purchase price is, or is to be, paid otherwise than in cash or by cheque, the hire-purchase agreement shall contain, a description of that part of the hire-purchase price ; and
- (vii) where any of the above requirements has not been complied with, the hirer may institute a suit for getting the hire-purchase agreement rescinded ; and the court may, if it is satisfied that the failure to comply with any such requirement has prejudiced the hirer, rescind the agreement on

such terms as it thinks just, or pass such other order as it thinks fit in the circumstances of the case.

4. The purchaser has the option of paying the full price before it was due. In that case the purchaser is entitled to get a rebate.—Secs. 9, 10.

5. In every instalment of the full price, it includes the hire of the goods and the purchasing price.—Sec. 7.

6. The seller can recover the possession of the goods, if the purchaser fails to pay any of the instalment price.—Sec. 17.

7. The Act provides that there will be certain warranties and conditions to be implied in the hire-purchase agreement. The words and expressions are defined in Contract Act and the Sale of Goods Act.—Sec. 6.

8. The Act shall not apply in relation to any hire-purchase agreement made before the commencement of this Act.—Sec. 31.

SALE AND OTHER CONTRACTS

Sale and Hire-purchase

In a sale, the property is transferred to the buyer; he can deal with the property as he likes and the transferee of the purchase gets a good title even if the price is unpaid. But in a hire-purchase agreement, the purchaser does not become owner till the full price is paid and therefore, the transferee from a person who has not paid the full price, gets no title.

In a Bombay case it has been laid down that (i) if the purchaser has no option of terminating the agreement by returning the goods, the transaction is a sale and not hire-purchase agreement and (ii) the transaction is hire-purchase agreement only if the buyer has the option of returning the goods. *Bhimji v. Bombay Trust Corporation*.¹

Hire-purchase and Instalment Sale

There are differences between a hire-purchase agreement and an instalment sale. In the former, a sale is concluded after the total price and the hire charges are completely paid. The purchaser is not entitled to transfer the goods until the terms of the agreement are fully carried out. In the latter, (instalment

¹ 32 Bom. L.R. 64.

sale) the purchaser becomes the owner of specific goods immediately, although the total price is to be paid in a number of instalments.

Sale and Bailment

Bailment does not change ownership of the goods. A sale involves transfer of ownership.

In a bailment, the party delivering the goods is entitled to get back what he has delivered. In a sale the seller gets the price and there is no question of returning of goods.

Sale and Contract for Work and Labour

A contract of sale may be distinguished from a contract for work and labour. A contract of sale of goods contemplates the delivery of movable goods; but if in substance the contract is one for the exercise of skill, it is a contract for work and labour.

"A contract of sale is a contract whose main object is the transfer of the property in and the delivery of the possession of, a chattel as a chattel to the buyer. Where the main object of work undertaken by the payee of the price is not the transfer of a chattel qua chattel, the contract is one for work and labour." *Union of India v. The Central India Machinery Manufacturing Co. Ltd. and others.*¹

The distinction between the two types of contracts is of importance in England but not in India, except for taxation purposes.

Examples :

- (i) A dentist agreed to make a set of artificial teeth to fit the mouth of a customer. Held, it is contract for the sale of goods. *Lee v. Griffin.*²
- (ii) G engaged an artist to paint a portrait and supplied the canvas and paint. Held, it is a contract for work and labour and not one for the sale of goods. *Robinson v. Graves.*³
- (iii) V entered into three contracts with Western Railway for construction of railway coaches on the under-frames supplied by the Railway. Labour and materials were supplied by V. Held, under the Bombay Sales Tax Act of 1953, the contracts were works contracts and not a sale. *State of Gujarat v. M's Variety Body Builders.*⁴

¹ AIR (1977) Supreme Court, 1537 ² (1861) 30 L.J.K.B. 252

³ (1935) 1 K.B. 579

⁴ AIR (1976) Supreme Court, 2108

- (iv) The Railway Board entered into a contract with a company for the manufacture and sale of wagons to the Union of India by the company. Even though some advance was taken from the Railway Board, the bulk of the material used in the construction belonged to the manufacturer who sold the end product for a price. Held, the contract was not one for work and labour but **one for sale**. *Union of India v. The Central India Machinery Manufacturing Co. Ltd. and others.* (see p. 209)

CONDITIONS AND WARRANTIES

Section 12 of the Sale of Goods Act states that a stipulation (or term) in a contract of sale with reference to goods may be a condition or a warranty.

Condition

A condition is a stipulation essential to the main purpose of contract, the breach of which gives rise to a right to treat the contract as repudiated.—Sec. 12(2).

Warranty

A warranty is a stipulation collateral to the main purpose of the contract, the breach of which gives rise to a claim for damages but not a right to reject the goods and treat the contract as repudiated.—Sec. 12(3).

Whether a stipulation in a contract of sale is a condition or a warranty depends in each case on the construction of the contract. A stipulation may be a condition, though called a warranty in the contract.—Sec. 12(4).

Conditions and Warranties may be expressly stated in a written document or may be implied from the circumstances under which the contract was entered into.

It is for the court to find out whether a particular term was intended by the parties to be a condition or whether it was intended to be a warranty only. The intention of the parties is always to be given effect to.

Stipulation as to time

Unless a different intention appears from the terms of the contract, stipulations as to time of payment are not deemed to be of the essence of a contract of sale. Whether any other stipulation as to time is of the essence of the contract or not depends on the terms of the contract.—Sec. 11. (Sec pp. 110-111).

Example :

There was a contract for sale of goods, c.i.f. Antwerp. Delivery was to be given on October. Owing to a strike in the port of loading the goods were not shipped until November. Held, buyer were entitled to reject. *J. Aron & Co. v. Comptoir Wegimont*.¹

Reasonable time a question of fact : Where in this Act any reference is made to a reasonable time, the question what is a reasonable time is a question of fact.—Sec. 63.

When a Condition can be treated as a Warranty—

1. *Voluntary waiver of a condition :* The buyer may elect to treat a breach of condition as a breach of warranty, i.e. instead of repudiating the contract he may accept performance and sue for damages, if he has suffered any.—Sec. 13(1).

Where a contract of sale is subject to a condition to be fulfilled by the seller, the buyer may waive the condition.

2. *Compulsory waiver of a condition :* Where a contract of sale is not severable and the buyer has accepted the goods or a part thereof, he cannot repudiate the contract but can only sue for damages. In such a case, the breach of condition can only be treated as a breach of warranty, unless there is a contract to the contrary.—Sec. 13(2).

If a buyer prevents the fulfilment of a condition contained in the contract, the condition becomes invalid.

Example :

Certain goods were promised to be delivered on 1st June, time being made the essence of the contract. The goods were delivered on the 2nd June. The buyer may accept the goods.

✓ Distinction between Condition and Warranty

1. Condition is a term which is essential to the *main purpose* of the contract. Warranty is only a collateral term. It is *subsidiary* to the main purpose of the contract.

2. Breach of a condition gives the aggrieved party a right to repudiate the contract. It also creates a right to get damages. Breach of warranty entitles the aggrieved party to claim damages only.

3. A breach of condition may under certain circumstances, be treated as a warranty. But a warranty cannot become a condition.

¹ (1921) 3 K.B. 435

Consequences of Breach of Conditions

1. If a condition is broken there arises a right to treat the contract repudiated.—Sec. 12(2).

2. *Repudiation of Contract before due date* : Where either party to a contract of sale repudiates the contract before the date of delivery, the other may either treat the contract as subsisting and wait till the date of delivery, or he may treat the contract as rescinded and sue for damages for the breach.—Sec. 60.

Consequences of Breach of Warranty

1. A breach of warranty gives rise to a claim for damages but not to a right to reject the goods and treat the contract as repudiated.—Sec. 12(3).

2. Under certain circumstances a 'condition' is to be treated as 'warranty'.—Sec. 13(1) and 13(2).—See above.

3. Nothing in Section 13 shall affect the case of any condition or warranty fulfilment of which is excused by law by reason of impossibility or otherwise.—Sec. 13(3). "It merely saves the rights of the seller, in appropriate cases, to rely upon the impossibility as an excuse to himself, if sued by the buyer."¹

4. *Remedy for breach of warranty* : (1) Where there is a breach of warranty by the seller, or where the buyer elects or is compelled to treat any breach of a condition on the part of the seller as a breach of warranty, the buyer is not by reason only of such breach of warranty entitled to reject the goods, but he may—

(a) set up against the seller the breach of warranty in diminution or extinction of the price ; or

(b) sue the seller for damages for breach of warranty.

(2) The fact that a buyer has set up a breach of warranty in diminution or extinction of the price does not prevent him from suing for the same breach of warranty if he has suffered further damages.—Sec. 59.

Implied condition and warranties

A stipulation (or term) in a contract of sale of goods may be *express* or *implied*. Express terms are those which have been expressly agreed upon by the parties. Implied terms are those which have been enacted in the Sale of Goods Act. Sections 14

¹ Pollock and Mulla, *Indian Sale of Goods Act*.

to 17 of the Act contain a list of conditions and warranties which are implied in a contract for the sale of goods, *unless the circumstances of the contract are such as to show a different intention*. The implied conditions and warrants are stated below.

IMPLIED CONDITIONS

1. Condition as to title

There is an implied condition on the part of the seller that, in the case of a sale he has the right to sell the goods, and in the case of an agreement to sell, he will have the right to sell the goods at the time when the property is to pass.—Sec. 14(a).

Examples :

- (i) *R* bought a motor car from *D* and used it for four months. *D* had no title to the car. *R* was forced to return the car to the true owner. Held, there is a breach of the implied condition as to title and *R* is entitled to get back the purchase money paid notwithstanding the fact that he had used the car for 4 months. *Rowland v. Divell*.¹
- (ii) If the goods delivered can be sold only by infringing a trade mark, the implied condition of title is violated and the buyer can recover damages. *Niblett Ltd. v. Confectioner's Materials Co.*²
- (iii) In a contract for the sale of shares there is an implied condition that there is no encumbrance or charge on the shares in favour of a third party. *Kissenchand v. Ramprotap*.³

2. Sale by description

Where there is a contract for the sale of goods by description, there is an implied condition that the goods shall correspond with the description.—Sec. 15.

Goods are to be sold by description when the contract contains a description of the goods to be supplied. Such description may be in terms of the physical characteristics of the goods or may simply mention the trade mark, trade name, brand or label under which they are usually sold. A sale of 50 boxes of X brand soap or of 10 tons of Y brand mustard oil, is a sale of goods by description. In such cases the goods supplied must be the same as the goods described.

Example :

- (i) A certain quantity of copra cake was sold "not warranted free from defect." The copra cake was adulterated with castor beans to such

¹ (1923) 2 K.B. 500

² (1921) 3. K. B. 387

³ 44 C.W.N. 505

an extent that it could not be described as copra cake. Held, there was a violation of the implied condition and the buyer was awarded damages. *Pinnock Bros. v. Lewis & Peat Ltd.*¹

- (ii) *M* sold to *L*, 3000 cases of canned fruits, each case to contain 30 tins. *M* delivered 3000 cases, but about half the cases contained 24 tins each. Although the market value of the 24 tin cases were the same as the 30 tin cases, it was held that the buyer was entitled to reject the goods. *Re Moore & Co., and Landauer & Co.*²

✓ 3. Sale by sample

When goods are to be supplied according to a sample agreed upon, the following conditions are implied.—Sec. 17.

(a) The bulk shall correspond with the sample in quality.

(b) The buyer shall have a reasonable opportunity of comparing the goods with the sample.

(c) The goods shall be free from any defect rendering them *unmerchable*, which would not be apparent on reasonable examination of the sample. If the defect is easily discoverable on inspection and the buyer takes delivery after inspection, he has no remedy.

Merchable

This term was defined as follows : "The article in such quality and in such condition that a reasonable man, acting reasonably, would after a full examination accept it under the circumstances of the case in performance of his offer to buy that article, whether he buys for his own use or to sell again." *Bristol Tramways Co. v. Fiat Motors Ltd.*³

Example :

Some mixed worsted coatings were sold by sample. It was found that owing to a hidden defect of the cloth which could not be detected on reasonable examination, coats made out of it could not stand ordinary wear and were, therefore, unsalable. The buyer was held to be entitled to damage. *James Drummond and Sons v. E. H. Van Ingen & Co.*⁴

✓ 4. Sale by sample as well as by description

When goods are sold by sample as well as by description, the goods shall correspond both with the sample and with the description.—Sec. 15.

¹ (1923) 1 K. B. 690

² (1921) 2 K.B. 519

³ (1910) 2 K. B. 831, C.A.

⁴ (1887) 12 A.C. 284

Example :

N agreed to sell to *G* some oil described as "foreign refined rape on warranted only equal to sample." The samples contained an admixture of hemp oil and the oil delivered was adulterated in the same way. Held, the oil supplied was not rape oil and therefore the buyer was entitled to reject the goods. *Nichol v. Godts*.¹

5. Condition as to fitness or quality (Sec. 16)

There is an implied condition as to *quality* or *fitness for the purpose of the buyer* under the following circumstances only :

A. Where the buyer, expressly or by implication, makes known to the seller the particular purpose for which the goods are required, so as to show that the buyer relies on the seller's skill, or judgment, and the goods are of a description which it is in the course of the seller's business to supply (whether he is the manufacturer or not).

Examples :

- (i) *W* supplied *J* with tinned salmon which was poisonous. *J* fell ill and his wife died as a result of eating the salmon. Held, there was an implied condition of fitness because the seller obviously knew that the salmon was being purchased for consumption. The condition was violated by the grocer and damages were recoverable. *Jackson v. Watson & Sons*.²
- (ii) *M*, a milk dealer supplied *F* with milk which was consumed by *F* and his family. The milk contained germs of typhoid. *F*'s wife was infected and died. Held, there was a breach of an implied condition of fitness and *A* was liable to pay damages. *Frost v. Aylesbury Dairy Co. Ltd.*³
- (iii) There was a contract to supply 500 tons of coal for the S.S. "Manchester Importer". The coal supplied was found to be unfit for this ship. It was held that the buyer was entitled to get damages. *Manchester Lines v. Rea Ltd.*⁴ In this case it was held that a buyer relies on the skill of the seller when he makes known to him the purpose for which the goods are required and the circumstances are such that any reasonable seller would take it that his judgment is being relied upon.
- (iv) The plaintiff who was a draper and had no special knowledge of hot water bottles, went to a chemist and asked for a "hot water bottle". Held, that the bottle supplied must be fit for use as a hot water bottle. *Preist v. Last*.⁵

¹ (1854) 10 Ex 191

² (1909) 2 K. B. 193

³ (1905) 1 K.B. 608

⁴ (1922) 2 A.C. 74

⁵ (1903) 2 K.B. 148

B. An implied condition of fitness may be annexed to a contract of sale by usage of trade or custom of the locality.

C. When goods are bought by description from a seller who deals in goods of that description (whether he is the manufacturer or producer or not) there is an implied condition that the goods are of merchantable quality, that is, fit to sell.

There is one exception to rule C.—If the buyer has examined the goods, there shall be no implied condition as regards defects which that examination ought to have revealed.

Examples of rule C :

- (i) Some motor-horns were to be delivered by instalments. The first instalment was accepted but the second contained a substantial quantity of horns which were damaged owing to bad packing. Held, the buyer was entitled to reject the whole instalment as the goods were not saleable quality. *Jackson v. Rotax Motor etc.*¹
- (ii) *M* asked for a bottle of Stone's ginger wine in a restaurant. When he was drawing the cork the bottle broke and *M* was injured. Held, the sale was one by description and since the bottle was unmerchantable, *M* was entitled to recover damages. *Morelli v. Fitch Gibbons*.²
- (iii) *B* wanted to purchase some glue. The seller showed him the glue which was stored in his warehouse in casks. *B* did not have the casks opened, which he could have done easily, but merely looked at the outside of the casks. The glue was found to have defects which would have been found out if *B* had inspected the contents of the casks. Held, there was no implied condition as to merchantable quality. *Thornett & Fehr v. Beer & Sons*.³

THE DOCTRINE OF CAVEAT EMPTOR

Definition

Caveat Emptor is a Latin expression which means, "buyers beware". The doctrine of caveat emptor means that, ordinarily, a buyer must buy goods after satisfying himself of their quality and fitness. If he makes a bad choice he cannot blame the seller or recover damages from him. "The rule probably originated at a time when goods were mostly sold in market overt, and the buyer therefore had every opportunity to satisfy himself as to the quality of the goods or their fitness for a particular purpose,

¹ (1910) 2 K. B. 937

² (1928) 1 K.B. 636

³ (1919) 1 K.B. 436

and at common law it was presumed that where the buyer could examine the goods even though he did not, he relied upon his own skill and judgment.”¹

Exceptions

Subject to certain exceptions, the doctrine of caveat emptor applies to India. Section 16 of the Sale of Goods Act lays down that in a contract for the sale of goods there shall be no implied condition as to quality or fitness for particular purpose *except* under the circumstances mentioned under that section. The exceptions are as follows :

(a) Where the buyer relies upon the skill and judgment of the seller. (See examples given under rule A above p. 215)

(b) Where by custom an implied condition of fitness is annexed to a contract of sale. (Rule B above p. 216)

(c) Where there is a sale of goods by description, there is an implied condition that the goods are fit for sale. (See examples under rule C above p. 216)

(d) Where the seller is guilty of fraud. A contract of sale of goods must satisfy all the essential elements of a contract and therefore if the consent of the buyer was obtained by fraud, the seller is not protected by the doctrine of caveat emptor.

In cases not falling under any of the four exceptions noted above, the seller is not liable to any penalty if the goods purchased are found to be unfit by the buyer for the purposes he had in mind.

The case of patented articles

(Para 2 of Section 16(1) of the Sale of Goods Act provides that “in the case of a contract for the sale of a specified article under its patent or other trade name, there is no implied condition as to its fitness for any particular purpose.” Thus if a machine is patented as a “cotton cleaning machine” and is sold as such in the market there is *no* implied undertaking by the seller that the machine would clean cotton. If a buyer writes to a manufacturer, “send me one of your patented cotton cleaning machines”, he cannot claim damages if he finds the machine useless. But if the buyer asks the manufacturer to supply a

¹ Pollock & Mulla, *Indian Sales of Goods Act*.

machine which will clean cotton, he relies on the judgment of the manufacturer and if the machine supplied is found to be unsuitable, he can claim damages.

Example :

B told a motor car dealer that he wanted a comfortable car for touring purposes. The dealer recommended a car which was being sold under the trade name of *X*. The car was found to be unsuitable and *B* sued the dealer for damages. It was held that *B* had relied on the skill and judgment of the dealer and was entitled to get damages. *Baldry v. Marshall*.¹

IMPLIED WARRANTIES

In the absence of an agreement to the contrary, the following warranties are implied in every contract of sale :

1. *The buyer must get quiet possession* : The buyer shall have and enjoy quiet possession of the goods. [Sec. 14(b)]. Since disturbance to quiet possession is likely to arise only where the vendor does not possess the right to transfer the goods, this clause may be regarded as an extension of the implied condition of title provided for by Section 14(a).²

2. *The goods must be free from encumbrance* : There is an implied warranty that the goods shall be free from any charge or encumbrance in favour of a third party not declared or known to the buyer before or at the time when the contract is made.—Sec. 14(c).

The effect of this clause is that if the buyer pays off the charge or encumbrance, he will be entitled to recover the money from the seller.

3. *Fitness of goods, required for a purpose, may be warranted by usage of trade* : A warranty as to fitness for a particular purpose may be annexed to a contract of sale by a custom or usage of trade.—Sec. 16(3).

Exclusion of implied terms and conditions

Where any right, duty or liability would arise under a contract of sale by implication of law, it may be negated or varied by express agreement or by the course of dealing between the parties, or by usage, if the usage is such as to bind both parties to the contract.—Sec. 62.

¹ (1925) 1 K.B. 260

² Pollock & Mulla, *Indian Sale of Goods Act*

Comment : Section 62 of the Act provides that the liability for implied warranties under a contract of sale, can be excluded (i.e., negatived) by three methods, namely : (i) express contract, (ii) by the course of dealing between the parties, and (iii) by usage.

LIABILITIES OF THE SELLER APART FROM THE CONTRACT OF SALE

The Sale of Goods Act deals only with the contractual liabilities of the seller. But the seller may also be liable to pay damages under the law of torts if he causes injury by a wrongful act. Such damages may sometimes be recovered by a third party, i.e., one with whom the seller never entered into any contract. Some example are given below.

Examples :

- (i) *N* sold to *C* a tin of disinfectant powder knowing that it would be dangerous to open the tin without special care. *C* without knowledge of the danger, opened the tin, whereupon the powder flew into her eyes and injured them. *C* sued for damages. Held, *N* should have warned *C* of the possible danger and having failed to do so, was liable to pay damages. *Clarke v. Army Navy Co-operative Society Ltd.*¹
- (ii) The plaintiff went to a restaurant with a friend and ordered a bottle of ginger beer manufactured by the defendant. She drank a part of the bottle. When the remainder was poured into the glass a decomposed snail appeared with the liquid. For the resulting mental and bodily shock, she filed a suit for damages against the manufacturers. Damages were granted. The House of Lords held that a manufacturer of goods intended for consumption, is under a duty to take reasonable care that the goods are free from defects which render them noxious or dangerous. *Donoghue v. Stevenson*.²

EXERCISES

1. Define 'goods' and state the different types of 'goods'.
(Pages 200-201)
2. Explain the difference between a condition and warranty. Under what circumstances can a breach of condition be treated as a breach of warranty?
(Pages 210-211)

¹ (1903) 1 K.B. 155

² (1932) A.C. 562

3. Distinguish a 'condition' from a 'warranty' as used in the Indian Sale of Goods Act, and state the consequences for breach of condition and warranty. (Pages 211-216)
4. What do you understand by 'Caveat Emptor'? Are there any exceptions to its application to sale of goods? (Pages 216-217)
5. Explain the condition of fitness or quality and the exceptions to it. (Pages 215-216)
6. What are the implied conditions in a contract of sale of goods by sample? (Pages 213-218)
7. Explain the following terms : Buyer ; Seller ; Earnest money ; Price of goods. (Pages 200, 204, 206)
8. What is a contract of Sale of Goods? What are the distinctions between sale and agreement to sell? When an agreement to sell becomes sale? Illustrate. (Pages 201-203)
9. When stipulation in a contract of sale will amount to conditions and warranties? State the conditions which may be termed as implied conditions in relation to goods. (Pages 210-216)
- 10 Explain the terms 'Condition' and 'Warranty'. Distinguish between the two. When can a condition be treated as warranty? State the implied conditions in a contract of sale of goods. (Pages 210-216)
11. State the differences between the following :
 - (a) Sale and hire-purchase. (Page 208)
 - (b) Sale and agreement to sell. (Pages 201-202)
 - (c) Hire-purchase and instalment sale. (Page 208)
 - (d) Condition and Warranty. (Page 210)
12. Objective questions. Give short answers :
 - (i) "Goods may be classified into three types". What are they?
 - (ii) Give one example of implied condition in a contract of sale of goods by sample. (Pages 200-201, 213)

WHEN DOES PROPERTY PASS FROM THE SELLER TO THE BUYER ?

Rules, Sections 18 to 25 of the Sale of Goods Act lay down the rules which determine when ownership of property passes from the seller to the buyer. These rules may be summarised as follows :

1. Unascertained Goods

When there is a contract for the sale of unascertained goods, property in the goods is not transferred to the buyer unless and until the goods are ascertained.—Sec.18.

An agreement to sell 50 maunds out of a large quantity of rice in a godown does not make the buyer the owner of anything. He can become owner of 50 maunds of rice only after this quantity of rice has been separated out from the other rice in the godown. "The individuality of the thing to be delivered" must be established before property in it can pass from the seller to the buyer. (Lord Ellenborough in, *Busk v. Davis*.¹)

2. The Intention of the Parties

In a contract for the sale of specific or ascertained goods, the property passes at such time as the parties to the contract intend it to pass. For the purpose of ascertaining the intention of the parties regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case. If the intention of the parties cannot be otherwise determined, the rules mentioned below are to be applied.—Sec.19.

3. Specific goods

Where there is an unconditional contract for the sale of specific goods in a deliverable state, the property in the goods passes to the buyer when the contract is made, and it is immaterial whether the time of payment of the price or the time of delivery of the goods, or both, is postponed.—Sec. 20.

¹ (1814) 2 M & S 397

Property passes at the time of entering into the contract of sale if the following conditions are fulfilled :

- (i) The goods are specific goods.
- (ii) The goods can be immediately delivered.
- (iii) The contract of sale is without any condition.
- (iv) The parties themselves have not fixed a different time for the passing of property.

✓ **Deliverable State**

Goods are said to be in a 'Deliverable state', when they are in such state that the buyer would under the contract be bound to take delivery of them.—Sec. 2(3).

Example :

On the 4th January, a haystack lying on the seller's land was sold. It was agreed that the price was to be paid on 4th February. The haystack will remain on the seller's land till 1st May and no hay was to be cut till the price was paid. The haystack was destroyed by fire. Held, the property in the haystack had passed on the making of the contract and the buyer must bear the loss. *Tarling v. Baxter*.¹

✓ **4. When seller has something to do**

Where there is a contract for the sale of specific goods and the seller is bound to do something to the goods for the purpose of putting them into a deliverable state, the property does not pass until such thing is done and the buyer has notice thereof.—Sec. 21.

Example :

The contents of a cistern of oil was sold, the oil was to be filled into casks by the seller and then taken away by the buyer. Some of the casks were filled in the presence of the buyer but, before the remainder could be filled, a fire broke out and the entire quantity of oil was destroyed. Held, the buyer must bear the loss of the oil which was put into casks and the seller must bear the loss of the remainder. *Rugg v. Minnet*.²

✓ **5. When goods are to be measured, tested, etc.**

Where there is a contract for the sale of specific goods in a deliverable state, but the seller is bound to weigh, measure, test or do some other act or thing with reference to the goods for the purpose of ascertaining the price, the property does not

¹ (1827) 6 B & C 360

² 11 East 210

pass until such act or thing is done and the buyer has notice thereof.—Sec. 22.

Example :

A certain quantity of bark was sold at a fixed price per ton. It was agreed that for determining the money payable by the buyer, the bark would be weighed by the agents of the parties. After a certain quantity was weighed taken away, the rest was carried away by flood. Held, the buyer is liable to pay for the part taken away by him and the loss of the remainder must be borne by the seller. *Simmons v. Swift*.¹

6. Unconditional appropriation

Unconditional appropriation means doing something which identifies and determines the actual goods to be delivered. Property passes when such unconditional appropriation is made by one party with the consent of the other.

Where there is a contract for the sale of unascertained or future goods by description and goods of that description and in a deliverable state are unconditionally appropriated to the contract, either, by the seller with the assent of the buyer or by the buyer with the assent of the seller, the property in the goods thereupon passes to the buyer. Such assent may be expressed or implied, and may be given either before or after appropriation is made.—Sec. 23(1).

Example :

G sold to P, 140 bags of rice out of his stock (sale of unascertained goods). After the price was paid G sent a delivery order for 125 bags and wrote a letter saying that the remaining 15 bags were ready for delivery at his warehouse. P sent for the 15 bags after about a month, when it was discovered that the bags were stolen. Held, there was unconditional appropriation of the 15 bags by the seller, there was implied consent of the buyer to the appropriation (because he did not object) and therefore property in the 15 bags has passed to the buyer. He must therefore bear the loss and is not entitled to get back the price paid by him for them. *Pignataro v. Gilroy*.²

7. Delivery to the carrier

Where in pursuance of the contract, the seller delivers the goods to the buyer or to a carrier or other bailee (whether named by the buyer or not) for the purpose of transmission to the buyer,

¹ (1826) 5 B & C 857

² (1919) 1 K.B. 549

and does not reserve the right of disposal, he is deemed to have unconditionally appropriated the goods to the contract.—Sec. 23(2).

The general rule is that when the seller delivers the goods to a carrier for being taken to the buyer, there is unconditional appropriation on his part and the property passes to the buyer. To this rule there is one exception : property does not pass if the seller reserves the 'right of disposal' of the goods.

Reservation of the Right of Disposal

(Sec. 25) Reservation of the right of disposal means any action by the seller which expresses an intention on his part not to part with control over the goods until certain conditions are fulfilled. In such cases, the property, passes when the conditions are fulfilled.

An intention to reserve the right of disposal may be presumed when a Bill of Lading or a Railway Receipt makes the goods deliverable to the order of the seller.

When the Bill of Lading or the Railway Receipt for the goods, and the Bill of Exchange for the price are sent together and the Bill of Lading or the Railway Receipt is deliverable to the buyer only when the Bill of Exchange is accepted or paid, the buyer is bound to return the Bill of Lading or the Railway Receipt if he does not honour the bill of exchange. If he wrongfully retains the Bill of Lading or the Railway Receipt, the property in the goods does not pass to him.

Examples :

- (i) X sends certain goods by lorry for delivery to W, without reservation of the right of disposal. The property passes to W as soon as the goods are handed over to the carrier.
- (ii) X sends certain goods by lorry to Y and instructs the lorry driver not to deliver the goods until the price is paid by Y to the lorry driver. The property passes only when the price is paid.

8. Goods sent on approval or "on sale or return"

(Sec. 24) When goods are delivered to the buyer on approval or "on sale or return" or other similar terms, the property therein passes to the buyer—

(a) when he signifies his approval or acceptance to the seller or does any other act adopting the transaction :

(b) If he does not signify his approval or acceptance to the seller but retains the goods without giving notice of rejection, then, if a time has been fixed for the return of the goods, on the expiration of such time, and if no time has been fixed, on the expiration of a reasonable time.

Examples :

- (i) *K* delivered some jewellery to *X* on sale or return. *X* pawned the jewellery with *A*. Held, *X*'s act amounts to an acceptance of the sale transaction and hence *A*'s rights are protected. *Kirkham v. Attenborough*.¹
- (ii) Certain goods were delivered to *A* on sale or return. *A* delivered the goods to *B* on similar terms, *B* to *C*, and *C* to *D*. *D* lost the goods. Held, since *A* was unable to return the goods to the seller, the sale was complete and must pay the price. *Genn v. Winkal*.²
- (iii) *P* sends certain books to *Q* on approval. *Q* does not return them or ask the seller to take them away, for six months. He is deemed to have approved the sale and must pay the price.

TRANSFER OF OWNERSHIP : TIME OF

Sale of goods involves transfer of ownership of property from the seller to the buyer. It is necessary to determine the precise moment of time at which the ownership of the goods passes from the seller to the buyer, because of the following reasons :

1. *Risk passes with property* : The general rule is that risk passes with the property. If the goods are lost or damaged by accident or otherwise, then, subject to certain exceptions, the loss falls on the person who is the owner at the time when the goods are lost or damaged.

2. *Who can take action ?* : When there is danger of the goods being damaged by the action of third parties it is the owner who can take action.

3. *What is the effect of insolvency ?* : In case of insolvency of either the buyer or the seller it is necessary to know whether the goods will be taken over by the official Assignee. The answer depends upon whether the ownership of the goods is with the party who has become insolvent.

Passing of risk

Section 26 lays down the rules regarding the passing of risk.

¹ (1897) 1 Q.B. 201

² (1912) 107 L.T. 434

The general rule is that goods remain at the seller's risk until the ownership is transferred to the buyer. After the ownership has passed to the buyer, the goods are at the buyer's risk whether delivery has been made or not. "Risk follows ownership." (See examples given in pages 224-225).

There are two exceptions to the rule stated above.

1. Where delivery has been delayed through the fault of either the buyer or the seller, the goods are at the risk of the party in fault as regards any loss which might not have occurred but for such fault.

2. The parties may agree that the risk will pass at a time different from the time when ownership passed. For example, the seller may, in a particular case, agree to be responsible for the goods even after the ownership has passed to the buyer.

Destruction of part of goods sold

See examples in p. 204, and paragraphs 4, 5 and 6, pp. 222-223.

TRANSFER OF TITLE BY NON-OWNER

General Rule

The general rule is that only the owner of goods can sell the goods. No one can convey to a transferee a better title than he himself has. If a person transfers articles not belonging him, the transferee gets no title. This principle is expressed by the Latin phrase, "*Nemo quod qui non habet*", which means "none can give who does not himself possess". This rule applies to both movable and immovable property. But as regards movable goods it is subject to certain exception noted below. In each of the following cases, a person who is not an owner, can give to the transferee a valid title to the goods :

1. Estoppel

Under certain circumstances the true owner may be prevented, by his conduct, from denying the seller's authority to sell. Suppose that *X* is the owner of certain goods. *X* acts in such a manner that *Y* is induced to believe that the goods belong to *Z*. On that belief *Y* buys the goods from *Z*. Under these circumstances, the court will not allow *X* to prove his ownership. Thus *Y* gets a good title to the goods even though he has purchased them from *Z* who is not their owner.

Example :

P, the owner of certain machinery, left them in the possession of *Q*. A person named *R* who had obtained a decree against *Q*, seized the goods in execution of the decree. *P* took no steps for several months to claim the goods. He also conversed with *R*'s solicitor regarding the execution without mentioning his title to the machinery. *R* then had the machinery sold in execution. It was held that *P* was estopped from denying that the machinery was *Q*'s. *Pickard v. Sears*.¹

2. Sale by a mercantile agent

Sale of goods by a mercantile agent gives a good title to the purchaser even in cases where the agent acts beyond his authority, provided the following conditions are satisfied.—Sec. 27 :

- (i) The agent is in possession of the goods or of a document of title to the goods.
- (ii) Such possession in with the consent of the owner.
- (iii) The agent sells the goods in the ordinary course of business.
- (iv) The purchaser acts in good faith and has no notice that the agent had no authority to sell.

["*Mercantile Agent*"—"Mercantile agent" means an agent having in the customary course of business as such agent authority either to sell goods, or to consign goods for the purpose of sale, or to buy goods, or to raise money on the security of goods.—Sec. 2(9)]

3. Sale by one of several joint owners

If one of several joint owners of goods has the sole possession of them by permission of the co-owners, the property in the goods is transferred to any person who buys them from such joint owner provided the buyer acts in good faith and without notice that the seller had no authority to sell.—Sec. 28.

4. Sale of goods obtained under a voidable agreement

When the seller of goods has obtained possession thereof under a voidable agreement but the agreement has not been rescinded at the time of sale, the buyer obtains a good title to the goods, provided he buys them in good faith and without notice of the seller's defect of title.—Sec. 29.

¹ (1937) 6 A. & E. 469

Example :

X, buys a ring from *Y* at a low price by undue influence and sells it to *Z* who is an innocent purchaser without notice of *X*'s defective title. *Z* has a good title and *Y* cannot recover the ring from him even if the agreement with *X* is subsequently rescinded.

It is to be noted that the above section applies when the goods have been obtained under a *voidable* agreement, not when the goods have been obtained under a *void* or *illegal* agreement. If the original agreement is of no legal effect (*void ab initio*) the title to the goods remain with the true owner and cannot be passed on to anybody else.

Example :

In *Cundy v. Lindsay* (see p. 74) goods were obtained by an agreement which was found to be void. It was held that no title passed to the buyer though he was a bona fide purchaser for value and without notice of any defect in the seller's title.

5. Sale by the seller in possession of goods after sale

Where a person, having sold goods, continues to be in possession of the goods or of the documents of title to the goods, a transfer of title by him or his agent by way of sale or pledge, gives a good title to the transferee provided the transferee was acting in good faith and had no knowledge of the seller's want of title.—Sec. 30(1). The original buyers in such cases can obtain damages from the seller but cannot recover the goods from the second buyer.

Example :

M has 50 barrels of tobacco at a warehouse on the dock. The dock warrant was issued to him. *M* sells the tobacco to *J* who leaves the dock warrant to *M* but takes no step to have the tobacco transferred to *J*'s name. *M* subsequently pledges the tobacco and delivers the dock warrant to *C*. Held, *C*, acting in good faith, will acquire good title against *J*. *Johnson v. Credit Lyonnais*.¹

["*Document of title to goods*" includes a bill of lading, dock-warrant, warehousekeeper's certificate, wharfingers' certificate, railway receipt, warrant or order for the delivery of goods and any other document used in the ordinary course of business as proof of the possession or control of goods, or authorising or purporting to authorise, either by endorsement or by delivery,

¹ (1877) 3 G.P.D. 32

the possessor of the document to transfer or receive goods thereby prepresented.—Sec. 2(4)].

6. Buyer in possession of goods over which the seller has some rights

When goods are sold subject to some lien or right of the seller (for example for unpaid price) the buyer may sell, pledge, or otherwise dispose of the goods to a third party and give him a good title, provided the following conditions are satisfied.—Sec. 30(2).

- (i) The first buyer is in possession of the goods or of the documents of title to the goods with the consent of the seller.
- (ii) The transfer is by the buyer or by a mercantile agent acting for him.
- (iii) The person receiving the same acts in good faith, and without notice of any lien or other right of the original seller.

Example :

Furniture was delivered to X under an agreement that the price was to be paid in two instalments, the furniture to become the property of X on payment of the second instalment of the price. X sold the furniture before the second instalment was paid. It was held that there was a binding agreement by X to buy the goods and therefore a transfer by him to a bona fide purchaser for value without notice conveyed a good title. *Lee v. Butler*.¹

7. An unpaid seller

An unpaid seller of goods can under certain circumstances, re-sell the goods. The purchaser of such goods gets a valid title of the goods.—Sec. 54. (See p. 242)

8. Sale under the Contract Act

(a) A pawnee may sell the goods of pawnor if the latter makes a default of his dues. The purchaser under such a sale gets a good title.—Sec. 176, Contract Act (See p. 172)

(b) A finder of goods can sell the goods under certain circumstances. The purchaser gets a good title.—Sec. 169, Contract Act. (See p. 169)

¹ (1893) 2 Q. B. 318

Cases not coming within the exceptions

It is to be noted that apart from the cases mentioned above, the general rule applies, and no seller can give a better title than he himself has. Some examples are given below.

Examples :

- (i) X found a ring. He made a reasonable search for the owner but did not find him. He then sold the ring to Y. It was held that the true owner can recover the ring from Y. *Farquaharson Bros. v. King & Co.*¹
- (ii) A horse was sold at a public auction. The horse was stolen property but this was not known to either the auctioneer or the buyer. Held, the true owner can recover the horse. *Lee v. Bayes*.²
- (iii) B let out a motor car on hire to M at £ 15 per month. It was agreed between the parties that M could purchase the car by paying in all £ 424 at any time within 24 months. After a few months M pledged the car with C. B sued to recover the car from C. It was held that as M had only an option to purchase, he cannot give good title to C and hence B can recover the car. *Belsize Motor Supply Co. v. Cox*.³

EXERCISES

1. State the rules of ascertaining the intention of the parties as to the time when the property in the specific and unascertained good is to pass the buyer. (Pages 221-225)
2. What are unascertained goods? When does property pass in a contract for the sale of such goods? (Pages 200, 221)
3. Enumerate the rules under which property in goods is transferred from the seller to the buyer. (Pages 221-225)
4. When does property in goods sold pass from the seller to the buyer? Discuss the exception, to the rule that 'no one can give better title to the goods than he has himself'. (Pages 221-225, 226-230)
5. (a) The general law is that no seller of goods can give the buyer of goods a better title to the goods than he himself has. Explain. (Page 226)
(b) Are there any exceptions to the above general law? If so, what are they? (Pages 226-230)
6. "No seller of goods can give the buyer of goods a better title to those goods than he himself has". Discuss. (Pages 226-230)

¹ (1902) A.C. 325

² (1856) 18 C.B. 599

³ (1914) 1 K.B. 244

7. When does property in goods pass from the seller to the buyer in a contract of sale of goods? (Pages 225-226)
8. Problem :
- (a) A, buys, by sample 100 bales of "Fair Bengal Cotton"; goods according to sample were delivered but the cotton was not "Fair Bengal Cotton". Is the buyer entitled to reject the good? Give reason. (Pages 213-214)
 - (b) A, a shipbuilder, contracts to sell to B for a stated price, a vessel lying in A's yard; the vessel is to be rigged and fitted for a voyage, and the price is to be paid on delivery. Has the property in the vessel passed to B? (Para 4, page 222)
 - (c) A is the owner of a pen but he does not know that. X pretends to be the owner of that pen and sells it to A. Is it a valid sale? (Para 1, page 226)
 - (d) On 1st March, A agrees to sell one particular horse to B for Rs. 5,000. According to the terms of the agreement, the horse is to be delivered on 5th April when payment will be made. When does property in the horse pass from the seller to the buyer? (Para 3 & 6, pages 221 & 223)
 - (e) X handed over a motor car to a mercantile agent for sale on condition that the car would not be sold below a specified price. In spite of the agreement the agent sold it to A below the price and ran away with the money obtained. A then resold the car to B in good faith. Can X recover the car from B? (Para 2, pages 227)
9. Objective Questions.
- (a) 'The general rule is that only the owner of goods can sell the goods'. Mention two exceptions to the general rule. (Page 226)
 - (b) Who is a mercantile agent? (Page 227)
 - (c) Answer the best alternative : In a sale, if the goods are destroyed, the loss falls on (i) the buyer; (ii) the seller. (Page 205)

PERFORMANCE OF THE CONTRACT OF SALE

DELIVERY

Delivery means a "voluntary transfer of possession from one person to another."—Sec. 2(2). Sir Frederick Pollock has defined "delivery" as "voluntary dispossession in favour of another."¹

The mode of giving possession is to be determined by the parties. Delivery may be Actual, Symbolic or Constructive.

1. *Actual delivery* occurs when the goods themselves are delivered : the goods are physically handed over to the seller or to his agent.

2. *Symbolic delivery* occurs when the buyer gets the means of obtaining possession. *Example* : Certain specific goods were locked in the godown and the seller gives the key of the godown to the buyer. It transfers possession and gives it actual control of the place.

3. *Constructive delivery* occurs when a change in the possession of the goods without any change in the actual and visible custody, e.g., the delivery of the bill of lading with which goods may be obtained. *Hurry v. Mangles*.²

RULES REGARDING DELIVERY

The Sale of Goods Act lays down the following rules regarding delivery and other matters concerning the performance of the contract of sale :

1. Possession of Buyer

Delivery of goods sold may be made by doing anything which the parties agree shall be treated as delivery or which has the effect of putting the goods in the possession of the buyer or of any person authorised to hold them on his behalf.—Sec. 33.

2. Effect of part delivery

A delivery of part of goods, in progress of the delivery of the whole, has the same effect, for the purpose of passing the

¹ Pollock and Mulla, *Sale of goods Act*, p. 7.

² (1808) 1 Camp. 452.

property in such goods, as a delivery of the whole ; but a delivery of part of the goods, with an intention of severing it from the whole, does not operate as a delivery of the remainder.—Sec. 34.

Examples :

- (i) Some goods lying at a wharf, were sold and the seller instructed the wharfinger to give delivery to the buyer. The buyer weighed the goods and took away a part of them. There is delivery of the whole. If the part remaining on the wharf is lost the loss will fall on the buyer. *Hammond v. Anderson*.¹
- (ii) X sold 5 bales of certain goods to Y. Y received and paid for one bale and refused to accept the others. The amounts to part delivery. *Mitchell Reid Co. v. Buldeo Doss*.²

3. Application for delivery

Apart from any express contract the seller of goods is not bound to deliver them until the buyer applies for delivery.—Sec. 35.

4. Place of delivery

Whether it is for the buyer to take possession of the goods or for the seller to send them to the buyer is a question depending in each case on the contract, express or implied, between the parties. Apart from any such contract, goods sold are to be delivered at the place at which they are at the time of the sale, and goods agreed to be sold to be delivered at the place at which they are at the time of the agreement to sell, or if not then in existence, at the place at which they are manufactured or produced.—Sec. 36(1).

5. Time of delivery

(1) Where under the contract of sale the seller is bound to send the goods to the buyer but no time for sending them is fixed, the seller is bound to send them within a reasonable time.—Sec. 36(2).

(2) Demand or tender of delivery may be treated as ineffectual unless made at a reasonable hour. What is a reasonable hour is a question of fact.—Sec. 36(4).

6. Possession of a third person

Where the goods at the time of sale are in the possession of a third person, there is no delivery by seller to buyer unless

¹ 8 RR 763

² (1888) 15 Cal 1.

and until such third person acknowledges to the buyer that he holds the goods on his behalf.—Sec. 36(3). This is called Delivery by Attornment.

7. Expenses of delivery

Unless otherwise agreed, the expenses of and incidental to putting the goods into a deliverable state shall be borne by the seller.—Sec. 36(5).

8. Delivery of the Wrong Quantity

(1) Where the seller delivers to the buyer a quantity of goods less than he contracted to sell, the buyer may reject them, but if the buyer accepts the goods so delivered he shall pay for them at the contract rate.—Sec. 37(1).

(2) Where the seller delivers to the buyer a quantity of goods larger than he contracted to sell, the buyer may accept the goods included in the contract and reject the rest, or he may reject the whole. If the buyer accepts the whole of the goods to delivered, he shall pay for them at the contract rate.—Sec. 37(2).

Example :

The right to reject the goods is not equivalent to right to cancel the contract. If the buyer rejects the goods, the seller has a right to tender again the contract quantity subject to the terms and conditions of the contract and the buyer is bound to accept the same. *Borrowman Phillips & Co. v. Free and Hollis*¹; *Vilas Udyog Ltd v. Prag Vanaspati*.²

(3) Where the seller delivers to the buyer the goods he contracted to sell mixed with goods of a different description not included in the contract, the buyer may accept the goods which are in accordance with the contract and reject the rest or may reject the whole.—Sec. 37(3).

(4) The provisions of Section 37 are subject to any usage of trade, special agreement or course of dealing between the parties.—Sec. 37(4).

9. Instalment Delivery

(1) Unless otherwise agreed (1) the buyer of goods is not bound to accept delivery thereof by instalments.—Sec. 38(1).

¹ (1878) 4 Q.B.D. 500

² AIR (1975) Guj. 112

(2) Section 38(2) provides that where instalment delivery and separate payment for each instalment has been agreed upon, and either party fails to perform his obligations about one of the instalments, the failure may amount to (i) a repudiation of the whole contract or (ii) a severable breach for which damages can be claimed but the contract cannot be repudiated. The question is to be decided on the basis of the terms of the contract and the circumstances of the case.

10. Delivery to the Carrier or Wharfinger

Section 39 provides that delivery of goods to a carrier for transmission to the buyer or to wharfinger for safe custody, is *Prima facie* deemed to be delivery to the buyer. The seller shall, unless otherwise authorised by the buyer, make a reasonable contract with the carrier or the wharfinger. If he does not do so and the goods are lost or damaged, the buyer may refuse to treat such delivery as delivery to himself or may hold the seller responsible for the damages. In cases of set transit, in circumstances where it is usual to insure, the seller shall notify the buyer so that he can insure. If the seller fails to do so, the goods remain at his risk during the transit.

11. Examining the goods

The buyer has the right to examine the goods for the purpose of ascertaining whether they are in conformity with the contract.—Sec. 41.

12. Acceptance

The buyer is deemed to have accepted the goods when he intimates to the seller that he has accepted them, or when the goods have been delivered to him and he does any act, in relation to them which is inconsistent with the ownership of the seller, or when, after the lapse of a reasonable time, he retains the goods without intimating to the seller that he has rejected them.—Sec. 42.

13. Buyer is not bound to return rejected goods

Unless otherwise agreed, where goods are delivered to the buyer and he refuses to accept them, having the right so to do, he is not bound to return them to the seller, but it is sufficient if he intimates to the seller that he refuses to accept them.—Sec. 43.

14. Liability of Buyer

The buyer is liable to the seller for any loss occasioned by his neglect or refusal to take delivery, and also for a reasonable charge for the care and custody of the goods.—Sec. 44.

DUTIES OF SELLER OF GOODS

1. Delivery

(1) It is the duty of the seller to deliver the goods and of the buyer to accept and pay for them, in accordance with the terms of the contract of sale.—Sec. 31.

(2) Unless otherwise agreed, delivery of the goods and payment of the price are concurrent conditions, that is to say, the seller shall be ready and willing to give possession of the goods to the buyer in exchange of the price, and the buyer shall be ready and willing to pay the price in exchange of possession of the goods.—Sec. 32.

The seller of goods has the duty of giving delivery according to the terms of the contract and according to the rules contained in the Sale of Goods Act. (See pp. 232-235)

2. Risk of deterioration in the goods

Where the seller of goods agrees to deliver them at his own risk at a place other than that where they are when sold, the buyer shall, nevertheless, unless otherwise agreed, take any risk of deterioration in the goods necessarily incident to the course of transit.—Sec. 40.

3. Damages for non-delivery

Where the seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may sue the seller for a damages for non-delivery.—Sec. 57.

4. Specific Performance

Under certain circumstances in any suit for breach of contract to deliver specific or ascertained goods, the Court may, if it thinks fit, on the application of the plaintiff, by its decree direct that the contract shall be performed specifically. The power of the court to order specific performance in such cases is to be used subject to rules contained in the Specific Relief Act regarding specific performance of contracts.—Sec. 58.

DUTIES OF BUYER OF GOODS

The buyer of goods has the following duties :

1. Payment of price

He must pay the price of goods according to the terms of the contract.—Sec. 31.

2. Compensation

If he wrongfully refuses to accept delivery, he must pay compensation to the seller.—Sec. 32, Sec. 42, and Sec. 56.

3. Delivery

Unless otherwise agreed, the seller is not bound to deliver the goods without the application of the buyer for delivery.—Sec. 35.

4. Liability of Buyer

When the seller is ready and willing to deliver the goods and requests the buyer to take delivery, and the buyer does not within a reasonable time after such request take delivery of the goods, he is liable to the seller for any loss occasioned by his neglect or refusal to take delivery, and also for a reasonable charge for the care and custody of the goods.—Sec. 44.

5. Interest and Special Damages

The seller or the buyer may recover interest or special damages in any case where by law interest or special damages may be recoverable. He may also recover the money paid where the consideration for the payment of it has failed.

In the absence of a contract to the contrary, the Court may award interest at such rate as it thinks fit on the amount of the price—

- (a) to the seller in a suit by him for the amount of the price—
from the date of the tender of the goods or from the date on which the price was payable.
- (b) to the buyer in a suit by him for the refund of the price
in a case of a breach of contract on the part of the seller—from the date on which the payment was made.—
Sec. 61.

RIGHTS OF BUYER OF GOODS

1. Delivery

The buyer has the right to have delivery of the goods according to the terms of the contract.—Sec. 37.

2. Repudiation

Unless otherwise agreed, the buyer of goods is not bound to accept delivery by instalments.—Sec. 38.

The buyer is not bound to accept the delivery of a wrong quantity (short delivery or extra-delivery).—Sec. 37.

3. Buyer's right of examining goods

(1) Where goods are delivered to the buyer which he has not previously examined, he is not deemed to have accepted them unless and until he has had a reasonable opportunity of examining them for the purpose of ascertaining whether they are in conformity with the contract.—Sec. 41(1).

(2) Unless otherwise agreed, when the seller tenders delivery of goods to the buyer, he is bound, on request, to afford the buyer a reasonable opportunity of examining the goods for the purpose of ascertaining whether they are in conformity with the contract.—Sec. 41(2).

4. Buyer is not bound to return rejected goods.

Sec. 43. See p. 235, para 13.

5. Damages for non-delivery

Sec. 57. See p. 236, para 3.

6. Specific performance

Sec. 58. See p. 236, para 4.

7. Remedy for Breach of Warranty

Sec. 59. See p. 212, para 4.

8. Repudiation of Contract

Sec. 60. See p. 212, para 2.

9. Effects of Tax Changes

Where in a contract of sale there is no stipulation for the payment of taxes or there was no tax on the articles in question or where the contract is for the sale of goods tax paid, and, subsequently any customs or excise duty or any tax on the sale or

purchase of goods is imposed, increased, decreased or remitted,—

- (a) the seller may add to the price the amount of duty imposed or increased, and
- (b) the buyer may deduct from the price the amount of duty decreased or remitted.

The aforesaid provisions will not apply if a contrary intention appears from the terms of the contract.—Sec. 64A.

RIGHTS OF SELLER OF GOODS

1. Remedies

Unpaid, sellers have certain remedies *viz.*, Seller's Lien, Right of Stoppage in Transit, Right of Resale and Suit for the Price. (See pp. 240-241)

2. Enforcement of liabilities of buyer

The seller can enforce the liabilities of buyer for not taking delivery.—Sec. 44. (See para 14, p. 236)

3. Other rights

The seller has been given certain rights to the aggrieved party for the following reasons : Damages for Non-delivery (Sec. 57) ; Remedy for breach of warranty (Sec. 59) ; repudiation of contract (Sec. 60) ; interest and special damages (Sec. 61) ; increasing of the amount of duty imposed or increased (Sec. 64A). See pages 237-239.

RIGHTS OF THE UNPAID SELLER AND REMEDIAL MEASURES

Who is an unpaid seller ?

The seller of goods is deemed : to be an unpaid seller (a) when the whole of the price has not been paid or tendered or (b) when a bill of exchange or other negotiable instrument has been received as conditional payment, and the condition on which it was received has not been fulfilled by reason of the dishonour of the instrument or otherwise.—Sec. 45(1).

The term 'seller' includes any person who is in the position of a seller, *e.g.*, agent of the seller.

Suppose that goods worth Rs. 500 are sold. The seller is deemed to be an unpaid seller under any of the following circumstances :

- (a) If the whole of the purchase price (Rs. 500) is not paid on the due date.
- (b) If payment is made in the form of a negotiable instrument (bill of exchange or cheque) and the instrument is dishonoured.

Unpaid Seller's Rights

Rights of an unpaid seller can be listed as follows, (1) *against the goods*—Seller's Lien, Stoppage in Transit, and Resale, (2) *against the buyer personally*—Suits for Price, Damages and Interest. The right are explained below.

1. Sellers Lien or Vendor's Lien (Sections 47-49)

When can the right of lien be exercised? The unpaid seller of goods, who is in possession of them, is entitled to *retain possession* until payment or tender of the price in the following cases :

- (a) where the goods have been sold without any stipulation as credit ;
- (b) where the goods have been sold on credit but the term of credit has expired ;
- (c) where the buyer becomes insolvent.

Rules regarding seller's Lien : (1) The seller may exercise his right of lien notwithstanding that he is in possession of the goods as agent or bailee for the buyer.

(2) If the goods have been sold on credit, the seller cannot refuse to part with possession unless the term of credit has expired.

Example :

Goods are sold on 1st November on condition that the price is to be paid on 1st December. The seller must give delivery. But if the buyer does not take delivery and the seller is in possession on 1st December, the seller can refuse to part with possession till the price is paid.

(3) Lien can be exercised for non-payment of the price, not for any other charges.

Example :

The seller cannot claim lien for godown charges which he had to incur for storing the goods in exercise of his lien for the price.

(4) When an unpaid seller has made a part delivery of the goods he can exercise lien on the balance of the goods not

delivered unless the part delivery was made under such circumstances as to show an intention to waive the lien.

(5) The seller can abandon or waive the lien if he so desires.

(6) The unpaid seller does not lose his lien by reason only that he has obtained a decree for the price of the goods.

Loss of right of lien : The unpaid seller of goods loses his lien thereon in the following cases :

- (a) Where he delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the right of disposal of the goods ;
- (b) when the buyer or his agent lawfully obtains possession of the goods ; and
- (c) by waiver thereof.

2. The Right of Stoppage in Transit (Sections 50-52)

Explanation : When the buyer of goods *becomes insolvent*, and the goods are *in course of transit* to the buyer, the seller can *resume possession* of the goods from the carrier. This is known as the right of stoppage in transit.

Rules regarding the course of transit : The following points are to be noted in connection with the right of stoppage in transit.

(i) The goods are deemed to be in course of transit from the time they are delivered to the carrier to the time they are delivered to the buyer or his agent.

(ii) The right of stoppage in transit comes to an end as soon as the goods are delivered to the buyer or his agent. The carrier may become the agent of the buyer under some circumstances, e.g., if after the arrival of the goods at the appointed destination, the carrier acknowledge to the buyer that he holds the goods on his behalf. The seller's right to resume possession comes to an end in such a case. A shipowner carrying goods may be acting as the agent of the buyer if the circumstances so indicate.

(iii) If the carrier wrongfully refuses to deliver the goods to the buyer's the transit is at an end, and the seller's right is lost.

(iv) Where a part delivery has been made, the remainder of the goods may be stopped in transit unless it is shown that the part delivery was made under such circumstances as to show an agreement to give up possession of the whole of the goods.

Who is an insolvent? The term insolvent is used here to denote a person who is financially embarrassed. It is not

necessary that the buyer should be declared insolvent by a court of law before the right of stoppage in transit can be exercised.

The method of taking possession : The right of stoppage in transit is to be exercised by the seller by taking actual possession or by *giving notice* to the carrier to redeliver the goods to the seller. The carrier, upon such notice being given, is bound to redeliver the goods to the seller or his agent. The expenses of redelivery must be borne by the seller.

3. The Right of Resale

(Sec. 54). The unpaid seller who has retained possession of the goods in exercise of his right of lien or who has resumed possession from the carrier upon insolvency of the buyer, can resell the goods.

(a) if the goods are of a *perishable nature*, without any notice to the buyer, and

(b) in other cases after *notice to the buyer*, calling upon him to pay or tender the price within reasonable time, and upon failure of the buyer to do so.

If the money realised upon such resale is not sufficient to compensate the seller, he can sue the buyer for the balance. But if he receives more than what is due to him, he can retain the excess.

A resale does not absolve the buyer from his liabilities to compensate the seller for damages he may have suffered.

The person who buys the goods upon such resale gets a good title even if the seller has failed to give notice to the first buyer. But if no notice is given and the goods are sold, the seller cannot sue the first buyer for damages for breach of contract and must pay back to the first buyer any profit which he has realised from the resale (*i.e.*, the amount received in excess of the original price).

4. Suit for the Price

(Sec. 55) Where under a contract of sale the property in the goods has passed to the buyer and the buyer wrongfully neglects or refuses to pay for the goods according to the terms of the contract, the seller may sue him for the price of the goods.

Where under a contract of sale the price is payable on a certain day irrespective of delivery and the buyer wrongfully

neglects or refuses to pay such price, the seller may sue him for the price although the property in the goods has not passed and the goods have not been appropriated to the contract.

5. Suit for Damages

Where the buyer wrongfully neglects or refuses to accept and pay for the goods, the seller may sue him for damages for non-acceptance.—Sec. 56.

6. Claim for Interest and Special Damages

The seller may recover interest or special damages in any case where by law interest or special damages may be recoverable. He may also recover the money paid where the consideration for the payment of it has failed.—Sec. 61 (See p. 237, para 5)

DISTINCTION BETWEEN LIEN AND STOPPAGE IN TRANSIT

1. The right of Stoppage in Transit is applicable to the *insolvent* buyer. But the right of Lien is applicable to all persons, *solvent or insolvent*.

2. The right of Lien is applicable to goods which are in the possession of *the seller*. The right of Stoppage in Transit is applicable to the goods which are in possession of *the carrier*.

3. The right of Stoppage in Transit is applied to the buyer through the carrier. Therefore stoppage means the seller's right to '*regain*' the goods. But Lien means the right to '*retain*' the goods. Of course both the rights are applicable to goods only.

SUB-SALE OR PLEDGE BY BUYER

1. The unpaid seller's right of lien or stoppage in transit is not affected by any sale or other disposition, of goods which the buyer may have made, unless the seller has assented thereto :

Provided where a document of title to goods has been issued or lawfully transferred to any person as buyer or owner of the goods, and that person transfers the document to a person who takes the document in good faith for consideration, then, if such last mentioned transfer was by way of sale, the unpaid seller's right of lien or stoppage in transit is defeated, and, if such last mentioned transfer was by way of pledge or other disposition for value, the unpaid seller's right of lien or stoppage in transit

can only be exercised subject to the rights of the transferee.—Sec. 53(1).

2. Where the transfer is by way of pledge, the unpaid seller may require the pledgee to have the amount secured by the pledge satisfied in the first instance, as far as possible, out of any other goods or securities of the buyer in the hands of the pledgee and available against the buyer.—Sec. 53(2).

CONSEQUENCES OF BREACH OF CONTRACT OF SALE

The Sale of Goods Act gives the following rights to the aggrieved parties when there is a breach of contract of sale of goods :

Seller's Remedies Against the Goods : (1) Seller's Lien, Sections 47-49. (2) Stoppage in Transit. Sections 50-52. (3) Resale. Sec. 54.

Remedies of the Seller Against Buyer Personally : (1) Suit for Price. Sec. 55. (2) Damages for Non-acceptance. Sec. 56. (3) Claim for Interest and Special Damages. Sec. 61.

Buyer's Remedies Against the Seller : (1) Damages for Non-delivery. Sec. 57. (2) Specific Performance. Sec. 58. (3) Remedy for Breach of Warranty. Sec. 59. (4) Repudiation of Contract. Sec. 60.

The rights stated above have been discussed in pages 236-237, 239-241

AUCTION SALES

The following rules are contained in the Sale of Goods Act regarding sale of goods by auction.—Sec. 64.

1. Where goods are put for sale in lots, each lot is *prima facie*, deemed to be the subject of a separate contract of sale.

2. The sale is complete when the auctioneer announces its completion by the fall of the hammer or in other customary manner, and until such announcement is made, any bidder may retract his bid.

Since an offer can be refused, and a bid is an offer, it follows that the auctioneer is not bound to accept the final or any other bid. A lot can be withdrawn after bidding had taken place for some time.

3. A right to bid may be reserved expressly by or on behalf of the seller. If such right is expressly reserved, the seller or any one person on his behalf may, bid at the auction.

4. Where the sale is not notified to be subject to a right

to bid on behalf of the seller, it shall not be lawful for the seller to bid himself or to employ any person to bid at such sale, or for the auctioneer knowingly to take any bid from the seller or any such person; and any sale contravening this rule may be treated as fraudulent by the buyer.

5. The sale may be notified to be subject to a reserved or upset price, i.e., there may be a price below which the goods will not be sold. The reserve price may be kept secret.

6. If the seller makes use of pretended bidding to raise the price, the sale is voidable at the option of the buyer.

Case Law on Auction Sales

- (1) A bid by an intending buyer is construed as an offer. As an offer, it can be withdrawn any time before acceptance, which in this case occurs by the fall of the hammer, or any other customary manner. It has been held that it is customary in this country to repeat the final offer three times. *Agra Bank v. Hamlin*.¹
- (2) A combination between intending buyers not to be bid against each other is known as a "knock out" agreement. Such agreements are not illegal. *Jyoti v. Jhowmull*.²
- (3) Agreements which are likely to prevent the property put up from realising its fair value and to damp the sale, would certainly be against the public good, but an agreement between two or more persons not to bid against each other at an auction is not illegal or against public good. *Lachhman Das and others v. Hakim Sita Ram and others*.³
- (4) Sec. 64(2) of the sale of goods Act does not deal with question of the passing of the property in the goods sold at auction sale but instead it deals with the completion of the contracts of sale. *Consolidated Coffee Ltd. v. Coffee Board, Bangalore*.⁴
- (5) An auctioneer can set his own terms and conditions for holding an auction. If he does so those conditions would govern the rights of the parties. The seller is not bound to accept the highest bid, it necessarily implies that he can accept any lower bid. Lapses on the receipt of a higher bid, and if the highest bid was not to be accepted for any reason, the auction must be abandoned and fresh auction would be required to be held. *M. Lachia Setty and Sons Ltd. v. The Coffee Board, Bangalore*.⁵

EXERCISES

1. Does the Indian Sale of Goods Act provide for any rules as to delivery? What are the rules? (Pages 232-233)

¹ (1890) 14 Mad 235

² (1909) 36 Cal 134

³ AIR (1975) Delhi 159

⁴ AIR (1980) Supreme Court 1468

⁵ AIR (1981) Supreme Court 162

2. Enumerate the duties of the seller in respect of the sale of goods.
(Page 236)
3. State the rights of a buyer in case of (i) short delivery, (ii) delivery in excess of contract goods and (iii) delivery of contract goods together with other goods.
(Para 8, pages 234)
4. Who is an unpaid seller of goods and what are his rights against the goods? Has he any remedy against the buyer personally?
(Pages 239-241)
5. What is the meaning of vendor's lien? How does it arise and how is it lost? Has a vendor any power over goods which have passed from his possession? If so, when?
(Pages 240, 241)
6. Describe the rights of an unpaid seller against the buyer personally. When and under what circumstances can the seller exercise right of re-sale?
(Pages 239, 242)
7. Distinguish clearly between seller's right of lien and right of stoppage in transit. Add illustrations.
(Pages 243)
8. Write a note upon the remedies of the buyer of good where there is a breach of warranty by the seller.
(Page 244)
9. State the consequences of re-sale without giving notice to the original buyer.
(Pages 242-243)
10. What are the rules regarding sub-sale or pledge by a buyer?
(Pages 243-244)
11. Under the Sale of Goods Act, what remedies are available in the event of a breach of contract?
(Page 244)
12. State the rules regarding Auction Sales.
(Pages 244-245)
13. (a) Problems : *A* agreed to sell to *B* 1200 tons of coal to be delivered in monthly instalments of 100 ton each. After three instalments had been delivered *A* refused to deliver any further coal under the contract. Discuss the rights of *A* and *B* after this refusal.
(Para 9, page 234))
(b) *A* sells his horse to *B* for Rs. 500. *B* pays *A* Rs. 400. Is *A* an unpaid seller?
(Page 239)
(c) *S* agrees to sell potatoes to *B* to be delivered on arrival of ship *X*. The ship arrives but no potatoes on ship. Discuss the liability of the seller.
(Para 1 & 3, page 236)
(d) *P* sells some quantity of goods to *Q* on credit. The goods have been delivered to *Q*. *Q* on due date refuses and/or neglects to pay the price. What is the remedy available to *P*?
(Para 4, page 242)
14. Objective questions. Give short answers.
 - (i) Mention two rights of the unpaid seller.
(Page 240)
 - (ii) Who is an unpaid seller?
(Page 239)

BOOK III

THE LAW OF PARTNERSHIP

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1

NATURE OF PARTNERSHIP

APPLICATION

The Indian Partnership Act of 1932 (Act IX of 1932) applies to partnerships created by agreement between parties. The Act is not retrospective; it does not affect any right, title interest, obligation or liability acquired or incurred before the act came into operation in 1932. (Sec. 74). The Act is not exhaustive. It does not apply to Joint Hindu Family firms.

THE ESSENTIAL ELEMENTS OF A PARTNERSHIP

Definition and characteristics

Section 4 of the Partnership Act defines a partnership as follows: "Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all." A partnership, as defined in the Act, must have three essential elements:

1. There must be an agreement (entered into) by two or more persons.

* 2. (The agreement must be to share the profits of a business.)

3. The business must be carried on by all or any of them acting for all.

1. Voluntary Agreement

The first element shows the voluntary contractual nature of partnership. A partnership can only arise as a result of an agreement, express or implied, between two or more persons. Where there is no agreement there is no partnership. But a partnership cannot be formed with more than ten persons in banking and twenty persons in other types of business. A partnership with persons exceeding the above limits must be registered under a Companies Act.

"Person"—See p. 251

Partnership is not created by status: Section 5 states that, "The relation of partnership arises from contract and not from status." In particular the members of a Hindu undivided family

carrying on a family business, as such, are not partners in such business.

Example :

The sole proprietor of a business dies leaving a number of heirs. The heirs inherit the stock in trade of the business including the goodwill of the business but do not become partners until there is an agreement, express or implied, to carry on the business as partners. *Habib Bux v. Samuel Fitz Co.*¹

2. Sharing of Profits of a Business

The *second element* states the motive underlying the information of a partnership. It also lays down that the existence of a business is essential to a partnership. Business includes any trade, occupation or profession. If two or more persons join together to form a music club it is not a partnership because there is no business in this case. But if two or more persons join together to give musical performances to the public with a view to earning profit, there is a business and a partnership is formed.

3. Mutual Agency

The *third element* is the most important feature of partnership. It states that persons carrying on business in partnership are agents as well as principals. The business of a firm is carried on by all or by any one or more of them on behalf of all. Every partner has the authority to act on behalf of all and can, by his actions, bind all the partners of the firm. Each partner is the agent of the others in all matters connected with the business of the partnership. The law of partnership has therefore been called a branch of the law of agency.

The Tests of a True Partnership

In a true partnership, all the essential elements mentioned above must be present. Section 6 of the Partnership Act lays down that in determining whether a group of persons is or is not a firm, or whether a person is or is not a partner in a firm, regard shall be had to the real relation between the parties, as shown by all relevant facts taken together.

If all the relevant facts taken together show that all the three

¹ (1925) 23 All. L. J. 961

essential elements are present, the group of persons doing business together will be called a partnership.

Of the three elements, the second element, viz., sharing of profits, is important but *not* conclusive. Sharing of profits may exist under circumstances where there is no question of partnership. As examples the following cases may be cited :

- (i) A creditor taking a share of profits in lieu of interest and part-payment of principal.
- (ii) A creditor who supervises the conduct of a debtor's trade with an agreement that he will be paid out of the profits of the business. The creditor does not thereby become his partner. *Mollow March & Co. v. Court of Wards*.¹
- (iii) An employee getting a share of profits as remuneration.
- (iv) Share of profits given to workers as bonus.
- (v) Share of profits given to the widow or children of deceased partners as annuity.

In all the above cases the third essential element of partnership, (viz., agency) is absent. A creditor or an employee, or the widow and children of deceased partners cannot bind the firm by any act done on behalf of the firm. Only those who have authority to bind the firm by their actions can be called partners. Thus, the most important test of partnership is agency and authority.

The tests of a true partnership were first laid down by the House of Lords in the case of *Cox v. Hickman*.² In that case, a debtor transferred his business to trustees with instructions to carry on the business and use the profits for paying his creditors. It was held that the creditors were not partners of the business. Section 6 of the Partnership Act is a comprehensive restatement of the rule laid down in this case.

Circumstances which the court must take into consideration in determining the existence of partnership : The court must take into account all the relevant circumstances, e.g., the terms of the agreement, if any ; the conduct of the parties ; the mode of doing business ; who controls the property ; the mode of keeping accounts ; the manner of distribution of profits etc.

Sharing of losses : Sharing of losses is a consequence of partnership rather than a test of partnership. Losses are not

¹ (1872) L.R. 4 P.C. 419

² (1860) 8 H.L.C. 268

mentioned in the definition of partnership as given in Section 4. But in determining whether a partnership exists or not, the court must take into account how losses are shared. In *Raghunandan v. Hormasji*¹ it was held that partners may agree that one or more of them shall not be liable for losses. But such an agreement will be binding only among themselves. All the partners will be liable to third parties for the debts of the firm.

Who can be a partner ?

1. Person : Under the ~~Partnership~~ Partnership Act, a person may be partner if he has the capacity to enter into a contract ("Capacity of parties" see p. 49)

Who is a 'person'? For the purposes of the Partnership Act, the term 'person' does not include a partnership or a limited company. Thus a Company P cannot form a partnership with a Company Q. [*G. M. Refining Co. v. Commr. of I-Tax.*²] 1949

Similarly, a firm X cannot form a partnership with firm Y. But all the partners of firm X and all the partners of firm Y can form a single partnership, subject to the rules regarding the number of partners. (See, Section 11, p. 254 and para 5 below).

2. Minor : A minor cannot be a partner. But in an existing partnership, a minor can be admitted into a firm if all the partners of the firm agree. (See p. 271) Such a minor gets all the benefits of the partnership.

3. Person of unsound mind : A person who is of unsound mind cannot become a partner.

4. Woman : A woman can be a partner, married or unmarried. Of course a woman cannot be a partner if she is a minor or she is of unsound mind.

5. Company : In a Company the capacity to enter into contract is determined by the Memorandum and Articles of the Association of the company. The liability of the members of a firm under the Partnership Act, for the debts of the firm, is unlimited. But a company cannot incur unlimited liability. Therefore a company cannot become a partner of a firm.

6. An alien enemy: cannot enter into a contract of partnership with a citizen of India. (See p. 55)

¹ (1949) 51 Bom. 342

² AIR (1967), Cal. 429

PARTNERSHIP AND CERTAIN SIMILAR ORGANISATIONS

Partnership and Co-ownership

Co-ownership means joint ownership. A and B jointly purchase a horse. They are co-owners but not necessarily partners. The distinction between co-ownership and partnership can be described as follows :

1. In a partnership each partner is the agent of the others but a co-owner is not the agent of the other owners. The rights of a co-owner cannot be affected by any act done by the other owners.

2. Partnership always arises out of agreement. Co-ownership may arise by agreement or by operation of law. A and B inherit a house from their father. They become co-owners by operation of the law of inheritance. Habib Bux v. Samuel Fitz & Co. (See p. 249)

3. A co-owner can transfer his interest to a third party without the consent of the other co-owners. A partner can transfer his interest, under certain circumstances, but the transferee can never become a partner of the business without the consent of the other partners.

4. A partnership always implies a business. Co-ownership may exist without any business, e.g., joint ownership of a residential house.

5. Since co-ownership may exist without a business, the question of sharing profits or losses is immaterial in a co-ownership. In a partnership there must be sharing of profits.

6. A partner has a lien on the partnership assets for moneys spent by him for the partnership. A co-owner has no lien under similar circumstances.

Partnership and a Club

A club is an 'association of persons' formed for social purposes. It differs from a partnership in the following respects— it is not a business ; there is no motive of earning profits and sharing them ; a member of a club is not the agent of the other members ; a member is not responsible for the debts of the club unless he participated in the transaction ; and, the death or resignation of a member does not affect the existence of the club.

Partnership and a Company

See Company Law, Book XI.

Partnership and a Joint Hindu Family Firm

A Hindu joint family which carries on a trade inherited from its ancestors is called a Hindu Joint Family Firm. Such firms are very common in India, particularly among Hindus governed by the Mitakhsara school. The points of difference between such a firm and a contractual partnership can be enumerated as follows :

1. *Method of creation* : A partnership is created by agreement ; a joint family firm is created by operation of law. Membership of a joint family firm is the result of status, i.e., position of the person concerned as member of a joint family or coparcenary.

2. *Authority of members* : In a joint family firm the manager or Karta has authority to bind the members by all acts coming within the scope of the joint family business but no other members has any such authority. In a partnership every partner has authority to bind the firm by his actions and can participate in the business of the firm.

3. *Liability of members* : In a partnership every partner is liable to an unlimited extent for the debts of the firm. In a joint family firm only the Karta has unlimited liability ; the other members are liable only to the extent of their share in the joint family business.

4. *Position of minors* : The minor members of a joint family are members of the firm from the date of their birth. In a partnership a minor cannot be a member, except in one special case. (See p. 271) The reason is that a partnership is the result of an agreement and a minor does not have capacity to enter into an agreement.

5. *Position of women* : A woman can be a partner under the Act, but not in a Joint Hindu Family firm.

6. *Number of members* : In a contractual partnership, the number of members must not exceed 10 in a banking firm and 20 in other kind of firms. There is no limit on the number of members in joint family firms.

7. *Death of members* : The death of a member of a joint family firm has no effect on the firm. The firm continues with

the other members. In a partnership, death of a partner dissolves the firm, unless otherwise agreed by the partner's.

8. *Registration* : In a partnership registration is optional. A joint family firm does not require registration.

9. *Dissolution and accounts* : A member of a joint family firm when severing his connection with the firm cannot ask for accounts of past profits and losses, but a partner of a firm under similar circumstances can.

10. *Law* : A partnership is governed by the Partnership Act ; a joint family firm is governed by Hindu law.

11. *Partnership* : The karta of a joint Hindu family and an undivided member of that family can join a partnership. But the Hindu undivided family cannot as such enter into a contract of partnership with another person or persons. *Commissioner of Income Tax, W. B. v. Kalu Babu*.¹

12. *A floating body* : A Hindu undivided family is a floating body. Its composition changes by births, deaths, marriages and divorce.

13. *Unity of ownership* : In a joint Hindu family business no member of the family can say that he is the owner of one-half, one-third or one-fourth. The essence of joint Hindu family property is unity of ownership and community of interest, and the shares of the members are not defined. *Nanchand Ganguram Shetji v. Mallappa Mahalingappa Sadalge and other*.²

14. *A precarious existence* : A partnership is likely to have a precarious existence, because a partnership can be ended at any time. *Aggarwal & Co. v. Commissioners of Income Tax*.³

PARTNERSHIP FORBIDDEN BY LAW

1 *Number of partners* : Section 11 of the Companies Act, 1956 prohibits the formation of the partnership for the purpose of carrying on the business of banking with more than ten persons and for any other purpose with more than twenty persons. If it is desired to carry on business with more than 10 or more than 20 persons for banking and non-banking business respectively, a company must be formed.

2. An agreement to form a partnership, for the purpose of carrying on an illegal trade or a prohibited trade, is void.

¹ AIR (1959) Supreme Court 1289 ² AIR (1976) Supreme Court 835

³ AIR (1970) Supreme Court 1343

SOME DEFINITIONS

Firm, Firm-name, Partner

Persons who have entered into partnership with one another are called individually "partners" and collectively "a firm" and the name under which their business is carried on is called the "firm-name."—Sec. 4, para 2.

The Legal Status of a Firm

A firm is not an artificial person like a company. It is merely a collective name for the individual who are trading in partnership. Therefore, a firm is not a legal person or a legal entity. A partnership firm cannot be distinguished from its partners. The rights, duties and obligation of a firm are actually the rights, duties and obligations of the persons who own the firm.

*** Classes of Partners**

Partners can be classified as below :

1. Active Partner : An active partner is one who actually participates in the business of the firm. A person becomes a partner only by agreement.

2. Dormant, Sleeping or Nominal Partner : These partners join the firm by agreement but do not take any active part in the business. Their liabilities are same as of Active Partners.

3. Sub-Partner : The transferee of a share of a partner's interest in a firm is called a Sub-Partner. Suppose *P*, the owner of $\frac{1}{4}$ of firm, transfers $\frac{1}{2}$ of his share to *Q*. *Q* will be called a sub-partner. His rights and liabilities are limited.

Name of a Partnership

The partners may select any firm-name they please, subject to the following restrictions :

(a) They must not select a name which will fraudulently imply that their business is the same as some other competing concern.

(b) They cannot use words like 'President', 'Royal', etc. which will imply that the firm is enjoying the patronage of the state.

The names of all the partners may be used together as the firm-name or the name of any particular partner may be so used. It may happen that the name of a partner is used as the firm-name but that name is identical with the firm-name of a rival

trade. This is not illegal. A man is entitled to use his own name for carrying on business even though it is identical with the name of another person carrying on a similar business. But if there is any fraudulent intention, he may be stopped from doing so. *Turton v. Turton*.¹

Classes of Partnerships

Partnerships can be classified as below :

1. *Partnership-at-will*¹ : A partnership is called a partnership-at-will (i) when the partnership is not for a fixed period of time and (ii) when no provision is made as to when and how the partnership will come to an end.—Sec. 7.

A partnership-at-will can be dissolved whenever any partner chooses to do so.

2. *Particular Partnership—Joint Venture* : A particular partnership is one which is formed for a particular adventure or a particular undertaking. (Sec. 8). Such a partnership is usually dissolved on the completion of the adventure or undertaking.

3. *Limited Partnership* : In Great Britain, according to the provisions of the Partnership Act of 1907, a partnership may be formed in which the liability of all partners (except one) is limited. There must be at least one partner with unlimited liability. In India there is no such provision. In India the liability of all the partners must be unlimited.

Partnership Property

The property of the firm includes all property and rights and interests in property originally brought into the stock of the firm or acquired by purchase or otherwise, by or for the firm, or for the purposes and in the course of the business of the firm, and includes also the goodwill of the business.—Sec. 14.

Thus, property of the firm means (i) property originally brought in by the partners, (ii) property obtained while the firm was in business and (iii) the goodwill of the firm.

Goodwill of a firm is an asset of the firm. In the absence of any provision expressly made or clearly implied, the normal rule is that the share of a deceased partner, including goodwill, devolves upon his legal representatives. *Khurshid Khengar Shah & Ors. v. Khorshedbanu Dadiba Boatwalla & Ors.*²

¹ (1889) 42 Ch. D. 128

² (1971) S.C.A. 16 (Supreme Court)

Unless the contrary impression appears, property and rights and interests in property acquired with money 'belonging to the firm' are deemed to have been acquired for the firm.

Application of the property of the firm : Subject to contract between partners the property of the firm shall be held and used by the partners exclusively for the purpose of the business.—Sec. 15.

Examples of Partnership Property : A partnership is formed with X, Y and Z as partners. X contributes to the stock of the firm a plot of land, Y a motor lorry and, Z the sum of Rs. 10,000. Subsequently the firm purchases, out of its earnings, a house. All these properties, and the goodwill of the business, are properties of the firm.

Goodwill

Goodwill is not defined in the Partnership Act. Goodwill may be described as the advantage which is acquired by a firm (over and above the value of the stock-in-trade and capital and funds) from the connections it has built up with its customers and the reputation it has gained.

"Goodwill, I apprehend, must mean every advantage....that has been acquired by the old firm in carrying on its business, whether connected with the premises in which the business was previously carried on, or with the name of the late firm, or with any other matter carrying with it the benefit of the business." *Churton v. Douglas*.¹

"The goodwill of a business is the whole advantage of the reputation and connexion formed with customers together with the circumstances, whether of habit or otherwise, which tend to make such connexion permanent. It represents in connexion with any business or business product the value of the attraction to customers which the name and reputation possesses."—*Halsbury*.²

Goodwill is part of the property of the firm. Section 55 of the Partnership Act provides that in settling the accounts of a firm after dissolution, the goodwill shall, subject to contract between the partners, be included in the assets and it may be sold either separately or along with other property of the firm.

¹ (1859) 28 L.J. Ch. 841, 845 ² *Laws of England*, 3rd Edition, p. 360

At the time of valuation of goodwill it is necessary to consider the type of business and the type of customer which such a business is inherently likely to attract as well as all the surrounding circumstances. *Mehru Belgam Vala and another v. G. Bell & Co. and others.*¹

The Partnership Agreement

The agreement to carry on business in partnership may be oral or in writing. If it is in writing, the document in which the terms are incorporated is called the Deed of Partnership or the Articles of Partnership.

Written documents of partnership usually contain exhaustive provisions regarding matters concerning the business and the relationship between the partners. The following matters are generally included : name and address of the partners ; firm-name ; nature of business ; place of business and the business address ; duration of the partnership and the mode of dissolution ; the amount of capital to be contributed by each partner ; the share of profits to be taken by each partner ; the mode of management ; the powers of the partners ; terms on which a partner can retire ; expulsion of partners ; introduction of new partners etc.

REGISTRATION OF FIRMS



The registration of a partnership is not compulsory. Therefore an unregistered firm is not an illegal association. But an unregistered firm suffers from certain disabilities and therefore registration is necessary for carrying on business.

The Formalities of Registration

(Sections 56-71). The registration of a firm may be effected at any time by sending by post or delivering to the Registrar of Firms of the locality, a statement in the prescribed form and accompanied by the prescribed fee, stating the following particulars ; (a) the firm-name (b) the place or principal place of business of the firm, (c) the names of any other places where the firm carries on business, (d) the date when each partner joined the firm, (e) the names in full and permanent addresses of the partners and (f) the duration of the firm.

¹ AIR (1983) Mad 351

The statement shall be signed and verified by all the partners, or their agents specially authorised on this behalf. On receipt of the statement and the fees, the Registrar records an entry of the statement in the Register of Firm and the firm is thereupon considered to be registered.

Alterations in any of the above particulars have to be recorded.

The Register of Firms can be inspected and copies of entries taken by any person on payment of the necessary fees.

Under Section 56 of the Act, the Government of any State may, by notification, declare that the provisions relating to the registration of firms shall not apply to the State or any part thereof.

Time for Registration

A firm may be registered at anytime. But an unregistered firm cannot file certain suits. (See below). A firm must be registered before it can file suits or claim set-off. A firm can be registered even after the partners have agreed to dissolve the firm.

Consequences of Non-registration (Sec. 69)

An unregistered firm and the partners thereof suffer from certain disabilities :

1. A partner of an unregistered firm cannot file a suit (against the firm or any partner thereof) for the purpose of enforcing a right arising from contract or a right conferred by the Partnership Act.

2. No suit can be filed on behalf of an unregistered firm against any third party for the purpose of enforcing a right arising from a contract.

3. An unregistered firm cannot claim a set-off in a suit. ['Set-off' means a claim by the defendant which would reduce the amount of money payable by him to the plaintiff].

The effect of Section 69 is (i) to bar all suits by an unregistered firm against third parties for the enforcement of rights arising from contracts, and (ii) to bar all suits between partners *inter se* for the enforcement of partnership rights. The section does not bar suits in respect of torts, i.e., civil suits for damages for the violation of a right.

Exceptions : There are certain exceptions to the rules stated above.

1. A partner of an unregistered firm can file a suit for the dissolution of the firm and for accounts.

2. Suits can be filed for the realisation of the properties of a dissolved firm even though it was unregistered.

3. The Official Assignee or Receiver can realise the properties of an insolvent partner of an unregistered firm.

4. There is no bar to suits by unregistered firms and by the partners thereof in areas where the provisions relating to the registration of firms do not apply by notification of a State Government under Section 56.

5. An unregistered firm can file a suit (or claim a set off) for a sum not exceeding Rs. 100 in value, provided the suit is of such a nature that it has to be filed in the Small Causes Court. Proceedings incidental to such suits, e.g., execution of decrees, are also allowed.

6. An unregistered firm suffers from certain disabilities but it is not an illegal association. Therefore registration of a firm is optional.

EXERCISES

1. What are the essentials of a partnership? (Pages 248-249)
2. What is the test of determining whether a partnership between A and B does not exist? (Pages 249-250)
3. "Sharing of profits is only *prima facie* evidence of partnership." Discuss. (Pages 248-249)
4. What is partnership property? For what purposes can it be used? (Page 256)
5. How far can a partner of a firm be considered as an agent of the other partners? (Pages 249, 264)
6. Explain the following terms : Firm ; Partner ; Dormant ; Sleeping or Nominal Partner ; Partnership at will ; Partnership property ; Partnership agreement ; Goodwill. (Pages 254-258)
7. Must a firm be registered? What are the effects of non-registration of a firm? (Pages 258-260)
8. Although registration of firms is not compulsory, firms are usually registered. What are the disadvantages of non-registration of a firm under the law of partnership? (Pages 258-260)
9. Distinguish between the following :
(a) Partnership firm and a Hindu joint family firm. (Page 253)

- (b) Partnership and co-ownership. (Page 252)
- (c) Partnership and a club. (Page 252)
- (d) Active partner and Sleeping partner. (Page 255)

10. Problems :

- (a) X is the sole owner of a firm. He admits Y as a partner on the following terms ; (i) Y is not to bring any capital ; (ii) Y is not to be responsible for any loss ; (iii) Y is to receive Rs. 200 p.m. in lieu of profits ; and (iv) Y is to have all the powers of a partner. Discuss the legal position of Y in the firm.
(Pages 249-250)
- (b) A and B agree to share profits of the business carried on by them but do not state anything in the Deed about sharing of losses. Is it a valid partnership ? (Pages 250-251)
- (c) A person wants to join a firm as a partner on the following conditions : he will devote himself entirely to business of the firm, but he will not bring in any capital and will not be responsible for any loss of the firm. Discuss.
(Pages 249-250)

11. Objective questions.

- (a) Define Partnership. (Page 248)
- (b) What do you understand by partnership-at-will ? (Page 256)

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NAV

RELATIONS OF PARTNERS TO ONE ANOTHER

Determination of rights and duties of partners by contract between the partners : The mutual rights and duties of the partners of a firm may be determined by contract between the partners. Such contract may be expressed or may be implied from the course of dealings of the firm. The mutual rights and duties may be altered any time with the consent of all the partners.—Sec. 11(1).

The Partnership Act lays down *two general rules* regarding the conduct of the partners to one another.

1. *General duties of partners* : “Partners are bound to carry on the business of the firm to the greatest common advantage, to be just and faithful to each other, and to render true accounts and full information of all things affecting the firm to any partner or his legal representative.”—Sec. 9.

This section lays down that the relationship between partners is one of *utmost good faith*. Though partners are not trustees for one another, it has been held in some cases that the relationship between them is of a fiduciary character.

2. *Indemnity* : “Every partner shall indemnify the firm for any loss caused to it by his fraud in the conduct of the business of the firm.”—Sec. 10.

This rule follows logically from the rule laid down in the previous section. Since partnership implies utmost good faith, a partner must not act fraudulently against the firm. If he does, he must make up the loss.

Subject to the general principles stated above the following rules are laid down in the Act regarding the relationship between the partners as regards the management of the business and their mutual rights and duties.

1. Rules regarding the conduct of the business (Sec. 12)

Subject to any agreement to the contrary, the following rules apply as regards the management of a firm :

- (a) every partner has a right to take part in the conduct of the business ;

- (b) every partner is bound to attend diligently to his duties in the conduct of the business ;
- (c) and difference arising as to ordinary matters connected with the business may be decided by a majority of the partners, and every partner shall have the right to express his opinion before the matter is decided but no change may be made in the nature of the business without the consent of all the partners ; and
- (d) every partner has a right to have access to and to inspect and copy any of the books of the firm.

Subject to contract between the partners, the property, of the firm shall be held and used by the partners exclusively for the purposes of the business.—Sec. 15.

The partners may distribute the work of management among themselves in any way they like. There may be a partner who takes no active part in the business.

The partnership contract may provide that a partner shall not carry on any business other than that of the firm while he is a partner. Such an agreement is *not* void on the ground of restraint of trade.—Sec. 11(2).

2./ Mutual rights and duties (Sec. 13)

Subject to any contract to the contrary, the mutual rights and duties of partners are as follows :

- (a) a partner is not entitled to receive remuneration for taking part in the conduct of business ;
- (b) the partners are entitled to share equally in the profits earned and shall contribute equally to the losses sustained by the firm ;
- (c) where a partner is entitled to interest on the capital subscribed by him such interest shall be payable only out of profits ;
- (d) a partner making, for the purposes of the business, any payment or advance beyond the amount of capital he has agreed to subscribe, is entitled to interest thereon at the rate of six per cent per annum ;
- (e) the firm shall indemnify a partner in respect to payments made and liabilities incurred by him—(i) in the ordinary and proper conduct of the business, and (ii) in doing such act, in any emergency, for the purpose of protecting

the firm from loss, as would be done by a person of ordinary prudence, in his own case, under similar circumstances; and

- (f) a partner shall indemnify the firm for any loss caused to it by his wilful neglect in the conduct of the business of the firm.

3. Personal profits earned by partners (Secret Profits—Sec. 16)

Subject to contract between the partners,

- (a) if a partner derives any profit, for himself from any transaction of the firm, or from the use of the property or business connection of the firm or the firm name, he shall account for that profit and pay it to the firm; (b) if a partner carries on any business of the same nature as and competing with that of the firm, he shall account for and pay to the firm all profits made by him in that business.

Examples :

- (i) A partner without the knowledge of his other partners obtained for his own benefit the renewal of the lease of the business premises of the firm. Held, the renewed lease was partnership property. *Featherstonehaugh v. Fenwick*.¹
(ii) P and Q were partners of a firm. Q was appointed to buy sugar for the firm. Without the knowledge of P, he supplied his own sugar to the firm at the market price and made large profits. Held, he must make over the profits to the firm. *Bentley v. Craven*.²

4. Continuance of pre-existing terms (Sec. 17)

Subject to contract between the partners, the relationship between them is presumed to remain the same if the constitution of the firm changes for any reason, or if the firm was for a fixed period and continues to exist after the expiry of the term, or when business not included in the original contract is undertaken.

THE AUTHORITY OF A PARTNER

Agency

Partner to be agent of the firm : "Subject to the provisions of this Act, a partner is the agent of the firm for the purposes

¹ (1810) 17 Ves. 298

² (1853) 18 Beav. 75

of the business of the firm." (Sec. 18) When two or more persons agree that they would carry on a business jointly and share the profits earned thereby, each is a principal and each is an agent for the others. Each is bound by any of the other's *contracts entered into with third parties* in course of the business of the partnership. The principle of agency governs the relationship between the partners. It has therefore been said that the law of partnership is a branch of the law of agency.

The authority of a partner to act on behalf of the firm can be divided into two categories : Express Authority and Implied Authority.

Express Authority

Any authority which is expressly given to a partner by the agreement of partnership called Express Authority. The firm is bound by all acts done by a partner by virtue of any express authority given to him.

Implied Authority

Implied Authority means the authority to bind the firm which arises by implication of law from the facts of partnership.

Section 19 of the Act lays down that the act of a partner which is done to carry on, *in the usual way, business of the kind carried on by the firm*, binds the firm.

Mode of doing act to bind firm : Section 22 provides that in order to bind a firm, an act or instrument done or executed by a partner (or other person on behalf of the firm) shall be done or executed *in the firm name*, or in any other manner expressing or implying an *intention to bind the firm*.

Examples :

- (i) X, the partner of a firm of confectioners, purchases sugar on credit in the firm's name. The firm is bound to pay for the sugar.
- (ii) P, the partner of a firm of confectioners, purchases a horse on credit in the firm's name. The firm is not bound in the absence of any express authority from the other partners because this act does not come within the scope of a confectioner's business.
- (iii) Y, the partner of a firm borrows money in his personal name. The firm is not bound because it is not an act of the firm.

Limitations of a partner's Implied Authority [Sec. 19(2)]

In the absence of any usage of custom of trade to the

contrary, the implied authority of a partner does not empower him to—

- (a) submit a dispute relating to the business of the firm to arbitration,
- (b) open a banking account on behalf of the firm in his own name,
- (c) compromise or relinquish any claim or portion of a claim by the firm,
- (d) withdraw a suit or proceeding filed on behalf of the firm,
- (e) admit any liability in a suit or proceeding against the firm,
- (f) acquire immovable property on behalf of the firm,
- (g) transfer immovable property belonging to the firm, or
- (h) enter into partnership on behalf of the firm.

Alteration of Authority (Sec. 20)

The express or implied authority of a partner may be altered, extended, or restricted by agreement between the partners at any time. But notwithstanding any such restrictions, any act done by a partner which falls within the implied authority of a partner, binds the firm unless the person with whom he is dealing knows of restriction or does not know or believes that partner to be a partner.

Authority in an Emergency (Sec. 21)

A partner has authority in an emergency, to do all such acts for the purpose of protecting the firm from loss as would be done by a person of ordinary prudence, in his own case, acting under similar circumstances, and such acts bind the firm.

ADMISSION BY A PARTNER

An admission or representation made by a partner concerning the affairs of the firm is evidence against the firm, if it is made in the ordinary course of business.—Sec. 23.

NOTICE TO A PARTNER

Notice to a partner who habitually acts in the business of the firm of any matter relating to the affairs of the firm operates as notice of the firm, except in the case of a fraud on the firm committed by or with the consent of that partner.—Sec. 24.

From the above it follows that a notice to a dormant partner is not notice to the firm.

LIABILITY OF PARTNERS TO OUTSIDERS

The partner's liabilities can be discussed in three categories.

I. Liability of a Partner for Acts of the Firm

Every partner is liable, jointly with all the other partners and also severally for all acts of the firm done while he is a partner.—Sec. 25.

This section lays down the rule that every partner is liable, to an unlimited extent, for all debts due to third parties from the firm incurred while he was a partner.

As between the partners, the liability is adjustable according to the terms of the partnership agreement. Thus if a partner is entitled to receive $\frac{1}{4}$ th share of profits he is liable to pay $\frac{1}{4}$ th share of the losses. The accounts between the partners will be adjusted on this basis. But a third party, who is a creditor of the firm, is entitled to realise the whole of his claim from any one of the partners.

There is no difference between working partners and dormant partners as regards liability to third parties. A dormant partner also is liable to an unlimited extent for all debts of the firm.

II. Liability of the Firm for wrongful acts of a Partner

Where, by the wrongful act or omission of a partner acting in the ordinary course of the business of a firm, or with the authority of his partners, loss or injury is caused to any third party, or any penalty is incurred the firm is liable therefore to the same extent as the partner.—Sec. 26.

III. Liability of Firm for misapplication by Partners

Where—

- (a) a partner acting within his apparent authority receives money or property from a third party and misapplies it, or
- (b) a firm in the course of its business receives money or property from a third party, and the money or property is misapplied by any of the partners while it is in the custody of the firm, the firm is liable to make good the loss.—Sec. 27.

Example :

X, a member of a firm of solicitors, obtained a loan for *M*, from some other clients of the firm. *X* said to *M* that the mortgagee required collateral security for the loan and *M* deposited certain share warrant payable to bearer. The security was actually not necessary. The other partners of the firm and the mortgagee had no knowledge of this deposit. *X* then misappropriated the share and absconded. Held, the transaction was within the apparent authority of the other partners, and was an act of firm. Therefore the act was binding on the firm. The firm had to pay the loss. *M. Rhodes v. Moules*.¹

RIGHTS OF PARTNERS

The rights of partners, and the relations of partners to one another, are determined by the agreement of the partners. Where there is *no express or implied terms in the agreement*, the rules stated in the Partnership Act will be applied. Subject to any contract to the contrary, the important rights of partners are summarised below :

1. *Conduct of business* : Every partner has a right to take part in the conduct of the business.—Sec. 12(a).

2. *Can express opinion* : Every partner shall have the right to express his opinion.—Sec. 12(c).

3. *Access, inspection, copy* : Every partner has a right to have access to and to inspect and copy any of the books of the firm.—Sec. 12(d).

4. *Equality of profits* : The partners are entitled to share equally in the profits earned.—Sec. 13(b).

5. *Interest on capital* : A partner is entitled to get interest on the capital out of profits only.—Sec. 13(c).

6. *Interest on advance* : A partner, paid or advanced to the firm beyond the amount of capital, is entitled to interest thereon at the rate of six per cent per annum.—Sec. 13(d).

7. *To get indemnity* : The firm shall indemnify a partner in respect of payment's made and liabilities incurred by him, in the ordinary and proper conduct of the business and in doing such act, in any emergency.—Sec. 13(e).

8. *Application of property of firm* : The property of the firm shall be held and used by the partners exclusively for the purposes of the business.—Sec. 15.

9. *Partner's authority* : Every partner has right to act on behalf of the firm. He has express and implied authority.—Secs. 18 and 19.

¹ (1895) ch. 236

✓ 10. *Powers in an emergency* : He has certain powers in an emergency.—Sec. 21.

11. *Reconstitution* : The constitution of a firm may be changed by the introduction of a new partner, death, retirement, insolvency, expulsion or by the transfer of a partner's share to an outsider. The rights and liabilities of the incoming and outgoing partners have been stated in the sections 29 & 31 to 38. (See under "Reconstitution", p. 273).

12. *Dissolution* : A partner has the right to get the firm dissolved under appropriate circumstances. Upon dissolution, the partners have the right to get accounts of the firm and surplus assets according to their shares. (See p. 278)

13. *Right to carrying on a competing business* : By a special agreement, an outgoing partner can be prevented from carrying on a similar business within a specified period or local limits. But if there is no restraining agreement, an outgoing partner can carry on a competing business and may advertise such business. But, subject to contract to the contrary, he cannot use the firm-name, represent himself as carrying on the firm business or solicit the custom of the former buyers of the firm.—Sec. 36. (See p. 276)

14. *Right to share profits after retirement* : If after retirement (or death) and the continuing partners carry on the business of the firm with the property of the firm (without any final settlement of accounts) the outgoing partner (or the legal representative of the deceased partner) is entitled to get share of profits or 6% per annum of his share of the property of the firm, at their option.—Sec. 37. (See p. 276)

DUTIES OF PARTNERS

4 The important duties of partners are summarised below :

✓ 1. *Justice, Faithfulness, True Accounts, Full Information* : Partners are bound to carry on the business of the firm to the greatest common advantages, to be just and faithful to each other, and to render true accounts and full information of all things affecting the firm to any partner or his legal representative.—Sec. 19.

2. *To pay indemnity* : Every partner shall indemnify the firm for any loss caused to it by his fraud in the conduct of the business of the firm.—Sec. 10.

✓3. *To attend diligently* : Every partner is bound to attend diligently to his duties.—Sec. 12(b).

✓4. *No remuneration* : Subject to any contract to the contrary, a partner is not entitled to receive remuneration for taking part in the contract of the business.—Sec. 13(a).

5. *Equality of losses* : Subject to any contract to the contrary, partners are bound to pay the losses of the firm equally.—Sec. 13(b). *Nowell v. Nowell*. (See p. 283)

✓6. *To pay indemnity for wilful neglect* : A partner shall indemnify the firm for any loss caused to it by his wilful neglect in the conduct of the business of the firm.—Sec. 13(f).

✓7. *No private benefit* : A partner cannot use the partnership properties, directly or indirectly, for his own benefit.—Sec. 15

✓8. *To account for secret profit* : If a partner derives any profits for himself from any transaction of the firm, or from the use of the property or business connection of the firm or the firm name, he shall account for that profit and pay it to the firm.—Sec. 16(a).

✓9. *No secret profit* : If a partner carries on any competing business of the firm, he shall account for and pay to the firm all profits made by him in that business.—Sec. 16(b).

10. *Unlimited liability*. Every partner is liable for the acts of the firm done while he is a partner. The liability is joint and several.—Sec. 25. (See p. 267).

PARTNERSHIP BY HOLDING OUT OR ESTOPPEL

A person may, under certain circumstances, be liable for the debts of a firm although he is not a partner. If a person, by words spoken or written, or by conduct, represents himself or knowingly permits himself to be represented, to be a partner in a firm, he is liable as a partner in that firm to any one who has on the faith of any such representation given credit to the firm.—Sec. 28.

If *X* induces *Y* to believe that *X* is a partner of a firm *AB* and *Y*, believing that *X* is a partner, gives credit to *AB*, *X* will be responsible for compensating *Y*. He will not be heard to say that he is not a partner of *AB*. This is known as partnership by Holding Out or Estoppel. ("Estoppel"—See p. 52)

Examples :

- (i) Two brothers *A* and *B* carry on a business in the family name. Another brother *C*, having the same name attends the place of

business and behaves with outsiders as if he was a partner. C is liable as a partner by holding out.

- (ii) X carried on business as R. S. & Co. and employed a person named R. S. to act as manager of the business. It was held that R. S. is a partner by the principle of estoppel. *Bevan v. The National Bank Ltd.*¹

To hold a person liable as a partner by holding out, it is necessary to establish the following :

1. He represented himself, or knowingly permitted himself to be represented as partner.
2. Such representation occurred by words spoken or written or by conduct.
3. The other party on the faith of that representation gave credit to the firm.

It is not necessary that there should be any fraudulent intention on the part of the person holding himself out as partner. Nor is it necessary that he should be aware of the fact that a person is giving credit on the faith of the representation.

A partner by holding out is liable to make good the loss which the person giving credit, may suffer. But thereby he acquires no claim upon the firm.

A retired partner : A partner who has retired from the firm but allows the use of his name in connection with the firm may become liable to third parties by the principle of holding out.

The deceased partner : The legal representatives of a deceased partner do not become liable for the debts of the firm merely because the name of the deceased is used as a part of the firm name.



MINOR ADMITTED AS A PARTNER

A minor cannot enter into a contract of partnership because an agreement by a minor is void. But if all the partners agree, a minor may be admitted to the benefits of an existing firm. The rights and liabilities of such a minor partner are governed by the following rules. (Sec. 30) :

1. The minor has a right to such share of the property and of the profits of the firm as may be agreed upon by the partners.
2. The minor may have access to and inspect and copy any of the accounts of the firm.

¹ (1906) 27 T.L.R. 65

3. The share of the minor in the profits and in the assets of the firm are liable for the acts of the firm but the minor is not personally liable for any such act. (His personal properties are not liable).

4. So long as the minor continues to be a member of the firm, he cannot file a suit against the other partners for an account or for the payment of his share of the property or profits of the firm. He can file such a suit only when he wants to sever his connection with the firm. [If the minor files such a suit, the minor's share shall be determined by valuation in accordance, as far as possible, with the procedure laid down in Sec. 48 of the Act for taking accounts of a dissolved partnership].

5. At any time within six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, the minor may give public notice that he has elected *to become* or that he has elected *not to become* a partner in the firm. Such notice shall determine his position as regards the firm. If he *gives no* notice, he shall become a partner of the firm on the expiry of the said six months.

["Public Notice"—The mode of giving public notice is laid down in Section 72 of the Act. In the case of a registered firm : (i) a copy of the notice is to be sent to the Registrar of Firms, and (ii) a copy must be published in the local official Gazette and in at least one vernacular newspaper circulating in the district where the firm has its place or principle place of business. In the case of unregistered firms, only (ii) is necessary.]

[If the minor wants to take advantage of the fact that he had no knowledge of being admitted into the benefits of a partnership, the burden of proving such lack of knowledge is upon him.]

6. The following rules apply when a minor elects to become a partner or becomes a partner by failing to notify otherwise :

- (a) His rights and liabilities as a minor continue up to the date on which he becomes a partner, but he also becomes *personally liable* to third parties for all acts of the firm done since he was admitted to the benefits of partnership.
- (b) His share in the property and profits of the firm shall be the share to which he was entitled as a minor.

7. The following rules apply when the minor elects not to become a partner :

- (a) His rights and liabilities continue to be those of a minor up to the date on which he gives public notice.
- (b) His share is not liable for any acts of the firm done after the date of the notice.
- (c) He is entitled to use the partners for his share of the property and profits of the firm.

RECONSTITUTION OF A FIRM

Incoming and Outgoing Partners

The constitution of a firm may be changed by the introduction of a new partner ; death, retirement, insolvency and expulsion of a partner ; or by the transfer of a partner's share to an outsider. All these are included within the term Reconstitution of a firm. Upon reconstitution, the rights and liabilities of the incoming and outgoing partners have to be determined. The provisions of the Partnership Act regarding such cases are stated below.

Introduction of a New Partner (Sec. 31)

A new partner can be introduced only with the consent of all the partners. The share of profits which a new partner is entitled to get is fixed at the time he becomes a partner. He is liable for all the debts of the firm after the date of his admission but he is not responsible for any act of the firm done before he became a partner, unless otherwise agreed. These rules do not apply to a minor becoming a partner under Section 30.

Retirement of a Partner (Sec. 32)

A new partner may retire (a) with the consent of all the other partners, (b) in accordance with the terms of the agreement of partnership, or (c) where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.

A retire partner may be discharged from any liability to any third party for acts of the firm done before his retirement if it is so agreed with the third party and the partners of the reconstituted firm. Such agreement may be implied from the course of dealing between the firm and the third party after he had knowledge of the retirement.

The retired partner continues to remain liable to third parties for all acts of the firm until public notice is given of the retirement. Such notice may be given either by the retired partner or by any member of the reconstituted firm.

[The mode of giving Public Notice is laid down in Sec. 72 of the Act. See p. 272]

A retired partner is not liable for the debts of the firm incurred after public notice of his retirement.

Expulsion of a Partner (Sec. 33)

A partner can be expelled only when the following conditions are fulfilled :

- (a) When the contract of partnership contains a provision for expulsion under stated circumstances.
- (b) The power to expel is exercised in good faith by the majority of the partners.
- (c) The expelled partner has been given notice of the charges against him and has been given an opportunity to answer the charges. *Carmichael v. Evans*.¹

The liabilities of an expelled partner for the debts of the firm are the same as those of a retired partner.

Insolvency of a Partner (Sec. 34)

When the partner of a firm is adjudicated an insolvent, he ceases to be a partner from the date on which the order of adjudication was passed by the court. Whether the firm is thereby dissolved or not depends on the terms of the agreement between the partners.

If the firm is dissolved, the usual procedure in case of dissolution is adopted (*i.e.*, the assets are collected and the debts and charges are paid). If any balance remains due to the insolvent out of the assets, the same is handed over to the Official Assignee or the Official Receiver.

If the firm is not dissolved by the insolvency the share of the insolvent partner vests in the Official Assignee or the Official Receiver. Thereafter the estate of the insolvent partner is not liable for any act of the firm and the firm is not liable for any act of the insolvent done after the date of the order of adjudication.

¹ (1904) 1 Ch. 486

Death of Partner (Sec. 35)

Ordinarily the death of a partner has the effect of dissolving the firm. But it is competent for the partners to agree that the firm will continue to exist even after the death of partner.

Where the firm is not dissolved by the death of a partner, the estate of the deceased partner is not liable for any act of the firm done after his death.

Transfer of a Partner's Interest (Sec. 29)

A partner may transfer his interest in a firm to an outsider. The transfer may be absolute or partial. The interest may also be sold to a third party in execution of a decree of a court. The transferee in such cases gets very limited rights over the firm. His rights can be described as follows :

1. The transferee does not become a partner of the firm. He cannot interfere in the conduct of the business or require accounts or inspect the books of the firm.

2. The transferee is entitled to receive the share of profits of the transferring partner. But he has to accept the account of profits agreed to by the partners.

3. If the firm is dissolved or if the transferring partner ceases to be a partner, the transferee is entitled, as against the remaining partners, to receive the share of the assets of the firm to which the transferring partner is entitled. For the purpose of ascertaining that share, the transferee is entitled to an account as *from the date of dissolution*.

Sub-Partnership

The transferee of a share of a partner's interest in a firm is sometimes called a Sub-partner and the relationship a Sub-partnership. Suppose that *X*, the owner of $\frac{1}{4}$ share of a firm, transfers $\frac{1}{2}$ of his share to *Y*. The transferee *Y* becomes a sub-partner. The position of a sub-partner is the same as that of a transferee of a partner's interest. (See above)

RIGHTS OF AN OUTGOING PARTNER

1. Restraint of trade

By a special agreement among the partners, an outgoing partner may be prevented from carrying on a similar business within a specified period or within specified local limits. Such

an agreement is valid and is an exception to the general rule that agreements in restraint of trade are void.—Sec. 36(2).

2. To carry on competing business

If there is no restraining agreement, an outgoing partner may carry on a business competing with that of the firm and he may advertise such business. But, subject to contract to the contrary, he may not (a) use the firm name, (b) represent himself as carrying on the business of the firm, or (c) solicit the custom of persons who were dealing with the firm before he ceased to be a partner.—Sec. 36(1).

3. To share subsequent profits

Where any member of a firm has died or otherwise ceased to be a partner, and the surviving or continuing partners carry on the business of the firm with the property of the firm without any final settlement of accounts as between them and the outgoing partner or his estate, the share of the profit of the outgoing partner or his representatives is to be decided in the following way :

- (i) he or his estate is entitled *at the option of himself or his representatives* to such share of the profits made since he ceased to be a partner (as may be attributable to the use of his share of the property of the firm) or,
- (ii) to interest at the rate of six per cent per annum on the amount of his share capital in the property of the firm.

But this rule will be followed only if by contract between the partners an option is given to surviving or continuing partners to purchase the interest of a deceased or outgoing partner. And, if the option is duly exercised, the estate of the deceased partner, or the outgoing partner or his estate, as the case may be, will not be entitled to any further or other share of profits. But, if any partner assuming to act in exercise of the option does not abide in all material respects by the terms thereof, he is liable to account under the foregoing provisions of this section.—Sec. 37.

4. Revocation of continuing guarantee by change in firm

A continuing guarantee given to a firm or to a third party in respect of the transactions of a firm is, in the absence of agreement to the contrary, revoked as to future transactions from the date of any change in the constitution of the firm.—Sec. 38.

EXERCISES

1. Can a partner of a firm be considered agent of other partners ?
(Pages 264-266)
2. What are rights and liabilities of a minor who has been admitted to the benefits of a partnership ?
(Pages 271-273)
3. Can a minor become a member of a partnership firm? If so, discuss his rights and liabilities.
(Pages 271-273)
4. What are the laws regarding personal profits earned by partners ?
(Page 264)
5. State the rights regarding an outgoing partner (i) to carry on competing business and (ii) to share in the subsequent profits.
(Pages 275-277)
6. What liabilities, if any, has a person who holds out as a partner in regard to his relations with the public ?
(Pages 276-277)
7. Discuss the rights and liabilities of partners of a firm.
(Pages 267-269)
8. Define partnership. What do you understand by implied authority of a partner ? Are there any limitations on implied authority ?
(Pages 248, 264-266)
9. What are the consequences of insolvency of a partner ?
(Pages 274-275)
10. State the law of relations of partners to one another.
(Pages 262-263)
11. What are the rights and duties of partners as between themselves ?
(Page 263)
12. What are the duties of a partner ?
(Page 269)
13. What are the rights of a partner as against the other partners of a firm ?
(Pages 268-269)
14. Objective questions. Give short answers.
 - (i) "A partner may transfer his interest in a firm by sale, mortgage or charge". True or False ?
(Page 275)
 - (ii) State the procedure to be followed by a minor in a partnership firm in order to give public notice on attaining his majority.
(Pages 271-272)
 - (iii) Mention the authority to whom intimation will be sent in case a minor partner wants to continue as a partner on attaining majority.
(Pages 271-272)

★ What is Dissolution ?

Dissolution of a firm means the end of a firm by the break up of the relation of partnership between *all* the partners. Dissolution is to be distinguished from reconstitution of a firm. In the latter case, the partnership continues but there is a change in the number of partners. In the former case there is complete severance of jural relations between all the partners.

THE GROUNDS OF DISSOLUTION

A firm may be dissolved on any of the following grounds :

✓ 1. By Agreement (Sec. 40)

A firm may be dissolved any time with the consent of all the partners of the firm. Partnership is created by contract, it can also be terminated by contract.

✓ 2. Compulsory Dissolution (Sec. 41)

A firm is dissolved—

- (a) by the adjudication of all the partners or of all the partners but one as insolvent, or
- (b) by the happening of any event which makes the business of the firm unlawful.

But if a firm has more than one undertaking, some of which become unlawful and some remain lawful, the firm may continue to carry on the lawful undertakings.

✓ 3. On the happening of Certain Contingencies (Sec. 42)

Subject to contract between the partners, a firm is dissolved—

- (a) if constituted for a fixed term, by the expiry of that term ;
- (b) if constituted to carry out one or more adventures or undertakings, by the completion thereof ;
- (c) by the death of a partner ; and
- (d) by the adjudication of a partner as an insolvent.

The partnership agreement may provide that the firm will not be dissolved in any of the aforementioned cases. Such a provision is valid.

4. By notice (Sec. 43)

Where the partnership is at will, the firm may be dissolved by any partner giving notice in writing to all other partners of his intention to dissolve the firm. The firm is dissolved as from the date mentioned in the notice as the date of dissolution, or, if no date is mentioned, as from the date of communication of the notice.

5. Dissolution by the Court (Sec. 44)

At the suit of a partner, the court may dissolve a firm on any one of the following grounds :

(a) Insanity

If a partner *has become of unsound mind*. The suit for dissolution in this case can be filed by the next friend of the insane partner or by any other partner.

(b) Permanent Incapacity

If a partner becomes permanently incapable of performing his duties as a partner. *Permanent incapacity* may arise from an incurable illness like paralysis. In *Whitwell v. Arthur*¹ a partner was attacked with paralysis which on medical evidence was found to be curable. Dissolution was not granted.

The suit for dissolution in this case must be brought by a partner other than the person who has become incapable.

(c) Guilty Conduct

If a partner is *guilty of conduct* which is likely to affect prejudicially the carrying on of the business, regard being had to the nature of the business. To justify dissolution under this clause the misconduct must be of such a nature as to affect adversely the particular business concerned. Misconduct which affects one business may not affect another business. Therefore the court must take into account the nature of business that the partnership carries on. The test generally applied is whether the act complained of is likely to affect the *credit* and *custom* of the particular business.

The suit for dissolution on the ground mentioned in this clause must be brought by a partner other than the partner who is guilty of misconduct.

¹ (1865) 35 Beav. 140

Examples :

- (i) The partner of a firm of solicitors was convicted of travelling on the railway without a ticket and with intent to defraud. It was held that since the conviction was for dishonesty, it was likely to be detrimental to the partnership business and dissolution was granted. *Carmichael v. Evans*.¹
- (ii) In English cases dissolution has been granted for the following acts—conviction for an offence involving moral turpitude; misapplication of the monies of a client by a solicitor; adultery by a doctor; speculation in shares by the partner of a regular mercantile business.²

(d) Persistent Breach of Agreement

If a partner wilfully and persistently commits *breach of the partnership agreement* regarding management or otherwise conducts himself in such a way that it is not reasonably practicable for the other partners to carry on business in partnership with him.

The suit for dissolution in cases coming under this clause is to be brought by a partner other than the partner guilty of the acts complained of.

Example :

In English cases the following acts have been held to be sufficient ground for directing dissolution; refusing to account for monies received; taking away the books of account; the application of monies belonging to the firm in payment of his private debts; continued quarrelling, and such a state of animosity as precludes reasonable hopes of reconciliation and friendly co-operation.³

(e) Transfer of whole Interest

If a partner has transferred the *whole of his interest* in the firm to an outsider or has allowed his interest to be sold in execution of a decree.

Transfer of a partner's interest does not by itself dissolve the firm. But the other partners may ask the court to dissolve the firm if such a transfer occurs. Only the transfer of the entire interest of the partner gives ground for action. The transfer of a part of the partner's interest does not provide any ground for dissolution. The formation of a sub-partnership is, therefore, not a ground for dissolution.

¹ (1904) 1 Ch. 486

² Lindley, (9th edition), p. 690

³ Lindley, p. 691

The suit for dissolution on the ground mentioned in this clause must be brought by a partner other than the partner whose interest has been transferred or sold.

(f) Loss

If the business of the firm cannot be carried on except at a *loss*. Since the motive, with which partnerships are formed, is acquisition of gain, the courts have been given discretion to dissolve a firm in cases where it is impossible to make profits.

(g) Just and Equitable clause

If the court considers it *just and equitable* to dissolve the firm. This clause gives a discretionary power to the court to dissolve a firm in cases which do not come within any of the foregoing clauses but which are considered to be fit and proper cases for dissolution.

Example :

Dissolution has been granted under the clause in the following cases—deadlock in the management; partners not on speaking terms; disappearance of the substratum of the business.

THE CONSEQUENCES OF DISSOLUTION

1. Acts done after dissolution

Until public notice is given of the dissolution, the partners continue to be liable to third parties for all acts done in connection with the affairs of the firm.—Sec. 45.

2. Winding up

Upon dissolution, the firm comes to an end and its affairs must be wound up according to the rules laid down in the Act. The assets of the firm must be collected and applied in payment of the debts and liabilities. The surplus, if any, is to be distributed among the partners according to their rights. The deficit, if any, is to be paid by the partners according to the terms of the agreement of partnership.—Sec. 46.

3. Continuing Authority of Partners for Purpose of Winding up

Notwithstanding the dissolution, the authority of each partner to bind the firm (and the other mutual rights and obligations of the partners) continue (*i*) so far as may be necessary to wind

up the affairs of the firm, and (ii) to complete transactions begun but unfinished at the time of the dissolution.

After dissolution, a partner cannot bind the firm in any case other than the two cases mentioned above. A partner who has been adjudicated insolvent cannot bind the firm in any case after the order of adjudication has been passed.—Sec. 47.

4. Personal Profits earned after Dissolution

If any partner earns any profit from any transaction connected with the firm after its dissolution, he must share it with the other partners and the legal representatives of the deceased partners.—Sec. 50.

5. Return of Premium

Where a partner has paid a premium on entering into partnership for a fixed term, and the firm is dissolved before the expiration of that term otherwise than by the death of a partner, he shall be entitled to repayment of the premium or of such part thereof as may be reasonable, regard being had to the terms upon which he became a partner and to the length of time during which he was a partner, unless—

- (a) the dissolution is mainly due to his own misconduct, or
- (b) the dissolution is in pursuance of an agreement containing no provision for the return of the premium or any part of it.—Sec. 51.

6. Rescission for Fraud or Misrepresentation

Where a contract creating partnership is rescinded on the ground of the fraud or misrepresentation of any of the parties thereto, the party entitled to rescind is, without prejudice to any other right entitled—

- (a) to a lien on the assets of the firm remaining after the debts of the firm have been paid, for any sum paid by him for the purchase of a share in the firm and for any capital contributed by him ;
- (b) to rank as creditor of the firm in respect of any payment made by him towards the debts of the firm ; and
- (c) to be indemnified by the partner or partners guilty of the fraud or misrepresentation against all the debts for the firm.—Sec. 52.

7. Right to Restrain from use of Firm-name or Firm Property

After a firm is dissolved, every partner of his representative may, in the absence of a contract between the partners to the contrary, restrain any other partner or his representative from carrying on a similar business in the firm name or from using any of the property of the firm for his own benefit, until the affairs of the firm have been completely wound up. But a partner who has purchased the goodwill of the firm, cannot be restrained from using the firm name.—Sec. 53.

8. Agreements in Restraint of Trade

Partners may, upon or in anticipation of the dissolution of a firm, make an agreement that some or all of them will not carry on a business similar to that of the firm within a specified period or within specified local limits. Such an agreement will not be void on the ground of restraint of trade.—Sec. 54.

MODE OF SETTLING ACCOUNTS UPON DISSOLUTION

The settlement of accounts between partners upon dissolution is to take place in the manner provided for in the partnership agreement. Subject to such agreement, the Partnership Act lays down the following rules regarding the matter :

1. Losses are to be paid first out of profits, next out of capital, and, lastly if necessary by the partners individually in the proportions in which they were entitled to share profits. Capital deficiency is to be treated as loss and is to be borne by the partners in proportion to the profit sharing ratio.—Sec. 48 (a).

Examples :

(i) *P* and *Q* were partners. *P* contributed £1929 and *Q* £29 to the capital. It was agreed that the profits and losses of the business were to be shared equally. Upon dissolution the losses amounted £14,000. Held, whatever may be the capital contributions of the partners, the losses must be shared equally. *Nowell v. Nowell*.¹

(ii) *A*, *B* & *C* are three partners in a firm. Their capital contributions are, *A*—Rs. 10,000, *B*—Rs. 5,000, *C*—Rs. 1,000. They share profits equally. Upon dissolution it is found that realisable assets are—Rs. 20,000 and debts payable are—Rs. 13,000.

From the above it follows that available assets are Rs. 7,000.

¹ (1869) 7 Eq. 538

Therefore capital deficiency is Rs. 9,000. Each partner must contribute Rs. 3,000 towards capital deficiency, because they have equal shares in profits.

The final position is that *A* is to pay Rs. 3,000 and receive Rs. 10,000; *B* is to pay Rs. 3,000 and receive Rs. 5,000; *C* is to pay Rs. 3,000 and receive Rs. 1,000.

C therefore contributes Rs. 2,000. This contribution together with the available assets Rs. 7,000, amounts to Rs. 9,000. Out of this *A* gets Rs. 7,000 and *B* gets Rs. 2,000.

2. The assets of the firm including any sums contributed by the partners to make up deficiencies of capital, shall be applied in the following manner and order :

- (a) in paying the debts of the firm to third parties ;
- (b) in paying to each partner ratably what is due to him from the firm for advances as distinguished from capital ;
- (c) in paying to each partner ratably what is due to him on account of capital ; and
- (d) the residue, if any, shall be divided among the partners in the proportions in which they were entitled to share profits.—Sec. 48(b).

3. If a partner becomes insolvent or otherwise cannot pay his share of the contribution, the capital of the solvent partners cannot be returned in full. In this case, the solvent partners must share ratably the available assets (including their own contribution to the capital deficiency), i.e., the available assets will be distributed in proportion to their original capital. This result follows from the language of sub-section (ii) of Section 48(b). In the English case, *Garner v. Murray*,¹ a similar rule is laid down.

Example :

In the example given above if *C* is insolvent, he will pay nothing. The available assets will be Rs. 7,000 *plus* Rs. 6,000 (the contributions of *A* and *B*) i.e., in all Rs. 13,000. The amount will be shared between *A* and *B* in the ratio of 2 : 1 which is the ratio between their capital.

4. Payment of the Firm Debts and of Separate Debts

Where there are joint debts from the firm, and also separate debts due from any partner, the property of the firm shall be applied in the first instance in payment of debt of the firm, and

¹ (1904) 73 L. J. Ch. 66

if there is any surplus, then the share of each partner shall be applied in payment of his separate debts or paid to him. The separate property of any partner shall be applied first in the payment of his separate debts, and the surplus (if any) in the payment of the debts of the firm.—Sec. 49.

SALE OF GOODWILL AFTER DISSOLUTION

Goodwill is a part of the property of the firm. (See p. 257). Section 55 of the Partnership Act provides that in settling the accounts of a firm after dissolution, the goodwill shall, subject to contract between the partners, be included in the assets and it may be sold either separately or along with other property of the firm.

Rights of Buyer and Seller of Goodwill

The purchaser of the goodwill gets the exclusive rights to represent himself as carrying on the old business. He also gets the exclusive right to use the name of the old firm.

But the sellers of the goodwill (*i.e.*, the partners of the firm) or any one or more of them may carry on a business competing with that of the buyer and may advertise the business. This right is given by Section 55(2) of the Partnership Act because of the general principle that a man may adopt any trade, occupation, or profession that he chooses.

To protect the buyer of the goodwill in case of competition with the partners of the old firm. Section 55(2) provides that such a partner or partners cannot (a) use the firm name, (b) represent himself as carrying on the business of the firm, or (c) solicit the custom of persons who were dealing with the firm before its dissolution (unless there is an agreement with the buyer of goodwill permitting any of these).

Agreements in Restraint of Trade

The buyer of the goodwill may further protect himself from the competition of the old partners by entering into an agreement with any partner prohibiting such partner from carrying on any business similar to that of the firm within a specified period or within specified local limits. Such an agreement shall be valid if the restrictions imposed are reasonable (notwithstanding the fact that the agreement may amount to restraint of trade).—Sec. 55(3).

EXERCISES

1. What is meant by "dissolution of a firm"? What are the rights and obligations of partners after the dissolution of partnership?
(Pages 278, 281-283)
2. What are the grounds of dissolution of a partnership firm?
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BOOK IV

THE LAW RELATING TO NEGOTIABLE INSTRUMENTS

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NEGOTIABLE INSTRUMENTS

Documents of a certain type, used in commercial transactions and monetary dealings, are called Negotiable Instruments.

"Negotiable" means transferable by delivery and "instrument" means a written document by which a right is created in favour of some person. The term negotiable instrument, literally means "a document transferable by delivery". In English mercantile law, the term is used in this wide sense. Thus a negotiable instrument is one in which, "the true owner could transfer, the contract or engagement contained therein by simple delivery of the instrument".

In India the term negotiable instrument is used in a *restricted sense*. The law relating to such instruments is contained in the Negotiable Instruments Act of 1881 which states that, "A Negotiable Instrument means a promissory note, bill of exchange or cheque payable either to order or to bearer".—Sec. 13(1). Thus in India only three kinds of instruments are recognised as negotiable instruments *viz.*, promissory notes, bills of exchange and cheques.

Bills of lading, dividend warrants, *Hundis* and similar other documents are not covered by the Negotiable Instruments Act. But as these documents are, in various respects, analogous to notes and bills, the rules laid down in the Act relating to negotiable instruments are, under certain circumstances, applied to them.

The Negotiable Instruments Act is based on English law. It is more or less a codification of the English common law rules on the subject.

PROMISSORY NOTE (PRO-NOTE OR HAND NOTE)

Definition

"A promissory note is an instrument in writing (not being a bank note or a currency note) containing an unconditional undertaking signed by the maker, to pay a certain sum of money

only to, or to order of a certain person, or to the bearer of the instrument.”—Sec. 4.

The person who makes the promise to pay is called the *Maker*. He is the debtor and must sign the instrument. The person who will get the money (the creditor) is called *Payee*.

Essential Elements

From the definition given in the Act it is apparent that the following essential requirements must be fulfilled by an instrument intended to be a promissory note :

1. The instrument must be *in writing*.
2. The instrument *must be signed* by the maker of it. A signature in pencil or by a rubber stamp of facsimile is good. An illiterate person may use a mark or cross instead of writing out his name. The signature or mark may be placed anywhere on the instrument, not necessarily at the bottom. It may be at the top or at the back of the instrument. (Date.—See p. 304)
3. The instrument must contain a *promise to pay*. The promise to pay must be express. It cannot be implied or inferred. A mere acknowledgement of indebtedness is not enough.

Example :

“Mr. Sen I. O. U. Rs. 1000”. Here I. O. U. stands for, “I owe you.” This is only an admission of indebtedness. There is no promise to pay and therefore the instrument is not a promissory note. *Laxmibai v. Raghunath*.¹

4. The promise to pay must be *unconditional*. If the promise to pay is coupled with a condition it is not a promissory note.

Examples :

- (i) “I promise to pay B Rs. 300 first deducting thereout any money which he may owe me.”
 - (ii) “I promise to pay B Rs. 500 on D’s death provided D leaves me enough to pay this sum.”
 - (iii) “I promise to pay B Rs. 500, seven days after D’s marriage.”
- These instruments are not promissory notes because the promise to pay is coupled with a condition. “I promise to pay B Rs. 500 on demand” is a note with an unconditional promise.

Stipulations of the following type are *not* regarded as conditions : promise to pay at a specified time or at a specified place or after the occurrence of an event which is certain to occur, or payment after calculating interest at a certain rate.

¹ 29 Bom. 373

Example :

"I promise to pay B Rs. 500 on 1st April, 1980." "I promise to pay B Rs. 500 on demand at Bombay." "I promise to pay B Rs. 500 seven days after the death of C." These are all valid promissory notes.

5. The *maker* of the instrument must be *certain and definite*.

6. A Promissory note must be *stamped* according to the Indian Stamp Act.

7. The sum of *money* to be paid must be *certain*.

Examples :

(i) "I promise to pay B Rs. 500 and all other sums which shall be due to him."

(ii) "I promise to pay some money on the occasion of his marriage." The above instruments are not promissory notes because the sum of money to be paid is uncertain.

8. The payment must be in the *legal tender money* of India. A promise to pay certain quantity of goods or a certain amount of foreign money is not a promissory note.

9. The money must be payable to a *definite person* or according to his order. A note is valid even if the payee is misnamed or is indicated by his official designation only. Evidence is admissible to show who the payee really is

Example :

A document, if it otherwise satisfies the definition of promissory note, will not cease to be so merely because the words "to order" are absent in the document. *K. A. Lona etc. v. M's Dada Haji Ibrahim Hilari & Co. and others.*¹

10. The promissory note may be payable *on demand* or after a certain *definite period* of time.

11. The Reserve Bank Act *prohibits* the creation of a promissory note payable on demand to the bearer of the note, except by the Reserve Bank and the Government of India. (See p. 305)

Specimens of Promissory Notes

An instrument is valid as a promissory note if it is so drafted as to satisfy the essential requirements of a promissory note. Subject to this condition the parties may use any form desired. Some typical forms are given below.

(i) "On demand I promise to pay A. B. of No. 37, College Street

¹ AIR (1981) Kerela 86

or order Rs. 1000 (Rupees one thousand only) with interest at 8 per cent per annum, for value received in cash." Sd/X. Y.

Date _____

Address _____

(ii) "One year after date I promise to pay *C.D.* or order Rs. 1000."

Sd/X. Y

Date _____

(iii) "On demand I promise to pay *B* or order Rs. 500."—Sd/X. Y.

(iv) "I acknowledge myself to be indebted to *B* in Rs. 1000 to be paid on demand, for value received."—Sd/X. Y.

BILL OF EXCHANGE

Definition

"A Bill of Exchange is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of a certain person or to the bearer of the instrument."—Sec. 5.

The maker of a bill of exchange is called the *Drawer*. The person who is directed to pay is called the *Drawee*. The person who will receive the money is called the *Payee*. When the payee has custody of the bill, he is called the *Holder*. It is the holder's duty to present the bill to the drawee for his acceptance. The drawee signifies his acceptance by signing on the bill. After such signature the drawee becomes the *Acceptor*.

In a bill of exchange sometimes the name of another person is mentioned as the person who will accept the bill if the original drawee does not accept it. Such a person is called the *Drawee in case of Need*.

Essential Elements of a Bill of Exchange

A Bill of Exchange to be valid must fulfil the following requirements :

1. The instrument must be in *writing*.
2. The instrument must be *signed* by the drawer. (Date—See p. 304)
3. The instrument must contain an *order to pay*, which is express and *unconditional*.
4. The drawer, drawee and the payee must be *certain and definite individuals*.
5. The amount of money to be paid must be *certain*.

6. The payment must be in the *legal tender money* of India.
7. The money must be payable to a *definite person* or according to *his order*.
8. A bill of exchange must be properly *stamped*.
9. The bill may be made payable on demand or after a definite period of time. But no one except the Reserve Bank and the Government of India can draw a bill payable on demand to the bearer of the bill (See p. 305)

Comments : The requirements are more or less the same as in promissory notes and are subject to similar conditions as regards signature etc.

If any of the requirements mentioned above is not fulfilled, the document is not a bill of exchange.

Examples :

- (i) "Please let the bearer have seven pounds and oblige." This is not a bill of exchange because it is a request and not an order. *Little v. Slackford*.¹
- (ii) "We hereby authorise you to pay on our account to the order of X, £600." This is not a bill of exchange because it is not an order to pay. *Hamilton v. Spottiswoode*.²

Specimens of Bills of Exchange

A bill of exchange may be drawn in any form, provided the requirements mentioned above are fulfilled.

Examples :

To A. B.

- (i) Six months after date pay P. Q. or order Rs. 1000

Sd/ X. Y.

Date _____

Stamp—

- (ii) One month after sight pay to P. Q or bearer (or order) Rs. 500.

Sd/ X. Y.

Date _____

Stamp—

Differences between a promissory note and a bill of exchange

1. Number of parties

In a promissory note there are two parties—the maker and the payee. In a bill of exchange there are three parties—the drawer, the drawee and the payee.

¹ (1828) M & W 171

² (1849) 4 Ex. 200

2. Promise and order

In a promissory note there is a *promise* to pay. In a bill of exchange there is an *order* to pay.

3. Acceptance

A promissory note is signed by the person liable to pay; therefore, no acceptance is necessary. A bill of exchange except in certain cases, requires to be accepted by the drawee before it is binding upon him.

4. Liability

The maker of promissory note is primarily liable on the instrument. The drawer of a bill is liable only when the drawee does not accept the instrument or pay the money due.

5. Relationship

In a Promissory Note the maker stands in an immediate relationship to the payee. In a Bill of Exchange a drawee stands in immediate relationship with the acceptor and not to the payee.

"The drawer of a bill of exchange stands in immediate relation with the acceptor. The maker of a promissory note, bill of exchange or cheque stands in immediate relation with the payee and the indorser with his indorsee. Other signers may by agreement stand in immediate relation with a holder".—Sec 44, Explanation.

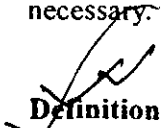
6. Notice

In case of non-payment or non-acceptance of a bill, notice must be given to all persons liable to pay. This is called the notice of dishonour. In the case of a promissory note, notice of dishonour to the maker is not necessary.

7. Protest

In case of dishonour, a foreign bill must be protested if such a protest is necessary according to law of the place where it is drawn. In case of dishonour of a promissory note, protest is not necessary.

CHEQUE



Definition

A cheque is a bill of exchange drawn upon a specified banker and payable on demand.—Sec. 6.

Essential features of Cheque

1. A cheque must fulfil all the essential requirements of a bill of exchange.

2. A cheque may be payable to bearer or to order but in either case it must be payable on demand.

3. The banker named must pay it when it is presented for payment to him at his office during the usual office hours, provided the cheque is validly drawn and the drawer has sufficient funds to his credit.

4. Bill and notes may be written entirely by hand. There is no legal bar to cheques being hand-written. Usually however, banks provide their customers with printed cheque forms which are filled up and signed by the drawer.

5. The signature must tally with the specimen signature of the drawer kept in the bank.

6. A cheque must be dated. A banker is entitled to refuse to pay a cheque which is not dated. A cheque becomes due for payment on the date specified on it.

7. A cheque drawn with a future date is valid but it is payable on and after the date specified. Such cheques are called post-dated cheques.

8. A cheque may be presented for payment after the due date but if there is too much delay the bank is entitled to consider the circumstance suspicious and refuse to honour the cheque. The period after which a cheque is considered too old or stale varies according to custom from place to place. It is usually six months in Indian cities.

9. In some certain circumstances the bank is not bound to pay the cheques. (See ch. 6)

The usual form of a cheque

Cheques are usually printed in the form shown below.

Example :

To X. Y. Bank

Date _____

Pay A. B. or order (or bearer) the sum of Rupees Five Hundred only. Rs. 500/-

Sd./C. D.

Different types of cheques

There are two types of cheques : Open Cheques and Crossed Cheques. An open cheque is one which is payable in cash across the counter of the bank.

A crossed cheque is one which has two short parallel lines marked across its face. A cheque marked in this fashion can be paid only to another banker. Naturally it will not be paid across the counter. The system of crossing cheques arose by mercantile usage and was later on sanctioned by law. The advantage of crossing is that it reduces the danger of unauthorised persons getting possession of a cheque and cashing it. A crossed cheque can only be cashed through a bank of which the payee of the cheque is a customer.

There are different modes of crossing a cheque. The simplest mode of crossing is to put two parallel lines across the face of the cheque. This is called General Crossing. A cheque crossed generally will be paid to any bank through which it is presented. When the name of bank is written between the parallel lines, it is called Special Crossing. A cheque crossed specially will be paid only when it is presented for collection by the bank named between the parallel lines. Such crossing affords a greater measure of protection against loss.

In addition to general or special crossing, a cheque may contain various remarks written on it, the effect of which is to restrict payment in certain ways. The usual remarks are "Account Payee" and "Not Negotiable."

"Account Payee Only"

The words 'account payee' on a cheque is interpreted as a direction on the banker to credit the proceeds of the cheque to the account of the payee. The negotiation of such cheques is not prohibited, therefore such a cheque remains transferable. Regarding negotiable instruments, there is a general principle that if the cheque is negotiable in its origin, (that is payable to order or bearer), the words "Account Payee Only" prohibiting transfer or indicating an intention not to transfer will not defeat the transferability or negotiability of the cheque. *National Bank v. Silke*.¹

¹ (1891) 1 Q. B. 435

Comments : But although the payee is entitled to transfer the cheque to anyone, the transferee will face difficulty in getting the cheque collected for him. The words "account payee only" suggests that the collecting banker shall receive proceeds of the cheque only for the payee and shall credit only to his account. If the banker goes against this order, he will be guilty of negligence. Hence "account payee only" crossing is not negotiable practically, as banks will collect it on behalf of no person other than the payee.

"Not Negotiable"

A cheque marked with the words "not negotiable" can be transferred or assigned by the payee. The transferee will get the same rights, as regards payment, as the transferor had. But the transferee will not get the rights of a holder in due course.

"A person taking a cheque crossed generally or specially, bearing in either case the words not negotiable, shall not have, and shall not be capable of giving a better title to the cheque than that which the person from whom he took it had."—Sec. 130.

From the language of the Sec. 130 it follows that the transferee of such a cheque takes it at his own risk. *Great Western Ry. Co. v. London and County Banking Co.*¹

See also the 'comments' on "Account Payee Only", above.

Certification of Cheques by Banks

In some countries there is a custom of marking a cheque with the words 'good for payment' by the drawee bank (e.g., in U.S.A.). The effect of this practice is that, it cannot be countermanded by the drawer, and the payee is certain of getting the money. It has been held in *Bank of Baroda v. Punjab National Bank*² that the practice of marking or certifying cheques has not been established in India, either by judicial decisions or by statutes. Therefore even if a particular cheque is marked as good, the drawee bank in India may refuse to honour it if there are insufficient funds. By inter-bank agreement, the marking of cheques have been stopped.

Crossing after Issue

Section 125 of the Negotiable Instruments Act provides as follows :

¹ (1901) A.C. 414

² AIR (1944) Privy Council 58

Where a cheque is uncrossed, the holder may cross it generally or specially.

Where a cheque is crossed generally, the holder may cross it specially.

Where a cheque is crossed generally or specially, the holder may add the words, "not negotiable".

Where a cheque is crossed specially, the banker to whom it is crossed specially may again cross it specially to another banker, his agent, for collection.

Who can Cross a Cheque ?

A cheque can be crossed by the Drawer, the Holder and Bank (for collection). The Holder and the Bank can cross the cheque under the circumstances described in Sec. 125. (See above). The Drawer can cross a cheque (generally or specially) *before* issuing it.

Distinction between Bill of Exchange and Cheque

1. A bill of exchange can be drawn upon any person, including a bank. A cheque can be drawn only upon a bank. Thus every cheque is a bill of exchange but every bill of exchange is not a cheque.

2. Except under certain specified circumstances, a bill of exchange requires acceptance. A cheque does not require any acceptance.

3. A cheque is always payable on demand. The acceptor of a bill of exchange is allowed a grace period of three days, after the maturity of the bill, to make the payment.

4. The drawer of a bill is discharged from liability if the bill is not presented to the acceptor for payment at the due time. But the drawer of a cheque is discharged from his liability only if he suffers damage owing to delay in presenting the cheque for payment.

Example :

The holder of a cheque retains it for two months after the due date without attempting to cash it. In the meantime the bank goes into liquidation. Had the cheque been presented for payment earlier it would have been paid. Owing to the undue delay in presentation the drawer has lost his money. He is therefore, not required to pay the holder again. What is undue delay is a question of fact depending on the circumstances of the case.

5. If a bank fails to pay a cheque, it is not necessary to give notice of dishonour to the drawer to make him liable to compensate the payee. In the case of bills of exchange, it is necessary to give notice of dishonour, except in certain special cases.

6. A cheque may be crossed; there is no provision for crossing a bill.

7. The payment of a cheque may be countermanded by the drawer. The payment of a bill cannot be countermanded.

8. A cheque does not require any stamp. A bill of exchange (except in certain cases) must be stamped.

HOLDER AND HOLDER IN DUE COURSE

Holder

The holder of a negotiable instrument means any person entitled in his own name to the possession thereof and to receive or recover the amount due thereon from the parties thereto.—Sec. 8.

The person legally entitled to receive the money due on the instrument, is called the Holder. Thus clerks or servants having the instrument in their custody are not holders except as agents of the holder. A person who obtains possession of the instrument by illegal means (e.g., theft) is not a holder.

The Holder in due Course

The holder in due course is a particular kind of holder. The holder of a negotiable instrument is called the holder in due course if he satisfies the following conditions.—Sec. 9.

1. He obtained the instrument for valuable consideration.
2. He became holder of the instrument before its maturity, i.e., before the amount mentioned in it became payable.
3. He had no cause to believe that any defect existed in the title of the person from whom he derived his title.

Explanation : From the aforesaid conditions it is clear that a person cannot be a holder in due course if,

- (a) he has obtained the instrument by gift or for an unlawful consideration or by illegal methods;
- (b) if he has obtained the instrument after its maturity; and
- (c) if the circumstances are such that a reasonable person would suspect that the title of the transferor is defective.

Examples :

- (i) An instrument torn to pieces and pasted together is suspicious. *Baxendale v. Bennett*.¹
- (ii) An instrument containing erasures is suspicious.
- (iii) A post dated cheque does not indicate any defective title and therefore the transferee of such a cheque may be a holder in due course if the other conditions are satisfied. *Hithcock v. Edwards*.²
- (iv) If the hundi is payable to order, then, to be holder in due course, it is not necessary for endorsee or payee to show that they obtained hundi for consideration. But if the hundi is payable to bearer then the person possessing the bill will be holder in due course only if he has come in possession of the hundi for consideration. *Madhya Bharat Khadi Sangh v. Baf Kishen Kapoor and others*.³

Rights of a Holder in Due Course

The holder in due course is in a privileged position. Under the law he has the following rights ;

1 *Defects of instruments are eliminated* : The holder in due course gets a good title to the instrument even though the title of the transferor is defective. If *X* obtains an instrument by fraud, he cannot get payment. But if *X* transfers the instrument to *Y* under circumstances which make *Y* a holder in due course, *Y* can sue on the instrument and get the amount due on it. The party liable to pay can take, as against *X*, the defence of fraud but as against *Y* he will not be allowed to take such a defence.

2. *Unauthorised acts of an agents may be valid* : Negotiable instruments are sometimes handed over to *agents for a particular purpose* ; e.g., for collection. If the agent acts beyond his authority and transfers the instrument to a person who satisfies the conditions of a holder in due course, the latter can recover the amount mentioned in the instrument. The party liable to pay cannot plead that the agent acted without authority.

3. *Good title in an inchoate stamped instrument* : The holder in due course gets a good title even though the instrument was originally an inchoate stamped instrument and the transferor completed the instrument for a sum greater than what was intended by the maker.—Sec. 20 (See p. 306)

4. *Liability of prior parties to holder in due course* : Every prior party to a negotiable instrument is liable thereon to a holder in due course until the instrument is duly satisfied.—Sec.36.

¹ (1878) 3 Q.B.D. 525

² (1889) 60 L.T. 636

³ AIR (1979) All 253

5. *Holder can file a suit in his own name* : The holder in due course can file a suit, against the parties liable to pay, in *his own name*.

6. *Acceptance of bill drawn in fictitious name* : The acceptor of a bill exchange drawn in a *fictitious name* and payable according to the drawer's order is liable to pay to the holder in due course, if there is an endorsement on the bill signed in the same hand as the drawer's signature and purporting to be made by the drawer. The acceptor cannot plead, by way of defence, that the bill is drawn in a fictitious name.—Sec. 42.

7. *Unlawful instruments* : Instrument obtained by unlawful means or for unlawful consideration is valid when the possessor or indorsee of the instrument is a holder in due course.—Sec. 58.

8. *Estoppel against denying original validity of instrument* : The maker of a promissory note, the drawer of a bill of exchange or cheque, and the acceptor of a bill of exchange for the honour of the drawer, in a suit thereon by the holder in due course, is not permitted to deny the validity of the instrument as originally made or drawn.—Sec. 120.

But section 120 does not prevent a minor from taking the defence of minority. Also, there is no liability if the signature is forged.

9. *Estoppel against denying capacity of payee to indorse* : No maker of a promissory note and no acceptor of a bill of exchange payable to order shall, in a suit thereon by a holder in due course, be permitted to deny the payee's capacity, at the date of the note or bill, to indorse the same.—Sec. 121.

10. *Estoppel against denying capacity of payee to indorse* : The indorser of a negotiable instrument, in a suit thereon by a subsequent holder, is not permitted to deny the signature or the capacity to contract of any prior party to the instrument.—Sec. 122.

11. *Transferee from a holder in due course* : A holder of a negotiable instrument who derives title from a holder in due course has the rights thereon of that holder in due course.—Sec. 53.

ESSENTIAL FEATURES OF NEGOTIABLE INSTRUMENTS

1. Writing and Signature

Negotiable Instruments must be written and signed by the

parties according to the rules relating to Promissory Notes, Bills of Exchange and Cheques.

2. Money

Negotiable Instruments are payable by legal tender money of India. The liabilities of the parties of Negotiable Instruments are fixed and determined in terms of legal tender money.

3. Negotiability

Negotiable Instruments can be transferred from one person to another by a simple process. In the case of bearer instruments, delivery to the transferee is sufficient. In the case of order instruments two things are required for a valid transfer: indorsement (*i.e.*, signature of the holder) and delivery. An instrument may be made non-transferable by using suitable words, *e.g.*, "Pay to X only."

4. Title

The transferee of a negotiable instrument, when he fulfils certain conditions, is called the holder in due course. The holder in due course gets a good title to the instrument even in cases where the title of the transferor is defective.

5. Notice

It is not necessary to give notice of transfer of a negotiable instrument to the party liable to pay. The transferee can sue in his own name.

6. Presumptions

Certain presumptions apply to all negotiable instruments. *Example* : it is presumed that there is consideration. It is not necessary to write in a promissory note the words "for value received" or similar expressions because the payment of consideration is presumed. The words are usually included to create additional evidence of consideration. (See. p. 340)

7. Special Procedure

A special procedure is provided for suits on promissory notes and bills of exchange. (The procedure is prescribed in the Civil Procedure Code). A decree can be obtained much more quickly than it can be in ordinary suits.

8. Popularity

Negotiable instruments are popular in commercial transactions because of their easy negotiability and quick remedies.

9. Evidence

A document which fails to qualify as a negotiable instrument may nevertheless be used as evidence of the fact of indebtedness.

Example :

P writes to *Q* "I. O. U. Rs. 500". This is not a promissory note but the document can be used as evidence to show that *P* is indebted to *Q* for Rs. 500.

BANKER'S DRAFT

A Bill of Exchange is sometimes called a Draft. A Bill of Exchange drawn by a bank is called a Banker's Draft.

Banker's Drafts are of two kinds : (i) from one office to another of the same bank and (ii) from one bank to another. The first type cannot be payable to a bearer on demand. (Section 31 of Reserve Bank of India Act). Section 131A of the Negotiable Instruments Act provides that a draft drawn by one branch of a bank upon another and payable to order, is governed by the same rules as a crossed cheque.

The characteristic features of Bank Drafts are stated below :

- (i) It is drawn by a banker upon its branch or upon another bank.
- (ii) It is payable on demand.
- (iii) It cannot be payable to bearer.
- (iv) It cannot be stopped or countermanded, except by order of the Court.

From the consideration of S. 85A and S. 10 it follows that :

(1) The relationship between the purchaser of a draft and the bank from which that draft has been purchased, is merely that of the debtor and creditor.

(2) The purchaser of the draft can, therefore, call upon the bank from which he has purchased it to cancel the draft and pay back the money to him at any time before the draft has been delivered to the payee.

(3) If, however, the sole object of the issue of the draft was to transmit the money to another person, a fiduciary relationship is created between the purchaser of the draft and the bank which

issued it, and the purchaser of the draft can countermand payment only if the bank has not actually parted with the money held by it as agent, thus terminating the relationship of principal and agent.

(4) Ordinarily, a bank issuing a draft cannot refuse to pay the amount thereof, unless there was some doubt as to the identity of the person presenting it as being or properly representing the person in whose favour it was drawn, or, in other words, unless there is reasonable ground for disputing the title of the person presenting the draft.

(5) Once the draft has been delivered to the payee or his agent, the purchaser is not entitled to ask the issuing bank to stop payment of the draft to the payee on other grounds such as matters relating to consideration, and the issuing bank can thereafter pay back the amount of the draft to the purchaser of the draft only with consent of the payee. *Tukaram Bapuji Nikam v. The Belgaum Bank Limited*.¹

DIFFERENT TYPES OF BILLS AND NOTES

Joint Notes and Bills

A promissory note or a bill of exchange may be signed by two or more persons jointly. In such cases their liabilities are joint and several.

A negotiable instrument may be payable to two or more persons *jointly*. But it cannot be made payable *to* or *by* two persons *alternatively*. A promissory note signed by *X* or *Y* is valid as against *X* but not as against *Y*.—Sec. 13(2).

Undated Notes and Bills

A negotiable instrument without a date is not necessarily invalid. If the legal requirements for the validity of an instrument are fulfilled, the instrument is valid and the date of execution can be proved by oral or other evidence. The holder in due course can insert the true date on the instrument and such insertion is not considered to be a material alteration.

Bearer Instruments and Order Instruments

A negotiable instrument may be payable to bearer or to the order of a person. An instrument *is payable, to bearer (i)* when

¹ AIR (1976) Bom. 185

it is expressed to be so payable, *i.e.*, when words like the following are used : "Pay bearer" or "Pay *X* or bearer", and (ii) when the last indorsement on the instrument is an indorsement in blank, *i.e.*, when there is an order to pay but the name of the payee is not mentioned.

When an instrument is payable to bearer, any person lawfully in possession of it as holder is entitled to receive the payment due on it. It is not necessary that his name should be written on the instrument. But after the bearer of the instrument is paid, he may be required to acknowledge receipt of the money by signing on the instrument.

A negotiable instrument is *payable to order* in the following cases :

(a) When it is expressed to be payable to order, *e.g.*, "Pay to *X* or order". An instrument payable "to the order of *P*" is payable to *P* or according to his order.

(b) When it is payable to a particular person and the instrument does not contain words prohibiting or restricting transfer. *Example* : "Pay to *Q*". The money is payable to *Q* or according to his order.

To negotiate an instrument payable to order, the signature of the holder is necessary.

A Negotiable Instrument is *payable on demand* in the following cases :

(1) "A promissory note or bill of exchange, in which no time for payment is specified, and a cheque, are payable on demand"—Sec. 19.

(2) A cheque is payable on demand.

(3) A promissory note or a bill of exchange is payable on demand if it is marked, "At sight", or, "On presentment."—Sec. 21.

Notes and Bills Payable to the Bearer on Demand

It is provided by Section 31 of the Reserve Bank of India Act that a promissory note or a bill of exchange *payable to the bearer on demand* can be issued only by the Reserve Bank of India or by the Central Government. The reason is that a bill or note payable to the bearer on demand may circulate from hand to hand and be used as money. Private persons are not allowed to create such documents. If a note or bill, is, by error, made payable to bearer on demand it will be treated by law as payable to order.

Ambiguous Instrument

An instrument which owing to faulty drafting, can be interpreted either as a promissory note or as a bill of exchange, is called an Ambiguous Instrument.

Example :

P signs an instrument which purports to be an order upon *B* to pay a certain sum of money to the order of *P* and negotiates the instrument to *C*. *B* is a non-existent person. The instrument is drafted like a bill but it can be interpreted as a promissory note by *P* because *B* being a non-existent person, *P* is liable to pay to the holder the money due on it.

An ambiguous instrument can be treated either as a bill or as a note, at the option of the holder.—Sec. 17. The holder must decide once for all, whether to treat the instrument as a bill or as a note. After he decides one way he cannot change his mind.

Figures versus Words

If the amount undertaken or ordered to be paid is stated differently in figures and in words, the amount stated in words shall be the amount undertaken or ordered to be paid.—Sec. 18.

Example :

A promissory note is written as follows. "On demand I promise to pay *B* Rs. 200 (Rupees one hundred only)." The note is valid for Rs. 100 only.

Inchoate Stamped Instrument

An inchoate stamped instrument is a paper signed and stamped in accordance with the law relating to negotiable instruments and either wholly blank or containing an incomplete negotiable instrument. When one person gives to another such a document, the latter is *prima facie* entitled to complete the document and make it into a proper negotiable instrument up to the value mentioned in the instrument, if any, or up to the value covered by the stamp affixed on it. The person signing the instrument is liable on it, in the capacity in which he signed it, to any holder in due course for such amount. But persons who are *not holders in due course* cannot recover more than the amount intended to be paid by the signatory.—Sec. 20.

Example :

A signs a promissory note without stating the amount payable, puts stamp on it sufficient to cover Rs. 500 and hands it to his clerk

Y, for making certain purchases, instructing *Y* to put in the value of the purchases as the amount payable. *Y* purchases goods worth Rs. 400 but puts in Rs. 500 in the promissory note. The note is negotiated to *Z*, who takes it for consideration without any notice of the real transaction. *Z* can recover Rs. 500 from *X*. But the shop-keeper is presumably aware of all the circumstances and if he had retained the instrument he would have been entitled to recover only Rs. 400.

Inland Instruments and Foreign Instruments

A negotiable instrument drawn or made in India, and made payable in, or drawn upon any person resident in India is called an Inland Instrument.—Sec.11.

Inland instruments are those which are (i) made or drawn in India, and (ii) payable in India or payable by a person resident in India.

Foreign instruments are those which are (i) made or drawn in India but are payable by a person resident outside India, or (ii) which are made or drawn outside India but are payable in India.—Sec.12.

The distinction between inland instruments and foreign instruments is important because an inland bill need not be protested for dishonour while a foreign bill may have to be protested for dishonour if the law of the place where it is drawn to requires.

Accommodation Bills

An Accommodation Bill is one which has been signed by a person, as drawer, acceptor or indorser, without any consideration, with a view to oblige some other person, *i.e.*, to provide him with funds.

Example :

Y desires to have Rs. 1000 and approaches *X* for the purpose. *X* has no funds in hand but has credit in the market. It is arranged that *Y* will draw a bill on *X* for Rs. 1000, payable after three months, and *X* will accept the bill. *Y* can negotiate the bill and get the money. Before the maturity of the bill *Y* will provide *X* with funds sufficient to meet it. Thus *Y* is able to get the required funds for three months. Such a bill is called an accommodation bill.

The party accommodating (*X*) is called the "Accommodation Party" and the party accommodated (*Y*) is called the "Accommodated Party". Sometimes a party may be accommodated

by indorsing an existing bill without consideration. Such indorser is called the "Backer". Backing a bill gives it value because the endorser is liable to all subsequent parties.

The Negotiable Instruments Act lays down the following rules regarding accommodation bills :

1. The accommodation party is liable to pay the money due on the instrument to any holder for value. Thus in the above example if the bill was endorsed to *P*, *P* can on the maturity of the bill demand the money from *X*. *P* is entitled to receive the money even if he was aware that *X* is an accommodation party, *X* can, of course, recover from *Y* whatever he pays on the bill.—Sec. 43.

2. The accommodated party (*Y* in the example given above) cannot demand the money from the accommodation party (*X*) if he holds the bill till maturity.

3. An accommodation bill can be negotiated after maturity:—Sec. 59.

4. Non-presentment of an accommodation bill to the acceptor for payment does not discharge the drawer.—Sec. 76.

5. In the case of an accommodation bill, failure to give notice of dishonour does not discharge the liability of the prior parties, as it does in the case of other bills.—Sec. 98.

Fictitious Bills

A Bill is called a fictitious bill when the name of the drawer or the payee or both are fictitious.

A fictitious bill, payable to the order of the drawer, and accepted by a genuine person becomes a good bill in the hands, of a holder in due course. The holder in due course is entitled to payment from the acceptor if he can show that the first endorsement on the bill and the signature of the supposed drawer are in the same handwriting. If the holder knew that the drawer's name is fictitious, he cannot claim the money because, in this case, he is not a holder in due course.—Sec. 42.

Bills in Sets

Sometimes a bill of exchange is drawn in several parts, (two, three or four, as the circumstances may require). This is usually done in the case of foreign bills because they have to be sent over long distances and there exists a possibility of loss or delay.

Rules regarding Bills in Sets. Sections 132 and 133 :

1. Each part of a bill in set must be numbered and must contain a provision that it shall continue payable only so long as the others remain unpaid. All the parts together make a set and the whole set constitutes one bill. Each part requires to be stamped.

2. The entire bill is extinguished when one of the parts is extinguished (e.g., when payment is made on one part).

3. When a person accepts or indorses different parts of the bill to different persons, he and the subsequent endorsers of each part are liable on each such part as if it were a separate bill. Therefore the acceptor should only accept one part of the set.

4. As between holders in due course of different parts of the same set he who first acquired title to his part is entitled to the other parts and the money represented by the bill.

Documentary Bills

A documentary bill is one to which documents of title like bills of lading are annexed. When the bill is accepted or paid, the documents of title are handed over. This is the usual practice in foreign trade transactions.

Escrow

A bill delivered conditionally is called Escrow. A bill may be endorsed or delivered to a person subject to the understanding that it will be payable only if certain conditions are fulfilled. *Examples* : a promissory note given as collateral security for raising capital for a partnership ; an instrument left with a person for safe custody.

In the case of an escrow, there is no liability to pay unless the conditions agreed upon are fulfilled. But the rights of a holder in due course are not affected.

REASONABLE TIME

The following rules are laid down in the Act regarding the interpretation of the term "reasonable time" which is used at various places in the Act.

Rule : In determining what is a reasonable time for presentment for acceptance or payment, for giving notice of dishonour and for noting, regard shall be had to the nature of the instrument

and the usual course of dealing with respect to similar instruments; and in calculating such time, public holidays shall be excluded.—Sec. 105.

Reasonable time of giving notice of dishonour : If the holder and the party to whom notice of dishonour is given carry on business or live (as the case may be) in different places, such notice is given within a reasonable time if it is despatched by the next post or on the day next after the day of dishonour.—Sec. 106 (para 1).

If the said parties carry on business or live in the same place, such notice is given within a reasonable time if it is despatched in time to reach its destination on the day next after the day of dishonour.—Sec.106 (Para 2)

Reasonable time for transmitting such notice : A party receiving notice of dishonour, who seeks to enforce his right against a prior party, transmits the notice within a reasonable time if he transmits it within the same time after its receipt as he would have had to give notice if he had been the holder.—Sec. 107.

EXERCISES

1. What are the essential features of a Negotiable Instrument ? Define Negotiable Instruments. Give examples. (Pages 301-303, 289)
2. Distinguish between :
 - (a) A promissory note and a bill of exchange. (Page 293)
 - (b) A bill of exchange and a cheque. (Page 298)
 - (c) Cheque crossed generally & cheque crossed specially. (Pages 295-296)
 - (d) Holder and holder in due course. (Page 299)
 - (e) Cheque and Promissory Note. (Pages 294, 289)
3. Define a promissory note and give some examples of a pro-note. (Pages 289-292)
4. (a) What is a Bill of Exchange ? (b) Who can accept a Bill of Exchange ? (Pages 292-294)
5. What is a Bill of Exchange ? Who is the Drawee in case of need ? (Pages 292-294)
6. (a) What is a Bill of Exchange ? (Page 292)
- (b) State the principal features of a Bill of Exchange and a Promissory Note. (Pages 292-294)
7. State the various ways in which a cheque can be crossed. (Pages 295-297)

8. Define a 'Negotiable Instrument'. What are its characteristic features? What is the effect of crossing a cheque with the words "Not negotiable" written across its face?
(Pages 289, 301-303, 296)
9. What are the rights of a 'holder in due course' of a Negotiable Instrument?
(Page 299)
10. Can a holder of a cheque cross the cheque after it is issued?
(Pages 297-298)
11. Who can cross a cheque?
(Page 298)
12. What is the effect of crossing a cheque with the words—'Not negotiable', or 'Account payee only'?
(Pages 296-297)
13. Write notes on : Banker's Draft; Order Instruments; Ambiguous Instrument; Inchoate Stamped Instrument; Accommodation Bill; Fictitious Bill; Reasonable time.
(Para 4, page 290)
14. Problem : Is the following a Promissory Note?—"I promise to pay *B* Rs. 500 and all other sums which shall be due to him."
15. Objective questions. Give short answers.
 - (i) "A bank note is a promissory note". True or False?
(Pages 289-290)
 - (ii) Who is a drawee in case of need?
(Page 292)
 - (iii) Enumerate two essential features of negotiable instruments.
(Pages 301-302)
 - (iv) What are bills in sets?
(Pages 308-309)

ACCEPTANCE

Definition

A bill of exchange is said to be accepted when the drawee puts his signature on it, thereby acknowledging his liability under the bill. There are certain special cases where a bill need not be accepted. Except in these cases, the drawee is not liable on a bill until and unless he accepts the bill.

Mode of Acceptance

The usual mode of acceptance is writing the word "accepted" across the bill and signing under it. Writing the word "accepted" is not essential but the signature is. The signature may be put anywhere, on the face of the bill or on the back of it.

Types of Acceptance

Acceptance may be either (i) General or (ii) Qualified.

Acceptance is General when it is unconditional and unqualified, i.e., when the drawee accepts liability to pay the amount mentioned in the bill in full, without any condition or limitation. The acceptor may mention the bank where payment will be made. This does not amount to putting a condition.

Acceptance is said to be Qualified when the acceptor puts some conditions on the acceptance. *Examples* : acceptance for an amount less than that mentioned in the bill ; stipulating a place of payment other than that mentioned in the bill etc.

A qualified acceptance may be refused by the holder. He can in such a case treat the bill as dishonoured by non-acceptance and take legal steps to recover his dues from the parties liable. The holder may, if he chooses, accept qualified acceptance. The acceptor thereupon becomes liable only to the extent, and subject to the conditions, mentioned in the qualified acceptance. If a qualified acceptance is accepted, all persons who were parties to the bill prior to such acceptance are discharged from their liabilities under the bill, excepting those if any, who consent to such acceptance.

Presentment for Acceptance—by whom ?

Acceptance can be demanded by the holder or his agent.

When Acceptance is not necessary

Acceptance is not necessary in the case of bills of exchange payable on demand or at sight, unless in any such bill it is specially mentioned that it is to be accepted before payment. All other bills require acceptance.

The Presentment for Acceptance**The Time and Place of Presentment (Sec. 61)**

A Bill which requires to be accepted must be presented for acceptance before the drawee or his authorised agent.

Where acceptance is obligatory, it must be made within reasonable time. It must be within business day. If a bill is directed to the drawee at a particular place, it must be presented at that place. When authorised by agreement or usage, a presentment through the post office by a registered letter is sufficient.

The document must be presented for acceptance before the date of payment (before maturity) and within a reasonable time after it is drawn.

If the drawee after a reasonable search cannot be found, the bill can be treated as dishonoured.

If a bill, which requires acceptance, *is not* presented for acceptance in accordance with rules mentioned above, the drawer and all indorsers are discharged from their liability to the holder.

Drawee's time for deliberation : The drawee is not required to accept a bill immediately on presentation. He is entitled to have 48 hours time to think over it.—Sec. 63. After the 48 hours are over he must return the bill to the holder, with, or without acceptance as the case may be. If during his custody of the bill, it is mutilated, lost or destroyed, he must compensate the holder. If the holder allows the drawee more than 48 hours for deliberation, all prior parties to the bill are discharged from their liabilities under the bill.

Negotiable Instruments must be shown

Before acceptance and payment of a negotiable instrument, the person liable to pay is entitled to see the instrument.—Sec. 81.

When Presentment for Acceptance is not necessary

Presentment for acceptance is not necessary (*i.e.*, excused) in the following cases :

1. When after a reasonable search the drawee cannot be found.—Sec. 61.
2. When the drawee is insolvent or dead.—Sec. 75.
3. When the bill is drawn on a non-existing or fictitious person or on a person who is incapable of entering into contracts (*e.g.*, a minor or a lunatic).—Sec. 91.

Acceptance—to Whom ? Who can accept a bill ?

Only the following persons can accept a bill of exchange :

1. The drawee of the bill.
2. The drawee in case of need.
3. The legal representative, when the drawee is dead.—Sec. 75
4. The Official Assignee or Official Receiver, when the drawee has become involvement.—Sec. 75.
5. *Acceptance by several drawees not partners* : Where there are several drawees of a bill of exchange who are not partners, each of them can accept it for himself, but none of them can accept it for another without his authority.—Sec. 34.
6. A bill may be accepted by a person for the honour of the drawee. This is known as acceptance for honour. This is the only case where a bill may be accepted by a stranger to the instrument. (See p. 349)

Dishonour by non-acceptance

A bill of exchange is said to be dishonoured by non-acceptance when the drawees of one of several drawees not being partners, makes default in acceptance upon being duly required to accept the bill, or where presentment is excused and the bill is not accepted.

When the drawee is incompetent to contract or the acceptance is qualified, the bill may be treated as dishonoured.—Sec. 91.

The effect of non-presentment

Where presentment must be made (*i.e.*, if it is compulsory) and it is not presented, "no party thereto is liable thereon to the person making such default."—Sec. 61.

NEGOTIATION

Definition

Negotiation of an instrument is the process by which the ownership of the instrument is transferred from one person to another.

When a promissory note, bill of exchange or cheque is transferred to any person, so as to constitute that person the holder thereof, the instrument is said to be negotiated.—Sec. 14.

Delivery (Sec. 46)

The making acceptance or indorsement of a promissory note, bill of exchange or cheque is completed by delivery, actual or constructive.

As between parties standing in immediate relation, delivery to be effectual must be made by the party making, accepting or indorsing the instrument, or by a person authorized by him in that behalf.

As between such parties and any holder of the instrument other than a holder in due course, it may be shown that the instrument was delivered conditionally or for a special purpose only, and not for the purpose of transferring absolutely the property therein.

From Sec. 46 it follows that delivery may be actual or constructive. Actual delivery means giving actual possession. Delivery is a question of fact. Constructive delivery happens when a negotiable instrument is delivered to an agent, clerk or servant on his behalf.

Negotiation by Delivery (Sec. 47)

Subject to the provisions of section 58, a promissory note, bill of exchange or cheque payable to bearer is negotiable by delivery thereof. [Section 58 deals with instrument obtained by unlawful means or for unlawful consideration.]

Exception—A promissory note, bill of exchange or cheque, delivered on condition that it is not to take effect except in a certain event is not negotiable (except in the hands of a holder for value without notice of the condition) unless such event happens.

Examples :

- (a) *A.* the holder of a negotiable instrument payable to bearer, delivers it to *B's* agent to keep for *B.* The instrument has been negotiated.

- (b) *A*, the holder of a negotiable instrument payable to bearer, which is in the hands of *A*'s banker, who is at the time the banker, of *B*, directs the banker to transfer the instrument to *B*'s credit in the banker's account with *B*. The banker does so, and accordingly now possesses the instrument as *B*'s agent. The instrument has been negotiated, and *B* has become the holder of it.

The intention to transfer the ownership of the instrument must be present. If an instrument is handed over to another for safe custody or for a special purpose (e.g., to a solicitor for filing a suit) the delivery does not amount to negotiation.

Negotiation by Indorsement

Subject to the provisions of section 58, a promissory note, bill of exchange or cheque payable to order, is negotiable by the holder by indorsement and delivery thereof.—Sec. 48.

Who may Negotiate ?

The sole maker, drawer, payee or endorsee and if there are several makers, drawers, payees or endorsees, all of them jointly can negotiate an instrument, provided its negotiability has not been restricted or excluded by a term used in the instrument.—Sec. 51.

The maker or drawer cannot endorse or negotiate an instrument unless he is in lawful possession of the instrument or is the holder thereof. A payee or indorsee cannot endorse or negotiate unless he is the holder thereof.

The duration of Negotiability

Instrument negotiable till payment or satisfaction : A negotiable instrument may be negotiated (except by the maker, drawee or acceptor after maturity) until payment or satisfaction thereof by the maker, drawee or acceptor at or after maturity, but not after such payment or satisfaction.—Sec. 60.

Differences between Negotiation and Assignment

1. *Procedure* : Negotiation means transfer of a negotiable instrument in accordance with the procedure laid down in the Negotiable Instruments Act, i.e., by delivery in cases of bearer instruments and by delivery and endorsement in cases of order instruments. Assignment means the transfer of a right or an actionable claim, (chose in action) by deed or otherwise. (See p. 190)

2. *Title* : When a negotiable instrument is negotiated, the transferee, if he takes the instrument bonafide and for value, becomes a holder in due course. A holder in due course is not affected by any defect in the title of the transferor. He may therefore have a better title than the transferor. In the case of an assignment, the assignee gets the rights of the assignor and nothing more. If the title of the assignor was defective, the title of the assignee is also defective.

3. *Notice of transfer* : In the case of an assignment the assignee must give notice to the debtor. In the case of negotiation, no notice to the debtor is required to be given.

4. *Proof of consideration* : In the case of negotiation consideration is presumed. In an assignment, there is no presumption of consideration and the party claiming has to prove consideration.

INDORSEMENT

Definition

Endorsement or Indorsement means signature of the holder made with the object, of transferring the document. The person who makes the indorsement is called the Indorser.

“When the maker or holder of a negotiable instrument signs the same, otherwise than as such maker, for the purpose of negotiation, on the back or face thereof or on a slip of paper annexed thereto, or so signs for the same purpose a stamped paper intended to be completed as a negotiable instrument, he is said to indorse the same, and is called the indorser.—Sec. 15.

Effect of Indorsement

The indorsement of a negotiable instrument followed by the delivery thereof, transfers to the indorsee the property therein with the right of further negotiation; but the right of further negotiation may be restricted or excluded by express words.—Sec. 50.

Types of Indorsement

There are two kinds of indorsement; (i) Indorsement in Full and (ii) Indorsement in Blank. When the indorser mentions the name of the person to whom the money due on an instrument

is to be paid, it is said to be indorsed in full. *Example* : "Pay to X or order". Sd/Y. Where the name of the party is not mentioned it is said to be indorsed in blank. *Example* : "Pay....." SD./Y.

Conversion of indorsement in blank into indorsement in full :

The holder of an instrument indorsed in blank is entitled to put in his own name or the name of any other person above the indorsement and thereby convert the indorsement in blank to an indorsement in full.

In such a case the amount due on the instrument cannot be claimed from the indorser in full except by the person to whom it has been indorsed in full or a person who derives title from such indorser in full.—Sec. 55.

Rules of Indorsement

1. Indorsement may be made on the face of the instrument or on its back. If there is no space on the instrument, the endorsement may be made on an attached slip of paper. Such a slip is known as *Allonge*.

2. Mere signature without any words amounts to an indorsement in blank, provided the indorsement was made with the intention of transferring the instrument.

3. For an indorsement in full, no particular words are necessary. Any term indicating an intention to transfer the document to a particular person or to his order, accompanied by signature, is sufficient.

4. If the payee's or the indorsee's name is wrongly spelt, he should (when he again indorses it) sign the name as spelt in the instrument, and write the correct spelling within brackets after his indorsement.

5. A negotiable instrument indorsed blank is payable to the bearer thereof even although originally payable to order.—Sec. 54. But this rule does not apply to crossed cheques.

6. The indorsement must be signed by the holder or his duly authorised agent.

7. Usually indorsements are not accepted unless it is signed in ink. A rubber stamp is not accepted but the designation of the holder can be done by a rubber stamp.

8. Complimentary prefix, e.g., Sri or Sm. is usually not written in negotiable instruments, but it may be done.

9. An illiterate person may indorse a negotiable instrument by putting a thumb impression of his left hand with witnesses who must also sign.

10. It is presumed that the indorsements appearing upon a negotiable instrument were made in the order in which they appear thereon.—Sec. 118(e).

Instruments which are not Negotiable

An instrument becomes non-negotiable when the indorsement on it contains express words which.

- (a) restrict or exclude the right of further negotiation ; or
- (b) merely constitute the indorsee an agent to indorse the instrument ; or
- (c) merely entitle the indorsee to receive the contents for the indorser or for some other specified person.—Sec. 50.

Examples :

An instrument becomes non-negotiable if it contains the following words in the indorsement :

- (i) "Pay the contents to C only."
- (ii) "Pay C for my use."
- (iii) "Pay C or order for the account of B."
- (iv) "The within must be credited to C."

The following indorsements do not exclude the right of further negotiation by C : (i) "Pay C." (ii) "Pay C, value in account with the Oriental Bank." (iii) "Pay the contents to C, being part of the consideration in a certain deed of assignment executed by C to the indorser and other."

Cheques which are marked "not negotiable" or "account payee" are nevertheless transferable but the transferee does not become a holder in due course. (See p. 296)

Indorser who excludes his own Liability or makes it Conditional

The indorser of a negotiable instrument may, by express words in the indorsement, exclude his own liability thereon. He can also make his liability or the right of the indorsee to receive the amount due thereon depend on the happening of a specified event, although such event may never happen.—Sec. 52.

An agent signing a negotiable instrument may exclude his personal liability by using words to indicate that he is signing as agent only. The same rule applies to directors of a company signing instruments on behalf of a company. The intention to exclude personal liability must be clear.

Examples :

- (i) The indorser of a negotiable instrument signs his name adding the words, "without recourse" or "*sans recourse*". Upon this indorsement he incurs no liability.
- (ii) The indorsement on an instrument is "For and on behalf of *X* company. Sd/P. director." *P* has no personal liability.
- (iii) *A* is the payee and holder of a negotiable instrument. He transfers the instrument to *B sans recourse*. *B* transfers the instrument to *C* and *C* to *A*. *A* is not only reinstated in his former rights but has the rights of an indorsee against *B* and *C*.

Negotiation Back

When an indorser excludes his liability and afterwards becomes the holder of the instrument, all intermediate indorsers are liable to him *i.e.*, he regains the position he occupied before he made the restrictive indorsement. This can be called "*negotiation back*".—Sec. 52, 2nd para.

Restrictive Indorsement

An indorsement is said to be restrictive when the indorser, by express words, restricts the right of further negotiation of the instrument or merely entitles the indorsee of the instrument to receive the contents of the instrument for a specific purpose.

Examples :

"Pay *C* for my use". "Pay *C* or order for the account of *B*."

Facultative Indorsement

When the indorser, by express words, abandons some right or increases his liability under a negotiable instrument, the indorsement is called Facultative.

Example :

An indorsement with the remark, "notice of dishonour not required".

Partial Indorsement

An indorsement which purports to transfer only a part of the amount due on a negotiable instrument, is invalid. But where an instrument has been partly paid it can be negotiated, for the balance, provided the fact of part-payment is noted on the instrument.—Sec. 56.

Examples :

- (i). The holder of a promissory note for Rs. 1000 writes on it, "Pay *B* Rs. 500/-" and indorses the note. The indorsement is invalid for the purpose of negotiation.

- (ii) The maker of a promissory note for Rs. 1000 pays Rs. 500, and the fact is noted on the instrument. The holder can negotiate the note for the balance due on it.

"ONCE A BEARER INSTRUMENT ALWAYS A BEARER INSTRUMENT"

If a negotiable instrument is endorsed in blank or is payable to bearer, it is a bearer instrument. The holder of such an instrument may negotiate it by delivery only. But suppose that the holder indorses it specially to a person and makes it payable to the order of such person. In such a case the indorser in full cannot be sued by any person except the person in whose favour he indorsed it, but as regards all parties prior to the indorser in full, the instrument remains transferable by delivery.—Sec. 55.

Example :

X, the payee of a bill, indorses it in blank and delivers it to *Y*. *Y* indorses it to *Z* or order. *Z* without any indorsement transfers it to *P*. *P* as the bearer is entitled to receive payment. In case of dishonour *P* is entitled to sue the drawer and the acceptor of the bill and also *X*, the indorser in blank and all indorsers prior to *X*. He cannot however sue *Y* or *Z*.

Where a cheque is originally expressed to be payable to bearer the drawee is discharged by payment in due course to the bearer thereof notwithstanding any indorsement whether in full or in blank appearing thereon, and notwithstanding that any such indorsement purports to restrict or exclude further negotiation.—Sec. 85(2).

EXERCISES

1. What do you understand by the "negotiability" of a Negotiable Instrument? What is the effect of crossing a cheque with the words "not negotiable" written across the face? (Pages 315, 297)
2. Who can accept a bill of exchange? (Pages 314, 315)
3. What are the rules regarding Indorsement? (Pages 317-318)
4. Distinguish between :
 - (a) General Acceptance and Qualified Acceptance. (Page 312)
 - (b) Negotiation and Assignment. (Page 316)
5. Discuss : "Once a bearer instrument always a bearer instrument." (Page 321)
6. Write notes on :
 - (a) "Endorsement" (b) Negotiation ; (c) Restrictive endorsement ; (d) Crossed cheque ; (e) Not-negotiable instrument ; (f) Acceptance. (Pages (a) 317 (b) 315 (c) 320 (d) 296 (e) 319 (f) 312)

**WHO CAN BE PARTIES TO A NEGOTIABLE
INSTRUMENT ?**

Capacity to make etc. of Negotiable Instruments

The capacity to make, draw, accept, negotiate and indorse a negotiable instrument depends on the capacity to enter into contracts.

Every person capable of contracting may bind himself and be bound by a negotiable instrument. A person incapable of contracting cannot bind himself but may, under certain circumstances, bind others. When some of the parties to a negotiable instrument are capable of contracting and some are not, the capable parties are bound while the incapable parties are not. The provisions of law regarding the different cases of incapacity, as regards negotiable instruments are summarised below.

Minor

A minor may draw, indorse, deliver and negotiate a negotiable instrument so as to bind all parties except himself.—Sec. 26.

Thus a minor party to a negotiable instrument is not personally liable but the adult parties are. When an instrument is signed by a minor and an adult jointly, the minor is not liable but the adult is. The defence of minority can be taken by the minor even though he might have concealed his age deliberately or made a false representation concerning it. If a minor is the payee under a negotiable instrument, he can enforce payment.

Lunatic, Idiot and Drunken Persons

The legal position is the same as in the case of minors. A lunatic can, however, bind himself by a negotiable instrument if he signs it during a lucid interval.

Insolvent

After the order of adjudication is passed, the properties of the insolvent vest in the Official Assignee or the Official

Receiver. The insolvent therefore cannot draw, make, accept or indorse a negotiable instrument. A bill drawn upon the insolvent before he became insolvent may be presented to the Official Assignee for acceptance. An instrument executed after insolvency in favour of the insolvent, vests in the Official Assignee or the Official Receiver.

Corporation

A corporation can incur liabilities under a negotiable instrument if it is so empowered by its memo and articles. A trading company has implied powers to borrow and can do so by executing negotiable instrument. A non-trading company has no implied powers to borrow and can executed negotiable instruments only if specifically empowered to do so.

Agent

Every person capable of binding himself or of being bound, by a negotiable instrument, may so bind himself or be bound by a duly authorised agent acting in his name.—Sec. 27.

The authority to execute negotiable instruments must be given specifically. A general authority to act as agent does not include the authority to execute negotiable instruments. An authority to draw bills of exchange does not of itself import an authority to indorse.—Sec. 27.

The fact of agency may be indicated by using the following words : “for and on behalf of ” or “*per pro*” which is short for “*per procurationem*.”

Liability of agent signing : The agent must indicate that he is signing as agent, by using specific words to that effect ; otherwise he will be personally responsible. The personal responsibility cannot be enforced by persons who induced the agent to sign upon the belief that only the principal would be liable. Except in such cases, the agent is personally responsible if the fact of agency is not clearly indicated.—Sec. 28.

Legal Representative

The estate of a deceased person vests in his legal representative (heir, executor etc.) The legal representative can deal with the negotiable instruments belonging to the deceased to the same extent as the deceased could have done.

The legal representative who signs his name to a negotiable instrument must use words to indicate that he is not personally responsible (e.g., *sans recourse*). If he does not use any such words, he becomes personally responsible.—Sec. 29.

If a person indorses a negotiable instrument payable to order but dies before he can deliver the instrument to the indorsee his legal representative cannot complete the transaction by delivering the instrument to the party intended to receive it. He must reindorse the instrument, signing it as the legal representative, and then deliver it.—Sec. 57.

Joint Hindu Family

The *Karta* of a joint Mitakshara family can bind the joint family by executing a negotiable instrument provided the transaction is for the benefit of the family or is for legal necessity. The other members are bound to the extent of their shares in the joint family properties but are not liable personally.

LIABILITY OF THE PARTIES

The liability of the parties to a negotiable instrument is determined by the following rules :

Maker and Acceptor

The maker of a promissory note and the acceptor of a bill of exchange are primarily responsible for the payment due. Section 32 of the Act states that, in the absence of a contract to the contrary, the maker of a promissory note and acceptor of a bill of exchange before maturity are bound to pay the amount thereof at maturity according to the apparent tenor of the note or acceptance respectively. The money must be paid at or after maturity to the holder as required. In default of such payment, the maker and the acceptor is bound to compensate and party to the note or bill for any loss or damage sustained by him and caused by such default.

Drawer

The drawer of a bill of exchange or cheque is bound, in case of dishonour by the drawee or acceptor thereof, to compensate the holder, provided due notice of dishonour has been given to, or received by the drawer.—Sec. 30.

Before acceptance, the drawer's liability is primary ; after

acceptance, the drawer's liability is secondary, *i.e.*, he is liable to pay only if the acceptor fails to pay.

Drawee of a Cheque

The drawee of a cheque having sufficient funds of the drawer, in his hands, properly applicable to the payment of such cheque must pay the cheque when duly required to do so, and, in default of such payment, must compensate the drawer for any loss or damage caused by such default.—Sec. 31.

Cases where the drawee of a cheque can refuse payment.—See under "Banker and Customer", pages 355.

Indorser

The indorser of a negotiable instrument is liable to all subsequent parties in case of dishonour of the instrument, provided (i) there is no contract to the contrary (ii) the indorser had not limited or qualified his liability by using appropriate words and expressions for the purpose and (iii) due notice of dishonour has been given to or received by, such indorser as hereinafter provided.—Sec. 35.

Every indorser after dishonour is liable as upon an instrument payable on demand.

General rule regarding liability : Principle of Suretyship

Every prior party to a negotiable instrument is liable thereon to a holder in due course until the instrument is duly satisfied.—Sec. 36.

Maker, drawer and acceptor principals : The maker of a promissory note or cheque, the drawer of a bill of exchange until acceptance, and the acceptor are, in the absence of a contract to the contrary, respectively liable thereon as principal debtors, and the other parties thereto are liable thereon as sureties for the maker, drawer or acceptor, as the case may be.—Sec. 37.

Prior party a principal in respect of each subsequent party : As between the parties so liable as sureties, each prior party is, in the absence of a contract to the contrary, also liable thereon as a principal debtor in respect of each subsequent party.—Sec. 38.

Example :

A draws a bill payable to his own order on *B*, who accepts. *A* afterwards indorses the bill to *C*, *C* to *D*, and *D* to *E*. As between *E* and *B*. *B*.

is the principal debtor ; and *A*, *C* and *D* are his sureties. As between *E* and *A*, *A* is the principal debtor, *C* and *D* are his sureties. As between *E* and *C*, *C* is the principal debtor and *D* is his surety.

Suretyship : When the holder of an accepted bill of exchange enters into a contract with the acceptor which, under Section 134 or 135 of the Indian Contract Act, 1872, would discharge the other parties, the holder may expressly reserve his right to charge the other parties, and in such case they are not discharged.—Sec. 39.

The Extent of Liability

Rules regarding compensation (Sec. 117)

The compensation payable in case of dishonour of a negotiable instrument, by any party liable on the instrument, is determined by the following rules ;

- (a) the holder is entitled to the amount due upon the instrument, together with the expenses properly incurred in presenting, noting and protesting it ;
- (b) when the person charged resides at a place different from that at which the instrument was payable, the holder is entitled to receive such sum at the current rate of exchange between the two places ;
- (c) an indorser, who, being liable, has paid the amount due on the same is entitled to the amount so paid with interest at six per cent per annum from the date of payment until tender or realization thereof ; together with all expenses caused by the dishonour and payment ;
- (d) when the person charged and such indorser resides at different places, the indorser is entitled to receive such sum at the current rate of exchange between the two places ;
- (e) the party entitled to compensation may draw a bill upon the party liable to compensate him, payable at sight or on demand, for the amount due to him, together with all expenses properly incurred by him. Such bill must be accompanied by the instrument dishonoured and the protest thereof (if any). If such bill is dishonoured, the party dishonouring the same is liable to make compensation thereof in the same manner as in the case of the original bill.

The new bill given under clause (e) is known as *Redraft*.

PRESENTMENT FOR PAYMENT

A negotiable instrument must be presented for payment. The person liable to pay is entitled *to see* the instrument and after payment he is entitled to have it delivered to him. (Sec. 81). The rules regarding presentation for payment are stated below :

1. Presentment of promissory note for sight

A promissory note, payable at a certain period after sight, must be presented to the maker thereof for sight (if he can, after reasonable search, be found) by a person entitled to demand payment, within a reasonable time after it is made and in business hours on a business day. In default of such presentment, no party thereto is liable thereon to the person making such default.—Sec. 62.

2. Presentment for payment

Promissory notes, bills of exchange and cheques must be presented for payment to the maker acceptor or drawee thereof respectively, by or on behalf of the holder. In default of such presentment, the other parties thereto are not liable thereon to such holder.

Where authorised by agreement or usage, a presentment through the post office by means of a registered letter is sufficient.—Sec. 64.

3. Presentment by or to agent, representative of deceased or assignee of insolvent

Presentment for acceptance or payment may be made to the duly authorised agent of the drawee, maker or acceptor, as the case may be, or where the drawee, maker or acceptor has died, to his legal representative, or where he has been declared an insolvent, to his assignee.—Sec. 75.

4. The place of Presentment

(i) *Presentment for payment of instrument payable at specified place and not elsewhere* : A promissory note, bill of exchange or cheque made, drawn or accepted payable at a specified place and not elsewhere must, in order to charge any party thereto, be presented for payment at that place.—Sec. 68.

(ii) *Instrument payable at specified place* : A promissory note

or bill of exchange made, drawn or accepted payable at a specified place must, in order to charge the maker or drawer thereof, be presented for payment at that place.—Sec. 69.

(iii) *Presentment where no exclusive place specified* : A promissory note or bill of exchange, not made payable as mentioned in sections 68 and 69, must be presented for payment at the place of business (if any), or at the usual residence, of the maker, drawee or acceptor thereof, as the case may be.—Sec. 70.

(iv) *Presentment when maker, etc., has no known places of business or residence* ; If the maker, drawee or acceptor of a negotiable instrument has no known place of business or fixed residence, and no place is specified in the instrument for presentment for acceptance or payment, such presentment may be made to him in person wherever he can be found.—Sec. 71.

(v) Where a promissory note is payable on demand and is not payable at a specified place, no presentment is necessary in order to charge the maker thereof.—Exception to Sec. 64.

5. The Time of Presentment

(i) *Hours for presentment* : Presentment for payment must be made during the usual hours of business, and, if at a banker's within banking hours.—Sec. 65.

(ii) *Presentment for payment of instrument payable after date or sight* : A promissory note or bill of exchange made payable at a specified period after date or sight thereon, must be presented for payment at maturity.—Sec. 66.

(iii) *Presentment for payment of promissory note payable by instalments* : A promissory note payable by instalment must be presented for payment on the third day after the date fixed for payment of each instalment ; and non-payment on such presentment has the same effect as non-payment of a note at maturity.—Sec. 67.

(iv) *Presentment of cheque to charge drawer* : A cheque must, in order to charge the drawer, be presented at the bank upon which it is drawn before the relation between the drawer and his banker has been altered to the prejudice of the drawer.—Sec. 72.

(v) *Presentment of cheque to charge any other person* : A cheque must, in order to charge any person except the drawer,

be presented within a reasonable time after delivery thereof by such person.—Sec. 73.

(vi) *Presentment of instrument payable on demand* : A negotiable instrument payable on demand must be presented for payment within a reasonable time after it is received by the holder.—Sec. 74.

When Presentment for Payment is not necessary, or is excused (Sec. 76)

Presentment for payment is not necessary in the following cases. In each case the instrument is deemed to be dishonoured at the due date for presentment :

- (1) if the maker, drawee, or acceptor intentionally prevents the presentment of the instrument, or,
- (2) if the instrument being payable at his place of business, he closes such place on a business day during the usual business hours, or,
- (3) if the instrument being payable at some other specified place, neither he nor any person authorized to pay it attends at such place during the usual business hours, or,
- (4) if the instrument not being payable at any specified place, he cannot after due search be found ;
- (5) as against any party sought to be charged therewith, if he has engaged to pay notwithstanding non-presentment ;
- (6) as against any party if after maturity, with knowledge that the instrument has not been presented—he makes a part payment on account of the amount due on the instrument ;
- (7) or promises to pay the amount due thereon in whole or in part ;
- (8) or otherwise waives his right to take advantage of any default in presentment for payment ;
- (9) as against the drawer, if the drawer could not suffer damage from the want of such presentment.

Presentment for payment is excused in the following cases also : (i) where a drawee is a fictitious person (ii) when a person is not competent to contract (iii) when a bill is dishonoured by non-acceptance and (iv) when it is impossible to present the instrument.

Excuse for delay

Delay in presentment for acceptance of payment is excused if the delay is caused by circumstances beyond the control of the holder, and not imputable to his default, misconduct or negligence. When the cause of delay ceases to operate, presentment must be within a reasonable time.—Sec. 75A.

PAYMENT OF NEGOTIABLE INSTRUMENT

Time of Payment

A promissory note or a bill of exchange may be payable on demand or on a specific date or after a specified period of time. The time of payment is usually mentioned in the instrument. If no time of payment is mentioned, the instrument is payable on demand. A cheque is always payable on demand.

In a promissory note or a bill of exchange the expressions, “at sight” or “on presentment” means on demand. The expression “after sight” means in a promissory note, after presentment for sight. In a bill of exchange it means, after acceptance or noting for non-acceptance, or protest for non-acceptance.—Sec. 21.

A promissory note or a bill of exchange may be made payable by instalments.

Maturity of a Note or Bill

The maturity of a bill or note is the date on which it falls due. A bill or note which is payable *on demand* becomes due immediately on presentation for payment. A bill or note which *is not payable on demand* becomes mature on the third day after the day on which it is expressed to be payable. The three days are known as the *Days of Grace*. The date of maturity of a bill or note is calculated in the following way. Sections 23 to 25 :

- (a) If it is payable a stated number of months after date or after sight, it becomes payable three days after the corresponding date of the month after the stated number of months.
- (b) If the month in which the stated number of months will terminate has no corresponding date, it becomes mature on the last day of the month.
- (c) In calculating the maturity of a bill or note payable a certain number of days after date or sight, the day on which it was drawn or presented for acceptance shall be excluded.

- (d) When the day on which a bill or note is at maturity is a holiday, the instrument shall be deemed to be due on the next preceding business day.

The expression "Public Holiday" includes Sundays, and any other day declared by the Central Government, by notification in the Official Gazette, to be a public holiday.

Examples :

- (i) A negotiable instrument, dated 30th August 1978, is made payable three months after date. The instrument is at maturity on 3rd December 1978.
- (ii) A negotiable instrument, dated 29th January 1978, is made payable at one month after date. The instrument is at maturity on the 3rd day after the 28th February 1978.
- (iii) A negotiable instrument dated 31st August 1978, is made payable three months after date. The instrument is at maturity on the 3rd December 1978.

Payment in Due Course

"Payment in due course means payment in accordance with the apparent tenor of the instrument in good faith and without negligence to any person in possession thereof under circumstances which do not afford a reasonable ground for believing that he is not entitled to receive payment of the amount therein mentioned."—Sec.10.

A negotiable instrument is "paid in due course" when the following conditions are satisfied :

1. The payment is according to the apparent tenor of the instrument. [*Tenor* means the prescribed time of payment.]
2. The payment is in good faith and without negligence.
3. The payment is to the possessor of the instrument.
4. There does not exist any ground for believing that the possessor is not entitled to receive payment.

Payment in due course completely discharges the obligation of the party liable to pay, even though it subsequently transpires that payment has been made to the wrong person. (See ch. 6, "Bankers and Customers.")

Usance

The time allowed for the payment of bills drawn in one country and payable in another (foreign bills) is called usance. The time varies according to the distance between the countries and is determined by customary rules.

INTEREST ON BILLS AND NOTES

Interest when rate specified

When a promissory note or a bill of exchange specifically mentions the rate at which interest is payable, interest must be paid at the rate from the date of the instrument to the date of realisation of the money. If a suit is filed on the instrument interest is payable up to such date as the court may decide.—Sec. 79.

Interest when no rate specified

When no rate of interest is specified in the instrument, interest is payable (notwithstanding any agreement between the parties regarding interest) at 6% per annum from the date on which the money ought to have been paid till the date of realisation. When a suit is filed, the court is to decide the date up to which interest is payable.—Sec. 80.

When the party charged is the indorser of an instrument dishonoured by non-payment, he is liable to pay interest only from the time that he receives notice of the dishonour.—Sec. 80, Explanation.

LOST NEGOTIABLE INSTRUMENTS

The following rules are applicable in the case of lost negotiable instruments :

1. Holder's right to duplicate of lost bill

Where a bill of exchange has been lost before it is overdue, the holder of it may apply to the drawer to give him another bill of the same tenor, giving security to the drawer if required, to indemnify him against all persons in case the bill, alleged to have been lost, shall be found again. If the drawer on request refuses to give a duplicate, he may be compelled to do so.—Sec. 45A.

2. Delivery of instrument on payment or indemnity in case of loss

Before payment of a negotiable instrument, the person liable to pay is entitled to see the instrument and after payment he is entitled to have it delivered to him. If the document is lost

or for any reason cannot be produced he can refuse to pay. If he pays the holder of a lost instrument he can demand to be indemnified against any further claim thereon against him.—Sec. 81.

3. Title of the Finder

The finder of a lost instrument gets no title. The rightful holder is entitled to get it back from him.

4. Rights of holder in due course

If a negotiable instrument, payable to bearer or indorsed in blank, is lost and the finder negotiates it to a third party who takes it in good faith and for value, the third party becomes a holder in due course and is entitled to receive the amount due on the instrument from the parties liable to pay.

5. Effect of forgery

If a negotiable instrument payable to order is indorsed by the finder with a forged signature, the indorsee gets no title even though he might have taken it in good faith and for consideration. Forgery can confer no title. *Mercantile Bank of India v. Mascarenhas*.¹

6. Effect of payment in due course

If the party liable on a negotiable instrument pays the amount due on it, to the person having it in his possession, under circumstances which makes the payment in due course, he is discharged from all liabilities under the instrument. But the true owner can recover the money from the person who obtained payment. *Burne v. Morris*.²

7. Information and notice

When a negotiable instrument is lost, the holder should inform all parties liable on it and should also give public notice.

INSTRUMENTS OBTAINED ILLEGALLY

Unlawful means and unlawful consideration

The rules stated above regarding lost instruments apply to

¹(1932) P.C. 22. (Privy Council)

²(1834) 2 Cr. & M. 579

stolen instruments. A person who steals a negotiable instrument can get no rights upon it and the true owner can recover it from him. But if the instrument is negotiated under circumstances which make the transferee a holder in due course, he is entitled to receive payment on the instrument.

Any person who obtained an instrument by unlawful means or for unlawful consideration, is not entitled to receive the amount due thereon, unless such possessor or indorsee is, or some person through whom he claims was, a holder thereof in due course.—Sec. 58.

When an instrument is obtained by fraud, coercion, undue influence or by any illegal means the title of the receiver is defective and he cannot claim anything on the instrument. But if the document is transferred to a holder in due course, the latter gets a good title and is entitled to receive payment. The same rule applies if the consideration originally paid for the instrument was unlawful.

If an acceptance is procured by fraud, the acceptor is liable to the holder in due course and to nobody else. *Ayres v. Moore*.¹

FORGED INSTRUMENTS

If the signature on a negotiable instrument is forged, the document is invalid and cannot confer any right or create any liability.

Acceptor bound although indorsement forged

But the acceptor of a bill of exchange, already indorsed, is not relieved from liability by reason that such indorsement is forged, if he knew or had reason to believe the indorsement to be forged when he accepted the bill.—Sec. 41.

If in an instrument payable to order, there is a forged indorsement, the indorsee gets no title.

If in a bearer instrument or in an instrument indorsed in blank, there is a forged indorsement, the holder gets a good title. The reason is that in such instruments the holder derives title by delivery and not through any indorsement. The forged indorsement is therefore immaterial.

¹ (1940) 1. K.B. 278

LACK OF CONSIDERATION

Negotiable instrument made etc. without consideration

A negotiable instrument made, drawn, accepted, indorsed or transferred without consideration, or for a consideration which fails, creates no obligation of payment between the parties to the transaction. But if the instrument is transferred to a holder for a consideration, such holder and all persons deriving title from him, can recover the amount due from the transferor for consideration or any prior party thereto.—Sec. 43.

Partial absence or failure of money-consideration

When the consideration for which a person signed a promissory note, bill of exchange or cheque consisted of money, and was originally absent in part or has subsequently failed in part, the sum which a holder standing in immediate relation with such signer is entitled to receive from him is proportionately reduced.—Sec. 44.

Partial failure of consideration not consisting of money

Where a part of the consideration for which a person signed a promissory note, bill of exchange or cheque, though not consisting of money, is ascertainable in money without collateral enquiry, and there has been a failure of that part, the sum which a holder standing in immediate relation with such signer is entitled to receive from him is proportionately reduced.—Sec. 45.

When there is a partial failure of consideration, the parties standing in immediate relation to each other cannot recover more than the actual consideration. But this rule does not apply to a holder in due course.

Example :

P makes a promissory note for Rs. 500 in favour of *Q* who pays him Rs. 400, promising to pay Rs. 100 later. *G* cannot recover from *P* more than Rs. 400. But if *Q* indorse the note to *R* for consideration, *R* can recover from *P* Rs. 500.

DISCHARGE OF PARTIES FROM LIABILITY

The liability of a party to a negotiable instrument may be discharged or terminated in any of the following ways :

- (ii) *Not presenting the bill for payment within due time.* Where a negotiable instrument is required to be presented for payment and it is not so presented in proper time by the holder the other parties to the instrument are not liable thereon to such holder.—Sec. 64.
- (iii) *Allowing more than 48 hours for deliberation.* If the holder allows more than 48 hours time to the drawee for deliberation, all prior parties not consenting to the extra time, are discharged from liability.—Sec. 83.
- (iv) *Delay in presenting the cheque.* If the holder of a cheque does not present it for payment within reasonable time and, as a result, the drawer of the cheque suffers damage, he is discharged from his liability to the extent of the damages.—Sec. 84.
- (v) *Qualified acceptance.* If the holder agrees to a qualified acceptance, all prior parties not consenting to such acceptance are discharged from liability.—Sec. 86.
- (vi) *Not sending notice of dishonour.* All parties to whom the holder does not send notice of dishonour, are discharged from liability unless the circumstances are such that no notice of dishonour is required to be sent.

5. By Material Alteration

“Any material alteration of a negotiable instrument renders the same void as against any one who is a party thereto at the time of making such alteration and does not consent thereto, unless it was made in order to carry out the common intention of the original parties; and any such alteration, if made by an indorsee, discharges his indorser from all liability to him in respect of the consideration thereof”.—Sec. 87.

The rule, regarding material alteration, is subject to certain limitation. (See below).

MATERIAL ALTERATION

A material alteration is one,

- (a) which substantially changes the *rights and liabilities* of the parties, or any of the parties, to the instruments, or,
- (b) which changes the *identity and the legal character* of the instrument.

Changes in the following items are considered to be material alteration : amount of money payable ; date and time of payment ; rate of interest ; addition of a party ; the medium of payment, (See p. 127)

It has been held in English cases that an alteration by a stranger, if it is material, will avoid the instrument. The Madras High Court, however, has held that an alteration made by a stranger does not make the instrument invalid. *Gourochandro D. Sumanto v. Krushnacharana Padhi*.¹

As regards the effect of alteration, a distinction must be made between persons who are parties to the instrument at the time when the alteration is made and persons who become parties subsequently. A material alteration discharges the liabilities of persons who are parties at the time when the alteration is made. Persons who become parties to the instrument after the alteration, are liable under the instrument as altered. Section 88 of the Act lays down that an acceptor or indorser of a negotiable instrument is bound by his acceptance or indorsement notwithstanding any previous alteration of the instrument.

Example :

The plaintiff inserted the words 'per month' after the words, 'rate of interest' and after the promissory note was executed by the defendant. The alteration was without knowledge of the defendant. Held that the promissory note had been materially altered and was therefore void and inoperative by virtue of Section 87. *Verco Private Ltd., Padi and others v. Newandram Naraindas and another*.²

Alteration allowed by Law

An alteration which is the result of an accident does not affect the validity of an instrument. The Judicial Committee of the Privy Council in *Hongkong & Shanghai Banking Corporation v. Lo Lee Shi*³ held that, in order to invalidate an instrument the alteration must be one effected by the will of the person by whom or under whose direction it is made. Thus accidental alterations do not render a document invalid. In English cases it has been held that alterations in a document brought about by the following causes do not affect its validity : mutilation by the washing and ironing of a garment in which the document was kept ; ravages

¹ I.L.R. (1941) Mad.295

² AIR (1974) Mad 5

³ (1928) A.C. 181

of white ants or rats ; document torn by a child ; document burnt in part by accident.

An alteration made before the completion of the instrument does not affect its validity. Thus if a person strikes out the word "order" from a printed cheque form and substitutes the word "bearer" before issuing the cheque, it is a valid bearer cheque. Such alterations should be initialled by the person executing the instrument, in order to indicate that the alteration was made before the instrument became effective.

After an instrument is executed, it may be altered in certain ways without affecting the validity of the instrument. Alterations of the following types are permitted by law :

1. An alteration made with the consent of all parties.
2. Alterations made in order to carry out the common intention of the original parties. Such alterations include correction of a clerical error or accidental slips.
3. Completing an inchoate stamped instrument.—Sec.20 (See p. 306)
4. Conversion of an indorsement in blank into an indorsement in full.—Sec. 49.
5. The crossing of an uncrossed cheque, conversion of general crossing to special crossing, addition of words like "not negotiable" to a crossed cheque.—Sec. 125.
6. A note on the margin of an instrument is not necessarily a part of the instrument. If it is not a part of the instrument it can be altered without affecting the validity of the instrument. It has been held that the addition, in the margin of a mere statement of fact which is not covered by the signature is not a material alteration *Ede v. K.N. Shaw*¹

SPECIAL RULES OF EVIDENCE

Presumption as to Negotiable Instruments

The Negotiable Instruments Act lays down certain rules of evidence regarding negotiable instruments. Section 118 provides that in a suit upon a negotiable instrument, the court can presume the following :

¹ 3 Cal. 220

- (a) that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, negotiated or transferred, was accepted, indorsed, negotiated or transferred for consideration ;
- (b) that every negotiable instrument bearing a date was made or drawn on such date ;
- (c) that every accepted bill of exchanges was accepted within a reasonable time after its date and before its maturity ;
- (d) that every transfer of a negotiable instrument was made before its maturity ;
- (e) that the indorsements appearing upon a negotiable instrument were made in the order in which they appear thereon ;
- (f) that a lost promissory note, bill of exchange or cheque was duly stamped ;
- (g) that the holder of a negotiable instrument is a holder in due course : Provided that where the instrument has been obtained from its lawful owner, or from any person in lawful custody thereof, by means of an offence or fraud, or has been obtained from the maker or acceptor thereof by means of an offence or fraud, or for unlawful consideration, the burden of proving that the holder is a holder in due course lies upon him.

Presumption on Proof of Protest

Section 119 provides that in a suit upon an instrument which has been dishonoured, the Court shall, on proof of the protest, presume the fact of dishonour, unless and until such fact is disproved.

Burden of Proof

Any of the presumptions can be rebutted by evidence to the contrary. The effect of Sections 118 and 119 is to throw the burden of proof upon the party alleging anything contrary to the allowable presumptions. Thus in a suit on a promissory note, if the defendant alleges that there was no consideration, it is his duty to prove it. The plaintiff need not prove consideration because the court will, according to Section 118(a), presume that

consideration was paid. In an ordinary money suit, however, it is the plaintiff's duty to prove consideration.

Estoppel

The Negotiable Instruments Act lays down the following rules of estoppel :

1. Estoppel against denying original validity of instrument

No maker of a promissory note, and no acceptor of a bill of exchange or cheque, and no acceptor of a bill of exchange for the honour of the drawer shall, in a suit thereon by a holder in due course, be permitted to deny the validity of the instrument as originally made or drawn.—Sec. 120.

2. Estoppel against denying capacity of payee to indorse

No maker of a promissory note and no acceptor of a bill of exchange payable to order shall, in a suit thereon by a holder in due course, be permitted to deny the payee's capacity, at the date of the note or bill, to indorse the same.—Sec. 121.

3. Estoppel against denying signature or capacity of prior party

No indorser of a negotiable instrument shall, in a suit thereon by a subsequent holder, be permitted to deny the signature or capacity to contract of any prior party to the instrument.—Sec. 122.

INTERNATIONAL LAW

When a negotiable instrument is made or drawn in one country but is payable in another country, the question arises : by the law of which country will the instrument be governed ? The Negotiable Instruments Act contains the following rules on the subject :

1. Liability of maker, acceptor or indorser

For a foreign bill, in the absence of a contract to the contrary the liability is determined as follows. (Sec. 134) :

Maker or Drawer—by the law of the place where the instrument is made.

Acceptor and Indorser—by the law of the place where the instrument is payable.

Example :

A bill of exchange was drawn by A in California where the rate of interest is 25 per cent, and accepted by B payable in Washington where the rate of interest is 6 per cent. The bill is indorsed in India, and is dishonoured. An action on the bill is brought against B in India. He is liable to pay interest at the rate of 6 per cent only ; but if A is charged as drawer, A, is liable to pay interest at the rate of 25 per cent.

2. Law of place of payment governs dishonour

Where a promissory note, bill of exchange or cheque is made payable in a different place from that in which it is made or indorsed the law of the place where it is made payable determines what constitutes dishonour and what notice of dishonour is sufficient.—Sec. 135.

Example :

A bill of exchange drawn and indorsed in India, but accepted payable in France, is dishonoured. The indorsee causes it to be protested for such dishonour and gives notice thereof in accordance with the law of France, though not in accordance with the rules of Indian law. The notice is sufficient.

3. Instrument made, etc. out of India but in accordance with its law

If a negotiable instrument is made, drawn, accepted or indorsed out of India, but in accordance with the law of India, the circumstance that any agreement evidenced by such instrument is invalid according to the law of the country wherein it was entered into does not invalidate any subsequent acceptance or indorsement made thereon in India.—Sec. 136.

4. Presumption as to foreign law

The law of any foreign country regarding promissory notes, bills of exchange and cheques shall be presumed to be the same as that of India, unless and until the contrary is proved.—Sec. 137.

EXERCISES

1. State the different parties to a bill of exchange. Discuss their liabilities. (Pages 322-323, 324-325)
2. How would you distinguish between the liabilities of a Maker of a Promissory Note and those of a Drawer of a Bill of Exchange ? (Pages 324-325)

3. What is the nature and extent of the liability of a drawer, drawee and acceptor of a Bill of Exchange? (Pages 324-326)
4. Examine to what extent a minor can be a party to a negotiable instrument. (Page 322)
5. Examine the different modes of discharge of liability of parties to a negotiable instrument. (Pages 335-337)
6. State the rules regarding presentment for acceptance of bill of exchange. When can presentment for payment may be dispensed with? (Pages 327-330)
7. What are the cases when a negotiable instrument need not be presented for payment? When is a negotiable instrument said to be dishonoured? (Pages 328-330, 344)
8. What happens if a Negotiable Instrument : (a) is lost, (b) obtained illegally, (c) by fraud and (d) is forged. (Pages 332-334)
9. What are the rules relating to the maturity of negotiable instruments? (Pages 330-331)
10. Enumerate the presumptions which shall be made with reference to negotiable instruments. (Pages 339-340)
11. Write notes on : Presentment for payment ; Payment of Negotiable Instrument ; Maturity of a Note or Bill ; Payment in Due Course ; Usance ; Material Alteration. (Pges 327-330, 337-338)
12. Problems :
 - (a) A gets holds of B's cheque book and forges B's name on a cheque, A obtains money from B's bankers by presenting the forged cheque and then disappears. Who bears the loss, B or the banker? (Pages 334, 358)
 - (b) A promissory note, executed on the 31st Jan.'78, is made payable one month after date. When does the note become payable? (Pages 330-331)
 - (c) A negotiable instrument dated 29th January, 1967 is made payable at one month after date. When will the instrument mature? (Pages 330-331)

Mode of Dishonour

A negotiable instrument may be dishonoured in two ways :
(i) by non-acceptance and (ii) by non-payment. Only bills of exchange can be dishonoured by non-acceptance, since only bills require acceptance. Promissory notes, bills of exchange and cheques can be dishonoured by non-payment.

Dishonour by Non-Acceptance

A bill of exchange is *dishonoured by non-acceptance* in the following cases :

1. "When after due presentation, the bill is not accepted by the drawee." When there are several drawees (who are not partners), refusal by any one of the drawees will amount to dishonour.

2. In cases where presentation for acceptance is excused, the bill is treated as dishonoured if it is not accepted without presentation.

3. Where the drawee is incompetent to contract, the bill may be treated as dishonoured.—Sec. 91.

4. If the acceptance is qualified, the bill may be treated as dishonoured.

5. *Drawee in case of need* : Where a drawee in case of need is named in a bill, or in any indorsement thereon, the bill is not dishonoured until it has been dishonoured by such drawee.—Sec. 115.

Dishonour by Non-Payment

A promissory note, bill of exchange or cheque is *dishonoured by non-payment* when the maker of the note or the acceptor of the bill of exchange or the drawee of the cheque makes default in payment upon being duly required to pay the same.—Sec. 92.

Consequence of Dishonour

Steps to be taken by the Holder : When a negotiable instrument is dishonoured, the holder (1) becomes entitled to file

a suit for the recovery of the amount due from the parties liable to pay. (2) He must, subject to certain exception, give notice of dishonour to parties against whom he intends to proceed. (3) He may also have the instrument noted and protested before a notary public.

NOTICE OF DISHONOUR

Definition

Notice of dishonour means the notice which must be given by the holder of a dishonoured instrument to all parties liable to pay the amount due on the instrument.

By and to whom notice should be given (Sections 93, 95-97)

1. Notice is to be sent to the party liable, or his duly authorised agent; if he is dead it is to be given to his legal representative; if he is insolvent it is to be given to the Official Assignee. The agent of the holder can give notice. A notice by a stranger is a nullity.

2. A party receiving notice of dishonour should, if he wishes to make a prior liable, send a similar notice to the prior party or parties, unless such prior party receives notice otherwise.

3. When the party to whom notice is sent is dead, but the party sending notice is ignorant of the fact, the notice is sufficient to bind the estate of the deceased.

4. It is not necessary to give notice to the maker of the dishonoured promissory note or the drawee or acceptor of the dishonoured bill of exchange or cheque.

Mode in which notice may be given (Section 94)

1. The notice may be oral or written. If written it may be sent by post. A notice duly addressed and posted is good even though it may be miscarried.

2. The notice may be in any form; but the language used must indicate that the instrument has been dishonoured and that the party to whom notice is being given will be held liable hereon.

3. The notice must be sent to the place of business of the party or parties, unless such prior party receives notice otherwise.

4. The notice must be sent within a reasonable time after dishonour. (See p. 309-310 for the definition of reasonable time.)

Consequence of not sending notice of Dishonour

Any person to whom notice of dishonour is not sent is discharged from his obligations under the instrument. He is not liable to pay and no suit can be filed against him.

When notice of Dishonour need not be given

It is not necessary to give notice of dishonour in the cases, and to parties, mentioned below. In these cases, the parties are liable without any notice :

1. To the maker of a dishonoured promissory note.—Sec. 93.
2. To the drawee or acceptor of a dishonoured bill of exchange or cheque.—Sec. 93.
3. When it is dispensed with by the party entitled thereto.—Sec. 98(a). [*Example* : Where an endorser writes, "Notice of dishonour waived".]
4. In order to charge the drawer when he has countermanded payment.—Sec. 98(b).
5. When the party charged could not suffer damage for want of notice.—Sec. 98(c). [*Example* : Where the drawer does not have any money.]
6. When the party entitled to notice cannot after due search be found ; or the party bound to give notice is, for any other reason, unable without any fault of his own to give it.—Sec. 9(d). [*Example* : Death or serious illness.]
7. To charge the drawers when the acceptor is also a drawer.—Sec. 98(e). [*Example* : When a firm draws a bill on its branch.]
8. In the case of a promissory note which is not negotiable.—Sec. 98(f).
9. When the party entitled to notice, knowing the facts, promises unconditionally to pay the amount due on the instrument.—Sec. 98(g).

NOTARY PUBLIC

The Notary Public is an officer appointed by the Government to exercise the functions of a Notary Public as laid down in the Negotiable Instruments Act. (Noting, Protest etc.). Formerly, Notaries Public used to be appointed by the State Government. Now, the Notaries Act of 1952 governs the profession of notaries.

Under Section 15 of this Act, the Central Government is empowered to frame rules concerning the appointment, removal and functions of notaries.

The term "Notary Public", includes the notary public of a foreign country also. *Gujrat Singh v. Jaswant Singh*.¹

NOTING

When a promissory note or bill of exchange has been dishonoured by non-acceptance or non-payment, the holder may cause such dishonour to be noted by a notary public upon the instrument, or upon a paper attached thereto or partly upon each.

Such note must be made within a reasonable time after dishonour, and must specify the date of dishonour, the reasons, if any, assigned for such dishonour, or, if the instrument has not been expressly dishonoured, the reason why the holder treats it as dishonoured, and the notary charges.—Sec. 99.

Advantages of Noting : Noting a promissory note or bill of exchange is a convenient method of regarding the fact of dishonour. If a suit is subsequently filed in the instrument, the notary public may give evidence about presentment and dishonour. A bill of exchange may be accepted for honour and paid for honour after it is noted.

Noting (and protest) is not compulsory. The procedure is not applicable to cheques.

PROTEST

Protest

When a promissory note or bill of exchange has been dishonoured by non-acceptance or non-payment, the holder may, within a reasonable time, cause such dishonour to be noted and certified by a notary public. Such certificate is called a Protest.—Sec. 100.

Protest for Better Security

When the acceptor of a bill of exchange has become insolvent, or his credit has been publicly impeached, before the maturity of the bill, the holder may within a reasonable time,

¹ AIR (1971) Supreme Court 761

cause a notary public to demand better security of the acceptor, and on its being refused may, within a reasonable time, cause such facts to be noted and certified as aforesaid. Such certificate is called Protest for Better Security.—Sec. 100.

Contents of Protest (Sec. 101)

A Protest must contain the following particulars :

- (a) either the instrument itself, or a literal transcript of the instrument and of everything written or printed thereupon ;
- (b) the name of the person for whom and against whom the instrument has been protested ;
- (c) a statement that payment or acceptance, or better security, as the case may be, has been demanded of such person by the notary public : the terms of his answer, if any, or a statement that he gave no answer, or that he could not be found ;
- (d) when the note or bill has been dishonoured the place and time of dishonour, and, when better security has been refused, the place and time of refusal ;
- (e) the subscription of the notary public making the protest ;
- (f) in the event of an acceptance for honour or of a payment for honour, the name of the manner in which such acceptance or payment was offered and effected.

A notary public may make the demand mentioned in clause (c) above either in person or by his clerk or, where authorized by agreement or usage, by registered letter.

Notice of Protest

When a promissory note or bill of exchange is required by law to be protested, notice of such protest must be given instead of notice of dishonour, in the same manner and subject to the same conditions ; but the notice may be given by the notary public who makes the protest.—Sec. 102.

Protest of Foreign Bills

Protest is compulsory in the case of a foreign bill, if it is so provided by the law of the place where it is drawn. For inland bills protest is optional.—Sec. 104.

When noting is equivalent to Protest

When a bill or note is required to be protested within a certain time or proceeding, it is sufficient if the bill or note is noted within that time or proceeding; the formal protest may be issued later.—Sec. 104A.

The difference between Noting and Protest

Noting is merely a record of the fact of dishonour. When the notary public issues a certificate stating the particulars regarding the dishonour, it is called a Protest.

ACCEPTANCE FOR HONOUR

Definition

When a bill of exchange has been noted or protested for non-acceptance or for better security, any person not already liable on the bill, may accept the bill for the honour of any party thereto.—Sec.108. This is called Acceptance for Honour.

Rules regarding Acceptance for Honour

1. *Consent* : Consent of the holder is necessary before a bill can be accepted for honour.—Sec. 108.

2. *How acceptance for honour must be made* : The acceptor for honour must, by writing on the bill in his own hand, declare that he accepts under protest the protested bill for the honour of the drawer or of a particular indorser whom he names, or generally for honour.—Sec. 109.

3. *Acceptance not specifying for whose honour it is made* : Where the acceptance does not express for whose honour it is made, it shall be deemed to be made for the honour of the drawer.—Sec. 110.

4. *Liability of acceptance for honour* : An acceptor for honour binds himself to all parties subsequent to the party for whose honour he accepts to pay the amount of the bill if the drawee does not; and such party and all prior parties are liable in their respective capacities to compensate the acceptor for honour for all loss or damage sustained by him in consequence of such acceptance.—Sec. 111, para.1.

But an acceptor for honour is not liable to the holder of the bill unless it is presented, (or in case the address given by

such acceptor on the bill is a place other than the place where the bill is made payable), forwarded for presentment, not later than the day next after the day of its maturity.—Sec. 111, para 2.

5. *When acceptor for honour may be charged* : An acceptor for honour cannot be charged unless the bill has at its maturity been presented to the drawee for payment, and has been dishonoured by him, and noted or protested for such dishonour.—Sec. 112. .

PAYMENT FOR HONOUR

Definition

When a bill of exchange has been noted or protested for non-payment, any person may pay the same for the honour of any party liable to pay the same. Such payment is called payment for honour.

Declaration : The person paying for honour or his agent must declare before a notary public the name of the party for whose honour he is paying. The notary public must record the declaration.—Sec. 113.

Right of payer for honour : Any person paying for honour is entitled to all the rights of the holder of the bill at the time of the payment. He may recover from the party for whose honour he pays, all sums so paid, with interest thereon and with all expenses properly incurred in making such payment.—Sec. 114.

Acceptance and payment without protest : A drawee in case of need may accept and pay the bill of exchange without previous protest.—Sec. 116.

EXERCISES

1. What is acceptance for honour ? How must acceptance for honour be made ? What are the liabilities of an acceptor for honour ?
(Page 349)
2. State the cases in which notice of dishonour is not necessary.
(Page 346)
3. When is a negotiable instrument considered to be dishonoured ? What are the duties of a holder upon such dishonour ?
(Page 344)
4. What is meant by 'payment for honour' and what are its peculiar features ?
(Page 350)

5. In what different ways may a negotiable instrument be dishonoured ?
What steps should be taken by the holder of a dishonoured instrument ? (Page 344)
6. When is a Bill of Exchange said to be dishonoured ? When is notice of dishonour unnecessary ? (Page 344, 345-346)
7. What are the steps which a holder of a negotiable instrument may take to protect his interest when the instrument is dishonoured ? (Page 344)
8. What is understood by protest under the Negotiable Instrument Act ? (Pages 344-345)
9. Distinguish between :
 - (a) Dishonour by Non-Acceptance and Non-payment. (Page 344)
 - (b) Noting and Protest. (Page 347)
 - (c) Acceptance for Honour and Payment for Honour. (Pages 349-350)
10. Write Notes on : Notice of Dishonour ; Notary Public ; Noting ; Protest ; Acceptance for Honour ; Payment for Honour. (Pages 344, 346, 347, 347, 349, 350)

DEFINITION

Indian merchants and indigenous bankers use various kinds of negotiable instruments written in Indian languages. Such instruments are known as Hundis.

There is evidence to show that Hundis were discovered by Hindu merchants and bankers in ancient India. The term Hundi comes from the Sanskrit word "Hund" which means "to collect".

THE LAW APPLICABLE TO HUNDI

The Negotiable Instruments Act does not apply to Hundis. A Hundi is governed by the custom and usages of the locality in which it is intended to be used. In case of dispute, the court takes evidence of local usages and applies them. If, on a certain point, there is no customary rule the court can apply the rules of the Negotiable Instruments Act.

The parties may, by express writing on a Hundi, agree that in case of dispute on that Hundi, the customary rules shall be excluded and that the provisions of the Negotiable Instruments Act shall apply.

TYPES OF HUNDI

By long usage various types of Hundis have been evolved. The principal types are described below.

Shah Jog Hundi

A Shah Jog Hundi is one which is payable only to a Shah. Shah means a respectable person, i.e., a man of money, well known to the market. A Shah Jog Hundi may be transferred from one person to another by delivery. No indorsement is required, but it will not be paid to anybody other than a Shah. No acceptance is required. A Shah Jog Hundi is similar to a crossed cheque.

Nam Jog Hundi

A Nam Jog Hundi is one which is payable to the party named in the Hundi or according to his order.

Firman Jog Hundi

A Firman Jog Hundi is one which is payable to the order of the holder.

Dhani Jog or Dekhander Hundi

These are Hundis payable to bearer.

Jawabee Hundi

A Jawabee Hundi is one through which money is remitted from one place to another. The person receiving the money has to send an answer or 'Jawab' to the remitter.

Jokhmi Hundi

A Jokhmi Hundi is a combination of bill of exchange and insurance policy. By a Jokhmi Hundi the seller of goods calls upon buyer of goods to pay the value of the goods to the holder of the Hundi. In form the Hundi is similar to a bill of exchange. The buyer of goods accepts the Hundi subject to the condition that he will pay the money mentioned in the Hundi only if he receives the goods. The seller of goods (i.e., the drawer of the Hundi) discounts the Hundi with a third party, who may be called the insurer. The third party pays to the drawer of the Hundi, the value of the Hundi less an amount calculated to be equal to the insurance premium payable for the risks involved in the carriage of the goods from the seller to the buyer. If the goods reach the buyer safely, the insurer becomes entitled to receive the full value of the Hundi from the buyer. If the goods are lost in transit, he gets nothing. Thus the insurer takes the risk of loss of goods during carriage.

A Jokhmi Hundi is advantageous to the seller of goods because he gets the purchase price (less insurance premium) immediately. It is also advantageous to the buyer because he incurs no liability unless he receives goods.

General Terms

There are certain general terms applicable to all types of Hundis. Hundis payable at sight are called *Darshani Hundis*. Hundis payable after a specified period are called *Miadi* or *Muddati Hundis*. A Hundi paid up and cancelled is called *Khokha*. Sometimes a Hundi is accompanied with a letter written

by the drawer or any other prior party addressed to some respectable person requesting him to pay the amount due on the Hundi in case the drawee fails to pay. Such a letter is known as the *Zickri Chit* or the *Tickri Chit*. It is a procedure for protecting the holder against non-payment. The person to whom the letter is addressed, acts somewhat like an acceptor for honour. But he will pay the money without prior noting or protest. The provisions of Negotiable Instruments Act regarding noting and protest do not apply to Hundis.

The term *Peth* is sometimes used to denote the duplicate of a Hundi given when the original is lost. The duplicate of a duplicate is called *Perpeth*.

EXERCISE

1. What is Hundi? Are Hundies governed by the Negotiable Instruments Act? (Page 352)

Law

The law relating to banking in India is contained in the following statutes : (1) Indian Contract Act (2) Negotiable Instruments Act (3) Companies Act and (4) Banking Companies Act.

The first two Acts contain the rules regulating the relationship between the banker and the customer and the last two deal with the organisational aspects of banking, *i.e.*, rules regarding the structure, constitution and control of banks. As regards the relationship between the banker and customer, the Indian statutes are not comprehensive. The courts apply rules of English common law to decide points not fully covered by the Indian Acts.

Definition of Banking

The Banking Companies Act of 1949 defines *banking* as, "accepting, for the purpose of lending or investment, of deposits of money from the public, repayable on demand or otherwise and withdrawable by cheque, draft or otherwise." A *banking company* is defined by the Act as a company registered under the Companies Act and carrying on the business of banking. Industrial enterprises accepting deposits for finance, are expressly excluded from the definition of banking companies. The Act provides that banking companies must take out a licence from the Reserve Bank of India. An unlicensed company or firm cannot use the word Bank, Banker or Banking as a part of its name.

Banker and the Customer

There are conflicting judicial decisions on the definition of the term "customer of a bank". The prevailing opinion is that a customer is one who has an account with the bank in question or one who uses the services of the bank. The time period of the relationship is not important. But a casual service, *e.g.*, cashing a cheque for a friend of a customer, paying life insurance premium or to buy a draft, does not create the relationship of banker and customer. There must be some element of regularity or permanence.

Duties of the Banker

Subject to the rules laid down in the Negotiable Instruments Act regarding the duties and liabilities of bank, the relationship between the banker and his customer is regulated by contract between them. The legal relationship is essentially contractual. The terms of the contract between the parties are to be found (i) in the rules and regulations of the bank notified to the customer at the time when an account is opened and (ii) from the course of dealings between the parties where such dealings have taken place for some time.

As regards moneys deposited by the customer, the banker is the debtor and the customer is the creditor. The reverse is the position as regards moneys lent by the bank to the customer.

A bank may, by agreement with his customer, undertake various duties on behalf of the latter. The important duties are the following :

1. The banker must honour cheques drawn by the customer.
2. The banker must collect cheques and drafts on behalf of the customer.
3. A banker is bound to act according to the directions given by the customer and in the absence of such directions according to the usage prevailing at the place where the banker conducts his business and applicable to the matter in hand.
4. The banker is also bound to use reasonable skill and diligence in his work. *Kesharichand v. Shillong Banking Corpn.*¹
5. The banker must keep accurate records of all the transactions of the customer.
6. The banker must not disclose the customer's account and/or his affairs.
7. There is a general lien of the bankers. According to section 171 of the Contract Act the banker can retain the goods and securities of the customer for all the dues of the banker.
8. The banker can claim from the customer the incidental charges and expenses.
9. When the customer has two or more accounts in the bank, the banker can set-off the debit items from the credit items when payable.

¹ AIR (1965) Supreme Court 1711

10. An overdraft arrangement between the Bank and its customer is a contract. It cannot be terminated by the Bank unilaterally, even if it is a temporary one. *Indian Overseas Bank, Madras and another v. M/s Narendraprasad Govindlal Patel, Ahmedabad.*¹

PAYMENT OF CHEQUES BY BANKS

When Banker is bound to pay a Cheque

Section 31 of the Negotiable Instruments Act provides that, "The drawee of a cheque having sufficient funds of the drawer in his hands, properly applicable to the payment of such cheque must pay the cheque when duly required so to do, and in default of such payment, must compensate the drawer for any loss or damage caused by such default."

It follows from the above that the banker is bound to pay a cheque drawn by a customer provided the following conditions are satisfied.

1. There must be sufficient funds to the credit of the drawer. But if there is an overdraft arrangement, the cheque must be paid even though there is no fund, provided the amount drawn comes within the arrangement. If a bank has branches, the cheque must be on the branch where the account is. When a customer deposits cheques or drafts for collection, he cannot draw cheques on the amount to be collected until after a reasonable time has been given to the bank for collecting it.

2. The funds must be properly applicable of the payment of the cheque. An account for one purpose cannot be drawn upon for another purpose, e.g., a trust account cannot be drawn upon in the personal capacity of the trustee. If the account is subject to any limits as regards drawing (e.g., 100 cheques per annum, 10% of the balance or Rs. 1000) the cheque must be within these limits.

3. The bank must be *duly* required to pay the cheque. The cheque must be properly drawn and presented within the usual banking hours. The signature of the drawer must be identical with his specimen signature kept within the bank. The cheque must not be post-dated or stale and must not contain unsigned alterations.

¹ AIR (1980) Guj 158

When Banker may refuse to pay a Cheque

A banker may refuse to pay a customer's cheque under the following circumstances :

1. If there are insufficient funds of drawer and there is no overdraft arrangement.
2. If the cheque is not properly drawn, *e.g.*, if it is ambiguous or illegible or contains unsigned alterations or if the signature does not tally with the specimen signature of the drawer or if it is undated or post-dated or stale otherwise irregular.
3. If the cheque is not presented at the branch in which the customer has an account and within banking hours.
4. If the bank has a claim for a set off or a lien on the funds of the customer, the bank may refuse to pay any cheque in excess of the balance above the claim or lien.

When Banker must refuse to pay a Cheque

Under the following circumstances a banker must refuse to pay a cheque :

1. If the customer countermands payment, *i.e.*, instructs the banker not to pay. The instructions countermanding payment must be properly communicated to the bank. *Courtice v. London City and Midland Bank*.¹
2. If after the issue of a cheque the customer dies and the bank receives notice of the death. The same rule applies in the case of lunacy of the drawer.
3. If the bank receives notice of the insolvency of the customer. Upon insolvency a person loses the right to deal with his money and properties.
4. In the case of a cheque drawn by a company, if the bank receives notice of a winding up order against the company.
5. If the bank is served with a garnishee order or if the moneys of the customer are attached in execution of a decree of a court. (A garnishee order is an order by the court directing a person, having in his custody money belonging to another, to pay the money to some other person.)
6. If the customer has assigned his credit balance and the bank receives notice of that fact.

¹ (1908) 1K.B. 293

7. If the drawer informs the bank that the cheque is lost.

8. If the banker has reason to believe that the title of the person presenting cheque is defective.

Liability of the Banker

A banker is entitled to refuse to pay a customer's cheque only in the cases mentioned above. If the banker dishonours a customer's cheque without justification he is liable to pay damages to the customer. Only the customer is entitled to sue, not the holder or the payee. But where the banker admits to the holder that the customer has money or contracts with him to pay it, the holder may sue. The reason why the holder cannot sue (except under special circumstances) is that the drawing of a cheque does not operate as an assignment of money and the holder cannot claim to sue as an assignee.

The wrongful dishonour of a cheque amounts to a breach of contract on the part of the banker. It also injures the credit of the customer in the market and therefore amounts to a libel. The customer is entitled to damages on both these grounds.

Formerly heavy damages used to be awarded for wrongful dishonour of a cheque. In recent times the tendency is to limit damages to the actual injury suffered, except in the case of trader's cheques where substantial injury is presumed.

When a cheque is improperly paid, the customer's account cannot be debited with the payment and the banker will have to bear the loss.

Example :

A cheque was drawn by a customer on the bank marking 'payee's account'. The cheque on face of it was tempered and converted into a bearer cheque. The bank was negligent in making payment to bearer instead of payee. Held, the bank is bound to reimburse the customer. *Ladies Beauty v. State Bank of India*.¹

Protection given to a paying banker

When is the Bank discharged ?

A banker is protected if a cheque is paid under circumstances which makes the payment, "a payment in due course" as defined in Section 10 of the Negotiable Instruments Act. (See p. 331)

"Payment in due course means payment in accordance with

¹ AIR (1984) Guj 33

the apparent tenor of the instrument in good faith and without negligence to any person in possession thereof under circumstances which do not afford a reasonable ground for believing that he is not entitled to receive payment of the amount therein mentioned.”—Sec. 10.

When payment is made in due course, the customer's account can be debited with the money paid. The banker is not liable even if it subsequently transpires that payment has been made to the wrong person (*e.g.*, where the holder has obtained the cheque dishonestly).

Where a cheque payable to order purports to be endorsed by or on behalf of the payee the drawee is discharged by payment in due course.—Sec. 85(1).

Where a cheque is originally expressed to be payable to bearer, the drawee is discharged by payment in due course to the bearer thereof, notwithstanding any endorsement whether in full or in blank appearing thereon and notwithstanding that any such endorsement purports to restrict or exclude further negotiation.—Sec. 85(2). This section lays down the rule, “once a bearer cheque, always a bearer cheque”. (See p. 321).

In the case of a crossed cheque the liability of the paying bank is discharged by payment in due course to the bank presenting the cheque for payment. It is not the duty of the paying bank to see that the money reaches the true owner.—Sec. 128.

Forged Cheques

A cheque, with the drawer's signature forged, is a nullity and if a bank pays such a cheque, the customer is not liable and his account cannot be debited with the payment. It has been held in several cases that a banker is expected to know his customer's signature.

Cheques with Alterations

An alteration which is countersigned or initialled by the drawer is immaterial. But an unsigned alteration of a material part of a negotiable instrument makes it invalid. A banker, however, is protected if he pays a cheque with alterations under the following circumstances : (i) if the alteration is not apparent and (ii) if the payment is according to the apparent tenor of the instrument.—Sec. 89.

Therefore, where the alteration is noticeable on reasonable scrutiny and the banker pays the money, he is not entitled to debit the customer's account with the payment.

Duties of Customers

In some English cases it has been held that the customer owes a duty to his bank not to do anything which will facilitate subsequent alterations or forgery and where the customer is guilty of facilitating such forgery or alteration, he is estopped from denying his liability to be debited with the payment. *Examples of negligence by customer* : keeping a blank space between the name of the payee and the expression "or order" or before and after figures ; not keeping the cheque book under lock and key, etc.

COLLECTION OF CHEQUES AND DRAFTS

A customer may deposit a cheque or draft in his bank for collection or may negotiate it to the bank. In the latter event, the bank becomes the indorsee of the instrument and if it is dishonoured the loss falls on the bank. If, however, a cheque or draft is deposited for collection only, the bank becomes the agent of the customer and in case of dishonour the loss falls upon the customer. Whether in a particular case the bank is indorsee or merely agent for collection, depends on the circumstances of the case.

When a bank acts as the agent for collection it has certain duties to perform. It must exercise due diligence, *i.e.*, present the instrument for payment within reasonable time. What is reasonable time depends upon the circumstances of the case. In some English cases it has been held that for bankers in the same town, one day is reasonable time ; for places outside the town, the cheque must be forwarded for collection within one day. If for failure to present the cheque within reasonable time the customer suffers damage, the bank is liable. If the instrument deposited for collection is dishonoured, the banker must inform the customer.

A bank may collect bills of exchange on behalf of a customer. In such cases it must present the bills for acceptance and payment within reasonable time and must give due notice of dishonour if necessary.

If a cheque is negotiated to the bank by the customer, it becomes the owner of the cheque and can enjoy the protection afforded to the holder in due course in appropriate cases.

Protection given to Collecting Bankers

Section 131 of the Negotiable Instrument Acts provides as follows :

"A banker who has in good faith and without negligence received payment for a customer of a cheque crossed generally or specially to himself shall not, in case the title to the cheque proves defective, incur any liability to the true owner of the cheque by reason of having received such payment.

Explanation—A banker receives payment of a crossed cheque for a customer within the meaning of this section notwithstanding that he credits his customer's account with the amount of the cheque before receiving payment thereof."

The meaning of the aforesaid section is that if it turns out that the customer depositing a cheque had no title to the money, the collecting bank is not liable to pay compensation to the true owner, provided the following conditions are satisfied :

1. The collecting bank acted in good faith and without negligence. The existence of any suspicious circumstances puts the bank upon enquiry and the absence of enquiry amounts to negligence and want of good faith.

2. The collecting bank must have been acting on behalf of a customer, *i.e.*, a person having an account with the bank or dealing regularly with it.

3. The cheque in question was a crossed cheque.

4. The bank was acting as agent for collecting and was not an indorsee of the cheque.

The explanation makes it clear that a bank may credit the customer with the amount of the cheque before collection and that such prior credit is immaterial to the question of the liability of the bank to the true owner.

EXERCISES

1. Discuss the law relating to crossed cheques with special reference to the liabilities of the collecting bank in respect thereof.
(Pages 358-361)
2. Enumerate the circumstances under which a banker can refuse to honour a customer's cheque.
(Pages 357-359)
3. Discuss the circumstances under which a banker receiving payment of a cheque is protected.
(Pages 359-360)
4. Under what circumstances can a banker refuse to honour his customer's cheques?
(Pages 358-359)

BOOK V

THE LAW RELATING TO CARRIAGE

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LEGISLATION RELATING TO CARRIAGE

The law relating to carriage may be studied under three heads : (i) Carriage by Land, including inland navigation, (ii) Carriage by Sea and (iii) Carriage by Air. This is a convenient classification because these three branches of the law of carriage are governed by different principles and different statutes.

Indian statutes relating to the law of carriage are mentioned below :

1. Carriage by Land—

- (i) The Common Carriers Act, 1865, which deals with Common carriers of goods over land and inland waterways.
- (ii) The Railways Act, 1890, which deals with carriage by railways.

2. Carriage by Sea—

- (i) The Indian Bills of Lading Act, 1856.
- (ii) The Carriage of Goods by Sea Act, 1925.
- (iii) The Merchant Shipping Act, 1958.
- (iv) The Marine Insurance Act, 1963.

3. Carriage by Air—Carriage by Air Act, 1972.

The statutes mentioned above are not exhaustive. On all points not specifically covered by them, Indian courts apply principles of English law as rules of equity and goods conscience.

CARRIERS : DEFINITION, CLASSIFICATION AND CHARACTERISTICS

Definition

Any person or an organisation, by an express or implied contract, with or without remuneration, carries goods and/or passengers, is called a Carrier. Government services can be called carrier if it comes within the above definition, e.g., Indian Railways, Calcutta State Transport Corporation, C. T. C. etc.

Classification

Carriers may be classified into carriers of goods and carriers

of passengers. The same carrier may of course carry both goods and passengers.

It is more usual to classify carriers into Common Carriers or Public Carriers, and Private Carriers.

Common Carriers or Public Carriers

In English law a Common carrier is defined as one who undertakes to carry for hire, from place to place, the goods of anyone who employs him. The essential features of a common carrier, according to English law, is that he is prepared to carry the goods of anyone without discrimination. If a carrier reserves to himself the right to reject an offer (even if there is accommodation in the carriage and the offeror is prepared to pay the usual freight) he is not a common carrier. *Belfast Ropework Co., v. Bushell*.¹ Example : A lorry of a Transport Company or a Tempo.

In Indian law the term common carrier is used in a restricted sense. The Common Carriers Act of 1865 defines a common carrier as any individual, firm, or company (other than the government) who transport goods, as a business, for money, over land or inland waterways, without discrimination between different consignors.

Is the Post-Office a Common Carrier ?

The post office is not a common carrier. It is not an agent of the sender to deliver a postal article to the addressee. It is really a branch of the Public Service providing postal services subject to the provisions of the Post Office Act and the rules made thereunder.

A resident of India sent value-payable article to an addressee in Pakistan and the Pakistan Government, though realised the value of the article, did not hand it over to the Government of India. Held, the Government of India is not liable. *Union of India v. Mohd. Nazim*.²

Characteristics of Common Carriers

The characteristics of a common carrier in India are as follows :

¹ (1918) 1 K.B. 210

² AIR (1980) Supreme Court. 431

1. It may be a firm or an individual or a company. But the government is not included in the category. The post office is not a common carrier, although it may carry goods.

2. Only carriers of goods come within the definition. A carrier of passengers is not a common carrier.

3. A common carrier is one who carries goods for business and money. From this it follows that one who carries goods occasionally is not a common carrier. Also one who carries goods free is not a common carrier.

4. A common carrier is one who is ready to carry the goods of any person without any discrimination.

5. The term common carrier is applied only in the case of carriage by land and over inland water-ways.

Private Carrier

A private carrier is one who does not do regular business as a carrier but occasionally carries goods for money. Suppose that a contractor has a lorry which he uses mainly for transporting his own goods but sometimes he lets it out on hire to others. The contractor is a private carrier. From the occasional nature of a private carrier's job, it follows that he can discriminate between different hirers. He is not bound to carry the goods of any and everybody. A common carrier (subject to certain exception) is bound to do so. *Example* : A private lorry.

Gratuitous Carrier

A gratuitous carrier is one who carries goods (or passengers) without any charge. The owner of a motor car who gives a lift to a friend is a gratuitous carrier.

DIFFERENCES BETWEEN COMMON CARRIERS AND PRIVATE CARRIERS

1. A common carrier is one whose business is carriage of goods for hire. A private carrier is an occasional carrier.

2. A common carrier is bound to carry the goods of any person who is ready to pay the usual freight, provided certain conditions (relating to space, type of goods, etc.) are fulfilled. A private carrier is free to carry goods or not as he pleases.

3. The liabilities of a common carrier are determined by the Common Carriers Act, 1865. A private carrier is not governed by this Act. His position is that of a bailee.

DUTIES OF A COMMON CARRIER

The duties of a common carrier in India are determined by the Common Carriers Act and (as regards points not covered by this Act) by the rules of English law. The duties can be summed up as follows :

1. Must carry goods without Discrimination

A common carrier is bound to carry the goods of every person, without any distinction. But certain exceptions are recognised. A common carrier can refuse to carry under the following circumstances :

- (a) if the customer is not willing to pay reasonable charges for the carriage ;
- (b) if there is no accommodation in the carriage ;
- (c) if the goods are dangerous or are of a type which the carrier is not accustomed to carry ; and
- (d) if the goods are to be carried over a route with which the carrier is not familiar. (A carrier is entitled to confine himself to the carriage of a particular type of goods and/or over particular route. In such cases the carrier can refuse to carry the goods over unaccustomed routes and to carry goods which he does not usually carry.)

If a carrier, without any of the reasons mentioned above, refuses to carry the goods of a person, he can be sued and the customer can recover damages. *G. W. Rly Co. v. Sutton*.¹

2. Within time and at the place

The carrier must deliver the goods at the agreed time-or (if no time had been agreed upon) within a reasonable time. The place of delivery is subject to contract. *Bontex Knitting Works Ltd. v. St. John's Garage*. See p. 164.

3. With Safety

The goods must be carried with reasonable precautions for their safety and over the usual and ordinary route.

4. Must Insure

According to English Common Law a common carrier of goods is an insurer, i.e., he is bound to indemnify the owner

¹ (1869) 4 H.L. 226

in full for loss or damage to the goods in course of carriage. This liability is subject to certain exceptions. (See next section). This principle has been applied in a Madras Case. *B. Chalapathi v. Official Assignee*.¹ There is no decision on the subject in the Supreme Court of India yet.

5. Without Deviations

Deviations are not permitted unless rendered necessary by exceptional circumstances.

RIGHTS OF A COMMON CARRIER

1. *When not bound to carry goods* : A common carrier is not bound to carry goods under certain circumstances, e.g., when he has no room, when the goods are dangerous or not of a type he is accustomed to carry, or when he is asked to carry goods to a destination to which he does not ordinarily travel.

2. *Entitled to reasonable charges* : He is entitled to reasonable charges for his work. He can allow concession rates to some customers but cannot demand unreasonably high payments from anybody. What is reasonable depends on the circumstances of the case.

3. *Has lien* : He has lien on the goods for his remuneration and can refuse to deliver the goods until his dues are paid. This is known as the Carrier's Lien.

4. *Steps for refusal of delivery* : If the consignee refuses to accept delivery of the goods, the carrier is at liberty to take such steps as are reasonable and prudent under the circumstances. He can recover all reasonable expenses incurred by him in this connection from the party with whom the contract of carriage was entered into.

5. *Damages* : The carrier is entitled to recover damages from the consignor if the goods given for carriage are dangerous or are loosely packed and the carrier suffers injury therefrom. *Bamfield v. Goole & Sheffield Transport Co.*²

6. *Exemptions* : The carrier can, subject to the provisions of the Carriers Act, enter into special contracts exempting him from liability under stated circumstances.

¹ AIR (1978) Mad. 112

² (1910) 2 K.B. 94

THE LIABILITIES OF A COMMON CARRIER

English Law

According to English Common Law a common carrier of goods is an insurer, i.e., he is bound to indemnify the owner in full for any loss or damage to the goods in course of carriage. This rule of full liability is subject to certain exceptions. The carrier is not liable in the following cases :

- (a) When damage is caused by an Act of God, by which is meant a natural calamity like a storm or earthquake.
- (b) When damage is caused by the enemies of the state, e.g., during wars.
- (c) When damage is caused by some inherent defect in the goods or negligence of the consignor.
- (d) When there is a special agreement limiting the liability of the carrier.
- (e) There is no liability for damages caused after the goods arrive at their destination.

Indian Law

The liabilities of a common carrier of goods in India are laid down in the Common Carriers Act of 1865. This Act divides goods into two categories : Scheduled and Non-schedule. Scheduled goods are certain articles enumerated in a schedule to the Act. They are valuable articles like gold, silver, jewellery, paintings, silk, title deeds, currency notes and coins, etc. All other articles are non-scheduled.

Rules : The rules regarding the liability of common carriers in India are summarised below :

1. For Scheduled articles exceeding Rs.100 in value, the carrier is liable for all loss and damage,
 - (a) If the value and the description of the goods are disclosed by the consignor to the carrier, or
 - (b) If the loss or damage is due to a criminal act of the carrier, his agent or servant.
2. The common carrier can charge extra for carrying scheduled articles but cannot limit his statutory liability by any special agreement.
3. " The liability of a common carrier can be limited by agreement under the provisions of Sections 6 and 8 (of the Act

of 1965) but that there must be a limitation of the liability". *M. G. Brothers Lorry Service v. Prasad Textiles*.¹

4. The common carrier is responsible for loss or damage caused by negligence of criminal acts done by himself, his agents or servants. *Bontex Knitting Works Ltd. v. St. John's Garage*.² (See p. 164)

5. In case of loss or damage, the claimant must notify the carrier within six months of the date of knowledge of the loss or damage.

6. The above rules apply only to common carriers as defined by the Common Carriers Act of 1865. Thus, they do not apply to carrier of passengers or to railways.

7. **Measure of damages** : The measure of damages for delay for goods lost or damaged, is the difference between the value of the goods at the time when they ought to have been delivered and at the time when they were actually delivered. *Wilson v. Lancashire and Yorkshire Railway Co.*³

"It is well settled that it is the market price at the time the damage occurred which is the damage to be awarded." *Union of India v. West Punjab Factories Ltd.*⁴

See also *Hadley v. Baxendale*.⁵ (See p. 132)

RIGHTS, DUTIES AND LIABILITIES OF OTHER CARRIERS

Private Carrier

A private carrier is not governed by the Common Carriers Act, 1865. Hence his position is that of a bailee. He has the same rights, duties and liabilities as a bailee under the Contract Act. Thus he is bound to take as much care of the goods entrusted to him as a man of ordinary prudence would take under similar circumstances, of his own goods of the same quality, bulk and size. (Sections 151, 152, and 161, Contract Act. See pp. 162, 164)

Gratuitous Carrier

A gratuitous carrier is in a position of a bailee. But if such a carrier agrees to carry the goods, he must also do the duties

¹ AIR (1984) Supreme Court 15

² (1944) 2 All E. R. 690

³ C.B. (N.S) 632

⁴ AIR (1966) Supreme Court 395

⁵ (1854) 9 Ex. 341

of the carrier. If a person undertakes to perform a voluntary act, he is liable if he performs it improperly. Negligence by the carrier is actionable.

It is to be noted that an agreement of carriage with a gratuitous carrier is void because of want of consideration. Therefore no action can be taken against him for refusing to carry the goods' even though he has undertaken to do so.

CARRIERS OF PASSENGERS

A carrier of passengers may be a common carrier or a private carrier or a gratuitous carrier. A common carrier of passengers is one who is ready and willing to accept anybody as a passenger, e.g., a bus, a train or a taxi. A private carrier of passengers is one who occasionally carries passengers for hire. A gratuitous carrier of passengers is one who takes a passenger without charge.

Carriers of passengers are not subject to the Common Carriers Act of 1865. Some rules concerning such carriers are to be found in local statutes like the Motor Vehicle Acts and the Police Acts. The important rules regarding carriage of passengers are given below :

1. In the absence of any Indian statute dealing with the matter, the general principles concerning carriage of passengers must be deduced from the English common law.

2. A common carrier of passengers is bound to carry any member of the public who is desirous of being carried, except in the following cases :

- (a) When the passenger is not willing to pay the stated fare.
- (b) When the passenger is unfit, *i.e.*, suffering from some disease or infirmity.
- (c) When there is no accommodation.

3. The common carrier of passengers is not an Insurer. He must, however, take due care and exercise due diligence. He is liable for injuries caused by negligence to paid passengers and also to passengers travelling free with his knowledge and consent. But a passenger who, without the consent of the carrier is travelling without payment, is a trespasser and is not entitled to damages even though caused by negligence.

4. A passenger injured by negligence is not entitled to damages if he is himself guilty of negligence. This is known as the principle of contributory negligence.

5. The common carrier of passengers can limit his liabilities by contract with his passenger.

6. Private and gratuitous carriers of passengers are not bound to accept any person as passenger. They can choose which passenger to carry. But they are liable for loss or damage to the passenger in case of negligence.

DUTIES OF RAILWAYS

Under the Railways Act, the railway administration has certain *statutory duties*. These duties are similar to the duties of a common carrier as provided under the Common Carriers Act of 1865 and the rules of English common law. Section 28 of the Railways Act of 1890 provides as follows :

“A railway administration shall not make or give any undue or unreasonable preference or advantage to, or in favour of, any particular person of railway administration, or any particular description of traffic, in any respect whatsoever, or subject to any particular person or railway administration or any particular description of traffic to any undue or unreasonable prejudice or disadvantage in any respect whatsoever.”

The railway administration is bound (like a common carrier) to carry goods of every person provided the necessary freight is paid and the regulation concerning packing etc, are observed. The railway administration is also bound to carry every passenger who pays the necessary fare. It cannot discriminate between different passengers on any ground. It can therefore be said that the railway administration is a common carrier, so far as its duties are concerned.

LIABILITIES OF RAILWAYS

The responsibility of the railway administration as carriers is stated in detail in Ch. VII of the Railways Act. The important provisions are summarised below.

1. Responsibility as Bailee

A railway administration is responsible as a bailee under sections 151, 152 and 161 of the Contract Act for the loss, destruction, damage, deterioration or non-delivery of goods carried by railway within a period of seven days after the termination of transit. This rule does not apply in the case of

goods carried at owner's risk rates, certain valuable goods, animals and dangerous goods. (See below under paras 6, 13 and 14).

2. General Responsibility

Subject to the rules stated in para 3, a railway administration is responsible for the loss, destruction, damage, deterioration or wastage in bulk or weight due to inherent defect, to the administration to be carried by railway, arising from any cause *except the following* : (a) act of God ; (b) act of war ; (c) act of public enemies ; (d) arrest, restraint or seizure under legal process ; (e) orders or restrictions imposed by the Central Government or a State Government or by any officer or authority subordinate to them, authorised in this behalf ; (f) act or omission or negligence of the consignor or the consignee or their agent or servant ; (g) natural deterioration or wastage in bulk or weight due to inherent defects, quality or vice of the goods ; (h) latent defects ; (i) fire explosion or any unforeseen risk.—Sec. 73.

3. Reasonable Foresight and Care

Even in the exceptional cases noted above, the railway administration shall not be relieved of its responsibility unless it proves that it has used reasonable foresight and care in the carriage of the animals or goods.—Sec. 73.

4. When not Responsible for Damages

Notwithstanding any of the provisions stated above, the railway administration is *not* responsible for damages in the following cases :

(a) Where goods have been despatched with a description which is materially false, and the damages have been brought about by such false description.

(b) Where there has been fraud practised by the consignor or the consignee or their agents.

(c) Where it is proved that damages or non-delivery is caused by (i) improper loading or unloading by the consignor or the consignee or their agents, or (ii) riot, civil commotion, strike, lockout, stoppage or restraint of labour from whatever cause, partial or general.

(d) For any indirect or consequential damages or for loss of particular market.—Sec. 78.

5. Forwarding Note

Every consignor of goods or animals must execute a Forwarding Note in the form prescribed by the railway administration and approved by the Central Government. Four types of Forwarding Notes are in general use. Each type covers a particular kind of goods. Each Forwarding Note contains (a) particulars of the goods carried and (b) the terms of carriage including a statement of the extent of the liability of the railway administration for loss or damage.—Sec. 72.

6. Goods at Owner's Risk Rates

Goods may be carried, if the sender so requests, at what is called owner's risk rates. The rates are low and the railway administration is not responsible for any loss except in cases of negligence and misconduct by the railway or its servants. When goods are sent at owner's risk rates, a particular form of Forwarding Note is used. If goods, carried at owner's risk rates, are damaged, the railway administration is bound to disclose how the consignment was dealt with during carriage. Where, from the disclosure made, it cannot fairly be inferred that there was negligence or misconduct the burden of proof that there was negligence or misconduct is upon the consignor.—Secs. 74, 76F.

7. Delay or Detention

The railway administration is responsible for damages caused by delay or detention in transit unless it proves that the delay or detention arose without negligence or misconduct on its part or any of its servants.—Sec. 76.

8. Deviation

There is no breach of contract by reason only of deviation of route, if such deviation is due to reasons beyond the control of the administration, e.g., congestion in the yard.—Sec. 76A.

9. Forgery or defective Receipt

When delivery is given to the person who produces the original railway receipt, the railway administration is not responsible if it turns out that he was not legally entitled to delivery or that the endorsement on the receipt was forged or otherwise defective.—Sec. 76B.

10. Termination of Transit

The railway administration is not responsible for damage after the wagon is placed at the siding where delivery is to be taken and the owner has been informed in writing.—Sec. 76C.

The Railway administration is not responsible in any case for damage etc. after the expiry of seven days after the termination of transit.—Sec. 77. (The Railway Act was amended on 22nd December, 1972, providing that the period of termination of transit is 7 days. Formerly it was 30 days).

11. Defective Goods

When the goods are in a defective condition or are defectively packed and the fact is noted in the forwarding note, the railway administration is not responsible for loss or damage except upon proof of negligence or misconduct on its part or on the part of its servant.—Sec. 77C.

12. Open Trucks

When goods which, under ordinary circumstances, would be carried in closed trucks are at the request of the sender carried in open trucks, the railway administration is not responsible for damages that may arise from such carriage in open trucks.—Sec. 75A.

13. Animals

In the case of animals, the railway administration is not liable for loss or damage beyond certain amounts mentioned in the 1st Schedule to the Act. They are as follows : elephants Rs. 1500 per head ; horses—Rs. 750 per head ; mules, horned cattle, and camels—Rs. 200 per head ; and in all other cases—Rs. 30 per head. The railway may accept a higher liability if the animal is specially valuable. In such cases the value of the animal must be mentioned in the forwarding note and a higher freight must be paid. The railway is in no case responsible if the loss or damage is due to any action of the animal itself.—Sec. 77A.

14. Valuable Goods

When the parcel or package delivered for carriage contains goods of the kind mentioned in the 2nd schedule to the Act, the consignor is required (if the value of the goods exceeds

Rs. 500) to disclose the value and contents of the parcel or package. (The goods mentioned in the schedule are valuable goods like gold, silver, silk, coins and notes etc.) The railway can demand additional freight for such consignments. When such additional freight is paid and the requisite declaration is made, the railway is liable to make good any loss or damage to the article. If no declaration is made, the railway is not responsible. The railway officials may examine the contents of the package to be sure of the description and valuation.—Sec. 77B.

15. Passengers' Luggage

The railway administration is responsible for luggage which is booked and handed over to it for carriage in the luggage van. For goods carried by the passenger in his charge, the railway is not responsible unless it is shown that damage was caused by negligence or misconduct on its part or any of its servants.—Sec. 75.

16. Injury and Death in Accidents

The railway administration is liable to pay compensation for death and personal injury to a passenger and damages to goods and animals (owned by the passenger and accompanying him) caused by a railway accident. The compensation will have to be paid even if the accident is not caused by wrongful act, neglect or default of the railway administration. The maximum amount for which the railway is liable is Rs. 50,000 in respect of any one person. But according to the Indian Railways (Amendment) Act, 1983, the amount have been raised to Rs. 1 lakh in respect of any one person.—Sec. 82A.

17. Compensation

The Government of India has framed certain Rules under the Railways Act for injuries in accidents which compensation will be paid. Some examples are stated below—amputation before shoulder—Rs. 40,000 ; loss of one eye—Rs. 20,000 ; loss of thumb—Rs. 15,000 etc.

Examples :

- (i) Some goods were consigned on a railway at "owner's risk". At night the goods were stolen. There was no watchman at that time. Held, the loss of goods was due to negligence of the Railway Administration. *Juggal Kishore v. Union of India*.¹

¹ AIR (1965) Pat. 196

- (ii) Some goods were destroyed by fire. The Railway extinguish the fire after six hours. There was no explanation for the delay. For negligence, damages were awarded. *Union of India v. Shri Ramesh Cotton Mills Ltd.*¹

RIGHTS OF RAILWAYS

The Act gives certain privileges to the railway administration. Bye-laws may be framed regarding the mode of carriage of goods and passengers. No person is allowed to carry dangerous or offensive goods. Violation of the provision of the Railways Act and of the bye-laws are punishable by the court (e.g., travelling without tickets, carrying dangerous goods etc.). The railway possesses a lien on the goods carried, for freight and other charges, if any.

Notice of Claim

In case of loss, destruction, damage, deterioration or non-delivery of animals or goods, there must be notice in writing within six months of the date of delivery. The claim must be submitted to the railway administration (a) to whom goods were delivered for carriage, or (b) to the station which is likely due to arrive.

Disposal of Unremoved Goods

The Indian Railways Act was amended in 1976 providing that essential goods booked to certain notified stations must be removed within seven days from the termination of transit. Essential goods means food stuffs, sugar etc. Stations means certain prescribed stations. If the goods are not removed within seven days, the goods are to be confiscated and to be sold by public auction. The sale is to be notified to local newspapers or any other prescribed manner. The goods may be sold to co-operatives. The sale proceeds will be given to the owners, less the expenses of the railways.—Sec. 56 B to E.

EXERCISES

1. (a) What do you mean by a common carrier? (b) State the rights and liabilities of a common carrier? (Pages 365, 368-370)

¹ AIR (1978) Supreme Court 1491

2. What are the liabilities of a common carrier? Is a common carrier bound to deliver goods to the consignee at the place of destination?
(Page 369; Para 4, page 368)
3. State the liabilities of common carriers with reference to leading cases.
(Page 369)
4. What are the liabilities of a private carrier in Indian Law?
(Page 370)
5. How do you distinguish between common carrier and private carrier? To what extent do Railways in India discharge the duties of carriers?
(Pages 366, 372)
6. What are the rights and liabilities of the Railway in India.
(Pages 372-377)
7. Discuss the rights and liabilities of common carriers. (Page 369)
8. Write notes on : Common Carrier; Private Carrier; Gratuitous Carrier; Carriers of Passengers. (Pages 365, 366, 370, 371)
9. Objective questions. Give short answers.
 - (i) Give one example of each of common carrier and private carrier.
(Page 365)
 - (ii) Is the Post Office a common carrier? (Page 365)
 - (iii) "A common carrier has a lien in the goods carried for his charges". True or False?
(Page 368)

LAW RELATING TO SEA CARRIAGE

Carriage of goods by sea from any port in India to any other port, in or outside India, is governed by the Carriage of Goods by Sea Act of 1925. This Act is based upon the recommendations of the International Conference on Maritime Law held in Brussels in 1922. The conference drew up a draft convention for adoption by the leading maritime nations of the world. The object was to secure uniformity of laws as regards the rights and liabilities of carriers by sea and the rules regarding bills of lading.

The Merchant Shipping Act of 1958 was passed with the object of amending and consolidating the Indian law relating to merchant shipping.

THE CONTRACT OF AFFREIGHTMENT

The contract to carry goods by sea is called the Contract of *Affreightment*. The consignor (or his agent) and the shipowner (or his agent), are the two parties to the contract. The consideration paid for the carriage is called the *Freight*.

The contract of affreightment may be incorporated in a formal document containing the terms of the agreement between the parties. Such a document is called a *Charter-Party*. Sometimes, there is no formal document; the shipowner merely gives a receipt for the goods and in the receipt (known as the *Bill of Lading*) some of the terms of the contract are written down.

✓ CHARTER-PARTY

Definition

A Charter-party may be defined as an agreement in writing for the purpose of hiring an entire ship or a part thereof for the purpose of carriage of goods. The person hiring the ship or a part of it is called the charterer.

Classification

The following types of charter-party are found :

1. A charter-party for a particular period of time is called a Time Charter.

2. A charter-party for a particular voyage is called a Voyage Charter.

3. (The terms of the Charter-party may amount to a lease or demise of the whole ship to the charter for a stated period. In this case, the charterer becomes for the time being the owner of the vessel and the captain and the crew become his servants during the charter period.) If the terms of the Charter-party do not amount to a lease or demise, the charterer only gets the right to have his goods conveyed by the ship and the captain and the crew do not become his servants, although their services are at the disposal of the charterer for the purpose of carriage.

Terms of charter-party

A charter-party is deemed to contain all the terms of the contract between the charterer and the shipowner. The clauses in a charter-party usually deal with the following matters :

1. Name of the parties and of the ship.
2. Nationality of the ship.
3. The class of charter-party, and its *rating* in the Lloyd's Register.¹
4. A statement on the location of the ship and the place of loading.
5. The shipowner's guarantee of fitness.
6. The manner in which the voyage is to be conducted.
7. The duties of the Master or the Captain.
8. The carrying capacity of the ship.
9. The liabilities of the charterer regarding freight etc.
10. The excepted perils *i.e.*, an enumeration of the circumstances under which the shipowner will not be liable to pay compensation for loss or damage to goods.
11. The terms regarding loading, unloading, lay days and demurrage.
12. Circumstances under which the contract will be cancelled and the penalties to which the parties may be liable for non-fulfilment of the terms.

¹ See pages 349-350

~~THE~~ BILL OF LADING

Definition

A Bill of Lading is a receipt for goods delivered to a ship for carriage. A bill of lading is used when the goods shipped form only a part of the cargo of the ship.

Characteristics

A bill of lading has the following characteristics :

1. *Signature* : It is signed by the shipowner or his agent. Usually the captain of the ship, as the shipowner's agent signs the bill of lading.

2. *Evidence* : The bill of lading is evidence of the contract for the carriage of goods. Some of the terms may be written down on the bill of lading. The Carriage of Goods by Sea Act of 1925 provides that the following particulars must be incorporated in every bill of lading issued from an Indian port :

- (i) The leading marks necessary for the identification of the goods (such marks being stamped or otherwise shown on the goods or on the cases or packages) :
- (ii) the number of packages or pieces or the quantity or weight as furnished by the shipper ; and
- (iii) the apparent order and condition of the goods.

3. *Acknowledgement* : The bill of lading is *prima facie* evidence of the receipt of the goods by the carrier.

4. *Document of title* : The bill of lading is a document of title to the goods covered by the bill. The ownership of the goods can be transferred by endorsement and delivery of the bill of lading. The shipowner is discharged from his liabilities by delivering the goods to the person who produces the bill of lading. But the shipowner is not bound to deliver the goods to the holder of the bill of lading if there is any payment due for the carriage of the goods or if the consignor, in exercise of the right of stoppage in transit, gives instructions not to deliver. (The Indian Bills of Lading Act, 1856).

Functions

A Bill of Lading, as explained above, has three important functions viz., (i) it is an evidence of the contract of carriage, (ii) it is an acknowledgement of the goods from the carrier, and (iii) it is a document of title to the goods.

Examples :

- (i) A bill of lading was qualified by the words "weight or quality unknown". Held, it was not a *prima facie* evidence of the quantity shipped. *New Chinese Antimony Co. Ltd. v. Ocean Steamship Co. Ltd.*¹
- (ii) Orange juice in barrels was shipped. Some of the barrels were old and defective, yet the shipowner gave a "clean bill of lading". Held, the shipowner was estopped from denying that the barrels were not in good order and condition. *Brown Jenkinson and Co. Ltd. v. Percy Dalton Ltd*²
- (iii) A bill of lading contained a printed clause which stated that "Contents" weight and value of goods unknown". There were 499 packages of Indian Polyethylene in six ply paper bags. There was an admission by the Shipping Company that (1) the goods shipped were polyethylene (2) the quantity and weight was mentioned in the bill of lading, and (3) freight was charged on the basis of the particulars supplied by the shipper. Held, the Company cannot disclaim the liability and the company was liable for short delivery. *Union Carbide Ltd. v. Jayanti Shipping Co.*³
- (iv) Where the bill of lading issued by a common carrier, owner of vessel, stated that a certain party consigned the goods to self or to its agent at destination Calcutta, that party so referred to would be deemed to have retained the possession and reserved the right of disposal of the goods till the completion of the voyage. *Great India Trading Co. Pvt. Ltd. v. Angus Co. Ltd. and another.*⁴

IS THE BILL OF LADING A NEGOTIABLE INSTRUMENT ?

A bill of lading possesses some of the characteristics of a negotiable instrument. It is a document of title and it can be transferred by endorsement and delivery. But it is not a true negotiable instrument because of the following reasons :

1. It is not included in the definition of the term negotiable instrument as given in the Negotiable Instruments Act.
2. The transferee of a bill of lading gets only the rights of the transferor of the instrument. If the title of the transferor is defective, the transferee gets a defective title. But in the case of a negotiable instrument a bonafide purchaser for value without notice of defect, becomes a holder in due course and gets a good title in cases where the title of the transferor is defective.

¹ (1917) L.R. 2 K.B.D. 664

² (1957) 2 Q.B.D. 621

³ (1970) 74 C.W.N.

⁴ AIR (1983) Cal 408

DIFFERENCES BETWEEN A CHARTER PARTY AND A BILL OF LADING

1. A Charter Party is a *formal document* by which the charterer enters into a contract with the shipowner for the hire of the whole or part of the ship. A Bill of Lading is only a *receipt* for goods taken on board a ship.

2. In a Charter Party the ship can be hired for fixed period. The captain and the crew then become the *servants of the charterer*. In a bill of lading the cargo-owner is not the servant of the captain and the crew.

3. A Charter Party contains *all* the terms of the contract between the Charterer and the shipowner. A Bill of Lading *may or may not* contain *any* of the terms. But it is evident that there is a contract for the carriage of goods by sea. (affreightment).

4. A Bill of Lading is a *document of title* (the ownership of the goods covered by the bill can be transferred by transferring the bill). A Charter Party is not a document of title to any goods.

5. A Bill of Lading possesses some of the *features of a negotiable instrument*. For example, it can be transferred by endorsement and delivery. A Charter Party does not possess any of the characteristics of a negotiable instrument.

6. The *stamp* to be affixed in a Bill of Lading is much lower than in a Charter Party.

IMPLIED WARRANTIES

English Law

Under English common law there are three implied undertakings by the carrier in all contracts of affreightment :

1. The ship is seaworthy. It is the duty of the shipowner to make the ship fit for the contemplated voyage.

2. The ship shall be ready to proceed upon and complete the voyage with reasonable despatch.

3. The ship shall complete the voyage in the usual customary manner and without any unnecessary deviation from the usual route.

Indian Law

The Marine Insurance Act, passed in India in 1963, contains provisions regarding the warranty of seaworthiness, permissible

deviations etc. and the effects of their breach. (See Book VI. Ch. 3. pp. 429-430)

DUTIES OF A CARRIER BY SEA

The Carriage of Goods by Sea Act of 1925 imposes the following *duties* on the carrier of goods by sea from an Indian port :

1. The carrier shall be bound, before and at the beginning of the voyage, to exercise due diligence to,

(a) make the ship seaworthy ;

(b) properly man, equip and supply the ship ;

(c) make the holds, refrigerating and cool chambers, and all other parts of the ship in which goods are carried, fit and safe for their reception, carriage and preservation.

2. The carrier shall properly and carefully load, handle, stow, carry, keep, care for, and discharge the goods carried.

3. After receiving the goods in his charge, the carrier or the master or agent of the carrier shall, on demand of the shipper, issue to the shipper a bill of lading containing the prescribed particulars.

The Merchant Shipping Act of 1958 provides for the adoption of various measures for the safety of life and cargo at sea. In 1966, the Act has been amended so as to include therein the provisions of the International Convention for the Safety of Life at Sea signed in London in June, 1960. [Examples : Provision of radio telegraph ; special rules regarding nuclear ships etc.]

LIABILITIES OF A CARRIER BY SEA

The Carriage of Goods by Sea Act of 1925 lays down the following rules regarding the *liabilities* of a carrier of goods by sea from an Indian port :

1. Any clause in the contract of affreightment by which the carrier is relieved from the liability to pay compensation for loss or damage arising from negligence, fault or failure to perform the duties prescribed by the Act, is void and inoperative.

2. The shipowner is not liable for damage arising from unseaworthiness of the ship unless such damages are due to a failure to perform the statutory duties of the shipowner. Thus in India the liability to keep the ship seaworthy is not absolute.

Whenever damage is caused by unseaworthiness, the burden of proving the exercise of due diligence is on the shipowner.

3. The carrier is not responsible for loss or damage arising from the following causes : neglect or default of the servants of the carrier in the navigation and management of the ship ; fire, unless caused by the fault or privity of the carrier ; perils, dangers and accidents of the sea or other navigable waters ; act of God ; act of war ; act of public enemies ; arrest or restraint of princes, rulers or people or seizure under legal process ; quarantine restrictions ; act or omission of the shipper or his agents ; strikes or lockouts ; riots or civil commotions ; saving or attempting to save life or property at sea ; inherent defect in the goods ; insufficiency in packing ; insufficiency or inadequacy in making ; latent defects in the goods not discoverable by due diligence ; any other cause arising without the actual fault or privity of the carrier.

4. (The carrier is not responsible for any loss or damage to goods exceeding £ 100 or its equivalent unless the nature and value of such goods have been declared by the shipper and inserted in the bill of lading.)

5. A carrier is at liberty to surrender in whole or in part all or any of his rights, and to increase his responsibilities and liabilities, provided such surrender or increase is embodied in the bill of lading issued to the shipper.

6. (The carrier and the ship shall be discharged from all liability for loss or damage unless suit is brought within one year of the delivery of the goods or the date when the goods should have been delivered.)

CERTAIN TERMS

The Shipowner's Lien

As a carrier, the shipowner has a lien on the goods carried for the freight and other charges. The lien can be enforced by not parting with the goods until his dues are paid. There is no lien when the freight has been paid in advance or when freight has been agreed to be paid after delivery of the goods.

Maritime Lien

A maritime lien is a right which specifically binds a ship, including its machinery, furniture, cargo and freight, for the

payment of a claim based upon maritime law. Maritime lien is possessed by the following persons—seamen for their wages; the holder of a bottomry bond for his dues; claimants for damages in cases of collision with the ship concerned; persons who rescue ships or property from the sea.

A maritime lien is not a possessory lien, e.g., it can be exercised even without possession by filing suit in the appropriate court. In cases of maritime lien the rule is that the *last* in time ranks *first* in payment.

Mate's Receipt

When goods are delivered to a ship for carriage, a receipt for it is sometimes given by the Mate, who is an officer of the ship under the captain. The Mate's receipt can be subsequently exchanged for a regular bill of lading.

Clean Bill of Lading

When it is stated in the bill of lading that the goods are in good order and condition, the bill is said to be a Clean Bill of Lading. When a clean bill of lading has been issued, the shipowner is estopped from claiming later on that the goods were in a bad condition. (See cases in p. 381)

Through Bill of Lading

Sometimes goods have to be carried partly by sea and partly by land. A bill of lading which covers both carriages is called a Through Bill of Lading.

Deviation

Deviation means departure from the usual and customary route or from the route agreed upon in a charter-party. Deviation is permitted to avoid the perils of the sea. Under Indian law deviation is permitted for the purpose of saving life and property. Damages can be claimed for unnecessary or unauthorised deviation. Charter-parties usually contain a clause regarding deviation. (See under "Voyage" in Book VI, Ch. 3)

Perils of the Sea

This term includes the dangers (apart from the ordinary actions of the wind and waves) which have to be faced in course

of a sea voyage. *Examples* : storms ; collision with a sunken rock or an iceberg ; entry of water through a hole made by rats or a sword fish etc. A shipowner is generally exempted from liability when damages are caused by Perils of the Sea.

Excepted Perils

A charter-party usually specifies the circumstances under which the shipowner is not liable for loss of, or damage to goods. These circumstances are known as the Excepted Perils. *Examples* : acts of God ; action of the enemies of the State ; perils of the sea, etc.

Barratry

Barratry means wilful act of damages done by the crew in course of a mutiny or fight with the captain and the shipowner or among themselves.

Jettison

To jettison means to throw out. Goods may be jettisoned during a voyage in order to avoid the danger of the ship sinking or heeling during storms. Goods may also be jettisoned if they are dangerous.

Salvage

When some persons save a ship or any of its appliances or cargo from shipwreck, capture (by enemies or pirate) or loss from any other cause, they become entitled to a reward. The reward is called Salvage. The Salvors, *i.e.*, the persons saving the property, have a maritime lien on the ship, cargo and freight for the reward. The amount of salvage is generally determined by the courts, but the parties may settle the amount among themselves.

Primage

The charterer usually gives some extra remuneration to the captain of the ship, calculated at a fixed percentage of the regular freight. The extra remuneration is a reward to the captain of the ship for his care and diligence. It is called primage.

Freight

Freight means the consideration paid to the carrier, by the shipper for the carriage of goods. Freight is payable only if the

goods are delivered in accordance with the terms of the contract. When the goods are lost the carrier is not entitled to recover the freight, even though the loss might have occurred under circumstances which exempt the carrier from liability for the loss. But delivery of the goods in a damaged condition does not prevent recovery of the freight, unless the damage is so great that the nature of the goods is completely altered.

By agreement the freight may be payable in advance. Advance Freight can be retained by the carrier if the goods are lost by an excepted peril.

When a charterer agrees to pay a lump sum for the use of a ship, irrespective of the amount of cargo loaded, it is called a Lump Sum Freight.

The shipper and the carrier may agree that if the cargo is delivered at a place other than the place agreed upon, the amount of freight will be charged in proportion to the distance actually covered. Such a freight is called a Pro Rata Freight.

If a shipper fails to load the amount of cargo he promised, he is liable to pay damage to the shipowner for the unfilled space. This is known as Dead Freight.

Freight is ordinarily payable by the person with whom the shipowner has entered into the contract of affreightment. But by agreement, freight may be payable by some other person, e.g., the consignee.

Dunnage

Dunnage is any light material wedged between the cargo to keep it from rolling when stored. Grass is a kind of Dunnage. *Union of India v. Ratilal Jaddavji*.¹

Lay Days

The term "lay days" means the days allowed for loading or unloading a ship. The number of days to be allowed as lay days is fixed by agreement and is usually mentioned in the charter-party where there is one. Where there is no agreement as regards lay days, a reasonable time is given for the purpose. Lay days begin from the time when the ship arrives at the place agreed upon and the shipper has notice of it.

¹ (1971) 75 C.W.N. 634

Demurrage

If the loading or unloading is not completed within the lay days agreed upon, the carrier is entitled to damages. Such damages are called Demurrage. Demurrage is usually calculated upon the number of days the ship is detained beyond the agreed lay days or reasonable time. Railways in India charge demurrage if goods are not loaded or unloaded within the time mentioned in the Railway Receipt.

Bottomry and Respondentia Bonds

The shipowner or the captain of a ship may find it necessary to borrow money on the security of the ship or the cargo or the freight. A bond by which the *cargo only* is pledged for the repayment of the money, is called Respondentia. A bond by which the *ship and the freight* are pledged is called a Bottomry Bond. (The term 'bottomry' comes from the word 'bottom', which means the keel of the ship and therefore stands for the whole ship). The moneys due on a Bottomry or Respondentia Bond are payable only if the ship reaches its destination safely. The rate of interest is therefore very high generally. If there are more than one Bottomry Bonds, the later bondholders get priority over the earlier bondholders.

Particular Average Loss and General Average Loss

Goods may be lost in course of a voyage (thrown overboard or destroyed) by accident or by deliberate intent. In some cases the loss has to be borne by the owner of the goods lost. In some cases the loss of the owner has to be made up by contributions from the owners of the remaining cargo. The first type of loss is called a Particular Average Loss. The second type of loss is called a General Average Loss.

Cases of Particular Average Loss : When a particular article is lost by accident, the owner must bear the loss. For example, if a boat belonging to the ship is lost during a storm the loss falls on the shipowner and he cannot claim contribution from the cargo-owners. Similarly if an article is thrown overboard because it is dangerous, the loss must be borne by the owner. These are cases of particular average loss.

Cases of General Average Loss : When goods are thrown overboard or destroyed in order to save the ship or protect the

adventure undertaken, it is called a general average loss.

Example : goods thrown overboard in order to make a ship lighter during a storm so that it will not sink. The loss of the owner of the goods in all such cases must be compensated by contributions from the other cargo-owners. The following conditions must be satisfied before a general average contribution can be claimed :

1. There must have been a common danger. The danger must be real and not an imagined danger.

2. The danger must not have been due to a fault of the goods destroyed. A horse which turns mad in course of the voyage is a common danger but if it is destroyed, its owner cannot claim contribution.

3. The sacrifice of the property concerned was voluntary and responsible.

4. Owners of cargoes which are not saved, cannot be called upon to contribute.

The fixation of the amount to be contributed by each cargo-owner is a complicated process. It is done by experts known as Average Adjusters. It is usually provided in the contract of affreightment that the adjustments of general average loss will be done according to a set of rules known as the York-Antwerp rules. These rules were drawn up in international conferences held in York, Antwerp and certain other places. If the contract of affreightment does not contain any such provision, the adjustment is done according to the law of the country where the adjustment is made.

EXERCISES

1. What is a Charter Party ? Mention the usual terms in a Charter Party. (Pages 379-380)
2. Distinguish between a Bill of Lading and a Charter Party. (Page 383)
3. What are the warranties implied in a Charter Party ? (Page 383)
4. Is the Bill of Lading a "negotiable instrument" ? (Page 382)
5. Write notes on : General Average Loss ; Particular Average Loss ; Respondentia and Bottomry Bonds ; Excepted Perils ; Charter Party ; Perils of the sea ; Salvage ; Deviation ; Demurrage. (Pages 385-390)
6. Objective Question :
(a) What is a Charter Party ? (Page 379)

LAW RELATING TO AIR CARRIAGE

Application

The Carriage by Air Act, (Act no. 69 of 1972) was passed with objectives of getting power to apply the rules contained in the Warsaw Convention as amended by the Hague Protocol also to non-international carriages subject to exceptions, adaptations and modifications.

Convention

This is a set of rules drafted and agreed in an assembly of delegates or representatives of different States, for the purposes of regulating a subject. In air carriage several rules (or the convention) were adopted in the Treaty at Warsaw (1929) and Hague (1955).

Warsaw Convention

The law relating to carriage by air in India was based upon a draft convention drawn up in the international conference held in Warsaw in 1929. The Warsaw Convention was given effect to in India by the enactment of the Indian Carriage by Air Act, 1934. The provisions of that Act were extended to *domestic carriage*, subject to certain exceptions, adaptations and modifications, issued by a notification on 1st March, 1964.

Hague Protocol

A diplomatic conference under the auspices of International Civil Aviation Organisation was held at Hague in September, 1955 which adopted a protocol to amend the provisions of the Warsaw Convention. The Hague Protocol was opened for signature on 28th September, 1955, and came into force between the ratifying States on 1st August, 1963.

High Contracting Party

This means those parties (that is representatives of the states) who attended and were the signatories to the convention of

Warsaw Convention and the Protocol of the Hague Convention—Rule 1(1) and (2), 2nd Schedule, Protocol of the Hague Convention.

Fifty-seven countries have already ratified in Hague Protocol and passengers travelling between those countries were ensured of the higher limit of compensation.

International Carriage by Air. (See p. 394)

THE DOCUMENTS OF CARRIAGE

The Act of 1972 provides that certain documents are to be issued when goods and passengers are carried by air. They are as follows :

The Passenger Ticket

Whenever a passenger is carried, he must be given a ticket and the ticket must contain the following particulars ; the place and date of issue ; the names of the places of departure and destination ; the agreed stopping places and their changes ; the name and address of the carrier, and a statement that the carriage is subject to the provisions of the Act of 1972 and to its Schedules.

The Luggage Ticket or Baggage Check

For all luggages other than personal goods in charge of the passenger, a luggage ticket must be issued. The luggage ticket must contain all the particulars necessary to be included in a passenger ticket and in addition must mention, the number and weight of the packages and a statement that the luggage shall be delivered to the holder of the luggage ticket.

The Air Consignment Note or Air Waybill

Whenever goods are carried, the carrier can insist upon the consignor making out three copies of a Note or Waybill containing the following particulars ; the place and date of its issue ; the places of departure, destination and stoppages ; the names and addresses of carriers ; the names and addresses of the consignor and the consignee ; the nature of the goods, including a statement of the number of packages, the method of packing, their weight, quantity, volume and dimensions and

the apparent condition of the goods ; the amount of the freight and the persons liable to pay it ; the period of the carriage and the route ; and a statement that the carriage is subject to the rules contained in the Act.

The Air Consignment Note or Air Waybill to be issued in triplicate. One copy is to be kept by the carrier ; one copy signed by both the carrier and the consignor is to accompany the goods ; and the third copy is to be kept by the consignor. The consignor is responsible for the correctness of the particulars in the Note and is liable to pay all damages, if any, arising from incorrect statements.

"The air waybill is *prima facie* evidence of the conclusion of the contract, of the receipt of the cargo and of the conditions of carriage."—Rule 11(1), 2nd Schedule.

"The statements in the air waybill relating to the weight, dimensions and packing of the cargo, as well as those relating to the number of packages, are *prima facie* evidence of the facts stated ; those relating to the quantity, volume and condition of the cargo do not constitute evidence against the carrier except so far they both have been, and the contract of carriage, the consignor has the right to dispose of the presence of the consignor, or relate to the apparent condition of the cargo."—Rule 11(2), 2nd Schedule.

See cases on Bill of Lading, p. 381.

RIGHTS AND DUTIES

Consignor

The consignor may withdraw the goods from the custody of the carrier at the place of departure or destination or at any intermediate station. He may change the name of the consignee. He cannot however exercise any of these rights in such a way as to prejudice the interests of the carrier. The consignor must also pay all necessary expenses.

Consignee

The consignee is entitled to take delivery of the goods at the place of destination. If the goods are lost or do not arrive at the place of destination within seven days of the date of delivery, he can enforce his rights under the contract of carriage.

INTERNATIONAL CARRIAGE BY AIR

Definition

Under the carriage by Air Act of 1972, 'International Carriage' means, 'Carriage when the place of departure and the place of destination of an aircraft are situated within the territory of two high contracting parties or within the territory of a single high contracting party if there is agreed of stopping place within the territory subject to the sovereignty suzerainty, mandate or authority of another power.'

Other features of international carriage are stated below :

1. The rules of the Carriage by Air Act of 1972 apply to baggage or cargo performed by aircraft for reward.

2. The rules also apply gratuitous carriage by aircraft performed an air transport undertaking.

3. "Carriage to be performed by several successive air carriers is deemed, for the purposes of these rules, to be one undivided carriage if it has been regarded by the parties as a single operation."—Rule 1(4), 2nd Schedule.

4. "These rules apply to carriage performed by the State or by legally constituted public bodies provided it falls within the conditions laid down in rule 1, (above). These rules shall not apply to carriage of mail and postal packages."—Rule 2(1) and (2), 2nd Schedule.

When liable

The Protocol of Hague Convention provides that the carrier by air is, subject to certain rules mentioned below, liable to pay damages in the following cases :

1. Death or bodily injury suffered by a passenger, if the accident which caused the injury occurred during carriage or during embarking or disembarking.

2. Destruction or loss of, or damage to, any registered luggage or any goods during the time they are in charge of the carrier, on the plane, in the aerodrome or elsewhere.

3. Delay in the carriage of passengers, luggage or goods.

Rules limiting the liability of the Carrier

In International carriage by Air, the carrier is not liable to pay any damages in the following cases :

1. If he proves that he and his agents have taken all necessary

measures to avoid the damage or that it was impossible for him or them to take such measures.

2. If he proves that there was contributory negligence on the part of the injured persons. In this case the Court may, in accordance with the provisions of its own law, exonerate the carrier from liability either wholly or partially.

Liability in case of death

(Sec. 5, Carriage by Air Act, 1972). Notwithstanding anything contained in the Fatal Accidents Act, 1855 or any other enactment or rule of law in force in any parts of India, the rules contained in the First Schedule and in the Second Schedule shall in all cases to which those rules apply, determine the liability of a carrier in respect of the death of a passenger.

The liability shall be enforceable for the benefit of such of the members of the passenger's family as sustained damage by reason of his death.

The expression "member of a family" means wife or husband, parent, step-parent, grand-parent, brother, sister, half-brother, half-sister, child, step-child, and grandchild. (The expression includes illegitimate persons and adopted persons.)

The amount recovered in any such action, after deducting any costs not recovered from the claimant, shall be divided between the persons entitled in such proportion as the court may direct.

Quantity of Damages

✓ The maximum amounts of damages payable by the carrier, as limited by the Act, are stated below :

- (i) Death or injury of a passenger—1,25,000 francs (by the Warsaw Convention as in the First Schedule to the Act) and 2,50,000 francs (by the Protocol of Hague, as stated in Second Schedule to the Act).
- (ii) Luggages in custody of a passenger—up to 5000 francs.
- (iii) Goods of a passenger delivered to the air carrier—250 francs per kg.
- (iv) Franc means $65\frac{1}{2}$ milligram of gold.
- (v) Where the liability of the carrier is limited to 2,50,000 francs, the court may award it in a form of periodical payment, with equivalent capital value of the above.

The carrier may, by a special agreement, increase his liability but cannot reduce it.

INTERNAL CARRIAGE BY AIR

The Carriage by Air Act of 1934 is applicable to international air carriage (summarised above) and not to internal carriage by air. The Government of India extended the law of international carriage by air to the internal carriage by air by notification with the effect to 1st March, 1964. Prior to the above date, the liabilities of the internal air carrier are still governed by the Common law. According to that law, the internal carrier by air may, by special agreement, reduce or exclude his liabilities.

Before the notification of 1st March, 1964, came into force, the plaintiff had no remedy for his claim even if there was negligence on the part of the carrier. *Indian Airlines Corporation v. Jothaji Maniram*.¹ *Mukul Dutta Gupta v. Indian Airlines Corporation*.² When, the deceased had by a contract during his life time excluded himself from the right to claim damages, his heirs or personal representatives were not entitled to claim damages even under the Fatal Accidents Act, 1855. *Indian Airlines Corporation v. Madhuri Chowdhuri and others*.³

THE PROCEDURE FOR REALISING DAMAGES

The person entitled to damages must complain to the carrier within 7 days of the date of delivery in case of loss of or damage to luggage, 14 days in a similar case regarding goods, and 21 days in cases where damages are claimed for delay in transit.

Suits may be filed in the court having jurisdiction over the place of destination or over the place of business or residence of the carrier. In case of the death of a passenger, the suit for compensation may be filed by his legal representative.

Suits must be filed within two years of the date of arrival of the carrier at the place of destination or the date on which it should have arrived or the date on which the carriage stopped.

When there are successive carriages with different carriers covered by the same documents or carriages :

¹ AIR (1959) Mad. 259

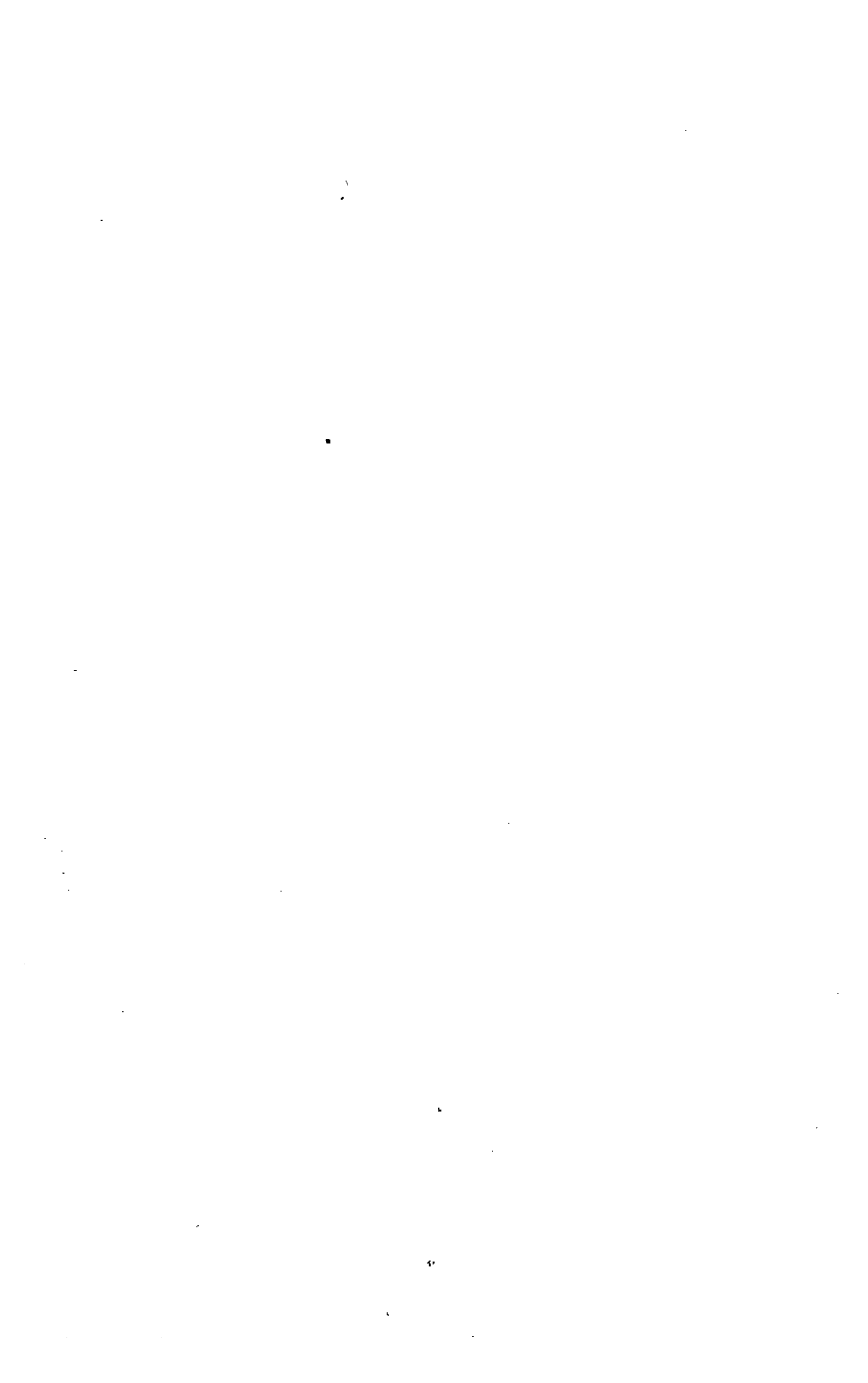
² AIR (1962) Cal. 311

³ AIR (1965) Cal. 252

- (a) actions for damages to passengers are to be brought against the carrier at the time of the accident, unless otherwise agreed ; and
- (b) in actions for damage to luggage and goods, the consignor is to sue the first carrier ; the consignee, the last carrier ; but passengers may sue all the carriers.

EXERCISES

1. Write notes on : Warsaw convention ; Hague Protocol ; The Passenger Ticket ; The Luggage Ticket ; Baggage Check ; The Air Consignment Note ; Air Waybill. (Pages 391-392)
2. State the rules regarding the liabilities of the carrier by air under international carriage and internal carriage. (Pages 394-397)



BOOK VI

THE LAW OF INSURANCE

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1

PRINCIPLES OF INSURANCE

THE RATIONALE OF INSURANCE

The advantages and the objects of Insurance are as follows :

1. *Covers risk* : Insurance is a method of eliminating or reducing risk. By insurance a person can protect himself (and his dependants) from loss arising from future uncertain events like fire, accident or early death.

2. *Small loss* : Insurance converts an uncertain risk into a certain and ascertained sum of money. A ship going out to sea may or may not be lost. If it is uninsured and is lost, the entire loss will fall on the owner. If it is insured and is lost, the owner will recover the value of the ship from the insurer but he has to pay to the insurer a certain sum of money called the premium. In case the ship is not lost the premium paid is a 'loss'. But this loss is small as compared to the loss that will be incurred if the ship is sunk. The premium is considerably less than the value of the ship which is insured. Thus by insurance a person exchanges an *uncertain heavy loss for a certain small loss*. This is the general principle on which insurance contracts are based.

3. *Small premium* : As regards the insurer, he can undertake the risk for a small premium because all the ships going out to sea are not lost. The insurer knows that he will not have to pay *all* shipowners who insure their ships. There are statistical methods of calculating how many ships are likely to be lost. The insurer fixes the amount of premium on the basis of these calculations. Therefore in the long run he makes a profit on the risks that he undertakes. Thus insurance is advantageous to the insurer and also to the insured.

4. *Expansion of insurance business* : The great advantages of insurance have led in recent times to an *enormous expansion* of the volume of insurance business and the evolution of many different types of insurance.

THE CONTRACT OF INSURANCE

Definition

A Contract of Insurance is a contract between two parties whereby one party, called the Insurer, agrees to pay to the other

party a certain sum of money on the happening of a specified contingency, or agrees to indemnify the other party from losses arising from certain specified events. The other party to the contract, called the *Insured or Assured*, pays an agreed sum of money, called the Premium, as consideration.

Characteristics

The characteristics of a Contract of Insurance are enumerated below :

1. Essential requirements

A contract of insurance must fulfil all the essential requirements of a contract as laid down in the law of contract. Thus, there must be a proposal and acceptance, the parties must be capable of contracting, the object must not be illegal or immoral etc.

Examples :

- (i) A contract of insurance is formed as soon as the insurer accepts the premium or in any other way shows that the proposal to insure has been accepted. *Hindusthan Co-operative Insurance Society v. Shyamsundar*.¹
- (ii) A contract of insurance will be concluded only when the party to whom an offer has been made accepts it unconditionally and communicates his acceptance to the person making the offer. Though in certain human relationships silence to a proposal might convey acceptance but in the case of insurance proposal, silence does not denote consent and no binding contract arises until the person to whom an offer is made says or does something to signify his acceptance. Mere delay in giving an answer cannot be construed as an acceptance, as, *prima facie*, acceptance must be communicated to the offeror. Similarly the mere receipt and retention of premium until after the death of the applicant or the mere preparation of the policy document is not acceptance. *Life Insurance Corporation of India v. Raja Vagireddy Komalavalli Kamba and others*.²

2. Good faith

A contract of insurance is a contract *uberrimae fidei* (i.e., one based on good faith). It is the duty of the insured person to disclose all material facts concerning the subject matter of the insurance. The disclosure must be *full and fair*. If a material

¹ (1952) 56 C.W.N. 418

² AIR (1984) Supreme Court 1014

fact is not disclosed, or if there is misrepresentation or fraud, the insurer can avoid the contract.)

Material fact : What is a material fact, depends on the circumstances of the case. Generally speaking, a material fact is one which affects *the nature or incidence of the risk*. Any fact which the insurer will take into account when considering whether to accept the risk or not and any fact which has a bearing on the *amount of premium* which the insurer will charge, must be considered a material fact to be disclosed. Thus, an applicant for a fire insurance policy must disclose all facts regarding the susceptibility of the property (to be insured) as regards fire.

The insured or assured must disclose all facts which a *reasonable man* would regard as material. *Joel v. Law Union Insurance Co.*¹

The disclosure of facts must be substantially accurate. Misleading statements amount to a breach of duty. But unimportant misstatements or omissions may be excused. *Dawson's Ltd. v. Bonnin.*²

Examples :

- (a) The applicant for an insurance policy was asked whether he had applied to any other company for insurance and whether such application has been accepted. He answered that he was insured with two companies but failed to disclose that his application was rejected by several other companies. It was held that there was material concealment and the policy was set aside. *London Assurance Co. v. Mansel*.³
- (b) The deceased, knowing that he had suffered from a heart disease, stated in the proposal that he did not suffer from any heart disease. Held, that this was a statement on a material matter and that he had fraudulently suppressed the fact which was material to be disclosed and the insured knew the statements to be false when he made them. Under the above circumstances the insurer is entitled to avoid the policy. *Krishna Wanti Puri v. L.I.C.*⁴
- (c) A person, aged about fifty-six years, died of heart failure within two years of taking the insurance policy. He was suffering from carbuncle and diabetes. However, he failed to disclose about the said disease in his proposal of the insurance policy. Held, that, this does not amount to misrepresentation. Therefore the policy money must be paid. *Kamala Wanti v. L.I.C.*⁵

¹ (1908) 2 K.B. 863

² (1922) A.C. 413

³ (1879) 11 Ch. D. 363

⁴ AIR (1975) Delhi 19

⁵ AIR (1981) All. 366.

The duty of disclosure exists at the time when the contract of insurance is entered into. Material facts coming to the knowledge of the insured subsequent to the contract need not be disclosed.

Section 45 of the Insurance Act provides that no policy of *life* insurance can be called into question by the insurer two years after the date it was effected on the ground of misstatement unless the insurer shows that such statement was on a material matter or suppressed facts which it was material to disclose and that it was fraudulently made by the policy-holder and that the policy-holder knew at the time of making it that the statement was false or that it suppressed facts which it was material to disclose.

3. Indemnity

Life insurance is a *contingent contract*. The money is payable on the happening of a contingency (*viz.*, death) the date of which is uncertain.

Other forms of insurance (*e.g.*, fire or marine) are *contracts of indemnity*. The insurer in these cases promises to indemnify the insured person against the consequence of fire, accident or some mischance and misfortune. "The contract of insurance contained in a marine or fire policy is a contract of indemnity and of indemnity only, and that this contract means that the assured, in case of a loss against which the policy has been made, shall be fully indemnified but shall never be more than fully indemnified." *Castellain v. Preston*.¹

Suppose that a house is insured against fire for Rs. 20,000. It is burnt down but it is found that Rs. 15,000 will restore it to its original condition. The insurer is liable to pay only Rs. 15,000, unless otherwise agreed under the contract of insurance.

But if the contract of insurance provides for the payment of a *fixed* sum of money on the happening of an event (like fire, accident or burglary) the contract is not one of indemnity. Thus a fire, marine or accident insurance may, in particular cases, be a contingent contract.

In the case of life insurance, the insurer is liable to pay whatever sum is mentioned in the policy as being payable upon

¹ (1883) 11 Q.B.D. 390

the contingency specified. Thus life insurance is always a contingent contract.

4. Insurable Interest

In every contract of insurance the policy-holder must possess an Insurable Interest. Insurable interest means some *proprietary or pecuniary (monetary) interest*. The object of insurance is to protect the insurable interest. If there is no insurable interest there can be no insurance. *X* cannot insure *Y*'s house. But if *Y*'s house is mortgaged to *X*, *X* has an interest to protect and he may insure the house. A man cannot insure the life of a stranger but he can insure the life of himself and of persons in whose life he has a pecuniary interest. It has been held that for the purposes of life insurance insurable interest exists in the following cases ; husband in the life of his wife and wife in the life of her husband ; parent in the life of the child if there is any pecuniary benefit derived from the life of the child ; creditor in the life of the debtor ; employer in the life of his employee ; surety in the life of the principal debtor ; etc.

In the case of life insurance, insurable interest must exist at the time when the insurance is effected. The policy remains good even if the insurable interest ceases to exist subsequently. The assignee of a life policy need have no insurable interest because when the policy was effected there was an insurable interest.

In the case of fire or marine insurance, the insurable interest must exist at the time when the claim is made. If this condition is satisfied the insurer must pay the claim even if the policy-holder had no insurable interest at the time when the contract was entered into.

A contract of insurance entered into without any insurable interest is a wagering agreement and is void.

Persons, who have insurable interest in different types of properties, are enumerated below.

(1) Immovable properties—owners ; mortgagors and mortgagees ; landlords and tenants ; vendors and purchasers.

(2) Movable properties—owners ; pledgors and pledgees ; bailors and bailees ; carriers ; all lien holders.

(3) Business—a shareholder has an insurable interest in his share ; an agent in his commission ; a businessman in his stock-in-trade and in his profits.

(4) Ships—In marine insurance contracts the following persons have insurable interest; owners; crew of the ship for their wages; owners of cargoes; holders of bottomry and respondentia bonds, etc.

5. Commencement of Risk

The risk of insurer commences after the contract of insurance is entered into, i.e., after the proposal to insure is accepted. (See pp. 406-408)

6. Causa Proxima

The insurer is liable only for those losses which directly or reasonably follow from the event insured against. The insurer is not liable for remote consequences and remote causes. (See p. 408)

7. Payment of Premium

The policy-holder must pay the premium according to the terms of the contract. Subject to certain conditions, the policy lapses if the premium is not paid. (See p. 407)

8. Right to Contribution

If a property is insured by several insurers against the same risk, the insurers must share the burden of payment in proportion to the amount assured by each. If any of the insurers pays the whole loss, he is entitled to contribution from the other insurers. (See p. 410)

9. The Principle of Subrogation

In marine and fire insurance contract after the policy-holder is indemnified in full, the insurer becomes entitled to the remnant of the property insured and all rights and claims which the policy-holder may have against third parties. The insurer is subrogated to the position of the insured. (See pp. 410-411)

10. Mitigation of Loss

In case of accident and mischance, it is duty of the policy-holder to take steps for reducing the loss as much as possible. For example, when fire occurs the policy-holder must safeguard the remaining property.

[The items 5-10 are also discussed below in pp. 409-411]

EXPLANATION OF CERTAIN TERMS

Certain terms, used in connection with contracts of insurance, are explained below.

Insurer

The party that promises to pay money to or indemnify the other party upon the occurrence of some specified event is called the Insurer. In marine insurance contracts the insurer is sometimes called the underwriter. Life Insurance Corporation for life insurance and the Corporations set up by the Government for general insurance are the Insurers in India.

Insured or Assured

The person who under a contract of insurance will receive money or indemnity upon the occurrence of some specified event is called the insured or assured person. Since the contract of insurance is incorporated in a document called the Policy, the insured or the assured may also be called the policy-holder. The term policy-holder includes an assignee from a policy-holder, where such assignment is absolute and indefeasible.

Insurance Policy

The terms of a contract of insurance are usually written down in a document known as the Insurance Policy. The policy is stamped and signed by the insurer and handed over to the insured. The Policy is evidence of the fact of insurance. Except in cases of marine insurance, it is not legally compulsory to issue a policy. The terms of a contract of insurance (except a marine insurance) can be proved by oral evidence. It is, however, the general practice in India to issue a policy after a contract of insurance is entered into.

Risk

The date of issue of the policy is not necessarily the date from which the risk is covered. *The risk attaches* from the time the contract of insurance is entered into, i.e., the proposal is accepted. The policy may be issued later. The production of the policy is not a condition precedent to the recovery of the money. The identity of the claimant and the fact of insurance may be proved by oral evidence.

Premium

The consideration payable by the insured person to the insurer is called the Premium. Usually the consideration is a sum of money but there is nothing in insurance law which prevents the acceptance of consideration in any other form. The premium may be a fixed amount or it may vary (increase or decrease) according to circumstances agreed upon. The time of payment depends upon agreement. Payments may be made monthly, quarterly or annually or by a single lump sum. The premium has to be paid by a fixed date but usually the insurer allows a certain number of *days of grace* beyond the agreed date. For premia payable quarterly one month's extra time is usually given. Ordinarily a policy lapses if the premium due is not paid within the due time plus the grace period. But after a policy acquires a surrender value (see below) non-payment of premium does not involve lapse of the policy.

The amount of premium is determined by an actuarial calculation of the risk involved.

Cover Note

The insurer may give a written acknowledgement stating that (i) the proposal has been accepted, (ii) the first premium has been received, and (iii) the regular policy will be issued later on. The risk is covered immediately with acknowledgement. The written acknowledgement is called a Cover Note.

TYPES OF INSURANCE

The three most important type of insurance are Life, Fire and Marine insurance. In addition to these three, there are various miscellaneous types of insurance, e.g., accident, motor vehicles, burglary, etc. (See Ch. 4, pp. 446-450)

Formerly all types of insurance business were used to be carried on by private insurers and companies. From January 1956, life insurance has been nationalised. The objects and functions of the Life Insurance Corporation have been detailed in Chapter 2.

All other types of insurance *i.e.*, General Insurance has been nationalised from 13th May, 1971.

THE INSURANCE ACT

The Insurance Act was passed in 1938. It contains certain provisions regarding the laws of insurance, e.g., definition of

insurer and insured person, proof of age, surrender value, etc. These provisions have been discussed in these chapters. The Act also contained laws relating to the constitution and management of insurance companies in India. But insurance has been nationalised for Life and also General insurance. Therefore the Insurance Act now has no effect regarding the constitution and management of insurance companies in India.

INSURANCE AND WAGER

A contract of insurance appears to be similar to a wagering contract. The policy money is payable on the happening of a future uncertain event. In the case of whole life insurance the date of occurrence of the event on which the money is payable, is uncertain. In the case of fire, marine and other forms of insurance the happening of the event upon which the money is payable, is itself uncertain. In an early case on insurance it was observed that, "Insurance is a contract on speculation". [Lord Mansfield in *Carter v. Boehn*.¹] But the modern view is that insurance contracts are not speculative or wagering contracts. The points of distinction between a contract of insurance and a wagering contract are mainly the following :

1. *Insurable Interest* : In an insurance contract there always exists an insurable interest. In a wagering contract there is none.

2. *Protection of Interest* : In an insurance contract the object is to protect an interest. In a wagering contract the object is to gamble for money.

3. *Indemnity* : A contract of insurance is based on the principle of indemnity, (excepting life and certain other insurances). In a wager there is no question of indemnity because it does not cover any risk.

4. *Good Faith* : A contract of insurance is based upon good faith. In a wager there is no question of faith.

5. *Scientific Calculation* : A contract of insurance is based upon calculation of risks and the premium payable. The amount of risk and premium is calculated on actuarial principle. In a wager there is no scientific calculation. It is a gamble only.

6. *Public Policy* : Wagering contracts are void because they are considered to be against public policy. Insurance contracts are considered to be in the public interest and are therefore valid.

¹ (1765) Sm. L.C. 546

OBLIGATIONS OF THE INSURER

The obligations of the insurer are determined by the terms of the contract of insurance. The most important obligation of the insurer is to pay the money due on the policy upon the happening of the contingency specified in it. The liability to pay is subject to the following conditions :

1. Fulfilment of essentials

The insurer is liable to pay only if the contract of insurance fulfils all the essential elements of a valid contract. If there is non-disclosure of material facts or fraud the contract is voidable.

2. Commencement of risk

The risk of insurer commences after the contract of insurance is entered into, i.e., after the proposal to insure is accepted. Mere submission of a proposal to the insurer is not enough. The insurance agent usually has no authority to accept a policy.

3. Causa proxima

The insurer is liable only for those losses which directly and reasonably follow from the event insured against. The insurer is not liable for remote consequences and remote causes. The principle is expressed in the maxim, "*Causa proxima non remota spectatur*".

Examples :

- (i) A ship was carrying meat and was delayed on account of a severe storm. The meat was damaged and had to be thrown into sea. The court held that the loss of meat was not due to sea perils. *Taylor v. Dunbar*.¹
- (ii) A ship was insured against losses resulting from collision. There was a collision and the ship was delayed for a few days. Owing to the delay a cargo of oranges in the ship became unfit for human consumption. Held, the insurer was not liable for the loss because the proximate cause of the loss was delay and not collision. *Pink v. Fleming*.²
- (iii) A ship was insured against damage by enemy action. It was injured by passing over a torpedoed ship. Held, no damages were recoverable because the damages in this case were not due directly to enemy action but to the fact that a sunken vessel lay at a particular place. *William and Co. v. North of England etc. Ass.*³

¹ (1869) 4 P.C. 206

² (1899) 25 Q.B.D. 396

³ (1917) 2 K.B. 527

- (iv) In the above case it was also held that when the enemy had purposely sunk a vessel at the entrance of a port with a view to damaging ships entering that port, any damage actually suffered by collision with such a vessel must be deemed to be directly due to enemy action and the insurer must pay compensation.

4. Return of premia

Under certain circumstances the insurer is bound to return the premia received, e.g., when the contract of insurance is set aside on the ground of fraud by the insurer. If an insurance policy becomes void on the ground of non-disclosure of material facts or fraud by the insured person, the premia are not returnable.

RIGHTS OF INSURER

The insurer has the following right :

1. The Payment of Premium

The policy-holder must pay the premium according to the term of the contract. Upon non-payment the policy lapses. In life insurance contracts, after the premia have been paid for two consecutive years, the policy acquires a surrender value and a certain proportion of the amount insured for is payable to the policy-holder. (See p. 418)

2. The Right to Contribution

A particular property may be insured with two or more insurers against the same risk. In such cases the insurers must share the burden of payment in proportion to the amount assured by each. If any one of the insurers pays the whole loss, he is entitled to contribution from the other insurers.

Example :

A house is insured against fire for Rs. 20,000 with *X* and for Rs. 10,000 with *Y*. A fire occurs and the damage is estimated at Rs. 6,000. *X* and *Y* share the loss in the proportion of 20,000 : 10,000 i.e. 2 : 1. *X* will pay Rs. 4,000 and *Y* will pay 2,000. The policy-holder can sue both *X* and *Y* together or any one of them. Suppose that he sues *X* and recovers from him Rs. 6,000. *X* can claim contribution from *Y* to the extent of Rs. 2,000.

3. The Principle of Subrogation

Subrogation is a form of substitution. In marine and fire insurance contracts after the policy-holder is indemnified in full,

the insurer becomes entitled to the remnants of the property insured and all rights and claims which the policy-holder may have against third parties. The insurer is subrogated to the position of the insured.

The principle of subrogation is based upon equity. If the insurer pays the indemnity in full, he ought to get whatever remains of the damaged property. Also, the policy-holder ought not to get more than the value of the property because that will enable him to make a profit out of the insurance.

The principle of subrogation applies only on payment of the whole loss. In case of partial losses the principle does not apply. The principle also does not apply in cases where the contract of insurance is not a contract of indemnity.

Examples :

- (i) *P* insured his house against fire with *Q*. Subsequently he entered into a contract with *R* for the sale of the house. Before the sale could be completed the house was burnt and *Q* paid the full value of the house to *P*. *P* then obtained from *R* the value of the house as per the contract of sale with him. It was held by the court that *P* must refund to *Q* the amount he obtained from *R*. *Castellain v. Preston*.¹
- (ii) A ship insured against total loss is sunk. The insurer pays the value in full. If the ship is subsequently salvaged, the insurer is entitled to the sale proceeds of the remnant, if any. The same rule applies to goods.

4. No return of premiums paid

The Supreme Court has held that in case of fraud, the policy-holder cannot claim the refund of the premiums paid. *Mithoolal Nayak v. L.I.C.*², *Sprenbory v. Edinburgh Life Insurance Co.*³

DUTIES OF THE POLICY-HOLDER

1. Disclosure

The policy-holder must disclose all material facts. The statement of facts made by him in the proposal form must be correct.

2. Premium

The policy-holder must pay the premium on the due dates.

¹ (1883) 11 Q.B.D. 380

² AIR (1962) Supreme Court 814

³ (1912) 1 K.B. 195

3. Protection

In the case of fire, marine, burglary and other forms of insurance of property, the policy-holder must take reasonable measures for the protection of the property. The duties of the policy-holder in cases of such insurance are usually written down in the policy and form part of the term and conditions of the contract of insurance.

4. Mitigation of loss

In case of accidents or mischance it is duty of the policy-holder to take steps for reducing the loss as much as possible. For example when fire occurs the policy-holder must safeguard the burnt properties.

5. No commission

Under Section 41 of the Insurance Act of 1938, the policy-holder is not allowed to receive any part of the commission payable on the policy or any rebate on the premium. If he accepts any such payment he may be punished with a fine which may extend to Rs. 500.

RIGHTS OF THE POLICY-HOLDER

1. Payment

In case of life insurance, policy-holders or their heirs, nominees and assignees are entitled to receive the money stipulated for in the policy on the happening of the specified contingency. In the case of other forms of insurance, the policy-holder is entitled to be indemnified for all losses sustained from the peril insured against.

2. Assignment

The policy-holder is entitled to assign the policy, whereupon the assignee becomes entitled to all the benefits of the policy. (See Ch. 2).

3. Bar to questions

After the lapse of two years from the date of contract, an insurance policy cannot be questioned on the ground of any misstatement unless such misstatement was fraudulent.—Sec.45. Insurance Act.

4. Documents

Under the Insurance Act of 1938, policy-holders are entitled to get the following documents—copies of the proposal and the medical report ; notice regarding default of premium ; written acknowledgement from the insurer of transfer, assignment and nomination etc.

5. Surrender value

A life insurance policy does not lapse for non-payment of premium after it acquires a surrender value.—Sec.113. (See p. 418)

DOUBLE INSURANCE

Definition

(When the *same risk and the same subject-matter* is insured with more than one insurer, there is said to be double insurance.)
P, the owner of a house, insures it against fire for Rs. 30,000 with X and Rs. 10,000 with Y. This is double insurance.)

Rules

The following rules apply in cases of double insurance :

1. *Life—no limit* : In case of life insurance there may be *any number of policies* for any amounts. A man is entitled to place any value he likes upon his life and therefore upon death, all the policies are payable whatever the total amount may be.

2. *Property—not more than actual loss* : A person is free to insure his property with any number of insurers. But in case of loss occurring he will not be allowed to recover more than the actual loss from all the insurers together. Thus if in the above example the actual value of the house is found to be Rs. 20,000, the insurers will pay, in case of total loss by fire, only Rs. 20,000. This amount will be shared between the insurers in proportion to the value of each insurer's policy. If any one of the several insurers pays the whole loss, he is entitled to contribution from the other insurers.

3. *No profit* : The insured is *never allowed to make a profit* out of a fire or any other mischance.

4. *Trust* : According to the Marine Insurance Act of 1963, where the assured receives any sum in excess of the indemnity allowed by the Act he is deemed to hold such sum *in trust* for the insurers, according to their right of contribution among themselves.

REINSURANCE

Definition

Reinsurance means the *transfer of a part of the risk* by the insurer. (Suppose that a ship has been insured for Rs. 10 lakhs.) The insurer may feel that the risk is too heavy to be borne by him alone. If so, he can transfer a part of the risk to another insurer.

Rights of reinsurers

1. Reinsurer is entitled to get a proportionate part of the premium.
2. Reinsurer gets the benefits of the conditions and terms of the original policy.
3. Reinsurer is entitled to subrogation.
4. If for any reason the original policy lapses, the reinsurance comes to an end.

Liabilities of the reinsurer

1. Reinsurer is liable to pay the portion of the risk transferred to him.
2. Reinsurer is liable only to the first insurer because there is no privity to contract between the insurer and the originally insured person.

DISTINCTION : DOUBLE INSURANCE AND REINSURANCE

1. If the same risk and the same subject is insured by the policy-holder, it is called Double Insurance. Reinsurance means the transfer of the part of the risk by the insurer.
2. In insurance of properties, if there are double insurances, the loss will be shared by all the insurers. In case of life insurance all the insurers are liable. In reinsurance, the reinsurer is entitled to get a proportionate part of the premium, and will be liable for a proportion of part of the loss.
3. The reinsurer is liable only to the first insurer. In double insurance each insurer is liable directly to the policy-holder.
4. Double insurance is a method of assuring the benefit of insurance. In case of Life insurance the insured may have any number of policies and for any amount. Reinsurance is a method of reducing of the risk of the insurer.

EXERCISES

1. (a) Define a contract of insurance. (b) Briefly describe different kinds of contract of insurance. (Pages 400, 407, 408)
2. Is an insurance a contract? Give reasons for your answer. (Pages 400-405)
3. "Insurance is a contract on speculation." Discuss. (Pages 408-409)
4. What is meant by insurable interest? (Page 404)
5. Is a contract of insurance a wager? (Page 408)
6. A contract of insurance is not merely a gamble on an uncertain future event. Explain. (Page 408)
7. Explain with illustrations : (a) Insurable interest. (b) General Average Loss. (c) Reinsurance. (Pages 404-405, 414)
8. (a) "Insurance is indemnity and indemnity only." Comment. (Pages 403-404)
- (b) "A contract of insurance is a contract uberrimae fidei". Explain. (Pages 401-402)
9. Write short notes on (i) Double-Insurance, (ii) Reinsurance. (iii) Subrogation. (Pages 413, 414, 410)
10. (a) What do you understand by 'insurable interest' in connection with Life, Fire and Marine Insurance? (Page 404)
- (b) Is a contract of insurance a wager? (Page 408)
11. Objective Question :
 - (a) State whether the contract of life insurance is a contract of indemnity. (Page 403)
 - (b) In what cases can a person effect an insurance on another's life? (Page 404)
 - (c) What is re-insurance? (Page 414)
 - (d) Define 'Fire Insurance'. (Page 446)
 - (e) Define 'Floating Policy'. (Page 433)

WHAT IS LIFE INSURANCE

Definition,

"Life insurance business" means the business of effecting contracts of insurance upon human life. It includes,

- (i) any contract whereby the payment of money is assured upon death (except death by accident only); or the happening of any contingency dependent on human life;
- (ii) any contract which is subject to the payment of premiums for a term dependent on human life;
- (iii) any contract which includes the granting of disability and double or triple indemnity accident benefits; the granting of annuities upon human life, and the guaranteeing of superannuation allowances.—Sec. 2(11), Insurance Act.

Difference between life insurance and property insurance, e.g., fire insurance

Life insurance differs fundamentally from other forms of insurance. The points of difference can be summed up as follows :

1. Life insurance is a contract depending upon human life. Most of the other forms of insurance relate to property.

2. In the insurance the liability of the insurer to pay the sum assured arises upon death of the person concerned or the attainment by him of a certain age. The event upon which the money is payable is certain to occur but the date of occurrence is uncertain. In other forms of insurance the peril insured against may or may not occur.

3. Life insurance is a contingent contract. The full amount mentioned in the policy must be paid on the happening of the contingency stipulated in the policy. Other forms of insurance are usually contracts of indemnity and the insurer is only liable to make good the actual loss suffered.

4. In life insurance, there must be insurable interest at the time the contract of insurance is entered into. In fire and marine insurance, insurable interest must exist at the time the loss occurs.

5. Life insurance contracts are long term contracts. Fire, marine, accident and other forms of insurance are generally entered into for one year subject to renewal at the end of the year.

TYPES OF LIFE INSURANCE POLICIES

There are various types of life insurance. The principal types are described below.

The Whole Life Policy

A whole life policy is one under which a lump sum of money is payable upon the death of the assured to his heirs or nominees.

The Endowment Policy

An endowment policy is one under which a lump sum of money is payable to the assured upon his attaining a certain age, or in the event of his dying earlier, to his heirs or nominees upon his death.

Policies, with profit or without profit

In profit policies, the policy-holder gets the bonuses declared from the profit of the insurer. The bonuses are paid on the maturity of the policies.

The Joint Life Policy

A Joint Life Policy involves the insurance of two lives simultaneously. The policy money is payable upon the death of any one of the lives insured. If there is a joint life policy of *A* and *B*, the money is payable upon the death of either *A* or *B*. *A* and *B* may be husband and wife or partners in a firm. Partners very often enter into this form of insurance. The premium is paid by the firm and money is payable to the firm. Upon the death of any partner the insurance money is used to buy out the heirs of the deceased partner and the firm goes on with the remaining partners. If there were no insurance the heirs of the deceased partner would have had to be paid out of the partnership assets and this might have led to the dissolution of the firm.

Annuities

An annuity policy is one under which the policy money is payable to the assured by monthly or annual instalments after

he attains a certain age. The assured pays premium up to a certain age or (sometimes) a lump sum of money. The insurer pays a certain sum monthly or annually to the assured after he attains a certain age. The usual object of annuities is to provide for one's old age.

Limited Payment Policies

In some life policies the obligation to pay premium ceases after the assured attains a certain age. Such policies are called Limited Payment Policies.

Miscellaneous Types

Insurance Policies may be effected for the purpose of the education of children or the marriage expenses of daughters. The insurer agrees to pay a certain sum for the purpose when the children attain a certain age. Premiums are payable by the person entering into the contract of insurance. If he dies before the maturity of the policy no further premium is payable. Policies of this type help the education and marriage of children in cases of premature death of parents.

SURRENDER VALUE

Prior to the passing of the Insurance Act of 1938 non-payment of premium at any time involved cancellation of the contract of insurance and forfeiture of the premia paid. As this involved considerable hardships, the section 113 of the Act provides that a life insurance policy will not lapse for non-payment of premiums if certain conditions are fulfilled. Policies issued by the Life Insurance Corporation of India provide that surrender value will be acquired if premiums have been paid for at least two years or to the extent of one-tenth of the total number stipulated for in the policy, provided such one-tenth exceeds one full year's premium.

After premiums have been paid for the requisite period, the policy acquires what is called a Surrender Value. The surrender value is obtained by multiplying the sum assured by a fraction. The premia actually paid is the numerator of the fraction and the premia payable is the denominator. Thus the surrender value bears to the sum assured the same proportion as the premia paid

bears to the premia payable. The surrender value of bonuses, declared before default, are to be added.

Example :

Suppose that X takes out an endowment policy for 15 years for Rs. 15,000 and the premium payable is Rs. 1,200 per annum. He pays premium for three years and then stops. The premium paid is $3 \times \text{Rs. } 1,200 = \text{Rs. } 3,600$. The premium payable is $15 \times \text{Rs. } 1,200 = \text{Rs. } 18,000$. The ratio between the two is $\text{Rs. } 3,600 \div \text{Rs. } 18,000 = 1/5$. The surrender value of the policy is $1/5 \times \text{Rs. } 15,000 = \text{Rs. } 3,000$. Surrender value of bonuses, already accrued, are to be added to this figure.

If the conditions laid down for the acquisition of surrender value are fulfilled the policy does not lapse. It becomes what is known as a paid up policy. The insurer will pay, upon the happening of the contingency mentioned in the policy, to the assured or his heirs or nominee, the surrender value of the policy.

ASSIGNMENT OF LIFE POLICIES: ✕

In an old English case, *Ashely v. Ashley*,¹ it was observed that life insurance policies are marketable commodities which can be validly assigned, with or without consideration, to persons who have no interest in the life insured. The principle, viz., the assignability of life insurance policies, is accepted in modern times and permitted by law.

The Insurance Act of 1938 contains the following rules regarding assignment of life policies.—Sec. 38 :

1. Procedure

A transfer or assignment of a policy of life insurance, whether with or without consideration, may be made only by an endorsement upon the policy itself or by a separate instrument, signed in either case by the transferor or by the assignor or his duly authorised agent and attested by at least one witness, specifically setting forth the fact of transfer or assignment.

2. Notice

The transfer or assignment shall be binding upon the insurer after a notice in writing and endorsement on the instrument or a certified copy thereof is delivered to him.

¹ (1829) 3 Sim 149

3. Priority

In case of more than one assignment the priority of the claims of the assignee shall be governed by the order in which the notice to the insurer is delivered.

4. Written acknowledgement

Upon the receipt of the notice, the insurer shall record the fact of transfer together with the date and the name of the assignee. The insurer is also bound to give a written acknowledgement of the receipt of the notice if the person giving the notice or the assignee demands such acknowledgement and pays a fee not exceeding Rupee one.

5. Recognition

From the date of the notice the insurer shall recognise the assignee named in the notice as the only person entitled to benefit under the policy. The assignee can, if necessary, sue without the consent of the assignor.

6. Conditional assignment

Conditional assignments are valid. There may be an assignment in favour of a person subject to the condition that it shall be inoperative or that the interest shall pass to some other person on the happening of a specified event during the lifetime of the person whose life is insured.

7. Survivorships

There may be an assignment in favour of the survivors of a number of persons. *Bai Lakshmi v. Jaswantlal T. Das.*¹

NOMINATION BY THE POLICY-HOLDER

Definition

The holder of a policy of life insurance on his own life may, when effecting the policy or at any time before the policy matures for payment, nominate the person or persons to whom the money secured by the policy shall be paid in the event of his death. This is known as Nomination by the Policy-holder. The person named is called the Nominee.

¹ (1947) Bom. 369

Rules

The Insurance Act contains the following rules regarding nomination.—Sec. 39 :

1. Procedure

The nomination may be incorporated in the text of the policy or be made by an endorsement on the policy. In the latter case the fact of nomination must be communicated to the insurer. A written acknowledgement of such communication shall be made by the insurer upon payment of a fee exceeding Rupee one.

2. Discharge from liabilities

The insurer is discharged from his liabilities under the policy by paying to the recorded nominee or nominees. But if the policy matures for payment during the life time of the insured the insurer shall pay the money to the policy-holder. If the nominee or all the nominees die before the policy matures the insurer shall pay the money to the policy-holder or his heirs or legal representatives or the holder of a succession certificate as the case may be.

3. Cancellation and change

A nomination can be cancelled or changed by a further endorsement on the policy or by a will. The insurer will be bound in such cases only after notice is given to him of the cancellation or change.

4. Automatic cancellation

A transfer or assignment of a policy automatically cancels a nomination (except an assignment to the insurer to secure a loan).

Case Laws

A nominee is only an agent to receive the policy money. The money remains a part of the estate of the assured and is distributable among his heirs. But if it appears from the language used in the nomination that the assured intended to benefit the nominee or to create trust in his favour, he is entitled to the money not the heirs. *Cleaver v. Mutual Reserve Fund Life Association*.¹

¹ (1892) 1 Q.B. 147

The law relating to nomination of life insurance has been clarified and summarised by the Supreme Court of India in the case of *Sarbatī Devi and another vs. Usha Devi*.¹ The judgement is quoted below :

A mere nomination made under Section 39 does not have the effect of conferring on the nominee any beneficial interest in the amount payable under the life insurance policy on the death of the assured. The nomination only indicates the hand which is authorised to receive the amount, on the payment of which the insurer gets a valid discharge of its liability under the policy. The amount, however, can be claimed by the heirs of the assured in accordance with the law of succession governing them.

The summary of the relevant provisions of Section 39 establishes clearly that the policy-holder continues to hold interest in the policy during his lifetime and the nominee acquires on sort of interest in the policy during the lifetime of the policy holder. If that is so, on the death of the policy holder the amount payable under the policy becomes part of his estate which is governed by the law of succession applicable to him. Such succession may be testamentary or interstate. There is no warrant for the position that Section 39 of the Act operates as a third kind of succession which is styled as a 'statutory testament'. The provision in sub-section (6) of Section 39 which says that the amount shall be payable to the nominee or nominees does not mean that the amount shall belong to the nominee or nominees. The language of Section 39 is not capable of altering the course of succession under law.

DIFFERENCE BETWEEN NOMINATION AND ASSIGNMENT

1. Transferability

The assignment of life policy involves the transfer of all its rights of the policy-holder to the assignee. Nomination does not involve the transfer of the policy-holder's rights.

2. Right of action

The assignee is entitled to all benefits of the policy and can sue in his own name. The nominee can sue by his own name

¹ AIR (1984) Supreme Court 346

but he gets the money only by the constructive trustee on the behalf of the beneficiaries of the policy.

3. Cancellation and change

A nomination can be cancelled or changed. An assignment cannot be changed, although there can be a re-assignment under certain circumstances.

4. Object

Assignment is done with the purposes of giving a benefit to the intended beneficiaries. The nomination is made to provide the insurer with a convenient method of discharging his obligations. The insurer can pay to the nominee without waiting for a succession certificate.

5. Consideration

Assignment of a policy may be with or without consideration. Nomination is done without consideration.

6. Procedure

Assignment can be made on the policy or by a separate deed. Nomination is done by indorsement on the policy with notice to the insurer.

7. Automatic cancellation

Nomination is automatically cancelled if the policy-holder is alive at the time and is able to get the policy money. Assignment does not depend upon the life of the policy-holder. In conditional assignment e.g., for mortgaging the policy, it is cancelled when the money is paid to the creditor.

EFFECTS OF SUICIDE

A life insurance policy may contain a clause providing that no payment will be made in case the assured commits suicide. Such a clause is binding and where there is such a clause, the policy is avoided in case of suicide. The onus of providing suicide is upon the insurer.

Where there is no clause in the policy relating to suicide, it has been held in English cases that the policy becomes bad upon suicide and no money is payable. *Horn's case*.¹ The contract

¹ (1861) L.J. Ch. 511

of insurance is avoided even though the policy may have excepted suicide for a limited period only. *Beresford v. Royal Insurance Co.*¹ The English decisions are based upon the fact that suicide by a person of sound understanding is regarded as self-murder, which is a felony under common law. A contract by which money is payable upon the commission of a felony is against public policy and is therefore bad in law. Even if a policy expressly provides for payment in case of suicide, it is unenforceable.

In India suicide is not a crime. Only the attempt to commit suicide is a crime. Therefore it has been held in a case that a policy cannot be avoided on the ground of suicide unless there is a clause in the policy to that effect. *Northern India Assurance Co. v. Kanhayalal*.²

A policy issued by the Life Insurance Corporation of India contains a clause regarding suicide. If the policy-holder commits suicide the Corporation is not liable for the policy money, whether the policy-holder was insane or not. If the policy-holder had assigned the policy to some person for valuable consideration, it is valid. But the assignee will have to prove that he had accepted the policy bonafide and that the assignee has given notice to the Corporation of the assignment in due time.

THE PAYMENT OF CLAIMS

Claims are payable according to the terms of the contract of insurance. In case of an endowment policy, the money must be paid to the assured or, if the policy was assigned, to the assignee. In case of whole life insurance, the money is payable to the assignee or the nominee or, in the absence of assignment or nomination, to the legal representatives of the assured.

The death of the assured must be proved. Proof of death may be given by oral testimony or by a death certificate or by presumptive evidence, viz., absence for a period of seven years or more. The insurer may claim the production of a succession certificate.

Section 47 of the Insurance Act provides that where an insurer is of opinion that, by reason of conflicting claims to or insufficiency of proof of title or any other reason, it is impossible for the insurer to obtain a satisfactory discharge for the payment

¹ (1938) A.C. 586

² (1938) Lah 561

of the money insured for, the insurer may apply to pay the money in the court having jurisdiction over the place where the money is payable. The application of the insurer must contain all particulars regarding the policy and must be filed at least six months *after* the maturity of the policy or the notice of death. The court shall give notice of the deposit of money to all the claimants and decide all questions relating to the disposal of the claims. Pending payment to the successful claimant the money may be invested in government securities.

PROOF OF AGE

The age of assured is a material fact. It is particularly important in endowment policies under which the money is payable on the assured attaining a certain age. Age may be proved by any evidence which is satisfactory e.g., the production of horoscope or a birth certificate (where available) or any family record or document. The age is recorded in the policy. After satisfactory evidence is given of the age the insurer generally writes on the policy, "age admitted" or similar words. Once the age is admitted in this manner it cannot be challenged, except in cases of fraud. Section 45 of the Insurance Act provides that a statement made in the policy cannot be questioned after two years unless there is fraud or a fraudulent concealment.

THE LIFE INSURANCE CORPORATION ACT, 1956

Life Insurance business in India has been brought under State-ownership and State-management by the Life Insurance Corporation Act of 1956.

Objects

The object of the Act is to nationalise the business of life insurance in India with a view (i) to ensure absolute security to the policy-holder, (ii) to spread insurance much more widely and in particular to the rural areas, and (iii) to secure a more effective mobilisation of public savings and the investment of such savings under the five year plans.

The Act creates a Life Insurance Corporation which is responsible for all life insurance in India. Section 30 of the Act provides that the Corporation shall have the *exclusive privilege* of carrying on life insurance business in India.

Constitution of the Life Insurance Corporation

The Corporation consists of not more than 16 persons appointed by the Central Government, one of whom shall be appointed Chairman. Only those persons shall be appointed members who have no financial or other interest of such a nature as to affect prejudicially the exercise of their functions as members of the Corporation.—Sec. 4.

Capital

The original capital of the Corporation was Rs. 5 crores to be provided by the Central Government. The Government may, on the recommendation of the Corporation, reduce the capital to the extent and in such manner as the Government may determine.—Sec. 5.

Functions of the Corporation

Subject to the rules, if any, made by the Central Government, it shall be the duty of the Corporation to carry on life insurance business whether in or outside India, and the corporation shall so exercise its powers under the Act as to secure that life insurance business is developed to the best advantage of the community.—Sec. 6.

In the discharge of any of its functions the Corporation shall act so far as may be on business principles.—Sec. 6.

Direction

In the discharge of its functions under the Act, the Corporation shall be guided by such direction in matters of policy involving public interest as the Central Government may give to it in writing; and if any question arises whether a direction relates to a matter of policy involving public interest, the decision of the Central Government thereon shall be final.

Powers

Without prejudice to the generality of the provisions mentioned above, the Corporation shall have power :

- (a) to carry on capital redemption, annuity and reinsurance business ;
- (b) to take such steps as are expedient for the protection or realisation of its investments, including the taking over and administering any property offered as security ;

- (c) to acquire, hold and dispose of any property for the purpose of its business ;
- (d) to transfer the whole or any part of the life insurance business carried on outside India to any other person or persons if it is expedient to do so ;
- (e) to advance or lend money upon the security of movable or immovable property or otherwise ;
- (f) to borrow or raise money in such manner and upon such security as the Corporation may think fit ;
- (g) to carry on either by itself or through any subsidiary any other business in any case where such business was being carried on by a subsidiary of an insurer whose controlled business has been transferred to and vested in the Corporation under the Act ;
- (h) to carry on any other business which may seem to the Corporation to be capable of being conveniently carried on in connection with its business and calculated directly or indirectly to render profitable the business of the Corporation ;
- (i) to do such things as may be incidental or conducive to the proper exercise of any of the powers of the Corporation.

In the act a new section was inserted in the Public Financial Institutions Laws (Amendment) Act, 1975.

Sec.6A.—In entering into any arrangement, under section 6 with any concern, the Corporation may impose such conditions as it may think fit, necessary or expedient for protecting the interest of the Corporation, and for securing that the accommodation granted by it is put to the best use by the concern. The Corporation can appoint any director of the concern, holding office during the pleasure of the Corporation without any obligation of liability of the person.

Administration

The central office of the Corporation shall be at a place to be decided by the Central Government. There shall be zonal offices at Mumbai, Kolkata, Delhi, Kanpur, Chennai, and such other places as the Corporation may decide. There may be divisional offices and branches within each zone.—Sec. 18.

The Corporation may entrust the general superintendence and direction of its affairs to an executive committee consisting of

not more than five of its members. There may be other committees e.g., an investment committee. The Corporation may appoint one or more Managing Directors and Zonal Managers. The Corporation shall have its own funds and its accounts shall be audited by chartered accountants. A copy of the audit report and annual report must be sent to the Central Government and laid before Parliament.

Accounts and Audit

The Corporation shall, once at least in two years, cause an investigation to be made by actuaries into the financial condition of the business of the Corporation, including a valuation of the liabilities of the Corporation. The actuarial report shall be sent to the Central Government.

EXERCISES

1. What is life insurance ? (Page 416)
2. What are the differences between the following :
 - (a) Life Insurance and Property Insurance. (Page 416)
 - (b) Nomination and Assignment of a life insurance policy. (Page 422)
3. Discuss the liability of insurers on a life insurance policy in case of suicide of the assured. (Pages 423-425)
4. Write Notes on : Whole Life Policy ; Endowment Policy ; Annuities ; Surrender value ; Payment of claims ; Proof of Age ; The Life Insurance Corporation Act, 1956. (Pages 417 ; 417 ; 417 ; 418 ; 424 ; 425 ; 425)
5. Objective Question.
 - (a) "Suicide is no crime". True or False ? (Page 423)

APPLICATION

Marine insurance is an important branch of insurance. In Great Britain the law relating to marine insurance is covered by statutes (e.g., the British Marine Insurance Act of 1906). In India, until recently, there was no statute relating specifically to marine insurance. The subject was governed by the provisions of the British Act mentioned above, the Contract Act and certain provisions of the Insurance Act. In 1963, an Act was passed known as the Marine Insurance Act (Act II of 1963). It came into force from 1st August, 1963. By this Act, the rules relating to marine insurance in India have been codified. The provisions of the Act are summarised below.

DIFFERENCES BETWEEN MARINE INSURANCE AND LIFE INSURANCE

1. A marine insurance policy covers risks arising from a marine adventure. Life insurance is a contract depending upon human life.

2. Marine insurance contracts are usually contracts of indemnity. Life insurance is a contingent contract.

3. In life insurance, details of the subject matter have to be given (usually by answering a set of printed questions). This is generally not required in marine insurance where the insurer relies on the policy-holder's duty of disclosure.

4. There are certain express and implied warranties in all marine insurance contracts.

5. Marine insurance contracts are usually subject to average. (See Average Policy under Fire Insurance, p. 448)

6. Marine insurance policies may, under certain circumstances, be assigned even after loss has occurred.

7. A marine policy may be obtained without disclosing the name of the ship. (See Floating Policy, below). In non-marine insurance the subject matter of the risk has to be disclosed.

8. Marine insurance contracts can be avoided on many grounds (like deviation) not available in cases of non-marine insurance.

REFERENCES BETWEEN MARINE INSURANCE AND FIRE INSURANCE

1. A marine insurance policy covers risks arising from a marine adventure. A fire insurance covers risks of fire on properties.

2. A fire insurance is usually done for one year only. Marine insurance is done for a fixed period or for a fixed voyage.

3. In fire insurance details of the subject matter have to be given (usually by answering a set of printed questions). This is generally not required in marine insurance where the insurer relies on the policy holder's duty of disclosure.

4. Marine insurance policies may, under certain circumstances, be assigned even after loss has occurred. This cannot be done in fire insurance.

5. A marine policy may be obtained without disclosing the name of the ship (See Floating Policy, below). In fire insurance, the subject matter of the risk has to be disclosed.

6. Marine insurance contracts can be avoided on many grounds (like deviation) not available in cases of fire insurance.

DEFINITIONS

Marine Insurance

A contract of marine insurance is an agreement whereby the insurer undertakes to indemnify the assured, in the manner and to the extent thereby agreed, against marine losses, that is to say, losses incidental to marine adventure.—Sec. 3.

A contract of marine insurance may, by its express terms, or by usage of trade, be extended so as to protect the assured against losses on inland waters or any land risk which may be incidental to any sea voyage.—Sec. 4(1).

A marine insurance policy may cover a ship in course of building, or the launch of a ship, or any adventure analogous to a marine adventure.

Insurable Property

For the purposes of the Marine Insurance Act, insurable property means any ship, goods or other movables which are exposed to marine perils. Sec. 2(c).

Marine Adventure

According to Section 2(d), marine adventure includes any adventure where—

- (i) any insurable property is exposed to marine perils ;
- (ii) the earnings or acquisition of any freight, passage money, commission, profit or any pecuniary benefit, or the security for any advances, loans or disbursements is endangered by the exposure of insurable property to marine perils ;
- (iii) any liability to a third party that may be incurred by the owner, or other person interested in or responsible for insurable property by reason of maritime perils.

Maritime Perils

This term means the perils consequent on, or incidental to, the navigation of the sea, that is to say, perils of the seas, fire, war perils, pirates, rovers, thieves, captures, seizures, restraints and detentions of princes and peoples, jettisons, barratry and other perils which are of the like kind or may be designated by the policy.—Sec. 2(e). “Perils of the seas” refer only to fortuitous accidents or casualties on the seas. It does not include the ordinary action of the wind and waves.

Other Terms See p. 385.

FEATURES AND REQUISITES OF A MARINE POLICY

A marine insurance policy to be valid must fulfil the following requirements.

1. Essential elements

A contract of marine insurance must fulfil all the essential elements of a valid contract, for example, the marine adventure which is the subject matter of insurance, must be lawful.

2. Time of contract

A contract of marine insurance is deemed to be concluded when the proposal of the assured is accepted by the insurer, whether the policy is then issued or not ; and for the purpose of showing when the proposal was accepted, reference may be made to the slip, covering note or other customary memorandum of the contract although it be unstamped.—Sec. 23.

3. The Policy

The contract must be written in a document called a sea policy or a marine policy. Sections 24 to 33 of the Act lay down the rules regarding the policy. The document must be stamped in accordance with the provisions of the Stamp Act.

4. Insurable interest

A marine policy is enforceable only if the policy-holder has an insurable interest at the time when the claim is made.

5. Good faith

The contract of marine insurance is a contract *uberrimae fidei* and the insured must disclose all material facts.—Sec. 19.

6. Not to be a wagering contract

The contract must not be a wagering contract. A contract of marine insurance is deemed to be a wagering contract (a) where the assured has not an insurable interest as defined by the Act, and the contract is entered into with no expectation of acquiring such an interest; or (b) where the policy is made with terms like, "interest or no interest", "without further proof of interest than the policy itself", or "without benefit of salvage to the insurer" etc. (But where there is no possibility of salvage, a policy may be effected without benefit of salvage to the insurer.)—Sec. 6.

TYPES OF MARINE INSURANCE POLICIES

There are certain standard forms of marine insurance policies. As early as 1779, members of the Lloyd's started using printed forms of marine policies of different kinds. The Marine Insurance Act of 1963 mentions certain types of policies.

1. Voyage Policy

Where the contract is to insure the subject matter, "at and from" a place, or from one place to another or others, the policy is called a Voyage Policy.

2. Time Policy

Where the contract is to insure the subject matter for a defined period of time, the policy is called a Time Policy. A Time Policy made for any time exceeding twelve months is invalid.—Sec. 27.

A contract for both voyage and time may be included in the same policy.

3. Valued Policy

A Valued Policy is a policy which specifies the agreed value of the subject matter insured. As between the insurer and the assured, the valuation is conclusive, unless there is fraud.—Sec. 29.

Unless the policy otherwise provides, the value fixed by the policy is not conclusive for the purpose of determining whether there has been a constructive total loss.

4. Unvalued Policy

An Unvalued Policy or an Open Policy is a policy which does not specify the value of the subject matter insured, but subject to the limit of the sum insured, leaves the insurable value to be subsequently ascertained, in the manner laid down in the Act.—Sec. 30.

5. Floating Policy by ship or ships

(1) A Floating Policy is a policy which describes the insurance in general terms and leaves the name or names of the ship or ships and other particulars to be defined by subsequent declaration.

(2) The subsequent declaration or declarations may be made by endorsement on the policy, or in other customary manner.

(3) Unless the policy otherwise provides, the declarations must be made in the order of despatch or shipment. They must, in the case of goods, comprise all consignments within the terms of the policy, and the value of the goods or other property must be honestly stated, but an omission or an erroneous declaration may be rectified even after loss or arrival, provided the omission or declaration was made in good faith.

(4) Unless the policy otherwise provides, when a declaration of value is not made until after notice of loss or arrival, the policy must be treated as an unvalued policy as regards the subject matter of that declaration.—Sec. 31.

6. Wagering Policies

Sometimes marine insurance contracts are entered into with persons who have no insurable interest. Such policies are void according to law but the insurer may fulfil his obligations out of considerations of honour. One typical form of a wagering policy is known as the P.P.I. Policy (policy proof of interest).

INSURABLE INTEREST

Who can insure an interest ?

Section 7 of the Act defines insurable interest as follows :

1. Subject to the provisions of the Act, every person has an insurable interest who is interested in a marine adventure.
2. In particular a person is interested in a marine adventure where he stands in any legal or equitable relation to the adventure or to any insurable property at risk therein, in consequence of which he may benefit by the safety or due arrival of insurable property, or may be prejudiced by its loss, or by damage thereto, or by detention thereof, or may incur liability in respect thereof.

Types of interest

Apart from the general provisions stated above, the Act lays down that the following types of interest are insurable ;

1. A defeasible or a contingent interest. A buyer of goods has an insurable interest notwithstanding that he might have rejected the goods under certain circumstances.
2. A partial interest of any nature.
3. The insurer has an insurable interest in his risk and may reinsure in respect of it.
4. The lender of money on bottomry or respondentia bond has an insurable interest in respect of the loan.
5. The master and the crew have insurable interest as regards their wages.
6. The person advancing freight has an insurable interest in so far as such freight is not repayable in case of loss.
7. The assured has an insurable interest in the charges of the insurance.
8. The owner of insurable property has insurable interest in respect of its full value. So also has the mortgagor. The mortgagee has interest up to the amount of his dues. Persons having an insurable interest may insure on behalf of other persons having an interest.

When interest must attach

Section 8 of the Act provides as follows :

The assured must be interested in the subject matter insured *at the time of loss*, though he need not be interested when the insurance is effected.

Where the subject matter is insured "lost or not lost", the assured may recover even though he may have acquired his interest after the loss ; unless at the time of effecting the contract of insurance the assured was aware of the loss, and the insurer was not.

Where the assured has no interest at the time of the loss, he cannot acquire any interest by any act or election after he is aware of the loss.

MEASURE OF INSURANCE VALUE

Section 18 of the Act provides that, subject to any express provision of valuation in the policy, the insurable value of the subject matter insured must be ascertained as follows :

1. Ship

In insurance on ship—the value, at the commencement of the risk, of the ship, including all outfits, provisions, stores, money advanced for wages and other disbursements, plus the charges for insurance. In case of steamships, the value of boilers, machinery, coal etc. and other special requisites, if any, must also be included.

2. Freight

In insurance on freight—the gross freight plus insurance charges.

3. Goods

In insurance on goods—prime cost of the property insured plus expenses of shipping and the insurance charges.

4. Other subjects

In insurance on any other subject matter—the amount at the risk of the assured when the policy attaches plus insurance charges.

DISCLOSURE AND REPRESENTATIONS

A contract of marine insurance is a contract based upon the utmost good faith and if the utmost good faith is not observed by either party, the contract may be avoided by the other party.—Sec. 19. Thus a contract of marine insurance is a contract *uberrimae fidei*.

Duty of Disclosure

Section 20 provides that the assured must disclose to the insurer every material circumstance which is known to the assured. The assured is deemed to know every circumstance which in the ordinary course of business ought to be known to him. The term "circumstance" includes any communication made to or information received by the assured. If the assured fails to make such disclosure the insurer may avoid the contract.

What is a material circumstance ?

Every circumstance is material which would influence the judgment of a prudent insurer in fixing the premium, or determining whether he will take the risk.

In the absence or enquiry the following circumstances need not be disclosed :

- (a) any circumstance which diminishes the risk ;
- (b) any circumstance which is known or presumed to be known to the insurer (the insurer is presumed to know matters of common notoriety or knowledge, and matters which an insurer in the ordinary course of his business as such, ought to know) ;
- (c) any circumstance as to which information is waived by the insurer ;
- (d) any circumstance which is superfluous to disclose by reason of any express or implied warranty.

Agent's duty of disclosure

The agent effecting insurance must also disclose all material circumstances known to him. He need not disclose circumstances which the assured is not bound to disclose.—Sec. 21.

Representations

Section 22 provides that every material representation made by the assured or his agent to the insurer during the negotiations for the contract, and before the contract, is concluded, must be true. If it be untrue, the insurer may avoid the contract.

A representation is material which would influence the judgement of a prudent insurer in fixing the premium, or determining whether he will take the risk.

A representation may be either as to a matter of fact or as to a matter of expectation or belief.

A representation as to a matter of fact is true, if it be substantially correct, that is to say, if the difference between what is represented and what is actually correct would not be considered material by a prudent insurer. A representation as to a matter of expectation or belief is true if it be made in good faith.

A representation may be withdrawn or corrected before the contract is concluded. Whether a particular representation be material or not is, in each case a question of fact.

THE POLICY

A contract of marine insurance shall not be admitted in evidence unless it is embodied in a marine policy in accordance with this Act. The policy *must be executed and issued* either at the time when the contract is concluded or afterwards.—Sec. 24.

A marine *policy must specify*—(1) the name of the assured, or of some person who effects the insurance on his behalf; (2) the subject matter insured and the risk insured against; (3) the voyage, or period of time, or both, as the case may be, covered by the insurance; (4) the sum or sums insured; (5) the name or names of the insurer or insurers.—Sec. 25.

A marine policy *must be signed* by or on behalf of the insurer. Where a policy is subscribed by or on behalf of two or more insurers, each subscription, unless the contrary be expressed, constitutes a distinct contract with the assured.—Sec. 26.

The subject matter insured must be *designated* in a marine policy *with reasonable certainty*. The nature and extent of the interest of the assured in the subject matter insured need not be specified in the policy.—Sec. 28.

Where an insurance is effected *at a premium* or additional premium to be arranged and no arrangement is made, a reasonable premium or additional premium is payable.—Sec. 33.

CONSTRUCTION OF TERMS IN POLICY

In a Schedule to the Act a model form of marine policy is given. The Schedule also contains explanations of various terms generally used in a marine policy. The explanations are given.

"Lost or not Lost"

A marine insurance policy may contain a clause providing that the policy will be valid even if the goods are (unknown to the parties) already lost or have already reached their destination. Such a clause is called the "lost or not lost" clause. The Act provides that if in such a case the loss has occurred before the contract is concluded, the risk attaches unless at such time the assured was aware of the loss and the insurer was not.

The Duration of the Risk

The time from which the liability of the insurer commences and the period during which the insurer remains liable depends on the language of the policy. Where the subject matter is insured "from" a particular place the risk does not attach until the ship starts on the voyage insured.

Where a ship is insured "at and from" a particular place, and she is at that place in good safety when the contract is concluded, the risk attaches immediately. If she be not at that place when the contract is concluded, the risk attaches as soon as she arrives in good safety (even if she is insured under another policy). The same rules apply when chartered freight is insured.

Where goods or other movables are insured "from the loading thereof", the risk does not attach until such goods or movables are actually on board and the insurer is not liable for losses in transit from shore to ship.

Where the risk on goods or other movables continue "until they are safely landed", they must be landed in the customary manner and within a reasonable time after arrival at the port of discharge, and if they are not so landed, the risk ceases.

THE LLOYD'S POLICY

During the 18th and the 19th century marine insurance business in Great Britain was mostly done by an association of underwriters known as the Lloyd's of London. From 1779 the members of the Lloyd's started using printed policy forms in which the terms of the contract of insurance were incorporated. At present marine insurance is undertaken not only by the Lloyd's underwriters but also by many insurance companies. The policy forms used are mostly based upon the forms used by the Lloyd's.

A Lloyd's Policy contains clauses dealing with all essential matters concerning the contract of insurance. Thus it includes the name of the insured or his agent ; the name of the ship ; the subject-matter of insurance ; the extent and the duration of the risk ; the express warranties ; and, various conditions which limit and modify the liability of the insurer. Some special clauses usually found in a Lloyd's policy are explained below.

The "Inchmaree" clause

Ordinarily the insurer under a marine insurance policy is liable only for loss or damage caused by a sea-peril.

Example :

The ship "Inchmaree" was lying at anchor at port and her donkey engine was pumping water into the boilers. The engineer in charge was negligent and kept a valve of the engine closed whereas it should have been kept open. As a result water forced into the engine and the pump was broken. The shipowner claimed compensation from the insurer. It was held that the loss was not due to a sea-peril and so the insurer was not liable. *Thames and Mersey Marine Insurance Co. v. Hamilton Fraser & Co.*¹

Since the decision in the above case it has become customary to include a clause in all marine insurance policies by which the insurer agrees to pay compensation for loss or damage arising from causes which are not sea-perils or similar to sea-perils. Such a clause is called the Inchmaree clause.

The "Sue, Labour and Travel for" clause

This is a clause in a marine insurance policy which permits the captain to stop the ship, lower boats and engage mariners to sue, labour and travel in order to recover goods fallen overboard accidentally.

The F. C. & S. clause

A clause in a marine insurance policy may exempt the insurer from liability in case the ship is captured by enemies during war. Such a clause is called the F. C. & S. clause ("Free of Capture and Seizure").

¹ (1887) 12 A.C. 484

The F. P. A and the F. A. A. clause

A policy may exempt the insurer from liability from particular or general average contribution. F. P. A. stands for "Free from particular average" contribution and F. A. A for "Free from all average" contribution.

The Memorandum or the N. B. clause

The memorandum or the N. B. (*nota bene*) clause exempts insurer from liability for partial losses in the case of perishable goods. In a Lloyd's policy it is usually stated that the insurer will not be liable for losses to goods like sugar, hemp, tobacco etc. unless the loss is 5% or more of the value of the goods. The N.B. clause may limit the liability in any other way.

The Running Down clause

A clause in the policy may make the insurer liable for negligent actions of the captain and crew of the insured ship. For example if by negligence a collision occurs the insurer may agree to indemnify the insured. Such a clause is called "Running Down" clause.

WARRANTIES IN A CONTRACT OF MARINE INSURANCE

In marine insurance contracts, the term Warranty is used to denote certain *conditions* which are considered to be *essential* to the contract of insurance.

According to section 35(1) of the Marine Insurance Act, Warranty, "means a promissory warranty, that is to say a warranty by which the assured undertakes that some particular things shall or shall not be done, or that some condition shall be fulfilled, or whereby he affirms or negatives the existence of a particular state of facts."

A warranty in a marine insurance contract may be Express or Implied. Express Warranties are those which are expressly mentioned in the policy of insurance or incorporated in some document referred to in the policy. Implied Warranties are stipulations which are by law, custom or general agreement assumed to be included in the insurance contract although not mentioned in the policy.

Express Warranties

The following conditions are generally included in marine insurance policies as express warranties:

1. The ship is fit and seaworthy.
2. The ship will sail on a specified day and will proceed to the destination without unnecessary deviation.
3. The ship is a neutral vessel and the cargo is neutral and will remain so during the voyage.

There may be other stipulations expressly mentioned.

Implied Warranties

In a contract of marine insurance, the following warranties are implied.

1. When a ship is expressly warranted neutral, there is an implied warranty that she shall carry the documents needed to prove it.—Sec.38.

2. In a voyage policy there is an implied warranty that the ship is seaworthy at the time of commencement of the voyage and that while at port the ship is fit to encounter the ordinary perils of the port where she is. As regards the goods carried, there is an implied warranty that the ship is fit to carry the goods to the agreed destination.—Secs. 41, 42(2).

3. There is an implied warranty that the voyage is lawful—Sec.43.

4. Where the subject matter is insured by a voyage policy "at and from" or "from" a particular place, there is an implied condition that the adventure shall be commenced within a reasonable time. This condition does not apply if the delay was caused by circumstances known to the insurer before the contract was concluded or if he had waived the condition.—Sec.44.

There is no implied warranty about the nationality of the ship or any undertaking that the nationality will not be changed during the subsistence of the policy.—Sec. 39.

In a policy on goods or other movables there is no implied warranty that the goods or movables are seaworthy.—Sec. 42(1).

Effects of a Breach of Warranty

A warranty is a condition which must be exactly complied with, whether it is material to the risk or not. If it be not so complied with, then, subject to any express provision in the

policy, the insurer is discharged from liability as from the date of the breach of warranty, but without prejudice to any liability incurred by him before that date.—Sec. 35(3).

When Breach of Warranty is Excused

Section 36 provides that in the following cases breach of warranty is excused :

1. When by reason of change of circumstances, the warranty ceases to be applicable.
2. When compliance with the warranty is rendered unlawful by any subsequent change of law.
3. When the insurer waives the breach.

When a warranty is broken, the assured cannot avail himself of the defence that the breach has been remedied, and the warranty complied with before loss.

THE VOYAGE

Rules regarding the voyage, as laid down in sections 44 to 51 of the Marine Insurance Act are summarised below.

1. If the ship sails from a place other than the place specified in the policy, no risk attaches.—Sec. 45.

2. If the ship sails for a destination other than the one specified in the policy, no risk attaches.—Sec. 46.

3. Where after the commencement of the risk the destination of the ship is voluntarily changed, there is said to be change of voyage. Unless the policy otherwise provides, where there is change of voyage, the insurer is discharged from liability as from the time of change.—Sec. 47.

4. If there is unreasonable delay in the prosecution of the voyage, the insurer is discharged from liability.—Sec. 50.

5. *Deviation* : (Sections 48, 49, 51), Deviation occurs under the following circumstances :

- (a) where the course of the voyage is specifically designated by the policy, and that course is departed from ;
- (b) where the course is not specifically designated, but the usual and customary course is departed from ;
- (c) where there are several ports of discharge, the ship must proceed to them in the order designated by the policy ; if she does not (without sufficient reason) there is deviation ;

- (d) where the policy only specifies ports of discharge within a given area, the ports must be visited in the geographical order ; if the ship does not do so (without sufficient reason) there is deviation.

Consequences of deviation : Where a ship, without lawful excuse deviates from the voyage contemplated by the policy, the insurer is, discharged from liability as from the time of deviation. The intention to deviate is immaterial ; there must be deviation in fact.

Excuse for deviation or delay : Deviation or delay is excused under the following circumstances :

- (a) where authorised by any special term in the policy ;
- (b) where caused by circumstances beyond the control of the master and his employer ;
- (c) where reasonably necessary in order to comply with an express or implied warranty ;
- (d) where reasonably necessary for the safety of the ship or subject matter insured ;
- (e) for the purpose of saving human life or aiding a ship in distress where human life may be in danger ;
- (f) where reasonably necessary for the purpose of obtaining medical or surgical aid for any person on board the ship ;
- (g) where caused by the barratrous conduct of the master or crew, if barratry be one of the perils insured against.

When the cause excusing deviation or delay ceases to operate, the ship must resume her course and prosecute her voyage with reasonable despatch.

ASSIGNMENT OF POLICY

A marine policy may be transferred by assignment, unless, such transfer is prohibited by the policy. Assignment may be either before or after loss. The assignee of a marine policy can sue in his own name and can defend an action on any ground available to the transferor. The policy may be transferred by endorsement thereon or in other customary manner. The transfer of the policy holder's interest in the subject matter does not automatically transfer the policy. Such a transfer must be made specifically. Where the assured loses his interest in the subject matter by transfer or otherwise, he cannot subsequently assign the policy.—Secs. 17, 52, 53.

LIABILITY OF INSURER

Unless the policy otherwise provides, the insurer is *not* liable for the following :

- (a) losses not caused proximately by the peril insured against ;
 - (b) loss attributable to the wilful misconduct of the assured ; (the insurer is liable for losses caused by misconduct or negligence of the master and the crew) ;
 - (c) loss caused proximately by delay, although delay is caused by the peril insured against ;
 - (d) losses due to ordinary wear and tear, ordinary leakage and breakage, inherent vice or the subject matter insured or for any loss caused by rats or vermin, or for any injury to machinery not proximately caused by maritime perils.
- Sec. 55.

The Act contains rules, by which the extent of liability of the insurer for total loss and partial loss can be calculated. (See p. 389)

Rights of the insurer on payment : Upon payment, the insurer becomes entitled to subrogation and contribution. (See pp. 410-411)

THE PREMIUM

Unless otherwise agreed, the duty of the assured or his agent to pay the premium, and the duty of the insurer to issue the policy to the assured or his agent, are concurrent conditions, and the insurer is not bound to issue the policy until payment or tender of the premium.—Sec. 54.

Under certain circumstances the premia paid are returnable. (e.g., for failure of consideration.)—Sections 82-84.

LOSSES

The liability of the insurer arises when there is loss. Loss may be of two kinds : Total or Partial.

Total loss is again of two kinds : Actual Total Loss and Constructive Total Loss. Actual Total Loss occurs when the subject matter of the insurance is totally destroyed or is so damaged that it ceases to be the thing which was insured. Constructive Total Loss occurs when the thing insured has to

be abandoned or where it cannot be retained without unreasonable expense.

Partial Loss occurs when the subject-matter of insurance is partially lost. Partial Loss may be either a particular average loss or a general average loss. (See p. 389).

EXERCISES

1. What are the points of difference between marine and life insurance? (Page 429)
2. Discuss the legal nature of a marine insurance. (Pages 430-431)
3. Distinguish between marine insurance and fire insurance. Enumerate the various classes of marine insurance policy. (Page 430)
4. What do you understand by "Insurable interest" in connection with Marine Insurance? (Page 434)
5. Write notes on any two of the following : Floating Policy of Marine Insurance ; Implied warranties in a voyage policy ; General Average Loss and Particular Average Loss.
(Pages 433 ; 440 ; 389)

FIRE INSURANCE**Definition**

Fire insurance means insurance against any loss caused by fire. Section 2(6A) of the Insurance Act defines fire insurance as follows : "Fire insurance business means the business of effecting, otherwise than incidentally to some other class of business, contracts of insurance against loss by or incidental to fire or other occurrence customarily included among the risks insured against in fire insurance policies."

What is 'Fire' ?

The term fire in a Fire Insurance Policy is interpreted in the literal and popular sense. There is fire when something burns. In English cases it has been held that there is no fire unless there is ignition. *Stanley v. Western Insurance Co.*¹ Fire produces heat and light but either of them alone is not fire. Lightning is not fire. But if lightning ignites something, the damage may be covered by a fire-policy. The same is the case with electricity.

CHARACTERISTICS OF FIRE INSURANCE

1. Fire insurance is a *contract of indemnity*. The insurer is liable only to the extent of the actual loss suffered. If there is no loss there is no liability even if there is a fire.

2. A fire insurance is a contract of good faith (*uberrimae fidei*). The policy-holder and the insurer must disclose all the material facts known to them.

3. A fire insurance policy is usually made for one year only. The policy can be renewed according to the terms of the policy.

4. The contract of insurance is embodied in a *policy* called the fire policy. Such policies usually cover specific properties for a specified period.

5. **Insurable Interest** : A fire policy is valid only if the policy-holder has an insurable interest in the property covered.

¹ (1868) L.R. 3 Ex 71

Such interest must exist at the time when the loss occurs. In English cases it has been held that the following persons have insurable interest for the purposes of fire insurance—owner; tenants, bailees, including carriers; mortgages and charge-holders.

6. In case of several policies for the same property, each insurer is entitled to *contribution* from the others. After a loss occurs and payment is made, the insurer is *subrogated* to the rights and interests of the policy-holder. An insurer can reinsure a part of the risk.

7. Fire policies cover losses *caused proximately by fire*. The term loss by fire is interpreted liberally.

Example :

A woman hid her jewellery under the coal in her fireplace. Later on she forgot about the jewellery and lit the fire. The jewellery was damaged. Held, she could recover under the fire policy. *Harris v. Poland*.¹

8. Nothing can be recovered under a fire policy if the fire is caused by a *deliberate act* of the policy-holder. In such cases the policy-holder is liable to criminal prosecution.

9. Fire policies generally contain a condition that the insurer will not be liable if the fire is caused by riot, civil disturbances, war and explosions. In the absence of *any specific exception* the insurer is liable for all losses caused by fire, whatever may be the cause of the fire.

10. **Assignment :** According to English law a policy of fire insurance can be assigned only with the consent of the insurer. In India such consent is not necessary and the policy can be assigned as a chose-in-action under the Transfer of Property Act. The insurer is bound when notice is given to him. But the assignee cannot recover damages unless he has an insurable interest in the property at the time when the loss occurs. A stranger cannot sue on a fire policy.

11. **Payment of Claims :** Fire policies generally contain a clause providing that upon the occurrence of fire the insurer shall be immediately notified so that the insurer can take steps to salvage the remainder of the property and can also determine the extent of the loss. Insurance companies keep experts on their staff to value the loss. If in a policy there is an intentional over-

¹ (1941) 1 K.B. 462

valuation of the property by the policy-holder, the policy may be avoided on the ground of fraud.

TYPES OF FIRE POLICIES

There may be various types of fire policies. The principal types are described below.

Specific Policy

A specific policy is one under which the liability of the insurer is limited to a specified sum which is less than the value of property.

Valued Policy

A valued policy is one under which the insurer agrees to pay a specific sum irrespective of the actual loss suffered. A valued policy is not a contract of indemnity.

Average Policy

Where a property is insured for a sum which is less than its value, the policy may contain a clause that the insurer shall not be liable to pay the full loss but only that proportion of the loss which the amount insured for, bears to the full value of the property. Such a clause is called the average clause and policies containing an average clause are called average policies. The phrase "subject to average" is equivalent to the insertion of an average clause. Lloyd's Fire Policies are usually expressed to be "subject to average".

Reinstatement or Replacement Policy

In such policies the insurer undertakes to pay not the value of the property lost, but the cost of replacement of the property destroyed or damaged. The insurer may retain an option to replace the property instead of paying cash.

Floating Policy

When one policy covers property situated in different places it is called a floating policy. Floating policies are always subject to an average clause.

Combined Policies

A single policy may cover losses due to a variety of cases, e.g., fire together with burglary, third party losses, etc. A fire

policy may include loss of profits, *i.e.*, the insurer may undertake to indemnify the policy-holder not only for the loss caused by fire but also for the loss of profits for the period during which the establishment concerned is kept closed owing to the fire.

MISCELLANEOUS INSURANCE

Insurance Against Personal Accidents

A contract of personal accident insurance is a contract by which the insurer promises to pay a certain sum of money to the insured in case of injury by accident and to the dependants of the insured in case of death by accident. A personal accident insurance is not a contract of indemnity because the insurer has to pay a fixed sum of money. He is not required to indemnify the assured. The contract of insurance is made in the same manner as other forms of insurance, *i.e.*, by the payment of premium and taking out a policy. The contract must satisfy all the essential requirements of an insurance contract *e.g.*, there must be no concealment of any material fact. In U.K. accident insurance policies for a specified journey can be effected easily by filling out a form and paying the premium. For railway journeys a coupon for accident can be purchased along with the purchase of the ticket. In India insurance against railway accidents is almost unknown but insurance against accidents during air journeys is very popular.

Accident insurance policies generally contain various conditions safeguarding the interests of the insurer. For example, the policy may provide that the insurer will not be liable for accidents if the assured engages in any unusual trade or occupation involving more than ordinary dangers or if the assured incurs accident while under the influence of drink.

The insurer in an accident policy is liable only if the injury or death is due to an accident and not due to natural causes. It is difficult to define what is an accident. Lord Macnaughten has defined an accident as an "unlooked for mishap, or an untoward event which is not expected or designed." *Fenton v. Thorley*.¹ If a man deliberately jumps down from the roof of a house and dies, it is not an accident; but if he slips and falls from the roof without intending to do so, it is an accident.

¹ (1903) A.C. 448

Insurance against personal accident may be and usually is, a part of motor car insurance.

Burglary Insurance

Goods may be insured against theft or robbery. The policy in such cases lays down what risks are covered. The policy-holder is usually required to take all reasonable precautions against loss by theft or robbery. In burglary and accident insurance there is usually a provision that notice of loss or accident must be given to the insurer immediately or as soon as possible.

Fidelity Insurance

A contract of Fidelity Insurance promises to indemnify the employer against loss caused by misappropriation of funds or damage to property committed by an employee. Such insurance may be effected by the employee or by the employer with the insurance company. There may be a collective policy covering all employees.

Motor Car Insurance

A policy of motor car insurance may cover three different types of risks, viz, (i) loss of or damage to the car by accident (ii) injuries to or death of any passenger by accident and (iii) damages payable to third parties by the owner of the car for accidents. The same policy may cover all three risks. The last item mentioned above is called insurance against third party risks. According to the Motor Vehicles Act of 1939 every owner of a motor vehicle must take out a policy covering third party risks. Insurance against the other two forms of risk is optional.

Where an insurance policy covers third party risks, the third party who has suffered damage can sue the insurer even though he was not a party to the contract of insurance.

Insurance Policy for Workmen's Compensation

This type of policies cover the compensation which has to be paid for injuries or death of employees according to the Workmen's Compensation Act and the Employees' State Insurance Act.

The All in One Policy

An insurance policy may cover different types of risks simultaneously. Thus there may be a policy combining insurance against fire, accident, burglary, third party losses, etc.

BOOK VII

THE LAW OF INSOLVENCY

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WHAT IS INSOLVENCY ?

According to popular usage an insolvent is one who is unable to pay his debts. But no man can be called "insolvent" unless a competent court declares him an insolvent. The statutes relating to insolvency lay down the procedure by which a person can be declared insolvent and the rules to be followed in distributing the properties of such a person among his creditors.

INSOLVENCY LEGISLATION

The law relating to insolvency in India is contained in two statutes : The Presidency Towns Insolvency Act of 1909 and the Provincial Insolvency Act of 1920. The former applies to the presidency towns, *i.e.*, to Calcutta, Bombay and Madras. The latter applies to all areas other than the three towns mentioned above. The two Acts are based on the same principles.

Differences. Mulla¹ said that the differences between the two Acts relate mostly to matters of procedure. The points of differences are summed up below :

1. The procedure from the date of presentation of the petition to the date of adjudication.
2. The duties of the debtor, including his examination.
3. The person in whom the debtor's property is to be vested.
4. The doctrine of Relation Back.
5. The constitution of the courts.

* *Bankrupt and Insolvent.* The Indian Acts relating to insolvency are based upon the English statutes on the subject. In English law the terms "bankrupt" and "bankruptcy" are used in the same sense as the terms insolvent and insolvency in India.

THE OBJECT OF INSOLVENCY LEGISLATION

Insolvency legislation has a two-fold objective : (i) protection of debtors and (ii) safeguarding, as far as possible, the interests of creditors. These objects are sought to be achieved in the following way :

¹ Mulla, *Law of Insolvency*.

1. Distribution of insolvent's property

After a person is declared insolvent by the court, his properties are taken over by an officer of the court (known as the Official Assignee or the Official Receiver). The properties are converted into cash and distributed among his creditors in proportion to the claim of each.

2. Cancellation of debts and removal of disqualifications

After the distribution is complete, the unpaid debts (except certain specified debts) are cancelled and the insolvent is allowed to engage in trade or service without any of his former obligations. The creditors lose a part of their claims, the debtor gets a fresh start in life.

3. Benefits to creditors

Insolvency legislation is also beneficial to the creditors. It ensures the equitable distribution of the debtor's remaining properties among all the creditors. If there were no insolvency laws the debtor would have been free to dispose of his properties in any way he liked. He might have wasted the properties or might have paid one creditor proportionately more than the other creditors. Because the court distributes the properties ratably each creditor is sure of getting at least something.

4. Fresh start in life by debtors

Prior to the passing of insolvency legislation, a debtor who was unable to pay debts was regarded as a sort of criminal and was very often sent to jail. It was realised in course of time that inability to pay debts is more often due to misfortune than to misconduct and sending the debtor to jail is oppressive and unprofitable. Insolvency legislation provides a method by which the debtor can free himself from his past obligations and get a fresh start in life.

INSOLVENCY COURTS

In the Presidency towns (i.e., in Calcutta, Madras and Bombay) Insolvency matters are dealt with by the High Courts. In other areas, such matters are dealt with by the District Courts. But courts subordinate to the district courts may deal with

insolvency matters if they are so empowered by the State Government concerned. Insolvency courts have power to decide all questions relating to the realisation and distribution of the debtor's properties and the determination of all questions relating to priority of claims as between different creditors.

WHEN CAN A PERSON BE DECLARED INSOLVENT ?

Two conditions must be satisfied before a person can be adjudicated insolvent : (i) he must be a debtor, *i.e.*, he must owe money to others and his assets must be insufficient to meet all the claims upon them ; and (ii) the debtor has committed an 'act of insolvency'.

Act of Insolvency

An 'act of insolvency' is some act of the debtor which shows that he is financially embarrassed. Both the Presidency Towns Insolvency Act and the Provincial Insolvency Act contain a list of acts which are to be considered acts of insolvency when committed by a debtor. Only those acts which are listed as such by the statutes mentioned above are considered to be acts of insolvency.

Acts of Insolvency By An Agent

The principal can be adjudged insolvent for the act of an agent, provided the following conditions are fulfilled : (1) the act of the agent was expressly or impliedly authorised to do the act, or (2) if the nature of the principal's business is such that it may be considered the act of the principal.

List of Acts of Insolvency

Each of the following acts committed by the debtor is an act of insolvency :

1. If in India or elsewhere, he makes a transfer of all or substantially all his property to a third person for the benefit of his creditors generally.

Explanation : The transfer of the bulk of a person's property for the benefit of creditors is clearly evidence of financial embarrassment and is therefore an act of insolvency. Any creditor, who is not a party to the transfer can apply for adjudication on this ground. The intention of the debtor does not matter because

the fact of transfer gives jurisdiction to the court. The transfer becomes void if the debtor is adjudged insolvent within three months of the transfer.

2. If in India or elsewhere, he makes a transfer of his property or any part thereof, with the intent to defraud or delay his creditors.

Explanation : In such cases it must be proved that the debtor had a dishonest intention—to defeat or delay creditors. Upon proof of such fact the court will issue an adjudication order. The transfer becomes void upon the passing of the order of adjudication.

3. If in India or elsewhere, he makes any transfer of his property or any part thereof it would under this (insolvency) or any other enactment for the time being in force, be void as a fraudulent preference if he were adjudged an insolvent. (See p. 463)

Explanation : Fraudulent preference occurs when an insolvent debtor prefers one creditor to another, i.e., pays one creditor more than what he would have received had the properties been ratably distributed. Fraudulent preference amounts to an act of insolvency. Upon adjudication the creditor so preferred must refund the money obtained.

4. If, with intent to defeat or delay his creditors—

- (i) he departs from or remains out of India ;
- (ii) he departs from his dwelling house or usual place of business or otherwise absents himself ;
- (iii) he secludes himself so as to deprive his creditors of the means of communicating with him.

Explanation : The intention of the debtor—to defeat or delay his creditors—can be gathered from the circumstances.

5. If any of his property has been sold or attached for a period of not less than 21 days in execution of the decree of any court for the payment of money.

Explanation : Under the Provincial Insolvency Act only a sale in execution is an act of insolvency, not attachment in execution.

6. If he petitions to be adjudged an insolvent.

7. If he gives notice to any of his creditors that he has suspended, or that he is about to suspend, payment of his debt.

8. If he is imprisoned in execution of the decree of any court for the payment of money.

9. If a creditor has served an "Insolvency Notice" in respect of any decree or order for payment of money (being a decree or order which has become final and the execution whereof has not been stayed), and if the debtor has not paid the money within the period specified in notice.

Explanation : Non-payment of money in terms of the notice amounts to an "act of insolvency". The rules regarding notice are stated below :

(a) The notice must be given according to the prescribed form and prescribed manner.

(b) It must specify the amount due. If the sum specified in the notice exceeds the actual amount, the insolvency notice does not become invalid, unless the debtor gives notice to the creditor in this regard.

(c) It must specify the period for its compliance, *i.e.*, not less than one month and in the case of a debtor residing outside India whether permanently or temporarily, such period as may be specified by the order of the Court granting leave for the service of such notice.

(d) It must specify the consequences of non-compliance.

The notice does not amount to an "act of insolvency" in the following cases :

- (i) If the debtor makes an application against the notice and if it is allowed by the Court.
- (ii) If the debtor resides, whether permanently or temporarily, outside India, unless the creditor obtains the leave of the Court.
- (iii) If the debtor has a counter-claim, right of set-off or is entitled to have the decree or order set aside for the relief of indebtedness or made an application for the setting aside of the decree or order, or the time allowed for application has not expired or the decree or order is not executable under the existing law.

Comment : The provision of Insolvency Notice (stated in para 9) was enacted in Maharashtra in 1939. In 1978, it was applied to the whole of India under the Insolvency Laws (Amendment) Act 1978. This rule is under the Presidency Towns Insolvency Act, 1909 and also under the Provincial Insolvency Act, 1920.

PROCEDURE OF ADJUDICATION

Order of Adjudication

The order of court by which a person is declared to be insolvent is called the Order of Adjudication.

Before the court can pass an order of adjudication there must be a petition presented to it either by a creditor or by the debtor. The petitioning creditor or debtor must fulfil certain conditions.

Conditions of a creditor's petition

The following conditions must be fulfilled before a creditor can present a petition for the adjudication of a person as insolvent :

1. The amount owned must be Rs. 500 or more. Two or more creditors may present a joint petition, in which case it is sufficient if the total claim of the creditors amounts to at least Rs. 500 in all.

2. The debt is a liquidated sum payable either immediately or at some certain future time.

3. The debtor must have committed an act insolvency within three months before the presentation of the petition.

4. A *secured creditor* i.e., one who holds some movable or immovable property of the debtor out of which he can realise his claims, is not ordinarily interested in insolvency proceedings because his dues are safe. But a secured creditor can present an insolvency petition if the following conditions are satisfied :

- (i) he abandons his security in favour of all the creditors, or

- (ii) the security is insufficient to meet his claims and the insufficiency amounts to at least Rs. 500. (In the latter case he must in his petition mention the valuation of the security and show that he satisfies the conditions mentioned above regarding a creditor's petition.)

Conditions of debtor's petition

A debtor is entitled to present a petition for the adjudication of himself as an insolvent if *any one* of the following conditions are fulfilled :

- (1) his debts amount to Rs. 500, or

- (2) he has been arrested and imprisoned in execution of the decree of any court for the payment of money, or

(3) an order of attachment in execution of a money decree has been made and is subsisting against his property.

The Procedure of Insolvency

Under both the Acts, insolvency is done through the following successive stages : (1) presentation of the insolvency petition and the evidence of it (2) the appointment of an interim Assignee or Receiver (3) passing the order of adjudication and (4) the discharge of the insolvent.

Procedure after the filing of an Insolvency petition

A creditor's *petition* must be verified by an *affidavit* of the creditor or of some person having knowledge of the facts. At the hearing the court shall require proof of the debt of the petitioning creditor and of the debtor's act of insolvency. Notice of the petition must be given to the debtor. If all the necessary facts are proved the court will issue the order of adjudication. If the debtor appears and proves that he is not indebted or if he pays the amount due to the petitioning creditor no order of adjudication will be passed.

The court may at the time of presentation of the petition appoint an *interim receiver* to take charge of the properties of the debtor.

In the case of a debtor's petition, the debtor must prove that he is entitled to present the petition and upon such proof the court will issue an order of adjudication.

WHO CAN BE DECLARED INSOLVENT ?

Any person, man or woman, who has attained majority can be declared insolvent if the conditions laid down in the Insolvency Acts are fulfilled. (See above under creditor's and debtor's petition.) Certain special cases are discussed below.

Minor

In India a minor is not personally responsible for his debts and is not capable of entering into contracts. Therefore a minor cannot be adjudicated an insolvent. If by error a minor is adjudicated insolvent, the order must be annulled, *i.e.*, cancelled.

Lunatic

A lunatic can be adjudged insolvent for debts incurred by him while he was sane. The other conditions necessary for

passing an Order of Adjudication must be satisfied, *e.g.*, there must be an act of insolvency. It must be noted that a lunatic cannot commit those acts of insolvency which involve conscious volition, *i.e.*, acts which involve intent. Thus a lunatic cannot stay away from his place of business "with intent to defeat and delay his creditors."

Women

In India a married or an unmarried woman does not suffer from any contractual incapacity. She can own property and contract debts. Therefore she can be declared insolvent under appropriate circumstances.

Foreigner

A foreigner can be adjudicated insolvent if he commits an act of insolvency in India while resident here.

Joint Debtors

When money is borrowed by two or more persons jointly, all of them can be declared insolvent on a single petition provided some act of insolvency is committed by each of them or jointly by all.

Partners

Since every partner is responsible for all the debts of the firm, the creditor of a firm can file an insolvency petition against any partner or all the partners for any debt due and owed by the firm. But it must be proved that the partner concerned has committed an act of insolvency. A minor partner cannot be declared insolvent for a partnership debt.

Under English law an adjudication order cannot be passed against a firm in the firm name. In India under both the Presidency Towns Insolvency Act and the Provincial Insolvency Act an adjudication order can be passed against a firm in the firm name. Such an order is equivalent to the adjudication of all the partners (except a minor partner, if any), as insolvent.

Joint Hindu Family

A creditor of a joint Hindu Family can present a petition for the adjudication of all the members of the family as insolvent

provided the debt is one for which all the members are responsible and an act of insolvency has been committed by all the members jointly. Minor members will not be declared insolvent.

In the case of a joint Hindu family firm managed by the Karta, members who participate in the management and the Karta can be declared insolvent for debts due from the firm. If the management is solely in the hands of the Karta, only the Karta can be declared insolvent because the other members are not personally responsible for the debts—they are responsible only to the extent of their share in the joint family properties.

Deceased Person

A dead man cannot be declared insolvent. His debts will be paid *pro rata* in course of the administration of his estate. If a debtor dies after the presentation of the insolvency petition, his estate will be administered by the Official Assignee as upon insolvency, unless the court otherwise directs.

Legal Representative

The legal representative of a deceased debtor cannot be declared insolvent for a decree obtained against him as legal representative, because he is not personally responsible for such debts.

Companies

A company cannot be declared insolvent. In case of insolvent companies the proper procedure is winding up.

Convict

A prisoner in the jail can be declared insolvent.

EXERCISES

1. What are the objects of insolvency law? How are they sought to be achieved? (Pages 452-453)
2. What are the main differences between Presidency Towns Insolvency Act and Provincial Insolvency Act? (Page 453)
3. Can the following persons be adjudicated as insolvent—a foreigner, a minor, a lunatic, one of the partners? (Pages 458-459)
4. State the stages of Insolvency *viz.*—(1) a person becomes insolvent, (2) the order of adjudication, (3) the administration of the insolvent properties and (4) the discharge. (Page 458)

5. When can a creditor file an application for the adjudication of his debtor as an insolvent? (Page 457)
6. When can a debtor file an application for his adjudication as an insolvent? (Page 457)
7. Define the following terms : (a) Act of insolvency (b) Order of Adjudication. (Pages 454, 457)
8. Objective questions. Give short answers.
 - (i) State whether a minor and a lunatic can be adjudged insolvent. (Page 458)
 - (ii) State whether a man with unsound mind can be adjudged an insolvent. (Page 458)
 - (iii) Who can be declared an insolvent? (Page 458)
9. State whether the following persons can be adjudged Insolvent.
 - (i) Deceased person,
 - (ii) Married women,
 - (iii) Legal Representative,
 - (iv) Minor. (Pages 458-460)

LEGAL EFFECTS OF THE ORDER OF ADJUDICATION

The order of the court by which a person is declared insolvent is called the Order of Adjudication. Upon such an order being passed the following consequences ensue :

1. Vesting of the Properties of the insolvent

The properties of the debtor (except properties held by him in trust for others and tools of trade, wearing apparel and similar items) *vest in an officer of the court* who is called the Official Assignee (under the Presidency Towns Insolvency Act) and the Official Receiver (under the Provincial Insolvency Act).

All the properties of the debtor in India (except the items mentioned above) *automatically vest* in the Official Assignee or the Official Receiver and the insolvent no longer possesses any power to deal with such properties in any way. *Official Assignee of Bombay v. Registrar, Small Causes*.¹ As regards properties of the insolvent outside India, it has been held that movable properties vest in the same way as properties in India but immovable properties do not, unless the law of the country in which they are situated allows such vesting. *Yokohama Specie Bank v. Curlenders & Co.*²

2. Management

The Court may appoint a manager to assist the Official Assignee or the Official Receiver to manage the properties of the insolvent.

3. Administration

The Official Assignee or the Official Receiver takes possession of the properties, sells them and distributes the money among the creditors according to rules contained in the insolvency Acts.

4. Relation Back

The insolvency of a person commences, not from the date

¹ 37-I.A 86

² 43 Cal L.J. 436

when the order of adjudication is passed, but from an earlier date. (See p. 469)

5. Suits against Insolvent

After the Order of Adjudication is passed no creditor can commence any suit or legal proceedings against the insolvent except with the leave of the insolvency court and subject to such terms and conditions as the insolvency court may impose.

6. Stay of Suits

A suit and proceeding already filed, may be stayed but may be continued with the leave of the insolvency court.

7. Proof of Debts

After insolvency proceedings commence, all unsecured creditors have the right to prove their claims before the Official Assignee or the Official Receiver and thereafter get a share of the remaining assets of the insolvent. The position of secured creditors is different.

8. Personal Disqualifications

Upon adjudication as an insolvent the debtor loses certain civic rights, viz., he cannot hold the post of a magistrate, or any office under a local authority, or be a member of a local authority. These disqualifications are removed only if the order of adjudication is annulled (i.e., cancelled), or if the insolvent is discharged with a certificate from the court stating that his insolvency was caused by misfortune and not by misconduct. In addition to the disqualifications laid down under the insolvency Acts, there are others imposed by different statutes. For example, under the Companies Act of 1956, an undischarged insolvent cannot act as director of a company.

9. Duties of the Insolvent

The insolvent must produce his books of account to the Court, file a schedule of assets and liabilities and perform all the duties of the debtor, enumerated in the Insolvency Acts. (See p. 465)

10. Avoidance of Voluntary Transfers

A voluntary transfer is a transfer without consideration e.g., a gift. Under the Presidency Towns Insolvency Act all voluntary

transfers (except transfers made by the insolvent to his wife on the occasion of his marriage) become void and inoperative if an order of adjudication is passed against the transferor within two years of the date of transfer. Under the Provincial Insolvency Act all such transfers made within two years of the date of presentation of the petition for adjudication become void if an order of adjudication is passed on the petition. The properties involved in the transfer vest in the Official Assignee or the Official Receiver as the case may be.

11. Avoidance of Fraudulent Preferences

Fraudulent Preference means any act of the debtor by which one creditor is preferred to another in the matter of payment of his dues. Such preference can be shown by transfer of property, payment of money or otherwise. Suppose that a person is indebted to *X* for Rs. 5,000, to *Y* for Rs. 4,000 and *Z* for Rs. 2,000. His total assets amount to Rs. 3,000 and he transfers them to *Y* with the deliberate intention of giving an advantage to *Y* as against *X* and *Z*. This is fraudulent preference.

Effects : (i) A fraudulent preference is an act of insolvency. When a debtor does an act which amounts to a fraudulent preference any of his creditors can, within three months of the act, file a petition for declaring him insolvent.

(ii) The Insolvency Acts provide that a fraudulent preference is void and inoperative if the following conditions are satisfied :

- (a) the debtor was in insolvent circumstances at the time the transfer was made, *i.e.*, was unable to pay his debts as they fell due ;
- (b) the transfer was made in favour of a creditor and had the effect of preferring that creditor over others ;
- (c) the transfer was made by the debtor with a view to giving preference to that creditor ; and
- (d) the debtor was adjudicated insolvent on a petition presented within three months after the date of the transfer.

(iii) The money and property, received by the creditor who was fraudulently preferred, must be returned to the Official Assignee or Official Receiver if the debtor is adjudicated insolvent within three months of the date when the fraudulent preference occurred. But if the creditor had transferred any of

the properties received by him to a *bona fide* purchaser for value, the transfer is valid and the rights of the transferee are not affected.

12. The Protection Order

Protection Order means an order by the court prohibiting the arrest of an insolvent debtor in execution of a decree for the payment of money. Under the Presidency Towns Insolvency Act such an order may be passed after the order of adjudication is passed and after the insolvent has filed a schedule of his assets. But the court may, at its discretion, issue a protection order before the filing of the schedule, if necessary. Under the Provincial Insolvency Act a protection order may be passed any time after the admission of the petition for adjudication. If an insolvent is already under arrest the court may order his release.

DUTIES OF THE DEBTOR

1. As soon as the petition for adjudication is admitted, the debtor must produce his books of account before the court.

2. Within 30 days of the date of the adjudication order (if the order is passed on the application of the debtor) and within 30 days of the service of the order of adjudication (if the order is passed on the application of a creditor) the insolvent must file a schedule of his assets and liabilities. The schedule must be verified by an affidavit and must contain an inventory of his properties and a list of his debts together with the names of the creditors. If without any reasonable excuse the insolvent fails to file a correct and proper schedule he may be committed to prison by the court.

3. **Public Examination of the Insolvent :** Under the Presidency Towns Insolvency Act the court fixes a date for holding a public examination of the insolvent. The insolvent must, on the appointed date, attend court and answer all questions put to him by the court, the Official Assignee and any creditor. The object of the examination is to determine the causes which led to insolvency. The court may dispense with the holding of the public examination if the insolvent is a lunatic or a pardanashin woman or if he or she is suffering from some disease or disablement.

Under the Provincial Insolvency Act the court must examine the debtor while the petition for adjudication is being heard by the court. During such examination the creditors present may put questions to the debtor.

4. The insolvent must attend any meeting of the creditors which the Official Assignee may require him to attend and must disclose before the meeting such information as may be required.

5. The insolvent must execute such powers of attorney, transfers and instruments as may be required by the Official Assignee or the Official Receiver and must do all such acts and things in relation to his properties as may be required by the Official Assignee or the Receiver. Failure to perform any of these duties amount to contempt of court and the insolvent may be punished for it.

6. The insolvent must assist the Official Assignee, to the best of his ability, in the realisation of his property and the distribution of the property among the creditors.

7. **Private Examination :** The court may, on the application of the Official Assignee or the Official Receiver or any creditor who has proved his debt, summon before it the insolvent or any other person who is suspected or known to be in possession of property belonging to the debtor or is indebted to him or is capable of giving information regarding the insolvent's property or the causes of insolvency. When such persons attend, questions are asked by the court.

If the person summoned does not attend he may be arrested upon a warrant issued by the court.

If the person summoned admits that he is indebted to the insolvent, the court may issue an order for the payment of the money to the Official Assignee. Similar orders may be issued as regards any property of the insolvent held by the person examined. The orders of the court regarding payment of money or the delivery of property can be executed like decree of a court.

PROPERTY OF THE INSOLVENT

The term property has been defined in the Insolvency Act so as to include properties of which the insolvent is the owner and also properties over which he has a disposing power. Some of these properties are available for distribution among the creditors, some are not.

Properties available for distribution among creditors

The following types of properties can be distributed among the creditors :

1. All properties, movable or immovable, of which the insolvent was the owner at the *date of commencement of insolvency* (except trust properties, tools of trade and certain other items). The following types of properties are available for distribution among creditors : immovable properties ; cash in hand, jewellery and other movables ; life insurance policies ; patents and copyrights belonging to the insolvent ; partnership assets, including goodwill in case of insolvency of a firm ; leasehold interests ; occupancy rights ; actionable claims etc.

2. Properties which may be acquired by the insolvent or which may devolve upon him *after* the commencement of insolvency but *before* the date of discharge *e.g.*, a legacy. As regards properties coming within this category it has been held, in several cases under the Presidency Towns Insolvency Act, that they do not vest automatically in the Official Assignee. The Official Assignee must intervene and claim the property. These decisions are based on the rule laid down in the English case, *Cohen v. Mitchell*.¹ Under the Provincial Insolvency Act, however, such properties vest automatically in the Official Receiver.

Salary earned by the insolvent after the commencement of insolvency must be handed over to the Official Assignee or Receiver except such portion of it as may be allowed to the insolvent for his maintenance.

3. If the insolvent has any power of disposal over some other person's property, which he can use for his won benefit, such power vests in the Official Assignee *Example* : The power of the father in a Mitakshara joint family to dispose of the undivided interest of the son.

4. Goods of which the insolvent is the reputed owner vest in the Official Assignee. (See pages 372-373)

Property not divisible among creditors

Properties of the following types can be retained by the insolvent. They are not available for distribution among the creditors :

¹ (1890) 25 Q.B.D 262

1. Properties held by the insolvent in trust or on behalf of other persons.

2. Under the Presidency Towns Insolvency Act, the insolvent can retain his tools of trade, wearing apparel and cooking utensils. The total value of all these things must not exceed Rs. 300.

3. Under the Provincial Insolvency Act, the insolvent is allowed to retain all those properties which are exempted from attachment and sale execution of a decree, according to provisions of the Civil Procedure Code. Such properties include wearing apparel, cooking utensils, tools of trade and certain other items.

4. The right to sue a third party for personal injuries does not vest in the Official Assignee or the Receiver. Similarly a *spes successionals*, i.e., a mere chance of getting some property upon the death of another does not pass upon insolvency.

5. Moneys in a recognised provident fund, gratuities and pensions (subject to certain limits) are not available for distribution among creditors.

THE DOCTRINE OF REPUTED OWNERSHIP

Goods left with the insolvent by others can be taken possession of by the Official Assignee or Receiver on behalf of the creditors under the circumstances mentioned below. This is known as the Doctrine of Reputed Ownership.

1. They must be movable goods.
2. They must be in the possession of the insolvent.
3. There must be no mark or other indication showing that the goods belong to some person other than the insolvent.
4. The circumstances are such that people dealing with the insolvent are likely to believe that the goods belong to the insolvent.

The sale proceeds of such goods are available for distribution among the creditors of the insolvent. The true owner of the goods can claim as a creditor of the insolvent for the value of the goods. His position is that of an unsecured creditor.

The Doctrine of Reputed Ownership does not apply in the following cases : (i) Immovable properties. (ii) Goods taken on hire-purchase. (iii) Goods which were in the possession of the

insolvent as repairer or carrier or commission agent or as pawnee.
(iv) Goods in the possession of the insolvent as trustee or administrator or executor or any similar capacity.

THE DOCTRINE OF RELATION BACK

The insolvency of a person commences, not from the date when the order of adjudication is passed, but from an earlier date. The order of adjudication relates back and operates from an earlier date. This is known as the Doctrine of Relation Back.

Under the Presidency Towns Insolvency Act the insolvency of a debtor commences from the date when the first act of insolvency was committed by the debtor within three months before the date of presentation of the insolvency petition.

Under the Provincial Insolvency Act, the insolvency of the debtor commences from the date of presentation of the petition on which the order of adjudication was passed.

Example :

The insolvent performed the Act of Insolvency on 1st April. The petition for Order of Adjudication was filed on 29th June. The Order of Adjudication was issued on 1st August.

Under the Presidency Towns Insolvency Act, the insolvency of the debtor commences on 1st April. Under the Provincial Insolvency Act, the insolvency commences from 29th June.

PROTECTED ANTECEDENT TRANSACTIONS

The term Protected Transaction is used to denote the transactions of the insolvent, in relation to his property, which are not invalidated by the insolvency proceedings. Such transactions can be classified as follows :

1. *Transactions entered into before the commencement of the insolvency proceedings* : All such transactions are good except, (i) transfers of property made without consideration within two years before the commencement of insolvency. Such transfers are called Voluntary Transfers and they can be set aside by the Official Assignee or the Receiver. But a voluntary transfer to the wife of the insolvent on the occasion of his marriage is not deemed to be a voluntary transaction and is protected. (ii) A transfer of property to a creditor under circumstances which amount to a fraudulent preference is not protected. Such a transfer can be avoided by the Official Assignee or the Receiver.

2. *Transactions entered into between the date of the filing of the insolvency petition and the Order of Adjudication* : Any such transaction is protected if (i) it is not a voluntary transfer or a transaction amounting to fraudulent preference, and (ii) the other party to the transaction had no knowledge of the presentation of the insolvency petition.

3. *Transactions entered into after the Order of Adjudication* : Such transactions are not protected. They are invalid and can be set aside by the Official Assignee or the Official Receiver.

POSITION OF SECURED CREDITORS

A secured creditor is one who has lent money to the insolvent on the security of some movable or immovable property. A secured creditor has the right to realise his dues in full out of the security given to him and this right is not affected by the insolvency proceedings. It is therefore said that secured creditor stands outside the insolvency. But he can participate in the insolvency proceedings if he so desires. When a debtor is declared insolvent, secured creditor has the following options before him.

1. He can have the security sold. If the sale proceeds are greater than his dues, he must refund the excess to the Official Assignee or Receiver. If the sale proceeds are less than his dues, he can prove for the balance before the Official Assignee or Receiver. For this balance his position is like that of an unsecured creditor and he will get payment at the same rate as other creditors do.

2. He can surrender his security to the Official Assignee or Receiver and prove for his whole claim like an unsecured creditor. He will receive payment at the same rate as other unsecured creditors.

3. He can value his security and submit to the Official Assignee a claim for the balance, if any, together with a statement of the particulars of the security and the assessed value. In this case the Official Assignee can redeem the security by paying the assessed value.

POWERS OF OFFICIAL ASSIGNEE/RECEIVER

The Presidency Towns Insolvency Act provides that it is the duty of the Official Assignee to realise the properties of the

insolvent and distribute the same among the creditors with all convenient speed. For this purpose he can exercise the following powers *without leave of court* :

(a) He can sell all or any part of the property of the insolvent.

(b) He can give receipts for any money received by him.

The Official Assignee can, *with the leave of the Court*, do all or any of the following things :

(1) carry on the business of the insolvent so far as may be necessary for the beneficial winding up of the same ;

(2) institute, defend or continue any suit or other legal proceedings relating to the property of the insolvent ;

(3) employ a legal practitioner or other agent to take any proceedings or do any business which may be sanctioned by the Court ;

(4) accept as the consideration for the sale of any property of the insolvent a sum of money payable at a future time or fully paid shares, debentures or debenture stock in any limited company subject to such stipulations as to security and otherwise as the Court thinks fit :

(5) mortgage or pledge any part of the property of the insolvent for the purpose of raising money for the payment of his debts or for the purpose of carrying on the business ;

(6) refer any dispute to arbitration, and compromise all debts, claims and liabilities, on such terms as may be agreed upon ;

(7) divide in its existing form amongst the creditors, according to its estimated value, and property which, from its peculiar nature or other special circumstances, cannot readily or advantageously be sold.

Duties : The Official Assignee shall account to the Court and pay over all moneys and deal with all securities in such manner as is prescribed or as the Court directs.

The powers and duties of the Official Receiver under the Provincial Insolvency Act are similar to those given to the Official Assignee.

Disclaimer of Onerous Property

“Onerous Property” means property which is subject to an obligation or liability. *Examples* : land the ownership of which is subject to restrictive covenants or obliges the owner to some personal service ; shares on which there are unpaid calls :

property which is not readily salable. Unprofitable contracts, entered into by the insolvent, also come within the category.

Under the Presidency Towns Insolvency Act, the Official Assignee is given power to disclaim such property, *i.e.*, refuse to accept it. Such disclaimer must be made by notice in writing signed by the Official Assignee within 12 months of the date of the Order of Adjudication or within 12 months of the date on which the Official Assignee came to know the existence of such property.

Disclaimer of onerous property is essential to prevent the Official Assignee from being burdened with the obligations connected with the onerous property. Whenever the liabilities relating to a property are larger than its value, disclaimer is made.

Upon disclaimer the rights, interests and obligations of the insolvent relating to the disclaimed property come to an end. A person who is affected by the exercise of the right of disclaimer is treated as a creditor of the insolvent to the extent of the damage suffered by him and can prove for the same as a debt under insolvency.

The Official Assignee cannot disclaim a leasehold interest without the leave of the Court.

DUTIES OF THE OFFICIAL ASSIGNEE/RECEIVER

1. The Official Assignee or the Official Receiver must realise the property of the insolvent with all convenient speed.

2. Money received by him must be kept and accounted for according to the rules made by the court.

3. He must distribute the moneys received by him among the creditors without showing any partiality to any particular creditor.

4. He must pay due regard to the wishes of the creditors as indicated in meetings of creditors and must submit schemes of arrangement and composition, if any, before the creditors.

5. He must obey orders of the Court.

MEETING OF CREDITORS

The Presidency Towns Insolvency Act provides that the Court may, any time after passing the Order of Adjudication, and upon the application of the Official Assignee or any creditor,

direct that a meeting of the creditors be convened for the purpose of considering the causes and circumstances that led to the insolvency, the insolvent's schedule and the mode of dealing with the insolvent's estate. Subject to the provisions of the Act and the directions of the Court, the Official Assignee must have regard to the wishes of the creditors as expressed in the resolutions passed in the creditor's meetings.

THE COMMITTEE OF INSPECTION

It is provided by both the Insolvency Acts that the Court may authorise the creditors who have proved their debts to appoint from among themselves a committee to be known as the Committee of Inspection. The duties of the Committee of Inspection are as follows :

- (1) to convey to the Official Assignee or Receiver the wishes of the creditors ; and
- (2) to keep watch over the administration of the estate of the insolvent.

Details regarding the powers of the Committee of Inspection are prescribed in the insolvency rules framed by the High Court.

"COMPOSITION" AND "SCHEMES OF ARRANGEMENT"

After insolvency proceedings commence, the debtor can come to an understanding with the creditors regarding the payment of the debts. Such understanding or settlement may be of two types : (i) it may be a "composition" of the debts or (ii) it may be a "scheme of arrangement". When the debtor pays immediately, or by agreed instalments, some money to the creditors less than what is due to them and the latter agree to accept such lesser amount in full satisfaction of their claims, there is said to be a composition of the debts. On the other hand when the debtor and the creditors agree to a scheme by which the debts are gradually liquidated (perhaps without selling all the debtor's assets) there is said to be a "scheme of arrangement".

A proposal for composition or arrangement must be submitted to the Official Assignee or Receiver after the Order of Adjudication is passed. The Official Assignee or Receiver must thereupon submit the proposal before a meeting of the creditors. If in such creditors' meeting a majority in number and three-

fourths in value of the creditors who have proved their claims, agree to accept the proposal it is put up before the Court for approval. Before giving approval the Court shall consider the conduct of the insolvent and the objections of dissentient creditors, if any. If after hearing the Official Assignee and the creditors, the Court is of opinion that the proposal is reasonable and beneficial to the general body of creditors, it will give its sanction. The Court will not sanction any composition or scheme of arrangement in the following cases :

1. If it considers the proposal to be unreasonable and not beneficial to the creditors.

2. In cases coming under the Presidency Towns Insolvency Act, if the circumstances are such that the Court must refuse, suspend or attach conditions to the debtor's discharge, the Court will not sanction a scheme of arrangement or composition unless it provides reasonable security for the payment of at least four annas in the rupee on all unsecured debts proved against the insolvent.

3. In cases coming under the Provincial Insolvency Act under circumstances similar to those mentioned above, the Court will not sanction any composition or scheme of arrangement unless there is reasonable security for the payment of at least six annas in the rupee.

Comments

When the Court sanctions a composition or scheme of arrangement, its terms shall be recorded in the order of the Court, the insolvency proceedings shall be terminated and the Order of Adjudication shall be annulled.

If the insolvent defaults in carrying out the terms of the composition or arrangement, or if the Court is of opinion that it cannot be carried on without unnecessary delay, or if the Court finds that the approval of the Court was obtained by fraud, the composition or scheme of arrangement will be annulled and the debtor will be readjudged insolvent.

PROOF OF DEBTS

The following debts can be proved in insolvency proceedings :

1. Debts incurred by the insolvent for a fixed or ascertained sum of money.

2. Claims for which a decree has been passed by a court of law.
3. Unascertained claims for damages arising from breach of contract or breach of trust.

The following debts cannot be proved in insolvency proceedings :

1. Unascertained claims, except those arising from breach of contract or breach of trust.
2. Debts the value of which cannot be estimated and debts which are illegal, immoral or against public policy.
3. Under the Presidency Towns Insolvency Act, debts contracted from a person who has knowledge of the presentation of the insolvency petition cannot be proved.

Mode of Proof of Debts

Debts are provable according to the method laid down by the rules of the High Court concerned. Under the Presidency Towns Insolvency Act the usual procedure is that the creditor has to send a registered letter to the Official Assignee with an affidavit containing particulars of the claim. The Official Assignee may ask for the production of vouchers or other evidence of the claim. Under the Provincial Insolvency Act the claim has to be submitted to the Court.

DISTRIBUTION OF INSOLVENT'S PROPERTY

Out of the assets realised by the sale of the insolvent's properties, the Official Assignee or Receiver must retain such sums as are necessary for meeting the costs, charges and expenses of administering the estate of the insolvent. The balance is to be distributed among the creditors in the following order :

1. Payment must be made *first* to meet the following claims—
 1. Debts due to the Government or any local authority.
 2. Wages of any clerk, servant or labour employed by the insolvent for services rendered during four months previous to the presentation of the insolvency petition, subject to the following limits : (i) under the Presidency Towns Insolvency Act—Rs. 300 for a clerk and Rs. 100 for each servant or labour (ii) under the Provincial Insolvency Act.—Rs. 20 for each.
3. Under the Presidency Towns Insolvency Act arrears of rent of the landlord for one month.

4. Arrears of compensation payable to a workman under the Workmen's Compensation Act.

The debts mentioned above rank equally and must be paid in full before any payment can be made for other debts. If the assets are not sufficient, to pay all these debts in full, they abate in the same proportion (*i.e.* they are reduced in equal proportion).

II. If any assets are left after paying the preferential claims mentioned above, the balance is distributed among the unsecured creditors *ratably*. In case of insufficiency all claims abate proportionately.

Interest

No interest runs after the Order of Adjudication is passed. Creditors can claim interest on their debts up to the date of the order of adjudication to the extent interest is allowable under the law for the debt in question.

If, however, it is found that the assets are sufficient to pay all creditors in full and a surplus exists in the hands of the Official Assignee or Receiver, interest will be paid to the creditors for the period after the Order of Adjudication at the rate of 6% per annum.

Mutual Dealing and Set-off

When there are mutual dealings between the insolvent and a creditor, an account is taken and the creditor is allowed to claim for the balance due, if any. In such accounting the sums paid by one party to the other are set off against sums received by him. But if a creditor who has given credit to the insolvent did so with the knowledge of the presentation of an insolvency petition, he cannot claim the benefit of any set-off.

Dividends

The Official Assignee or Receiver is required to complete the distribution of the insolvent's property with all convenient speed. The insolvency rules therefore provide that some amount shall be distributed within one year of the adjudication order unless the Court is satisfied that there is good reason for postponing payment. The first instalment of payment is called the first dividend. Subsequent dividends are required to be declared and distributed at intervals of six months until the whole

estate is administered. The amount of each dividend depends on the amount collected and the amounts which the Official Assignee or Receiver must keep in his hands for disputed claims and his costs, charges and expenses.

ANNULMENT OF THE ORDER OF ADJUDICATION

The Order of Adjudication will be annulled, *i.e.*, cancelled in the following cases :

1. Where the Order of Adjudication was wrongly passed *e.g.*, when it is found that the person adjudicated is a minor or lunatic or otherwise outside the jurisdiction of the court, or where it is found that the order was passed on the petition of a person who was not entitled to present the petition.

2. Where it is proved to the satisfaction of the Court that the debts have been paid in full.

3. Where it is found that the same person has been adjudicated insolvent by more than one court, the insolvency proceedings will continue in one court only and the orders of the other courts must be annulled.

4. When a composition or scheme of arrangement is sanctioned by the court, the Order of Adjudication must be annulled.

5. The adjudication may be annulled if the insolvent does not appear on the date fixed for the hearing of his application for his discharge or does not apply for discharge within the period specified by the Court.

Effects : The effects of annulment vary according to the circumstances under which the annulment is made. But all acts done by the Official Assignee or the Receiver prior to the annulment remain good. After the Order of Adjudication is annulled the properties of the insolvent remaining undisposed of, again vest in him and all processes and remedial measures in force against him on the date of the adjudication order again revive.

SMALL INSOLVENCIES

The Insolvency Acts provide for a summary procedure when the estate of the insolvent is small. Under the Presidency Towns Insolvency Act an insolvency is considered small when the value of the insolvent's estate is not likely to exceed Rs. 3,000 and under the Provincial Insolvency Act, Rs. 500. In case of small

insolvencies the insolvency rules are modified in the manner stated below.

Under the Presidency Towns Insolvency Act :

- (a) no appeal shall lie from any order of the Court, except by leave of the Court ;
- (b) no examination of the insolvent shall be held except on the application of a creditor or the official assignee ;
- (c) the estate shall, where practicable, be distributed in a single dividend ;
- (d) such other modification as may be prescribed with the view of saving expense and simplifying procedure.

Comments : There can be no modification of the provisions of the Act relating to the discharge of the insolvent.

The Court may at any time, if it thinks fit, revoke an order for the summary administration of an insolvent's estate.

Under the Provincial Insolvency Act :

- (a) unless the Court otherwise directs, no notice required under this Act shall be published in the Official Gazette ;
- (b) on the admission of a petition by a debtor, the property of the debtor shall vest in the Court as receiver ;
- (c) at the hearing of the petition, the Court shall enquire into the debts and assets of the debtor and determine the same, by order in writing, and it shall not be necessary to frame a schedule under the provisions of Section 33 ;
- (d) the property of the debtor shall be realised with all reasonable despatch and thereafter, when practicable, distributed in a single dividend ;
- (e) the debtor shall apply for his discharge within six months from the date of adjudication ; and
- (f) such other modifications as may be prescribed with the view of saving expense and simplifying procedure.

Provided that the Court may at any time direct that the ordinary procedure provided for in this Act shall be followed in regard to the debtor's estate and thereafter the Act shall have effect accordingly.

EXERCISES

1. What are the consequences of the Order of Adjudication '86, '89 ?
(Pages 462-464)
2. Enumerate the different types of debts which are entitled to priority is the distribution of the property of an insolvent.
(Pages 465-468)
3. Explain briefly the doctrine of Reputed Ownership, Relation Back and Fraudulent Preference as under the Insolvency Law.
(Pages 468, 463-464)
4. At what point of time does the insolvency of a debtor commence ? What is the effect of insolvency on property which the insolvent gets after the adjudication order ?
(Pages 468-470)
5. State the duties of an insolvent after adjudication. When can the Court annul an order of adjudication ? What are the effects of such an annulment ?
(Pages 465-466, 477)
6. What is a "Protection Order" in insolvency ? Who passes it ? When and what is the effect of such an order ?
(Pages 465)
7. State the different types of properties which vest in the Official Receiver or the Official Assignee on the adjudication of the debtor.
(Pages 466-468)
8. What are the disqualifications of a debtor when he is adjudged as insolvent ? How can these disqualifications be removed ?
(Page 463)
9. Discuss the circumstances under which the order of adjudication can be annulled.
(Page 477)
10. Write notes on : Official Assignee ; Official Receiver ; Protection Order ; Public Examination ; Private Examination ; Secured Creditor ; Committee of Inspection ; Annulment ; Small Insolvencies. (Pages 462 ; 462 ; 465 ; 470 ; 473 ; 477 ; 477)
11. Objective Question :
(a) What is the doctrine of reputed ownership ? (Page 468)

The Order of Discharge

The Order of Discharge is an order of the court by which the insolvent is released from the burden of his pre-existing debts (except certain special types of debts) and is relieved of the personal disqualifications which follow from insolvency. From the date of the order of Adjudication to the date from which the Order of Discharge operates, the debtor is an "undischarged insolvent". After the Order of Discharge, the term "insolvent" can no longer be applied to him.

Application and Date

Both the insolvency Acts provide that the insolvent can apply for discharge any time after the passing of the Order or Adjudication. Under the Presidency Towns Insolvency Act this application will not be heard until after the public examination of the insolvent, unless such public examination has been dispensed with. Under the Provincial Insolvency Act the Court is required to fix a date within which the insolvent must apply for discharge.

Powers of the Court

When the application for discharge has been received the Court fixes a date for hearing it. Before passing any order the Court must hear the report of the Official Assignee of the Receiver regarding the conduct of the insolvent and his dealings with his properties. The Court also hears the representations of the creditors if any. After hearing all these parties the Court may,

- (1) grant an absolute order of discharge ;
- (2) refuse to pass any order of discharge ;
- (3) pass an order of discharge but suspend the operation of the order for a specified period ; or
- (4) grant an order of discharge subject to any conditions with respect to any earnings or income which may afterwards become due to the insolvent, or with respect to his after-acquired property.

Refusal or circumstances under which the Court must refuse an order of discharge

Under the Presidency Towns Insolvency Act, the Court must refuse to pass the order of discharge if the insolvent has committed an offence punishable under the Insolvency Act or under Sections 421 to 424 of the Indian Penal Code. The offences punishable under the Insolvency Act are : fraudulent concealment of the insolvent's state of affairs by destruction of documents ; keeping false books ; failure to attend public examination without sufficient reasons, etc. The offences punishable under the Indian Penal Code are fraudulent removal, concealment, or disposal of property to prevent its distribution among his creditors ; fraudulently preventing debts from being realised by creditors ; false and fraudulent recitals regarding consideration or interest of the transferee in documents by which property is transferred by the insolvent.

Refusal of discharge or Conditional discharge

It is provided by the Presidency Towns Insolvency Act that under the circumstances mentioned below, the court can either *refuse discharge* or issue a *conditional order of discharge* :

1. The insolvent's assets are not of a value equal to four annas in the rupee on the amount of his unsecured liabilities, unless he satisfies the court that the *insufficiency of assets* has arisen from circumstances for which he cannot be held responsible. (Under the Provincial Insolvency Act the insolvent's assets must amount to at least eight annas in the rupee.)

2. The insolvent has *omitted to keep such books* of account as are usual and proper in the business carried on by him and as sufficiently disclose his business transactions and financial position within the three years immediately proceeding his insolvency.

3. The insolvent has *continued to trade* after knowing himself to be insolvent.

4. The insolvent has contracted any debt provable under the Act without having at the time of contracting it *any reasonable or probable ground* of expectation (the burden of proving which lies on him) that he will be able to pay it.

5. The insolvent has failed to account satisfactorily for any loss of assets or any *deficiency of assets* to meet his liabilities.

6. The insolvent has brought on or contributed to his insolvency by rash or hazardous speculations or by unjustifiable *extravagance* in living, or by *gambling*, or by culpable neglect of his business affairs.

7. The insolvent has put any of his creditors to unnecessary expense by a *frivolous or vexatious* defence to any suit properly brought against him.

8. The insolvent has, within three months preceding the time of presentation of the petition, incurred *unjustifiable expense* by bringing a frivolous or vexatious suit.

9. The insolvent has within three months preceding the date of the presentation of the petition, when unable to pay his debts as they become due, given an *undue preference* to any of his creditors.

10. The insolvent has concealed or removed his books or his property or any part, thereof has been guilty of any other fraud or fraudulent breach of trust.

11. When the insolvent has *already been adjudged* insolvent on a previous occasion or has made *composition or arrangement* with his creditors.

Comments : The power of suspending and of attaching conditions to an insolvent's discharge may be exercised concurrently.

On any application for discharge, the report of the Official Assignee shall be *prima facie* evidence and the Court may presume the correctness of any statement contained therein.

The provisions of the Provincial Insolvency Act are more or less similar to those mentioned above.

Conditions that might be imposed

When a conditional order of discharge is issued, the Court can impose any one or more of the following conditions :

1. Payment by the insolvent to the official Assignee or the Receiver of the whole or any part of his future earnings or after-acquired property.

2. Keep the order of discharge suspended until a dividend of at least four annas in the rupee has been paid to the creditors.

3. Require the insolvent to consent to a decree being passed in favour of the Official Assignee for any unsatisfied balance or part thereof of his debts provable in insolvency, to be executed later on.

EFFECTS OF THE ORDER OF DISCHARGE

Subject to certain exceptions, an absolute order of discharge (i) releases the insolvent from all debts which were provable in insolvency and (ii) removes the personal disqualifications from which an undischarged insolvent suffers, e.g., inability to hold certain posts. The exceptions are stated below :

1. The Order of Discharges does not release the insolvent from the following debts—

- (a) A debt due to the Government (e.g., unpaid taxes or money due for purchasing goods from a Government-owned establishment).
- (b) Any debt or liability incurred by means of fraud or fraudulent breach of trust (e.g., a promoter's liability for making secret profits is not terminated by his insolvency).
- (c) Any debt or liability in respect of which the insolvent has obtained forbearance by means of fraud.
- (d) Any order for maintenance in favour of the wife or children of the insolvent issued under the Criminal Procedure Code.

Debts and liabilities of the aforesaid type continue after the order of discharge. The insolvent is bound to meet these obligations from his after-acquired property or earnings.

2. Debts incurred by the insolvent after the order of adjudication but before discharge remain binding upon him, because such debts are not provable in insolvency.

3. An order of discharge does not release any person who, at the date of the presentation of the petition, was a partner or co-trustee with the insolvent or was jointly bound or had jointly made a contract with him, or any person who was a surety, or in the nature of a surety, for him.

4. The insolvent is not exempted from punishment for violations of the penal provisions of the Insolvency Acts merely because of the fact that he has obtained his discharge (or that a composition or scheme of arrangement regarding his affairs has been sanctioned by the Court).

5. The order of discharge does not really terminate the insolvency proceedings. The Court retains power to direct the distribution of the properties remaining in the hands of the Official Assignee or Receiver and in case there was an error in

their distribution the Court has power to direct a redistribution. A creditor who failed to prove his claim before discharge can prove his claim after discharge provided there are assets in the hands of the Official Assignee or the Receiver and provided he can be paid without disturbing the previous distribution.

EXERCISES

1. What is meant by "discharge" of an insolvent? State the exact effects of an order of discharge. (Pages 480, 483-484)
2. Explain what is meant by discharge of an insolvent. What are the grounds on which absolute discharge may not be granted? (Pages 480-481)
3. Under what circumstances is an insolvent discharged? What is the effect of such discharge? What debts, if any, continue after discharge? (Pages 480, 481-484)
4. State the cases in which a court (*a*) is bound to refuse an absolute discharge to an insolvent; (*b*) may refuse an order of discharge to an insolvent. (Pages 480-481)

ARBITRATION

CHAPTER 1 General Provisions 486 - 491

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WHAT IS ARBITRATION ?

Arbitration means the settlement of a dispute by referring the dispute to a third party and abiding by his decision. Arbitration is less costly than a suit in a court of law. It is also more expeditious. Therefore, commercial contracts frequently contain a clause providing for a reference to arbitration in case a dispute breaks out concerning any matter relating to the contract. The policy of the legislature in India has always been to encourage settlement of disputes by arbitration. Also, in India, reference of disputes to the *Panch* or the *Panchayet* is a traditional and widely used method of settling disputes.

The law relating to arbitration in India is contained in the Arbitration Act of 1940.

THE ARBITRATION AGREEMENT

Definition

An arbitration agreement means "a written agreement to submit present or future differences to arbitration, whether an arbitrator is named therein or not".—Sec.2(a).

The arbitration agreement or the arbitration clause in an agreement is sometimes called "Submission". This latter term was used in the acts relating to arbitration in India prior to the Act of 1940. In the corresponding English Act the term "Submission" is used.

Essentials

1. An arbitration agreement, to be valid and binding, must be *in writing*. Such an agreement must satisfy all the *essential elements of a valid contract*.

2. Signatures of the parties are not necessary but it must be shown that they agreed to the *settlement of disputes* by arbitration. It is not necessary that the agreement should be contained in a formal document. The record of such an agreement in *a clause* in the contract or in *a letter or memorandum* is enough.

3. It is not necessary that the name of the person who will act as the arbitrator should be mentioned in the agreement.

4. The agreement may be to refer *present differences* or possible *future differences* to arbitration.

5. When there is an arbitration clause in a contract and the contract comes to an end owing to frustration (see p. 123) or is avoided on the ground of fraud or misrepresentation, the arbitration clause may continue to be binding. *State of Bombay v. Adamjee*.¹ But if the parties were not *ad idem*, i.e., if there was no contract at all, the arbitration clause is not binding. *Tolaram v. Birla Jute Manufacturing Co.*²

6. The agreement to refer disputes to arbitration is not valid if it lacks the essential elements of a contract, e.g., if it was brought about by fraud or coercion.

7. The construction of an arbitration agreement is not to be thwarted by narrow pedantic interpretation. *Union of India v. M/S D. N. Revri & Co. and others*.³

EFFECTS OF AN ARBITRATION AGREEMENT

Bar of Suits

When some persons have entered into an agreement to refer disputes relating to a matter to arbitration they may be prevented from agitating the same matter in a court of law. Thus an arbitration agreement is a *bar to a civil suit* relating to matters covered by the arbitration agreement. If any of the parties to the agreement disregards the agreement and files a suit, the other party to the agreement may file an application for staying the suit.

Section 34 of the Act empowers the court to stay the suit if the following conditions are satisfied :

1. The suit or proceedings relate to the same matter as that covered by the arbitration agreement. No stay will be granted if the suit relates to matters outside the scope of the arbitration agreement. If the suit relates partially to matters included in the agreement, the court may stay the suit or not according to its discretion.

¹ AIR (1951) Cal. 147

² (1948) 2 Cal. 171

³ AIR (1976) Supreme Court 2257

2. It must be shown that the party desiring stay was and is ready and willing to proceed with the arbitration and does everything necessary for the purpose.

3. The party desiring stay must not have filed his written statement (*i.e.* his defence to the suit) or taken any step in connection with the defence against the suit (*e.g.* an application for extension of time to file the written statement).

4. The arbitration agreement must not have been the result of fraud and there must not exist any other sufficient reason why the dispute should not be decided by arbitration.

The grant of stay is discretionary. But unless there is a strong reason to the contrary the court will, by staying the suit, force the parties to abide by the arbitration agreement. The burden of proof is upon the party opposing stay to convince the court that there are reasons for continuing the suit or proceedings and not granting the stay. *Anderson Wright Ltd. v. Morgan & Co.*¹

WHO CAN REFER DISPUTES TO ARBITRATION ?

The arbitration agreement is a contract. Therefore, only those persons, who are capable of entering into contracts, can refer disputes to arbitration.

The persons who can refer to arbitration are enumerated below :

1. A *minor* or a *lunatic* cannot refer disputes to arbitration but the guardian of a minor or of a lunatic can do so on his behalf.

2. In a suit or proceeding, the *next friend* or *guardian ad litem* cannot enter into any compromise on behalf of a minor without the leave of the court.

3. A *partner* can refer disputes relating to the firm to arbitration provided such power is given to him by the partnership agreement.

4. An *agent* cannot refer disputes to arbitration unless especially authorised.

5. The *manager* of a joint Hindu family can submit arbitration for the petition of the joint family property.

6. A *trustee* may refer disputes of arbitration.

7. *Solicitors* and *advocates* have no implied authority to submit arbitration on behalf of the clients.

¹ (1955) S.C.A. 165 (Supreme Court)

8. An *insolvent* cannot submit to arbitration but the Official Receiver or Assignee may submit with the leave of the court.

MATTERS WHICH CAN BE REFERRED TO ARBITRATION

Subject to the exceptions noted below, all disputes which can be decided by a civil suit can also be decided by arbitration.

Examples : Disputes about property or money ; amounts of damages payable for breach of contract ; maintenance payable to wife ; terms of separation between husband and wife ; question of law ; etc.

Matters of personal right (e.g., the right to hold the office of *Pujari* in temple) and disputes regarding compliment or dignity, which cannot be decided by civil courts, can nevertheless be decided by arbitration.

The following matters cannot be referred to arbitration :

1. Matrimonial matters like divorce or restitution of conjugal rights.
2. Testamentary matters like the validity of a will.
3. Insolvency matters e.g., the adjudication of a person as insolvent.
4. Matters relating to the guardianship of a minor or of a lunatic or declaring a person insane.
5. Criminal matters. Whether a person is guilty of an offence or not, cannot be decided by arbitration.
6. Questions relating to charities or charitable trust cannot be referred to arbitration except with the consent of the Advocate-General in Presidency Towns and of the Collector of the place in other areas.

DIFFERENT TYPES OR METHODS OF ARBITRATION

The Arbitration Act includes within its scope three types or methods of arbitration :

I. Arbitration without the intervention of the court

Sections 3 to 25 of the Act relate to this type of arbitration. In this case the arbitration proceedings take place outside the court. There is no suit pending but the award of the arbitrator can be filed in court and executed through the court as if it was a decree of the court (Rules discussed in ch. 2).

II. Arbitration through court when no suit is pending

Where there is an arbitration agreement, the parties may proceed with the arbitration independently of any court, in the manner described in the 2nd chapter. Section 20 of the Act, however, lays down an alternative procedure which the parties may follow.

Where there is an arbitration agreement, but no suit is pending, any of the parties may apply to the court for filing the *arbitration agreement*. The court thereupon issues notice to the other parties requiring them to show cause why the agreement should not be filed. Where no sufficient cause is shown the court shall order the agreement to be filed and shall make an order of reference to the arbitrators appointed in the manner laid down in the agreement, or where the parties cannot agree upon an arbitrator, to an arbitrator appointed by the court. Thereafter the arbitration proceeds in the same manner as outlined in ch. 2.

III. Arbitration a Suits

After a suit is filed, the parties may decide to settle the matter by arbitration. The procedure for doing so is laid down in Sections 21 to 25.

Where in any suit all the parties interested agree that any matter in difference between them in the suit shall be referred to arbitration, they may at any time before judgment is pronounced apply in writing to the court for an order of reference.

The arbitrator shall be appointed in such manner as the parties agree. (The parties may make the judge the arbitrator, in which case his judgment becomes an award and is not appealable). There may be a reference of a part of the matter in issue in the suit, provided such part can be dealt with separately.

After an order of reference is made, the arbitration takes place in the same manner as an arbitration without the intervention of court.

STATUTORY ARBITRATION

Some statutes provide for compulsory arbitration in disputes arising out of matters covered by them, e.g., the Co-operative Societies Act, 1912 ; The Industrial Relations Act, Maharashtra.

This is called Statutory Arbitration. The Statute concerned generally provides for the procedure according to which the compulsory arbitration will be conducted. If it does not, or if a question of procedure arises which is not covered by its provisions, the rules laid down in the Arbitration Act will apply [except Sections 6(1), 7, 12, 36 and 37].—Sec. 46.

FOREIGN AWARDS

The Arbitration (Protocol and Convention) Act, 1937 and the Foreign Awards (Recognition and Enforcement) Act, 1961, provides that an award made in a foreign country will be enforceable in India, in the same manner as an award made in India, provided the following conditions are fulfilled.

1. The award relates to a matter considered as commercial under the law in force in India.

2. The award is made in a country with which India has a reciprocal agreement for the enforcement of awards and is one in which one of the parties is subject to the jurisdiction of a power with which there is such reciprocal arrangement.

3. The award is final, i.e., on proceedings are pending in the foreign country concerned for contesting the validity of the award.

The Act mentioned above was passed as a result of an international agreement for the enforcement of foreign awards. India was a signatory to the Protocol drawn in an international conference on the subject.

EXERCISES

1. State the essentials of an arbitration agreement. (Pages 486-487)
2. Explain a "submission to arbitration". What matters may be referred to arbitration? (Pages 486, 489-490)
3. What is meant by an arbitration agreement and what is its effect? (Pages 486-487)
4. What matters cannot be referred to arbitration? (Pages 489-490)
5. State the modes or types of submission to arbitration. (Pages 489-490)

2 ARBITRATION WITHOUT THE INTERVENTION OF THE COURT

PROVISIONS IMPLIED IN AN ARBITRATION AGREEMENT

Section 3 and the First Schedule to the Arbitration Act provides that an arbitration agreement, unless a different intention is expressed therein, shall be deemed to include the following terms :

1. Unless otherwise expressly provided, the reference shall be to a sole arbitrator.

2. If the reference is to an even number of arbitrators, the arbitrators shall appoint an umpire not later than one month from the latest date of their respective appointment.

3. The arbitrators shall make their award within four months after entering on the reference or after having been called upon to act by notice in writing by any party to the arbitration agreement or within such extended time as the court may allow.

4. If the arbitrators do not make an award within the time mentioned above or if they notify any of the parties or the umpire that they cannot agree, the umpire must forthwith enter on the reference in lieu of the arbitrators.

5. The umpire shall make his award within two months of entering on the reference or such extended time as the court may allow.

6. The parties to the reference and all persons claiming under them must, if so required by the arbitrators or the umpire, submit to be examined by them upon oath or affirmation and must produce before them all necessary books, papers and documents and do all other things which, during the reference, the arbitrators or umpire may require.

7. The award shall be final and binding on the parties and persons claiming under them respectively.

8. *Costs* : The costs of the reference and award shall be in the discretion of the arbitrators or umpire who may direct to and by whom, and in what manner, such costs or any part thereof shall be paid. The arbitrators or the umpire may tax or settle the amount of costs to be paid or any part thereof and may award costs to be paid as between legal practitioner and client.

THE APPOINTMENT OF ARBITRATORS

The general rule is that the parties to the dispute select the arbitrator or arbitrators by mutual consent. They can select any person or body of persons, whatever his or their qualifications may be. Sometimes it is arranged that each party to the dispute shall nominate one or more arbitrators and all such persons shall jointly act as arbitrators.

The parties to an arbitration agreement may agree that any reference thereunder shall be to an arbitrator or arbitrators to be appointed by a person designated in the agreement either by name or as the holder for the time being of any office or appointment—Sec. 4. Thus the parties may agree that the arbitrator shall be appointed by the Bengal Chamber of Commerce or by the *Sirpanch* of a village.

It is an implied term of the arbitration agreement that if there is an even number of arbitrators and they do not agree on the award, they shall appoint another person to decide the matter. Such a person is called the Umpire. The Umpire's decision is final.

When there are more than two arbitrators, the decision of the majority is final, unless a contrary intention appears from the agreement. If they are equally divided, they must appoint an umpire.

Three arbitrators : Section 10 of the Act provides that where the agreement provides for a reference to three arbitrators, one to be appointed by each party and the third by the arbitrators, the agreement shall have effect as if it provided for the appointment of an umpire by the two arbitrators and not a third arbitrator.

Disqualifications of arbitrators

A person cannot act as an arbitrator if he had an interest in the subject matter or if he is a necessary witness of the disputed matter.

Power of a party to appoint a new arbitrator or a sole arbitrator

Section 9 of the Act lays down that where an arbitration agreement provides that a reference shall be to two arbitrators, one to be appointed by each party, the following rules shall apply :

(1) If either of the appointed arbitrators neglects or refuses to work, or is incapable of acting, or dies, the party who appointed him may appoint a new arbitrator in his place.

(2) If one party fails to appoint an arbitrator, either originally or by way of substitution as aforesaid, for 15 clear days after the service by the other party of a notice in writing to make the appointment (such other party having already appointed his arbitrator) the other party may appoint his arbitrator to act as the sole arbitrator in the reference, and his award shall be binding on both parties.

But the court may set aside any appointment as sole arbitrator under rule (2) above and may, on sufficient cause shown, allow further time to the defaulting party to appoint an arbitrator or pass such other order as it thinks fit.

Power of the Court to appoint arbitrator or umpire

The need for appointing an arbitrator or umpire by the court may arise in the following cases : (Sec. 8)

(a) Where the agreement provides that the arbitrator or arbitrators shall be appointed by consent of all the parties and all parties do not concur in the appointments.

(b) If any appointed arbitrator or umpire neglects or refuses to work, or is incapable of acting, or dies, and the arbitration agreement does not show that it was intended that the vacancy should not be supplied, and the parties or the arbitrators as the case may be, do not supply the vacancy.

(c) Where the parties or the arbitrators are required to appoint an umpire and do not appoint him.

Case Law :

The court has no power to supply a vacancy under Section 8(1)

(b) only if the arbitration agreement shows that the parties did not intend to supply the vacancy. If no such intention could be culled out from the arbitration clause, the court could supply the vacancy.

When there was a named Arbitrator, even though he was named by office, it was open to the court to supply the vacancy in his place under Section 8(1) (b). *Union of India v. M/S Raghunath Singh and Co.*¹

Procedure : Section 8 of the Act provides that under any of the aforesaid circumstances any party may serve the other

¹ AIR (1980) Supreme Court 103

parties or the arbitrators, as the case may be, with a written notice to concur in the appointment or appointments or in supplying the vacancy.

If the appointment is not made within 15 clear days after the service of the said notice, the court may on the application of the party who gave the notice and after hearing the other parties appoint the arbitrator or arbitrators or umpire as the case may be. The person or persons appointed by the court shall have power to act in the reference in the same manner as if appointed by the consent of all parties.

Section 12 (1) of the Act provides that where the court removes an umpire or one or more of the arbitrators for misconduct or any other reason, it can appoint persons to fill up the vacancy.

REVOCATION OF THE ARBITRATOR'S AUTHORITY

After the umpire and arbitrators are properly appointed, their authority can be revoked (*i.e.* *cancelled*) only under the following circumstances :

1. The arbitration agreement may provide for the revocation of the authority of the umpire or arbitrators. In this case, any of the parties may submit an application to the Court for leave for revocation. The application must be made before the award is complete. The Court should give notice to the arbitrator. The Court's decision depends on the facts and circumstances of the case.

2. The court can, under Section 5 of the Act, grant leave for such revocation. The court generally does it only if a just and sufficient cause is shown. *Example* : (a) Arbitrator not acting according to the rules of natural justice (b) arbitrator acting in collusion with a party (c) partiality or bias (d) frustration (e) unreasonable delay (f) excess or refusal of jurisdiction by the arbitrator, etc.

Effects of death of a party

The authority of an arbitrator is not revoked by the death of the party who appointed him. The death of a party does not discharge the arbitration agreement. In such cases the award is enforceable against the legal representatives of the deceased.—Sec.6.

Effect of Insolvency

An arbitration clause in a contract entered into by a person who subsequently becomes insolvent, is binding on the Official Assignee or Receiver unless the contract is disclaimed as onerous property. If the contract is accepted, the arbitration clause must be accepted. The Official Assignee or Receiver can also enforce the arbitration clause—Sec. 7.

REMOVAL OF ARBITRATOR OR UMPIRE

The court may on the application of a party, remove an arbitrator or umpire in the following cases :

1. *Delay* : If the arbitrator or umpire fails to use all reasonable despatch in entering on and proceeding with the reference and making an award.

2. *Misconduct* : If the arbitrator or umpire has misconducted himself or the proceedings.—Sec. 11.

[For the meaning of Misconduct—See p. 503]

When an arbitrator or umpire is removed according to the above rules, he is not entitled to any remuneration.

New appointment : When the court removes an umpire who has not entered into the reference, or one or more arbitrators (but not all the arbitrators) the court can appoint persons to fill the vacancy.

Where the authority of an arbitrator or arbitrators or of the umpire is revoked with leave of the court or where the court removes an umpire who entered into the reference or a sole arbitrator or all the arbitrators, the court may on the application of any party—

(a) appoint a person to act as the sole arbitrator in place of the persons removed, or

(b) order that the arbitration agreement shall cease to have effect with respect to the difference referred.—Sec. 12.

DUTIES OF THE ARBITRATOR AND THE UMPIRE

1. *Reasonable despatch* : The arbitrator and the umpire must, with all reasonable despatch enter into the reference and make an award.

2. *Quasi-judicial position* : The arbitrator and the umpire hold a quasi-judicial position. They must decide the dispute

impartially. An arbitrator is not the agent of the party appointing him. After the appointment is made he must not secretly communicate with him and must not accept any gift or payment from him. He must act judicially.

3. *Rules of natural justice* : The arbitrator or umpire is not required to follow the procedure of civil courts but they must observe the rules of natural justice (for example, both parties must be given a hearing in all matters).

4. *Misconduct* : The arbitrator and the umpire must not misconduct themselves in any way (e.g., accept bribes).

5. *Within the arbitration agreement* : The arbitrator and the umpire must act within the scope of the arbitration agreements. They should sign and file the award within due time.

Duties of an umpire

The duties of the umpire are the same as those of an arbitrator. But he may commence the proceedings anew. He may not decide the award on the basis of evidence already given.

POWERS OF ARBITRATOR AND UMPIRE

Section 13 of the Act lays down that the arbitrator or umpire shall (unless a contrary intention is expressed in the agreement) have the following powers :

(1) to administer oath to the parties and witnesses appearing :

(2) to state a special case for the opinion of the court on any question of law involved or state the award, wholly or in part, in the form of a special case of such question for the opinion of the court ;

(3) make the award conditional or in the alternative ;

(4) correct in an award any clerical mistake or error arising from any accidental slip or omission ;

(5) administer any party to the arbitration such interrogatories (questions in writing) as may, in the opinion of the arbitrators or umpire, be necessary.

The following powers are usually given to the arbitrator in the arbitration agreement :

(6) He may decide by and to whom the cost of the reference is to be met.

(7) He may award interest.

(8) When an award of money is given, the arbitrator can fix the instalment thereof and their amount and time.

(9) Under certain circumstances the arbitrator can order the specific performance of the terms of the contract.

(10) He may make interim awards to be followed by a final award.

Case Law :

- (i) Where there is arbitration through the intervention of the Court, the arbitrator cannot enlarge the scope of the reference and entertain fresh claims without a further order of reference from the Court. *Orissa Mining Corporation Ltd. v. M/S Prannath Vishwanath Rawlley*.¹
- (ii) Under Section 13 of this Act the arbitrator can grant future interest on the amount awarded up to the date of realisation. *State of Punjab v. Ajit Singh and others*.²

THE ARBITRATOR'S REMUNERATION

The arbitrator's remuneration is determined by agreement between the parties and the arbitrator before arbitration proceedings commence. If there is no such agreement the arbitrator can fix his own remuneration. But if an unreasonably high charge is made, any of the parties can apply to the court under Section 38 of the Act whereupon the court determines what is reasonable remuneration for its arbitrator.

AWARD

★ Definition

The "Award" means the decision of the arbitrator or the umpire.

Essentials

1. *Writing* : The award must be in writing in such form and in such language as the umpire and the arbitrators may think fit.
2. *Date and Signature* : The award must be signed and dated.
3. *Notice* : The arbitrators shall give notice in writing of making the award to all the parties.
4. *Fees and Charges* : The arbitrators shall state the amount of fees and charges payable in respect of the arbitration and the award.

¹ AIR (1977) Supreme Court 2014

² AIR (1979) Full Bench, P & H 179

5. **Legality** : The award must be in conformity with the submission. It must be certain and final and give a decision on all matters referred. It must not say anything outside the reference.

Procedure

At the request of any party (after the cost and charges have been paid) or if the court so directs, the arbitrator or umpire shall file the award or a signed copy of it in court together with all depositions and documents which have been taken and proved before them. After they are filed the court gives notice to the parties.—Sec. 14.

Where the court sees no cause to remit, modify or set aside the award, it shall pass judgment in terms of the award and a decree shall follow. Such a decree is not appealable, except in so far as it is in excess of or not in accordance with the award.—Sec. 17.

Legal Decisions :

1. Arbitrator's award on both fact and law is final and there is no appeal from his verdict. The court cannot review his award and correct any mistake in his adjudication unless objection to the legality of award is apparent on face of it. *Firm Madanlal Roshanlal Mahajan v. Hukumchand Mills Ltd., Indore*.¹
2. If the award is silent on a particular item of dispute, the claim in respect thereof should be taken as rejected by the arbitrator. *Santa Sila Devi v. Dharendra Nath Sen*.²

“The award is an instrument of offence and defence”

The award of arbitrators and the umpire amounts to a final judgment as regards the matters referred to them. There can be no appeal against an award. An award can be modified, remitted or set aside only in certain cases provided in the Act. Apart from these cases, an award is final.

Any of the parties to the arbitration proceedings can have the award, executed as a decree of the court. The award can therefore be called an instrument of offence.

Any matter decided by the award of arbitrators or an umpire validly made, cannot be reopened by a suit. If a suit is filed on such a matter, it will be dismissed. The award therefore is an instrument of defence.

¹ AIR (1967) Supreme Court 1031 ² AIR (1963) Supreme Court 1677

POWERS OF THE COURT

The Act gives various powers to the court in relation to arbitration proceedings. A list of these powers is given below. The circumstances under which these powers are exercisable are laid down in the Act.

1. The court can give leave to a party to revoke the authority of the arbitrator appointed by him.—Sec.5.

2. The court can appoint an arbitrator or umpire.—Sec.8.

3. The court can remove arbitrators or the umpire and appoint other persons in their place or appoint some persons as the sole arbitrator.—Secs. 11 and 12.

4. The court can modify an award.—Sec.15.

5. The court can remit an award for reconsideration.—Sec.16.

6. The court can pass judgment in term of the award and thereupon a decree is issued which is capable of execution.—Sec.17.

7. The court can pass interim orders, wherever necessary (e.g., appoint receivers and issue injunction).—Sections 18, 41 and the Second Schedule.

8. The court can supersede the arbitration agreement.—Sec. 19. Where an award has become void or has been set aside, the court may by order supersede the reference and shall thereupon order that the arbitration agreement shall cease to have effect with respect to the difference referred.

9. The Court may order the arbitration agreement to be filed in the court on the application of the parties or any of them.—Sec. 20.

10. The Court may by order refer to arbitration, any pending suit at the request of the parties.—Secs. 21 and 23.

11. The court can enlarge the time for making an award.—Sec.28.

12. When the award is for money, the court can in its decree order the payment of interest (at such rate as the court may consider reasonable) from the date of the decree.

13. The court can set aside an award.—Sec. 30.

14. The court can stay any suit or legal proceeding relating to a matter which is covered by a valid arbitration.—Sec. 34.

15. The court can decide disputes as to arbitrator's remuneration and costs.—Sec. 38.

16. The court can issue processes for the appearance of witnesses before arbitrators.—Sec. 43.

17. The court can appoint receiver or any other official for the detention, preservation or inspection of any property or thing which is the subject of the reference.—Schedule II, Arbitration Act.

WHEN AN AWARD CAN BE MODIFIED OR CORRECTED

The court can, by order, modify or correct an award in the following cases.—Sec. 15 :

(a) Where the award has left undetermined any of the matters not referred to arbitration and such part can be separated from the other part and does not affect the decision on the matter referred ; or

(b) where the award is imperfect in form, or contains any obvious error which can be amended without affecting such decision ; or

(c) where the award contains a clerical mistake or an error arising from an accidental slip or omission.

Correction By The Arbitrator or Umpire : After an award has been filed the umpire and arbitrators cease their function. They may, however, correct or modify an award in the following cases :

1. When there is a clerical mistake in the award.—Sec. 13(d).
2. When an award is remitted to them.—Sec. 16.

WHEN AN AWARD CAN BE REMITTED FOR RECONSIDERATION

The court may from time to time remit the award or any matter referred to arbitration to the same arbitrators or umpire for reconsideration upon such terms as it thinks fit, in the following cases.—Sec. 16 :

(a) Where the award has left undetermined any of the matters referred to arbitration, or where it determines any matter not referred to arbitration and such matter cannot be separated without affecting the determination of the matters referred ; or

(b) where the award is so indefinite as to be incapable of execution ; or

(c) where an objection to the legality of the award is apparent on the face of it.

Where an award is remitted for reconsideration, the court shall fix a time within which the arbitrators and umpire shall file the fresh award. Such time may be extended. If no award is filed within the time allowed, the original award becomes void.

Legal Decision

The Courts have decided that the following grounds are good for remitting an award :

- (a) where there was misconduct of the arbitrators or umpire.
- (b) where new evidence has been found, and
- (c) where the arbitrator admits his mistake and he asks that the award should be remitted.

WHEN THE COURT CAN SET ASIDE AN AWARD

Section 30 of the Act provides that the court can set aside an award only in the following cases :

1. If an award is made after the issue of an order by the court superseding the arbitration or after arbitration proceedings have become invalid under Section 35.

The court can supersede arbitration proceedings when an award becomes void or has been set aside. Arbitration proceedings become invalid when a suit or legal proceedings have been commenced relating to the subject-matter of the reference, notice of the same has been given to the arbitrator or umpire and none of the parties have asked for stay of the suit or legal proceedings. An award made under the aforesaid circumstances can be set aside by the court.

2. When an award has been improperly procured or is otherwise invalid. An award may become "otherwise invalid" for a variety of reasons. Some examples are given below : when the existence of the arbitration agreement cannot be proved ; when the consent of a party to an arbitration agreement has been procured by fraud ; when the arbitrators or the umpire has been appointed in improper manner ; etc. *Chhognal Ratwatmal v. Sankal Chad Shah & others*.¹

3. **Error of Law :** The umpire as sole arbitrator is not bound to give a reasoned award and if in passing the award he makes a mistake of law or of fact, there is no ground for challenging the validity of the award. It is only when an erroneous proposition of law is stated in the award and which is the basis of the award,

¹ 53 C.W.N. 828

can the award be set aside or remitted on the ground of error of law apparent on the face of the record. *Champasen Bhara & Co. v. Jivraj Ballooc Co. Ltd.*¹ *Union of India v. Bungo Steel Furniture (P) Ltd.*²

4. Where an arbitrator or umpire has misconducted himself or the proceedings.

MISCONDUCT

Misconduct means improper conduct. The term covers moral turpitude and also failure on the part of the umpire or arbitrator to act according to the duties and responsibilities of his office. Any action or behaviour on the part of the arbitrator or umpire which shows the existence of partiality or a lack of judicial spirit amounts to misconduct. If the arbitrator or umpire is guilty of misconduct, the court will set aside the award. *Amir Begam v. Badruddin.*³

The following acts have been held to be misconduct under this section : bribery ; undue partiality in favour of one party ; arbitrator secretly acquiring an interest in the subject-matter of the arbitration ; wrongfully refusing to hear a witness or a party ; etc. *Mosely v. Simpson.*⁴

5. *Moral lapse* : "Misconduct under Section 30(a) has not a connotation of moral lapse. It comprises legal misconduct which is complete if the Arbitrator on the face of the award arrives at an inconsistent conclusion even on his own finding or arrives at a decision by ignoring very material documents which throw abundant light on the controversy to help a just and fair decision." *K. P. Poulose v. State of Kerala and another.*⁵

6. The arbitrator or umpire must conform to any directions contained in the agreement of reference.

The arbitration agreement lays down a particular method by which the disputes are to be decided. In this case, the arbitrators have not complied with that method. Held, the arbitrators have misconducted themselves and the award has to be set aside. *Ramnath Agarwalla v. M/S Goenka & Co.*⁶

Arbitrator awarding damages without specifying the rate. Held, no misconduct. *State of West Bengal v. L. M. Das.*⁷

¹ AIR (1923) Privy Council 66 ² AIR (1967) Supreme Court 1032

³ 36 All 336 Privy Council ⁴ (1873) L.R. 16 Eq. 226

⁵ AIR (1975) Supreme Court 1259 ⁶ (1973) 77 C.W.N. 317 (Full Bench)

⁷ AIR (1976) Cal 406

Procedure

To set aside an award there must be an application to the court under Section 30 or by a notice of motion.

APPEALS

An appeal shall lie from the following orders passed under this Act (and from no others) to the Court authorised by law to hear appeals from original decrees of the Court passing the order : An order—(i) superseding an arbitration ; (ii) on an award stated in the form of a special case ; (iii) modifying and correcting an award ; (iv) filing or refusing to file an arbitration agreement ; (v) staying or refusing to stay legal proceedings where there is arbitration agreement ; (vi) setting aside or refusing to set aside an award ; provided that the provisions of this Section shall not apply to any order passed by a Small Causes Court.—Sec. 39(1).

No second appeal shall lie from an order passed in appeal under this Section but nothing in this Section shall affect or take away any right to appeal to the Supreme Court.—Sec. 39 (2).

EXERCISES

1. What is Arbitration and how is it effected ? Briefly state the powers of the court in respect of awards. (Pages 486-487, 500)
2. What are the provisions implied in an arbitration agreement without the intervention of the court ? (Page 492)
3. Define "Legal misconduct" by an arbitrator. What are the consequences of misconduct ? (Page 503)
4. Examine the circumstances when the court may modify or correct an award. (Page 501)
5. What are the grounds for setting aside an award under the Arbitration Act ? (Pages 502-503)
6. State under what circumstances the Court can remove an arbitrator validly appointed by the parties. (Page 496)
7. When the Court may appoint an Arbitrator or Arbitrators or an Umpire ? (Page 494)
8. When can a party to an arbitration agreement appoint a new arbitrator or a sole arbitrator ? (Pages 493-494)
9. Write note on power of arbitrator. (Page 497)
10. If one of three arbitrator dies, what action may be taken for filling the vacancy ? (Page 494)
11. When can the Court remit an award to the arbitrators or umpire for re-consideration ? (Pages 501-502)

BOOK IX

SECURITIES

Securities

506 – 514

Mortgage 506 ; Classification of Mortgages 507 ; Rights and Liabilities of Partners 509 ; Charge 511 ; Mortgage and Pledge 512 ; Hypothecation 512 ; Lien 513.

MORTGAGE

Definition

When a specific immovable property is made the security for the payment of money or the performance of an obligation, the transaction is called a Mortgage.

Section 58(a) of the Transfer of Property Act defines mortgage as, "transfer of an interest in specific immovable property for the purpose of securing the payment of money advanced or to be advanced by way of loan, an existing or future debt or the performance of an engagement which may give rise to a pecuniary liability."

The person transferring the interest (the debtor) is called the *mortgagor*. The person to whom the interest is transferred (the creditor) is called the *Mortgagee*. The amount secured is called the *Mortgage Money*. The document in which the transaction is recorded and by which the transfer of interest is made is called *Mortgage Deed*.

Characteristics

The characteristics of a mortgage are described below :

1. In a mortgage there is a transfer of an interest in some specific immovable property.
2. The interest is transferred by way of security.
3. The security is for the due repayment of a loan or a debt, incurred or to be incurred for any purpose, or the performance of an engagement which may create a pecuniary liability.
4. If the money due or the pecuniary liability is not met within the agreed time, the interest transferred (*i.e.*, the security) can be sold through the court and the dues recovered.
5. A valid mortgage can be effected only by a written document, signed by the mortgagor and two attesting witnesses, and registered. To this rule there are two exception : (i) In Calcutta, Bombay, Madras and certain other towns a mortgage can be made by handing over the title deeds of the property concerned, without any written and registered document (this is

known as Equitable Mortgage). (ii) If the sum secured is less than Rs. 100, mortgage can be made by delivery of possession of the property.

6. A mortgage is a contract. Therefore it must satisfy all the essential elements of a contract, e.g., capacity of parties, free consent etc.

CLASSIFICATION OF MORTGAGES

The terms and conditions incorporated in a mortgage deed may differ in different cases and accordingly there are different types of mortgage. The Transfer of Property Act classifies mortgages into the following six types :

1. Simple Mortgage

A simple mortgage has the following characteristics :

- (i) The mortgagor retains possession of the property.
- (ii) The mortgagee is given the right, in case of non-payment of the mortgage-money, to have the property sold through the court and realise his dues from the sale proceeds.
- (iii) The mortgagor undertakes that if the sale proceeds of the property are insufficient to repay the money due, the mortgagor will remain personally liable for the payment of the debt.

2. Mortgage by way of Conditional Sale

In this case the mortgage transaction is entered into in the form of a sale. The characteristics are as follows :

- (i) The mortgagor ostensibly sells the property to the mortgagee.
- (ii) The mortgagee undertakes that if the mortgage-money is repaid on a certain date he will resell the property to the mortgagor or that the sale shall be void.
- (iii) The mortgagor agrees that if the mortgage-money is not repaid on the fixed date, the sale shall be absolute.
- (iv) The conditions regarding resale etc. are incorporated in the mortgage deed.

3. English Mortgage

An English mortgage is very similar to a mortgage by the conditional sale. The characteristics are as follows :

- (i) The mortgagor sells the property *absolutely* to the mortgagee.
- (ii) The mortgagee agrees to reconvey the property to the mortgagor if the mortgage-money is paid up by a certain date.

An English mortgage differs from a mortgage by conditional sale in two respects, viz., (a) in the former there is an undertaking by the mortgagor to repay the debt ; in the latter there is none ; (b) in the latter, the mortgagee cannot sue for the mortgage-money or for the sale of the property ; in the former he can.

4. Usufructuary Mortgage

The characteristics of an usufructuary mortgage are as follows :

- (i) The mortgagor delivers possession of the property to the mortgagee.
- (ii) The mortgagee takes the rents and profits of the property and appropriates the same to the interest and the principal sum due.
- (iii) When the full amount due has been recovered in the manner aforesaid, the mortgagee gives up possession of the property to the mortgagor.
- (iv) The mortgagee cannot sue for the mortgage-money or for the sale of the property ; his only remedy is to continue in possession till he gets back the money lent, together with interest.

5. Equitable Mortgage or Mortgage by Deposit of Title-deeds

In Calcutta, Bombay, Madras and other towns notified by the Government a mortgage may be created by depositing the title-deeds of a property with the mortgagee. No writing or registration is required, but the deposit must be made with the intention of creating a security and not for any other purpose. The transaction may be recorded in a letter or memorandum. A mortgage by deposit of title deeds is also called Equitable Mortgage.

6. Anomalous Mortgage

A mortgage which does not come within any of the above classes is called an Anomalous Mortgage. A mortgage containing a mixture of the characteristics of the different types mentioned above, comes within the category of anomalous mortgage.

Submortgage

The mortgagee can mortgage the interest transferred to him by way of security. Such a mortgage is called a submortgage.

Subsequent Mortgages by the Mortgagor

After a property is mortgaged to a person, the owner can mortgage it again to other persons. The person to whom the property is mortgaged at first is called the first mortgagee. The next mortgagee is called second mortgagee and so on. There may be any number of mortgagees over the same property. For purposes of payment the different mortgagees rank in order of time. The first mortgagee is paid in full first, then the second mortgagee and so on.

RIGHTS AND LIABILITIES OF PARTNERS

Apart from the provisions of the mortgage deed, the mortgagor and the mortgagee have certain statutory rights and liabilities. The important right and liabilities are mentioned below.

Rights of Mortgagor

1. Redemption

Any time after the principal amount secured by the mortgage becomes due, the mortgagor can get back the property by paying off the claims of the mortgagee. This right is called the Right of Redemption or the Equity of Redemption. This right is extinguished when the court so orders or when the court passes a decree for the sale of the mortgaged property. A decree of the court by which the mortgagor is prevented from exercising the right of redemption is called a *Decree for Foreclosure*. Such a decree may be passed in English mortgages.

The mortgage deed cannot impose any condition which prevents or restricts the right of redemption. Any clause in the deed which purports to do so is called a "clog on the right of redemption" and is void. When a transaction is in substance a mortgage, the court will not allow it to be converted into a sale or any other transaction. This principle is expressed in the maxim, "Once a mortgage, always a mortgage".

2. Accessions

If there is any accession (addition) to the property when the mortgagee is in possession, it goes to the mortgagor after the

property is redeemed. The same rule applies to improvements made upon the property by the mortgage, if any.

3. Inspection and Copies

The mortgagor is entitled to inspect and take copies of the title deeds of the property while they are in the possession of the mortgagee.

4. Deposit and Suit

The mortgagor can file a suit for redemption after the mortgage money becomes due. He can also deposit the money due in court. Interest ceases to run after the mortgagee receive notice of the deposit.

5. Instalments

Where the transaction comes under the Money-lenders Act or any other similar statute, the court can direct the payment of money by instalments.

6. Lease

If the mortgagor is in possession, he can under certain circumstances grant a lease of the property.—Sec. 65A.

Rights of the Mortgagee

1. He is entitled to incur expenditure for the protection and preservation of the property and is entitled to and such expenditure to the mortgage money. He has an insurable interest in the property.

2. He is entitled to receive the principal amount together with interest at the agreed rate, subject to the statutory provisions regarding the maximum payable rates of interest.

3. He can file a suit for the remedy appropriate to the type of mortgage entered into. The usual remedies are a suit for sale of the property and a suit for foreclosure.

4. Under certain circumstances the mortgagee can sell the mortgaged property without intervention of the court, e.g., where such a right is given by the mortgage deed.

5. Section 65 of the Transfer of Property Act provides that in the absence of a contract to the contrary, the mortgagor shall be deemed to have agreed to the following covenants :

(a) the mortgagor has title to the property and has the right to transfer the same ;

(b) there is right to quiet enjoyment of property ;

(c) the mortgagor will pay the public charges, rates and taxes due on the property ;

(d) if the mortgaged property is a lease, the rent due on it will be paid ; and

(e) the interest and principal due on prior encumbrances will be paid.

CHARGE

A charge on an immovable property is created when it is made liable for the payment of money to another, but the transaction does not amount to a mortgage.

Section 100 of the Transfer of Property Act defines a Charge as follows: "Where an immovable property of one person is, by an act of the parties or by operation of law, made security for the payment of money to another, and the transaction does not amount to a mortgage, the latter person is said to have a charge on the property."

"No particular form of words is necessary to create a charge and all that is necessary is that there must be clear intention to make a property security for payment of money *in praesenti*. In each case the question which the court would have to decide would be whether the agreement in question creates a charge *in praesenti*. Where there is no transfer in the interest of property, there is no mortgage." *J. K. Private Ltd. v. Kaiser-I-Hind Sp. & Wvg. Co.*¹

Distinction between a charge and a mortgage

1. In a mortgage, there is transfer of an interest in some immovable property. In a charge, there is no transfer of any interest to any person.

2. In some types to mortgage there is a personal covenant to pay by the mortgagor. There is no such covenant in a charge.

3. If a mortgaged property is transferred, the transferee takes the property subject to the mortgage, whether he was aware of the mortgage or not. But if a property subject to a charge is transferred to a *bona fide* transferee for value without notice, the transferee is not bound by the charge.

¹ AIR (1970) Supreme Court 1941

4. A mortgage can be created only by an act of parties. But a charge can be created by act of parties or by operation of law.

MORTGAGE AND PLEDGE

The difference between a mortgage and a pledge or pawn can be summed up as follows :

1. Mortgage relates to immovable property ; pledge or pawn to movable property.

2. In a mortgage there is transfer of an interest in some property ; in a pawn or pledge there is only an obligation to repay money.

3. Properties pawned or pledged remain with the creditor ; in a mortgage possession of the property may be with the mortgagor or with the mortgagee.

4. The same property may be mortgaged several times ; there cannot be several pledges of the same goods.

HYPOTHECATION

The term Hypothecation is used to describe a transaction whereby money is lent on the security of movable property but the property remains in the custody of the owner of the property. Hypothecation is also called mortgage of movables. Such transactions have been held to be valid in India although they are not dealt with in the Transfer of Property Act.

The owner of the goods which are hypothecated is called the Hypothecator. The person to whom the goods are hypothecated is called the Hypothecatee.

Hypothecation differs from mortgage on the following points : (i) Mortgage relates to immovable property ; hypothecation to movable property. (ii) In a mortgage there is transfer of some interest in the property to the creditor ; in hypothecation there is only an obligation to repay money, there is no transfer of any interest.

Hypothecation is similar to pawn or pledge, because both deal with movable property. In a pawn or pledge, however, the creditor has possession of the property ; while in hypothecation possession remains with the debtor.

The rights of the hypothecatee depend on the terms of the contract between the parties. He can file a suit to realise his dues by sale of the goods hypothecated. He may be given, by

the terms of the contract, the right to sell the goods himself (on default of payment by the due date) and to realise his dues from the sale proceeds.

The hypothecatee may lose his rights, over the goods hypothecated, under the following circumstances :

1. If the hypothecator, in possession of the goods, sells them to a *bona fide* purchaser for value without notice of the hypothecation, the purchaser gets a good title to the goods and the hypothecatee cannot proceed against them. *Sreeman Narasiah v. Bansi Reddy Venkataramiah*.¹

2. If the hypothecator, in possession of the goods, makes a valid pledge of the goods and the pledgee has no notice of the hypothecation, the claims of the hypothecatee will be postponed to those of the pledgee. *Co-operative Hindusthan Bank v. Surendra*.²

LIEN

Lien may be defined as the right to retain goods belonging to another, till some claim is satisfied. There are three kinds of lien ; (i) Possessory Lien, (ii) Maritime Lien and (iii) Equitable Lien.

Possessory Lien

A possessory lien is one which can be exercised only by a person in possession of goods. A possessory lien may be a General Lien or a Particular Lien.

General Lien means the right to retain *all* the goods of another in the possession of a person until *all* the claims of the possession are satisfied. General lien may be conferred by an agreement to that effect or by custom and usage or by the provisions of any statute. General lien exists in the case of solicitors, bankers, factors etc. (See p. 166-167).

Particular Lien means the right to retain goods till some claim *concerning those goods* is paid. *Examples* : Common carriers can retain goods carried by them till the charge payable in respect of those goods are paid. Other bailees have similar rights.

A possessory lien can be enforced by retaining possession. The lien-holder cannot sell the property except under certain special circumstances.

¹ 42 Mad. 59

² AIR (1932) Cal 524

A possessory lien is extinguished in the following cases :
 (i) when possession is lost, (ii) when the money due is paid,
 (iii) when the claimant takes some other security and thereby,
 by implication, abandons the right of lien and (iv) when the right
 of lien is waived.

Maritime Lien

Maritime Lien is a right conferred by maritime law, specially binding a ship and her cargo, fittings and furniture, and freight for the payment of some claim. *Examples* : seamen for their wages ; salvors for their reward ; holders of a bottomry bond for the money lent, etc.

A maritime lien does not depend on possession. It can be exercised by persons not in possession by taking proceedings against the property concerned.

A maritime lien come to an end by payment, release, waiver and by the destruction of the subject-matter of the lien.

Equitable Lien

An equitable lien means a lien which is conferred by law to enable a person to satisfy some claim over some other person's property. *Example* : an unpaid vendor of immovable property has a lien on the property for the unpaid purchase money.

An equitable lien is binding on all persons who take the property with notice of the lien. An equitable lien is enforced by a suit for the sale of the property. It is extinguished by payment of the claim and by transfer of the property to a *bona fide* purchaser for value without notice.

EXERCISES

1. Describe Simple Mortgage and Equitable Mortgage. What are the requirements of an Equitable Mortgage ? (Pages 507, 508)
2. Define Mortgage. Distinguish between a mortgage and a charge on immovable property. (Pages 506, 511)
3. Write notes on Equitable Mortgage. (Page 508)
4. How is an Equitable Mortgage effected ? Distinguish between a mortgage and a charge. (Pages 508, 511)
5. What is hypothecation ? When does the hypothecation lose his rights ? (Pages 512-513)
6. Distinguish between Possessory Lien, Maritime Lien and Equitable Lien. (Pages 513-514)

BOOK X

CONSUMER PROTECTION ACT, 1986

Consumer Protection Act, 1986

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HISTORICAL BACKGROUND

Consumer is the pivot of all production and progress of a nation. Unfortunately, Indian consumers are mostly illiterate and unorganised. They have little capacity to purchase goods or services on fair rates and terms. They are generally bluffed and befooled by the traders who are organised and commit frauds in open market. For the industrial development of the country, Sri Jawharlal Nehru initiated the restricted import policy to offer facilities to Indian industrialists in the interest of rapid development of Indian industries. But the Indian industrialists rather committed frauds with the Indian consumers by producing sub-standard products. Now as the central government has opened the gates of world market to Indian traders. Indian traders are making hue and cry as they are unable to compete with the foreign industrialists and traders. To protect the interests of Indian consumers, the former Prime Minister, Rajiv Gandhi initiated the Consumer Protection Act, 1986.

It was at the initiative of Rajiv Gandhi, a seminar was organized in New Delhi in January, 1986. The representatives of state governments, voluntary organizations of consumers and central ministers of different departments took part in the seminar and expressed their opinions on the issue of consumers, protection. Those suggestions were discussed and debated in a number of inter-ministerial meetings to prepare a draft bill on consumers' protection. In order to design the framework of proposed legislation on consumer protection, the existing laws of different countries, viz., U.S.A., U.K., Australia, in respect of consumers' protection, were taken into account. The prevailing socio-economic condition of India also shape the paradigms of bill on consumers' protection. The bill was finally placed before Lok Sabha on 9th December, 1986 by Sri H. K. L. Bhagat. In introducing the bill he stated that the bill represented a land-mark in the field of socio-economic legislation of the country. This comprehensive bill would supplement and not replace any other law pertaining to consumer protection. The bill enshrines the

rights of the consumers to be protected by the consumer protection councils in the centre and states and the redressal machinery at the national, state and district levels. The legislation intends to provide prompt and meaningful remedy for consumers' grievances. But its success will depend on effective implementation of its provisions by the central and state government. There is no hesitation in saying that strong and broad-based voluntary consumer movement from the grass-root level holds the key to success. The Minister declared that, "I also take this opportunity to request my brethren in the trade and industry to rise to the occasion, set up consumers' redressal cells within their organizations which would minimise consumers' complaints and improve their image. Trade and industry should not only involve a code of Ethics for fair business practices but also implement them in letter and spirit."

STATEMENT OF OBJECTS

1. The Consumer Protection Bill, 1986 seeks to provide better protection of interests of the consumers and for that purpose to make provisions for establishment of consumer councils and other authorities for the settlement of consumers' disputes and for matters connected therewith.

2. It seeks to promote and protect the rights of consumers, such as :

- (a) The right to be protected against marketing of goods which are hazardous to life and property.
- (b) The right to be informed about the quality, quantity, potency, purity, standard and price of goods to protect the consumer against unfair trade practices.
- (c) The right to be assured, wherever possible, access of variety of goods at competitive prices.
- (d) The right to be heard and to be assured that consumers' interests will receive due consideration at appropriate forums.
- (e) The right to seek redressal against unfair trade practices or unscrupulous exploitation of consumers, and
- (f) The right to consumer education.

3. To provide steady and simple redressal to consumers' disputes, a quasi-judicial machinery is sought to be set up at the district, state and central levels. The quasi-judicial bodies will

observe the principles of natural justices and have been empowered to give reliefs of a specific nature and to award wherever appropriate compensation to consumers. Penalties for non-compliance of the orders given by the quasi-judicial bodies have also been provided.

SALIENT FEATURES OF THE CONSUMER PROTECTION ACT, 1986

The salient features of the Act are as follows :

1. The Act provides speedy redressal to consumer complainants. The Bill provides for setting up of a Consumer Redressal Forum in every district, a commission at the state level and the National Commission at the Centre. The Forum in the District will have original jurisdiction to redress complaints up to claim of Rs. 1 lakh (after amendment up to 10 lakhs). The State Commission will have original jurisdiction to settle claims up to the amount Rs. 10 lakhs after amendment 20 lakhs). The National Commission can entertain any claim for damages above Rs. 10 lakhs (after amendment above 20 lakhs). The State Commission will be vested with appropriate Appellate and Revisional powers.

2. To promote voluntary consumer movement and to ensure involvement of consumers. The Bill provides for the establishment of Consumer Protection Councils in centre and the states. These Councils will have both non-official and official members. The objects of the Councils will be to promote and protect the rights of the consumers.

3. It shall apply to all goods and classes of goods or all services or classes of services except those which are specially exempted by notification by the central government.

4. The provisions of the Bill shall be in addition to and not in derogation of any other law for the time being in force.

5. Necessary penal and punitive provisions have been incorporated to ensure that the proposed legislation is effective in protecting consumers.

6. The complaint can be filed by a consumer or an organization being a society registered under the Societies Registration Act, or a company registered under the Companies Act, representing consumers or by the central or state government.

7. The complaint can be filed on account of any unfair trade practices resulting in loss or damage, defect in the goods, deficiency in the services, prices charged in excess of the prices fixed by or under any law or displayed on the goods/packages.

DEFINITION OF CONSUMERS

Consumer, under section 2(1)(d) of the Consumer Protection Act, 1986, means one who pays money for goods or services. In other words, a consumer is a specific person who pays money either for purchase of some goods or some service of other person, individual or corporate body. The definition under section 2(1)(d)(i) does not include a person who obtains such goods for resale or for any commercial purposes. But "Commercial purpose" under sub-clause (i) above does not include use by a consumer of goods bought and used by him exclusively for the purpose of earning his livelihood, by means of self-employment.

In *Mrs. S Anusuya v. M/s Methodax Systems (P) Ltd.*, (1991), it was observed that "Parliament intended to restrict the benefits of the Act to ordinary consumers purchasing goods either for their own consumption or even for use in small ventures which they have embarked upon in order to make living as distinct from a larger scale manufacturing or private activity carried on for profit in order that exclusive clauses should apply. It is, however, necessary that there should be a close nexus between the transaction of the purchase of goods and the large-scale activities carried on for earning deposits."

Service means service of any description which is made available to potential users and includes the provisions of facilities in connection with banking, financing, insurance, transport, processing supply of electrical or other energy, boarding or lodging or both, housing construction, entertainments, amusement or the news or other information, but does not include the rendering of any service free of charge or under a contract of personal service.

CONSUMER DISPUTES

Consumer dispute is a dispute which arises out of a denial of allegation complained in a complaint by the person against whom such complaint has been made. For definition of the term

'Complaint', it is an allegation in writing made by a consumer or a voluntary consumer association duly registered or by the central government or the state government. Disputes means a claim made by one party and denied by the other. In *Dacca Cooperative Industrial Union Ltd. v. Dacca Cooperative S. S. Samity*, it was held that a proceeding to recover money arising out of a claim asserted by one party and denied by other party is a dispute. The allegation to give rise to a consumer dispute within the meaning of the definition given in Consumer Protection Act includes allegation in respect of unfair trade practices, defects in goods, deficiency in service and charging of excessive price.

CONSUMER PROTECTION COUNCILS

Central Council and State Councils

The Consumer Protection Act, 1986 sought to provide better protection to the interests of the consumers and for that purpose made provisions for the establishment of Consumer Protection Councils and other authorities for resolving consumers' disputes. The Consumer Protection Councils would be set up at national and state levels (Section 6 of Consumer Protection Act)

The objects of the Central Consumers Protection Council and State Consumers Protection Councils are to promote and protect the rights of the consumers, such as :

- (a) The right to be protected against marketing of goods and services which are hazardous to life and property.
- (b) The right to be informed about the quality, quantity, potency, purity, standard and price of goods or services as the case may be so as to protect the consumer against unfair trade practices.
- (c) The right to be assured wherever possible, access to a variety of goods and services at competitive prices.
- (d) The right to be heard and to be assured that consumers' interest will receive due consideration at appropriate forum.
- (e) The right to seek redressal against unfair trade practices or restrictive trade practices or unscrupulous exploitation of consumers, and
- (f) The right to consumer education.

The objects of a State Consumer Protection Council are to

promote and protect within the state the rights of the consumers.

The objects of the Central Consumer Protection Council are to promote and protect the rights of the Indian consumers in general within the territory of India. The Central Council is the highest body to lay down and decide the policy of consumer protection. Consumers' interests mainly concern with

- (i) good quality of goods and services.
- (ii) regular and uninterrupted supply of products; and
- (iii) reasonable prices of the products.

COMPOSITION AND FUNCTIONS OF THE COUNCILS

Central Council (Sec. 4)

The Central Council will be composed of following members :

1. The Minister in charge of Consumer Affairs of the union government will be the chairperson of the Council.
2. Such members—official and non-official—representing such interests as may be prescribed.

The Central Council meets as and when necessary. At least one meeting shall be held every year. The time and place of the meeting will be fixed by the Chairman. The procedure in regard to the transactions of the business shall also be determined by the Chairman. (Sec 5).

State Council (Sec. 7)

A State Council shall be composed of the following members, namely,

1. The Minister in charge of Consumer Affairs of the state government will act as Chairman.
2. Such members—official and non-official—representing such interests as may be prescribed by the state government.

The State Council shall meet as and when necessary. The time and place of the meeting shall be fixed by the Chairman. The Council shall observe such procedure in regard to the transactions of its business as may be prescribed by the state government. At least two meetings shall be held every year.

REDRESSAL AGENCIES PROVIDED UNDER THE CONSUMER PROTECTION ACT

To provide steady and simple redressal to consumer disputes a quasi-judicial machinery has been set up at the district, state and central levels. The quasi-judicial bodies observe the principle of natural justice and have been empowered to give reliefs of a specific nature and to award wherever appropriate, compensation to consumers. Penalties for non-compliance of the orders given by the quasi-judicial bodies have also been provided. (Sec. 9)

The Consumer Protection Act provides for the following redressal agencies.

- (a) A Consumer Dispute Redressal Forum known as District Forum has to be set up by the state government by notification in each district.
- (b) A Consumer Disputes Redressal Commission to be known as the State Commission would be established by the state government with the approval of the central government.
- (c) A Consumer Redressal Commission to be known as the National Commission has been established by the Central Government.

DISTRICT FORUM

Composition (Sec. 10)

Each District Forum consists of

- (a) A person who is or has been, or is qualified to be a District Judge to be nominated by the state government as its President.
- (b) a person of eminence in the field of education, trade or commerce,
- (c) a lady social worker.

However, every appointment shall be made by the state government on the recommendation of Selection Committee consisting of the following :

1. President of the State Commission who acts as Chairman,
2. Secretary, Law Department of the state government as a Member.

3. Secretary in charge of the Department dealing with consumer affairs in the state as a member.

The salary or honorarium and other allowances payable to and the other terms and conditions of service of the members shall be such as may be prescribed by the state government. Every member of the District Forum shall hold office for a term of 5 years or upto age of 65 years, whichever is earlier shall not be eligible for re-appointment.

Jurisdiction of the District Forum (Sec. 11)

By jurisdiction is meant the authority which is vested in a court. In other words, jurisdiction means

1. the power, right or authority to take cognizance and decide any matter according to law and,
2. the limits or territory within which authority may be exercised.

The District Forum has the jurisdiction to entertain complaints where the value of the goods or services and the compensation of any does not exceed Rs. 10 lakhs.

A complaint shall be instituted in a District Forum within the local limits of whose jurisdiction.

- (a) the opposite party or each of the opposite parties resides or carries on business.
- (b) the cause of action arises.

Powers of the District Forum

The District Forum shall have the same powers as vested in Civil Court under the Code of Civil Procedure, 1908, while trying to suit in respect of the following matters :

- (i) summoning and enforcing attendance of any defendant or witness and examining the witness or oath ;
- (ii) the discovery and production of any document or other material object predictable as evidence ;
- (iii) the reception of evidence on affidavits ;
- (iv) the requisitioning of the report of the concerned analysis or from the appropriate laboratory or from any other relevant source ;
- (v) issuing of any commission for the examination of any-witness and ;
- (vi) any other matter which may be prescribed.

Every proceeding before the District Forum shall be deemed to be judicial proceeding within the meaning of sections 193 and 228 of the Indian Penal Code, 1860 and the District Forum shall be deemed to be Civil Court for the purpose of Section 195 and Chapter XXVI of the Code of Criminal Procedure, 1973 for launching inquiry regarding giving false evidence in the Forum.

STATE COMMISSION

Composition (Sec. 16)

Under Section 16 of the CP Act, 1986 a State Commission is to be composed of :

1. A president who is appointed by the state government in consultation with the Chief Justice of High Court. The person so appointed is or has been a judge of High Court.

2. Two other members, who shall be persons of ability, integrity and standing and have adequate knowledge or experience, or have shown capacity in dealing with problems relating to economies, law, commerce, accountancy, industry, public affairs or administration, one of whom shall be a woman.

But every appointment must be made by the state government on the recommendation of the Selection Committee. The Selection Committee shall consist of :

- (i) President of the State Commission as Chairman.
- (ii) Secretary of the Law Department of the state as one member.
- (iii) Secretary in charge of the Department dealing with consumer affairs in the state as other member.

The salary or honorarium and other allowances payable to and the other terms and conditions of service of the members of the State Commission will be such as may be prescribed by the state government. Every member of the State Commission shall hold office for a term of 5 years or upto age of 67 years, whichever is earlier and shall not be eligible for re-appointment.

Jurisdiction and Powers of the State Commission

Pecuniary Jurisdiction

The State Commission shall have jurisdiction to entertain appeals against the order of District Forum within the state where

the value of the goods or services and compensation, if any, excludes Rs. 5 lakhs but does not exceed Rs. 20 lakhs.

Terminal Jurisdiction of the State Commission

The State Commission has been entrusted with territorial jurisdiction over the whole territory of the concerned state. It may entertain the cases, the valuation of which is more than Rupees 5 lakhs and less than 20 lakhs. It shall have jurisdiction to entertain appeals against the orders of any District Forum within the State, and to call for the records and pass appropriate orders in any consumer dispute which is pending before or has been decided by any District Forum within the state, where it appears to the State Commission that such District Forum has exercised a jurisdiction so vested or has acted in exercise of its jurisdiction illegally or with material irregularity. In other words, the State Commission has appellate as well as revisional jurisdiction over the whole territory of the state concerned.

Original Jurisdiction

Any person aggrieved, regarding the valuation of more than rupees 5 lakhs and less than 20 lakhs, may file a complaint before the State Commission in whose territory the cause of action arose or the opposite party resides or works for gain.

The procedure for entertaining and disposal of complaints to be followed before the State Commission shall be the same as provided for complaints before District Forum in sections 12, 13 and 14 and the rules made thereunder, by the concerned State Commission with such modifications as may be necessary as per Section 18.

Appellate Jurisdiction

Any person aggrieved by an order made by the District Forum may prefer an appeal against such order to the State Commission. An appeal to the State Commission can be filed within a period of 30 days from the date of the orders, in such a form and manner as may be prescribed under Section 15 of the Act. The State Commission may, however, entertain an appeal after the expiry of the period of 30 days if it is satisfied that there was sufficient cause for not filing it within that period.

In it was observed Rajasthan Housing Board Vs. Smt. Shashi Sinwal that it is incumbent on appellant who has to explain each

day of default beyond the terminus line of the prescribed period of limitation.

Revisional Jurisdiction

Even when an appeal is time bound, the State Commission can exercise powers of revision to set aside order appealed against if there was an error of jurisdiction committed by the District Forum. The State Commission may call for the records and pass appropriate orders in any consumer dispute which is pending before or has been decided by any District Forum within the state, where it appears to the State Commission that such District Forum has exercised a jurisdiction so vested or has acted in exercise of its jurisdiction illegally or with material irregularity.

The grounds for the revision application are the same as are provided for a civil revision in the Code of Civil Procedure. On presentation of such application, the Commission may either dispose it of summarily or order to send for record of the District Forum in the matter and decide the revision application after giving opportunity to the opposite party to be heard.

THE NATIONAL COMMISSION

Under Section 20 of the C. P. Act 1986 The National Commission is composed of following members :

1. A person who is or has been a judge of Supreme Court appointed by the Central Government in consultation with the Chief Justice of India, who shall be its President.

2. Four other members who shall be persons of ability, integrity and standing and have adequate knowledge or experience of or have shown capacity in dealing with problems relating to economics, law, commerce, accountancy, industry, public affairs or administration. One of them shall be a woman.

Appointment of these four members shall be made by the Central Government on the recommendation of a Selection Committee composed of the following, namely.

- (a) Chairman who happens to be judge of Supreme Court and nominated by the Chief Justice.

- (b) Two other members—one of them happens to be Secretary in the Department of Legal Affairs, the Government of India and the other member happens to be the Secretary of

the Department dealing with Consumer Affairs ; Government of India.

Every member of the National Commission shall hold office for a term of five years or upto the age of seventy years, whichever is earlier and shall not be eligible for reappointment.

Jurisdiction (Sec. 21)

The National Commission will have the jurisdiction to entertain any complaint directly where the value of the goods exceeds Rupees 20 lakhs. It also entertains appeals against the orders of any State Commission. Besides, it has the jurisdiction to call for records and pass appropriate orders in any consumer dispute which is pending or decided by the State Commission in a wrong way or with material irregularity.

Power and Procedure

The National Commission will have the powers of a Civil Court as specified in sub-sections (4), (5) and (6) of section 13, such as, summoning and enforcing attendance of the defendant, examination of witness, urging production of documents, requisitioning of the report of the concerned analysis or test from the appropriate laboratory, order issuing of any commission for examination of any witness. Every proceeding before the National Commission will be deemed to be judicial proceeding within the meaning of sections 193 and 228 of the Indian Penal Code, and the National Commission will be deemed to be a Civil Court for the purpose of Section 195 and Chapter XXVI of the Code of Criminal Procedure, 1973.

Moreover, the National Commission has the power to direct the defendant to remove the defects of the goods as detected by the appropriate laboratory, to replace the goods, to return the price, to remove the defects or deficiencies of the services in question, to discontinue the unfair or restricted trade practices and so on as referred in clauses (a) to (f) of sub-section (1) of section 14.

Appeal

Any person, aggrieved by an order of National Commission may prefer an appeal against such order to the Supreme Court within a period of 30 days from the date of the order. If no appeal

has been preferred against such order, the order passed by the National Commission will be final.

Administrative Control

The National Commission will have administrative control over all the State Commission, such as, calling for periodical return regarding the institution, disposal, pending of the cases. National Commission also issues instruction regarding adoption of uniform procedure etc. It also watches the functioning of the State Commission or of the District Forums to ensure that the objects and purposes of the Act are best served without in any way interfering with their quasi-Judicial freedom.

Enforcement of Order

Every order made by the National Commission will be enforced by the Commission in the same manner as if it were decree or order made by a Court.

COMPLAINT

What it is ?

Complaint means any allegation made in writing by the complainant that—

1. As a result of any unfair trade practice adopted by any trade, he has suffered loss or damage.
2. The goods mentioned in the complaint suffer from one or more defects.
3. The services mentioned in the complaint suffer from deficiency in any respect, and
4. Price in excess of price fixed by or under any law for the time in force or displayed on the goods or any package containing such goods has been charged by a trader. The purpose of the complaint is to seek certain relief.

Procedure on receipt of Complaint

It has been provided in Section 13 of the Act that the District Forum shall on receipt of a complaint, if it relates to any goods, refer a copy of the complaint to the opposite party mentioned in the complaint directing him to give his version of case within a period of 30 days or such extended period not exceeding 15 days as may be granted by the District Forum. Where the opposite

party denies or disputes allegation or omits or fails to take any action within the time given, the District Forum shall proceed to settle the dispute.

Where the complaint alleges a defect in the goods which cannot be determined without proper analysis or test of the goods, the District Forum shall obtain a sample of the goods from the complainant seal it and authenticate it in the manner prescribed and refer the sample so sealed to the appropriate laboratory along with a direction that such laboratory make analysis or test, whichever may be necessary with a view to finding out whether such goods suffer from any defect alleged in the complaint or suffer from any defect and to report its finding thereon to the District Forum within a time period of 45 days of the receipt of the reference or within such extended period as may be granted by the District Forum.

Before any sample of the goods is referred to any appropriate laboratory, the District Forum may require the complainant to deposit to the credit of the Forum such fees as may be specified, for payment to the laboratory for carrying out the necessary analysis or test in relation to the goods in question.

The District Forum shall remit the amount so deposited to its credit to the appropriate laboratory to enable it to carry out the analysis or test mentioned above and on receipt of the report from the appropriate laboratory, the District Forum shall forward a copy of the receipt along with the remarks as the District Forum may feel appropriate to the opposite party.

If any of the parties disputes the correctness of the findings of the appropriate laboratory or disputes the correctness of the methods of analysis or test adopted by the laboratory, the District Forum shall require the opposite party or the complainant to submit in writing his objectives in regard to the report made by the appropriate laboratory. The District Forum thereafter shall give a reasonable opportunity to both the parties of being heard on the point of correctness or otherwise of the report and also as to the objection made in relation thereto and issue an appropriate order.

If the complaint received by it relates to goods in respect of which the procedure specified above cannot be followed, or if the complaint relates to any services, the District Forum shall refer a copy of such complaint to the opposite party directing

him to give the version of the case within a period of 30 days or such extended period not exceeding 15 days as may be granted by the District Forum.

Where the opposite party denies or disputes the allegation or omits or fails to take any action to represent his case within the time given by the District Forum, the District Forum shall proceed to settle the disputes on the basis of the evidence brought to the notice by the complainant and the opposite party. No proceeding complying with the procedure mentioned above shall be called in question on the ground that the principles of natural justice have not been complied with.

FINDINGS OF THE DISTRICT FORUM

If, after the proceeding conducted under section 13, the District Forum is satisfied that the goods complained against suffer from any of the defects specified in the complaint or that any of the allegations contained in the complaint about the services are proved, it shall issue an order to the opposite party directing him to take one or more of the followings :

- (a) to remove the defects pointed out by the laboratory from the goods in question ;
- (b) to replace the goods with new goods of similar description which shall be free from any defect ;
- (c) to return to the complainant the price, or, as the case may be the charges paid by the complainant ;
- (d) to pay such amount as may be awarded by it as compensation to the consumer due to negligence of the opposite party ;
- (e) to remove the defects or deficiencies in the services in question ;
- (f) to discontinue the unfair trade practice or the restricted trade practice or not to repeat them ;
- (g) not to offer the hazardous goods for sale ;
- (h) to withdraw the hazardous goods from being offered for sale ;
- (i) to provide for adequate costs to parties.

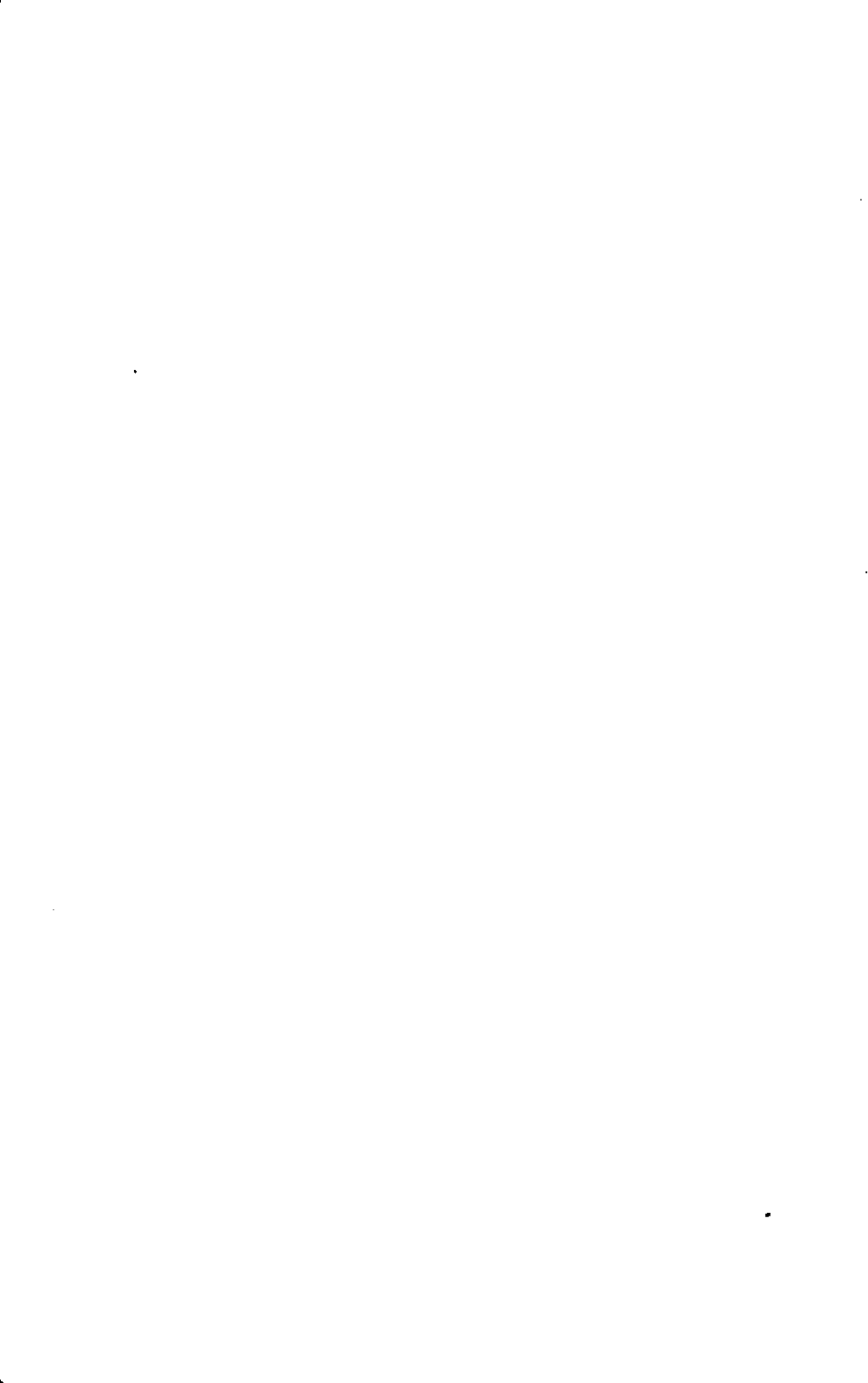
Every order made by the District Forum shall be signed by all the members constituting it. Procedure relating to the conduct of the meetings of the District Forum, its sitting and other matter shall be such as may be prescribed by the state government.

PENALTY UNDER THE C. P. ACT.

Section 27 of Consumer Protection Act, 1986 provides for penalties that, where a trader or a person against whom a complaint is made or the complainant fails or omits to comply with any order made by the District Forum, the State Commission or the National Commission, as the case may be, such trader or person or complainant shall be punishable with imprisonment for a term which shall not be less than one month but which may extend to three years, or with fine which shall not be less than Rs. 2000/- but which may extend to Rs. 10000/- or with both. But the District Forum, the State Commission or the National Commission, as the case may be, if it is satisfied that the circumstances of the case so require, impose a sentence of imprisonment or fine, or both for a term lesser than the minimum term and the amount lesser than the minimum amount, specified in this section.

EXERCISES

1. Define the topics listed below as stated under the Consumer Protection Act. (a) Consumer (b) Service (c) Complaint (d) Consumer Dispute. [Pages (a) 519 (b) 519 (c) 528 (d) 519]
2. State the composition and objective of Central Consumer Protection Council. (Page 521)
3. State the composition and objective of State Consumer Protection Council. (Page 524)
4. Discuss the principles laid down under the Consumer Protection Act, regarding composition and jurisdiction of District Forum. (Page 522)
5. Discuss the process regarding complaint under the Consumer Protection Act. (Page 528)
6. Discuss the procedures on settlement of disputes on receipt of complaint. (Page 528)
7. Write short notes :
(a) Complainant (b) Defect (c) Trader (d) Dispute (e) Unfair trade practice. [Pages (a) 528 (b) 518 (c) 519 (d) 519 (e) 519]
8. Discuss about the penalties under the Consumer Protection Act. (Page 531)



BOOK XI

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GENESIS OF THE COMPANIES ACT, 1956

The first Indian Act, regarding companies, was the Joint Stock Companies Act of 1850. This was based upon the English Act of 1844. The Act of 1850 was replaced by a new Act bearing the same name in 1857. In this Act the principle of limited liability was introduced for the first time in India. With the growing popularity of the corporate form of business organisation, need was felt for more comprehensive company legislation, Acts relating to companies were passed in 1860, 1866, 1882, 1895, 1910 and 1913. The act of 1913 remained in force up to 1956, though it was extensively amended in 1936, 1951, 1984 and 1988.

The Government appointed in 1950, an expert committee under the chairmanship of Sri C. H. Bhaba to suggest how the Company Law can be reformed. The Companies Act of 1956 (Act 1 of 1956) is based mainly on the recommendations of the committee. The Act of 1956 has been amended in 1960, 1963, 1965, 1969, 1971, 1974, 1984 and 1988.

**OBJECTS AND PURPOSES OF COMPANY
LEGISLATION**

The Company is a form of business organisation in which the funds of a large number of investors are managed by a few persons for the purpose of earning profits which are shared by all the investors. The main objects and purposes of statutes relating to companies are as follows :

1. Encourage investments in companies by providing certain facilities, e.g., limitation of liability, transferability of shares etc.
2. Ensure due and proper administration of the funds and assets of companies in the interest of the investing public.
3. Present malpractices by directors and managers.
4. Arrange for investigation into the affairs of companies and provide for effective audit in dealing with cases of dishonesty and fraud in the corporate sector.

EXTENT AND APPLICATION

The Companies Act extends to the whole of India : Provided that it shall apply to the state of Nagaland subject to such modifications, if any, as the Central Government may, by notification in the official Gazette specify.—Sec.1(3).

The Central Government can modify the Act in its application to Nidhis or a Mutual Benefit Society, subject to issuing notification on this subject.—Sec. 620A.

Subject to issuing a notification, the Central Government can modify and provide special provisions as to companies in Goa, Daman and Diu.—Sec. 620B.

The same provisions have been applied to Jammu and Kashmir.—Sec. 620C.

The Act applies to all classes of companies including public companies, private companies and associations not trading for profit. It also includes provisions in respect of companies incorporated outside India, but which have an established place of business in India.

WHAT IS A COMPANY ?

Definition

The term Company is used to describe an association of a number of persons, formed for some *common purpose* and *registered* according to the law relating to companies. Section 3(1)(i) of the Companies Act, 1956 states that a company means, “a company formed and registered under this Act or an existing company.”

Lord Justice Lindley defines a company as follows :/“By a company is meant an association of many persons who contribute money or money’s worth to a common stock and employ it for a common purpose. The common stock so contributed is denoted in money and is the capital of the company. The persons who contribute it or to whom it belongs are members. The proportion of capital to which each member is entitled is his share.”))

Explanation

A company, formed and registered under the Companies Act, is regarded by law as a single person, having specified rights

and obligations. The law confers on a company a distinct legal personality, with perpetual succession and a common seal. *Therefore a company is different from its members and the individuals composing it.* Suppose that, A, B, C and 50 other persons form a company called XY & Co. The Company, XY & Co. is a legal person quite separate from A, B, C and others. Therefore, A, B, C etc. can enter into contracts with XY & Co.

Illustration

This principle is illustrated in the case *Salomon v. Salomon & Co. Ltd.*¹ Salomon had a business in boot manufacture. He formed a company called Salomon & Co. (with himself, his wife, daughter and 4 sons as shareholders) and transferred to it his business. As consideration for the transfer he received the major portion of the shares of the company and debentures for £ 10,000. Later on, the company went into liquidation. Salomon, as a debenture holder, claimed to be a secured creditor and demanded priority in the payment of £ 10,000, out of the assets of the company. The unsecured creditors of the company objected on the ground that the business really belonged to Salomon and he should not be allowed to claim as a secured creditor. It was held that Salomon as an individual, was quite distinct from Salomon & Co. and he could therefore be a secured creditor of the company, even though he happened to hold the majority of the shares.

One-man Company or Family Company

Even when a single person holds most of the shares of a company, the company has a legal personality separate and distinct from the owner of the majority of the shares. A person can form a company by getting a few nominees or dummies, get registration and commence business. *Salomon v. Salomon & Co. Ltd.* (See above). *E. B. M. & Co. Ltd. v. Dominion Bank.*² Such a company, can be called a one-man company or individual ownership of a company.

Statutory Company

A company or corporation, formed by an Act of the Legislature, is called Statutory Corporation. Examples are Reserve

¹ (1897) A.C. 22

² AIR (1937) Privy Council 279